

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[959 NE2d 488, 935 NYS2d 551]

ANTONI WILINSKI et al., Respondents-Appellants, v 334 EAST
92ND HOUSING DEVELOPMENT FUND CORP. et al., Appellants-
Respondents.

Argued September 14, 2011; decided October 25, 2011

SUMMARY

CROSS APPEALS, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 23, 2010. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Debra A. James, J.; op 2009 NY Slip Op 30605[U] [2009]), which had granted plaintiffs’ motion for summary judgment on the issue of liability under Labor Law § 240 (1) and denied defendants’ cross motion for summary judgment dismissing the complaint. The modification consisted of denying plaintiffs’ motion and granting defendants’ motion to the extent of dismissing the Labor Law § 240 (1) claim. The Appellate Division affirmed the order as modified. In separate orders, the same following question was certified by the Appellate Division: “Was the order of this Court, which modified the order of the Supreme Court, properly made?”

Wilinski v 334 E. 92nd Hous. Dev. Fund Corp., 71 AD3d 538, modified.

HEADNOTES

Labor — Safe Place to Work — What Constitutes Elevation-Related Accident

1. A worker injured by a falling object whose base stands at the same level as the worker is not categorically barred from recovery under Labor Law

§ 240 (1). Whether a plaintiff is entitled to recovery under Labor Law § 240 (1) requires a determination of whether the injury sustained is the type of elevation-related hazard to which the statute applies. The reach of Labor Law § 240 (1) is limited to such specific gravity-related accidents as a worker falling from a height or being struck by a falling object that was improperly hoisted or inadequately secured. *Misseritti v Mark IV Constr. Co.* (86 NY2d 487 [1995]) should not be interpreted, as it has by some intermediate appellate courts, as precluding recovery under Labor Law § 240 (1) where a worker sustains an injury caused by a falling object whose base stands at the same level as the worker. Rather, the finding against liability in *Misseritti* was mandated by the absence of a causal nexus between the worker's injury and a lack or failure of a device prescribed by section 240 (1). A "same level" rule ignores the nuances of an appropriate section 240 (1) analysis and will not be adopted.

Labor — Safe Place to Work — What Constitutes Elevation-Related Accident

2. In an action to recover damages for injuries sustained when plaintiff, while demolishing brick walls at a vacant warehouse, was struck by two unsecured metal, vertical plumbing pipes that fell onto him after being struck by debris from the demolition of a nearby wall, plaintiff was not precluded from recovery under Labor Law § 240 (1) simply because he and the pipes that struck him were on the same level. The pipes, which were metal and four inches in diameter, stood at approximately 10 feet and toppled over to fall at least four feet before striking the five-foot-eight-inch-tall plaintiff. That height differential was not de minimis given the amount of force the pipes were able to generate over their descent. Thus, plaintiff suffered harm that flowed directly from the application of the force of gravity to the pipes. However, though the risk here arose from a physically significant elevation differential, it remained to be seen whether plaintiff's injury was the direct consequence of defendants' failure to provide adequate protection against that risk. As plaintiff failed to demonstrate that protective devices such as blocks or ropes could have been used to secure the pipes and prevent the accident and defendants failed to demonstrate that no protective devices were called for, neither party was entitled to summary judgment.

Labor — Safe Place to Work — Demolition of Walls and Partitions — Industrial Code Violation

3. In an action to recover damages for injuries sustained when plaintiff, while demolishing brick walls at a vacant warehouse, was struck by two unsecured metal, vertical plumbing pipes that fell onto him after being struck by debris from the demolition of a nearby wall, plaintiff sufficiently stated a claim under Labor Law § 241 (6) based on a violation of 12 NYCRR 23-3.3 (b) (3). That regulation provides: "Walls, chimneys and other parts of any building or other structure shall not be left unguarded in such condition that such parts may fall, collapse or be weakened by wind pressure or vibration." Plaintiff was not required to show that the pipes fell or collapsed due to wind pressure or vibration to state a claim under 12 NYCRR 23-3.3 (b) (3). The phrase "by wind pressure or vibration" does not attach to the words "fall" or "collapse," but only to the immediately preceding words, "be weakened."

Labor — Safe Place to Work — Demolition of Walls and Partitions — Industrial Code Violation

4. In an action to recover damages for injuries sustained when plaintiff, while demolishing brick walls at a vacant warehouse, was struck by two

unsecured metal, vertical plumbing pipes that fell onto him after being struck by debris from the demolition of a nearby wall, defendants were not entitled to summary judgment dismissing plaintiff's claim under Labor Law § 241 (6) based on a violation of 12 NYCRR 23-3.3 (c), which requires "continuing inspections" in order to detect hazards created by the progress of the demolition work. Defendants failed to meet their burden of showing either that they complied with the regulation or that their noncompliance did not cause plaintiff's accident.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 205, 207, 208,
248-250, 254, 269.

McKINNEY's, Labor Law § 240 (1); § 241 (6).

12 NYCRR 23-3.3 (b) (3); (c).

NY JUR 2d, Employment Relations §§ 286-290, 302, 366,
376, 377, 382.

PROSSER AND KEETON, TORTS (5th ed) §§ 36, 80.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment; Occupational Safety and Health.

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Query: worker /5 injur! & falling /2 object /s same /2 level

POINTS OF COUNSEL

Gallo Vitucci & Klar, New York City (*Yolanda L. Ayala* of counsel), for appellants-respondents. I. Defendants were entitled to summary judgment on the plaintiff's Labor Law § 241 (6) claim because Industrial Code regulation 12 NYCRR 23-3.3 (b) (3), relied upon by the plaintiff, is inapplicable to the facts of this matter. (*Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Mugavero v Windows by Hart, Inc.*, 69 AD3d 694; *Forschner v Jucca Co.*, 63 AD3d 996; *Messina v City of New York*, 300 AD2d 121; *Perillo v Lehigh Constr. Group, Inc.*, 17 AD3d 1136; *German v City of New York*, 14 Misc 3d 1204[A], 2006 NY Slip Op 52406[U]; *Maternik v Edgemere By-The-Sea Corp.*, 19 Misc 3d 1118[A], 2008 NY Slip Op 50763[U]; *Gonzalez v Fortway LLC*, 22 Misc 3d 1115[A], 2009 NY Slip Op 50132[U].) II. Defendants were entitled to summary judgment on the plaintiff's Labor Law § 241 (6) claim because Industrial Code regulation 12 NYCRR 23-3.3 (c), relied upon by the plaintiff, is inapplicable to the facts of this matter. (*Cardenas v One State St., LLC*, 68 AD3d 436; *Smith v New York City Hous. Auth.*, 71 AD3d 985;

Campoverde v Bruckner Plaza Assoc., L.P., 50 AD3d 836; *Monroe v City of New York*, 67 AD2d 89; *Keane v Chelsea Piers, L.P.*, 16 Misc 3d 1116[A], 2007 NY Slip Op 51443[U]; *Ofri v Waldbaum, Inc.*, 285 AD2d 536; *Badzmierowski v PBAK, LLC*, 5 Misc 3d 1005[A], 2004 NY Slip Op 51207[U].)

Law Office of Souren A. Israelyan, New York City (Souren A. Israelyan of counsel), and *Slawek W. Platta, PLLC*, for respondents-appellants. I. The physically significant elevation differential between the worker and the higher level of the plumbing pipes that fell on him and the lack of any safety devices to secure the pipes from falling on laborers working in the area, brings this accident within the purview of Labor Law § 240 (1). (*Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Runner v New York Stock Exch., Inc.*, 13 NY3d 599; *Misseritti v Mark IV Constr. Co.*, 86 NY2d 487; *Portillo v Roby Anne Dev., LLC*, 32 AD3d 421; *Tylutki v Tishman Tech.*, 7 AD3d 696, 3 NY3d 702; *Brown v VJB Constr. Corp.*, 50 AD3d 373; *Sharp v Scandic Wall Ltd. Partnership*, 306 AD2d 39; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513.) II. The courts below correctly construed 12 NYCRR 23-3.3 (b) (3) according to its plain meaning and purpose. (*Perillo v Lehigh Constr. Group, Inc.*, 17 AD3d 1136; *Sierzputowski v City of New York*, 14 AD3d 606; *German v City of New York*, 14 Misc 3d 1204[A], 2006 NY Slip Op 52406[U]; *Maternik v Edgemere By-The-Sea Corp.*, 19 Misc 3d 1118[A], 2008 NY Slip Op 50763[U]; *Gonzalez v Fortway LLC*, 22 Misc 3d 1115[A], 2009 NY Slip Op 50132[U]; *Docteur v Belleville-Henderson Cent. School Dist.*, 307 AD2d 751.) III. Defendants failed to meet their burden as summary judgment movants to establish as a matter of law that they have complied with the standard of care under 12 NYCRR 23-3.3 (c). (*Salinas v Barney Skanska Constr. Co.*, 2 AD3d 619; *Monroe v City of New York*, 67 AD2d 89; *Baladares v Southgate Owners Corp.*, 40 AD3d 667; *Cardenas v One State St., LLC*, 68 AD3d 436; *Perillo v Lehigh Constr. Group, Inc.*, 17 AD3d 1136; *Sierzputowski v City of New York*, 14 AD3d 606; *Gawel v Consolidated Edison Co. of N.Y.*, 237 AD2d 138; *Smith v New York City Hous. Auth.*, 71 AD3d 985; *Campoverde v Bruckner Plaza Assoc., L.P.*, 50 AD3d 836.)

OPINION OF THE COURT

CIPARICK, J.

Some New York courts have interpreted our decision in *Misseritti v Mark IV Constr. Co.* (86 NY2d 487 [1995]) to preclude

recovery under Labor Law § 240 (1) where a worker sustains an injury caused by a falling object whose base stands at the same level as the worker. We reject that interpretation and hold that such a circumstance does not categorically bar the worker from recovery under section 240 (1). However, in this case, an issue of fact exists as to whether the worker's injury resulted from the lack of a statutorily prescribed protective device.

I.

On September 28, 2005, at approximately 8:30 A.M., plaintiff Antoni Wilinski¹ and other workers were demolishing brick walls at a vacant warehouse located on premises owned by defendant 334 East 92nd Housing Development Fund Corp.² Previous demolition of the ceiling and floor above had left two metal, vertical plumbing pipes unsecured. The pipes were each four inches in diameter and rose out of the floor on which plaintiff was working to a height of approximately 10 feet.³ The pipes were to be left standing until their eventual removal. Earlier that morning, plaintiff voiced concerns to his supervisor that leaving the pipes standing during demolition of the surrounding walls could be dangerous. Nevertheless, no safety measures were taken to secure the pipes. Shortly thereafter, debris from a nearby wall that was being demolished hit the pipes, causing them to topple over. The pipes fell approximately four feet and landed on plaintiff, who is five feet, eight inches tall. The first pipe knocked plaintiff's hard hat off from his head, then struck his right shoulder and arm, cutting his elbow. The second pipe struck plaintiff's uncovered head, cutting it and causing a concussion. Plaintiff suffered serious and lasting injuries to his shoulder, arm and spine, as well as neuropsychological injuries.

Plaintiff commenced suit alleging violations of Labor Law § 240 (1) and Labor Law § 241 (6), the latter pursuant to 12

1. Halina Wilinski is also a plaintiff, having sued derivatively. We will refer only to the injured worker as plaintiff.

2. Defendant 334 East 92nd Housing Development Fund Corp., (the HDFC) owned the premises located at 334 East 92nd Street in Manhattan. The HDFC executed a nominee agreement in favor of defendant East 92nd Street Senior Housing Limited Partnership, which, in turn, retained defendant Empire Developers Corp. (Empire) as general contractor. Empire hired Gramercy Group, Inc. (Gramercy) as subcontractor to demolish a vacant warehouse on the property. Gramercy employed plaintiff as a demolition worker.

3. In his deposition testimony, plaintiff stated that the pipes were two different heights, the shorter ranging from 8 to 10 feet and the taller ranging from 10 to 12 feet. Plaintiff's coworker testified that he did not want to estimate the height of the pipes but stated that "they went up a good way."

NYCRR 23-3.3 (b) (3) and (c). Plaintiff moved for summary judgment on his section 240 (1) claim and defendants cross-moved for summary judgment seeking dismissal of plaintiff's claims. Supreme Court granted plaintiff's motion for summary judgment and denied defendants' motion in its entirety (2009 NY Slip Op 30605[U] [2009]). The court held that plaintiff suffered a gravity-related injury and had established entitlement to judgment as a matter of law by demonstrating that the absence of a statutorily enumerated safety device proximately caused his injury. The court also held that defendants were subject to duties under 12 NYCRR 23-3.3 (b) (3) and (c), which provided a sufficient predicate for liability under Labor Law § 241 (6).

The Appellate Division modified the order of Supreme Court by denying plaintiff's motion for summary judgment and by partially granting defendants' summary judgment motion to the extent of dismissing plaintiff's section 240 (1) claim (*Wilinski v 334 E. 92nd Hous. Dev. Fund Corp.*, 71 AD3d 538, 539 [1st Dept 2010]). Relying on our decision in *Misseritti*, the court stated that the accident was "not the type of elevation-related accident that [the statute] is intended to guard against . . . Since both the pipes and plaintiff were at the same level at the time of the collapse the incident was not sufficiently attributable to elevation differentials to warrant imposition of liability" (*id.* [internal quotation marks omitted]). The court otherwise affirmed Supreme Court's denial of defendants' motion to dismiss plaintiff's section 241 (6) claims (*see id.*).

The parties each moved at the Appellate Division for leave to appeal to this Court. In separate orders granting those motions, the Appellate Division certified the following question: "Was the order of this Court, which modified the order of the Supreme Court, properly made?" For the reasons that follow, we modify the court's order and answer in the negative.

II.

Plaintiff's Labor Law § 240 (1) Claim

Labor Law § 240 (1) mandates that building owners and contractors

"in the erection, demolition, repairing, altering, painting, cleaning or pointing of a building or structure shall furnish or erect, or cause to be furnished or erected for the performance of such

labor, scaffolding, hoists, stays, ladders, slings, hangers, blocks, pulleys, braces, irons, ropes, and other devices which shall be so constructed, placed and operated as to give proper protection to a person so employed.”

The statute imposes absolute liability on building owners and contractors whose failure to “provide proper protection to workers employed on a construction site” proximately causes injury to a worker (*see Misseritti*, 86 NY2d at 490). Whether a plaintiff is entitled to recovery under Labor Law § 240 (1) requires a determination of whether the injury sustained is the type of elevation-related hazard to which the statute applies (*see Rocovich v Consolidated Edison Co.*, 78 NY2d 509, 513 [1991] [“violation of the statute cannot establish liability if the statute is intended to protect against a particular hazard, and a hazard of a different kind is the occasion of the injury” (internal quotation marks omitted)]).

Our jurisprudence defining the category of injuries that warrant the special protection of Labor Law § 240 (1) has evolved over the last two decades, centering around a core premise: that a defendant’s failure to provide workers with adequate protection from reasonably preventable, gravity-related accidents will result in liability. Beginning in *Rocovich*, we stated that section 240 (1)’s contemplated hazards are

“those related to the effects of gravity where protective devices are called for either because of a difference between the elevation level of the required work and a lower level or a difference between the elevation level where the worker is positioned and the higher level of the materials or load being hoisted or secured” (78 NY2d at 514).

In *Rocovich*, the plaintiff was injured at his work site when his right ankle and foot accidentally became immersed in hot oil in a 12-inch-deep trough (*see id.* at 511). We denied recovery, finding it “difficult to imagine how plaintiff’s proximity to the 12-inch trough could have entailed an elevation-related risk which called for any of the protective devices of the types listed in section 240 (1)” (*id.* at 514-515). Subsequently, in *Ross v Curtis-Palmer Hydro-Elec. Co.* (81 NY2d 494 [1993]), we refined *Rocovich*, stating that the reach of Labor Law § 240 (1) is “limited to such specific gravity-related accidents as [a worker] falling from a height or being struck by a falling object that was improperly hoisted or inadequately secured” (*id.* at 501).

In *Narducci v Manhasset Bay Assoc.* (96 NY2d 259 [2001]), though we noted that section 240 (1) applies to both “falling worker” and “falling object” cases, we declined to impose liability where a plaintiff was cut by a piece of glass that fell from a nearby window pane (*id.* at 266). We concluded that “[t]his was not a situation where a hoisting or securing device of the kind enumerated in the statute would have been necessary or even expected” and that the absence of such a device “did not cause the falling glass here” (*id.* at 268-269). Therefore, the accident was outside the scope of section 240 (1) (*see id.*).

In *Misseritti*, we applied a similar rationale. The plaintiff’s decedent in that case sustained severe injuries, leading to his eventual death, when a completed, concrete firewall collapsed on top of him (*see* 86 NY2d at 489). Before the wall collapsed, “decedent and his co-worker had just dismantled the scaffolding used to erect the completed fire wall and . . . [m]asons had not yet vertically braced the wall with the . . . planks it had on the work site” (*id.* at 491). We held that section 240 (1) did not apply to those facts, as the firewall did not collapse due to a failure to provide a protective device contemplated by the statute (*see id.*). We determined that, in fact, the kind of braces referred to in section 240 (1) are “those used to support elevated work sites not braces designed to shore up or lend support to a completed structure” (*id.*). Thus the firewall’s collapse, though tragic in its consequences, was simply “the type of peril a construction worker usually encounters on the job site” (*id.*).

Intermediate appellate courts have cited *Misseritti* as support for the proposition that a plaintiff injured by a falling object has no claim under section 240 (1) where the plaintiff and the base of the object stood on the same level (*see e.g. Brink v Yeshiva Univ.*, 259 AD2d 265 [1st Dept 1999] [citing *Misseritti* and holding that the collapse of an interior chimney at the same floor level as plaintiff was not attributable to elevation differentials to warrant the imposition of liability]; *Matter of Sabovic v State of New York*, 229 AD2d 586, 587 [2d Dept 1996] [“the wall which collapsed was at the same level as the work site and is not considered a falling object for purposes of Labor Law § 240 (1)”]; *Corsaro v Mt. Calvary Cemetery*, 214 AD2d 950, 950 [4th Dept 1995] [holding that a concrete form standing at ground level and estimated between 12 and 20 feet high was not a falling object because it was at the same level as the work site and not an elevation-related risk]). Here, the Appellate Division also relied on *Misseritti* in holding that the collapse of the pipes, like

the collapse of a wall, was not an elevation-related accident and stated that “[s]ince both the pipes and plaintiff were at the same level at the time of the collapse the incident was not sufficiently attributable to elevation differentials to warrant imposition of liability” under section 240 (1) (*Wilinski*, 71 AD3d at 539 [internal quotation marks omitted]). Defendants urge the Court to endorse the “same level” rule now by affirming the lower court’s dismissal of plaintiff’s section 240 (1) claim.

[1] We do not agree that *Misseritti* calls for the categorical exclusion of injuries caused by falling objects that, at the time of the accident, were on the same level as the plaintiff. *Misseritti* did not turn on the fact that plaintiff and the base of the wall that collapsed on him were at the same level. Rather, just as in *Narducci*, the absence of a causal nexus between the worker’s injury and a lack or failure of a device prescribed by section 240 (1) mandated a finding against liability (*see Misseritti*, 86 NY2d at 490-491; *Narducci*, 96 NY2d at 268-269). Thus, we decline to adopt the “same level” rule, which ignores the nuances of an appropriate section 240 (1) analysis.⁴

Moreover, the so-called “same level” rule is inconsistent with this Court’s more recent decisions, namely *Quattrocchi v F.J. Sciamie Constr. Corp.* (11 NY3d 757 [2008]) and *Runner v New York Stock Exch., Inc.* (13 NY3d 599 [2009]), neither of which are cited by the dissent. In *Quattrocchi*, we articulated for the first time that liability is not limited to cases in which the falling object was in the process of being hoisted or secured (*see* 11 NY3d at 759). Next, in *Runner*, the Court had occasion to apply section 240 (1) to novel factual circumstances that did not involve a falling worker or falling object (*see* 13 NY3d at 605).

4. Some lower courts have already reached this conclusion. For example, in *Brown v VJB Constr. Corp.* (50 AD3d 373 [1st Dept 2008]), the plaintiff was injured when a 1,000 pound slab that fell from a defective clamp as it was being hoisted by a forklift landed at ground level and then tipped over, pinning the plaintiff’s wrist between the slab and a wall (*see id.* at 374). Defendants had argued, based on *Misseritti*, that because the “[plaintiff] admit[ted] that at the time of the accident, he worked at the same level as the stone panel being installed” the court should affirm the dismissal of plaintiff’s section 240 (1) claim (*see* brief for defendant-respondent and second third-party defendant-respondent in *Brown v VJB Constr. Corp.*, 50 AD3d 373 [2008], available at 2007 WL 5830407, *14-18). The Appellate Division aptly rejected that argument, finding it “of no consequence that the ultimate destination of the slab was the same level where the forklift was positioned, or where [the] plaintiff was standing” (*Brown*, 50 AD3d at 377). Had the court accepted the defendants’ same level defense, mere circumstance would have arbitrarily precluded what we agree was clearly a viable claim under section 240 (1).

In *Runner*, the plaintiff was injured while he and coworkers moved an 800 pound reel of wire down a flight of four stairs (*see id.* at 602). The workers were instructed to tie one end of a 10-foot length of rope to the reel and then to wrap the rope around a metal bar placed horizontally across a door jamb on the same level as the reel (*see id.*). The plaintiff, acting as a counterweight, held the loose end as other workers pushed the reel down stairs (*see id.*). As the reel descended, the plaintiff was pulled horizontally into the bar, injuring his hands as they jammed against it (*see id.*). After a review of our precedents, we concluded that

“the dispositive inquiry framed by our cases does not depend upon the precise characterization of the device employed or upon whether the injury resulted from a fall, either of the worker or of an object upon the worker. Rather, *the single decisive question is whether plaintiff’s injuries were the direct consequence of a failure to provide adequate protection against a risk arising from a physically significant elevation differential*” (*id.* at 603 [emphasis added]).

As the “elevation differential . . . [could not] be viewed as de minimis, particularly given the weight of the object and the amount of force it was capable of generating, even over the course of a relatively short descent” (*id.* at 605), we held the defendants liable under Labor Law § 240 (1) for using a “jerry-rigged device” rather than hoists or pulleys as provided under the statute (*see id.* at 602, 605).

[2] Applying *Runner* to the instant case, we hold that plaintiff is not precluded from recovery under section 240 (1) simply because he and the pipes that struck him were on the same level. The pipes, which were metal and four inches in diameter, stood at approximately 10 feet and toppled over to fall at least four feet before striking plaintiff, who is five feet, eight inches tall. That height differential cannot be described as de minimis given the “amount of force [the pipes] w[ere] []able [to] generate[e]” (*id.* at 605) over their descent. Thus, plaintiff suffered harm that “flow[ed] directly from the application of the force of gravity to the [pipes]” (*id.* at 604; *see also Rocovich*, 78 NY2d at 514). However, though the risk here “ar[ose] from a physically significant elevation differential” (*Runner*, 13 NY3d at 603), it remains to be seen whether plaintiff’s injury was “the direct consequence of [defendants’] failure to provide adequate protection against [that] risk” (*id.*).

In this regard, this case is distinguishable from *Misseritti* in a significant way: while, in *Misseritti*, the kinds of protective devices section 240 (1) prescribes were shown to be inapplicable to the circumstances of the decedent's injury, here, neither party has met its burden with respect to that issue. Plaintiff asserts, but does not demonstrate, that protective devices such as blocks or ropes could have been used to secure the pipes and prevent the accident. Defendants assert, but fail to demonstrate, that no protective devices were called for.

Moreover, there is an important distinction between the facts of this case and other cases where summary judgment has been granted in defendants' favor. Here, the pipes that caused plaintiff's injuries were not slated for demolition at the time of the accident. This stands in contrast to cases where the objects that injured the plaintiffs were themselves the target of demolition when they fell (*see e.g. Brink*, 259 AD2d at 265). In those instances, imposing liability for failure to provide protective devices to prevent the walls or objects from falling, when their fall was the goal of the work, would be illogical. Here, however, securing the pipes in place as workers demolished nearby walls would not have been contrary to the objectives of the work plan.

We conclude, therefore, that while there is a potential "causal connection between the object[s'] inadequately regulated descent and plaintiff's injury" (*Runner*, 13 NY3d at 605), neither party is entitled to summary judgment on plaintiff's Labor Law § 240 (1) claim. Whether plaintiff's injuries were proximately caused by the lack of a safety device of the kind required by the statute is an issue for a trier of fact to determine.

III.

Plaintiff's Claims Under Labor Law § 241 (6)

Plaintiff's remaining claims arise under Labor Law § 241 (6), which provides:

"All areas in which construction, excavation or demolition work is being performed shall be so constructed, shored, equipped, guarded, arranged, operated and conducted as to provide reasonable and adequate protection and safety to the persons employed therein or lawfully frequenting such places."

As the statute is not self-executing, a plaintiff must set forth a violation of a specific rule or regulation promulgated pursuant

to it (*see Ross*, 81 NY2d at 503). In this case, plaintiff invokes 12 NYCRR 23-3.3 (b) (3), which provides: “Walls, chimneys and other parts of any building or other structure shall not be left unguarded in such condition that such parts may fall, collapse or be weakened by wind pressure or vibration.”

Defendants contend that this regulation is inapplicable to the instant matter because neither wind pressure nor vibration caused the pipes to fall, collapse or become weakened. Defendants argue that the Appellate Division’s interpretation of the regulation—specifically, that “[a] fair reading of the section . . . leads to the conclusion that the phrase ‘by wind pressure or vibration,’ does not attach to the words ‘fall’ or ‘collapse,’ but only to the immediately preceding words, ‘be weakened’ ” (*Wilinski*, 71 AD3d at 539)—is incorrect and contradicts the purpose of the regulation.

[3] While lower courts ruling on this issue have largely adopted defendants’ proposed reading of the regulation (*see German v City of New York*, 14 Misc 3d 1204[A], 2006 NY Slip Op 52406[U], *5 [Sup Ct, NY County 2006]; *Maternik v Edgemere By-The-Sea Corp.*, 19 Misc 3d 1118[A], 2008 NY Slip Op 50763[U], *7 n 11 [Sup Ct, Kings County 2008]; *Gonzalez v Fortway LLC*, 22 Misc 3d 1115[A], 2009 NY Slip Op 50132[U], *7 [Sup Ct, Kings County 2009]), we believe that the Appellate Division’s interpretation is the better one. Thus, we affirm the court’s finding that plaintiff is not required to show that the pipes fell or collapsed due to wind pressure or vibration to state a claim under 12 NYCRR 23-3.3 (b) (3).

[4] Plaintiff’s second section 241 (6) claim arises under 12 NYCRR 23-3.3 (c), which provides:

“During hand demolition operations, continuing inspections shall be made by designated persons as the work progresses to detect any hazards to any person resulting from weakened or deteriorated floors or walls or from loosened material. Persons shall not be suffered or permitted to work where such hazards exist until protection has been provided by shoring, bracing or other effective means.”

“The thrust of this subdivision is to fashion a safeguard, in the form of ‘continuing inspections,’ against hazards which are created by the progress of the demolition work” (*Monroe v City of New York*, 67 AD2d 89, 100 [2d Dept 1979]). Here, defendants failed to meet their burden of showing either that they complied

with the regulation or that their noncompliance did not cause plaintiff's accident. Thus, we conclude that the courts below properly denied summary judgment to defendants on plaintiff's Labor Law § 241 (6) claims.

Accordingly, the order of the Appellate Division should be modified, without costs, in accordance with this opinion and, as so modified, affirmed, and the certified questions answered in the negative.

PIGOTT, J. (dissenting in part). Because the majority runs far afield from this Court's Labor Law § 240 (1) precedent, I dissent.

To prevail on a motion for summary judgment on the issue of liability under Labor Law § 240, a plaintiff must demonstrate that his or her injuries resulted from "dangerous conditions posed by elevation differentials" at a work site (*Misseritti v Mark IV Constr. Co.*, 86 NY2d 487, 491 [1995]), and that the elevation-related risk occurred "*because of* the absence or inadequacy of a safety device of the kind enumerated in the statute" (*Narducci v Manhasset Bay Assoc.*, 96 NY2d 259, 268 [2001]).

At the time of the accident, plaintiff was demolishing the walls of a warehouse building. In front of the brick wall that plaintiff was demolishing were two metal plumbing pipes, approximately 8 to 10 feet in height stretching vertically from the floor on which plaintiff was standing. Two workers, using hammers and crowbars, demolished an adjacent wall about four feet away from plaintiff, causing that wall to collapse into the pipes. The pipes toppled onto plaintiff causing injury.

On this record, plaintiff has not demonstrated his entitlement to summary judgment because he failed to articulate either an elevation-related risk or an enumerated safety device that would have prevented his injuries. To the contrary, in my view, defendants are entitled to summary judgment since the uncontested facts establish that plaintiff's injuries were not the result of a hazard contemplated by section 240 (1).

In *Misseritti*, we ruled that the injuries sustained, caused by the collapse of a completed fire wall, were not the result of an elevation-related accident subject to the protections of section 240 (1), because the plaintiff failed to demonstrate that "the decedent was working at an elevated level at the time of his tragic accident" and it could not "be said that the collapse of a completed fire wall is the type of elevation-related accident that section 240 (1) is intended to guard against" (86 NY2d at 491).

Likewise, in *Melo v Consolidated Edison Co. of N.Y.* (92 NY2d 909 [1998]), the plaintiff and a coworker were attempting to cover a trench with a heavy steel plate, which was attached, by a chain with a hook, to the shovel of a backhoe. As the plate was being moved to the trench, its edge was resting on the ground or slightly above it. When the hook unfastened and the plate fell over, the plaintiff sustained injuries. We upheld the dismissal of the plaintiff's section 240 (1) claim, explaining that the statute was not implicated because "[t]he steel plate was not elevated above the work site" (*id.* at 911).

These principles were reinforced in *Capparelli v Zausmer Frisch Assoc., Inc.*, decided at the same time as *Narducci*, wherein the plaintiff cut his right hand and wrist when he attempted to stop a falling light fixture from hitting him while stationed halfway up a ladder. There, we concluded that the plaintiff's claim did not fall within the ambit of section 240 (1), stating that the statute does not apply when "there [is] no height differential between [the] plaintiff and the falling object" (96 NY2d at 269).

The vertical plumbing pipes in this case are akin to the completed fire wall in *Misseritti* and the steel plate in *Melo*. It is of no moment that the pipes rose at least four feet above the plaintiff's height, since it is undisputed that the base of the pipes were at the same level as plaintiff and his work site.

Nor did plaintiff demonstrate that an enumerated safety device would have prevented the accident from occurring. In his motion for summary judgment, plaintiff merely claimed that defendants failed to provide him with an enumerated safety device to adequately secure the pipes. But that's not enough. To merit summary judgment on the issue of liability under section 240 (1) plaintiffs must show that there was a specific, enumerated safety device that would have prevented the accident. Here, plaintiff offered only conclusory statements, thereby failing to demonstrate an issue of fact warranting trial.

In denying defendants' motion for summary judgment, the majority adds confusion and uncertainty to our decisions in *Misseritti*, *Narducci*, and *Melo* and to the reasonable interpretation given them by the Appellate Divisions (*see e.g. Brink v Yeshiva Univ.*, 259 AD2d 265 [1st Dept 1999]; *Matter of Sabovic v State of New York*, 229 AD2d 586, 587 [2d Dept 1996]; *Corsaro v Mt. Calvary Cemetery*, 214 AD2d 950, 950-951 [4th Dept

1995])).* I see no reason to stray from the overwhelming and settled body of case law that establishes that section 240 (1) does not apply when the base of the falling object is at the same level as the worker and the work being performed. Therefore, I would affirm the Appellate Division order.

Chief Judge LIPPMAN and Judges SMITH and JONES concur with Judge CIPARICK; Judge PIGOTT dissents and votes to affirm in a separate opinion in which Judges GRAFFEO and READ concur.

Order modified, etc.

* The majority cites *Brown v VJB Constr. Corp.* (50 AD3d 373 [1st Dept 2008]) as evidence that the Appellate Division has begun to reject the “same level” rule. That is not the case. The concrete slab in *Brown* fell from a height of three feet (*id.* at 376), and therefore that case does not involve a situation where the base of the object is at the same elevation as plaintiff.

[959 NE2d 504, 935 NYS2d 567]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DEAN
A. GUAY, Appellant.

Argued October 12, 2011; decided November 15, 2011

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 8, 2010. The Appellate Division modified, on the law, a judgment of the Supreme Court, Clinton County (Timothy J. Lawliss, J.), which had convicted defendant, upon a jury verdict, of rape in the first degree, sexual abuse in the first degree, and endangering the welfare of a child, and imposing sentence. The modification consisted of vacating the sentences imposed and remitting the matter for resentencing. The Appellate Division affirmed the judgment as modified.

People v Guay, 72 AD3d 1201, affirmed.

HEADNOTES

Crimes — Jurors — Challenge to Jury — Hearing Impaired Juror

1. In a prosecution in which defendant was accused of committing sex crimes against his then seven-year-old daughter, the trial court did not abuse its discretion when it dismissed a hearing-impaired prospective juror for cause because the record supported the determination that the prospective juror's hearing impairment would have unduly interfered with his ability to be a trial juror. It was readily apparent to the court and the parties that the panelist had trouble hearing the precise questions posed, and despite his remark that he would not have difficulty if he remained in the front of the jury box, the court observed the venire member during voir dire and apparently noticed that the prospective juror's body language demonstrated that he was not comprehending everything that was happening. In addition, the court expressed its concern that the hearing impairment was likely to be more problematic here because, in its experience, child witnesses tended to be more soft-spoken than adults. Defense counsel did not contest any of those conclusions. Moreover, it was significant that, aside from the panelist's own suggestion that he remain in the front row, the court was not asked to offer any other reasonable accommodation that may have adequately assuaged the concerns about the prospective juror's ability to understand the proceedings and fulfill the functions of a trial juror. While in the absence of some suggestion for reasonably addressing the concerns about the prospective juror the trial court could not be faulted for failing to order an accommodation sua sponte, a better course would have been for the court to take steps on its own accord to inquire about the prospective juror's auditory limitations and discuss possible accommodation.

Crimes — Fair Trial — Bolstering Victim's Testimony — Harmless Error

2. In a prosecution in which defendant was accused of committing sex crimes against his then seven-year-old daughter, the defendant was not deprived of a

fair trial where a police investigator and a caseworker opined that the victim was credible. Although that type of testimony was improper, the trial court sustained an objection before the investigator answered, no curative instruction was requested, and the court subsequently directed the jury to disregard such impermissible testimony. Defense counsel opened the door to the prosecutor asking certain questions about the caseworker's ability to gauge the victim's veracity, but arguably not so wide as to allow the caseworker to state his ultimate conclusion regarding the victim's credibility. Nevertheless, the error was harmless because there was no significant probability that the jury would have acquitted defendant if the caseworker had not provided the opinion testimony.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Jury §§ 200–203, 228; AM JUR 2d, Trial §§ 1179, 1182; AM JUR 2d, Witnesses §§ 711, 976, 978, 979.

CARMODY-WAIT 2d, Jury Selection and Supervision § 191:36; CARMODY-WAIT 2d, Charge and Instruction to Jury §§ 200:36, 200:49; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:117, 207:169, 207:170.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 22.3, 24.4.

NY JUR 2d, Criminal Law: Procedure §§ 2023, 2453, 2457, 2549, 3637, 3640.

ANNOTATION REFERENCE

See ALR Index under Challenges to Jury; Credibility of Witnesses; Jury Trials; Witnesses.

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Query: challenge /4 cause /p hearing /2 impair! & voir /2 dire

POINTS OF COUNSEL

Kindlon Shanks and Associates, Albany (*Terence L. Kindlon* and *Kathy Manley* of counsel), for appellant. I. The convictions should be reversed based on ineffective assistance of counsel. (*People v Baker*, 14 NY3d 266; *People v Benevento*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *People v Caban*, 5 NY3d 143; *People v Dean*, 50 AD3d 1052; *People v Green*, 37 AD3d 615; *People v Fogle*, 10 AD3d 618; *People v Laraby*, 305 AD2d 1121; *People v Fleegle*, 295 AD2d 760; *People v Miller*, 11 AD3d 729.) II. The convictions should be reversed because the trial court removed a possibly hearing impaired prospective juror for cause without

conducting the necessary inquiry. (*People v Guzman*, 76 NY2d 1; *People v Cruz*, 46 AD3d 313; *People v Busreth*, 35 AD3d 965; *People v Santiago*, 277 AD2d 258; *People v Caldwell*, 159 Misc 2d 190; *Tennessee v Lane*, 541 US 509; *People v Cahill*, 2 NY3d 14.) III. The convictions should be reversed because two nonexpert witnesses were allowed to testify as to their expert opinion of the complainant's credibility. (*People v Crowell*, 278 AD2d 832; *People v White*, 184 AD2d 798; *People v Smith*, 127 AD2d 864; *People v Bennett*, 79 NY2d 464; *People v Ciaccio*, 47 NY2d 431; *People v Kozlowski*, 11 NY3d 223; *People v Ballerstein*, 52 AD3d 1192; *People v Eberle*, 265 AD2d 881; *People v Graham*, 251 AD2d 426; *People v Seaman*, 239 AD2d 681.) IV. The convictions should be reversed because of pervasive prosecutorial misconduct. (*People v Riback*, 13 NY3d 416; *People v Ballerstein*, 52 AD3d 1192; *People v Gordon*, 50 AD3d 821; *People v Gorghana*, 13 AD3d 908; *People v Wlasiuk*, 32 AD3d 674; *People v Harte*, 29 AD3d 475; *People v Brown*, 26 AD3d 392; *People v Liverpool*, 35 AD3d 506; *People v Anderson*, 35 AD3d 871; *People v De Vito*, 21 AD3d 696.)

Andrew Wylie, District Attorney, Plattsburgh (Nicholas J. Evanovich and Miriam C. Healy of counsel), for respondent. I. Defendant's complaints regarding the trial court's disposition of the People's for cause challenge to the prospective juror who is hard of hearing are not reviewable by the court. (*People v Guzman*, 76 NY2d 1; *People v Harrison*, 57 NY2d 470; *People v Gonzalez*, 55 NY2d 720; *People v Waters*, 90 NY2d 826; *People v Santos*, 86 NY2d 869; *People v Burke*, 72 NY2d 833; *People v Everson*, 100 NY2d 609.) II. Defense counsel opened the door to the otherwise impermissible opinion testimony. (*People v Laphier*, 302 AD2d 864; *People v Conway*, 297 AD2d 398; *People v Melendez*, 55 NY2d 445; *People v Regina*, 19 NY2d 65; *People v Gonzalez*, 55 NY2d 720; *People v Waters*, 90 NY2d 826; *People v Santos*, 86 NY2d 869; *People v Burke*, 72 NY2d 833; *People v Everson*, 100 NY2d 609; *People v Baker*, 14 NY3d 266.) III. The prosecutor did not engage in misconduct; as such defendant was not denied his right to a fair trial. (*People v Hurley*, 75 NY2d 887; *People v Gill*, 54 AD3d 965; *People v Calabria*, 94 NY2d 519; *People v McCombs*, 18 AD3d 888; *People v Roberts*, 12 AD3d 835; *People v Russell*, 307 AD2d 385; *People v Layton*, 16 AD3d 978; *People v Tarantola*, 178 AD2d 768; *People v Colas*, 206 AD2d 183; *People v Halm*, 81 NY2d 819.) IV. Defendant was afforded meaningful representation by trial counsel. (*People v Benevento*, 91 NY2d 708; *People v Baker*, 14 NY3d 266; *People v Ellis*, 81 NY2d 854; *People v Rivera*, 71 NY2d 705; *People v Satterfield*, 66 NY2d 796; *People v Baldi*, 54 NY2d 137.)

OPINION OF THE COURT

GRAFFEO, J.

The primary issue in this appeal is whether Supreme Court abused its discretion when it dismissed a hearing-impaired prospective juror for cause. We hold that it did not based on the particular facts of this case.

I

Defendant Dean Guay discovered that he was the father of a child (whom we refer to as Jane) when the girl was four years old. He subsequently visited his daughter on alternate weekends and spent time with her in the summers. Defendant also vacationed with Jane and other members of his family at a summer camp in Clinton County.

At some point in August 2005, when Jane was seven years old, defendant picked her up from her mother's house for a scheduled week-long trip to the camp. While there, Jane woke up one night to find defendant crawling into the bed that she was occupying with other children. She went back to sleep but was awoken again when defendant removed her pants. He pulled Jane toward him, touched her chest and genital area, and then inserted his finger and penis into her vagina. Defendant stopped when his one-year-old son, who was also in the bed, woke up.

The next morning, defendant brought Jane and the other children to his mother's house for breakfast and afterwards defendant drove her home. During the trip, defendant did not speak to Jane but, upon arrival, defendant announced that he was not going to see her anymore. Defendant then terminated his relationship with his daughter.¹ Jane told her mother that defendant did not want to visit with her but did not disclose her father's sexual misconduct at that time because she did not comprehend that defendant's actions were wrong.

In May 2007, after attending an educational program at her school relating to sex-related issues, Jane realized that her father had engaged in inappropriate sexual contact with her. She then told a school counselor what had happened to her. The police were notified and Jane was interviewed by State Police Investigator Karen DuFour and Child Protective Services Caseworker Thom Schultz.

1. Defendant wrote a letter to Jane at some point and attempted to see her on one occasion but Jane's mother rebuffed his request to visit with the child.

Defendant was incarcerated when the authorities learned of Jane's accusations. On the day he was released from jail, Investigator DuFour met with him. After *Miranda* warnings were issued to defendant, Schultz engaged defendant in a discussion about his daughter's disclosures. Although defendant initially denied having any improper physical contact with his daughter, he eventually confessed that he crawled into the bed and sexually assaulted Jane, but he did not admit to penetrating her with his penis. Defendant also revealed that he terminated his relationship with Jane after the incident because he was "too embarrassed" or "too ashamed" of what he had done, so "it was easier just not to see her."

Defendant was indicted for first-degree rape, first-degree sexual abuse and endangering the welfare of a child. During jury selection, after groups of venire members were placed in the jury box for individual questioning, the trial court read introductory instructions to these prospective jurors and inquired if anyone had difficulty hearing. When venire member 1405 responded affirmatively, the court repeated the information. The prosecutor later asked whether any of the prospective jurors knew a person who had confessed to a crime that he or she did not commit. Venire member 1405 answered that he did and went on to explain that his son was incarcerated for drug possession. The prosecutor asked, "[d]id he admit to possessing the drugs? Did he make a confession?" Venire member 1405 replied "I don't know, I didn't go to any of the trial. I stayed away." The prosecutor responded, did "[y]ou feel that he was innocent?" and the prospective juror said "No."

Defense counsel apparently realized that venire member 1405 was having trouble comprehending the questions and asked him if he had "any problems hearing as long as we speak up?" He replied "[o]nce in a while you talk awfully low." Defense counsel remarked, "I have to be reminded to speak up. But you could sit on a jury throughout the course of the week? You don't think you would have any hearing problems as long as I speak up?" The prospective juror responded "I'm pretty good right here in the front" row of the jury box.

At the conclusion of this round of voir dire, the People moved to dismiss venire member 1405 for cause. The prosecutor noted that the panelist "had trouble hearing the [c]ourt" and that child victims frequently "have trouble speaking up" when they testify, which raised a concern that venire member 1405 could "miss critical parts of [Jane's] testimony." Defense counsel

opposed the request, arguing that the prospective juror had indicated that he would not have a problem hearing during the trial. Although Supreme Court agreed with defense counsel's characterization of venire member 1405's statements, the judge further explained

"I think he's inaccurate in his answer because he indicated he had difficulty hearing certain things and by his nonverbal reactions to various questions you could tell that he was having difficulty hearing the three of us. I do think that and I think that the People make a valid point that children tend to be more soft spoken witnesses, and adults, all things considered, I think his hearing is a big enough problem []here that it does disqualify him from serving as a juror."

The court therefore granted the People's challenge for cause.

At trial, the People's witnesses included a nurse practitioner who provided medical testimony regarding Jane's gynecological examination. She established that Jane's hymenal ring evidenced a disruption and scar tissue, that it was "not very probable" that the injury occurred naturally and that such a condition was consistent with "some blunt force of penetration" caused by a finger or a penis. Caseworker Schultz testified about defendant's confession. Defendant later claimed that he had lied to Schultz when he acknowledged sexually abusing Jane.

The jury convicted defendant on all counts. He was sentenced to an aggregate prison term of 20 years and 10 years of post-release supervision. The Appellate Division modified by remitting for imposition of new periods of postrelease supervision but otherwise affirmed (72 AD3d 1201 [3d Dept 2010]). A Judge of this Court granted defendant leave to appeal (15 NY3d 750 [2010]) and we now affirm.

II

Defendant contends that the trial court erred because it allegedly failed to engage in an adequate inquiry regarding venire member 1405's ability to serve on the jury and, rather than dismissing him for cause, the court should have accommodated his hearing impairment. According to defendant, the trial court's action violated the Judiciary Law and *People v Guzman* (76 NY2d 1 [1990]). The People submit that the trial court properly questioned the prospective juror and that his dismissal was not an abuse of discretion.

New York has long considered jury service to be a civil right that is a privilege and duty of citizenship protected by the State Constitution (*see e.g. People v Hecker*, 15 NY3d 625, 649 [2010], *cert denied* 563 US —, 131 S Ct 2117 [2011]; *People v Kern*, 75 NY2d 638, 651 [1990], *cert denied* 498 US 824 [1990]). A person's ability to serve as a juror, however, must be balanced against the accused's fundamental constitutional rights and the State's obligation to provide a fair trial. Among other requirements specified in Judiciary Law § 510, "[i]n order to qualify as a juror a person must . . . [b]e able to understand and communicate in the English language" (Judiciary Law § 510 [4]).²

When confronted with such a situation involving a prospective juror's hearing impairment, a court must determine whether the individual has the ability to "understand all of the evidence presented, evaluate that evidence in a rational manner, communicate effectively with the other jurors during deliberations, and comprehend the applicable legal principles, as instructed by the court" (*People v Guzman*, 76 NY2d at 5). If a judge is made aware of a reasonable accommodation that would allow a hearing-impaired prospective juror to fulfill these duties without interfering with the defendant's trial rights, such measures should be taken (*see id.*). In furtherance of the need to accommodate such prospective jurors, we recognized in *Guzman* that a hearing impairment does not per se preclude an individual from serving as a juror (*see id.*).

Guzman also acknowledged that trial courts have discretion to determine whether an auditory problem will unduly interfere with an individual's ability to fulfill the important functions that trial jurors perform. This determination, "[a]s with most juror qualification questions," must "be left largely to the discretion of the trial court, which can question and observe the prospective juror . . . during the voir dire" (*id.*).³ Although the Appellate Division possesses the power to exercise its own discretion and substitute its judgment for that of the trial court, this Court lacks that authority. And when the Appellate

2. In the past, a prospective juror could be dismissed for cause on the basis of "a mental or physical condition, or combination thereof, which causes the person to be incapable of performing in a reasonable manner the duties of a juror" (Judiciary Law § 510 [former (3)]). This provision was repealed in 1995 and replaced with current subdivision (4) (*see* L 1995, ch 86).

3. We ultimately held in *Guzman* that it was not an abuse of discretion to allow a hearing-impaired juror to serve with the assistance of an interpreter who communicated using "signed English," which transmitted the speaker's words literally without any translation (*see* 76 NY2d at 7).

Division adopts a trial court's factual findings and the application of those facts to the applicable legal principles, as occurred here, that determination presents a mixed question of law and fact that we cannot overturn unless there is no record support for the trial court's conclusion.

[1] In this case, we hold that Supreme Court did not abuse its discretion by granting the cause challenge to venire member 1405 because the record supported the determination that his hearing impairment would have unduly interfered with his ability to be a trial juror. It was readily apparent to the court and the parties that this panelist had trouble hearing the precise questions posed. After he asked the court to repeat its preliminary instructions, he incorrectly responded to an inquiry asking whether he knew a person who had falsely confessed to a crime. Despite his remark that he would not have difficulty if he remained in the front of the jury box, Supreme Court observed venire member 1405 during voir dire and apparently noticed that the prospective juror's body language demonstrated that he was not comprehending everything that was happening. In addition, the court expressed its concern that the hearing impairment was likely to be more problematic in this case because, in its experience, child witnesses tended to be more soft-spoken than adults. Defense counsel did not contest any of these conclusions.

It is also significant that, aside from the panelist's own suggestion that he remain in the front row, the court was not asked to offer any other reasonable accommodation that may have adequately assuaged the concerns about the prospective juror's ability to understand the proceedings and fulfill the functions of a trial juror. The record also does not reveal whether any type of audio equipment for the hearing impaired was available in the courthouse or whether venire member 1405 would have been willing to use such a device. Therefore, this case is not akin to *Guzman*, where the prospective juror confirmed that a sign language interpreter would allow him to follow the proceedings verbatim. In the absence of some suggestion for reasonably addressing the concerns about venire member 1405, we cannot fault the trial court for failing to order an accommodation sua sponte.⁴

4. To the extent defendant claims that the Americans with Disabilities Act (see 42 USC § 12101 *et seq.*) required the trial court to provide a reasonable

(n. cont'd)

We must emphasize, however, that a better course would have been for Supreme Court to take steps on its own accord to inquire about the prospective juror's auditory limitations and discuss possible accommodation. It is imperative that the privilege and duty of jury service be made available to all eligible individuals—regardless of disability—who are capable of performing this civic function. For this reason, a judge should endeavor to make a reasonable and tactful inquiry of any prospective juror who appears to have a hearing impairment and consider offering to provide an assistive amplification device or some other appropriate accommodation available in our court system.

III

[2] Defendant's remaining contentions do not require reversal. He argues that he was deprived of a fair trial because Investigator DuFour and Caseworker Schultz opined that the victim was credible. Although this type of testimony was improper (*see e.g. People v Kozlowski*, 11 NY3d 223, 240 [2008], *cert denied* 556 US —, 129 S Ct 2775 [2009]; *People v Ciaccio*, 47 NY2d 431, 439 [1979]), the trial court sustained an objection before DuFour answered, no curative instruction was requested and the court subsequently directed the jury to disregard such impermissible testimony—an instruction that we assume was followed (*see People v Baker*, 14 NY3d 266, 274 [2010]). As for Schultz, defense counsel opened the door to the prosecutor asking certain questions about the caseworker's ability to gauge the victim's veracity, but arguably not so wide as to allow Schultz to state his ultimate conclusion regarding Jane's credibility. Nevertheless, the error was harmless because there is no significant probability that the jury would have acquitted defendant if Schultz had not provided the opinion testimony (*see e.g. People v Diaz*, 15 NY3d 40, 49 [2010]; *People v Crimmins*, 36 NY2d 230, 240-241 [1975]). For this reason, we also reject defendant's preserved challenges to remarks by the prosecutor that strayed beyond the bounds of permissible rhetoric and advocacy. Finally, on this record, defendant failed to establish that he was denied meaningful representation (*see generally People v Hobot*, 84 NY2d 1021, 1022 [1995]).

Accordingly, the order of the Appellate Division should be affirmed.

accommodation to venire member 1405, that contention is not preserved for review.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH,
PIGOTT and JONES concur.

Order affirmed.

[958 NE2d 894, 934 NYS2d 765]

CPS OPERATING COMPANY LLC, Appellant, v PATHMARK STORES, INC., Respondent.

Argued October 11, 2011; decided November 15, 2011

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered June 1, 2010. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, New York County (Herman Cahn, J.; op 2009 NY Slip Op 30433[U] [2009]), as had denied defendant's motion for summary judgment dismissing the complaint, (2) granted the motion, and (3) dismissed the complaint. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of the Supreme Court, properly made?"

CPS Operating Co. LLC v Pathmark Stores, Inc., 76 AD3d 1, affirmed.

HEADNOTE**Contracts — Breach or Performance of Contract — Lease Assignment Contract — Allocation of Risk**

Under the terms of a 2007 lease assignment contract whereby plaintiff residential developer agreed to purchase defendant tenant's leasehold interest in certain real property, the risk that the City of New York might not approve the assignment under a preexisting Land Distribution Agreement (LDA), which prohibited assignment of the lease before January 2009 without the City's consent, did not entitle plaintiff to terminate the contract. In the contract, the LDA was listed as one of the "Permitted Exceptions" that were excluded from defendant's representation and warranty that it was not "prohibited from consummating" the contract. Thus, the risk that defendant might be "prohibited from consummating" the assignment agreement by the LDA, however great or small, was a risk that plaintiff expressly agreed to take. Furthermore the allocation of risk in the contract did not violate public policy. No public policy prohibited plaintiff from agreeing, as it did, that, if the City thwarted the transaction, defendant could still retain plaintiff's deposit, and plaintiff would be in breach for failure to close.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Contracts §§ 664, 665; AM JUR 2d, Landlord and Tenant §§ 945, 949.

NY JUR 2d, Landlord and Tenant §§ 796, 826.

ANNOTATION REFERENCE

See ALR Index under Assignments; Contracts; Landlord and Tenant; Risk of Loss and Injury.

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Database: NY-ORCS

Query: lease /4 assign! /s risk

POINTS OF COUNSEL

Morrison Cohen LLP, New York City (*Y. David Scharf, David A. Piedra* and *Jerome Tarnoff* of counsel), for appellant. I. Because performance of the assignment contract would violate public policy, the contract is void. (328 *Owners Corp. v 330 W. 86 Oaks Corp.*, 8 NY3d 372; *City of Peekskill v Schurr*, 14 AD3d 643; *Pike Realty Co., LLC v Cardinale*, 21 Misc 3d 1139[A], 2008 NY Slip Op 52422[U]; *NYCTL 1998-1 Trust v Mayfield*, 17 Misc 3d 268; *Shields v Gross*, 58 NY2d 338; *Barnes v Oceanus Nav. Corp., Ltd.*, 21 AD3d 975; *City of New York v 17 Vista Assoc.*, 84 NY2d 299; *Szerdahelyi v Harris*, 67 NY2d 42; *Soto v State Farm Ins. Co.*, 83 NY2d 718; *Kalisch-Jarcho, Inc. v City of New York*, 58 NY2d 377.) II. Even if the assignment contract was not void as against public policy, the assignment contract nevertheless required Pathmark Stores, Inc. to obtain New York City Department of Housing Preservation and Development consent. (*Matter of Progressive Northeastern Ins. Co. [Heath]*, 41 AD3d 1321; *Santamaria v 1125 Park Ave. Corp.*, 238 AD2d 259; *Matter of New York City Asbestos Litig.*, 41 AD3d 299; *Matter of Lipper Holdings v Trident Holdings*, 1 AD3d 170; 328 *Owners Corp. v 330 W. 86 Oaks Corp.*, 8 NY3d 372; *DiPietro v County of Westchester*, 237 AD2d 325; *City of Peekskill v Schurr*, 14 AD3d 643; *Matter of Bombay Realty Corp. v Magna Carta*, 100 NY2d 124; *150 Broadway N.Y. Assoc., L.P. v Bodner*, 14 AD3d 1; *BP A.C. Corp. v One Beacon Ins. Group*, 8 NY3d 708.) III. Pathmark Stores, Inc.'s transfer without New York City Department of Housing Preservation and Development's consent would materially breach the supermarket lease and violate section 8 (f) of the assignment contract. (328 *Owners Corp. v 330 W. 86 Oaks Corp.*, 8 NY3d 372; *DiPietro v County of Westchester*, 237 AD2d 325.) IV. Pathmark Stores, Inc. could not deliver insurable title absent an estoppel certificate from the landlord that it refused to provide. (*Gargano v Rubin*, 200 AD2d 554; *Kopp v Barnes*, 10 AD2d 532; *Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106; *Hudson-Port Ewen Assoc. v Chien Kuo*, 165 AD2d 301, 78 NY2d 944; *Boecher v Borth*, 51 AD2d 598; *Van Vliet & Place, Inc. v Gaines*, 249 NY 106; *McAndrew v Lanphear*, 280 App Div 6; *Nowak v Rametta*, 43 AD3d 1120.)

Pillsbury Winthrop Shaw Pittman LLP, New York City (*E. Leo Milonas, Frederick A. Brodie and Anne C. Lefever* of counsel), for respondent. I. The assignment contract was not void. (*Charlebois v Weller Assoc.*, 72 NY2d 587; 328 *Owners Corp. v 330 W. 86 Oaks Corp.*, 8 NY3d 372; *Neponsit Prop. Owners' Assn. v Emigrant Indus. Sav. Bank*, 278 NY 248; *Lloyd Capital Corp. v Pat Henchar, Inc.*, 80 NY2d 124; *Flegenheimer v Brogan*, 259 App Div 347, 284 NY 268; *Szerdahelyi v Harris*, 67 NY2d 42; *Barnes v Oceanus Nav. Corp., Ltd.*, 21 AD3d 975; *Soto v State Farm Ins. Co.*, 83 NY2d 718; *Shields v Gross*, 58 NY2d 338; *Kalisch-Jarcho, Inc. v City of New York*, 58 NY2d 377; *Public Serv. Mut. Ins. Co. v Goldfarb*, 53 NY2d 392.) II. The Appellate Division correctly held that Pathmark Stores, Inc. was not required to obtain New York City Department of Housing Preservation and Development approval as a condition of closing. (*Suffolk Bus. Ctr. v Applied Digital Data Sys.*, 78 NY2d 383; *Stirn v 293 Ave. B Corp.*, 224 App Div 458; *Dunn v Arniotes*, 15 Misc 3d 1144[A], 2007 NY Slip Op 51141[U]; *O.W. Siebert Co. v Kramer*, 107 Misc 2d 520; *Rozen v 7 Calf Cr., LLC*, 52 AD3d 590; *Utah v Dickinson*, 275 App Div 120, 300 NY 610; 325 *Schermerhorn, LLC v Nevins Realty Corp.*, 23 Misc 3d 1109[A], 2009 NY Slip Op 50686[U], 76 AD3d 625; *Dukas v Tolmach*, 2 AD2d 57; *Riverside S. Planning Corp. v CRP/Extell Riverside, L.P.*, 13 NY3d 398; *McCluskey v Cromwell*, 11 NY 593.) III. The Appellate Division correctly found that the landlord's letter did not cause a breach of the assignment contract. (*King Party Ctr. of Pitkin Ave. v Minco Realty*, 286 AD2d 373; *Cohn v White Oak Coop. Hous. Corp.*, 243 AD2d 440.) IV. Pathmark Stores, Inc. was not required to obtain an estoppel from the landlord in order to convey insurable title. (*Laba v Carey*, 29 NY2d 302; *Hudson-Port Ewen Assoc. v Chien Kuo*, 165 AD2d 301, 78 NY2d 944.)

OPINION OF THE COURT

SMITH, J.

We interpret a contract to assign a lease of real property, and hold that the risk that the City of New York might not permit the assignment was one that the buyer agreed to take. That risk did not give the buyer an excuse for terminating the contract.

I

The property in question is on the Lower East Side of Manhattan, and was sold by the City for \$475,000 in 1981 to

the sponsor of an urban renewal project. The agreement between the City and the sponsor, called a Land Distribution Agreement (LDA), contained provisions designed to assure that, for at least 25 years, the land would be used for a Pathmark supermarket. The provision relevant to this case says:

“The Sponsor represents and agrees that the Disposition Area shall be developed as a supermarket shopping center which Sponsor shall lease for a twenty-five year term to Supermarket General Corporation for operation of a Pathmark Supermarket. The City consents and approves such lease disposition of the Disposition Area, (the ‘Pathmark Lease’), provided that until a period of twenty-five (25) years has elapsed following the completion of the improvements comprising the Project, the Sponsor may lease to a Lessee other than Supermarket General Corporation or may permit the sublease of the Pathmark Lease only upon obtaining the prior written approval of [the City] which shall not be unreasonably withheld or delayed.”

The parties do not dispute that the “completion of the improvements” occurred in January 1984, so that the restriction would expire in January 2009.

As the LDA contemplated, the project sponsor leased the property to Supermarket General Corporation, now known as Pathmark Stores, Inc., defendant in the present case. The sponsor later transferred the property to Pathmark’s present landlord.

By the early twenty-first century, the value of Lower East Side real estate had increased enormously, and Extell Development, Inc., plaintiff’s parent, became interested in developing the property for residential use. After negotiations with both the landlord and Pathmark, plaintiff agreed in 2007 to acquire Pathmark’s leasehold interest for \$87 million. Plaintiff and Pathmark entered into a Leasehold Assignment Contract on August 14, 2007, and plaintiff made a deposit of \$5 million, later increased to \$6 million in exchange for an extension of the closing date. But after the agreement was signed, the real estate market fell, and plaintiff, finding the deal no longer attractive, terminated the agreement on the eve of closing.

Plaintiff does not dispute that it terminated for economic reasons, but it claims that it was entitled to do so because Pathmark had breached the agreement. Pathmark, denying that it was in breach, kept plaintiff’s \$6 million deposit, and plaintiff

brought this lawsuit to recover it. Pathmark counterclaimed for a declaratory judgment and damages.

Supreme Court denied both parties' motions for summary judgment (2009 NY Slip Op 30433[U] [2009]). Pathmark appealed, and the Appellate Division, with one Justice dissenting, reversed and granted summary judgment dismissing the complaint (*CPS Operating Co. LLC v Pathmark Stores, Inc.*, 76 AD3d 1 [1st Dept 2010]). The Appellate Division granted leave to appeal to this Court on a certified question (2010 NY Slip Op 77953[U] [2010]), and we now affirm.

II

The case turns on whether Pathmark breached the Leasehold Assignment Contract, thus giving plaintiff a right to terminate it. Plaintiff relies primarily on the following provision of the contract: "Seller [Pathmark] hereby represents and warrants to Buyer [plaintiff], as of the date hereof that: (a) Seller is not prohibited from consummating the transactions contemplated in this Contract, by any . . . agreement, instrument or restriction to which Seller is a party or is bound (other than . . . any . . . Permitted Exceptions)"

Plaintiff says that Pathmark was "prohibited from consummating" the lease assignment transaction because, under the 1981 LDA, the lease could not be assigned before January 2009 without the City's consent. There may be a number of flaws in this argument—among them the fact that Pathmark was not a party to the LDA—but one fatal flaw is enough to dispose of the case: The LDA was one of the "Permitted Exceptions" that were excluded from Pathmark's representation and warranty. Included in the contract's list of "Permitted Exceptions" was: "Terms, Covenants, Conditions, Provisions and Reverter set forth in the Land Disposition Agreement dated as of 6/3/81"

Thus, the risk that Pathmark might be "prohibited from consummating" the assignment agreement by the LDA was a risk that plaintiff expressly agreed to take. Perhaps the use of the words "Permitted Exceptions" to describe this risk-shifting is unusual; it may well be correct, as the dissenting Justice in the Appellate Division said, that "[p]ermitted exceptions" are generally understood as encumbrances listed in a real property contract that need not be removed by the seller" (76 AD3d at 13). But the words were obviously used in a broader sense here—the "Permitted Exceptions" are expressly excluded from Pathmark's representation and warranty that it was free to

close the deal. The risk that an objection from the City would prevent the closing, or require rescission, may have been thought a small one: we see no obvious reason why the City would not have consented to an assignment for residential development, particularly when the restriction, assuming it to be binding, had only a year and a half to run anyway. But however great or small the risk, plaintiff took it.

Contrary to the suggestion made by plaintiff and the Appellate Division dissent, this allocation of risk did not violate public policy. We may assume for present purposes that, at least until January 2009, there could be no transfer and no residential development without City approval. No public policy prohibited plaintiff from agreeing, as it did, but this was plaintiff's problem and not Pathmark's—that, if the City thwarted the transaction, Pathmark could still retain plaintiff's deposit, and plaintiff would be in breach for failure to close.

Plaintiff's remaining argument is without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs. The certified question should be answered in the affirmative.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order affirmed, etc.

[958 NE2d 899, 934 NYS2d 770]

In the Matter of the Arbitration between JOHNSON CITY PROFESSIONAL FIREFIGHTERS LOCAL 921 et al., Respondents, and VILLAGE OF JOHNSON CITY, Appellant. (Proceeding No. 1.)

In the Matter of the Arbitration between VILLAGE OF JOHNSON CITY, Appellant, and JOHNSON CITY FIREFIGHTERS ASSOCIATION, LOCAL 921 IAFF, Respondent. (Proceeding No. 2.)

Argued October 12, 2011; decided November 17, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 8, 2010. The Appellate Division (1) affirmed an order of the Supreme Court, Broome County (Ferris D. Lebous, J.), which, in proceeding No. 1, among other things, had granted an application by petitioner Johnson City Professional Firefighters Local 921 pursuant to CPLR 7502 for a preliminary injunction, and, (2) affirmed a subsequent order of the same court, which, in proceeding No. 2, among other things, had denied petitioner Village's application pursuant to CPLR 7503 to stay arbitration between the parties.

Matter of Johnson City Professional Firefighters Local 921 (Village of Johnson City), 72 AD3d 1235, reversed.

HEADNOTE

Arbitration — Matters Arbitrable — No-Layoff Clause in Municipal Collective Bargaining Agreement

In a dispute arising from a Village's abolition of six firefighter positions due to budgetary necessity, the Village and the firefighters' union were not required to arbitrate the meaning of a "no-layoff" clause in their collective bargaining agreement since the terminations did not fall within the no-layoff clause and, therefore, were not arbitrable under the parties' contract. A purported job security provision is valid and enforceable only if it is "explicit," the agreement extends for a "reasonable period of time," and it is not negotiated in a period of a legislatively declared financial emergency between parties of unequal bargaining power. The language here stated that the "Village shall not lay-off any member of the bargaining unit during the term of this contract," but this language, in and of itself, did not explicitly prohibit the municipality from abolishing firefighter positions out of budgetary necessity. The term "layoff" was undefined in the parties' agreement and is open to different and reasonable interpretations. Moreover, the clause did not comprehensively prohibit the municipality from abolishing firefighter positions, and, given its narrow and limited language, it could not be construed as such. Accordingly, because the clause was not explicit, unambiguous and comprehensive, there was nothing for the union to grieve or for an arbitrator to decide.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Labor and Labor Relations §§ 2387, 2477, 2504.
NY JUR 2d, Employment Relations §§ 623, 644, 675.

ANNOTATION REFERENCE

See ALR Index under Arbitration and Award; Collective Bargaining; Layoffs; Public Officers and Employees.

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POINTS OF COUNSEL

Coughlin & Gerhart, L.L.P., Binghamton (*Paul J. Sweeney, Anna Dmitriev and Katelyn R. Dumont* of counsel), for appellant. I. The Third Department erred by creating a novel and incorrect legal standard when it held that a job security clause was “not too ambiguous” to be enforced, thereby ignoring the stricter legal standard previously articulated by this Court. (*Yonkers School Crossing Guard Union of Westchester Ch., CSEA v City of Yonkers*, 39 NY2d 964; *Matter of Board of Educ. of Yonkers City School Dist. v Yonkers Fedn. of Teachers*, 40 NY2d 268; *Matter of Burke v Bowen*, 40 NY2d 264; *Matter of Susquehanna Val. Cent. School Dist. at Conklin [Susquehanna Val. Teachers’ Assn.]*, 37 NY2d 614; *Wolkstein v Beth Israel Med. Ctr.*, 103 Misc 2d 1095; *Fishgold v Sullivan Drydock & Repair Corp.*, 328 US 275; *CBS Inc. v International Photographers of the Motion Picture Indus., Local 644*, 603 F2d 1061; *Greenfield v Philles Records*, 98 NY2d 562; *Pozament Corp. v AES Westover, LLC*, 27 AD3d 1000; *Graev v Graev*, 11 NY3d 262.) II. The Third Department’s “not too ambiguous” standard created an irreconcilable fissure within the judicial departments. (*Board of Educ. of Cent. School Dist. No. 1 of Towns of Niagara, Wheatfield, Lewiston & Cambria v Niagara Wheatfield Teachers Assn.*, 54 AD2d 281; *Board of Educ. of Newfane Cent. School Dist. No. 1 of Towns of Newfane, Lockport, Cambria & Wilson v Newfane Teachers Assn.*, 54 AD2d 1119; *Osoba v City of Beacon*, 57 AD2d 588; *Matter of Board of Coop. Educ. Servs. of Nassau County v Central Council of Teachers*, 59 AD2d 942; *Matter of Meaney v City of New Rochelle*, 58 AD2d 605; *Matter of Westchester Ch. Civ. Serv. Empls. Assn., Local 860 v Village*

of *Pelham*, 71 AD2d 1027.) III. The Third Department violated public policy when it compelled the arbitration of a job security clause which did not contain an “explicit, unambiguous and comprehensive” waiver of the municipality’s right to eliminate positions. (*Sheedy v Pataki*, 236 AD2d 92; *Nauta v City of Poughkeepsie*, 610 F Supp 980; *Matter of Kent v Town of Niskayuna*, 244 AD2d 829; *Matter of Piekielniak v Axelrod*, 92 AD2d 968; *Abbott v City of Poughkeepsie*, 98 Misc 2d 601; *Matter of Board of Educ. of Yonkers City School Dist. v Yonkers Fedn. of Teachers*, 40 NY2d 268; *Matter of County of Chautauqua v Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, County of Chautauqua Unit 6300, Chautauqua County Local 807*, 8 NY3d 513.)

Hinman, Howard & Kattell, LLP, Binghamton (Paul T. Shepard of counsel), for respondents. I. The issue in dispute is subject to arbitration. (*Matter of Board of Educ. of Yonkers City School Dist. v Yonkers Fedn. of Teachers*, 40 NY2d 268; *Matter of County of Chautauqua v Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, County of Chautauqua Unit 6300, Chautauqua County Local 807*, 8 NY3d 513; *Matter of Burke v Bowen*, 40 NY2d 264; *North Syracuse Cent. School Dist. v North Syracuse Educ. Assn.*, 45 NY2d 195; *Piro v Bowen*, 76 AD2d 392; *Matter of City of Utica [Zumpano]*, 91 NY2d 964; *Matter of Board of Educ., W. Babylon Union Free School Dist. v West Babylon Teachers Assn.*, 72 AD2d 766, 52 NY2d 1002; *Yonkers School Crossing Guard Union of Westchester Ch., CSEA v City of Yonkers*, 39 NY2d 964; *Matter of Madison-Oneida Bd. of Coop. Educ. Servs. v Mills*, 4 NY3d 51; *Fishgold v Sullivan Drydock & Repair Corp.*, 328 US 275.) II. The parties agreed to arbitrate the dispute. (*Matter of City of Yonkers [Cassidy]*, 58 AD2d 627, 44 NY2d 784; *New York Inst. of Technology v Council of Metropolitan & Old Westbury Chs., Am. Assn. of Univ. Professors*, 47 AD2d 659; *Sisters of St. John the Baptist, Providence Rest Convent v Geraghty Constructor*, 67 NY2d 997; *Matter of Amalgamated Tr. Union, Local Div. 1321 [Capital Dist. Tr. Sys., No. One, Capital Dist. Transp. Dist.]*, 300 AD2d 809; *Matter of County of Albany [AFSCME, Council 82]*, 114 AD2d 732; *Matter of Capital Dist. Transp. Auth. [Planz]*, 68 AD3d 1499; *Matter of City of Ithaca [Ithaca Paid Fire Fighters Assn., IAFF, Local 737]*, 29 AD3d 1129; *Matter of City of Binghamton v Binghamton Civ. Serv. Forum*, 79 AD2d 729; *Matter of County of Sullivan [Sullivan County Empls. Assn.]*, 235 AD2d 748.)

Nancy E. Hoffman, Albany, and Kara L. Hilburger for Civil Service Employees Association, Inc., Local 1000, AFSCME,

AFL-CIO, amicus curiae. The lower court properly held that the “no-layoff” provision in the collective bargaining agreement is a valid job security provision and is thus arbitrable under the broad arbitration clause under the collective bargaining agreement. (*Matter of Board of Educ. of Yonkers City School Dist. v Yonkers Fedn. of Teachers*, 40 NY2d 268; *Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.]*, 90 NY2d 364; *Matter of City of Long Beach v Civil Serv. Empls. Assn., Inc.—Long Beach Unit*, 8 NY3d 465; *Matter of City of Johnstown [Johnstown Police Benevolent Assn.]*, 99 NY2d 273; *Matter of Port Washington Union Free School Dist. v Port Washington Teachers Assn.*, 45 NY2d 411; *Matter of Burke v Bowen*, 40 NY2d 264; *Yonkers School Crossing Guard Union of Westchester Ch., CSEA v City of Yonkers*, 39 NY2d 964; *Matter of Houghton v Schuler*, 61 AD2d 1104; *County of Broome v Deputy Sheriffs Benevolent Assn. of Broome County*, 57 AD2d 496; *Matter of Susquehanna Val. Cent. School Dist. at Conklin [Susquehanna Val. Teachers’ Assn.]*, 37 NY2d 614.)

Hinman Straub P.C., Albany (John R. Saccocio and John F. Black of counsel), for New York State Professional Fire Fighters Association, I.A.F.F., AFL-CIO, amicus curiae. The Appellate Division’s reasoning in this case is consistent with this Court’s decision in *Matter of County of Chautauqua v Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, County of Chautauqua Unit 6300, Chautauqua County Local 807* (8 NY3d 513 [2007]) and respects the strong public policy of New York State, which favors collective bargaining and arbitration. (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of City of Schenectady v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.]*, 90 NY2d 364; *Matter of New York City Dept. of Sanitation v MacDonald*, 87 NY2d 650; *Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y.*, 1 NY3d 72; *Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1.)

OPINION OF THE COURT

PIGOTT, J.

The issue on appeal is whether the parties are required to arbitrate the meaning of a “no-layoff” clause in their collective

bargaining agreement. Given the particular contract in this case, we conclude that they are not.

I.

On May 22, 2008, the Village of Johnson City and Johnson City Professional Fire Fighters, Local 921 IAFF executed a collective bargaining agreement (CBA) for a term running from June 1, 2006 through May 31, 2011. The CBA contains a no-layoff clause that states, in full: “A. The Village shall not lay-off any member of the bargaining unit during the term of this contract. B. The Village shall not be required to ‘back fill’ hire additional members to meet staffing level of expired agreement.” The parties agreed that disputes concerning the interpretation of this clause, and any other provision of the CBA, should be resolved pursuant to a series of steps, culminating in arbitration before the Public Employment Relations Board if the parties were to reach a stalemate.

On May 12, 2009, the Village voted to abolish various positions within the government, including six firefighter positions, citing budgetary necessity. Pointing to the no-layoff clause, the Union filed a grievance with the Village, which was denied. The Union then served the Village with a notice of its intent to arbitrate. Both parties then sought relief in Supreme Court, the Union pursuant to a CPLR article 75 proceeding to enjoin the Village from terminating the six firefighters pending a determination through arbitration. Simultaneously, the Village brought a proceeding to stay any arbitration.

Supreme Court denied the Village’s application, and granted the Union’s cross application to compel arbitration. The Appellate Division affirmed in both cases, holding that the no-layoff clause was not subject to any prohibition against arbitration and that, given the CBA’s broad grievance and arbitration provision, the issue was arbitrable (72 AD3d 1235, 1237-1238 [3d Dept 2010]). We granted the Village leave to appeal (15 NY3d 710 [2010]) and now reverse.

II.

The Village contends that the termination of the six firefighters does not fall within the no-layoff clause and therefore is not arbitrable under the contract. We agree. Not all job security clauses are valid and enforceable, nor are they “valid and enforceable under all circumstances” (*Matter of Board of Educ. of Yonkers City School Dist. v Yonkers Fedn. of Teachers*, 40 NY2d

268, 275 [1976]). This Court has long held that a purported job security provision does not violate public policy, and therefore is valid and enforceable, only if the provision is “explicit,” the CBA extends for a “reasonable period of time,” and the CBA “was not negotiated in a period of a legislatively declared financial emergency between parties of unequal bargaining power” (*Matter of Burke v Bowen*, 40 NY2d 264, 266, 267 [1976] [upholding as valid and enforceable a “job security” clause that provided for a minimum number of firefighters for the CBA’s term and “that in no event shall the presently agreed upon minimum be readjusted downward”]). A purported “job security” clause that is not explicit in its terms is violative of public policy, rendering it invalid and unenforceable.

In *Yonkers Fedn. of Teachers*, this Court found arbitrable a “job security” clause that stated that “[d]uring the life of this contract no person in this bargaining unit shall be terminated due to budgetary reasons or abolition of programs but only for unsatisfactory job performance and provided for under the Tenure Law,” holding that the “[m]ost important” thing about the clause’s language was that it was “*explicit* in its protection of the [workers] from abolition of their positions *due to budgetary stringencies*” (40 NY2d at 272, 275-276 [emphasis supplied]).

In contrast, in *Yonkers School Crossing Guard Union of Westchester Ch., CSEA v City of Yonkers* (39 NY2d 964, 965 [1976] [*Crossing Guard Union*]), we concluded that the CBA language “Present members may be removed for cause but will not be removed as a result of Post elimination” did not constitute a “job security” clause in the manner of the clauses we examined in *Burke* and *Yonkers Fedn. of Teachers*, holding that the clauses in the latter two cases “were explicit, unambiguous and comprehensive,” while the one in *Crossing Guard Union* was ambiguous.

Contrary to the Union’s contention, the no-layoff clause in this CBA is not arbitrable because it is not explicit, unambiguous and comprehensive. From a public policy standpoint, our requirement that “job security” clauses meet this stringent test derives from the notion that before a municipality bargains away its right to eliminate positions or terminate or lay off workers for budgetary, economic or other reasons, the parties must explicitly agree that the municipality is doing so and the scope of the provision must evidence that intent. Absent compliance with these requirements, a municipality’s budgetary decisions will be routinely challenged by employees, and its ability

to abolish positions or terminate workers will be subject to the whim of arbitrators.

The pertinent portion of the no-layoff clause here states that the “Village shall not lay-off any member of the bargaining unit during the term of this contract” but this language, in and of itself, does not explicitly prohibit the Village from abolishing firefighter positions out of budgetary necessity (*cf. Yonkers Fedn. of Teachers*, 40 NY2d at 275-276). Unlike the clause in *Yonkers Fedn. of Teachers*, the clause here does not explicitly protect the firefighters from the abolition of their positions due to economic and budgetary stringencies. That is not to say that the parties could not have bargained for such a broad clause, only that it is unclear on its face whether they did so at all, which means that the clause is hardly unambiguous (*see Crossing Guard Union*, 39 NY2d at 965).

The term “layoff” is undefined in the CBA, and is open to different and reasonable interpretations. Indeed, the parties’ disagreement over whether the term “layoff” constitutes a permanent or nonpermanent job loss, and whether the Village’s abolition of the firefighter positions constituted a layoff, underscores its ambiguity. Moreover, the clause does not comprehensively prohibit the Village from abolishing firefighter positions, and, given its narrow and limited language, it cannot be construed as such. Had the Union desired that its members be protected from the elimination of firefighter positions, it could have bargained for such protections.

Simply put, because the clause is not explicit, unambiguous and comprehensive, there is nothing for the Union to grieve or for an arbitrator to decide. Having concluded that this dispute is not arbitrable for reasons of public policy, we need not reach the issue of whether the parties agreed to arbitrate.

Accordingly, the order of the Appellate Division should be reversed, with costs, the Village’s application to stay the arbitration should be granted, and the Union’s application to compel arbitration should be denied.

CIPARICK, J. (dissenting). Because I believe public policy does not prohibit the arbitration of the “no-layoff” clause in the collective bargaining agreement (CBA) governing the relationship of the parties in this case, and because the majority opinion departs from this Court’s commitment to the furtherance of arbitration as a preferred means of resolving public sector labor disputes, I respectfully dissent.

Under the Taylor Law, public sector parties are empowered to arbitrate labor relations disputes arising from a CBA (*see* Civil Service Law § 204; *see also* *Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132, 137 [1999] [*Watertown*]). The law embodies the Legislature’s explicit policy of encouraging arbitration “as a means of promoting harmonious relations between governmental employers and their employees, and preventing labor strife endangering uninterrupted governmental operations” (*Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1, 7 [2002] [*Transport Workers*]). Still, not all disputes are arbitrable (*see* *Watertown*, 93 NY2d at 137-139). Under a two-prong test, courts must:

“first ask whether there is any statutory, constitutional or public policy prohibition against arbitration of the grievance. This is the ‘may-they-arbitrate’ prong. If there is no prohibition against arbitrating, we then examine the CBA to determine if the parties have agreed to arbitrate the dispute at issue. This is the ‘did-they-agree-to arbitrate prong’ ” (*Matter of City of Johnstown [Johnstown Police Benevolent Assn.]*, 99 NY2d 273, 278 [2002] [citations omitted]).

“[J]udicial intervention on public policy grounds,” however, “constitutes a narrow exception to the otherwise broad power of parties to agree to arbitrate” (*Transport Workers*, 99 NY2d at 6-7) and restraint is especially appropriate in the context of public employment (*see id.* at 7).

In *Matter of Board of Educ. of Yonkers City School Dist. v Yonkers Fedn. of Teachers* (40 NY2d 268 [1976]), we held that “[a] provision in a [CBA] guaranteeing public employees job security for a reasonable period of time is not prohibited by any statute or controlling decisional law and is not contrary to public policy” (*id.* at 271). We stated that “[a] job security provision insures that, at least for the duration of the agreement, the employee need not fear being put out of a job” (*id.* at 275). We recognized that, indeed, the “absence of [such] fear may be critical to the maintenance and efficiency of public employment, just as the fear of inability to meet its debts may destroy the credit of the municipality” (*id.*). In deciding *Yonkers Fedn. of Teachers* and two related opinions issued with it, *Matter of Burke v Bowen* (40 NY2d 264 [1976]) and *Yonkers School Crossing Guard Union of Westchester Ch., CSEA v City of Yonkers* (39

NY2d 964 [1976] [*Crossing Guard Union*]), we established the principle that an arbitrable job security clause is one that is explicit, unambiguous and comprehensive.

Here, the no-layoff clause in the parties' CBA states in explicit terms that the "Village shall not lay-off any member of the bargaining unit during the term of this contract." Though the majority finds otherwise (*see* majority op at 38), a plain reading of that provision indicates that the Union negotiated to ensure that its constituents need not fear being put out of their firefighting jobs during the life of the CBA. At a time when the term "layoff" pervades the public dialogue, typically signifying the kind of large scale public and private workforce reductions that have characterized recent economic crises, it is reasonable to conclude that the parties employed that term to succinctly but thoroughly address the threat of job insecurity. Regardless, then, of whether "layoff," pertained to a temporary period of unemployment or a permanent job cut—an issue of interpretation, which should be decided by an arbitrator—the no-layoff clause at issue here should be deemed an explicit, unambiguous and comprehensive job security provision.

Furthermore, the provision extended for a reasonable time—approximately three years—and "was not negotiated in a period of a legislatively declared financial emergency between parties of unequal bargaining power" (*Matter of Burke*, 40 NY2d at 267). Despite the majority's suggestion to the contrary (*see* majority op at 38), a job security clause need not specifically reference protection against reductions due to fiscal strain to be enforceable (*see Matter of Burke*, 40 NY2d at 267). Thus, permitting the parties in this case to submit their dispute to arbitration would not violate public policy.

Even assuming, *arguendo*, that the provision at issue is not explicit, unambiguous and comprehensive, as we required over 30 years ago in *Crossing Guard Union* (*see* 39 NY2d at 965), this Court's commitment, through a "policy of noninterference," to "further[ing] . . . the laudable purposes served by permitting consenting parties to submit controversies to arbitration" (*Matter of Sprinzen [Nomberg]*, 46 NY2d 623, 629 [1979]) may warrant a more flexible approach. We have previously recognized that public policy determinations do not lend themselves to the kind of bright-line rule to which the majority adheres. As we said in *Matter of Sprinzen*:

"[c]ontroversies involving questions of public policy

can rarely, if ever, be resolved by the blind application of sedentary legal principles. The very nature of the concept of public policy itself militates against any attempt to define its ingredients in a manner which would allow one to become complacent in the thought that those precepts which society so steadfastly embraces today will continue to serve as the foundation upon which society will function tomorrow. Public policy, like society, is continually evolving and those entrusted with its implementation must respond to its everchanging demands” (*id.* at 628).

Those demands require us now to assess the reasonableness of a bargained-for job security provision not in a vacuum but with an eye toward the social and economic realities in which the parties who are subject to the CBA live and operate. To be sure, municipalities, just like individuals, are straining under budgetary shortfalls to do more with less. But “[a] job security clause is useless if the public employer is free to disregard it when it is first needed” (*Yonkers Fedn. of Teachers*, 40 NY2d at 275). That a seemingly straightforward provision like the one at issue here can be so rendered threatens to undermine confidence in the collective bargaining process. This result, I believe, is contrary to the spirit and purpose of the Taylor Law (*see* Civil Service Law § 200) and, therefore, violates public policy.

Having determined that there is no prohibition against arbitration of the no-layoff clause, I turn to the second question of whether the parties agreed to arbitrate the instant dispute. The plain language of the CBA provides that either party may take a dispute “involving the interpretation or application of any provisions of [the CBA]” to arbitration before the Public Employment Relations Board. As the Union’s grievance involves the interpretation and application of the no-layoff clause in the CBA, the Appellate Division correctly concluded that the parties reserved such matters for an arbitrator (*see* 72 AD3d 1235, 1238 [2010]). Thus, I would affirm the order of the Appellate Division.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Judge CIPARICK dissents and votes to affirm in a separate opinion in which Chief Judge LIPPMAN and Judge JONES concur.

Order reversed, etc.

[958 NE2d 1194, 935 NYS2d 279]

In the Matter of SCHENECTADY COUNTY SOCIETY FOR THE PREVENTION OF CRUELTY TO ANIMALS, INC., Respondent, v RICHARD P. MILLS, as Commissioner of Education of the State of New York, Appellant.

Argued September 13, 2011; decided October 25, 2011

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 3, 2010. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, a judgment (denominated decision and order) of Supreme Court, Albany County (Eugene P. Devine, J.), entered in a proceeding pursuant to CPLR article 78, which had dismissed the petition to review respondent's determination partially denying petitioners' Freedom of Information Law request for the names and street addresses of all licensed veterinarians and veterinary technicians in Schenectady County to the extent that respondent refused to disclose the street address portion of the licensees' addresses, and (2) granted the petition.

Matter of Schenectady County Socy. for the Prevention of Cruelty to Animals, Inc. v Mills, 74 AD3d 1417, affirmed.

HEADNOTE

Records — Freedom of Information Law — Redaction of Residential Addresses of Professionals Licensed by Education Department

In responding to petitioners' Freedom of Information Law (FOIL) request for the names and business addresses of veterinarians licensed by the Education Department in Schenectady County, the Department was required to either produce the existing record of names and addresses in full or remove the home addresses of licensees, which was information that the Department did not wish to produce and that petitioners did not request. An agency responding to a FOIL demand may not withhold a record solely because some of the information in that record may be exempt from disclosure. Where it can do so without unreasonable difficulty, the agency must redact the record to take out the exempt information. Here, the Department had refused to provide street addresses for any of the licensees because its computer database did not distinguish between residential and business addresses, but it did not claim that it would be hard to find out, by communicating with the licensees, which addresses were residential. Although FOIL generally does not require an agency to create a new record (Public Officers Law § 89 [3] [a]), there is a difference between creating a new record and redacting an existing one.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Freedom of Information Acts §§ 70, 71, 251, 268, 273.
CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:631, 145:632, 145:634, 145:642, 145:644, 145:646.
McKINNEY's, Public Officers Law § 89 (3) (a).
NY JUR 2d, Records and Recording §§ 40–42, 52, 59.

ANNOTATION REFERENCE

What are “records” of agency which must be made available under state freedom of information act. 27 ALR4th 680.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: foil /p redact! /s exempt /3 information

POINTS OF COUNSEL

Eric T. Schneiderman, Attorney General, Albany (Frank K. Walsh, Barbara D. Underwood and Andrew D. Bing of counsel), for appellant. I. The disclosure of the veterinary licensees' home addresses constitutes an unwarranted invasion of personal privacy. (*Matter of Data Tree, LLC v Romaine*, 9 NY3d 454; *Matter of Hanig v State of N.Y. Dept. of Motor Vehs.*, 79 NY2d 106; *Matter of Federation of N.Y. State Rifle & Pistol Clubs v New York City Police Dept.*, 73 NY2d 92; *Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477; *Matter of Edwards v New York State Police*, 44 AD3d 1216; *Matter of Beyah v Goord*, 309 AD2d 1049; *Matter of Dobranski v Houper*, 154 AD2d 736; *Matter of Pasik v State Bd. of Law Examiners*, 114 Misc 2d 397; *Matter of Empire Realty Corp. v New York State Div. of Lottery*, 230 AD2d 270; *Department of Defense v FLRA*, 510 US 487.) II. This Court should remit the proceeding to Supreme Court to resolve the question of fact regarding the nature of the licensees' addresses. (*Matter of Hanig v State of N.Y. Dept. of Motor Vehs.*, 79 NY2d 106; *Matter of Data Tree, LLC v Romaine*, 9 NY3d 454; *Matter of Siegel, Fenchel & Peddy v Central Pine Barrens Joint Planning & Policy Commn.*, 251 AD2d 670, 93 NY2d 804; *Matter of New York State Rifle & Pistol Assn., Inc. v Kelly*, 55 AD3d 222; *Matter of Battaglia v Schuler*, 60 AD2d 759; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395.)

Tully Rinckey, PLLC, Albany (Mathew B. Tully, Greg T. Rinckey, Steven L. Herrick, Constantine F. DeStefano, Scott T. Dillon, Andrew L. McNamara and Michael W. Macomber of counsel), for respondent. I. The present appeal is not purely a question of law and as such, is not within the scope of review of the New York State Court of Appeals under CPLR 5601 (a). (*Simon v Electrospace Corp.*, 28 NY2d 136; *Matter of Kelly*, 285 NY 139; *Suria v Shiffman*, 67 NY2d 87; *Matter of Wilson v McGlinchey*, 2 NY3d 375; *Matter of Jaclyn P.*, 86 NY2d 875; *Matter of Hime Y.*, 54 NY2d 282; *Cohen v Hallmark Cards*, 45 NY2d 493; *Heary Bros. Lightning Protection Co., Inc. v Intertek Testing Servs., N.A., Inc.*, 4 NY3d 615; *Matter of Peter G.*, 6 AD3d 201, 3 NY3d 655; *Matter of Daniel H.*, 15 NY3d 883.) II. Disclosure of the veterinarian and veterinary technicians licensees' registered street addresses does not constitute an unwarranted invasion of personal privacy as the agency did not meet its burden of proof to show that the requested information falls within an exemption to the Freedom of Information Law. (*Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Carnevale v City of Albany*, 68 AD3d 1290; *Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477; *Matter of Edwards v New York State Police*, 44 AD3d 1216; *Matter of Data Tree, LLC v Romaine*, 9 NY3d 454; *Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.*, 62 NY2d 75; *Matter of Westchester Rockland Newspapers v Kimball*, 50 NY2d 575; *Matter of Hanig v State of N.Y. Dept. of Motor Vehs.*, 79 NY2d 106; *Matter of Federation of N.Y. State Rifle & Pistol Clubs v New York City Police Dept.*, 73 NY2d 92.) III. The Appellate Division was correct in holding the agency did not meet its burden of proof and ordering the disclosure of the addresses requested by the Schenectady County Society for the Prevention of Cruelty to Animals, Inc. (*Matter of Data Tree, LLC v Romaine*, 9 NY3d 454; *Matter of Hanig v State of N.Y. Dept. of Motor Vehs.*, 79 NY2d 106.) IV. Disclosure of the requested addresses, even if residential in nature, would comport with the precedent in this state set by state laws and the Appellate Division. (*Matter of Carnevale v City of Albany*, 68 AD3d 1290; *Matter of Buffalo News v Buffalo Mun. Hous. Auth.*, 163 AD2d 830; *Cornell Univ. v City of N.Y. Police Dept.*, 153 AD2d 515, 75 NY2d 707; *Matter of New York Teachers Pension Assn. v Teachers' Retirement Sys. of City of N.Y.*, 71 AD2d 250.)

OPINION OF THE COURT

SMITH, J.

We hold that an agency responding to a demand under the Freedom of Information Law (FOIL) may not withhold a record solely because some of the information in that record may be exempt from disclosure. Where it can do so without unreasonable difficulty, the agency must redact the record to take out the exempt information.

Petitioner sent an e-mail to the Education Department, asking for the names and addresses of veterinarians and veterinary technicians licensed by the Department in Schenectady County. The Department replied that it would provide a list of names, and the city and state portions of the addresses, but would not provide street addresses because “[i]t is not public information for us to provide home addresses for a licensed professional and thats [sic] what we have on file.” Petitioner responded: “What about business address?” and the Department replied: “No[t] everyone has provided us with a business address.”

Petitioner then formally requested the list of names and addresses under FOIL. The Department again offered to provide names and cities, but repeated its refusal to provide street addresses, explaining: “As our computerized files are currently configured, we are unable to distinguish a licensee’s business address from a residential address.” After an unsuccessful administrative appeal, petitioner began this proceeding to require that the list be produced. Petitioner specifically sought only “a photocopy of the requested list with names of licensed professionals and their business addresses.”

Supreme Court dismissed the petition. The Appellate Division reversed, with two Justices dissenting, and granted the petition (*Matter of Schenectady County Socy. for the Prevention of Cruelty to Animals, Inc. v Mills*, 74 AD3d 1417 [3d Dept 2010]). The Department appeals as of right, pursuant to CPLR 5601 (a), and we affirm.

The Department argues that disclosure of licensees’ home addresses “would constitute an unwarranted invasion of personal privacy” and so is not required by FOIL (Public Officers Law § 87 [2] [b]; § 89 [2], [2-a]). But we do not need to address this claim, because petitioner is not seeking home addresses, only business addresses, and the Department makes no claim that the business addresses are private.

It seems obvious to us that, if the Department does not want to supply home addresses, it should simply delete them from

the list. It says that its computer database does not distinguish between home and business addresses, but it does not claim that it would be hard to find out, by communicating with the licensees, which addresses are homes and which are businesses. This should not be a burdensome task, because the number of licensed veterinarians and veterinary technicians in Schenectady County is unlikely to be very large; it was represented at oral argument that the number is 72.

It is true that FOIL generally does not require an agency to create a new record (Public Officers Law § 89 [3] [a] [“Nothing in this article shall be construed to require any entity to prepare any record not possessed or maintained by such entity” with specified exceptions]). But there is a difference between creating a new record and redacting an existing one. Courts deciding FOIL issues often order redaction when a record contains both exempt and nonexempt information (e.g. *Matter of Data Tree, LLC v Romaine*, 9 NY3d 454, 464 [2007] [noting that “even when a document subject to FOIL contains . . . private, protected information, agencies may be required to prepare a redacted version with the exempt material removed” (citing Public Officers Law § 89 [2] [c] [i])]; *Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477, 482-483 [2005]; *Matter of Scott, Sardano & Pomeranz v Records Access Officer of City of Syracuse*, 65 NY2d 294 [1985]). In responding to petitioner’s FOIL request, the Department had the choice of producing the existing record in full or removing the information that it did not want to produce and that petitioner did not demand. It cannot refuse to produce the whole record simply because some of it may be exempt from disclosure.

We are at a loss to understand why this case has been litigated. It seems that an agency sensitive to its FOIL obligations could have furnished petitioner a redacted list with a few hours’ effort, and at negligible cost. Instead, lawyers for both sides have submitted briefs and argued the case in three courts, demanding the attention of 13 judges, generating four judicial opinions and resulting in a delay in disclosure of almost four years. It is our hope that the Department, and other agencies of government, will generally comply with their FOIL obligations in a more efficient way.

Accordingly, the order of the Appellate Division should be affirmed with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ,
PIGOTT and JONES concur.

Order affirmed, with costs.

[959 NE2d 1011, 936 NYS2d 63]

In the Matter of RANDY RAYNOR, Claimant, v LANDMARK CHRYSLER et al., Appellants, et al., Respondent. WORKERS' COMPENSATION BOARD, Respondent.

Argued October 18, 2011; decided November 15, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 1, 2010. The Appellate Division, among other things, affirmed a decision of the Workers' Compensation Board which, in part, had affirmed a decision of a workers' compensation law judge directing the employer's workers' compensation carrier to make a deposit into the Aggregate Trust Fund pursuant to Workers' Compensation Law § 27 (2).

Matter of Collins v Dukes Plumbing & Sewer Serv., Inc., 75 AD3d 697, affirmed.

HEADNOTES**Workers' Compensation — Special Funds — Aggregate Trust Fund — Present Value of Uncapped Non-Schedule Permanent Partial Disability Award to be Deposited Into Fund**

1. In a workers' compensation proceeding that resulted in an uncapped non-schedule permanent partial disability award for claimant, the insurance carrier for claimant's employer was required under Workers' Compensation Law § 27 (2) to deposit a lump-sum amount into the Aggregate Trust Fund (ATF) representing the present value of the award. Section 27 (2), as amended in 2007, mandates that private insurance carriers make a deposit into the ATF of the present value of awards made pursuant to Workers' Compensation Law § 15 (3) (w), and was applicable to claimant's 2008 award. Although section 15 (3) (w) was also amended in 2007 so as to cap the number of weeks that a person is eligible to receive benefits for a non-schedule permanent partial disability, that amendment did not apply to claimant, who was injured in 2004, and his award was not capped. The Legislature specifically chose the date of the accident as the demarcation point between those claimants who qualify for the uncapped award pursuant to the pre-amended Workers' Compensation Law § 15 (3) (w) and the capped award pursuant to the amended statute, and further specifically chose the date of the award, without regard to the date of the injury, as the point where the deposit of a lump-sum payment into the ATF representing the present value of the benefits is required pursuant to Workers' Compensation Law § 27 (2). Accordingly, a private insurance carrier is required to deposit into the ATF the present value of awards that are subject to both the pre- and post-amended section 15 (3) (w).

Workers' Compensation — Special Funds — Aggregate Trust Fund — Present Value of Uncapped Non-Schedule Permanent Partial Disability Award to be Deposited Into Fund

2. Workers' Compensation Law § 27 (2), which, as amended in 2007, mandates that private insurance carriers make a deposit into the Aggregate

Trust Fund (ATF) of the present value of non-schedule permanent partial disability awards made after the effective date of the statute's amendment, is not retroactive. The fact that an award required to be deposited into the ATF under section 27 (2) may relate to an injury that occurred prior to the statute's amendment does not render the statute retroactive. A statute is not retroactive when made to apply to future transactions merely because such transactions relate to and are founded upon antecedent events. Here, the insurance carrier for claimant's employer was required under the amended statute to deposit with the ATF the present value of claimant's 2008 uncapped non-schedule permanent partial disability award arising from a 2004 injury. The amendment neither altered the carrier's preexisting liability nor imposed a wholly unexpected new procedure. It merely changed the time and manner of payments of non-schedule permanent partial disability awards.

Workers' Compensation — Special Funds — Aggregate Trust Fund — Present Value of Uncapped Non-Schedule Permanent Partial Disability Award to be Deposited Into Fund

3. The Workers' Compensation Board did not act arbitrarily and capriciously in mandating that the private insurance carrier for claimant's employer deposit a lump-sum amount into the Aggregate Trust Fund representing the present value of claimant's 2008 uncapped non-schedule permanent partial disability award arising from a 2004 injury notwithstanding the carrier's contention that it was impossible to correctly ascertain the present value of such an award. The deposit of the present value of the future benefit was legislatively mandated by Workers' Compensation Law § 27 (2) and the procedure for the calculation of such an award was governed by Workers' Compensation Law § 27 (5) using specific actuarial tables. Thus, using the actuarial tables, as required by the statute, to calculate the present value of the award was not impermissibly speculative and the Board, in following the Legislature's clear direction, did not act arbitrarily and capriciously in mandating the deposit.

Workers' Compensation — Special Funds — Aggregate Trust Fund — Present Value of Uncapped Non-Schedule Permanent Partial Disability Award to be Deposited Into Fund

4. Workers' Compensation Law § 27 (2), which, as amended in 2007, mandated that the private insurance carrier for claimant's employer deposit a lump-sum amount into the Aggregate Trust Fund representing the present value of claimant's 2008 uncapped non-schedule permanent partial disability award arising from a 2004 injury, did not violate the Takings Clause of the United States Constitution. The Takings Clause prohibits the government from taking private property for public use without providing just compensation (*see* US Const Amend V). The amended statute, as applied, did not violate that clause. The statute neither increased the amount of compensation owed to claimant nor appropriated the carrier's assets for the use of the State.

Workers' Compensation — Special Funds — Aggregate Trust Fund — Present Value of Uncapped Non-Schedule Permanent Partial Disability Award to be Deposited Into Fund

5. Workers' Compensation Law § 27 (2), which, as amended in 2007, mandated that the private insurance carrier for claimant's employer deposit a lump-sum amount into the Aggregate Trust Fund (ATF) representing the present value of claimant's 2008 uncapped non-schedule permanent partial disability award arising from a 2004 injury, did not violate the Contracts Clause of the United States Constitution. The Contracts Clause prohibits states from

enacting “[l]aw[s] impairing the Obligation of Contracts” (US Const, art I, § 10 [1]). Prior to the amendment of the Workers’ Compensation Law § 27 (2) the Board could, at its discretion, require a carrier to deposit the present value of the award into the ATF. The amendment merely makes what was once discretionary, mandatory. There was no impairment of the insurance contract. At most, the carrier’s contract became less profitable—not a substantial impairment.

Workers’ Compensation — Special Funds — Aggregate Trust Fund — Present Value of Uncapped Non-Schedule Permanent Partial Disability Award to be Deposited Into Fund

6. Workers’ Compensation Law § 27 (2), which, as amended in 2007, mandated that the private insurance carrier for claimant’s employer deposit a lump-sum amount into the Aggregate Trust Fund (ATF) representing the present value of claimant’s 2008 uncapped non-schedule permanent partial disability award arising from a 2004 injury, did not violate the carrier’s equal protection rights under the Fourteenth Amendment of the United States Constitution. Although private insurers are treated differently from the State Insurance Fund and self-insurers, there is a rational basis for differential treatment of separate classes of insurers. The basis for requiring a private insurer to deposit the present value of a future award into the ATF is to protect claimants from carrier insolvency. The same goal is achieved by the State Insurance Fund because of its status as a state agency, and self-insurers have a separate regulatory framework to safeguard against insolvency (*see* 12 NYCRR 315.2-315.4).

Workers’ Compensation — Special Funds — Aggregate Trust Fund — Present Value of Uncapped Non-Schedule Permanent Partial Disability Award to be Deposited Into Fund

7. Workers’ Compensation Law § 27 (2), which, as amended in 2007, mandated that the private insurance carrier for claimant’s employer deposit a lump-sum amount into the Aggregate Trust Fund representing the present value of claimant’s 2008 uncapped non-schedule permanent partial disability award arising from a 2004 injury, did not violate the carrier’s substantive due process rights. To establish a claim for violation of substantive due process, a party must establish a cognizable vested property interest and that the governmental action was wholly without legal justification. The statute did not deprive the carrier of property, because it did not increase the amount the carrier owed. Moreover, the carrier failed to make any showing that the statute was without legal justification and not supported by a rational legislative purpose.

Workers’ Compensation — Special Funds — Aggregate Trust Fund — Present Value of Uncapped Non-Schedule Permanent Partial Disability Award to be Deposited Into Fund

8. Workers’ Compensation Law § 27 (2), which, as amended in 2007, mandated that the private insurance carrier for claimant’s employer deposit a lump-sum amount into the Aggregate Trust Fund representing the present value of claimant’s 2008 uncapped non-schedule permanent partial disability award arising from a 2004 injury, did not violate the carrier’s procedural due process rights. The carrier was accorded procedural due process at every step, as it was entitled to contest, first at a hearing before a workers’ compensation law judge, then at an appeal to the Board, and ultimately at the Appellate Division, its liability, the classification of the worker’s injuries and the amount of the award (*see* Workers’ Compensation Law § 23). Moreover, carriers receive

notice and an opportunity to be heard regarding all proposed settlements (*see* Workers' Compensation Law § 32).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Constitutional Law §§ 635, 639, 641, 753–756, 780, 785, 823, 853–859, 942, 953–958, 964, 965, 967, 968, 971; AM JUR 2d, Workers' Compensation §§ 380, 382, 628.

McKINNEY's, Workers' Compensation Law § 15 (3) (w); § 27 (2).

NY JUR 2d, Constitutional Law §§ 305, 324, 339, 352, 395–398, 422, 424, 427; NY JUR 2d, Workers' Compensation §§ 762, 769, 798, 893, 939, 940, 942–945.

US Const, art I, § 10, cl (1); 5th Amend., 14th Amend.

ANNOTATION REFERENCE

See ALR Index under Due Process; Equal Protection; Permanent Disability or Injury; Workers' Compensation.

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Query: worker /2 compensation /4 insur! /p deposit! /s aggregate /2 trust /2 fund

POINTS OF COUNSEL

Hamberger & Weiss, Rochester (*Karen Darling* and *Ronald E. Weiss* of counsel), for appellants. I. The 2007 amendment to Workers' Compensation Law § 27 (2) providing mandatory aggregate trust fund deposits in permanent partial disability claims does not apply retroactively to dates of accident or disablement before March 13, 2007. (*Matter of Mace v Owl Wire & Cable Co.*, 284 AD2d 672; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Jacobus v Colgate*, 217 NY 235; *Landgraf v USI Film Products*, 511 US 244; *Becker v Huss Co.*, 43 NY2d 527; *Matter of Thomas v Bethlehem Steel Corp.*, 95 AD2d 118, 63 NY2d 150; *Matter of Beary v City of Rye*, 44 NY2d 398.) II. The decision directing payment to the Aggregate Trust Fund is improper since future benefits to a partially disabled claimant are speculative. (*Burns v Varriale*, 9 NY3d 207.) III. The Appellate Division's application of amended Workers' Compensation Law § 27 (2) is unconstitutional. (*Matter of Brophy v Prudential Ins. Co. of Am.*, 241 App Div 306; *Connolly*

v Pension Benefit Guaranty Corporation, 475 US 211; *American Mfrs. Mut. Ins. Co. v Sullivan*, 526 US 40; *Alliance of Am. Insurers v Chu*, 77 NY2d 573; *Allied Structural Steel Co. v Spannaus*, 438 US 234; *Matter of Turdo v Dellicato Vineyards*, 73 AD3d 143; *Methodist Hosp. of Brooklyn v State Ins. Fund*, 102 AD2d 367.)

Eric T. Schneiderman, Attorney General, New York City (Steven C. Wu, Barbara D. Underwood and Benjamin N. Gutman of counsel), for Workers' Compensation Board, respondent. I. The Workers' Compensation Board properly ordered appellants to make aggregate trust fund deposits as required by law. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *United States v Gonzales*, 520 US 1; *Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662; *Keene Corp. v United States*, 508 US 200; *Lawrence Constr. Corp. v State of New York*, 293 NY 634; *People v Ryan*, 82 NY2d 497; *Landgraf v USI Film Products*, 511 US 244; *Polone v Commissioner of Internal Revenue*, 505 F3d 966; *Matter of Schmidt v Wolf Contr. Co., Inc.*, 269 App Div 201, 295 NY 748; *Brothers v Florence*, 95 NY2d 290.) II. Amended Workers' Compensation Law § 27 (2) is constitutional. (*Connolly v Pension Benefit Guaranty Corporation*, 475 US 211; *Minneapolis Taxi Owners Coalition, Inc. v City of Minneapolis*, 572 F3d 502; *Church of St. Paul & St. Andrew v Barwick*, 67 NY2d 510; *Alliance of Am. Insurers v Chu*, 77 NY2d 573; *Energy Reserves Group, Inc. v Kansas Power & Light Co.*, 459 US 400; *General Motors Corp. v Romein*, 503 US 181; *CFCU Community Credit Union v Hayward*, 552 F3d 253; *Allied Structural Steel Co. v Spannaus*, 438 US 234; *RUI One Corp. v City of Berkeley*, 371 F3d 1137; *South Term. Corp. v Environmental Protection Agency*, 504 F2d 646.) III. The Workers' Compensation Board's calculation of an award's present value in compliance with the Workers' Compensation Law's express requirements is neither arbitrary nor capricious. (*Matter of Baust v Levitt*, 50 AD2d 627; *Burns v Varriale*, 9 NY3d 207; *Matter of Kelly v State Ins. Fund*, 60 NY2d 131; *Becker v Huss Co.*, 43 NY2d 527.)

OPINION OF THE COURT

CIPARICK, J.

In this dispute between an employee (claimant) and his employer and its workers' compensation insurance carrier (the carrier), we are asked to interpret Workers' Compensation Law § 27 (2) and § 15 (3) (w), amended by the Laws of 2007, as they

relate to an award for a non-schedule permanent partial disability made after the effective date for an injury sustained years earlier. We conclude that the Workers' Compensation Board (the Board) and the Appellate Division properly construed the amended statute by requiring the carrier to deposit a lump-sum amount into the Aggregate Trust Fund (ATF) representing the present value of the award.

I.

On March 13, 2007, a comprehensive reform of the Workers' Compensation Law was enacted as a result of years of negotiations by the Governor's Office, the Legislature, the Board and representatives of business and labor. The bill established reforms to the law, carefully negotiated to provide benefits both to workers, businesses and to the insurance companies through a series of trade-offs including:

“(1) increasing maximum and minimum benefits for injured workers and indexing the maximum to New York's average weekly wage; (2) dramatically reducing costs in the workers' compensation system, making hundreds of millions of dollars available annually to be translated into premium reductions; (3) establishing enhanced measures to combat workers' compensation fraud; (4) replacing the Special Disability Fund with enhanced protections for injured veterans; (5) preventing insurance carriers from transferring costs to New York employers by closing the Special Disability Fund to new claims; and (6) creating a financing mechanism to allow for settlement of the Fund's existing liabilities” (Governor's Program Bill Mem, Bill Jacket, L 2007, ch 6, at 5, reprinted in 2007 NY Legis Ann, at 5).

New York State's Workers' Compensation Law requires that employers pay benefits to replace lost wages for their employees who become injured during “the course of the employment without regard to fault as a cause of the injury” (Workers' Compensation Law § 10 [1]). An employer must secure the compensation for his employees by obtaining coverage from the New York State Insurance Fund, purchasing coverage from an approved private insurance carrier or obtaining approval from the Board to self-insure (*see* Workers' Compensation Law § 50). This appeal requires us to address the amendments to Workers' Compensation Law § 27 (2) and § 15 (3) (w) as they pertain to insurance coverage by private insurance carriers only.

The amendment to Workers' Compensation Law § 27 (2) mandates that private insurance carriers make a deposit into the ATF of the present value of awards made pursuant to Workers' Compensation Law § 15 (3) (w) (*see* L 2007, ch 6, § 46). The ATF was established in 1920 and incorporated into Workers' Compensation Law in 1922.¹ Since 1935, private insurance carriers have been required by Workers' Compensation Law § 27 to deposit the present value into the ATF of the estimated lifetime payout of long-term indemnity awards for total permanent disabilities and for certain "schedule" awards for permanent partial disabilities.² Prior to 2007, the Board, at its discretion, could also order a private insurance company to deposit into the ATF the present value of a non-schedule permanent partial disability indemnity award (*see* former Workers' Compensation Law § 27 [2]). The 2007 amendment to Workers' Compensation Law § 27 (2) added language to the existing statute now making such payments for non-schedule awards mandatory (L 2007, ch 6, § 46).

The Legislature also amended Workers' Compensation Law § 15 (3) (w) in 2007. The amendment, in a concession to insurance carriers, capped the number of weeks that a person is eligible to receive benefits for a non-schedule permanent partial disability (*see* L 2007, ch 6, § 4). Prior to the amendment, a permanently partially disabled worker was able to receive benefits for life (*see* former Workers' Compensation Law § 15 [3] [w]). The amendment to Workers' Compensation Law § 27 (2) took effect 120 days after the enactment or on July 11, 2007 (*see* L 2007, ch 6, § 82 [e]), while the amendment to Workers' Compensation Law § 15 (3) took effect immediately upon the signing of the bill on March 13, 2007 (*see* L 2007, ch 6, § 82 [a]). Accordingly, as of July 11, 2007, benefits awarded for accidents that occurred prior to March 13, 2007 remained uncapped, while benefits awarded for accidents occurring on or after March 13,

1. The purpose of the ATF is to insure and oversee regular payments of benefits of designated types of long-term indemnity awards. The ATF, in accordance with the value of the award as determined by the Board, pays the biweekly installment of compensation benefits to the claimant, thus relieving the carrier's responsibility for paying future indemnity benefits.

2. Workers' Compensation Law § 15 (3) (a)-(v) and (6) mandate the use of a statutory schedule specifically setting forth the amount of compensation for a permanent partial disability resulting from the total loss of an arm, leg, hand, foot, eye, etc. These are referred to as "schedule" awards. Awards for other injuries are classified as "non-schedule."

2007 were now subject to a newly imposed cap pursuant to amended section 15 (3) (w).

With this framework in place, we now turn to the facts of this case. Claimant Randy Raynor injured his lower back while working for Landmark Chrysler on December 14, 2004. On June 25, 2008, over three years after the initial injury, a workers' compensation law judge determined that Raynor was permanently partially disabled and directed Landmark Chrysler's insurance carrier, Erie Insurance Company of New York, to deposit the present value of all unpaid benefits—\$196,865.73—into the ATF. The carrier submitted an application for Board review arguing that mandatory deposits of the present value of future benefits into the ATF as required by amended section 27 (2) should only apply to awards made under the amended section 15 (3) (w) because requiring such a deposit for the uncapped, pre-amended section 15 (3) (w) awards is impermissibly retroactive. The carrier also contended that the calculation of such an award is speculative.

On February 6, 2009, a three Board Member panel, with one dissenting vote, upheld the determination that the present value of the uncapped award was to be deposited into the ATF. The Board held that a plain reading of the amended statutes required such a result and the calculation of the award was not speculative. The dissenter adopted the arguments advanced by the carrier. As of right, pursuant to the one-member dissent, the carrier submitted an application for a full Board review. In addition to the arguments brought before the three-member panel, the carrier additionally raised a number of constitutional arguments to the full Board.

On May 7, 2009, the full Board affirmed the decision of the workers' compensation law judge, holding that the plain unambiguous language of the statute required that the carrier pay the present value of the uncapped award, in a lump sum, into the ATF, and that the statute was not impermissibly retroactive. It further concluded that the Board's computation of the present value of claimant's award was not speculative or arbitrary and capricious. It finally opined that the statute did not violate any of the carrier's constitutional rights. The Appellate Division, in a joint opinion including two other claimants, affirmed the Board's decision (*see Matter of Collins v Dukes Plumbing & Sewer Serv., Inc.*, 75 AD3d 697 [3d Dept 2010]). We granted the carrier leave to appeal (15 NY3d 713 [2010]) and now affirm.

II.

“As the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof” (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). Additionally, “[w]here a statute describes the particular situations in which it is to apply and no qualifying exception is added, an irrefutable inference must be drawn that what is omitted or not included was intended to be omitted or excluded” (*Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662, 665 [1988] [internal quotation marks omitted]).

The carrier urges us to allow pre-March 13, 2007, uncapped benefit awards to be exempt from the section 27 (2) deposit requirement, arguing that because the Legislature amended Workers’ Compensation Law § 27 (2) and § 15 (3) (w) at the same time, the only permissible reading of the two statutes is that the deposit of the present value of future awards into the ATF was only intended to apply to the newly enacted capped awards pursuant to the amended section 15 (3) (w) and that the deposit requirements should be limited to workers injured after the effective date of the amendment. The carrier contends that any other interpretation is inherently unfair and burdens private insurance carriers with unanticipated expenses.

The amended Workers’ Compensation Law § 15 (3) (w), providing for capped permanent partial disability awards, clearly “appl[ies] to accidents and dates of disablement which occur on and after” the enactment date of the bill, March 13, 2007 (L 2007, ch 6, § 82 [a] [emphasis added]). Here, the claimant’s injury occurred on December 14, 2004, before the enactment of the 2007 amendments, and thus the award was uncapped.

The added provision to the amended Workers’ Compensation Law § 27 (2) provides, “if any such award made on or after July first, two thousand seven requires payment for permanent partial disability under paragraph w of subdivision three of section fifteen . . . the board shall immediately compute the present value thereof and require payment of such amount into the [ATF].”

Thus, the Legislature specifically chose the date of the accident as the demarcation point between those claimants who qualify for the uncapped award pursuant to the pre-amended Workers’ Compensation Law § 15 (3) (w) and the capped award

pursuant to the amended statute and further specifically chose the date of the award, without regard to the date of the injury, as the point where the deposit of a lump-sum payment into the ATF representing the present value of the benefits is required pursuant to Workers' Compensation Law § 27 (2).

[1] Moreover, since no qualifying exceptions were added, we are disinclined to read any into the statute as the carrier would have us do. Additionally, the use of the expansive word “any” in Workers' Compensation Law § 27 (2) indicates that it was intended to apply to both pre-amendment uncapped awards as well as post-amendment capped awards pursuant to Workers' Compensation Law § 15 (3) (w) (*see State of New York v Philip Morris Inc.*, 8 NY3d 574, 580 [2007]). The legislation does not include the limitation as argued by the carrier. Accordingly, a plain reading of the statute confirms that a private insurance carrier is required to deposit into the ATF the present value of awards that are subject to both the pre-amended and post-amended section 15 (3) (w).

[2] The carrier further claims that the Board and the Appellate Division are improperly applying the statute retroactively. The statute, however, only governs non-schedule permanent partial disability awards made after its passage. The fact that the award may relate to an injury that occurred prior to the enactment of the statute does not render it retroactive. “ ‘A statute is not retroactive . . . when made to apply to future transactions merely because such transactions relate to and are founded upon antecedent events’ ” (*Forti v New York State Ethics Commn.*, 75 NY2d 596, 609 [1990], quoting McKinney's Cons Laws of NY, Book 1, Statutes § 51, Comment, at 87). That is the case here. Thus, the carrier's claims of inequity due to the overturning of settled expectations as the result of the amended statute is without merit as the statute neither altered the carrier's preexisting liability nor imposed a wholly unexpected new procedure. It merely changed the time and manner of payments of non-schedule permanent partial disability awards.

[3] Relying on *Burns v Varriale* (9 NY3d 207 [2007]), the carrier also argues that mandating private insurance carriers to deposit the present value of the future benefits into the ATF is arbitrary and capricious, because it is impossible to correctly ascertain the present value of such an award. This argument is unavailing. While we did, in *Burns*, state that “the present value of future benefits in a permanent partial disability case is not ascertainable” (*id.* at 217), the case concerned the calculation

of a carrier's equitable share of a claimant's attorney's fees and litigation costs pursuant to Workers' Compensation Law § 29 (1) (*see id.* at 213-214). Pursuant to section 29 (1), that equitable apportionment is subject to the court's discretion. Here, by contrast, there is no such discretion involved. The deposit of the present value of the future benefit is legislatively mandated by Workers' Compensation Law § 27 (2) and the procedure for the calculation of such an award is governed by Workers' Compensation Law § 27 (5) using specific actuarial tables. Thus, using the actuarial tables, as required by the statute, to calculate the present value of the award is not impermissibly speculative and the Board, in following the Legislature's clear direction, did not act arbitrarily and capriciously in mandating the deposits (*see Matter of Baust v Levitt*, 50 AD2d 627, 628 [3d Dept 1975], *lv denied* 38 NY2d 708 [1976] [complying with a statute's directive cannot be said to be arbitrary or capricious]).

III.

The carrier also raises a number of constitutional arguments, none of which are persuasive. It contends that amended section 27 (2) violates the Takings, Contracts, Equal Protection and Due Process Clauses of the United States Constitution.

[4] The Takings Clause prohibits the government from taking private property for public use without providing just compensation (*see* US Const Amend V). The amended statute, as applied, does not violate this clause. The statute neither increases the amount of compensation owed to claimant, nor does it appropriate the carrier's assets for the use of the State (*see Connolly v Pension Benefit Guaranty Corporation*, 475 US 211, 225 [1986]; *cf. Alliance of Am. Insurers v Chu*, 77 NY2d 573, 577-578 [1991] [statute held unconstitutional because insurers had a property interest in the fund whose earnings were diverted to the State's general fund]). Here, there is no such diversion; the mandatory deposit only reflects the present value of what is owed to an injured worker.

[5] The amended statute similarly does not violate the Contracts Clause of the United States Constitution. The Contracts Clause prohibits states from enacting "[l]aw[s] impairing the Obligation of Contracts" (US Const, art I, § 10 [1]). Prior to the amendment of the statute the Board could, at its discretion, require a carrier to deposit the present value of the award into the ATF. The amendment merely makes what was once discretionary, mandatory. There is no impairment of

the insurance contract. At most, the carrier's contract has become less profitable—not a substantial impairment (*see RUI One Corp. v City of Berkeley*, 371 F3d 1137, 1151 [9th Cir 2004]; *South Term. Corp. v Environmental Protection Agency*, 504 F2d 646, 680 [1st Cir 1974]).

[6] The carrier's argument that the amended statute violates its equal protection rights under the Fourteenth Amendment of the United States Constitution is equally without merit. The carrier argues that private insurers are treated differently from the State Insurance Fund and self-insurers. The basis for requiring a private insurer to deposit the present value of a future award into the ATF is to protect claimants from carrier insolvency. The same goal is achieved by the State Insurance Fund because of its status as a state agency. Self-insurers have a separate regulatory framework to safeguard against insolvency (*see* 12 NYCRR 315.2-315.4). Because there is a rational basis for differential treatment of separate classes of insurers, there is no violation of equal protection here (*see FCC v Beach Communications, Inc.*, 508 US 307, 313 [1993]).

[7] Finally, we reject the carrier's argument that the statute violates substantive and procedural due process rights. To establish a claim for violation of substantive due process, a party "must establish a cognizable . . . vested property interest" (*Bower Assoc. v Town of Pleasant Val.*, 2 NY3d 617, 627 [2004]) and "that the governmental action was wholly without legal justification" (*id.*). As noted, the statute does not deprive the carrier of property, because it does not increase the amount the carrier owes. Additionally, the carrier fails to make any showing that the statute here was without legal justification and not supported by a rational legislative purpose.

[8] The claim of lack of procedural due process is likewise unconvincing. The carrier is accorded procedural due process at every step, as it is entitled to contest, first at a hearing before a workers' compensation law judge, then at an appeal to the Board, and ultimately at the Appellate Division, its liability, the classification of the worker's injuries and the amount of the award (*see* Workers' Compensation Law § 23). Furthermore, carriers receive notice and an opportunity to be heard regarding all proposed settlements (*see* Workers' Compensation Law § 32).

In conclusion, because the award was made after the effective date of the amendment to Workers' Compensation Law § 27 (2), the Board properly required the carrier to make a deposit into

the ATF. This amendment is neither retroactive, arbitrary and capricious nor unconstitutional. Although the carrier argues that the legislation, as enacted, is unfair and places an unanticipated financial burden on private insurance carriers, we are merely interpreting the statute by applying the rules of statutory construction. It is not our role to pass on its fairness or wisdom (*see Morales v County of Nassau*, 94 NY2d 218, 224 [1999]; *People v Ryan*, 82 NY2d 497, 502 [1993]). It is for the Legislature to limit the statute, if it so desires (*see Joblon v Solow*, 91 NY2d 457, 465 n 2 [1998]).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges GRAFFEO, READ, SMITH, PIGOTT and JONES concur; Chief Judge LIPPMAN taking no part.

Order affirmed, with costs.

[958 NE2d 1197, 935 NYS2d 281]

In the Matter of THOMAS SHEERAN, Appellant, v NEW YORK
STATE DEPARTMENT OF TRANSPORTATION et al., Respondents.

In the Matter of MICHELLE BIRNBAUM, Appellant, v NEW YORK
STATE DEPARTMENT OF LABOR et al., Respondents.

Argued October 13, 2011; decided November 17, 2011

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 3, 2009. The Appellate Division (1) reversed, on the law, a judgment (denominated decision and order) of the Supreme Court, Albany County (Christopher E. Cahill, J.), entered in a proceeding pursuant to CPLR article 78, which had granted the petition to the extent of annulling a determination of respondent Department of Transportation placing petitioner on involuntary leave of absence and remanding the matter to respondent Department of Transportation for reconsideration, and (2) dismissed the petition.

APPEAL, in the second above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 1, 2010. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Albany County (Roger D. McDonough, J.), entered in a proceeding pursuant to CPLR article 78, which had granted the petition to the extent of annulling a determination of respondent Department of Labor placing petitioner on involuntary leave of absence and remanding the matter to respondents for reconsideration and compliance with Civil Service Law § 72, and (2) dismissed the petition.

Matter of Sheeran v New York State Dept. of Transp., 68 AD3d 1199, reversed.

Matter of Birnbaum v New York State Dept. of Labor, 75 AD3d 707, reversed.

HEADNOTE

Civil Service — Compensation and Benefits — Leave for Ordinary Disability — Procedural Protections

Petitioners, public employees who each sought to return to work after a voluntary absence but were placed on involuntary leave after they were found

unfit to return to duty following a medical examination by a State-affiliated physician, were entitled to the procedural safeguards of Civil Service Law § 72, which includes the opportunity for a hearing once a determination is made to place an employee on involuntary leave. The language of section 72 does not make a distinction between an employee placed on involuntary leave from the job site and one that is placed on such leave from a voluntary absence. The references to the involuntary leave as a “proposed” leave of absence and the language requiring notice of the “proposed date on which such leave is to commence” (Civil Service Law § 72 [1]) do not assume that the employee is currently working, but simply refer to the prospective nature of the involuntary leave. Civil Service Law § 72 (5), which permits the employer to immediately place the employee on involuntary leave when the employee poses a potential danger to the work site, applies whether the employee is actively working or about to return. Further, the remedial purpose of the statute as revealed by the legislative history, which is to afford tenured civil servants with procedural protections prior to involuntary separation from service, applied equally here. To read the statute otherwise would discourage employees from taking voluntary leave.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Service §§ 51, 77.

McKINNEY's, Civil Service Law § 72 (1), (5).

4 NYCRR 21.3 (e).

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 427, 429, 430, 557.

ANNOTATION REFERENCE

See ALR Index under Civil Service; Sick Leave.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: civil /2 service & involuntary /2 leave /s hearing

POINTS OF COUNSEL

Rita J. Verga, Albany, and *William P. Seamon* for appellant in the first and second above-entitled actions. I. The Appellate Division committed error of law in interpreting Civil Service Law § 72. (*Matter of Cooperman v Commissioner, Dept. of Correctional Servs. of State of N.Y.*, 86 Misc 2d 610; *Fuentes v Shevin*, 407 US 67.) II. The Appellate Division's interpretation deprives state employees of constitutionally required due process. (*Matter of Moses v Rensselaer County*, 262 AD2d 697; *Laurido v Simon*, 489 F Supp 1169; *Fuentes v Shevin*, 407 US 67; *Matter of Cooperman v Commissioner, Dept. of Correctional Servs. of State of N.Y.*, 86 Misc 2d 610, 57 AD2d 989; *Goldberg v Kelly*, 397 US 254; *Matter of Pastore v City of Troy*, 126 Misc 2d 113.)

Eric T. Schneiderman, Attorney General, Albany (Julie M. Sheridan, Barbara D. Underwood and Andrea Oser of counsel), for respondents in the first and second above-entitled actions. The plain language and legislative history of Civil Service Law § 72 establish that it does not apply to an employee seeking to return to work from voluntary sick leave. II. The procedures of 4 NYCRR 21.3 (e), article 30 of the collective bargaining agreement, CPLR article 78, and Civil Service Law § 73 provided petitioners with all the process due, and the doctrine of constitutional avoidance is therefore not implicated. (Matter of Hurwitz v Perales, 81 NY2d 182; Mathews v Eldridge, 424 US 319; Matter of Prue v Hunt, 78 NY2d 364; Cafeteria & Restaurant Workers v McElroy, 367 US 886; Morrissey v Brewer, 408 US 471; Cleveland Bd. of Ed. v Loudermill, 470 US 532; Gilbert v Homar, 520 US 924; FDIC v Mallen, 486 US 230; Logan v Zimmerman Brush Co., 455 US 422; Board of Regents of State Colleges v Roth, 408 US 564.)

OPINION OF THE COURT

PIGOTT, J.

The issue presented on both of these appeals is whether Civil Service Law § 72, which provides certain procedural safeguards to a public employee when placed on an involuntary leave of absence, applies to employees who are prevented from returning to work following a voluntary absence. We hold that it does.

I

Petitioner Thomas Sheeran was a civil engineer in the New York State Department of Transportation (DOT); petitioner Michelle Birnbaum was employed by the New York State Department of Labor (DOL). Both petitioners took voluntary leave due to illness and eventually sought to return to work. Each submitted the necessary certification from a treating physician attesting that he or she was fit to return to duty. DOT and DOL exercised their right pursuant to 4 NYCRR 21.3 (e) to have petitioners medically examined by a State-affiliated physician prior to returning to work. In each case, the physician found the petitioner unfit to return to duty. As a result, petitioners were placed on involuntary leave. Petitioners sought a hearing pursuant to Civil Service Law § 72. The employers denied the requests, asserting that the provisions of 4 NYCRR 21.3 and article 30 of the collective bargaining agreement (CBA) between the union and the employers were applicable to them and that

section 72 was not, as it only applied to employees being removed from the work site. Petitioners were eventually terminated from employment pursuant to Civil Service Law § 73, which permits an employer to terminate employment when the employee is continuously absent from work for one year and unable to perform the duties of the position.

II

Petitioners brought these CPLR article 78 proceedings, to challenge, among other things, their placement on involuntary leave without having been provided a hearing pursuant to Civil Service Law § 72.

In separate decisions, Supreme Court granted the petitions, to the extent of annulling the determinations of DOL and DOT that denied a section 72 hearing and remanded the matters to the employers for compliance with the statute. The Appellate Division reversed and dismissed the petitions (*see Matter of Sheeran v New York State Dept. of Transp.*, 68 AD3d 1199 [3d Dept 2009]; *Matter of Birnbaum v New York State Dept. of Labor*, 75 AD3d 707 [3d Dept 2010]). The appellate court reasoned that section 72, by its plain language, applies only to employees placed on involuntary leave, whereas the CBA and 4 NYCRR 21.3 apply to employees who have taken voluntary leave (*Sheeran*, 68 AD3d at 1203). Thus, the court concluded, the determinations of the DOT and DOL to place each of the petitioners on an involuntary leave of absence without a hearing under section 72 was “not arbitrary, capricious, irrational or contrary to law” (*id.*).

III

Civil Service Law § 72 (1) provides that when an employer determines that “an employee is unable to perform the duties of his or her position by reason of a disability,” the employer may require the employee to undergo a medical examination. If, after such examination, the employee is found unfit to perform the duties of the job, the employee may be placed on an involuntary leave of absence (*id.*). The statute requires that the employer provide the employee with written notice. The employee may, within certain time limits, object to the proposed leave and request a hearing (*id.*). It further provides that in the event that the employee requests a hearing, imposition of the proposed leave of absence is held in abeyance pending final determination, unless the employee’s continued presence on the job creates a potential danger (*see* § 72 [5]).

Starting with the language of the statute, we find no indication that the Legislature intended to make a distinction between an employee who is placed on involuntary sick leave from the job site and one that is placed on such leave from a voluntary absence. The statute simply provides that an employee “placed on leave of absence” is entitled to its procedural protections. DOL and DOT contend that the statute’s repeated reference to the involuntary leave as a “*proposed*” leave of absence, as well as the language requiring notice of the “*proposed* date on which such leave is to *commence*” assume that the employee is currently working. Those terms, however, simply refer to the prospective nature of the involuntary leave and nothing more.

Subdivision (5) of the statute, which permits the employer to immediately place the employee on involuntary leave when the employee poses potential danger to the work site, applies equally whether the employee is actively working or about to return. In both situations, the statute allows the employer to protect the workplace. While DOT and DOL point to rule 21.3 (e) and article 30 of the CBA as applying to the petitioners’ circumstances, neither of those provisions affords an immediate opportunity to be heard once a determination is made to place the employee on involuntary leave status. They provide an opportunity to be reexamined at a later date, and as such do not provide the procedural protections of section 72.

IV

The legislative history of the statute is in full accord with this interpretation. A Department of Civil Service memorandum in support of this legislation noted: “One of the most knotty personnel problems which plagues department and agency heads is the problem of what to do about an employee who has been absent and disabled from the performance of his duties for a prolonged period of time” (Mem of State Dept of Civil Serv, Bill Jacket, L 1983, ch 561, reprinted in 1983 McKinney’s Session Laws of NY, at 2597, 2598). Notably, there is no distinction made between an employee who has been placed on involuntary leave from a voluntary one and one forced to take an involuntary leave.

The history also reveals that the statute has a remedial purpose: to afford tenured civil servant employees with procedural protections prior to involuntary separation from service. Such remedial purpose applies equally here, where an employee is out on sick leave and then seeks to return to work, but

is prohibited based on a finding that he or she is unfit. To read the statute otherwise would discourage employees from taking voluntary leave, since they would have greater rights if they remained on the job and waited to be involuntarily removed—a result the Legislature surely did not intend.

Accordingly, in both appeals, the order of the Appellate Division should be reversed, with costs, and the judgment of Supreme Court, Albany County, reinstated.

SMITH, J. (dissenting). The majority errs, I think, by giving an overbroad interpretation to a statute that is itself broader than it needs to be. A brief description of how the statute came to exist in its present form may help make this point clear.

As first enacted in 1969, Civil Service Law § 72 authorized a public employer to place an employee on medical leave of absence, and made no provision for a hearing of any kind (L 1969, ch 225). Two federal district court decisions held that the original version of the statute deprived employees of their rights to due process (*Snead v Department of Social Servs. of City of N.Y.*, 355 F Supp 764 [SD NY 1973]; *Laurido v Simon*, 489 F Supp 1169 [SD NY 1980]). Accordingly, in 1983, the statute was amended to provide affected employees with quite elaborate procedural protections: a written statement of the reasons for a leave of absence, and an opportunity for a hearing before an independent hearing officer, at which the “[t]he employee may be represented . . . by counsel or a representative of a certified or recognized employee organization and may present medical experts and other witnesses or evidence” (Civil Service Law § 72 [1]). The employee is entitled to a transcript of the hearing without charge (*id.*), and may appeal the hearing officer’s determination to a state or municipal civil service commission—a determination itself reviewable under CPLR article 78 (Civil Service Law § 72 [3]). These protections were evidently thought necessary to comply with the United States Constitution; the memorandum submitted by the Department of Civil Service in support of the 1983 legislation cites the *Snead* and *Laurido* cases and says: “we are proposing that the safeguards . . . be added to Section 72 in order to cure any procedural due process defects which may be present” (Mem of State Dept of Civil Serv, Bill Jacket, L 1983, ch 561, at 7, reprinted in 1983 McKinney’s Session Laws of NY, at 2597, 2598).

But the belief that all this procedure was required by the Constitution proved to be mistaken. In 1985, the United States

Supreme Court decided that a public employee facing termination—a more serious consequence than an involuntary leave of absence—was entitled to “some form of pretermination hearing,” but that the hearing “need not be elaborate” (*Cleveland Bd. of Ed. v Loudermill*, 470 US 532, 542, 545 [1985]). Under *Loudermill*, such an employee is entitled only “to oral or written notice of the charges against him, an explanation of the employer’s evidence, and an opportunity to present his side of the story”—not to an evidentiary hearing before an independent factfinder (*id.* at 546). In New York, under our decision in *Matter of Prue v Hunt* (78 NY2d 364, 369 [1991]), a public employee terminated under Civil Service Law § 73 after a year’s absence due to disability is not entitled to any “procedural formality greater than that required in *Loudermill*” prior to termination. The result is an anomaly: an employee who is fired under section 73 for inability to perform the duties of his or her position gets less protection than an employee placed on leave of absence for the same reason under section 72.

Today’s decision magnifies the anomaly, extending section 72 rights to employees who are not removed from the workplace by their employer, but who have removed themselves and are seeking to return. Such an extension of section 72’s protections is not compelled either by the Constitution or by common sense, and is not commanded, or even suggested, by the text of section 72.

On the contrary, section 72 was evidently written to be applicable to employees who are at work until their employer chooses to remove them. The opening words of section 72 (1) are: “When in the judgment of an appointing authority an employee is unable to perform the duties of his or her position.” How is an employer to make such a “judgment” about an employee who is not at the workplace, and whom the employer has no opportunity to observe? And how is the employer to provide to the employee “[w]ritten notice of the facts providing the basis for [the employer’s] judgment” prior to any medical examination, as section 72 (1) requires? The statute then says that the employer may, based upon the results of a medical examination, tell the employee “that he or she may be placed on leave of absence”—not that a leave of absence voluntarily begun shall continue. The statute goes on to refer to “the proposed leave and the proposed date on which such leave is to commence,” to give the employee an opportunity “to object to the imposition of the proposed leave of absence” and to provide that “imposition of the proposed leave of absence shall be held in abeyance until

a final determination.” This last phrase is particularly telling: to say that the “imposition of the proposed leave of absence shall be held in abeyance” is a very strange way to describe bringing back to work an employee who has already been on leave of absence for some time.

There is no unfairness in not providing to an employee already on voluntary leave the same procedural protections given to one whom the employer wants to remove. It is entirely reasonable to require more extensive procedures to change the status quo than to continue it. It is also reasonable to think that an employee who has voluntarily withdrawn from work for medical reasons is more likely to be disabled than one who has not. In short, nothing justifies reading Civil Service Law § 72 to be applicable to cases like this.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ and JONES concur with Judge PIGOTT; Judge SMITH dissents and votes to affirm in a separate opinion.

In each case: Order reversed, etc.

[960 NE2d 356, 936 NYS2d 587]

CARMEN VALDEZ, Individually and as Mother and Natural
Guardian of CEASAR MARTI and Another, Infants, Appellant,
v CITY OF NEW YORK et al., Respondents.

Argued September 7, 2011; decided October 18, 2011

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 29, 2010. The Appellate Division, with two Justices dissenting in part, (1) reversed, on the law, so much of a judgment of the Supreme Court, Bronx County (Lucy Billings, J.), as had awarded plaintiff damages for past and future pain and suffering, and awarded plaintiff's two infant children damages for past pain and suffering; (2) vacated the verdict; (3) dismissed the complaint; and (4) dismissed, as subsumed in the appeal from the judgment, an appeal from a prior order of the Supreme Court (op 21 Misc 3d 1107[A], 2008 NY Slip Op 51999[U]), which had denied defendants' motion to set aside the verdict.

Valdez v City of New York, 74 AD3d 76, affirmed.

HEADNOTES

Municipal Corporations — Tort Liability — Failure to Provide Adequate Police Protection

1. A municipality can avoid liability in a negligence action either if the plaintiff fails to establish that it was owed a special duty of care or if the municipality establishes that it was entitled to a governmental function immunity defense. The special duty rule, which requires a plaintiff to show the municipality violated a special duty owed to the plaintiff apart from any duty to the public in general, operates independently of the governmental function immunity defense, which shields public entities from liability for discretionary actions taken during the performance of governmental functions. The governmental function immunity defense precludes liability even when all elements of a negligence claim—including duty—have been proved. The special duty doctrine is therefore not an exception to governmental function immunity.

Municipal Corporations — Tort Liability — Special Relationship — Failure to Provide Adequate Police Protection — Justifiable Reliance on Police Promise

2. In a negligence action alleging that defendant City failed to provide adequate police protection to plaintiff, who was shot by her former boyfriend, the evidence was insufficient to establish a special relationship between plaintiff and the police and to demonstrate the special duty of care necessary to hold the City liable. Under the special relationship rule plaintiff was required to allege a special duty, beyond the obligation owed the public at large, and to show, among other things, justifiable reliance on the municipality's

affirmative undertaking. The “justifiable reliance” element was not satisfied here on the basis of a telephone call plaintiff made to her local police Domestic Violence Unit on the day before she was shot to report a death threat from the former boyfriend. Based on nothing more than the statements of the police officer who spoke to her on the telephone that she should return to her apartment and that the police would arrest the former boyfriend “immediately,” it was not reasonable for plaintiff to conclude that she could relax her vigilance indefinitely. Since the record indicated that plaintiff was threatened over the telephone, and there was no indication that plaintiff knew where he was calling from or that she conveyed any information relating to his whereabouts to the police, it would not have been reasonable for plaintiff to have relied on the police promise to arrest the former boyfriend “immediately” in a literal sense since his location had to be discovered. At best, the officer’s statement could reasonably be viewed only as a promise to look for the former boyfriend and arrest him if he was located. Furthermore, plaintiff’s prior experience with the Domestic Violence Unit and her testimony that she expected the police to call her back to confirm the arrest undercut her claim that she was justified in relaxing her vigilance when more than a day passed with no word of the expected arrest.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Municipal, County, School, and State Tort Liability §§ 84–86, 407–412, 414, 417.
NY JUR 2d, Government Tort Liability §§ 158–160, 165.
PROSSER AND KEETON, TORTS (5th ed) § 131.

ANNOTATION REFERENCE

Liability of municipality or other governmental unit for failure to provide police protection from crime. 90 ALR5th 273.

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Database: NY-ORCS

Query: police /2 protection /s city municipal! /p special /2
duty relation! /p order /3 protection

POINTS OF COUNSEL

Sivin & Miller, LLP, New York City (*Edward Sivin* of counsel), for appellant. I. *McLean v City of New York*, 12 NY3d 194 (2009) did not abrogate municipal liability in cases involving a special relationship created by a promise of police protection. (*Moch Co. v Rensselaer Water Co.*, 247 NY 160; *Glanzer v Shepard*, 233 NY 236; *Marks v Nambil Realty Co.*, 245 NY 256; *Pelaez v Seide*, 2 NY3d 186; *Cuffy v City of New York*, 69 NY2d 255; *Brawer v Carter*, 937 F Supp 1071.) II. The evidence that Officer Jose Torres told Carmen Valdez that Felix Perez would

be arrested “immediately” and directed Valdez to return to her house instead of fleeing with her children to her grandmother’s home was sufficient to support the jury’s conclusion that Valdez justifiably relied on Torres’ promise of protection. (*Cohen v Hallmark Cards*, 45 NY2d 493; *Cuffy v City of New York*, 69 NY2d 255; *De Long v County of Erie*, 60 NY2d 296; *Florence v Goldberg*, 44 NY2d 189; *Mastroianni v County of Suffolk*, 91 NY2d 198; *Sorichetti v City of New York*, 65 NY2d 461; *Shinder v State of New York*, 62 NY2d 945; *Yearwood v Town of Brighton*, 64 NY2d 667.)

Michael A. Cardozo, Corporation Counsel, New York City (*Mordecai Newman* and *Larry A. Sonnenshein* of counsel), for respondents. I. In *McLean v City of New York* (12 NY3d [2009]), this Court held unequivocally that the special duty exception is not applicable where discretionary municipal conduct is challenged in a tort action. Prior case law establishes that police protection undertaken on behalf of individual citizens is discretionary. Accordingly, the special duty exception may not be employed to found civil liability arising from such an undertaking. (*Lauer v City of New York*, 95 NY2d 95; *Tango v Tulevech*, 61 NY2d 34; *Pelaez v Seide*, 2 NY3d 186; *Kovit v Estate of Hal-lums*, 4 NY3d 499; *Dinardo v City of New York*, 13 NY3d 872; *Cuffy v City of New York*, 69 NY2d 255; *Weiss v Fote*, 7 NY2d 579; *Hoffman v Board of Educ. of City of N.Y.*, 49 NY2d 121; *Donohue v Copiague Union Free School Dist.*, 47 NY2d 440; *Brown v City of New York*, 73 AD3d 1113.) II. Plaintiff testified explicitly that she expected a call from the police confirming that Felix Perez had been arrested, but she received no such call. Accordingly, she cannot show that her decision to leave the building was based on a justifiable expectation that Perez had been arrested when she left her home. (*Cuffy v City of New York*, 69 NY2d 255; *Lauer v City of New York*, 95 NY2d 95; *Merced v City of New York*, 75 NY2d 798; *Pelaez v Seide*, 2 NY3d 186; *Sorichetti v City of New York*, 65 NY2d 461; *Mastroianni v County of Suffolk*, 91 NY2d 198.)

Fried, Frank, Harris, Shriver & Jacobson LLP, New York City (*Janice MacAvoy*, *Margaret E. Hirce* and *Brenna C. Terry* of counsel), and *Sandra S. Park* for New York City Bar Association and others, amici curiae. I. New York State’s comprehensive policy opposing domestic violence mandates the protection of its victims and assures victims that police will take action. (*Bruno v Codd*, 47 NY2d 582; *Sorichetti v City of New York*, 65 NY2d 461; *Cuffy v City of New York*, 69 NY2d 255.) II. The decision of

the Appellate Division jeopardizes victim safety and the efficacy of New York's domestic violence laws, and is inconsistent with international human rights law. (*Castle Rock v Gonzales*, 545 US 748; *Printz v United States*, 521 US 898; *Sosa v Alvarez-Machain*, 542 US 692; *The Paquete Habana*, 175 US 677; *People v Scutari*, 148 Misc 2d 440; *Wilson v Hacker*, 200 Misc 124; *Roper v Simmons*, 543 US 551; *Grutter v Bollinger*, 539 US 306; *Lawrence v Texas*, 539 US 558; *Atkins v Virginia*, 536 US 304.)

III. A finding of municipal liability in this case is consistent with prior case law and New York State's strong interest in protecting domestic violence victims. (*McLean v City of New York*, 12 NY3d 194; *Cuffy v City of New York*, 69 NY2d 255; *Sorichetti v City of New York*, 65 NY2d 461; *Dinardo v City of New York*, 13 NY3d 872; *Mastroianni v County of Suffolk*, 91 NY2d 198; *Lauer v City of New York*, 95 NY2d 95; *Tango v Tulevech*, 61 NY2d 34; *Haddock v City of New York*, 75 NY2d 478.)

OPINION OF THE COURT

GRAFFEO, J.

After her estranged boyfriend shot her, causing serious injuries, plaintiff Carmen Valdez sued the City of New York for failing to provide her with adequate police protection to prevent the attack. The primary issue before us is whether there was sufficient evidence in the record to establish the existence of a special relationship between Valdez and the police. Because we conclude that there was not, we affirm the order of the Appellate Division, which reversed the judgment in plaintiffs' favor and dismissed the complaint.

I.

In July 1996, after a prior order of protection expired, plaintiff Carmen Valdez obtained a second order of protection against her former boyfriend, Felix Perez, in Bronx Criminal Court. She delivered the order to the Domestic Violence Unit at her local police precinct and asked that it be served on Perez. At that time, Valdez met Officers Torres and Pereira—the two individuals assigned to the unit. Valdez later received a telephone call from Officer Pereira confirming that Perez had been served with the court order.

According to Valdez, about a week later, Perez telephoned her at around 5:00 P.M. on a Friday evening and threatened to kill her. Perez had made various threats in the past—threats that prompted Valdez to secure an order of protection—but Valdez

viewed this threat as an escalation of his hostility because he had not previously threatened to kill her. Valdez immediately left her apartment with her two young sons, planning to go to her grandmother's house in the Bronx. On the way to her car, however, she stopped at a pay phone and contacted the Domestic Violence Unit to alert the police to the latest threat by Perez. She contended that she spoke with Officer Torres, who told her that she should return to her apartment and that the police would arrest Perez "immediately."¹

After speaking to Officer Torres, Valdez returned to her apartment with her children where she remained for the rest of the evening. She did not hear from the police that evening, nor did she contact the precinct to inquire whether Perez had been located or arrested. The night passed without incident. The following day—a Saturday—Valdez and the children remained in their apartment most of the day. At about 10:45 P.M. that evening, Valdez stepped out of the apartment and into the hallway of her building intending to take out the garbage when she was confronted by Perez brandishing a gun. He ushered her back into the apartment doorway and, tragically, shot her two or three times, injuring her face and arm. The two children witnessed the shooting but were not physically harmed. Perez then turned the gun on himself and committed suicide.

Valdez commenced this action against the City of New York claiming that, based on her telephone conversation with Officer Torres, the City had undertaken a "special relationship" with her that created a duty of care; that the City was negligent in failing to arrest Perez prior to the attack; and that its negligence was a proximate cause of the shooting. Valdez also brought claims on behalf of the children, contending that the "special relationship" extended to them and that they could recover damages for negligent infliction of emotional distress because they were in the zone of danger at the time of the attack.

1. At trial, the City of New York denied that the police received a telephone call from Valdez on the evening before the shooting. In particular, Officer Torres testified that he did not speak to Carmen Valdez that night, nor was her name recorded in the log in which calls made or received by members of the Domestic Violence Unit were documented on July 19, 1996. Thus, the City denied that any promise was made to Valdez or that the police suggested that she return to her apartment. However, since the jury reached a verdict in plaintiffs' favor, for purposes of this appeal we must view the facts in the light most favorable to them and therefore assume that the conversation occurred as recounted by Valdez.

After issue was joined, the parties engaged in discovery but the City did not file a pretrial motion to dismiss or seek summary judgment dismissing the complaint. Instead, in 2006, the case proceeded to a jury trial. At the commencement of the trial, the City moved to dismiss the complaint on the ground that plaintiff had failed to state claims upon which relief could be granted asserting, among other arguments, that Valdez's allegations failed to establish the existence of a "special relationship" giving rise to a duty of care because there was insufficient evidence to show that any reliance on the purported statements of Officer Torres was justifiable. The City renewed this argument at the close of plaintiffs' proof. Both of these motions were denied.

At trial, Valdez offered her account of the events preceding the shooting, while the City asserted that Valdez had not contacted the police the night before the shooting and, as such, that the police neither promised to arrest Perez nor directed Valdez to return to her apartment. Consistent with its assertion that it never received a complaint from Valdez on the night in question, the City did not offer any evidence of investigative or other police activities taken in response to the telephone call. The jury apparently credited plaintiffs' proof as it returned a verdict apportioning fault 50% to the City and 50% to Perez, awarding damages in the amount of \$9.93 million. Beyond the finding of negligence, the jury also determined that the City had acted in reckless disregard of plaintiffs' safety. The City moved to set aside the verdict on a number of grounds, reiterating its contention that the evidence had been insufficient to support a finding of "special relationship." Supreme Court declined to disturb the verdict on liability but modified the damages award in a minor respect (the parties also stipulated to reduce the award for past medical expenses).

The City appealed to the Appellate Division, which reversed the judgment and vacated the verdict in a divided decision (74 AD3d 76 [2010]). Three justices concluded that plaintiff failed to establish a special relationship because the proof was inadequate to support a finding that Valdez's reliance on the officer's promise to arrest Perez was justifiable. The two dissenting justices reasoned that there was sufficient evidence of justifiable reliance and would have sustained the liability verdict, albeit modifying the judgment to vacate the reckless disregard finding. Given that this Court's decisions in *McLean v City of New York* (12 NY3d 194 [2009]) and *Dinardo v City of New York* (13

NY3d 872 [2009]) were issued while this case was pending on appeal to the Appellate Division, the plurality, concurring and dissenting opinions all discussed those two cases. In particular, having concluded that plaintiffs demonstrated the existence of a special relationship, the dissent further addressed whether the failure of the police to arrest Perez or take other action to prevent the attack constituted a ministerial or discretionary act. Characterizing that act as ministerial, the dissent would have permitted plaintiff to recover.

Plaintiff appealed to this Court as of right on the two-justice dissent.

II.

[1] We begin with the observation that it is undisputed that this case involves the provision of police protection, which is a classic governmental, rather than proprietary, function. That being so, the facts potentially implicate two separate but well-established grounds for a municipality to secure dismissal of a tort claim brought against it by a private citizen injured by a third party. The first relates to the fundamental obligation of a plaintiff pursuing a negligence cause of action to prove that the putative defendant owed a duty of care. Under the public duty rule, although a municipality owes a general duty to the public at large to furnish police protection, this does not create a duty of care running to a specific individual sufficient to support a negligence claim, unless the facts demonstrate that a special duty was created. This is an offshoot of the general proposition that “[t]o sustain liability against a municipality, the duty breached must be more than that owed the public generally” (*Lauer v City of New York*, 95 NY2d 95, 100 [2000]). We have deemed it necessary to restrict the scope of duty in this manner because the government is not an insurer against harm suffered by its citizenry at the hands of third parties. Thus, in order to pursue her negligence action against the City in this case, plaintiffs were required to allege a special duty—which they attempted to do by contending that the telephone conversation with Officer Torres created a special relationship.

The second principle relevant here relates not to an element of plaintiffs’ negligence claim but to a defense that was potentially available to the City—the governmental function immunity defense. Although the State long ago waived sovereign immunity on behalf of itself and its municipal subdivisions, the common-law doctrine of governmental immunity continues to

shield public entities from liability for discretionary actions taken during the performance of governmental functions (*Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428 [2011]; *Lauer*, 95 NY2d at 99; *Tango v Tulevech*, 61 NY2d 34, 40 [1983]).² This limitation on liability reflects separation of powers principles and is intended to ensure that public servants are free to exercise their decision-making authority without interference from the courts. It further

“reflects a value judgment that—despite injury to a member of the public—the broader interest in having government officers and employees free to exercise judgment and discretion in their official functions, unhampered by fear of second-guessing and retaliatory lawsuits, outweighs the benefits to be had from imposing liability for that injury” (*Mon v City of New York*, 78 NY2d 309, 313 [1991] [citation omitted]).

As a result, “[a] public employee’s discretionary acts—meaning conduct involving the exercise of reasoned judgment—may not result in the municipality’s liability even when the conduct is negligent” (*Lauer*, 95 NY2d at 99).³ In other words, even if a plaintiff establishes all elements of a negligence claim, a state or municipal defendant engaging in a governmental function can avoid liability if it timely raises the defense and proves that the alleged negligent act or omission involved the exercise of discretionary authority. It is also clear from our precedent that the governmental function immunity defense cannot attach unless the municipal defendant establishes that the discretion possessed by its employees was in fact exercised in relation to the conduct on which liability is predicated (*see Mon*, 78 NY2d at 313; *Haddock v City of New York*, 75 NY2d 478, 484 [1990]).

As we recently observed in *McLean v City of New York* (12 NY3d at 203), when both of these doctrines are asserted in a negligence case, the rule that emerges is that “[g]overnment action, if discretionary, may not be a basis for liability, while

2. There are many other types of immunity defenses that may be raised by governmental entities, including quasi-judicial immunity, legislative immunity and prosecutorial immunity. Here, we are concerned only with governmental function immunity.

3. “[D]iscretionary or quasi-judicial acts involve the exercise of reasoned judgment which could typically produce different acceptable results whereas a ministerial act envisions direct adherence to a governing rule or standard with a compulsory result” (*Tango*, 61 NY2d at 41).

ministerial actions may be, but only if they violate a special duty owed to the plaintiff, apart from any duty to the public in general” (see also *Dinardo*, 13 NY3d at 874). *McLean* did not announce a new rule—it merely distilled the analysis applied in prior cases such as *Lauer* (95 NY2d 95; see also *Garrett v Holiday Inns*, 58 NY2d 253 [1983]).

In Chief Judge Kaye’s decision in *Lauer*, we expressly rejected the contention “that a ministerial breach by a governmental employee necessarily gives rise to municipal liability” (95 NY2d at 99). *Lauer* clarified that, even when municipal action is ministerial—thereby “remov[ing] the issue of governmental immunity from [the] case” (*id.* [citation omitted])—the plaintiff in a negligence action must nonetheless establish that the municipality owed a duty of care by demonstrating the existence of a special duty beyond the obligation owed the public at large. In fact, in *Lauer* it was undisputed that the municipal negligence in question—the medical examiner’s failure to deliver a corrected autopsy report to law enforcement authorities—amounted to a ministerial act (*id.*). Yet the Court applied the special duty analysis to determine whether the municipality could be answerable in negligence, concluding that plaintiff’s claim could not be sustained because the medical examiner owed no special duty of care.⁴ It is clear from the analysis in *Lauer* that the special duty rule assists a plaintiff in establishing a duty of care and that it operates independently of the governmental function immunity defense, which precludes liability even when all elements of a negligence claim—including duty—have been proved. The special duty doctrine is therefore not an exception to governmental function immunity.

Despite the analysis presented in *Lauer*, there has been lingering confusion concerning the relationship between the special duty rule (establishing a tort duty of care) and the governmental

4. Chief Judge Lippman suggests that the special duty rule has never been applied in a case involving ministerial action (Lippman dissent at 91). But *Lauer* was a ministerial action case, as was *Garrett* (58 NY2d at 263 [issuance of certificate of occupancy relating to property with blatant and dangerous code violations could not be viewed as a discretionary act]). Although the ministerial/discretionary act dichotomy is not discussed in the decision, *De Long v County of Erie* (60 NY2d 296 [1983]) also falls in this category, as we noted in *Lauer* (95 NY2d at 100 [*De Long* involved “liability for ministerial failure to process ‘911’ call”]). In *De Long*, a municipality was held liable for failing to provide police protection after a 911 operator—who promised to send the police “right away”—erroneously recorded the caller’s address and dispatched the police to the wrong location.

function immunity defense (affording a full defense for discretionary acts, even when all elements of the negligence claim have been established). Some of this is attributable to municipal defendants, who have often waived the immunity defense by failing to timely raise it—causing courts to adjudicate claims based exclusively on special duty analysis. In *McLean*, we recognized our own role in blurring the distinctions between the two theories, acknowledging the existence of potentially misleading dicta in some of our prior cases (12 NY3d at 203). For this reason, we have endeavored here to explain the rationale underlying each doctrine in the hope of bringing further clarity to this complex area of the law.

This Court is not, however, unanimous in this effort. It appears that Chief Judge Lippman views the special duty rule as an exception to the governmental function immunity defense, at least in some circumstances. We did not adopt this view in *Lauer*, *McLean* and *Dinardo*—and decline to do so today. Judge Jones concludes that the governmental function immunity defense should be inapplicable to police protection cases, reasoning that a plaintiff should be able to recover in that category of claims as long as a special duty is established. We reject this approach as well.⁵

The dissenters seem to be concerned that, if governmental function immunity is available in police protection cases, plaintiffs will never be able to recover in negligence. Plaintiffs have similarly opined that the application of the *McLean* syllogism in this category of negligence cases will preclude plaintiffs from holding municipalities liable—a fear that is predicated on the theory that police work invariably involves the exercise of discretion. We do not share this view because we do not accept the premise underlying it. We know of no decision of this Court holding that police action (or inaction, as it might be more accurately characterized in this case) is always deemed

5. Judge Jones does not explain why the police—who put themselves in harm’s way and are often called upon to make snap judgments with life and death consequences—should be entitled to less protection from tort liability than other government employees, such as the medical examiner in *Lauer* or the social services worker in *McLean*. To be sure, assuming plaintiff has established the existence of a duty of care, the ministerial acts of a police officer can give rise to liability, just like those of any other public employee. But we cannot discern from our precedent any basis for holding governmental entities accountable for the discretionary acts of police officers when immunity would attach to the acts of other municipal workers that exercised comparable discretionary authority.

to be discretionary under the discretionary/ministerial duty analysis.⁶

In order to prevail on a governmental function immunity defense, a municipality must do much more than merely allege that its employee was engaged in activities involving the exercise of discretion.

“Whether an action of a governmental employee or official is cloaked with any governmental immunity requires an analysis of the functions and duties of the actor’s particular position and whether they inherently entail the exercise of some discretion and judgment. If these functions and duties are essentially clerical or routine, no immunity will attach” (*Mon*, 78 NY2d at 313 [citations omitted]).

Beyond the role the individual employee plays in the organization, the availability of governmental function immunity also turns on “whether the conduct giving rise to the claim is related to an exercise of that discretion” (*id.*). The defense precludes liability for a “mere error of judgment” (*see Haddock*, 75 NY2d at 485) but this immunity is not available unless the municipality establishes that the action taken actually resulted

6. In fact, the suggestion that it is seems particularly inapt here where plaintiffs’ proof suggested that the police took no steps to investigate an allegation that an order of protection had been violated and the City offered no contrary evidence indicating that the police actually exercised discretionary authority in their assessment or response to the complaint (instead, the City’s theory was that plaintiff never called Officer Torres and therefore never reported the violation). Even before the Legislature enacted a statute imposing certain mandates on the police in relation to enforcement of orders of protection (*see* CPL 140.10), this Court had recognized that the police are “obligated to respond and investigate” in some manner when they are advised that such an order has been violated (*Sorichetti v City of New York*, 65 NY2d 461, 470 [1985]). Although Chief Judge Lippman appears to share plaintiffs’ view that the application of governmental function immunity precludes recovery because police action will invariably be deemed discretionary (Lippman dissent at 92-93), he paradoxically cites statutory authority for the proposition that, once advised that an order of protection had been violated, the police “were . . . required to make an arrest” (Lippman dissent at 87). Needless to say, the obligations imposed on police to investigate or take other action upon receipt of such an allegation would be integral to determining the scope of a police officer’s discretionary authority, which may well be circumscribed. Indeed, the two Appellate Division justices that reached the discretionary versus ministerial act issue in this case concluded that the failure of the police to respond could not be characterized as a discretionary act. Although we need not resolve that issue, the concerns expressed by plaintiffs and the dissenters about the impact of *McLean* in police protection cases appear unwarranted.

from discretionary decision-making—i.e., “the exercise of reasoned judgment which could typically produce different acceptable results” (*Tango*, 61 NY2d at 41). For example, in *Haddock*, this Court held that governmental function immunity was unavailable to a municipality that failed to establish that the asserted negligence—the retention of an employee—was the consequence of an actual decision or choice. Instead, the proof showed that the municipality had failed to adhere to its own personnel procedures and had not “made a judgment of any sort” upon learning that the employee had a criminal record and had lied about it (*Haddock*, 75 NY2d at 485). In some police protection cases, municipalities will be able to establish that discretionary authority was exercised and in others they will not—just as is true in other types of claims.

III.

With these principles in mind, we turn to the special duty issue in this case in recognition of the fact that, if plaintiffs cannot overcome the threshold burden of demonstrating that defendant owed the requisite duty of care, there will be no occasion to address whether defendant can avoid liability by relying on the governmental function immunity defense.⁷ Here, the City repeatedly asserted that plaintiffs failed to allege a prima facie case of negligence. It argued that, even assuming plaintiffs’ allegations to be true, no special relationship had been created between plaintiffs and the police sufficient to overcome the public duty rule and supply the requisite special duty of care.

To establish a special relationship, plaintiffs were required to show that there was:

“(1) an assumption by the municipality, through promises or actions, of an affirmative duty to act on behalf of the party who was injured; (2) knowledge on the part of the municipality’s agents that inaction could lead to harm; (3) some form of direct contact between the municipality’s agents and the injured party; and (4) that party’s justifiable reliance on the municipality’s affirmative undertaking” (*Cuffy v City of New York*, 69 NY2d 255, 260 [1987] [citations omitted]).

The City focused its argument on the fourth element of the

7. That was the situation in *McLean* and *Dinardo*—plaintiffs in those cases failed to establish that a special duty existed, thereby rendering any further discussion concerning the availability of the governmental immunity defense unnecessary.

test—the “justifiable reliance” requirement. We have previously emphasized the importance of this factor, describing it as “critical” because it “provides the essential causative link between the ‘special duty’ assumed by the municipality and the alleged injury” (*id.* at 261). Where timely contested by the defense, the issue of whether a plaintiff offered sufficient evidence to establish a special relationship is a question of law for the court to resolve (*id.* at 263 [finding “as a matter of law” that plaintiffs’ injuries were not the result of justifiable reliance on assurances of police protection])).⁸

[2] Assuming, as we must given the procedural posture of this case, that the telephone call between Valdez and Officer Torres occurred as Valdez described, the officer’s statement did not create a special relationship. It was not reasonable for Valdez to conclude, based on nothing more than the officer’s statement that the police were going to arrest Perez “immediately,” that she could relax her vigilance indefinitely, a belief that apparently impelled her to exit her apartment some 28 hours later without further contact with the police. The record indicates that Perez threatened plaintiff over the telephone—there is no indication that plaintiff knew where he was calling from or that she conveyed any information relating to his whereabouts to the police.⁹

Thus, it would not have been reasonable for Valdez to have relied on the police promise to arrest Perez “immediately” in a literal sense since his location had to be discovered. In fact, the record shows that Valdez understood that the police would first

8. Although both dissents rely extensively on *Cuffy*, they also suggest that we are somehow exceeding our jurisdiction by assessing the sufficiency of plaintiffs’ proof on the justifiable reliance element (*see* Lippman dissent at 88; Jones dissent at 95). In *Cuffy*, just as in this case, the claim proceeded to trial and a verdict was issued in plaintiffs’ favor. We nonetheless reversed and dismissed the complaint based on our conclusion that the justifiable reliance element of the special relationship test had not been established as a matter of law. Here, the City moved to dismiss the complaint for failure to state a prima facie case and subsequently moved to set aside the verdict on the rationale that, even assuming the facts proffered by plaintiffs to be true, proof on the justifiable reliance element was lacking. This raised a question of law appropriate for review in this Court.

9. This would be a different case if the malefactor was in the presence of the police when a promise of immediate arrest was made. For example, if the police arrived at the scene of a domestic violence incident, removed the offender from the home and then announced an intention to make an immediate arrest, a victim hearing such a promise would have ample basis to rely on it. In that situation, unlike this one, the victim would have a reasonable basis to believe that the police were in a position to promptly fulfill the promise.

have to find Perez before he could be arrested since she testified at trial that she did not call Officer Torres when she returned to her apartment because she believed Torres would not be at the precinct but would be out looking for Perez. At best, since Valdez had no reason to believe that the police knew where Perez was, the officer's statement could reasonably be viewed only as a promise to look for Perez and arrest him if he was located. It was not reasonable for plaintiff to relax her vigilance based on this type of representation that was dependent on locating Perez.

Furthermore, Valdez's own statements concerning her expectations undercut the claim of justifiable reliance. Based on her prior experience with the Domestic Violence Unit, Valdez testified that she expected the police to call her back to confirm the arrest—and she acknowledged that she received no such call prior to the attack (nor did she contact the precinct to inquire concerning the status of the search). Because Valdez expected to receive confirmation that Perez had been taken into custody, it is difficult to reconcile her contention that she was nonetheless justified in relaxing her vigilance when more than a day passed with no word of the expected arrest. As is evident from the analysis in *Cuffy*, a promise by police that certain action will be forthcoming within a specified time period generally will not justify reliance long after a reasonable time period has passed without any indication that the action has occurred.

For all of these reasons, this case is distinguishable from *Mastroianni v County of Suffolk* (91 NY2d 198 [1997]), on which plaintiff relies. In *Mastroianni*, the police responded to a call at the victim's residence and found that her estranged husband, who had allegedly been inside her home, had taken refuge at the home of a neighbor. After speaking to both the victim and the husband, the police advised the victim that they would not make an arrest but assured her that they would do what they could for her if there were additional problems with her husband. The police then remained on the scene, across the street from the home—an action that permitted the victim to reasonably believe that the police were nearby and able to monitor the situation and that they would provide protection if the need arose that evening. The fact that the police did not leave the area and therefore remained in a position to lend additional assistance provided a basis, beyond the promise, for the victim to relax her vigilance and reasonably rely on their continued protection. When the police briefly left for a dinner break

without informing the victim, the husband entered her home and stabbed her to death.¹⁰ In *Mastroianni*, the police had promised to assist the victim and then remained in the area, thereby initially making good on their promise and providing a basis for the victim to believe that they could—and would—provide police protection if needed. No comparable circumstances were present here.

Since there were no extraneous factors beyond Officer Torres' promise that can be said to have contributed to plaintiff's sense of security, plaintiffs' justifiable reliance argument is based on the contention that it was reasonable for Valdez to rely on Torres' statement that Perez would be arrested immediately simply because the officer said so. In other words, plaintiffs suggest that it is always justifiable for a citizen to rely on an assertion made by a police officer.¹¹ Were we to credit this argument, we would conflate two separate elements of the special relationship

10. Plaintiffs' reliance on *Sorichetti* (65 NY2d 461) is similarly misplaced. That case was decided before this Court had articulated the four-part special relationship test and it is not clear that the Court applied the "justifiable reliance" element as it is currently constituted (*see also De Long*, 60 NY2d 296 [in case where jury was never charged on reliance element and defendant failed to object, Court suggested in dicta that there was sufficient evidence of reliance]). Moreover, *Sorichetti*—which involved an assault by a father on his daughter during weekend visitation—is distinguishable on its facts. Due to the acrimonious relationship between the parties, the father had been ordered to pick up and drop off the child at the local police precinct. Given the father's history of abusive behavior and recent threats that he would harm the child, the mother waited at the precinct on a Sunday afternoon and, when the father did not return the child promptly at 6:00 P.M. as directed, she asked the police to go to the father's home and investigate. The police strung her along, repeatedly indicating that, if the father did not appear with the child, they would take action. Thus, instead of going to the father's home to look for her daughter, the mother remained at the police station. It was not until 7:00 P.M. that it became clear that the police did not, in fact, intend to lend any assistance; at that time, the mother's reliance on the police statements would no longer have been justifiable. But, by then, the harm had already occurred—at 6:55 P.M. the father's sister went to the father's home and discovered that, sometime between 6:00 P.M. and 6:55 P.M., he had severely injured the girl.

11. In his dissent, Chief Judge Lippman further suggests that it was reasonable for plaintiff to rely on the order of protection—and he asserts that our holding today suggests that such orders "may not be reasonably relied upon" (Lippman dissent at 88). But Valdez does not claim that she relaxed her vigilance in justifiable reliance on the order of protection—she contends that she relied on the promise that Perez would be arrested immediately. The order of protection was certainly significant in this case since it afforded the occasion for the promise of arrest given that Perez's threats amounted to a violation of the order (and its existence would be of even greater importance if we reached

(n. cont'd)

test because proof that a promise was made would simultaneously fulfill both the “promise” and “justifiable reliance” elements of the four-part test. This we must decline to do. Although, in a colloquial sense, we should be able to depend on the police to do what they say they are going to do—and no doubt the police have an obligation to attempt to fulfill that trust—it does not follow that a plaintiff injured by a third party is always entitled to pursue a claim against a municipality in every situation where the police fall short of that aspiration. The element of justifiable reliance must be assessed through the prism of reasonableness and liability will not always extend to a municipality for injuries caused by the violent acts of a third party.

Because we have concluded that plaintiffs’ proof was insufficient to establish a special relationship and demonstrate that the City owed them a special duty of care, we agree with the Appellate Division that Supreme Court should have dismissed the negligence claims for failure to establish a *prima facie* case. Having determined that the duty element was lacking, we have no occasion to address whether the City preserved its right to assert the governmental function immunity defense by raising it in the trial court and, if so, whether it could have avoided liability under such a defense on the rationale that the alleged negligence involved the exercise of discretionary authority.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN (dissenting). If, as the majority suggests, there is no basis for a governmental immunity defense in this case because the “City offered no . . . evidence indicating that the police actually exercised discretionary authority in their assessment or response to [plaintiff’s] complaint” (majority op at 79 n 6), then it would seem to me that plaintiff must prevail. The majority identifies no legal principle that would justify setting aside the jury verdict in plaintiff’s favor. It is said that there was no legally sufficient basis for the jury’s conclusion that plaintiff justifiably relied upon the promise that her

the discretionary/ministerial act issue). Undoubtedly, orders of protection are important law enforcement tools. But such orders are not self-executing and must be enforced by individual police officers, a fact well known to Valdez. The issue in this case is whether Valdez reasonably relaxed her vigilance based on what was, in substance, a promise to look for Perez and arrest him if he were located—not whether orders of protection may reasonably be relied on in the abstract.

eventual assailant would be arrested “immediately.” But the evidence, viewed in the light most favorable to the plaintiff (*see Szczerbiak v Pilat*, 90 NY2d 553, 556 [1997]), was at least adequate to permit the jury rationally to conclude that Ms. Valdez reasonably relied upon Officer Torres’s assurances when she elected to return to her apartment on July 19, 1996 and when she opened her door to take out her garbage on the evening of the following day.

The evidence credited by the jury showed that on the evening of July 20, 1996, plaintiff Carmen Valdez sustained serious injuries when she was shot twice in the face and once in the arm by her estranged boyfriend, Felix Perez, who then turned his gun on himself with fatal consequence. The shooting of Ms. Valdez occurred at the threshold of her apartment and was witnessed by her two five-year-old children. During the weeks preceding the shooting, Perez had repeatedly abused, harassed and threatened Valdez and had been the subject of two orders of protection. The order in effect at the time of the shooting, issued on July 11, 1996, directed Perez to stay away from Valdez’s home, school and place of employment, and forbade him from harassing, intimidating or threatening her.

Notwithstanding the pendency of this order, Perez, who retained a key to Valdez’s apartment building, repeatedly confronted or attempted to confront her there. Accordingly, after receiving a telephone call from Perez on the evening of July 19, 1996, in which Perez threatened to kill her, Valdez fled her apartment with her children intent upon seeking refuge at the home of her grandmother. Before getting in her car to drive to her grandmother’s, however, Valdez used a street pay phone to call Jose Torres, one of the Domestic Violence Unit police officers assigned to and familiar with her case and its history. According to Ms. Valdez’s credited testimony, on hearing of Perez’s threat and plaintiff’s plan to flee her apartment, Torres instructed plaintiff not to go to her grandmother’s, but to “immediately” return to her apartment. He assured her that Perez would be arrested “immediately.” Valdez testified that Torres “told [her] don’t worry, don’t worry, we’re going to arrest him. Go to your home and don’t worry anymore.” Valdez did as Torres said, abandoning her plan of sheltering herself and her children at her grandmother’s. That evening and the ensuing night passed without incident and Valdez recalled that she felt her “nightmare was over.” The reality was unfortunately very different. Torres evidently took no action in pursuance of his

representation that Perez would be immediately arrested and, Perez, left to his own devices, by the next evening found his way to the hallway outside Valdez's apartment. There, he waited, and when plaintiff emerged from the apartment to take out her garbage he forced her back into the apartment and shot her.

The Appellate Division reasoned that Ms. Valdez could not have justifiably relied upon Officer Torres's assurances because "there was no [confirmatory] visible police conduct or action of any type" (74 AD3d 76, 81 [1st Dept 2010]). We have, however, never made such confirmation a legally requisite condition of a special duty finding. It is true that in *Cuffy v City of New York* (69 NY2d 255 [1987]) we held that the plaintiffs there could not have reasonably relied upon police assurances that their downstairs tenant would be arrested when the promised time for that action had come and gone and plaintiffs were admittedly aware that the arrest had not been made (69 NY2d at 263). But all *Cuffy* establishes is that knowledge that the police have not acted in accordance with an assurance will defeat a claim of reasonable reliance on the assurance; it does not stand for the very different proposition formulated by the Appellate Division plurality that absent objective confirmation that the police have made good upon a promise of protection their promise may not be reasonably relied on. Here, Ms. Valdez, unlike the *Cuffy* plaintiffs, was not in a position visually to confirm whether the promised arrest had been made. She might, of course, have called Torres to find out if Perez had been taken into custody, but under the circumstances the jury properly concluded that this was not, as the City had contended, required to justify her reliance.

Ms. Valdez had a preexisting relationship with Officer Torres, who had been assigned to her case and, along with his partner, Officer Pereira, was aware of the orders of protection against Perez and the history of domestic violence that had led to their issue. Ms. Valdez had every reason to expect that Torres would, upon learning of Perez's death threat and her consequent plan to move to a safer place, act responsibly to see that the order of protection was enforced. In this context, Torres's assurance that Perez would be immediately arrested was one that Valdez should have been able to rely upon, particularly when it was coupled with the instruction that Valdez should dispense with her plan to relocate, as indeed the police themselves had previously urged her to do, and immediately return to her residence.

This was not a situation in which a police officer offhandedly promised to send a car within the hour or to keep an eye out and the promisee “colloquially” counted on the representation. Here, a specific promise was made within a relationship established for the purpose of protecting Ms. Valdez, and reliance upon that promise was contemporaneously actively encouraged by the promisor. I would have thought it absolutely clear that the jury could have reasonably concluded that Ms. Valdez justifiably relied upon Officer Torres and the Domestic Violence Unit expeditiously to arrest Perez, or, failing the attainment of that objective, to advise her that the promised action had not been taken and that Perez remained at large.

The majority, like the Appellate Division, extracts from *Cuffy* the general principle that reliance will not be deemed justified where official action is promised within a time and the time passes without confirmation that the promised act has been performed. Whatever the general applicability of this principle—which, as noted, is not fairly derived from the specific facts of *Cuffy*—it is here inapposite. Plaintiff had a valid order of protection against Perez and pursuant to CPL 140.10 (4) (b) (i)¹ the police were, upon her report of its violation, required to make an arrest. The reasonableness of her reliance upon the police to do what they were legally required to did not fade, like skywriting, simply by reason of the passage of time. Indeed, even if Ms. Valdez had not been justified in believing that Perez’s arrest would be imminently accomplished, she was certainly justified in believing that the promise of an arrest required by law would eventually be kept. Certainly, the jury was not wrong to reject

1. The statute provides in relevant part:

“4. Notwithstanding any other provisions of this section, a police officer *shall* arrest a person, and shall not attempt to reconcile the parties or mediate, where such officer has reasonable cause to believe that: . . .

“(b) a duly served order of protection or special order of conditions issued pursuant to subparagraph (i) or (ii) of paragraph (o) of subdivision one of section 330.20 of this chapter is in effect, or an order of which the respondent or defendant has actual knowledge because he or she was present in court when such order was issued, where the order appears to have been issued by a court of competent jurisdiction of this or another state, territorial or tribal jurisdiction; and

“(i) Such order directs that the respondent or defendant stay away from persons on whose behalf the order of protection or special order of conditions has been issued and the respondent or defendant committed an act or acts in violation of such ‘stay away’ provision of such order” (emphasis added).

the theory that her expectation ceased to be reasonable after a day; it was at least as reasonable for the jury to conclude, as it evidently did, that with the passage of time an arrest became more, not less, likely, and that, particularly in the absence of any advisement to the contrary, plaintiff should have been able to count on the police to do what had been promised. The Court's conclusion to the contrary is puzzling, not only because the question of reliance in these circumstances is intensely fact-bound and as such not properly within our jurisdictional purview,² but also because it entails a finding that plaintiff could not have relied upon the police to do, not only what was specifically promised, but what was legally required.

To be clear, I do not say that, in every case where a governmental act is legally mandated, its performance, even when made the subject of a personal assurance, may be reasonably relied upon—there may well be situations in which specific objective circumstances known to the plaintiff would preclude such reliance—only that, where, as here, there are no circumstances manifestly preclusive of reliance, it does not seem possible to say as a matter of law that it is unreasonable to expect the government to act in accordance with its legal mandate. That, however, is what the Court holds today. This is from a legal perspective merely incorrect, but from an equitable and policy perspective devastatingly wrong. Orders of protection are intended to, and do, foster reliance. To now say that they may not be reasonably relied upon, even in a situation where the party who has been adjudicated in need of protection has been specifically promised that the order will be enforced and has no objective indication that her reliance was misplaced, fundamentally subverts the utility of these orders. While this undoubtedly shields government from liability, that objective cannot in all circumstances be the decisional imperative.

We have long recognized “the unfairness . . . in precluding recovery when a municipality’s voluntary undertaking has lulled the injured party into a false sense of security and has thereby induced him either to relax his own vigilance or to forego other

2. The majority overreads this statement. I do not say that the issue of justifiable reliance may never be determined as a matter of law; plainly, as *Cuffy* shows, it may. It remains, however, that the question of whether there is a special duty, and the entailed inquiry as to whether there has been justifiable reliance, are generally factually laced and, as such, ordinarily unsuitable for disposition purely as matters of law (see *De Long v County of Erie*, 60 NY2d 296, 306 [1983]); this case is no exception.

available avenues of protection” (*Cuffy*, 69 NY2d at 261). In such situations we have employed the special duty doctrine to permit recovery, even where the underlying failure was in the discharge of a governmental function (*see id.*). The doctrine not only narrows the class of permissible plaintiffs—which is to say the scope of the duty assumed—to those specifically promised assistance, but provides a theory of liability that does not, in the main, rest upon negligence in the provision of governmental services. Substituted for that largely forbidden claim is a theory more akin to promissory estoppel: it would be inequitable to deny recovery where there has been detrimental reliance upon a definite promise of assistance given directly by an agent of the municipality to the plaintiff. Until *McLean v City of New York* (12 NY3d 194 [2009]), it had been understood that this theory, if proved, permitted recovery, regardless of whether the underlying negligence was in the performance of a discretionary governmental function (*see Cuffy*, 69 NY2d at 260); the theory, after all, did not impose liability for failing to provide a governmental service per se, but for falsely promising that such a service would be provided and thereby inducing detrimental reliance and otherwise avoidable harm, the risk of which was known to the promisor (*see id.*).

In *McLean*, however, the Court, in the course of addressing the plaintiff’s contention that she was entitled to prevail even if she had not established the existence and breach of a special duty, since the sued upon negligence was assertedly in the performance of a ministerial function, undertook to address the distinction apparently drawn in our cases respecting the actionability of discretionary as opposed to ministerial government conduct. Quoting language from our decisions in *Pelaez v Seide* (2 NY3d 186 [2004]) and *Kovit v Estate of Hallums* (4 NY3d 499 [2005]) which seemed to cast the special duty doctrine simply as an exception to the rule of governmental immunity for discretionary acts, and contrasting that language with portions of our decisions in *Tango v Tulevech* (61 NY2d 34, 40 [1983]) and *Lauer v City of New York* (95 NY2d 95, 99 [2000]) describing the immunity for discretionary conduct as absolute, the *McLean* court said:

“If there is an inconsistency, we resolve it now: *Tango* and *Lauer* are right, and any contrary inference that may be drawn from the quoted language in *Pelaez* and *Kovit* is wrong. Government action, if

discretionary, may not be a basis for liability, while ministerial actions may be, but only if they violate a special duty owed to the plaintiff, apart from any duty to the public in general” (12 NY3d at 203).

The question that has widely arisen since *McLean* is whether it abrogated the special duty doctrine—whether even though a plaintiff succeeded in demonstrating the existence and breach of a voluntarily assumed special duty, as well as resultant injury, recovery would still be barred because the action was ultimately “based” upon governmental conduct involving the exercise of discretion. While I expressed the view in *Dinardo v City of New York* (13 NY3d 872, 875-878 [2009, Lippman, Ch. J., concurring]) that *McLean* does indeed mean what it says—a circumstance other jurists have found “inconceivable” (see *Valdez v City of New York*, 74 AD3d 76, 78 [2010])—I at the same time expressed serious doubts as to the accuracy of *McLean*’s iteration of the law respecting the applicability of the special duty doctrine and misgivings as to what that iteration portended, specifically for claims involving failures to provide promised police protection (13 NY3d at 876-878).

If, as the majority suggests, there is no factual basis for defendants’ resort to the broad immunity recognized in *McLean*, then, as noted, the amply supported jury verdict should be upheld. It appears, however, that this was a case litigated from the outset and ultimately put to the jury upon the theory that because the claim was based on a failure to provide police protection it would be barred unless plaintiff established the existence of a special duty voluntarily assumed by the City and its breach with consequent damages.³ Although the majority posits that the action was dismissed because plaintiff did not establish the existence of a duty running specially to her, this is really only another way of saying that the action was dismissed because plaintiff did not meet a necessary condition of piercing the otherwise preclusive governmental immunity. But if the immunity is, as *McLean* indicates, impregnable where the government conduct sued upon involves the exercise of discretion, the City is correct in contending that the action should be dismissed

3. The jury was charged:

“As a general rule, the police department is not responsible for injuries that result from a failure to provide police protection to a person. If, however, there is what is referred to as a special relationship between the police department and the injured party, the police department may be held responsible for the injuries.”

on that ground, without treating with the issue of reasonable reliance, since the promised conduct, an arrest, while mandated by statute, necessarily entailed the exercise of professional judgment and discretion in the manner and timing of its execution. Thus, even though plaintiff should in fact have been able to rely on the promise made by Torres, and her reliance upon that promise, in effect to act in pursuance of the outstanding order of protection, was contemplated and, indeed, encouraged as a matter of legislative design, she would be barred from recovering because the promised undertaking involved some exercise of official discretion.

The special duty doctrine was conceived precisely to avoid such an inequitable and, frankly, regressive outcome. It was devised as an extremely narrow and difficult-to-establish exception to the rule of nonliability where discretionary government conduct was alleged to have resulted in injury; never, before *McLean*, was the doctrine applied with respect to claims based on non-discretionary, i.e., ministerial, governmental acts since that conduct had been understood to be categorically actionable, provided the ordinary conditions of tort liability were met (see *Signature Health Ctr., LLC v State of New York*, 28 Misc 3d 543 [Ct Cl 2010]).⁴ *McLean*'s summary severance and reassignment of the doctrine to limit claims that would previously have been allowed, rather than permit otherwise barred causes as it had done in relation to claims based on discretionary acts, although presented as a mere clarification of existing law, in fact marked

4. Contrary to the majority (op at 77 n 4), *Lauer* and *Garrett v Holiday Inns* (58 NY2d 253 [1983]), carefully read, do not support the notion that, prior to *McLean*, a special duty claim was a requisite of recovery based on negligence in the performance of a ministerial act. While it is true that there always, consistent with basic principles of tort liability, had to be a sufficient relationship between the plaintiff and the municipality to support the imposition of a duty enforceable in tort, and in that respect such a relationship, as opposed to the municipality's relation to the public generally as a service provider, had to be "special" if a duty was to be found (see *Lauer*, 95 NY2d at 100-101), common-law tort principles, not involving the rigors of the special duty exception to the immunity for discretionary governmental acts, were ordinarily used to ascertain the existence of such a duty (see *Signature Health*, 28 Misc 3d at 553 n 7 [collecting cases]). While, obviously, a plaintiff could establish such a duty by demonstrating grounds for a promissory estoppel of the sort involved when establishing a special duty exception to the rule of immunity where discretionary governmental conduct was involved, and the plaintiff in *Lauer* relied, unsuccessfully, on such a theory among others (95 NY2d at 101-103), it is uncontrovertible that the exception's only necessary application and overwhelmingly dominant utility was in overcoming the immunity for discretionary governmental conduct.

a significant departure that has, as the array of opinions in this case at the Appellate Division demonstrates, left, even in its still temporally short wake, great confusion and uncertainty.

Today's decision, expressly leaving open the possibility that a special duty claim may be established and yet still be dismissed by reason of an ultimately unassailable immunity, effectively tolls the death knell for these actions. The doctrine was devised not simply to establish a duty owed to an individual rather than the public at large, but to permit recovery despite an otherwise preclusive immunity⁵—without accomplishing both purposes it would have been, and now is, as a practical matter futile, allowing recovery only in the inexplicable circumstance that the municipality neglects to interpose the immunity, or simply cannot do so because the conduct upon which the action is based is impossible to characterize as discretionary—a scenario of vanishingly small likelihood, particularly in police protection cases. Although the majority suggests that there remains a bright future for the theory in connection with claims based on ministerial duties, even if today's decision did not raise the reasonable reliance bar to a practically insurmountable height by holding, as a matter of law, that a plaintiff may not justifiably rely upon government to do both what it has specifically promised and what it must under the law—thus rendering what it characterizes as the distinct question of immunity avoidable in virtually all cases—no one should suppose that courts would

5. In *Garrett* (58 NY2d at 261-262), for example, we said:

“When a claim is made that a municipality has negligently exercised a governmental function, liability turns upon the existence of a special duty to the injured person, in contrast to a general duty owed to the public (*Florence v Goldberg*, 44 NY2d 189; *Sanchez v Village of Liberty*, 42 NY2d 876, app dsmd on other grounds 44 NY2d 817). Such a duty is found when a special relationship exists between the municipality and an individual or class of persons, warranting the imposition of a duty to use reasonable care for those persons' benefit (see *Sanchez v Village of Liberty*, *supra*). This principle operates to impose liability where the municipality has violated a duty commanded by a statute enacted for the special benefit of particular persons (see *Motyka v City of Amsterdam*, 15 NY2d 134); where the municipality has voluntarily assumed a duty, the proper exercise of which was justifiably relied upon by persons benefited thereby (*Florence v Goldberg*, *supra*; cf. *Schuster v City of New York*, 5 NY2d 75); or where it assumes positive direction and control under circumstances in which a known, blatant and dangerous safety violation exists (*Smullen v City of New York*, 28 NY2d 66)” (emphasis added).

construe governmental conduct to be ministerial with the liberality the majority now, in its dicta, seems to forecast.

I do not believe that a doctrine that has been so useful in tempering the harshness of governmental immunity in those rare and extreme cases where the government's *voluntary* promissory conduct has induced an individual's reliance and consequent harm should be dispatched, and certainly it should not be dispatched without explanation as if it had never existed. Today's decision, premised on a purely theoretical bifurcation of duty and immunity in the special duty context, merely completes the neutering first announced in *McLean*. I doubt that anyone will discern in it a plausible explanation as to why a doctrine that had for so long been considered to state grounds for overcoming the governmental immunity for discretionary acts, should have been summarily reduced to a vestige.

Accordingly, I would reverse the order of the Appellate Division, reinstate the verdict, and remit for further proceedings.

JONES, J. (dissenting). It is undisputed that “[m]unicipalities long ago surrendered common-law tort immunity for the negligence of their employees,” save for discretionary acts (*Lauer v City of New York*, 95 NY2d 95, 99 [2000]; see *Tango v Tulevech*, 61 NY2d 34, 40 [1983]). Plainly stated, discretionary acts “may not result in the municipality’s liability even when the conduct is negligent,” and “[m]inisterial negligence may not be immunized” (*Lauer*, 95 NY2d at 99). However, concurrent with the Court’s application of the governmental immunity defense to discretionary acts and its recognition of tortious ministerial acts, this Court declared the “narrow right to recover from a municipality for its negligent failure to provide police protection where a promise of protection was made to a particular citizen and, as a consequence, a ‘special duty’ to that citizen arose” (*Cuffy v City of New York*, 69 NY2d 255, 258 [1987]). This exception is consistent with the well-settled principle that there can be no liability against a municipality for negligence without the plaintiff demonstrating that a *specific duty* was owed to that person (see *Lauer*, 95 NY2d at 100).

Therefore, in my view, *Cuffy*’s “narrow right to recover from a municipality” remained unaffected by the Court’s continued application of immunity to discretionary acts in claims by “a member of the public . . . against a municipality for its employee’s negligence” (*Lauer*, 95 NY2d at 97; see *Dinardo v City of New York*, 13 NY3d 872 [2009]; *McLean v City of New*

York, 12 NY3d 194 [2009]). This view is supported by a long line of decisions concerning the narrowly-recognized claim against a municipality “for its negligent failure to provide police protection where a promise of protection was made to a particular citizen” (*Cuffy*, 69 NY2d at 258; see *De Long v County of Erie*, 60 NY2d 296 [1983]; *Schuster v City of New York*, 5 NY2d 75 [1958]) and common-law tort claims against a municipality where discretionary and ministerial distinctions are necessary to distinguish between actions by employees for which a municipality should and should not be held liable (see *McLean*, 12 NY3d at 202; *Lauer*, 95 NY2d at 99-100; *Tango v Tulevech*, 61 NY2d 34, 40 [1983]).* Thus, I would have concluded that a claim for the negligent failure to provide police protection is excepted from the governmental immunity defense and any discretionary or ministerial distinctions and proceeded to whether plaintiffs established prima facie evidence to support this claim.

“[A]t the heart of most of these ‘special duty’ cases is the unfairness that the courts have perceived in precluding recovery when a municipality’s voluntary undertaking has lulled the injured party into a false sense of security and has thereby induced him either to relax vigilance or to forego other available avenues of protection” (*Cuffy*, 69 NY2d 261).

To that end, a “special relationship” is established between a municipality and plaintiff when there is

“(1) an assumption by the municipality, through promises or actions, of an affirmative duty to act on

* In *Lauer* and *McLean*, the plaintiffs asserted the existence of a “special relationship” as enumerated in *Cuffy* (a police protection case) to impose liability against a municipality. In each case, the Court rejected that assertion, holding that the plaintiff failed to demonstrate certain elements of that claim. Notwithstanding plaintiff’s failure to satisfy the elements of a “special duty,” we were undoubtedly constrained by *Tango* and its progeny to apply the ministerial and discretionary distinctions in those cases. The majority, in comparing the distinctions between police inaction cases and other tort cases against the municipality, aptly notes that the Court, in *Cuffy* and its predecessors, exposed municipalities to tort liability based upon the inaction of the police only where a “special duty” existed, but did not impose similar exposure based upon the inaction of other public employees because of the discretionary act exception to tort liability against a municipality. *Cuffy* explains indeed that a claim against a municipality for police inaction “where a promise of protection was made” is a “narrow class of cases,” and the Court recognized such cases in *Cuffy* without regard to discretionary and ministerial distinctions (see 69 NY2d at 258, 260). Accordingly, I see no reason to apply such distinctions now.

behalf of the party who was injured; (2) knowledge on the part of the municipality's agents that inaction could lead to harm; (3) some form of direct contact between the municipality's agents and the injured party; and (4) that party's justifiable reliance on the municipality's affirmative undertaking" (*id.* at 260).

This Court has made clear that it is "the injured party's reliance," as well as "the municipality's voluntary affirmative undertaking of a duty to act," that are "critical in establishing the existence of a 'special relationship' " (*id.* at 261).

Whether a special relationship existed is a question for the jury (*see generally De Long v County of Erie*, 60 NY2d at 306). Most significantly in this case, the jury had resolved the following in the affirmative: that plaintiff called her local police precinct and informed an officer that Perez had threatened to kill her; that the officer instructed her to stay home and that Perez would be arrested; that she justifiably relied on the police when she stayed at home with her children; and that the police's negligent inaction led to her harm. In other words, the jury specifically found a special relationship existed between plaintiff and the police department, and there was no basis upon which a court should have disturbed this jury verdict.

As in *Cuffy*, justifiable reliance is the issue upon which the majority relies to bar plaintiffs' recovery. In that case, the plaintiffs sought police protection from the tenants located on the ground-floor apartment of their two-family home. Mr. Cuffy advised a lieutenant at a local precinct that he would move his family immediately from the two-family home if an arrest of his tenant was not made. The lieutenant informed Mr. Cuffy that an arrest would be made or something else would be done "first thing in the morning" (69 NY2d at 259). On the following evening, Mrs. Cuffy and her two sons sustained severe injuries from an attack by the tenants at the home. The Court concluded that, although "the police [may have] had a 'special duty' to [the plaintiffs] because of the promise . . . made [to] those plaintiffs' overnight," the plaintiffs' justifiable reliance had dissipated by midday because the Cuffys, who remained home at the direction of the police, were "aware that the police had not arrested or otherwise restrained [the tenants] as had been promised" (*id.* at 263, 264).

Here, plaintiff provided her local police precinct with an order of protection so that it could be served on Perez. Two officers

from the Domestic Violence Unit were assigned to her case. Plaintiff alleged, and the jury believed, that after receiving a threatening phone call by Perez, she called the Domestic Violence Unit and spoke with one of the two officers assigned. She advised the officer that she was planning to go to her grandmother's house with her children, but was advised by him to return to her apartment and Perez would be arrested "immediately." The following evening, plaintiff was shot by Perez in the hallway of her apartment building. These facts do not support the conclusion that plaintiff's claim was insufficient as a matter of law.

I disagree with the majority's assessment that (1) plaintiff could not have justifiably relied upon the police's assurance that Perez would be arrested "immediately" because "his location had to be discovered" and (2) her "own statements concerning her expectations undercut the claim of justifiable reliance" because she expected a call from the police confirming the arrest (majority op at 82). To my mind, the word "immediately" implies that the police will act with urgency and the failure to receive a phone call from the police within 24 hours of her complaint does not demonstrate that plaintiff knew or should have known that the police did not act. Plaintiff secured an order of protection against Perez, had the order served by the police, and contacted the same unit to enforce the order. Based on the time that had passed (enough for the police to act, but insufficient for plaintiff to suspect inaction) and the officer's familiarity with her case, it is reasonable to conclude that plaintiff was justifiably lulled, by the police officer's promise, into a state of relaxed vigilance. Moreover, there is truly nothing noteworthy that indicates her reliance upon the police, who were assigned to her case and served the order of protection, was unjustified or, if justified, that it had dissipated (*cf. Cuffy*, 69 NY2d at 264). Thus, it cannot be said, as a matter of law, that plaintiff's reliance upon the promises of the police was unjustifiable. In fact, to conclude that this case involves unjustifiable reliance may be to remove claims based upon a "special duty" from possibility.

Accordingly, I too would reverse the Appellate Division order and reinstate the verdict.

Judges CIPARICK, READ, SMITH and PIGOTT concur with Judge GRAFFEO; Chief Judge LIPPMAN dissents and votes to reverse in

a separate opinion; Judge JONES dissents and votes to reverse in another opinion.

Order affirmed, with costs.

[960 NE2d 377, 936 NYS2d 608]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JUAN MEDINA, Appellant.

Argued October 11, 2011; decided November 17, 2011

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 19, 2009. The Appellate Division modified, as a matter of discretion in the interest of justice, a judgment of the Supreme Court, Bronx County (David Stadtmauer, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree. The modification consisted of reducing the sentence from a term of 10 years to a term of eight years. The Appellate Division affirmed the judgment as modified.

People v Medina, 67 AD3d 548, reversed.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review — Challenge to Jury Charge

1. In the first-degree robbery prosecution of defendant, a paid informant for the Drug Enforcement Administration who participated in an unauthorized break-in but told police that he was trying to stop the robbery, defendant's challenge to the trial court's failure to instruct the jury on the statutory definitions of the terms "deprive" and "appropriate" as they related to the meaning of larcenous intent was preserved for review. In order to preserve for appellate review a claim of error in a charge to the jury, a defendant must make his or her position known to the court and the argument must be specifically directed at the alleged error (*see* CPL 470.05 [2]). At trial, the jurors sent several notes to the court indicating that they were having difficulty resolving whether the defendant had the requisite larcenous intent, defined in Penal Law § 155.05 (1) as the "intent to deprive another of property or to appropriate the same to himself or to a third person." Defendant's counsel expressed concern that the jury might not understand the meaning of the phrase "[a]ppropriated for himself" and requested a particular charge as to intent with regard to that phrase, which the court rejected. That was sufficient to preserve the issue for review because the definition of the term went directly to the question of the permanency of the taking and the requisite intent.

Crimes — Instructions — Failure to Instruct Jury on Statutory Definitions of "Deprive" and "Appropriate" with Respect to Larcenous Intent

2. In the first-degree robbery prosecution of defendant, a paid informant for the Drug Enforcement Administration who participated in an unauthorized break-in but told police that he was trying to stop the robbery, the trial court's failure to instruct the jury on the statutory definitions of the terms "deprive"

and “appropriate” as they related to the meaning of larcenous intent constituted reversible error. In order to sustain a conviction for robbery in the first degree the People were required to establish that defendant had larcenous intent, defined as the “intent to deprive another of property or to appropriate the same to himself or to a third person” (Penal Law § 155.05 [1]). At the heart of the intent issue here was whether defendant intended to permanently deprive the victims of the property taken from them. Given the omission of the definition of “appropriate” and/or “deprive,” the instruction did not adequately convey the meaning of intent to the jury and instead created a great likelihood of confusion such that the degree of precision required for a jury charge was not met. During deliberations, the jurors sent several notes to the court indicating that they were having difficulty resolving whether the defendant had the requisite larcenous intent. Under the circumstances present here, including the defendant’s unusual behavior during the crime and the jury notes evincing its confusion concerning the meaning of intent, the error was not harmless.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 618; AM JUR 2d, Robbery §§ 17, 63, 64; AM JUR 2d, Trial § 933.

CARMODY-WAIT 2d, Charge and Instructions to Jury §§ 200:11, 200:14, 200:15; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:18, 207:19, 207:36, 207:169, 207:170.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.8, 27.5, 27.6.

NY JUR 2d, Criminal Law: Procedure §§ 2728, 2730, 3454–3456, 3650; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 987, 1006.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Instructions to Jury; Robbery.

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POINTS OF COUNSEL

Cahill Gordon & Reindel LLP, New York City (*Noah H. Bishoff* of counsel), and *Legal Aid Society, Criminal Appeals Bureau* (*Steven Banks* and *Andrew C. Fine* of counsel) for appellant. I. The trial court’s refusal to define “deprive” and “appropriate” constituted an insufficient charge on the element of intent, which was a primary focus of appellant’s defense and the subject

of repeated juror inquiry, and thus deprived appellant of his due process right to a fair trial. (*People v Blacknall*, 63 NY2d 912; *People v Guzman*, 68 AD2d 58; *People v Davis*, 269 AD2d 463; *People v Zambuto*, 93 AD2d 873; *People v Albanese*, 88 AD2d 603; *People v Johnson*, 75 AD2d 585.) II. The trial court's refusal to declare a mistrial or conduct an inquiry despite multiple deadlock notices and lengthy deliberations deprived appellant of his due process right to a fair trial. (*Matter of Plummer v Rothwax*, 63 NY2d 243; *People v Peterson*, 273 AD2d 88; *People v Santana*, 260 AD2d 187; *People v Campbell*, 203 AD2d 127; *Matter of Guido v Berkman*, 116 AD2d 439; *People v Reed*, 230 AD2d 866; *People v Sheldon*, 136 AD2d 761; *People v Aponte*, 2 NY3d 304; *People v Pagan*, 45 NY2d 725; *United States v Seawell*, 550 F2d 1159.)

Robert T. Johnson, District Attorney, Bronx (*T. Charles Won*, *Joseph N. Ferdenzi* and *Karen Swiger* of counsel), for respondent. I. There was overwhelming evidence of defendant's guilt of robbery in the first degree. II. By failing to specifically request that the trial court define the terms "deprive" and "appropriate," defendant failed to preserve his claim that the court's definition of robbery was incorrect; nevertheless, the facts of the case did not require that the terms be defined. (*People v Hawkins*, 11 NY3d 484; *People v Gray*, 86 NY2d 10; *People v Michael*, 48 NY2d 1; *People v Stephens*, 84 NY2d 990; *People v Mosley*, 67 NY2d 985; *People v Slacks*, 90 NY2d 850; *People v Drake*, 7 NY3d 28; *People v Blacknall*, 63 NY2d 912; *People v Rayam*, 94 NY2d 557; *People v Crimmins*, 36 NY2d 230.) III. The trial court's responses to the jury notes indicating either that it was deadlocked or that some of the jurors refused to deliberate were balanced and noncoercive, and the court exercised proper discretion in issuing supplemental instructions and not declaring a mistrial. (*People v Santiago*, 52 NY2d 865; *People v Autry*, 75 NY2d 836; *People v Baptiste*, 72 NY2d 356; *People v Stephens*, 84 NY2d 990; *Matter of Plummer v Rothwax*, 63 NY2d 243; *People v Alvarez*, 86 NY2d 761; *People v Campos*, 239 AD2d 185; *People v Bonilla*, 225 AD2d 330; *People v Aponte*, 2 NY3d 304; *United States v Seawell*, 550 F2d 1159.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The question before the Court in this appeal from a first-degree robbery conviction is whether the trial court's failure to charge the jury with the statutory definition of "appropriate"

and/or “deprive,” which forms part of the definition of larcenous intent, is reversible error. We hold that it is.

The Appellate Division, although reducing the sentence, upheld the first-degree robbery conviction, finding the claimed omission from the jury charge unpreserved, and in any event non-prejudicial (67 AD3d 548 [1st Dept 2009]). A Judge of this Court granted defendant leave to appeal (15 NY3d 776 [2010]) and we now reverse.

On November 23, 2004, defendant, a paid informant for the Drug Enforcement Administration (DEA),¹ participated in an unauthorized break-in at the home that Jose Oleaga shared with his wife Jenny Pena and their two daughters. Defendant was accompanied by another man and a woman. When the three arrived at the front door of the home, the woman stood in front of the peephole and requested to see the person who rented apartments. Pena, who rented apartments, instructed Oleaga to open the door and he did so. Defendant and the other man then entered the apartment and Oleaga immediately fled, followed by the man who had accompanied defendant to the apartment. Defendant, who was now in the apartment alone with Pena and her children, told Pena to lie down so that he could tie her up. However, when Pena informed him that her children were at home, he instructed her to proceed to where the children were. As they walked through the apartment, Pena observed defendant take her cell phone from a computer desk. When they reached the master bedroom where they found one of Pena’s daughters, Pena informed defendant that her other daughter was in another bedroom. They went into the daughter’s bedroom where Pena and defendant had a conversation. During that time, defendant repeatedly said “I am your friend,” and again told Pena to lie down so that he could tie her up. She refused to lie down and defendant told her to sit down. He then left the apartment. Meanwhile, Oleaga flagged down a police car and the police searched for, but were unable to find, the man who had chased him. Minutes later, the police returned to the apartment building and observed defendant still in the area.

Defendant told police officers that he was a DEA informant and was trying to stop a robbery. A police officer asked defendant

1. On September 29, 2004, defendant became a paid informant for the DEA. In order to become an informant, defendant signed an agreement which contained provisions prohibiting him from participating in unauthorized criminal activity. The agreement was to last until September 29, 2005. However, defendant was deactivated after the events which led to his conviction in this case.

if he had anything that he should not have and defendant replied that he was carrying a gun in his right jacket pocket. The officer then searched defendant and found in defendant's jacket pockets an unloaded gun, two bullets, a roll of duct tape, a pair of rubber gloves, and three cell phones. It was later discovered that one of the cell phones belonged to defendant and the others belonged to Oleaga and Pena. Although they did not agree on the exact amount, both Pena and Oleaga later claimed that several thousand dollars were missing from a drawer in their bedroom. No cash was recovered from defendant upon his arrest.

Defendant was placed into the car of a second police officer. Defendant attracted the attention of that officer, who had not yet entered the car, by banging his head against the car window and the two had a conversation. The officer testified that defendant told him that "they" had come to defendant's house, asked him if he wanted to make some money, and when defendant replied in the affirmative, handed defendant a gun in order to commit a robbery. Defendant reported that a white Suburban and a Ford Taurus were involved in the robbery and that a person named Nelson had given him the gun. A Ford Taurus, containing rubber gloves and a handgun, was recovered at the scene. Police gave defendant permission to call Nelson Guerrero and defendant attempted to do so. Prior to this incident, defendant had informed on Guerrero to the DEA and had turned over drugs to the DEA that he had obtained from Guerrero.

At the police precinct, a third officer interviewed defendant and drove defendant to the location where defendant told him the robbery had been planned. Defendant showed the officer Guerrero's home and the business owned by Guerrero's mother. From information provided by defendant, police were able to identify the other people involved in the robbery.

Defendant was indicted on 17 counts, including two counts of robbery in the first degree, burglary in the first and third degrees, and attempted burglary in the second degree.

As is relevant here,

"[a] person is guilty of robbery in the first degree when he forcibly steals property and when, in the course of the commission of the crime or of immediate flight therefrom, he or another participant in the crime . . .

"[i]s armed with a deadly weapon; or . . .

“[d]isplays what appears to be a pistol, revolver, rifle, shotgun, machine gun or other firearm” (Penal Law § 160.15 [2], [4]).

In order to sustain a conviction for robbery in the first degree the People must establish that defendant had the requisite intent—that is, larcenous intent. Larcenous intent means the “intent to deprive another of property or to appropriate the same to himself or to a third person” (Penal Law § 155.05 [1]).

Following the presentation of evidence, the jury embarked on lengthy deliberations before returning a verdict on the fifth day. The jury sent several notes to the court over the course of the five days of deliberations indicating that the jurors were having difficulty understanding the meaning of intent and resolving whether defendant had the requisite intent. On three separate occasions, including on the day the verdict was returned, the jury sent notes to the court evincing that it did not understand the meaning of intent. In one note (sent on the fourth day of deliberations) the jury stated “2 jurors do not beli[e]ve beyond a reasonable doubt that [defendant’s] intent was to committ [*sic*] a crime.” Defendant was convicted of first-degree robbery but acquitted of first-degree burglary.

[1] On appeal, defendant challenges the court’s failure to instruct the jury on the statutory definitions of the terms “deprive” and “appropriate” as they relate to the meaning of larcenous intent. We are not persuaded by the People’s argument that defendant did not preserve for this Court’s review the challenge to the jury instruction.

“For purposes of appeal, a question of law with respect to a ruling or instruction of a criminal court during a trial or proceeding is presented when a protest thereto was registered, by the party claiming error, at the time of such ruling or instruction or at any subsequent time when the court had an opportunity of effectively changing the same. Such protest need not be in the form of an ‘exception’ but is sufficient if the party made his position with respect to the ruling or instruction known to the court, or if in re[s]ponse to a protest by a party, the court expressly decided the question raised on appeal. In addition, a party who without success has either expressly or impliedly sought or requested a particular ruling or instruction, is deemed to have thereby protested the court’s ultimate disposition of

the matter or failure to rule or instruct accordingly sufficiently to raise a question of law with respect to such disposition or failure regardless of whether any actual protest thereto was registered.” (CPL 470.05 [2].)

We have held that “in order to preserve a claim of error in . . . a charge to the jury, a defendant must make his or her position known to the court” and “that the argument [must] be ‘specifically directed’ at the alleged error” (*People v Gray*, 86 NY2d 10, 19 [1995]).

We hold that defendant’s challenge to the jury charge was preserved. At trial, defendant’s counsel expressed concern that the jury might not understand the meaning of the phrase “[a]ppropriated for himself” and requested a particular charge as to intent with regard to that phrase, which the court rejected. We find this to be sufficient to preserve the issue for our review because the definition of the term goes directly to the question of the permanency of the taking and the requisite intent.

[2] In evaluating a challenged jury instruction, we view the charge as a whole in order to determine whether a claimed deficiency in the jury charge requires reversal (*see People v Umali*, 10 NY3d 417, 426-427 [2008] [holding that “(o)ur task in evaluating a challenge to jury instructions is not limited to the appropriateness of a single remark; instead, we review the context and content of the entire charge’’]). We will not disturb a jury verdict even where a “single sentence of the charge, when read in isolation, ‘was improper and should not have been used’ ” so long as the “court’s charge, taken as a whole, conveyed to the jury the correct standard” (*People v Drake*, 7 NY3d 28, 32 [2006], quoting *People v Fields*, 87 NY2d 821, 823 [1995] [emphasis omitted]). Because we review a misstatement or omission in a jury instruction in the context in which it was made, we cannot say that in all cases a court’s failure to provide requested statutory definitions constitutes reversible error. Rather, we hold that in this case, given the omission of the definition of “appropriate” and/or “deprive,” the instruction did not adequately convey the meaning of intent to the jury and instead created a great likelihood of confusion such that the degree of precision required for a jury charge was not met.

In *People v Blacknall* (63 NY2d 912, 913 [1984]), an attempted larceny case, we held that the “[f]ailure of the Trial Judge to include in the jury charge, as requested, the statutory definitions of ‘deprive’ and ‘appropriate,’ ” which form part of the

definition of larcenous intent, constituted reversible error. We expressed concern that based on the facts in that case the court's omission of definitions of "appropriate" and "deprive" "could have misled the jury into thinking that any withholding, permanent or temporary, constituted larceny" (*id.* at 914 [internal quotation marks, citation and emphasis omitted]).² We also find persuasive that, "[a]s one commentator has noted, the concepts of 'deprive' and 'appropriate' . . . 'are essential to a definition of larcenous intent,' " and they " 'connote a purpose . . . to exert *permanent or virtually permanent control over the property* taken, or to cause *permanent or virtually permanent loss* to the owner of the possession and use thereof" (*People v Jennings*, 69 NY2d 103, 118 [1986] [emphasis added], quoting Hechtman, Practice Commentaries, McKinney's Cons Laws of NY, Book 39, Penal Law § 155.00, at 103 [1975 ed]). At the heart of the intent issue, with which the jury evidently struggled, is whether defendant intended to permanently deprive the victims of the property taken from them.

While we recognize that there are cases in which the court's omission of the definition of a term or terms may constitute harmless error, we find that under the circumstances present in this case, the error was not harmless. The unusual nature of defendant's behavior, coupled with the notes sent during deliberations evincing the jury's confusion concerning the meaning of intent, is pertinent to the harmless error analysis. We have recognized that there are dangers inherent in "intrud[ing] into the jury's deliberative process by speculating on how the jury perceived and weighed the evidence" (*People v Rayam*, 94 NY2d 557, 561 [2000] [internal quotation marks and citation omitted]). However, in this case, no such speculation is necessary as the jury's confusion concerning the concept of intent is evident

2. "To 'deprive' another of property means (a) to withhold it or cause it to be withheld from him permanently or for so extended a period or under such circumstances that the major portion of its economic value or benefit is lost to him, or (b) to dispose of the property in such manner or under such circumstances as to render it unlikely that an owner will recover such property" (Penal Law § 155.00 [3]).

"To 'appropriate' property of another to oneself or a third person means (a) to exercise control over it, or to aid a third person to exercise control over it, permanently or for so extended a period or under such circumstances as to acquire the major portion of its economic value or benefit, or (b) to dispose of the property for the benefit of oneself or a third person" (Penal Law § 155.00 [4]).

from its own messages to the court during deliberations. Taken together with the facts underlying the conviction in this case, we find that the jury notes provide a clear basis for our conclusion that the court's failure to define "appropriate" and/or "deprive" was not harmless.

In view of the foregoing, we need not reach the other issue raised by defendant on this appeal.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[960 NE2d 383, 936 NYS2d 614]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SEBASTIAN DELAMOTA, Appellant.

Argued October 11, 2011; decided November 17, 2011

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 22, 2010. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Joseph A. Grosso, J., at suppression hearing; Stephen A. Knopf, J., at trial; *see* 18 Misc 3d 1130[A], 2008 NY Slip Op 50244[U]), which had convicted defendant, upon a jury verdict, of robbery in the first degree, criminal possession of a weapon in the third degree, and menacing in the second degree.

People v Delamota, 74 AD3d 1225, reversed.

HEADNOTES

Crimes — Verdict — Sufficiency of Evidence — Conflicting Testimony of Multiple Witnesses

1. In the prosecution of defendant for first-degree robbery and related charges, the evidence at trial was legally sufficient to support defendant's conviction despite discrepancies in the trial proof about the perpetrator's physical appearance. The detective who spoke with the victim on the night of the robbery testified that, in the immediate aftermath of the robbery, the victim said that the perpetrator was a Hispanic man in his mid-20s who weighed about 140 pounds, was approximately five feet, six inches tall and held a knife in his right hand while he stole property with his left hand. Defendant, however, was 18 years old at the time of the robbery, stood six feet, three inches tall and had a nonfunctioning left arm. Nevertheless the victim was unwavering during his testimony at trial that the robber had not used his left arm, that defendant was the person who attacked him and that the detective's recollection of the perpetrator's description was simply incorrect. Moreover, the victim provided a rational explanation for the difference between his memory of the robber and the description provided by the detective that the jury was entitled to accept or reject. The limited rule of *People v Ledwon* (153 NY 10 [1897]), which established that a criminal conviction is not supported by legally sufficient evidence if the only evidence of guilt is supplied by a witness who offers inherently contradictory testimony about the defendant's culpability, was not applicable here since the victim's trial testimony was not inherently inconsistent. Court of Appeals jurisdiction is constrained by its standard of review and defendant's conviction could not be overturned on sufficiency grounds regardless of the Court's subjective assessment of the People's case. Such authority is vested exclusively in the intermediate appellate court under its obligation to review whether the weight of the evidence supported the verdict—a determination governed by a legal standard that is far broader than the one employed in a sufficiency analysis.

Crimes — Identification of Defendant — Suggestive Identification Procedure

2. In the prosecution of defendant for first-degree robbery and related charges, the trial court erred when it denied defendant's motion to reopen the *Wade* hearing on defendant's pretrial motion to suppress the victim's identifications of defendant after the victim's son, who had acted as translator for the victim while the victim viewed a photographic array, testified at trial that he had known defendant for "[a] long time" prior to the robbery. Although the suppression court had been troubled by the son's role at the identification procedure the court ultimately concluded that suppression was not warranted because the son had informed the investigating detective before trial that he did not know defendant. The son's trial testimony, however, fatally undermined the suppression court's rationale for denying that motion. The son's significant revelation at trial considerably strengthened defendant's suggestiveness claim when viewed in conjunction with other relevant facts: the detective acted on unspecified neighborhood gossip regarding the robber's name and history based on information provided by the son; the detective was apparently concerned about the son's possible preexisting familiarity with defendant and broached the topic before the photo array was conducted; the detective either was or should have been aware of the substantial risk that the son was familiar with defendant despite the son's assurance to the contrary; there was no apparent impediment to the detective utilizing a Spanish interpreter who did not have preexisting information about the possible perpetrator or a familial connection to the victim; and the detective could not be reasonably sure that the son would accurately translate the conversation. The suggestiveness could not be attributed to the victim's son, but to the detective's decision to utilize the son as the interpreter notwithstanding the possible risks that were involved in that practice. Moreover, defendant could not have discovered, before the suppression court ruled on the motion, the true extent of the son's familiarity with defendant or what the son misrepresented to the police (*see* CPL 710.40 [4]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 210, 627; AM JUR 2d, Criminal Law § 924; AM JUR 2d, Evidence §§ 640, 660, 664, 665, 1399.

CARMODY-WAIT 2d, Eyewitness Identification Procedures §§ 174:46, 174:63; CARMODY-WAIT 2d, Pretrial Motions §§ 189:279, 189:281, 189:292, 189:296, 189:297; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:134, 207:169, 207:172.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 7.4, 10.5, 10.6, 27.5.

McKINNEY'S, CPL 710.40 (4).

NY JUR 2d, Criminal Law: Procedure §§ 665, 696, 1622–1625, 3637, 3642, 3644.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Description and Identification; Exclusion and Suppression of Evidence.

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POINTS OF COUNSEL

Appellate Advocates, New York City (*Andrew E. Abraham* and *Lynn W.L. Fahey* of counsel), for appellant. I. In this one-witness identification case, a reasonable doubt exists, as a matter of law, as to whether appellant, a six feet, three inch, 170 pound, 19 year old with an injured and useless arm, was the robber the complainant initially described as a five feet, six inch, 140 pound man in his mid-20s, who was able to use both arms fully during the crime, especially since the original report to police was that the complainant did not see the robber's face or know whether he was black or white, and virtually every aspect of the complainant's testimony as to critical facts was contradicted by other evidence. (*People v Reed*, 40 NY2d 204; *People v Santos*, 38 NY2d 173; *People v Ledwon*, 153 NY 10; *People v Calabria*, 3 NY3d 80; *Jackson v Virginia*, 443 US 307; *People v Foster*, 64 NY2d 1144; *People v Stewart*, 40 NY2d 692; *People v Logue*, 35 NY2d 658; *People v Sickles*, 35 NY2d 792; *People v Abelson*, 309 NY 643.) II. Suppression of the complainant's pretrial identification was required when the police allowed his son—who was appellant's age, was from the same neighborhood, and had given the police appellant's name—to act as his father's Spanish interpreter at the photo array, and when the son admitted at trial that he had known appellant a long time. (*United States v Wade*, 388 US 218; *People v Rodriguez*, 79 NY2d 445; *People v Chipp*, 75 NY2d 327; *People v Gonzalez*, 145 AD2d 923; *People v Jones*, 108 AD2d 824; *People v Mosley*, 110 AD2d 937; *People v Gaddy*, 98 AD2d 729; *People v Burts*, 78 NY2d 20; *People v Young*, 35 AD3d 324; *People v Truesdale*, 299 AD2d 289.) III. Appellant was denied the effective assistance of counsel by his attorney's failure to (a) protest inadmissible hearsay that appellant's close friend "knew" appellant committed the crime, (b) appropriately object to an improper *Dawson* inquiry of a key defense witness, or (c) protect appellant from evidence that suggested appellant had a generally bad character and unsavory friends. (*Strickland v Washington*, 466 US 668; *People v Baldi*, 54 NY2d 137; *People v Benevento*, 91 NY2d 708; *People v Bennett*, 29 NY2d 462; *Somerville v Conway*, 281 F Supp 2d 515; *Murray v Carrier*, 477 US 478; *People v Caban*, 5 NY3d 143; *People v Henry*, 95 NY2d 563; *People v Flores*, 84 NY2d 184; *People v Huertas*, 75 NY2d 487.)

Richard A. Brown, District Attorney, Kew Gardens (Daniel Bresnahan and John M. Castellano of counsel), for respondent. I. The evidence was legally sufficient to prove defendant's guilt beyond a reasonable doubt. (*People v Calabria*, 3 NY3d 80; *People v Jackson*, 65 NY2d 265; *People v Bleakley*, 69 NY2d 490; *People v Contes*, 60 NY2d 620; *Jackson v Virginia*, 443 US 307; *People v Ford*, 66 NY2d 428; *People v Arroyo*, 54 NY2d 567; *People v Foster*, 64 NY2d 1144; *People v Reed*, 40 NY2d 204; *People v Ledwon*, 153 NY 10.) II. The hearing court properly denied defendant's motion to suppress the identification evidence, and the trial court properly declined to disturb the hearing court's decision. (*United States v Wade*, 388 US 218; *People v Collins*, 60 NY2d 214; *People v McBride*, 14 NY3d 440; *People v Chipp*, 75 NY2d 327; *People v Adams*, 53 NY2d 241; *People v Marte*, 12 NY3d 583; *People v Ortiz*, 90 NY2d 533; *People v Prochilo*, 41 NY2d 759; *People v Lee*, 96 NY2d 157; *People v Jackson*, 98 NY2d 555.) III. Defendant received the effective assistance of counsel at trial. (*People v Benevento*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *People v Baker*, 14 NY3d 266; *People v Satterfield*, 66 NY2d 796; *People v Borrell*, 12 NY3d 365; *People v Turner*, 5 NY3d 476; *People v Henry*, 95 NY2d 563; *People v Flores*, 84 NY2d 184; *People v Caban*, 5 NY3d 143; *Strickland v Washington*, 466 US 668.)

OPINION OF THE COURT

GRAFFEO, J.

Over a century ago, *People v Ledwon* (153 NY 10 [1897]) established that a criminal conviction is not supported by legally sufficient evidence if the only evidence of guilt is supplied by a witness who offers inherently contradictory testimony about the defendant's culpability. The victim in this case consistently told the jury that defendant was the person who robbed him but his testimony conflicted with the testimony of other witnesses. We hold that the limited rule of *Ledwon* does not govern on these facts and the proof at trial was sufficient to support defendant's conviction despite the evidentiary discrepancies. Nevertheless, an unduly suggestive pretrial identification procedure entitles defendant to a new trial preceded by an independent source hearing.

I

On an evening in October 2006, Juan Hernandez was robbed at knife point in an elevator at his apartment building. Shortly after the incident, his son, Juan Jr., telephoned 911 and

pretended to be his father. Juan Jr. gave the 911 operator a general description of the robber but some of his statements were not accurate because he had received little information from his father.

As a result of the 911 call, later that night Detective Bruce Koch spoke to Hernandez and his son. Juan Jr. translated for his father during the conversation. According to Detective Koch, Hernandez described the robber as a Hispanic man in his mid-20s who weighed approximately 140 pounds and was about the detective's height—five feet, six inches. Hernandez also allegedly stated that the perpetrator held the knife in his right hand and took the stolen items with his left hand. The detective assembled various photographs of individuals from a police department database that matched this general description but Hernandez was not able to make an identification. Defendant Sebastian Delamota—who at the time of the robbery was 18 years old, six feet, three inches tall and had a functionally impaired left arm as a result of a previous gunshot injury—was not among the persons in the photographs shown to Hernandez.

Hernandez and his son met again with Detective Koch a few days after the robbery. Juan Jr. told the detective that, based on neighborhood gossip, he had been told that the perpetrator of his father's robbery was "Sebastian" and that this individual had been shot earlier that year on Elmhurst Avenue. Detective Koch asked Juan Jr. if he knew Sebastian and he responded in the negative. After searching the police database, Detective Koch learned that defendant had been shot on Elmhurst Avenue in April 2006. The detective located defendant's photo, assembled an array and showed it to Hernandez. With Juan Jr. translating, Hernandez chose defendant's photograph as depicting the man who robbed him. Defendant was subsequently apprehended, placed in a lineup and identified by Hernandez, this time with a Spanish-speaking detective serving as the interpreter.

Defendant was indicted for first-degree robbery, third- and fourth-degree weapon possession and second-degree menacing. Defense counsel moved to suppress the identifications by Hernandez, arguing that Juan Jr.'s presence during the photo array caused the procedure to be unduly suggestive since there was a possibility that Juan Jr. knew defendant from the neighborhood before the array was conducted. The People responded that the identification could not have been suggestive because Juan Jr.

told Detective Koch that he did not know defendant. Supreme Court determined that although it was “not the best practice” to use Juan Jr. as an interpreter for his father, there was no basis for suppression because the son “did not know Mr. Delamota from the neighborhood, did not know who Mr. Delamota was” during the photo array and, hence, the lineup was similarly untainted.

At the jury trial, Detective Koch testified about his recollection of Hernandez’s description of the robber, including Hernandez’s statement that the perpetrator held a knife in his right hand and used his left hand to take certain articles of property. When Hernandez testified, he recalled that the robber had been unable to raise his left arm above his waist. Hernandez claimed that Detective Koch’s recollection was mistaken and denied that he ever told the police that the robber had used both arms during the commission of the crime. Hernandez also provided various explanations for other inconsistencies in the proof, such as the perpetrator’s height and age and how much cash was stolen. In addition, the parties stipulated that Hernandez told a therapist the day after the robbery that he was mugged “by a man he recognized as visiting his apartment complex on various occasions,” which statement conflicted with Detective Koch’s testimony that Hernandez said he was not familiar with the attacker.

When Juan Jr. took the stand, he admitted that he had known defendant for “[a] long time” prior to the robbery and had been present when defendant was placed into an ambulance after being shot in April 2006. After this revelation, defense counsel moved to reopen the *Wade* hearing. Eventually, Supreme Court denied defendant’s motion, concluding that the suppression court would have reached the same result even if it had been aware that Juan Jr.—who acted as his father’s translator during the photo array procedure—had a preexisting familiarity with defendant.

At the conclusion of the People’s case and again at the close of all proof, defense counsel requested dismissal of the charges on the basis of insufficient evidence allegedly stemming from numerous discrepancies in the testimony of the witnesses. Supreme Court denied the motions and the jury found defendant guilty of first-degree robbery, third-degree weapon possession and second-degree menacing. Defendant was sentenced to 10 years in prison and five years of postrelease supervision.

The Appellate Division affirmed (74 AD3d 1225 [2d Dept 2010]), holding that Supreme Court did not improvidently exercise its discretion when it denied defendant's motion to reopen the suppression hearing. The court further determined that the evidence was legally sufficient to establish defendant's identity as the perpetrator of the robbery, the conviction was not against the weight of the evidence, Hernandez's testimony was not incredible as a matter of law and defendant's remaining contentions were meritless or unpreserved. A Judge of this Court granted defendant leave to appeal (15 NY3d 920 [2010]) and we now reverse.

II

Defendant contends that the People's proof was legally insufficient to establish his guilt beyond a reasonable doubt. Relying on *People v Ledwon* (153 NY 10 [1897]) and its progeny, defendant asserts that there was no reasonable basis for the jury to convict him because there was contradictory testimony regarding the perpetrator's appearance. The People argue that *Ledwon* does not control here because the victim consistently testified at trial that defendant was the robber and any discrepancies with pretrial statements fell within the province of the jury to make credibility determinations that are unreviewable in the context of a sufficiency challenge.

A verdict is legally sufficient if there is any valid line of reasoning and permissible inferences that could lead a rational person to conclude that every element of the charged crime has been proven beyond a reasonable doubt (*see e.g. People v Smith*, 6 NY3d 827, 828 [2006], *cert denied* 548 US 905 [2006], quoting *People v Bleakley*, 69 NY2d 490, 495 [1987]; *People v Santi*, 3 NY3d 234, 246 [2004]). The proof must be viewed in the light most favorable to the prosecution and the People are entitled to all reasonable evidentiary inferences (*see e.g. People v Conway*, 6 NY3d 869, 872 [2006]; *People v Ford*, 66 NY2d 428, 437 [1985]). In turn, the reviewing court is required "to marshal competent facts . . . and determine whether, as a matter of law, a jury could logically conclude that the People sustained [their] burden of proof" (*People v Danielson*, 9 NY3d 342, 349 [2007]). Under this standard, a court could theoretically uphold a conviction that was premised on inherently contradictory testimony by a single witness because the jury could have accepted the testimony that supported the People and rejected that which did not.

Our Court recognized that such an outcome is unjust long before the modern formulation of the standard for sufficiency review was articulated (*see e.g. Jackson v Virginia*, 443 US 307, 316 [1979]; *In re Winship*, 397 US 358, 364 [1970]). In *People v Ledwon* (153 NY 10 [1897]), we reversed a murder conviction that was based on the conflicting trial testimony of the 12-year-old eyewitness who stated that: (1) he saw the victim commit suicide; (2) he observed the defendants kill the victim; and, lastly, (3) that he witnessed the victim commit suicide. We reasoned that the “‘hopeless contradictions’” in the boy’s testimony could not establish guilt beyond a reasonable doubt (*id.* at 22; *see also People v Calabria*, 3 NY3d 80, 82 [2004]).

Beginning in the 1970s, we emphasized that *Ledwon* applies in rare cases where the charged crime is established by only one witness who provides inherently contradictory testimony at trial (*see e.g. People v Reed*, 40 NY2d 204, 208-209 [1976]; *People v Stewart*, 40 NY2d 692, 699 [1976]; *People v Jackson*, 65 NY2d 265, 272 [1985] [the rule covers instances where “all of the evidence of guilt comes from a single prosecution witness who gives irreconcilable testimony pointing both to guilt and innocence”]). In such an instance, the witness is deemed to be “incredible or unreliable as a matter of law” (*People v Calabria*, 3 NY3d at 82) and the conviction must be vacated because “the jury is left without [any] basis, other than impermissible speculation, for its determination of” guilt (*People v Jackson*, 65 NY2d at 272). We also restricted the breadth of the *Ledwon* one-witness rule, indicating that it does not control if the sole witness provides a credible explanation for the discrepant testimony (*see People v De Tore*, 34 NY2d 199, 207 [1974], *cert denied sub nom. Wedra v New York*, 419 US 1025 [1974]).¹ Similarly, where a witness makes pretrial statements inculpat- ing the defendant yet testifies that the criminal was actually another person “whose appearance was drastically different,” *Ledwon* does not mandate reversal on sufficiency grounds if the

1. As *De Tore* highlighted, there are situations where the *Ledwon* rule does not apply. *De Tore* explained that

“[t]he rule of the *Ledwon* case is sound, but is not applicable. In the *Ledwon* case, there was no reliable basis offered to the jury to explain the shifting testimony; there was only the testimony of a 12-year-old boy who four times contradicted his own eyewitness versions about his father’s death. In this case, on the contrary, there was the one substantial recantation with the witness explaining his reasons for the change, reasons that the jury was entitled to accept or reject” (34 NY2d at 207).

trier of fact “has an objective, rational basis for resolving beyond a reasonable doubt the contradictory inculpatory and exculpatory versions of the events given by the witness” (*People v Fratello*, 92 NY2d 565, 572-574 [1998], *cert denied* 526 US 1068 [1999] [rejecting a “per se rule of automatic dismissal because of inconsistency between the witness’s trial testimony and earlier statements”]).

It therefore follows that *Ledwon* does not apply when a conflict arises from the testimony of more than one witness (see *People v Schulz*, 4 NY3d 521, 530 [2005]). When this occurs, “it is the jury that must weigh the evidence and determine who to believe” (*id.*) because the discrepancy “simply creates a credibility question for the jury . . . to be determined by them in the context of the entire body of evidence before them” (*People v Jackson*, 65 NY2d at 272). Thus, with the exception of the limited scenario envisioned by *Ledwon* and its offspring, we are not empowered to upset a conviction because of differences between the pretrial and trial statements of a witness, even if we believe “that the jury got it wrong” (*People v Calabria*, 3 NY3d at 83).² Such authority is vested exclusively in the intermediate appellate court under its obligation to review whether the weight of the evidence supported the verdict (see *e.g. People v Gruttola*, 43 NY2d 116, 122-123 [1977])—a determination governed by a legal standard that is far broader than the one employed in a sufficiency analysis (see *e.g. People v Danielson*, 9 NY3d at 348-349; *People v Romero*, 7 NY3d 633, 643-644 [2006]).

[1] With these principles in mind, we conclude that the *Ledwon* rule does not direct the outcome in this case. There certainly were serious conflicts in the trial proof about the perpetrator’s physical appearance. Detective Koch testified that, in the immediate aftermath of the robbery, the victim said that the perpetrator was a Hispanic man in his mid-20s who weighed about 140 pounds, was approximately five feet, six inches tall and held a knife in his right hand while he stole property with his left hand. It is undisputed, however, that defendant was 18 years old at the time of the robbery, stood six feet, three inches tall and had a nonfunctioning left arm.

2. The dissent’s contrary conclusion is primarily based on several dissenting opinions, one of which would have reversed a conviction that was supported by legally sufficient evidence if a reviewing court found that “the verdict cannot stand” (see *People v Gruttola*, 43 NY2d 116, 124 [1977, Jones, J., dissenting]). The binding precedent we have cited, however, clearly indicates that this amorphous standard is not the law.

But the victim was unwavering during his testimony at trial that the robber had not used his left arm, that defendant was the person who attacked him and that Detective Koch's recollection of the perpetrator's description was simply incorrect. Furthermore, Hernandez provided a rational explanation for the difference between his memory of the robber and the description provided by Detective Koch that the jury was entitled to accept or reject (*see generally People v Fratello*, 92 NY2d at 574; *People v Schulz*, 4 NY3d at 530).³ Confronted with the conflicting testimony of these two witnesses, the jury could rationally conclude—as this jury evidently did—that the victim's recollection was credible and accurate, that the attacker had limited mobility in his left arm and that Hernandez did not tell Detective Koch that defendant used both of his arms during the robbery. Because the victim's trial testimony was not inherently inconsistent, this case is not akin to the contradictory versions of the story told by the child in *Ledwon*. Under these circumstances, we cannot overturn the conviction on sufficiency grounds regardless of our subjective assessment of the strength of the People's case (*see People v Calabria*, 3 NY3d at 83; *see also Cavazos v Smith*, 565 US —, —, 132 S Ct 2, 4 [2011] [the “inevitable consequence” of sufficiency principles “is that judges will sometimes encounter convictions that they believe to be mistaken, but that they must nonetheless uphold”]).⁴

We are concerned, of course, about the incidence of wrongful convictions and the prevalence with which they have been discovered in recent years. The unfortunate fact is that juries occasionally do not return proper verdicts. An important judicial bulwark against an improper criminal conviction is not only the restrictive scope of review undertaken during a sufficiency analysis, but the protection provided by weight of the evidence examination in an intermediate appellate court. This special power requires the court to affirmatively review the record; independently assess all of the proof; substitute its own credibility determinations for those made by the jury in an appropriate

3. There was also testimony of a woman who lived in Hernandez's apartment building who indicated that she was familiar with defendant and had seen him inside the building on the night of the robbery.

4. The dissent's core complaint is that the description Hernandez allegedly gave to Detective Koch was wholly inconsistent with Hernandez's description of the robber at trial. Although it is true that these two recitations are not reconcilable, the dissent necessarily assumes that the jury had to credit Detective Koch's recollection. The jury, however, was not required to be bound by the detective's testimony.

case; determine whether the verdict was factually correct; and acquit a defendant if the court is not convinced that the jury was justified in finding that guilt was proven beyond a reasonable doubt (*see e.g. People v Romero*, 7 NY3d at 642-644; *People v Crum*, 272 NY 348, 350 [1936]). It permits an intermediate appellate court to serve, in effect, as a second jury (*see People v Romero*, 7 NY3d at 644 n 2). A conviction that was not in accord with the weight of the evidence results in an unreviewable order that rectifies an unjust conviction and precludes subsequent re-prosecution (*see id.*).

Concerns about the propriety of a conviction are heightened in a case like this where there was some evidence that the robber used both of his arms but it was undisputed that only one of defendant's arms was fully functional. We have no doubt that the Appellate Division conscientiously fulfilled its responsibility to independently consider the proof before concluding that the weight of the evidence supported the finding that this defendant robbed Hernandez. Whatever our misgivings about that conclusion, the limitations of our Court's jurisdiction prevent us from second-guessing it. In sum, under the constraints of the applicable standard of review, we hold that the evidence was legally sufficient to prove defendant's guilt beyond a reasonable doubt.

III

Defendant asserts that the victim's identification should have been suppressed because his son participated in the photo array despite having known defendant for a "long time" prior to the identification procedure. According to defendant, Juan Jr.'s translation service tainted the identification and also infected the victim's identification of defendant during the trial. The People counter that, even if the photo array was unduly suggestive, suppression is not warranted since suggestiveness by a civilian is not illegal and the supposedly suggestive conduct here came from the victim's son, not the police. In any event, the People believe that there was no basis to reopen the suppression hearing after Juan Jr. revealed his preexisting relationship with defendant because the defense could have disclosed this fact at the suppression hearing and the failure to do so precludes defendant from satisfying the reasonable diligence standard of CPL 710.40 (4).

Suggestive pretrial identification procedures violate the Due Process Clause (*see People v Chipp*, 75 NY2d 327, 335 [1990],

cert denied 498 US 833 [1990]). When a defendant challenges an identification procedure as suggestive, the People have the “initial burden of going forward to establish the reasonableness of the police conduct and the lack of any undue suggestiveness” (*id.*). Once the People satisfy this duty, the defendant has the ultimate burden of proving that the identification procedure was unduly suggestive (*see id.*). A finding that the defendant did not establish suggestiveness may be overturned by this Court if record support for that determination is lacking (*see e.g. People v McBride*, 14 NY3d 440, 448 [2010], *cert denied* 562 US —, 131 S Ct 327 [2010]).

[2] In this case, the trial court erred when it denied defendant’s motion to reopen the *Wade* hearing because Juan Jr.’s trial testimony fatally undermined the suppression court’s rationale for denying that motion. The suppression court had been troubled by Juan Jr.’s role at the identification procedure but ultimately concluded that suppression was not warranted because Juan Jr. did not know defendant. The significant revelation to the contrary at trial considerably strengthened defendant’s suggestiveness claim when viewed in conjunction with other relevant facts: (1) the detective acted on unspecified neighborhood gossip (the reliability of which was never directly questioned or tested) regarding the robber’s name and history based on information provided by Juan Jr.; (2) the detective was apparently concerned about the son’s possible preexisting familiarity with defendant (and the suggestiveness that this could cause) and broached the topic before the photo array was conducted; (3) the detective either was or should have been aware of the substantial risk that the son was familiar with defendant despite his assurance to the contrary; (4) there was no apparent impediment to the detective utilizing a Spanish interpreter who did not have preexisting information about the possible perpetrator or a familial connection to the victim; and (5) the detective could not be reasonably sure that the son would accurately translate the conversation.

Although any one of these facts or even several of them combined may not have established the requisite level of suggestiveness, their confluence with Juan Jr.’s testimony leads us to conclude that the record does not support the finding of the courts below that defendant failed to satisfy his burden of proving that the photo array was unduly suggestive. In our view, the suggestiveness cannot be attributed to the victim’s son, but to the detective’s decision to utilize him as the interpreter

notwithstanding the possible risks that were involved in this practice (*cf. People v Marte*, 12 NY3d 583, 587 [2009], *cert denied* 559 US —, 130 S Ct 1501 [2010]). In addition, we do not believe that defendant could have discovered, before the suppression court ruled on the motion, the true extent of Juan Jr.'s familiarity with defendant or what Juan Jr. misrepresented to the police (*see* CPL 710.40 [4]). The photo array identification, therefore, should have been suppressed and defendant is entitled to a new trial.⁵ Before that occurs, the People may attempt to demonstrate, by clear and convincing evidence, that Hernandez's ability to identify defendant has not been impermissibly influenced by the suggestive pretrial procedure that was employed here (*see e.g. People v Young*, 7 NY3d 40, 44 [2006]; *People v Wilson*, 5 NY3d 778, 779-780 [2005]).

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered to be preceded by an independent source hearing.

Chief Judge LIPPMAN (dissenting). The evidence of defendant's identity as the perpetrator of the robbery of which he was convicted in this case is fundamentally flawed. As the remedy directed by the majority—a new trial to be preceded by an independent source hearing—is inappropriate to the nature of the deficiency of the proof, we respectfully dissent.

In this case, “more than a merely mechanical categorization between law and facts is merited if this court is to perform its great function of review” (*People v Santos*, 38 NY2d 173, 176 [1975]). In order to determine the sufficiency of the evidence adduced at trial, this Court reviews the record “as a whole and [we are] *empowered and obliged* to conclude on a *deficient record* that *guilt has not been established beyond a reasonable doubt* as a matter of law” (*id.* at 175 [emphasis added]). The identification evidence in this case “is not insulated from our responsibility of review by the intervention of a jury verdict for which, in a narrow gauge, it may perhaps be said that there was sufficient evidence, when the record as a whole demonstrates that the verdict cannot stand” (*People v Gruttola*, 43 NY2d 116, 124 [1977, Jones, J., dissenting]). This single eyewitness case “raises a question of law which may not be cured or concealed behind the shield of a jury verdict” (*People v Whitmore*, 28 NY2d 826, 832 [1971, Breitel, J., dissenting], *cert denied* 405 US 956

5. For this reason, defendant's challenge to trial counsel's effectiveness is academic.

[1972]). Viewing the record as a whole, there is no evidence that defendant committed the crime of which he was convicted other than the victim's identification which has morphed and become so unrecognizable when compared to its original form that no reasonable jury could find it to be accurate beyond a reasonable doubt. We are deeply troubled by the nature of the identification evidence in this case which "raises a serious question of whether an innocent man has been convicted" (*People v Calabria*, 3 NY3d 80, 84 [2004, G.B. Smith, J., dissenting]). Accordingly, we cannot in good conscience support any outcome other than dismissal.

There were serious problems with the identification in this case from the time the robbery was first reported during a 911 call by the victim's son, who impersonated his father and made other statements that admittedly were not true. Shortly thereafter, the victim provided a description to the police of a robber who obviously was not defendant—a man nine inches shorter who, unlike the handicapped defendant, had the full use of both arms. The next day, the victim told his therapist that he had been mugged by a man he recognized from previous sightings in his apartment complex—a fact he had inexplicably failed to mention to the police and that would have rendered such a gross misdescription most improbable. Next, the victim's son reported to police that the rumor circulating around the neighborhood was that the perpetrator was someone with defendant's first name (Sebastian) who had also been shot months earlier at a particular time and in a particular place in the same neighborhood. The victim then participated in the police-arranged showing of a photo array (which the majority has deemed to be unduly suggestive) during which he identified defendant as the perpetrator. He later testified at trial that the robber, now identified as defendant, had only one functional arm, and denied ever saying otherwise.

In *People v Jackson* (65 NY2d 265, 272 [1985]), we held that "[w]hen all of the evidence of guilt comes from a single prosecution witness who gives irreconcilable testimony pointing both to guilt and innocence, the jury is left without basis, other than impermissible speculation, for its determination of either." The majority relies on *People v Fratello* (92 NY2d 565, 573-574 [1998], *cert denied* 526 US 1068 [1999]), wherein we held that

"when the jury, acting within its rightful province of determining credibility, weighing evidence and drawing justifiable inferences from proven facts,

has an *objective, rational basis* for resolving beyond a reasonable doubt the contradictory inculpatory and exculpatory versions of the events given by the witness, its determination of guilt is no longer based on ‘impermissible speculation’ and should be upheld” (emphasis added).

But in this case there was no objective, rational basis for the jury to decide which version of events provided by the victim it should accept. Here, there was only one witness who was positioned to observe the robbery and the account he gave the police officer soon after the robbery was so radically different from the one he gave at trial that we believe the jury did not have a rational basis to choose between or reconcile the two versions. Although there were several witnesses, all of the identification evidence emanated from one source (the victim) and the jury was left with an impossible choice between two completely contradictory and irreconcilable alternatives given by the same person—one of which compelled a verdict of acquittal. The victim’s account was riddled with inconsistencies, so although there is no “*per se* rule of *automatic* dismissal because of inconsistency between the witness’s trial testimony and earlier statements” (*id.* at 574 [emphasis added]), we believe under the circumstances present in this case, failure to dismiss here violates the spirit of the rule against singular reliance on a witness who presents a hopelessly contradictory account of the events giving rise to the conviction. We do not reach this conclusion on the basis of a “subjective assessment of the strength of the People’s case” (majority op at 116) but rather upon an objective view, in light of facts recognized by the majority, pertaining to fundamental flaws in the evidence of defendant’s guilt.

For the foregoing reasons, we dissent and would reverse the order of the Appellate Division, vacate the judgment of conviction and dismiss the indictment.

Judges CIPARICK, READ and PIGOTT concur with Judge GRAFFEO; Chief Judge LIPPMAN dissents and votes to reverse and dismiss the indictment in a separate opinion in which Judges SMITH and JONES concur.

Order reversed, etc.

[960 NE2d 399, 936 NYS2d 630]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant-Respondent,
v MICHAEL HALL, Respondent-Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant-Respondent,
v JOHN FREEMAN, Respondent-Appellant.

Argued October 13, 2011; decided November 21, 2011

SUMMARY

CROSS APPEALS, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 21, 2010. The Appellate Division (1) granted defendant's motion for reargument, and, upon reargument, recalled and vacated an order of that Appellate Division dated June 1, 2010 (74 AD3d 837 [2010]), and (2) substituted therefor an order that modified, on the law, a judgment of the Supreme Court, Queens County (John Latella, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree, robbery in the second degree (two counts), and criminal possession of a weapon in the fourth degree. The modification consisted of vacating the convictions of robbery in the first degree and criminal possession of a weapon in the fourth degree, vacating the sentences imposed thereon, and dismissing those counts of the indictment. The Appellate Division affirmed the judgment as modified.

CROSS APPEALS, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 21, 2010. The Appellate Division (1) granted defendant's motion for reargument, and, upon reargument, recalled and vacated an order of that Appellate Division dated June 1, 2010 (74 AD3d 836 [2010]), and (2) substituted therefor an order that modified, on the law, a judgment of the Supreme Court, Queens County (John Latella, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree, robbery in the second degree (two counts), and criminal possession of a weapon in the fourth degree. The modification consisted of vacating the convictions of robbery in the first degree and criminal possession of a weapon in the fourth degree, vacating the sentences imposed thereon, and dismissing those counts of the indictment. The Appellate Division affirmed the judgment as modified.

People v Hall, 79 AD3d 1068, affirmed.

People v Freeman, 79 AD3d 1064, affirmed.

HEADNOTES

Crimes — Robbery — Use of Dangerous Weapon — Stun Gun

1. In a prosecution in which defendants were accused of using a stun gun to temporarily incapacitate a store owner during a robbery, defendants' convictions for first degree robbery and criminal possession of a weapon in the fourth degree were properly vacated since the People failed to prove that the stun gun was a "dangerous instrument" as required by Penal Law § 160.15 (3) and § 265.01 (2). Under Penal Law § 10.00 (13) a "dangerous instrument" is an instrument "readily capable of causing death or other serious physical injury" and Penal Law § 10.00 (10) defines "serious physical injury" as "physical injury which creates a substantial risk of death, or which causes death or serious and protracted disfigurement, protracted impairment of health or protracted loss or impairment of the function of any bodily organ." The stun gun was not recovered, and no expert or other witness was called to explain to the jury what a stun gun is, or what it can do. The only evidence of the weapon's potential for harm came from the testimony of the store owner, which described pain, a burning sensation and temporary incapacitation and while those were very unpleasant things to experience, they were not "serious physical injury." Accordingly, the jury had no basis for concluding that the stun gun was readily capable of killing or maiming someone, or of causing any of the other severe harms described in section 10.00 (10). Furthermore, the prosecution's contention that serious physical injury could have resulted if defendant had continued to use the stun gun was speculation and was insufficient to show that the instrument was "readily capable" of causing such consequences.

Crimes — Witnesses — Failure to Call Witness

2. In a prosecution arising out of the robbery of a store, the trial court erred in refusing to give a missing witness charge with respect to three eyewitnesses who were friendly to the store owner, who could have been expected to support the owner's version of events, and who were all available to the prosecution. It was irrelevant that the witnesses were also available to the defense, in the sense that defense counsel were allowed to interview them, and the defense could have called them if it chose. A missing witness instruction permits the jury to draw the common-sense inference that a failure to call a seemingly friendly witness suggests some weakness in a party's case and that inference is not rebutted when the opposing party chooses not to call the same witness who, by definition, the opposing party would expect to be hostile. Similarly, the court's rulings on objections and its instructions to the jury during closing argument were incorrect, since the jury should not have been told that the absence of the witnesses "is not to form any part of your judgment." Moreover, the court's statement that defense counsel "could have . . . called any of the . . . witnesses" tended to obscure the point that those witnesses would normally be expected to support the prosecution's view of the case.

Crimes — Appeal — Preservation of Issue for Review — Refusal to Give Missing Witness Charge

3. In a prosecution arising out of the robbery of a store, the defendant did not preserve for appellate review the trial court's error in refusing to give a missing witness instruction. Defendant expressly withdrew his request for a

missing witness instruction in return for an opportunity to interview the witnesses in question. In addition, he was allowed to make a missing witness argument in summation without interruption or comment.

Crimes — Harmless and Prejudicial Error — Refusal to Give Missing Witness Charge

4. In a prosecution arising out of the robbery of a store, the trial court's error in refusing to give a missing witness instruction was harmless. Defendant's participation in the robbery was recorded on videotape where he was seen in front of the store during the robbery, looking around, observing the clash between the store owner and the man identified as his codefendant, and then grabbing and holding the owner while another accomplice punched him. Moreover, defendant testified in his own defense, and did not deny that he was the person on the videotape, offering instead a ridiculous explanation: making himself first an innocent bystander and then a good Samaritan, trying to protect one of the robbers against the store owner's aggression. The evidence against defendant was overwhelming, and it was impossible to imagine that a missing witness charge, or different rulings on the closing arguments, would have persuaded a jury to acquit him.

Crimes — Proof of Prior Convictions — Testimony of One Defendant Implicating Codefendant

5. In a robbery prosecution involving defendant and a codefendant, it was not error when, during the cross-examination of the codefendant, testimony was admitted about a previous assault that both defendants had committed together. The trial court had previously ruled that the prosecution could not bring out the prior assault convictions on cross-examination, but the codefendant on direct examination testified that he did not know the defendant well. While the prosecution contended that the codefendant's testimony opened the door to the use of the assault against him, it did not as to the defendant, who did not testify. The trial judge, however, fashioned a fair solution: he did not allow the prosecutor to refer to the conviction, but did allow him to ask whether the codefendant remembered "having a fight" along with the defendant against another person, which allowed the prosecutor to attack the codefendant's denial that he knew the defendant well, with minimal prejudice to the latter. The codefendant's answer to the question was not as carefully crafted as the court's ruling, with defendant remarking that "we all [including the defendant] got locked up for so-called assaulting this guy." While that testimony might have been prejudicial to the defendant, there was no reason to believe that either the prosecutor or the court saw it coming, and the court could not be faulted for failing to anticipate what happened.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Appellate Review §§ 659, 664–667, 690, 698;
AM JUR 2d, Criminal Law § 1091; AM JUR 2d, Robbery
§§ 24, 46, 63; AM JUR 2d, Trial § 1111; AM JUR 2d, Wit-
nesses § 812.
CARMODY-WAIT 2d, Particular Types of Evidence § 194:25;
CARMODY-WAIT 2d, Testimony of Witnesses §§ 195:110,
195:134–195:136; CARMODY-WAIT 2d, Summation
§ 199:6; CARMODY-WAIT 2d, Charge and Instruction to

Jury §§ 200:11, 200:43–200:45; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:117, 207:169, 207:170.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 24.8, 27.5, 27.6.
MCKINNEY's, Penal Law § 10.00 (10); § 160.15 (3); § 265.01 (2).
NY JUR 2d, Criminal Law: Procedure §§ 2026, 2037, 2728, 2730, 2732, 2748–2750, 3569, 3570, 3572, 3573; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 15, 985, 992, 993.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Harmless and Prejudicial Error; Instructions to Jury; Joint and Several Parties; Robbery; Stun Guns.

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POINTS OF COUNSEL

Richard A. Brown, District Attorney, Kew Gardens (William H. Branigan and John M. Castellano of counsel), for appellant-respondent in the first and second above-entitled actions. The People proved that the stun gun used in the robbery to incapacitate the victim was a dangerous instrument. (People v Contes, 60 NY2d 620; Jackson v Virginia, 443 US 307; People v Acosta, 80 NY2d 665; People v Ford, 66 NY2d 428; People v Williams, 84 NY2d 925; People v Bleakley, 69 NY2d 490; People v Grassi, 92 NY2d 695; People v Norman, 85 NY2d 609; People v Vasquez, 88 NY2d 561; People v Curtis, 89 NY2d 1003, 222 AD2d 237.)

Legal Aid Society, New York City (William B. Carney and Steven Banks of counsel), for respondent-appellant in the first above-entitled action. I. Defendant was deprived of his due process right to a fair trial by the court's refusal to give a missing witness charge regarding witnesses who were family members, or friends and business associates of the complainant and, therefore expected to testify favorably for the prosecution, on the ground that they were equally available to the defense. (People v Savinon, 100 NY2d 192; People v Gonzalez, 68 NY2d 424; People v Badine, 301 AD2d 178; People v Creeden, 210 AD2d 422; People v Robertson, 205 AD2d 243; People v Rodriguez, 38 NY2d 95; People v Vasquez, 76 NY2d 722; People v Brown, 34

NY2d 658; *People v Crimmins*, 36 NY2d 230; *People v Kitching*, 78 NY2d 532.) II. Defendant was deprived of his due process right to a fair trial by the prosecutor's elicitation of the underlying facts of a prior uncharged assault involving John Freeman and defendant for the purported reason of showing Freeman knew defendant previously, when Freeman had already admitted he knew defendant. (*People v Baldi*, 54 NY2d 137; *Strickland v Washington*, 466 US 668; *People v Molineux*, 168 NY 264; *People v Alvino*, 71 NY2d 233; *People v Hudy*, 73 NY2d 40; *People v Allweiss*, 48 NY2d 40; *People v Bennett*, 79 NY2d 464; *People v Sandoval*, 34 NY2d 371; *People v Schwartzman*, 24 NY2d 241; *People v Fardan*, 82 NY2d 638.) III. The Appellate Division correctly found that the People failed to adduce legally sufficient evidence that the unrecovered device as used here was a "dangerous instrument" under the law. (*People v Vasquez*, 88 NY2d 561; *People v Carter*, 53 NY2d 113; *People v Cwikla*, 46 NY2d 434; *People v Galvin*, 65 NY2d 761; *People v Ozarowski*, 38 NY2d 481; *People v Nelson*, 292 AD2d 397; *People v Maio Ni*, 293 AD2d 552; *People v MacCary*, 173 AD2d 646; *People v Richard*, 30 AD3d 750; *People v Sinatra*, 302 AD2d 615.)

Appellate Advocates, New York City (William G. Kastin and Lynn W.L. Fahey of counsel), for respondent-appellant in the second above-entitled action. I. The Appellate Division properly modified Mr. John Freeman's conviction because the People failed to prove beyond a reasonable doubt that the unrecovered "stun gun" allegedly used during the crime constituted a dangerous instrument, since such electronic devices vary widely in voltage, amperage, and overall capability; the complainant sustained only a temporary bruise or mark and was able to fight back immediately; and the People produced no expert or other evidence that the particular device in this case was readily capable, as used, of causing death or serious physical injury. (*Jackson v Virginia*, 443 US 307; *United States v Myers*, 972 F2d 1566; *Mann v Taser Intl., Inc.*, 588 F3d 1291; *Orsak v Metropolitan Airports Commn. Airport Police Dept.*, 675 F Supp 2d 944; *Beaver v City of Federal Way*, 507 F Supp 2d 1137; *United States v Allen*, 516 F3d 364; *Cyrus v Town of Mukwonago*, 624 F3d 856; *Bryan v MacPherson*, 630 F3d 805; *Crowell v Kirkpatrick*, 667 F Supp 2d 391; *Taser Intl., Inc. v Stinger Sys., Inc.*, 705 F Supp 2d 1115.) II. When material, available witnesses favorably disposed to the People were not called, Mr. John Freeman was denied a fair trial and the effective assistance of counsel when (a) the court refused to give a missing witness charge and instructed the jury that the defense could have called them, and

(b) defense counsel failed to request a missing witness charge as to a friend of the complainant who was present during the entire incident or to object to the court's instruction forbidding the jury to speculate about the uncalled witnesses' absence. (*Strickland v Washington*, 466 US 668; *People v Williams*, 5 NY3d 732; *People v Gonzalez*, 68 NY2d 424; *People v Baldi*, 54 NY2d 137; *People v Patterson*, 39 NY2d 288; *People v Savinon*, 100 NY2d 192; *People v Edwards*, 14 NY3d 733; *United States v Blake-more*, 489 F2d 193; *People v Kitching*, 78 NY2d 532; *People v Keen*, 94 NY2d 533.)

OPINION OF THE COURT

SMITH, J.

Defendants, Michael Hall and John Freeman, were accused of robbing a store and using a stun gun to incapacitate the store manager temporarily. We agree with the Appellate Division that the People failed to prove that the stun gun was a "dangerous instrument" as defined in the Penal Law, and that therefore defendants' convictions for first degree robbery and fourth degree weapon possession cannot stand. However, we sustain defendants' convictions for second degree robbery.

I

The People's main witness was the store manager, Saidou Sow. Sow described a robbery by four men; Marcus Mitchell and Wesley Lee took cell phones from the store, while Hall knocked Sow down and dragged him outside and Freeman observed the events and shouted instructions. Hall, according to Sow, had something in his hand "like a toy gun," which he put against Sow's chest three times, producing a sensation "like a fire coming out of the toy gun." Describing Hall's third use of the stun gun, outside the store, Sow testified:

"Mr. Freeman was at the door of the store. He was yelling to his friends to use the gun against my body so that's the time he put on me. When he put on me, I couldn't do nothing. I dropped my hand. Mr. Freeman was there yelling, put the gun on his chest, put the gun on his chest. When he done that, I couldn't move anymore."

Sow quickly recovered, however, and confronted Lee, who was coming out of the store with stolen cell phones. When Sow grabbed Lee, Freeman in turn grabbed Sow from behind, holding him while Lee hit Sow in the face three times.

A security camera in the store captured some of the scene on a videotape, which was played for the jury. On the tape, the face of the man whom Sow identified as Hall is concealed, but Freeman's face is visible, and Freeman can be seen grabbing and holding Sow while Lee hits him.

The jury convicted both defendants of one count of first degree robbery, two counts of second degree robbery and one count of fourth degree criminal possession of a weapon. The Appellate Division modified to vacate the first degree robbery and fourth degree weapon possession charges, and as modified affirmed (*People v Hall*, 79 AD3d 1068 [2d Dept 2010]; *People v Freeman*, 79 AD3d 1064 [2d Dept 2010]). A Judge of this Court granted the People and both defendants leave to appeal (16 NY3d 797, 798 [2011]), and we now affirm.

II

Under Penal Law § 160.15 (3), a person commits robbery in the first degree “when he forcibly steals property and . . . [u]ses or threatens the immediate use of a dangerous instrument.” Under Penal Law § 265.01 (2), a person commits criminal possession of a weapon in the fourth degree when “[h]e possesses any . . . dangerous . . . instrument . . . with intent to use the same unlawfully against another.” A “dangerous instrument” is defined in Penal Law § 10.00 (13) as “any instrument . . . which, under the circumstances in which it is used, attempted to be used or threatened to be used, is readily capable of causing death or other serious physical injury.” And “serious physical injury” is defined in Penal Law § 10.00 (10) as “physical injury which creates a substantial risk of death, or which causes death or serious and protracted disfigurement, protracted impairment of health or protracted loss or impairment of the function of any bodily organ.”

[1] Here, the charges of first degree robbery and of weapon possession were premised on the theory that the stun gun Hall used (at Freeman's urging) on Sow was a “dangerous instrument.” Perhaps it was, but we agree with the Appellate Division that the People wholly failed to prove it.

The stun gun was not recovered, and no expert or other witness was called to explain to the jury what a stun gun is, or what it can do. The only evidence of the weapon's potential for harm came from Sow's testimony, which described pain, a burning sensation and temporary incapacitation. These are very unpleasant things to experience, but they are not “serious

physical injury” as the statute defines it. The jury had no basis for concluding that the stun gun was readily capable of killing or maiming someone, or of causing any of the other severe harms described in Penal Law § 10.00 (10).

The People’s argument is that the jury could have inferred “that, if defendant had continued to use the stun gun . . . it could have caused burn scars or caused the victim to fall limp and suffer serious physical injury by striking his head on the ground or crashing into the glass counters in his store.” This sort of speculation is not a permissible ground for a verdict. Of course, almost any weapon *could* cause death or serious physical injury, for example by propelling the victim into a hard or a sharp object. More proof than that is required to show that an instrument is “readily capable” of causing such consequences.

The Appellate Division was therefore correct in vacating defendants’ convictions for first degree robbery and fourth degree weapon possession.

III

Defendants claim the trial court erred in refusing to give a missing witness instruction. We agree, but hold that the error does not entitle defendants to relief, because Hall did not preserve it and as to Freeman it was harmless.

Defense counsel identified four possible missing witnesses at trial: Sow’s brother, who owned the store that was robbed; Sow’s cousin, the owner of a nearby store; the manager of another nearby store, Mohammed Muflihi; and Isaac Bossman. The record does not suggest that Sow’s brother was at the store at the time of the crime, and we see no basis for a missing witness charge as to him, but as to the other three the charge was warranted.

According to the prosecutor’s opening statement, both Sow’s cousin and Muflihi were friends of Sow who saw part of the robbery. The prosecutor said:

“Both of them watched as Michael Hall beat Saidou Sow outside of the store. Both of them watched as John Freeman directed Mike Hall to do it.

“Both of them watched as John Freeman held Saidou so [Lee] could punch him in the face repeatedly and get away with those phones.”

Sow testified that Bossman was a friend of his who was in the store when the robbery happened, and the videotape confirms

that Bossman was present. The prosecution did not call the cousin, Muflihi or Bossman as witnesses at trial.

Before the close of the People's proof, counsel for Freeman said "we will probably request a missing witness" on the prosecutor's failure to call Sow's brother, his cousin and Muflihi. He also raised the possibility that those witnesses would be made available to the defense. After some colloquy, the court addressed the prosecutor, saying:

"[Y]ou are being put on notice that before the close of the People's case as is required the defense is indicating to the court if you don't call various people they will seek a missing witness charge at the charge conference. You can deflect that by bringing in the people and having them available to the defense. If they are equally available to both sides, then a missing witness charge is not appropriate."

After the People had rested, but before a decision had been made on whether the defense would be allowed to interview the witnesses, Hall's counsel told the court "I am now requesting the potential missing witness charge." He added, however: "Of course, if there is an opportunity tomorrow for us to have the witnesses available, I will withdraw that application." The court denied both Freeman's and Hall's applications as "premature."

The witnesses defense counsel had asked for—Sow's brother, his cousin, and Muflihi, but not Bossman—were made available to the defense. Defense counsel interviewed them, and decided not to call them.

Hall's counsel said no more about a missing witness charge, but Freeman's counsel renewed his motion for such a charge after the close of all the evidence, for the first time including Bossman as a missing witness. His application was denied. Freeman's counsel also asked to be allowed to make a missing witness argument in summation; the court responded that, if the argument was made, the prosecution "will certainly be allowed to tell the jury that [the witnesses] were equally available to the defense."

Freeman's counsel did make the argument he had foreshadowed, saying of Sow's brother and cousin and Muflihi: "They did not give assistance in this trial." A prosecution objection was sustained by the court, which then instructed the jury: "The jury is not to speculate concerning any of those individuals . . . The fact that they were not called as witnesses in this case is

not to form any part of your judgment in this matter with respect to the speculation as to what any of them may have said.”

Hall’s counsel also made a missing witness argument in summation, including Bossman in his list of missing witnesses; the prosecution made no objection to this argument, and the court gave no instruction about it. The prosecutor, in his own summation, argued that the defense “could have called the witnesses just as easily as I could have.” The court overruled Freeman’s objection to this argument, and told the jury:

“the defense has no burden to call witnesses, but they have the right if they wished to do so . . . counsel, you could have if you wished to called any of the four witnesses to testify on your clients’ behalf and you elected not to, the same as [the prosecutor] elected not to call them.”

The court’s rulings on this issue reflect a misunderstanding of our law on missing witness instructions.

A missing witness instruction, as we explained in *People v Savinon* (100 NY2d 192, 196 [2003]), tells a jury that it may “draw an unfavorable inference based on a party’s failure to call a witness who would normally be expected to support that party’s version of events.” There are three preconditions to a missing witness instruction: “First, the witness’s knowledge must be material to the trial. Second, the witness must be expected to give noncumulative testimony favorable to the party against whom the charge is sought . . . Third, the witness must be available to that party” (*id.* at 197).

[2] As to Sow’s cousin, Muflihi and Bossman, these preconditions were met. All three were eyewitnesses to the robbery; all three were friendly with Sow, and could have been expected to support his version of events; and all were available to the prosecution. It is irrelevant that they were also available to the defense, in the sense that defense counsel were allowed to interview them, and the defense could have called them if it chose. A missing witness instruction permits the jury to draw the common-sense inference that a failure to call a seemingly friendly witness suggests some weakness in a party’s case. That inference is not rebutted when the opposing party chooses not to call the same witness—a witness who, by definition, the opposing party would expect to be hostile.

For similar reasons, the court’s rulings on objections and its instructions to the jury during closing argument by Freeman’s

counsel and the prosecutor were incorrect. The jury should not have been told that the absence of the witnesses “is not to form any part of your judgment.” Their absence was something the jury could take into account. And the court’s statement that defense counsel “could have . . . called any of the . . . witnesses” tended to obscure the point that these witnesses would normally be expected to support the prosecution’s view of the case.

[3, 4] The court’s error, however, does not require reversal. Hall expressly withdrew his request for a missing witness instruction, in return for an opportunity to interview the witnesses in question, and he was allowed to make a missing witness argument in summation without interruption or comment. As to Freeman, the error was harmless. Freeman’s participation in the robbery was recorded on videotape: he is seen in front of the store during the robbery, looking around, observing the clash between Sow and the man identified as Hall, and then grabbing and holding Sow while Lee punches him. Freeman testified in his own defense, and did not deny that he was the person on the videotape. He instead offered a ridiculous explanation, making himself first an innocent bystander and then a good Samaritan, trying to protect Lee against Sow’s aggression. The evidence against Freeman was overwhelming, and we find it impossible to imagine that a missing witness charge, or different rulings on the closing arguments, would have persuaded a jury to acquit him (*see People v Crimmins*, 36 NY2d 230, 241-242 [1975]).

IV

[5] Hall complains that he was prejudiced when, during the cross-examination of Freeman, testimony was admitted about a previous assault that Hall and Freeman had committed together. We see no error.

Freeman, on direct examination, tried to minimize his connection with Hall. His lawyer asked him whether he knew Hall, to which Freeman replied: “I know his sister. I don’t know Michael Hall as far as me and him, you know, we be together.”

In fact, Hall and Freeman had been convicted of participating in an assault the year before the robbery—convictions that, the trial court had previously ruled, the prosecution could not bring out on cross-examination (*see People v Sandoval*, 34 NY2d 371 [1974]). The prosecution suggested, quite reasonably, that Freeman’s testimony opened the door to the use of the assault

against him; but a problem presented itself because Hall, who did not testify, had not opened the door to anything. The trial judge fashioned what seems to us a fair solution: he did not allow the prosecutor to refer to the conviction, but did allow him to ask whether Freeman remembered “having a fight” along with Hall against another person. This allowed the prosecutor to attack Freeman’s denial that he knew Hall well, with minimal prejudice to Hall.

Unfortunately, Freeman’s answer to the question was not as carefully crafted as the court’s ruling. In the course of his answer, Freeman remarked that “we all [including Hall] got locked up for so-called assaulting this guy.” That testimony might have been prejudicial to Hall, but we have no reason to believe that either the prosecutor or the court saw it coming. Hindsight suggests that the prejudice might have been avoided by instructing Freeman in advance, out of the jury’s presence, not to volunteer this information, but Hall did not request such an instruction, and we cannot fault the court for failing to anticipate what happened.

Defendants’ other contentions are without merit.

Accordingly, the orders of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

In each case: Order affirmed.

[960 NE2d 393, 936 NYS2d 624]

RAUL SALAZAR, Respondent, v NOVALEX CONTRACTING CORP. et al., Appellants. (And a Third-Party Action.)

Argued October 18, 2011; decided November 21, 2011

SUMMARY

APPEALS, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 1, 2010. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Bronx County (Mary Brigantti-Hughes, J.; op 2007 NY Slip Op 52680[U]), as had granted the motion by defendant T-Construction Co., Inc. and the cross motions by defendants Novalex Contracting Corp. and 96 Rockaway, LLC for summary judgment dismissing plaintiff's Labor Law § 240 (1) and § 241 (6) claims; (2) denied the motions; and (3) reinstated the claims. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of Supreme Court, properly made?"

Salazar v Novalex Contr. Corp., 72 AD3d 418, reversed.

HEADNOTES

Labor — Safe Place to Work — Fall into Open Trench

1. In an action to recover damages for injuries plaintiff sustained when he stepped into an open trench partially filled with concrete while spreading wet concrete over a basement floor that had a trench system for piping, defendants were entitled to dismissal of plaintiff's Labor Law § 240 (1) cause of action. Plaintiff and his coworkers had been directed to pour and spread concrete over the entire basement floor, including the trenches. The accident occurred as plaintiff walked backwards across the floor, pulling concrete with a rake held in front of him, and stepped into the approximately two-foot-wide and three-to-four-foot-deep trench. Liability under Labor Law § 240 (1) depends on whether the injured worker's task creates an elevation-related risk of the kind that the safety devices listed in section 240 (1) protect against. The installation of a protective device to cover or barricade the trench—assuming that such a device was an "other device[]" within the meaning of the statute—would have been contrary to the objectives of the work plan in the basement. Since the liquid concrete would have necessarily filled the trench and poured out over the surrounding floor areas, it would have been impractical and contrary to the very work at hand to cover the area where the concrete was being spread, particularly since the settling of concrete requires that the work of leveling be done with celerity.

Labor — Safe Place to Work — Fall into Open Trench

2. In an action to recover damages for injuries plaintiff sustained when he stepped into an open trench partially filled with concrete while spreading wet concrete over a basement floor that had a trench system for piping,

defendants were entitled to dismissal of plaintiff's Labor Law § 241 (6) cause of action predicated on a violation of 12 NYCRR 23-1.7 (b) (1) (i). Plaintiff and his coworkers had been directed to pour and spread concrete over the entire basement floor, including the trenches. The accident occurred as plaintiff walked backwards across the floor, pulling concrete with a rake held in front of him, and stepped into the approximately two-foot-wide and three-to-four-foot-deep trench. The regulation relied upon by plaintiff states that "[e]very hazardous opening into which a person may step or fall shall be guarded by a substantial cover fastened in place or by a safety railing constructed and installed in compliance with this Part" (12 NYCRR 23-1.7 [b] [1] [i]). Even assuming that the trench here constituted a "hazardous opening," 12 NYCRR 23-1.7 (b) (1) (i) could not be reasonably interpreted to apply to a situation where, as here, covering the opening in question would have been inconsistent with filling it, an integral part of the job.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 248, 253, 254, 267, 268.

McKINNEY's, Labor Law § 240 (1); § 241 (6).

12 NYCRR 23-1.7 (b) (1) (i).

NY JUR 2d, Employment Relations §§ 285-289, 309, 373, 380.

PROSSER AND KEETON, TORTS (5th ed) §§ 36, 80.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment; Occupational Safety and Health.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: trench /s concrete /p protective /2 device

POINTS OF COUNSEL

White Quinlan & Staley, L.L.P., Garden City (*Arthur T. McQuillan* of counsel), for Novalex Contracting Corp., appellant. I. The decision and order of the Appellate Division, First Department, which reversed the grant of summary judgment under Labor Law § 240 (1), and reinstated that claim was not properly made, wherein the plaintiff/respondent partially fell into the trench that was in the process of being filled as of the time of the accident. (*Mancini v Pedra Constr.*, 293 AD2d 453; *Magnuson v Syosset Community Hosp.*, 283 AD2d 404; *Miller v Weeden*, 7 AD3d 684; *Paolangeli v Cornell Univ.*, 296 AD2d 691; *Wells v British Am. Dev. Corp.*, 2 AD3d 1141; *Pursel v Wellco, Inc.*, 6 AD3d 1096; *Ozzimo v H.E.S., Inc.*, 249 AD2d 912; *Caradori v*

Med Inn Ctrs. of Am., 5 AD3d 1063; *Kaleta v New York State Elec. & Gas Corp.*, 41 AD3d 1257; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509.) II. The decision and order of the Appellate Division, First Department, that reversed the grant of summary judgment under Labor Law § 241 (6) and reinstated that claim was not properly made, wherein the plaintiff acknowledged that part of his work was to fill the very trench with cement that he partially fell into.

Law Offices of Epstein & Rayhill, Elmsford (*Jonathan R. Walsh* of counsel), for 96 Rockaway, LLC, appellant. I. The First Department erred when it reversed the lower court's order granting summary judgment by reinstating plaintiff's claim under Labor Law § 240 (1) because plaintiff's accident was not height-related as contemplated by the meaning of the statute. (*Mancini v Pedra Constr.*, 293 AD2d 453; *Magnuson v Syosset Community Hosp.*, 283 AD2d 404; *Miller v Weeden*, 7 AD3d 684; *Paolangeli v Cornell Univ.*, 296 AD2d 691; *Wells v British Am. Dev. Corp.*, 2 AD3d 1141; *Pursel v Wellco, Inc.*, 6 AD3d 1096; *Ozzimo v H.E.S., Inc.*, 249 AD2d 912; *Caradori v Med Inn Ctrs. of Am.*, 5 AD3d 1063; *Kaleta v New York State Elec. & Gas Corp.*, 41 AD3d 1257; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509.) II. The First Department erred when it reversed the lower court's order granting summary judgment by reinstating plaintiff's claim under Labor Law § 240 (1) because plaintiff's accident occurred as part of the "usual and ordinary dangers" of construction work.

Kral Clerkin Redmond Ryan Perry & Girvan, Melville (*James V. Derenze* of counsel), for T-Construction Co., Inc., appellant. I. Plaintiff's claim that T-Construction Co., Inc. violated Labor Law § 240 (1) should be dismissed as plaintiff worked at ground level, did not fall from an elevated height and was not hurt by a falling object, and none of the specified protective devices applied. (*Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Nieves v Five Boro A.C. & Refrig. Corp.*, 93 NY2d 914; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Toefer v Long Is. R.R.*, 4 NY3d 399; *Melber v 6333 Main St.*, 91 NY2d 759; *Pope v Safety & Quality Plus, Inc.*, 74 AD3d 1040; *Avila v Plaza Constr. Corp.*, 73 AD3d 670; *Barillaro v Beechwood RB Shorehaven, LLC*, 69 AD3d 543; *Mancini v Pedra Constr.*, 293 AD2d 453; *Magnuson v Syosset Community Hosp.*, 283 AD2d 404; *Somerville v Usdan*, 255 AD2d 500.) II. Plaintiff's claims under section 241 (6) of the New York State Labor Law should be dismissed. (*Samiani v New York State Elec. & Gas Corp.*, 199 AD2d 796; *Pereira v*

Quogue Field Club of Quogue, Long Is., 71 AD3d 1104; *Nostrom v A.W. Chesterton Co.*, 15 NY3d 502; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Barillaro v Beechwood RB Shorehaven, LLC*, 69 AD3d 543; *Lupo v Pro Foods, LLC*, 68 AD3d 607; *Messina v City of New York*, 300 AD2d 121; *Piccuillo v Bank of N.Y. Co.*, 277 AD2d 93; *Rizzuto v L.A. Wenger Contr. Co.*, 91 NY2d 343; *Pellescki v City of Rochester*, 198 AD2d 762.)

The Perecman Firm, P.L.L.C., New York City (Peter Rigelhaupt and David H. Perecman of counsel), for respondent. I. The plaintiff-respondent was injured as a result of a gravity related hazard within the scope of Labor Law § 240 (1) and, as such, the order of the First Department was, as a matter of law, properly made. (*Runner v New York Stock Exch., Inc.*, 13 NY3d 599; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Sana-tass v Consolidated Inv. Co., Inc.*, 10 NY3d 333; *Martinez v City of New York*, 93 NY2d 322; *Carpio v Tishman Constr. Corp. of N.Y.*, 240 AD2d 234; *Bell v Bengomo Realty, Inc.*, 36 AD3d 479; *Trillo v City of New York*, 262 AD2d 121; *Clark v Fox Meadow Bldrs.*, 214 AD2d 882; *Stolt v General Foods Corp.*, 81 NY2d 918; *Auriemma v Biltmore Theatre, LLC*, 82 AD3d 1.) II. The order of the Appellate Division reinstating plaintiff's Labor Law § 241 (6) cause of action was properly made, as the trench constituted a hazardous opening under 12 NYCRR 23-1.7 (b) (1) and was thus required to be guarded by a cover or safety railing, and the trial court erred in holding that it required plaintiff to fall through an opening to a level below. (*Olsen v James Miller Mar. Serv., Inc.*, 16 AD3d 169; *Messina v City of New York*, 300 AD2d 121; *Keegan v Swissotel N.Y.*, 262 AD2d 111, 94 NY2d 858; *Carpenter v 149 Edison St.*, 269 AD2d 751; *Misicki v Caradonna*, 12 NY3d 511; *Morris v Pavarini Constr.*, 9 NY3d 47; *Gallagher v Levien & Co.*, 72 AD3d 407.)

OPINION OF THE COURT

PIGOTT, J.

Plaintiff Raul Salazar was injured in May 2004, while working in the basement of a Brooklyn building undergoing renovations. The property was owned by 96 Rockaway, LLC. Salazar was employed by T-Construction Co., Inc.; the general contractor was Novalex Contracting Corp. The accident occurred in the largest room of the basement, which had a trench system for piping. Salazar and the other workmen were laying a concrete floor. They were directed to pour and spread concrete over the entire basement floor, including the trenches. Before he began

work on the day he was injured, Salazar looked for, and visually located, the trenches.¹

The concrete flowed from a truck into wheelbarrows placed in the basement, via a chute fed through a window. Workmen poured the wet concrete from the wheelbarrows onto the floor of the basement, where Salazar and others “pulled” the concrete with rakes, ensuring that the floor would be level. As Salazar explained the next stage of the process at his deposition, the trench system fills with concrete “by itself because the concrete runs and it fills it out . . . the concrete kind of slides down or runs down” into the trenches.

Salazar was injured after he stepped into a trench that was partially filled with concrete. He had been walking backwards across the floor, “pulling” concrete with a rake held in front of him, and looking forward, rather than in his direction of motion. As Salazar recalled the incident, “one of the trenches began to fill out with concrete, and at some point when I was pulling, walking backwards, . . . my foot got inside, into that hole.” After Salazar’s right foot hit the bottom of the trench, his right leg folded beneath him. Before being assisted out of the trench by his coworkers, Salazar tried to pull his leg out “on my own, myself, and that’s how I hurt myself.”

According to Salazar, the portion of the trench system into which he stepped was about two feet wide and “[b]etween 3 and 4 feet deep.” There was no railing, barricade, or cover around or over the trench.

Salazar commenced a lawsuit against 96 Rockaway, LLC, Novalex Contracting Corp., and T-Construction Co., Inc., alleging, among other things, violations of Labor Law § 240 (1) and § 241 (6). Discovery and a third-party action ensued. T-Construction Co. moved for summary judgment, seeking dismissal of the complaint, and all cross claims against it. 96 Rockaway and Novalex Contracting Corp. cross-moved for identical relief. Supreme Court granted defendants’ motions, and dismissed Salazar’s complaint in its entirety (2007 NY Slip Op 52680[U] [2007]).

The Appellate Division reversed so much of Supreme Court’s order as granted defendants’ motions for summary judgment dismissing Salazar’s Labor Law § 240 (1) and § 241 (6) claims,

1. Salazar testified at deposition that there were multiple trenches in the room. The general contractor’s vice-president described a single, continuous trench. This dispute is not relevant to the disposition of the case.

denied the motions, and reinstated those claims (72 AD3d 418 [2010]). One Justice dissented. The Appellate Division granted defendants leave to appeal to this Court, certifying the question whether its order had been properly made (2010 NY Slip Op 79687[U] [2010]). We now reverse.

Liability under Labor Law § 240 (1) depends on whether the injured worker’s “task creates an elevation-related risk of the kind that the safety devices listed in section 240 (1) protect against” (*Broggy v Rockefeller Group, Inc.*, 8 NY3d 675, 681 [2007]). The kind of accident triggering section 240 (1) coverage is one that will sustain the allegation that an adequate “scaffold, hoist, stay, ladder or other protective device” would have “shield[ed] the injured worker from harm directly flowing from the application of the force of gravity to an object or person” (*Runner v New York Stock Exch., Inc.*, 13 NY3d 599, 604 [2009] [emphasis removed], quoting *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494, 501 [1993]). Salazar argues that the trench into which he stepped should have been covered or barricaded in such a way as to prevent his fall.

In *Wilinski v 334 E. 92nd Hous. Dev. Fund Corp.* (18 NY3d 1 [2011]), the plaintiff was injured when a nearby wall that was being demolished fell into two 10-foot-high unsecured metal pipes, causing them to topple onto him. This Court denied summary judgment to both parties, holding that an issue of fact existed as to whether the worker’s injury resulted from the absence of a safety device statutorily prescribed under Labor Law § 240 (1). In doing so, the Court contrasted the facts of *Wilinski* with other cases in which summary judgment dismissing the complaint would have been warranted:

“Here, the pipes that caused plaintiff’s injuries were not slated for demolition at the time of the accident. This stands in contrast to cases where the objects that injured the plaintiffs were themselves the target of demolition when they fell. In those instances, imposing liability for failure to provide protective devices to prevent the walls or objects from falling, when their fall was the goal of the work, would be illogical. Here, however, securing the pipes in place as workers demolished nearby walls would not have been contrary to the objectives of the work plan” (*id.* at 11 [citation omitted]).

[1] Here, the installation of a protective device of the kind that Salazar posits—assuming that such a device, although not

listed in Labor Law § 240 (1), was an “other device[]” within the meaning of the statute—would have been contrary to the objectives of the work plan in the basement. Salazar testified that he was directed to pour and spread concrete over the entire basement floor, a task that included filling the trenches.² Put simply, it would be illogical to require an owner or general contractor to place a protective cover over, or otherwise barricade, a three- or four-foot-deep hole when the very goal of the work is to fill that hole with concrete. Moreover, the record is clear that the purpose of the work here was to lay concrete over the entire basement. Since the liquid concrete would necessarily fill the trench and pour out over the surrounding floor areas, it would be impractical and contrary to the very work at hand to cover the area where the concrete was being spread, particularly since the settling of concrete requires that the work of leveling be done with celerity. Given that Labor Law § 240 (1) should be construed with a commonsense approach to the realities of the workplace at issue, defendants are entitled to summary judgment dismissing that claim.

[2] Salazar’s Labor Law § 241 (6) cause of action, predicated on a violation of 12 NYCRR 23-1.7 (b) (1) (i), fails for similar reasons.³ That regulation states that “[e]very hazardous opening into which a person may step or fall shall be guarded by a substantial cover fastened in place or by a safety railing constructed and installed in compliance with this Part.” Even assuming that the trench here constituted a “hazardous opening,” 12 NYCRR 23-1.7 (b) (1) (i) cannot be reasonably interpreted to apply to a case like this one, where covering the opening in question would have been inconsistent with filling it, an integral part of the job. Hence, defendants are also entitled to summary judgment dismissing the Labor Law § 241 (6) claim.

Accordingly, the order of the Appellate Division should be reversed, with costs, plaintiff’s Labor Law § 240 (1) and § 241 (6) claims dismissed, and the certified question answered in the negative.

Chief Judge LIPPMAN (dissenting). The majority misapplies this Court’s recent holding in *Wilinski v 334 E. 92nd Hous. Dev.*

2. Contrary to the dissent’s reading (*see* dissenting op at 142), Salazar’s testimony does not suggest that the process of seepage whereby the trench he stepped in had filled with concrete “by itself” was unintentional.

3. Although the Appellate Division dissent analyzes 12 NYCRR 23-1.7 (b) (1) (iii), Salazar’s brief makes clear that he relies upon 12 NYCRR 23-1.7 (b) (1) (i).

Fund Corp. (18 NY3d 1 [2011]), and errs by viewing the evidence in the light most favorable to defendants, rather than in the light most favorable to plaintiff, on defendants' motions for summary judgment. Therefore, I respectfully dissent.

The majority endeavors to create exceptions to Labor Law § 240 (1) that should not exist and to narrow arbitrarily the scope of the statute in concluding that it does not apply to this case in which an elevation-related risk was clearly present and the accident, which was caused by the force of gravity acting on the body of plaintiff, could have been prevented by the simple placement of a cover over the trench or a barrier around its perimeter.* Contrary to the position taken by the majority, this is precisely the type of case to which section 240 (1) was intended to apply. I also see no reason why the trench in this case is not a "hazardous opening" within the meaning of 12 NYCRR 23-1.7 (b) (1) that should have been covered. Because there exist triable issues of fact with regard to plaintiff's Labor Law § 240 (1) and § 241 (6) claims, I respectfully dissent.

In *Runner v New York Stock Exch., Inc.* (13 NY3d 599, 603 [2009]), we held that the "single decisive question is whether plaintiff's injuries were the direct consequence of a failure to provide adequate protection against a risk arising from a physically significant elevation differential" and that test is certainly met in this case. In *Rocovich v Consolidated Edison Co.* (78 NY2d 509 [1991]), we clarified that "extent of the elevation differential" (here, measured by the depth of the trench) is not necessarily dispositive (*id.* at 514) and on this basis I conclude that based on plaintiff's deposition testimony as to the depth of the trench (which we must take as true for purposes of deciding defendants' motions for summary judgment), there was a significant elevation differential in this case. It is undisputed that no safety device was provided to plaintiff.

Instead of viewing the facts in the light most favorable to plaintiff and allowing this case to proceed to a trial, the majority sidesteps a glaring set of triable factual issues—principally, whether the trench was being actively filled at the time of the accident, and if it was not, whether it could have been temporarily covered or blocked off prior to being filled. During a deposition, plaintiff testified that at the time of the accident,

* Covers and barriers qualify as "other [safety] devices" within the meaning of the statute, which is not limited to devices expressly enumerated therein.

“I was walking backwards, and at the same time I was pulling the concrete, and at the same time we were smoothing the concrete, then one of the trenches began to fill out with concrete, and at some point when I was pulling, walking backwards . . . my foot got inside, into that hole,” and he also testified with regard to the trench that “it fill[ed] out by itself because the concrete r[an] and it fill[ed] it out.”

When asked directly “is it not true that someone had actually poured concrete from the wheelbarrow into that trench prior to the accident?” plaintiff responded “[n]ot directly, because the concrete kind of slides down or runs down.” It is therefore not clear from the record that the trench was purposely being filled at the time of the accident, yet the majority nevertheless concludes that this was the case. Plaintiff’s testimony suggests otherwise—that the concrete in the trench into which his right leg fell had unintentionally seeped in. Defendants maintain that the trench was being purposely filled by plaintiff’s coworkers at the time. In sum, based on this record we know only that the plan was to fill the trench at some point before the job was complete, but we do not know precisely when. There is a factual dispute about the sequencing of this aspect of the project that should not be resolved by this Court on an appeal from the denial of a summary judgment motion.

I agree that “Labor Law § 240 (1) should be construed with a commonsense approach to the realities of the workplace at issue” (majority op at 140). This is the principle we described in *Wilinski*, which simply means that courts should not lay down rules that are, as a practical matter, impossible to follow. We implicitly recognized in that case that it would be irrational to require the shoring up of a structure being demolished. However, in this case, because we do not know enough about the realities of this workplace, a trial is required in order for key factual determinations to be made regarding the specifics of the work plan as well as the feasibility of a cover or barrier in light of those parameters. A covering over or a barrier surrounding the trench would undoubtedly have greatly decreased the likelihood of an accident like the one that befell plaintiff and there is no reason why such a device could not have been used if the trench was not being filled at the time that plaintiff approached it while walking backwards.

Even if we were to assume a disputed fact, I believe that the majority’s pronouncement that “it would be illogical to require

an owner or general contractor to place a protective cover over, or otherwise barricade, a three- or four-foot-deep hole when the very goal of the work is to fill that hole with concrete” (majority op at 140) is premature. This Court is not in a position to determine conclusively that it was impossible to fill the trench and protect plaintiff from the accident at the same time. That is a finding of fact that should be made after experts on construction techniques present their views regarding this subject at trial for the consideration of the factfinder. The factual assumption underlying the majority’s entire analysis—that the planned order of the work was for the concrete to be poured onto the floor and then seep into the trench, such that the seepage was intentional—is not entirely consistent with the evidence or, on the present state of the record, with any coherent work strategy.

The majority’s approach runs counter to the fundamental purpose of Labor Law § 240 (1). The statute, which is aimed at protecting workers from elevation-related risks and fostering safer working environments, should be construed liberally (see *Zimmer v Chemung County Performing Arts*, 65 NY2d 513, 520-521 [1985] [holding that “with respect to section 240, . . . ‘this statute is . . . for the protection of workmen from injury and undoubtedly is to be construed as liberally as may be for the accomplishment of the purpose for which it was . . . framed’ ”], quoting *Quigley v Thatcher*, 207 NY 66, 68 [1912]). Plaintiffs in cases such as this should be afforded the protections of the statute designed to ensure the safety and physical well-being of workers.

I also believe that there are material factual issues as to plaintiff’s Labor Law § 241 (6) claim. The trench here was a “hazardous opening” under 12 NYCRR 23-1.7 (b) (1) (i) and the regulation states that “[e]very hazardous opening into which a person may step or fall shall be guarded by a substantial cover fastened in place.” The majority’s rationale for rejecting plaintiff’s Labor Law § 241 (6) claim is identical to that which it uses to reject the Labor Law § 240 (1) claim and thus fails for the same reasons.

As there are genuine issues of material fact rendering the drastic remedy of summary judgment unavailable to defendants in this case, I dissent and would affirm the order of the Appellate Division and answer the certified question in the affirmative.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT;
Chief Judge LIPPMAN dissents and votes to affirm in a separate
opinion in which Judges CIPARICK and JONES concur.

Order reversed, etc.

[961 NE2d 634, 938 NYS2d 243]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v RAYMOND
CLYDE, Respondent.

Argued October 20, 2011; decided November 22, 2011

SUMMARY

APPEALS, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from two orders of that Court, both entered April 30, 2010. In the first order, the Appellate Division (1) reversed, on the law, a judgment of the Cayuga County Court (Mark H. Fandrich, J., at pretrial proceedings; Robert B. Wiggins, J., at trial), which had convicted defendant, upon a jury verdict, of assault in the second degree (two counts), unlawful imprisonment in the first degree, and promoting prison contraband in the first degree, and (2) granted a new trial on those charges. In the second order, the Appellate Division, affirmed so much of an order of the Cayuga County Court (Robert B. Wiggins, J.), as had granted in part defendant's motion for a trial order of dismissal, and dismissed count one of the indictment charging defendant with attempted rape in the first degree.

People v Clyde, 72 AD3d 1538, reversed.

People v Clyde, 72 AD3d 1543, reversed.

HEADNOTES

Crimes — Harmless and Prejudicial Error — Shackling of Defendant

1. In a prosecution for attempted rape and other crimes in which defendant was convicted of assault in the second degree, unlawful imprisonment in the first degree and promoting prison contraband in the first degree, the trial court's order to have defendant wear visible shackles during the trial was harmless error. Since the trial court did not place on the record its reasons for considering leg irons necessary, the use of the shackles was a violation of defendant's federal constitutional rights under *Deck v Missouri* (544 US 622 [2005]). However, as a matter of federal law, harmless error analysis applies to shackling errors and under New York State constitutional law the result would be the same. Under *Deck*, the burden is on the State to prove beyond a reasonable doubt that a shackling error did not contribute to the verdict obtained. Here, the proof of defendant's guilt was overwhelming and there was no reasonable possibility that the jury would have acquitted him were it not for the shackling error. In particular, DNA evidence and a witness's identification placed defendant at the crime scene, and articles left behind by the perpetrator when he fled matched items in defendant's single-occupancy cell. Furthermore, the jury, faced with a defendant accused of assaulting and/or attempting to rape a civilian while incarcerated, was more likely to

conclude that the defendant was shackled as a precaution, because of the nature of the crimes charged, than to conclude that the defendant was shackled because he was independently known to be dangerous. Accordingly, the shackling error was harmless.

Crimes — Harmless and Prejudicial Error — Improper Expert Testimony

2. In a prosecution for attempted rape, assault, and other crimes, it was harmless error for the trial court to permit two physicians to present expert testimony as to their conclusions regarding whether the victims' injuries met the definition of "physical injury" and whether the attack on the female victim created a risk of "serious physical injury." The trial court improperly allowed physicians testifying for the prosecution to state their conclusions regarding the victims' injuries, because those conclusions, in the context of statutory interpretation, were for the jury to draw. Admissibility turns on whether, given the nature of the subject, the facts cannot be stated or described to the jurors in such a manner as to enable them to form an accurate judgment. Therefore, inasmuch as the facts that underlie physical injury and risk of serious physical injury can readily be stated to a jury so as to enable the jurors to form an accurate judgment concerning the elements of assault and unlawful imprisonment, it was error to permit the expert testimony. Here, however, the evidence that defendant assaulted the female victim and a witness, and unlawfully imprisoned the former, was overwhelming. Moreover, there was no significant probability that the jury's verdict on these counts would have been different had it been required to draw its own conclusions with regard to the extent of the two victims' injuries.

Crimes — Attempt — Rape — Sufficiency of Evidence

3. In a prosecution arising out of an attack on a female civilian prison employee, the trial court erred in dismissing the conviction for attempted rape in the first degree upon defendant's motion for a trial order of dismissal since the evidence of attempted rape was legally sufficient. A verdict is legally sufficient when, viewing the facts in a light most favorable to the People, there is a valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt. There was evidence that, before the attack, defendant was seen lurking in an alleyway that civilian employees often walked along; that he attacked a female victim in an otherwise empty corridor; that he brought items that could be used to silence and restrain a person; that he tried to incapacitate his victim; that he spoke to his victim but did not ask her to help him escape from the prison or direct her to do anything other than be quiet; and that he forced his victim to the floor. The jury also heard evidence from which it could infer that defendant ejaculated before he fled the scene. Moreover, the evidence was sufficient to show that defendant came dangerously near commission of the completed crime where there was testimony that defendant had straddled his gagged victim, and was in the process of binding her hands, when he was disturbed by another person's appearance in the corridor. Although there was no evidence that the assailant had disrobed or had touched the victim's "private parts," a rational jury could have concluded that the attack was carried forward to a point that came within dangerous proximity to forcible sexual intercourse.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 627, 651–654, 657, 659,

662, 664–666, 671, 672, 703, 796, 803; AM JUR 2d, Criminal Law §§ 154, 155; AM JUR 2d, Expert and Opinion Evidence §§ 3, 4, 22, 27, 32–37; AM JUR 2d, Rape §§ 19, 93; AM JUR 2d, Trial §§ 132, 190, 1651.

CARMODY-WAIT 2d, Conduct of Trial, in General §§ 190:149, 190:150; CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:174, 194:175, 194:177; CARMODY-WAIT 2d, Trial Order of Dismissal §§ 198:1–198:8; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:114, 207:117, 207:119–207:121, 207:134, 207:172, 207:233.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.2, 24.4, 24.11, 27.2, 27.3, 27.5, 27.6.

NY JUR 2d, Criminal Law: Procedure §§ 2188–2190, 2461, 3371, 3569, 3570, 3572–3574, 3588, 3592, 3637–3644, 3650; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 295–300, 316, 647, 712.

ANNOTATION REFERENCE

Propriety and prejudicial effect of gagging, shackling, or otherwise physically restraining accused during course of state criminal trial. 90 ALR3d 17.

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POINTS OF COUNSEL

Jon E. Budelmann, District Attorney, Auburn (*Christopher T. Valdina* of counsel), for appellant. I. The overwhelming evidence of defendant's guilt renders the shackling error harmless. (*Deck v Missouri*, 544 US 622; *People v Rouse*, 79 NY2d 934; *People v Buchanan*, 13 NY3d 1; *Chapman v California*, 386 US 18; *People v Crimmins*, 36 NY2d 230; *People v Hamlin*, 71 NY2d 750; *People v Bayard*, 15 NY3d 896; *People v Wardlaw*, 6 NY3d 556; *People v Jacobs*, 6 NY3d 188; *People v Douglas*, 4 NY3d 777.) II. The overwhelming evidence of defendant's guilt renders harmless the insignificant errors in the prosecutor's questioning of the two physician-witnesses. (*People v Kello*, 96 NY2d 740; *People v Forcione*, 156 AD2d 952, 75 NY2d 919; *People v Cronin*, 60 NY2d 430; *People v Crimmins*, 36 NY2d 230; *People v McMillion*, 181 AD2d 997, 80 NY2d 835.) III. The uncontested trial evidence, viewed in the light most favorable to the People, was legally sufficient to support the jury's verdict finding defendant guilty of attempted rape in the first degree. (*People v Contes*, 60 NY2d 620; *Jackson v Virginia*, 443 US 307; *People v*

Glover, 66 NY2d 931; *People v Coleman*, 74 NY2d 381; *People v Bracey*, 48 AD2d 860, 41 NY2d 296; *People v Naradzay*, 11 NY3d 460; *People v Mahboubian*, 74 NY2d 174; *People v McDade*, 14 NY3d 760; *People v Cano*, 12 NY3d 876; *People v Bleakley*, 69 NY2d 490.)

David P. Elkovitch, Auburn, for respondent. I. The pro se defendant was denied a right to a fair trial by keeping him shackled in leg irons for the jury to see and hear from jury selection to verdict. (*Matter of State of New York v Rashid*, 16 NY3d 1; *Matter of Seitelman v Lavine*, 36 NY2d 165; *People v Crimmins*, 36 NY2d 230; *People v Roman*, 35 NY2d 978; *People v Jenkins*, 88 NY2d 948; *Estelle v Williams*, 425 US 501; *People v Buchanan*, 13 NY3d 1; *People v Mees*, 47 NY2d 997; *People ex rel. Battista v Christian*, 249 NY 314; *People v Britt*, 43 NY2d 111.) II. The trial court allowed two expert witnesses to usurp the function of the jury. (*People v Grutz*, 212 NY 72; *People v Negron*, 280 AD2d 557; *People v Forcione*, 156 AD2d 952.) III. The trial court did not abuse its discretion granting defendant's motion to dismiss with regard to rape. (*People v Glover*, 66 NY2d 931; *People v Naradzay*, 11 NY3d 460; *People v Warren*, 66 NY2d 831; *People v Sullivan*, 173 NY 122; *People v Werblow*, 241 NY 55.)

Mintz & Oppenheim LLP, New York City (*Marshall A. Mintz* of counsel), and *Green & Willstatter*, White Plains (*Richard D. Willstatter* of counsel), for New York State Association of Criminal Defense Lawyers, amicus curiae. The Appellate Division majority was correct that reversal was required where the trial court made no findings as to why defendant should be shackled and failed to give any curative instruction to the jury. (*Deck v Missouri*, 544 US 622; *Holbrook v Flynn*, 475 US 560; *Illinois v Allen*, 397 US 337; *People v Crimmins*, 36 NY2d 230; *People v Dawson*, 125 AD2d 860; *People v Mattison*, 97 AD2d 621; *People v Vivenzio*, 103 AD2d 1044; *People v Harper*, 47 NY2d 857; *People v Hilliard*, 73 NY2d 584; *Kennedy v Cardwell*, 487 F2d 101.)

OPINION OF THE COURT

PIGOTT, J.

We hold that harmless error analysis is applicable when a trial court has ordered the use of visible shackles without adequate justification articulated on the record (see *Deck v Missouri*, 544 US 622 [2005]). Here, defendant's shackling during trial was harmless, as was an evidentiary error committed by

the trial court. We also agree with the People that the count of defendant's indictment charging him with attempted rape should not have been dismissed.

I.

A female, civilian employee of Auburn Correctional Facility was attacked in the prison on the afternoon of July 7, 2006. She was walking along an otherwise empty corridor, towards the south mess hall kitchen when a man attacked her from behind, putting his hand over her mouth and nose. The employee, managing to get free of her attacker's grasp momentarily, begged him not to hurt her, and asked, "What do you want?" The man did not answer. He slammed the woman against a wall, and thrust a sock or towel into her mouth. After she succeeded in getting the object out of her mouth, and screamed for help, the assailant threatened to kill her if she did not keep quiet, placed the same object into her mouth again, and pushed her onto her knees.

Remaining behind the employee at all times, so that she could not see him, the man pulled her head back by her hair, while continuing to push the sock or towel into her throat. He then pushed her to the floor. When the sock or towel fell out again, the man replaced it, shouted profanities, and punched the employee in the face. The assailant demanded her hands, and started wrapping a cord around one hand. The employee refused to yield her other arm, and bit one of the man's hands, experiencing a sensation that made her think he was wearing gloves. The attacker, straddling the employee as she lay on her stomach, got both her hands behind her back.

It was at this point that another civilian employee of the prison, Anthony Rebich, who had heard his coworker's cries, came to her rescue. He saw his colleague lying on the floor of the corridor struggling with an inmate who was trying to tie her hands with white strips of cloth. Rebich activated an alarm and yelled at the inmate who started running towards him. Rebich tripped the inmate, and the two men exchanged blows. Rebich chased the inmate along the corridor, but the inmate ran out of the building. Going to the aid of the female employee, Rebich and another colleague found her screaming for help and repeating that the man had tried to rape her.

Corrections Officer John Exner found defendant Raymond Clyde in the yard, in the vicinity of the south mess hall. He was sweating profusely, was acting nervously, and gave an

explanation for his presence in the yard that made no sense to the officer. Rebich identified Clyde as the man he had encountered in the corridor. The female employee who had been attacked was unable to identify her assailant.

Clyde's DNA was found on a sock, a towel, and a glove, left behind when the attacker fled the corridor. The DNA samples on the towel and glove came from semen-stained areas of those items. Semen was also found on the female victim's T-shirt, but was insufficient for identification purposes. A tape roll and a strip of cloth left at the crime scene matched a tape roll spindle and a torn bed sheet found in Clyde's single-occupancy cell.

The female employee had numerous facial lacerations, abrasions, and bruises, and a deep oral laceration. She told the nurse who treated her at the prison infirmary that an inmate had tried to rape her. She was treated at Auburn Memorial Hospital, and released. Rebich was treated at the same hospital, and was diagnosed with a concussion.

II.

Clyde was indicted on charges of attempted rape in the first degree, assault in the second degree (two counts), unlawful imprisonment in the first degree, and promoting prison contraband in the first degree. Defense counsel sought an order from County Court directing that Clyde be permitted to appear in court without prison garb, chains or shackles. The People, while not opposing this request, produced a report of Clyde's criminal history, showing that he was serving a prison sentence of 25 to 50 years, following a 1996 conviction for rape in the first degree (two counts), sodomy in the first degree, robbery in the first degree, and burglary in the first degree. The People also pointed to Clyde's earlier convictions and to a history of over 20 disciplinary findings during his present incarceration.

When Clyde's trial began in December 2007, County Court agreed that Clyde could wear noninstitutional clothes and need not wear handcuffs, but insisted that he wear leg irons. The trial court offered to have a "curtain" draped around the defense table to conceal the leg irons. After some discussion with Clyde about the practical difficulties of such an arrangement, which would not allow Clyde to attend sidebar conferences without revealing the leg irons, Clyde agreed to forgo the curtain. At no point did County Court place on the record its findings showing that Clyde needed restraint by means of leg irons.

Clyde waived his right to counsel. Properly warned of the risks of self-representation, Clyde proceeded pro se throughout jury selection and his trial.* Clyde did not raise the subject of his shackles again, and sought no cautionary instruction in that regard.

In all, 29 witnesses testified at Clyde's trial, including, among others, the female victim, Rebich, Exner, and the forensic scientists who had performed the DNA analysis. Sergeant Craig Diego testified that on the day before the attack, and twice on the morning of the attack, he had seen Clyde in a prison alleyway that he was not authorized to remain in, which was frequented by "teachers . . . go[ing] down to the [prison] school, [and] any civilians going down to the shops." He had twice admonished Clyde, for being in the alleyway.

On cross-examination of the female victim, Clyde brought out that the assailant had not put his hands under her clothes, or touched her "private parts." No evidence was presented to show that the assailant had disrobed.

In relation to the injuries suffered by Rebich, the prosecutor asked Dr. Mervyn Whelan, an emergency staff physician at Auburn Memorial, who had treated him, whether Rebich's injuries met the definition of "physical injury," namely "substantial pain or limitation of physical condition." Clyde objected that this was a determination to be made by the jury. County Court overruled the objection, and Whelan testified that, in his opinion, Rebich had suffered a physical injury. Similarly, the prosecutor asked Dr. Barbara J. Connor, also an emergency staff physician at Auburn Memorial, who had treated the female employee, whether her injuries satisfied the same definition of "physical injury" and whether the attack had created a "risk of serious physical injury," defined as physical injury that "creates a substantial risk of death." Connor answered these questions in the affirmative, again over Clyde's objection.

At the close of the People's case, Clyde, who called no witnesses, moved for a trial order of dismissal. County Court reserved decision. The jury found Clyde guilty on all counts. County Court granted Clyde's motion with respect to the charge of attempted first-degree rape, dismissing that count of the indictment, but denied the motion in all other respects.

* Clyde's defense counsel was present in a standby capacity.

Following his conviction, Clyde appealed, arguing that County Court had failed to articulate a reasonable basis on the record for its determination to restrain him in shackles during the trial. The People appealed County Court's order dismissing the charge of attempted first-degree rape. The Appellate Division reversed County Court's judgment of conviction, ruling that the use of shackles was reversible error, and further held that the trial court had properly dismissed the attempted rape charge (72 AD3d 1538 [2010]). One Justice dissented, and granted the People leave to appeal. We now reverse.

III.

In *Deck v Missouri* (544 US 622 [2005]), the United States Supreme Court, surveying law from Blackstone to the present day, held that the Federal Constitution prohibits the use of physical restraints visible to the jury during a criminal trial, absent a court determination that they are "justified by an essential state interest . . . specific to the defendant on trial" (*id.* at 624 [internal quotation marks omitted]). Such essential state interests include "physical security, escape prevention, [and] courtroom decorum" (*id.* at 628). The trial court must exercise "close judicial scrutiny" (*Holbrook v Flynn*, 475 US 560, 568 [1986], quoting *Estelle v Williams*, 425 US 501, 504 [1976]), in determining whether such an interest requires shackling.

The Court enunciated three fundamental legal principles that underlie this well-grounded holding: the presumption of innocence, securing a meaningful defense, and maintaining dignified proceedings (*see Deck*, 544 US at 630-632). The Court concluded that visible shackles may not be used unless justified by an individualized security determination conducted by the trial court, which "must be case specific; that is to say, it should reflect particular concerns, say, special security needs or escape risks, related to the defendant on trial" (*id.* at 633). The Supreme Court made it clear that, to avoid committing error, a trial court requiring a defendant to be visibly shackled should place its individualized findings *on the record* (*see id.* at 633-634; *see also id.* at 640-641, 643, 649 [Thomas and Scalia, JJ., dissenting]).

Finally, the Supreme Court clarified that

"where a court, without adequate justification, orders the defendant to wear shackles that will be

seen by the jury, the defendant need not demonstrate actual prejudice to make out a due process violation. The State must prove ‘beyond a reasonable doubt that the [shackling] error complained of did not contribute to the verdict obtained’ ” (*id.* at 635, quoting *Chapman v California*, 386 US 18, 24 [1967]).

Here, County Court did not place on the record its reasons for considering leg irons necessary during Clyde’s trial. Clyde’s history would have supported a decision to require shackles, but the trial court has to make that determination and articulate its reasons itself. We cannot tell from the record whether County Court shackled Clyde as a matter of routine because he had already been convicted of a violent crime, or whether the court engaged in case-specific reasoning that led to the conclusion that shackles were necessary. The use of leg irons was therefore a violation of Clyde’s constitutional rights under *Deck*.

IV.

[1] The issue then becomes whether the trial court’s error was harmless. Because we find that the trial court committed error as a matter of federal constitutional law, we apply Supreme Court precedent in deciding whether the error is of a type that may be harmless (*see Chapman*, 386 US at 20-21). In *Deck*, the Supreme Court declared that the burden is on the State to prove beyond a reasonable doubt that a shackling error “did not contribute to the verdict obtained” (544 US 622, 635 [internal quotation marks omitted], quoting *Chapman*, 386 US at 24). By quoting language from *Chapman*, a case that holds, as a matter of federal law, that federal “constitutional errors can be harmless” (*Hedgpeth v Pulido*, 555 US 57, 60 [2008]), the *Deck* Court made it clear that harmless error analysis applies to shackling errors.

Were we to decide this question under state constitutional law, the result would be the same. A defendant has the right to be free of visible shackles, unless there has been a case-specific, on-the-record finding of necessity. However, we would not hold, as a matter of state law, that an error in ordering shackles requires automatic reversal.

A constitutional error is “considered harmless when, in light of the totality of the evidence, there is no reasonable possibility that the error affected the jury’s verdict” (*People v Douglas*, 4 NY3d 777, 779 [2005]). We take into account “two discrete

factors: (1) the quantum and nature of the evidence against defendant if the error is excised and (2) the causal effect the error may nevertheless have had on the jury” (*People v Hamlin*, 71 NY2d 750, 756 [1988]). We therefore must decide whether the proof of Clyde’s guilt was overwhelming and whether there is no reasonable possibility that the jury would have acquitted him were it not for the shackling error.

With respect to the charges of which Clyde was convicted after County Court granted his motion to dismiss with respect to the attempted rape charge, the evidence was overwhelming. In particular, DNA evidence and Rebich’s identification placed Clyde at the crime scene, and articles left behind by the perpetrator when he fled matched items in Clyde’s single-occupancy cell. Moreover, we do not believe that there is a reasonable possibility that the jury would have acquitted Clyde had he not worn visible shackles at trial. A jury, faced with a defendant accused of assaulting and/or attempting to rape a civilian while incarcerated, is more likely to conclude that the defendant was shackled as a precaution, because of the nature of the crimes charged, than to conclude that the defendant was shackled because he was independently known to be dangerous.

V.

[2] Clyde also argues on appeal, as he did pro se at his trial, that the testifying physicians were improperly allowed to testify as to their conclusions regarding the female victim’s and Rebich’s injuries, in the context of statutory interpretation, because those conclusions were for the jury to draw. Here, “admissibility turns on whether, given the nature of the subject, the facts cannot be stated or described to the jury in such a manner as to enable them to form an accurate judgment thereon” (*People v Cronin*, 60 NY2d 430, 432-433 [1983] [internal quotation marks omitted]). The facts that underlie physical injury and risk of serious physical injury can readily be stated to a jury so as to enable the jurors to form an accurate judgment concerning the elements of assault and unlawful imprisonment. It was therefore error to overrule Clyde’s objections and permit this expert testimony.

That said, nonconstitutional harmless error analysis applies to this error. The evidence that Clyde assaulted the female employee and Rebich, and unlawfully imprisoned the former, was overwhelming. Moreover, there is no significant probability that the jury’s verdict on these counts would have been different had

it been required to draw its own conclusions with regard to the extent of the two victims' injuries. Consequently, the evidentiary error was harmless.

VI.

Finally, we turn to the question whether the evidence of attempted rape was sufficient. "A verdict is legally sufficient when, viewing the facts in a light most favorable to the People, there is a valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt" (*People v Danielson*, 9 NY3d 342, 349 [2007] [internal quotation marks omitted], quoting *People v Acosta*, 80 NY2d 665, 672 [1993]).

[3] The jury heard evidence that, before the attack, Clyde was seen lurking in an alleyway that civilian employees often walked along; that he attacked a female victim in an otherwise empty corridor; that he brought items that could be used to silence and restrain a person; that he tried to incapacitate his victim; that he spoke to his victim but did not ask her to help him escape from the prison or direct her to do anything other than be quiet; and that he forced his victim to the floor. The jury also heard evidence from which it could infer that Clyde ejaculated before he fled the scene. A jury could logically conclude that the People sustained its burden of proving that Clyde intended to rape.

We also believe that the evidence was sufficient to show that Clyde "came dangerously near commission of the completed crime" (*People v Kassebaum*, 95 NY2d 611, 618 [2001] [internal quotation marks omitted]). The jury heard that testimony that Clyde had straddled his gagged victim, and was in the process of binding her hands, when he was disturbed by Rebich's appearance in the corridor. A rational jury could have concluded that the attack was carried forward to a point that came within dangerous proximity to forcible sexual intercourse.

With respect to the attempted rape charge, therefore, Supreme Court erred in dismissing the count on sufficiency grounds. That was the only issue raised by the People's appeal to the Appellate Division from County Court's dismissal order, and it is the only issue we reach as to that count. Upon reversing the Appellate Division's affirmance of County Court's dismissal order, we remit the matter to County Court for sentencing on the conviction. Defendant then may take his own appeal to the Appellate Division, raising any issues available to him.

Accordingly, the order of the Appellate Division, reversing County Court's judgment, should be reversed, and the case remitted to the Appellate Division for consideration of the facts and issues raised but not determined on the appeal to that court from the judgment. The order of the Appellate Division, affirming County Court's order, should be reversed, and the case remitted to County Court for sentencing on the conviction of attempted rape in the first degree.

Chief Judge LIPPMAN (dissenting). It is not a novel principle that compelling a criminal defendant to appear before his or her jury in shackles without record, case specific justification, although a due process violation under the Fifth and Fourteenth Amendments to the United States Constitution, is not categorically barred from being proved harmless by the prosecution. *Deck v Missouri* (544 US 622 [2005]) recognizes the possibility that in hypothetically rare, extraordinarily overdetermined cases the prosecution may be able to “prove ‘beyond a reasonable doubt that the [shackling] error complained of did not contribute to the verdict obtained.’ *Chapman v. California*, 386 U.S. 18, 24 . . . (1967)” (*id.* at 635). The question now posed, then, is not what *Deck* in theory allows the prosecution to prove in order to save a conviction, but whether the prosecution here met its burden under *Deck* to demonstrate beyond a reasonable doubt that the unjustified visible shackling of this pro se defendant during his week-long jury trial—now conceded by all concerned to have been accomplished in violation of his right to due process—did not contribute to the verdict against him.

It is plain not only that no such demonstration was made, but that it was not possible given the verdict. Defendant was convicted of every count charged in the indictment. Although the evidence of some of the charged offenses was overwhelming, as the majority concedes, the evidence was not overwhelming as it bore upon the indictment's top count, charging attempted rape in the first degree. Even if one disagrees with the conclusion shared by the trial court and Appellate Division that the evidence in proof of that count was legally insufficient,¹ it is not

1. This conclusion, it seems to me, was correct. As the trial court observed in dismissing the attempted rape count, “[i]t is undisputed that there is no mention of sex or rape, that there [was at trial no evidence of] touching of any sexual part of the victim and that there is no attempt to remove any clothing or gain access beneath any clothing.” The probative value of the DNA evidence is overstated by the majority. There was no proof as to when defendant's semen was deposited on the leather gloves and certainly no proof that

(n. cont'd)

arguable that the count was, at best, marginally supported. In this evidentiary context, it is apparent that it would be impossible to prove beyond a reasonable doubt that the defendant's appearance before the jury constantly clad in officially provided implements subversive of the presumption of innocence as well as naturally and eloquently indicative of the wearer's antisocial propensities, could not have contributed to the verdict.

Were the Court not reinstating the attempted rape verdict, as it is, it would at least be possible to argue that the shackling error did not contribute to so much of the verdict that survived. But even that argument would not in the end be analytically sound because once it is admitted that the shackling error could have infected the deliberative process, it becomes virtually impossible to prove that it affected only isolated portions of the verdict. The relevant question it must be emphasized is not whether the shackling error itself caused the jury to return the verdict it did, i.e., whether but for the error defendant would have been acquitted, but whether there is any reasonable possibility that the error *contributed* to the verdict. The proof of noncontribution to which the People are put under *Deck* is quite simply impossible where, as here, the jury has convicted with respect to any count on evidence that is less than overwhelming.

While shackling errors are not, under *Deck*, categorically immune from harmless error analysis but merely, as a practical matter, extraordinarily difficult to prove harmless, some shackling errors, many of which in any event would be impossible to prove harmless under *Deck*, are I believe sheltered from harmless error analysis under our state jurisprudence. We have long recognized that

“if in any instance, an appellate court concludes that there has been such error of a trial court, such misconduct of a prosecutor, such inadequacy of defense counsel, or such other wrong as to have operated to deny any individual defendant his fundamental right to a fair trial, the reviewing court must reverse the conviction and grant a new trial, quite without regard to any evaluation as to whether the errors contributed to the defendant's conviction.

the deposits occurred during the charged assault. And, although there was testimony as to a “possibility” that there was a seminal fluid residue on the victim's tee shirt, there was, apart from the admittedly indeterminate nature of the residue, no evidence as to its source.

The right to a fair trial is self-standing and proof of guilt, however overwhelming, can never be permitted to negate this right” (*People v Crimmins*, 36 NY2d 230, 238 [1975]).

“The presumption of innocence, although not articulated in the Constitution, is a basic component of a fair trial under our system of criminal justice” (*Estelle v Williams*, 425 US 501, 503 [1976]). Where, as here, shackles or other physical restraints imposed without adequate record justification are extensively viewed by the jury during trial and the jury is simply left to speculate upon their significance, the possibility of a fair trial becomes virtually irretrievable. The error involved, effectively depriving defendant of the presumption whose “enforcement lies at the foundation of the administration of our criminal law” (*Coffin v United States*, 156 US 432, 453 [1895]) was preclusive of a fair trial. While there are cases in which the brief and inadvertent exposure of a defendant in shackles to jurors will not necessarily have that consequence (see e.g. *People v Harper*, 47 NY2d 857 [1979]), here defendant, evidently with the Court’s imprimatur, was during his entire week-long trial made to appear before his jury visibly restrained by implements commonly and nearly inevitably understood to be reserved for the management of dangerous and explosive individuals—persons presumptively predisposed to violent crime.² It is, or should be, clear that this appearance must have skewed the basic structure of the proceeding; the presumption of defendant’s innocence and concomitant burden of the People to prove defendant’s guilt beyond a reasonable doubt cannot reasonably be supposed to have survived. If, as *Crimmins* contemplates, there is a category of cases in which the fundamental, freestanding right to a fair trial must be vindicated even when there is overwhelming evidence favoring conviction, this case falls within it.

This trial was, practically speaking, hardly different from one conducted without a presumption of innocence charge or an instruction placing upon the People the burden of proving guilt beyond a reasonable doubt. When there is added to this the circumstance that the pro se defendant was literally hobbled as he exercised his Sixth Amendment right to plead his own case, it would seem clear beyond peradventure that what is at issue is

2. The majority is not wrong to say that the jury might have viewed the shackles as precautionary, but it is hard to understand how such a view would have been benign to defendant or his chances for a fair adjudication based on the fairly probative evidence.

error of a sort incompatible with the basic premises upon which trials are characterized as fair.

Accordingly, I would affirm the orders of the Appellate Division.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Chief Judge LIPPMAN dissents and votes to affirm in a separate opinion in which Judges CIPARICK and JONES concur.

Order, reversing County Court's judgment, reversed, etc.

[960 NE2d 405, 936 NYS2d 636]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CHRISTIAN BUENO, Appellant.

Argued October 11, 2011; decided November 21, 2011

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 16, 2010. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Alan D. Marrus, J.), which had convicted defendant, upon a jury verdict, of assault in the second degree.

People v Bueno, 71 AD3d 908, affirmed.

HEADNOTE

Crimes — Assault — Intent to Prevent Emergency Medical Technician from Performing Lawful Duty

In a prosecution for second-degree assault under Penal Law § 120.05 (3) and another crime, the evidence was legally sufficient to establish that defendant acted “[w]ith intent to prevent” an emergency medical technician (EMT) “from performing a lawful duty” when he caused an EMT to suffer physical injury since the People made out a prima facie case of intent by presenting evidence that defendant attacked someone he had reason to know was an EMT on duty at the time. Here, defendant attacked and repeatedly pummeled a uniformed EMT who was attempting to enter his ambulance after having treated a person in response to a call for assistance. Under section 120.05 (3), a defendant need not intend to prevent an EMT from performing a specific task. The jurors might have logically concluded that the victim was performing the routine job duties of an EMT in a lawful manner when he attempted to leave premises where he had furnished medical assistance, whether he was then on his way to another call or to his home base at the hospital. The People were not required to prove that defendant intended to injure the victim; however, the ferocity and persistence of his attack might have reasonably caused the jurors to decide that he intended to interfere with the victim’s performance of his duties as an EMT. In fact, the victim was unable to return to work for three weeks after the assault. A jury is entitled to infer that a defendant intended the natural and probable consequences of his acts. The element of intent is rarely proved by an explicit expression of culpability by the perpetrator, and competing inferences to be drawn regarding the defendant’s intent, if not unreasonable, are within the exclusive domain of the finders of fact.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Obstructing Justice §§ 3, 54, 56, 82.

McKINNEY's, Penal Law § 120.05 (3).

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 401, 418, 1327, 1328.

ANNOTATION REFERENCE

See ALR Index under Assault and Battery; Emergency Medical Technicians; Obstructing Justice.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: prevent! /s emt /s duty /s inten!

POINTS OF COUNSEL

Appellate Advocates, New York City (*Denise A. Corsi* and *Lynn W.L. Fahey* of counsel), for appellant. The People failed to establish appellant's guilt of second-degree assault under Penal Law § 120.05 (3) because they failed to show that he caused injury to an emergency medical technician, who had completed his tasks at the scene and would merely return to his post and await the next call for emergency medical services, with the intent to prevent him from performing a lawful duty. (*Jackson v Virginia*, 443 US 307; *People v Campbell*, 72 NY2d 602; *People v McDonald*, 291 AD2d 832; *People v Milhouse*, 246 AD2d 119; *People v Greene*, 221 AD2d 559; *People v Cruz*, 48 NY2d 419; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v Versaggi*, 83 NY2d 123; *People v Eulo*, 63 NY2d 341; *People v Shakun*, 251 NY 107.)

Charles J. Hynes, District Attorney, Brooklyn (*Rhea A. Grob* and *Leonard Joblove* of counsel), for respondent. The evidence was legally sufficient to support defendant's conviction of second-degree assault, under Penal Law § 120.05 (3), for causing physical injury to an emergency medical service technician with the intent to prevent him from performing a lawful duty. (*People v Ford*, 66 NY2d 428; *People v Contes*, 60 NY2d 620; *People v Steinberg*, 79 NY2d 673; *People v Getch*, 50 NY2d 456; *People v Barnes*, 50 NY2d 375; *People v Castillo*, 47 NY2d 270; *People v Olomonsa*, 71 AD3d 1491; *People v Allah*, 126 AD2d 778; *Matter of Theroux v Reilly*, 1 NY3d 232; *People v Jackson*, 87 NY2d 782.)

OPINION OF THE COURT

READ, J.

The issue in this appeal is whether the evidence adduced at trial was legally sufficient to establish that defendant Christian

Bueno acted “[w]ith intent to prevent” an emergency medical technician (EMT) “from performing a lawful duty” when he caused an EMT to suffer physical injury (*see* Penal Law § 120.05 [3]). As the uniformed EMT was climbing into the driver’s side of an ambulance, defendant blindsided him with a blow to the head, threw him to the ground and pummeled him repeatedly about the face and head. The EMT and his partner on a two-person ambulance crew were about to drive away from the premises where they had just treated an injured woman. We conclude that the People made out a *prima facie* case of intent by presenting evidence that defendant attacked someone he had reason to know was an EMT on duty at the time.

I.

At about 2:20 A.M. on the day before Christmas in 2006, EMTs William Spinelli and Linda Aanonsen were dispatched by ambulance to 190 Butler Street in Brooklyn in response to a call for medical assistance for a woman who injured her hand and a man who suffered a bleeding face in a fight. Their work shift was from 12:30 A.M. until 8:30 A.M. that day. Spinelli described the ambulance as a big, white vehicle with the words “Lutheran Medical Center Ambulance” imprinted on it, and Fire Department, 911 and emergency medical services (EMS) stickers on both doors. Spinelli drove the ambulance on this occasion, and activated its lights and siren. Spinelli and Aanonsen were wearing their uniforms—navy pants and a matching pullover displaying their names, the letters “EMT” and their shield numbers, as well as insignia identifying them as EMTs associated with Lutheran Medical Center Emergency Medical Services.

Upon arrival at 190 Butler Street—the address of a small, three-story apartment house—Spinelli parked the ambulance in the street in front of the building. Eight to 10 people were congregating outside the building’s entrance. One of them, who identified himself as an off-duty auxiliary police officer, told the EMTs that there was an injured woman inside, and led them to the rear apartment on the first floor. Spinelli and Aanonsen were carrying their equipment—a small collapsible wheelchair called a stair chair; a trauma bag, which is “a larger size bag . . . about 2 feet long,” red in color, where supplies such as bandaging, water and ice packs are stored; and a similarly sized

oxygen bag, which contained an oxygen tank and devices used to administer oxygen.

The EMTs observed about 15 people in the apartment, as well as beer cans and coolers, causing Spinelli to conclude that there had been “a party of some sorts.” The injured woman complained of pain in her right hand, on which she had placed an ice pack; she told the EMTs that “she had been in a verbal altercation with somebody, and punched a wall with her right hand.” The EMTs did not see and were not directed to or approached by anyone bleeding from the face.

Aanonsen gave the woman another ice pack and took her vital signs. The EMTs advised her to go to the hospital for X rays in light of the possibility of a broken hand. Spinelli described the woman as “[p]leasant” and “[f]ine”; she declined to accompany them to the hospital. Since at that point “[t]here was not much more [the EMTs] could do other than what [they] had done already,” they left the apartment about 15 minutes after their arrival at 190 Butler Street. On their way back to the ambulance, they again passed by 8 to 10 people standing outside near the building. Someone called out, “Have a safe night. Merry Christmas,” and the EMTs responded in kind.

After the EMTs stowed their gear in the ambulance, Spinelli unlocked the passenger side door for Aanonsen, who climbed in. He then walked around to the driver’s side and opened the door. But as Spinelli was about to step into the ambulance, he became aware that “somebody [was] screaming out loudly, cursing.” He “turned around to see what was going on,” and noticed defendant, standing six or seven feet away, “looking in [his] direction, screaming” and moving toward the ambulance. At that point, defendant reared back and threw a beer can at Spinelli’s head. Spinelli ducked, and the can flew through the open door into the vehicle, hit the dashboard and “poured alcohol all over,” splashing Aanonsen.

Then, as Spinelli attempted to enter the ambulance, having just planted his left foot on the outside step into the cabin, defendant hit him in the back of the head, grabbed his sweater collar and threw him to the ground, where he landed face up. Defendant “kneel[ed] down on one knee[,] right next to” Spinelli and struck his face two or three times with a closed hand. As Spinelli attempted to deflect these blows, the two men rolled on the ground. Spinelli did not throw any punches because he had “always been told, working this job, from the

point [he] was hired, that [EMTs] are not allowed to raise [their] fists, or do anything in any way.” Spinelli eventually managed to wriggle free from defendant, but just as he was getting to his feet, a second man struck him from behind on the right side of his head. This blow stupefied Spinelli, causing him to sink down on his hands and knees.

Aanonsen, who hit the emergency button to alert the dispatcher to an urgent situation the minute her partner came under attack, exited the ambulance in time to push the second man off Spinelli. She and that man fell to the ground. He hit her in the face, and she punched back. After another round of punches was exchanged, Aanonsen regained her feet. Bystanders were “trying to break [them] up,” and her attacker moved off and stood by a nearby fence where he kept “yelling things. But there was no other physical altercation.” Aanonsen then reentered the ambulance, and radioed a request for help before leaving again to assist her partner.

In the meantime, defendant had resumed his attack on Spinelli, “[s]traddl[ing]” him and “punching [him] about the head and face” with “[c]lose-handed fists” more than 15 times. Spinelli was still on his hands and knees, and was “basically trying to crawl away.” He described himself as “dazed,” and testified further that his head was by this time “really hurting.” Defendant eventually broke off the assault, and the two EMTs scrambled into the ambulance. From the safety of their vantage point there, they observed the second man, who was never identified or caught, running down the street away from the ambulance; they saw defendant walk to a nearby building, where he sat down on the stoop.

When police and emergency personnel (two other ambulances and fire department supervisors) arrived one or two minutes later, the two EMTs got out of the ambulance and walked to the front of the vehicle. Spinelli pointed out defendant, who was still lingering nearby, to Officer Eduardo Mercado. As Mercado and his partner approached defendant, Mercado called out, “Come over here.” Defendant, who appeared intoxicated to Mercado, ignored this direction and turned to enter the building at 188 Butler Street, but Mercado and his partner intercepted and arrested him. Not until he reached his police vehicle with the handcuffed defendant in tow did Mercado notice bruises on defendant’s face and blood on his tee shirt. At the police station, defendant attributed the contusions to a fight earlier in the evening; he twice refused offers of medical assistance.

Spinelli endured swelling to his face and head and a deviated septum as a result of the beating he took; Aanonsen suffered from swelling to her right wrist and knee and bruises to the left side of her face, as well as dizziness, nausea and vomiting on the way to the hospital by ambulance for treatment. Spinelli was also afflicted with dizziness, nausea, vomiting and an uncommonly severe “splitting” headache several hours later in the day, necessitating a return visit to the hospital on Christmas Eve. He did not go back to work for three weeks; Aanonsen was absent from work for 10 days. For his role in this incident, defendant was charged with two counts of second-degree assault (Penal Law § 120.05 [3]) (one count for Spinelli and one for Aanonsen), a felony; and two counts of third-degree assault (Penal Law § 120.00 [1]) (one count for Spinelli and one for Aanonsen), a misdemeanor.

In a brief opening statement, defense counsel told the jury that defendant was “the victim here”—i.e., he was the man with a bleeding face whom the EMTs were dispatched to treat (along with the woman with an injured hand), but they failed in their duty to render him aid and “[i]nstead . . . got him arrested.” The People called Spinelli, Aanonsen and Mercado as witnesses, and they testified as already described.

At the close of the People’s case, defense counsel moved to dismiss both second-degree assault counts. As relevant to this appeal, she argued that, since the EMTs had “finished at 190 Butler Street, they finished with their call, their duty,” the People had not made out a *prima facie* case that defendant assaulted them with intent to prevent the performance of a lawful duty, as required by Penal Law § 120.05 (3). The prosecutor countered that “the fact that these EMTs were finished with one specific call[] is not the way in which the Court should determine whether they were on/or off-duty, or during the performance of their actual duties. These EMTs were in uniform waiting to respond to other calls.” In short, just because the EMTs had “finished treating someone [did not suggest that] they were not acting in the performance of their official duties.”

While finding “an element of the truth” in both parties’ arguments, the trial judge denied the motion. He opined that

“the fact that the EMTs had finished providing medical care to the patient at that scene, doesn’t mean they weren’t still performing their lawful duty[;] they were in uniform, and going back into

the ambulance. Part of their lawful duties is to remain on duty for further calls. They still had some paperwork they had to fill out.

“They were loading up their truck, and they were acting in their capacity at that time as EMTs, that’s what they were doing. So, I agree with [the prosecutor] about that. I also agree with [defense counsel] that there is an issue as to the intent, as to whether or not the intent was to prevent them from performing their lawful duty.

“I think that’s why we have a jury, because I believe that’s a question of fact, and I think you can look at these facts and argue it, both cases, and I think it’s going to be up to the jury to decide. *That’s a question of fact for them whether or not the defendant’s actions were with the intent to prevent them from performing their lawful duty. The facts are what they are. I think the inference will be up to the jury to draw what those facts involved.* I am sure that’s what [defense counsel is] going to argue to the jury. Therefore, I am not going to grant [the defense] motion to dismiss. I am going to leave the issue of intent up to the jury to decide” (emphasis added).

The defense then rested without calling any witnesses. In her closing argument, defense counsel disputed the People’s case on several grounds: that Mercado “did less than thorough police work” because he only spoke to Spinelli and Aanonsen at the scene and did not question any bystanders about what had happened; that, even assuming events unfolded as portrayed by the People’s witnesses, there was insufficient evidence that defendant sought to prevent the EMTs from performing a lawful duty because Spinelli and Aanonsen had completed administering aid to the woman with the injured hand and so “the duty was over” before any altercation occurred and, in any event, defendant was too intoxicated to form the requisite intent; that there was insufficient evidence that defendant acted together with the unapprehended stranger, who dealt the heaviest blow to Spinelli and punched Aanonsen; and that Spinelli and Aanonsen did not suffer physical injury within the meaning of the Penal Law (i.e., impairment of physical condition or substantial pain).

As to each victim, the trial judge submitted the charges of second- and third-degree assault under an acting-in-concert theory; he gave an intoxication instruction pursuant to Penal Law

§ 15.25. The jury convicted defendant of second-degree assault and did not return a verdict on the corresponding misdemeanor count with respect to Spinelli;¹ and acquitted defendant of both counts with respect to Aanonsen. The trial judge adjudicated defendant a second violent felony offender, and sentenced him to a five-year prison term plus five years of postrelease supervision.

Upon defendant's appeal, the Appellate Division unanimously affirmed. The court considered the evidence legally sufficient to support the conviction because "there was sufficient circumstantial evidence from which a reasonable jury could infer that the defendant possessed the requisite intent to prevent an emergency medical service technician from performing a lawful duty" (71 AD3d 908 [2d Dept 2010]). A Judge of this Court granted defendant leave to appeal (15 NY3d 772 [2010]), and we now affirm.

II.

Section 120.05 (3), adopted in 1965 as part of the revised Penal Law, originally provided that a person was guilty of second-degree assault, a class D felony, when "[w]ith intent to prevent a peace officer from performing a lawful duty, he causes physical injury to such peace officer" (L 1965, ch 1030). Through the years, the Legislature has extended the statute's coverage to numerous categories of public servants exposed to a heightened risk of violence because of the fraught circumstances in which they must often perform their job duties.² "The rationale [underlying section 120.05 (3)] is to give people who provide public services, during the performance of those services, the protection which may be afforded by the deterrent effect of higher penalties" (Donnino, Practice Commentary, McKinney's

1. The trial judge instructed the jurors not to consider the third-degree count as to a victim unless they first found defendant not guilty of the second-degree crime.

2. Section 120.05 (3) currently encompasses a peace officer or police officer; "a firefighter, including a firefighter acting as a paramedic or emergency medical technician administering first aid in the course of performance of duty as such firefighter"; an emergency medical service paramedic or technician; "medical or related personnel in a hospital emergency department"; a city marshal, or a traffic enforcement officer or agent; a registered nurse or licensed practical nurse; or a sanitation enforcement agent. Interestingly, the Legislature recently added a new section 120.09 to the Penal Law to create a class C felony of assault on a judge. To be guilty of this crime, a person must intend to cause serious physical injury and to "prevent a judge from performing official judicial duties" (*see* L 2011, ch 148).

Cons Laws of NY, Book 39, Penal Law § 120.00, at 209 [2009]). The Legislature accomplished this by classifying as second-degree assault attacks on certain public servants doing their jobs in a lawful manner where an assailant intended thereby to disrupt their job performance.

The bill that became chapter 262 of the Laws of 1985, which included EMTs within section 120.05 (3), was introduced at the behest of the City of New York. In its memorandum in support, the City justified the bill by pointing out that “[i]n recent months, a number of EMS uniformed personnel have been assaulted, while others have been intentionally prevented or hindered in the performance of their duties”; and that “EMS personnel are sometimes called upon to enter unsafe areas or to deal with tense situations in responding to emergency calls” (see Mem of Legis Representative of City of NY, Bill Jacket, L 1985, ch 262, at 5, 1985 McKinney’s Session Laws of NY, at 3004). Here, for example, the EMTs were dispatched in the middle of a winter night to a residential address to treat individuals reportedly injured in a fight.

Defendant argues that he could not have violated section 120.05 (3) because “Spinelli and Aanonsen had finished treating a patient who refused to go to the hospital, had packed up their equipment, and were about to leave the scene to await future calls when [he] accosted Spinelli,” and “a defendant must intend to prevent an EMT from performing a specific task, not merely to disrupt his passive status of being ‘on duty.’ ” Under his view of the statute, then, the jury apparently would have been entitled to consider whether defendant possessed the intent for second-degree assault if he had struck Spinelli when Spinelli stepped out of the ambulance upon his arrival at 190 Butler Street, or while Spinelli and Aanonsen were treating the woman, or when Spinelli climbed into the ambulance to leave 190 Butler Street so long as the EMTs were transporting the woman to the hospital for treatment, or had been dispatched directly from 190 Butler Street to render medical assistance at another location. But because the EMTs were returning to Lutheran Medical Center without the woman, they were in the “passive status of being ‘on duty,’ ” awaiting such further assignments as might arise during their shift, and could not possibly “perform[] a lawful duty” within the meaning of the statute until and unless they were sent out on another call.

We see no reason to read the statute this way. As an initial matter, it is not apparent why the EMTs’ response to the request

for medical assistance at 190 Butler Street was “finished” once the EMTs left the apartment without the injured woman rather than when they actually drove away or returned to the hospital. Defendant takes the position that “a defendant must intend to prevent an EMT from performing a specific task,” and then defines the task to be more narrow than the facts require. Certainly the jurors might have logically concluded that Spinelli was performing the routine job duties of an EMT in a lawful manner when he attempted to leave premises where he had furnished medical assistance, whether he was then on his way to another call or to his home base at the hospital. The People were not required to prove that defendant intended to injure Spinelli. Even so, the ferocity and persistence of his attack on Spinelli might have reasonably caused the jurors to decide that he intended to interfere with Spinelli’s performance of his job duties as an EMT. As the jury heard, Spinelli was, in fact, unable to return to work for three weeks after defendant assaulted him. And the jurors were certainly entitled to disbelieve that defendant was too intoxicated to form an intent to prevent Spinelli from performing a lawful duty.

The standard for reviewing legal sufficiency in a criminal case is whether, “[v]iewing the evidence . . . in a manner most favorable to the prosecution and indulging in all reasonable inferences in the People’s favor,” a rational trier of fact could have found the essential elements of the crime beyond a reasonable doubt (*People v Ford*, 66 NY2d 428, 437 [1985]). A jury is entitled to infer that a defendant intended the natural and probable consequences of his acts (*People v Steinberg*, 79 NY2d 673, 685 [1992]). The element of intent is rarely proved “by an explicit expression of culpability by the perpetrator” (*People v Barnes*, 50 NY2d 375, 381 [1980]); and “[c]ompeting inferences to be drawn [regarding the defendant’s intent], if not unreasonable, are within the exclusive domain of the finders of fact, not to be disturbed” by us (*id.*).³ In light of these principles, the evidence in this case was sufficient for the jury to conclude that

3. The dissent, unlike defendant, seems to concede that Spinelli was engaged in a lawful duty at the time of the attack, and argues principally that “the People established only that the victim was subjected to an entirely unexplained, senseless assault at the hands of defendant” (dissenting op at 171). Under this reading of section 120.05 (3), it is hard to see how any case would ever go to the jury unless the defendant “explained” that his intent in attacking an on-the-job public servant was to prevent him from carrying out his job duties.

defendant attacked Spinelli with the intent to prevent an EMT from performing a lawful duty.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting). Because I believe that the majority has ignored the plain words of Penal Law § 120.05 (3), I respectfully dissent. Under the majority's view, a person who knowingly assaults an on-duty emergency medical technician (EMT) (or any other type of public servant enumerated in the statute) and causes physical injury is guilty of assault in the second degree pursuant to section 120.05 (3). By contrast, the actual language of the statute provides that a person is guilty of assault in the second degree when "[w]ith intent to prevent . . . [an] emergency medical service technician . . . from performing a lawful duty . . . he or she causes physical injury to such . . . technician."

I believe the majority misses the point in this case in focusing on the victim's activity at the time of the assault (*see* majority op at 168). The victim's attempt to enter his ambulance may well be a lawful duty within the meaning of the statute. However, the proper focus here should not be on the nature of the victim's activity itself, but on whether defendant had the specific intent to prevent the performance of a lawful duty. In other words, it is not enough to determine whether the victim was engaged in a lawful duty at the time of the assault. The question remains: did the People bring forth legally sufficient evidence that defendant had the requisite intent at the time that he committed the assault?

The evidence here was certainly sufficient to show that the defendant intended to injure the victim—that is, assault in the third degree. As to the second degree count charged, however, I agree with the majority that the People need not prove intent to injure (*see* majority op at 169). Indeed, "a defendant's intent to injure is *irrelevant* to the crime of assault in the second degree under Penal Law § 120.05 (3)" (*People v Rojas*, 97 NY2d 32, 40 [2001] [emphasis added]).* But the majority errs when it seamlessly moves from stating that the People were not required to show intent to injure to concluding that "[e]ven so, the ferocity and persistence of [defendant's] attack on Spinelli might have

* Nor is it sufficient in this case to show intent to cause physical injury while the EMT was "performing an assigned duty" as is the case with assaults on certain transit workers (Penal Law § 120.05 [11]).

reasonably caused the jurors to decide that he intended to interfere with Spinelli's performance of his job duties as an EMT" (majority op at 169). The intent to injure and the extent of the injuries do not suffice to show the intent to prevent the victim from performing a lawful duty required under subdivision (3) of Penal Law § 120.05. The viciousness of the assault does not rationally lead to the conclusion that defendant had the specific requisite intent to interfere with the victim's performance of his lawful duties in his capacity as an EMT.

The majority relies on this Court's opinion in *People v Steinberg* (79 NY2d 673, 685 [1992]) for the proposition that "[a] jury is entitled to infer that a defendant intended the natural and probable consequences of his acts" (majority op at 169), but it is not true that specific intent can be inferred *solely* from an act's result. In *Steinberg*, the jury wrote a note to the court asking, "[i]f there was no apparent intention to cause injury, but the acts resulted in serious physical injury nonetheless, would that be grounds to conclude intent as spelled out by law?" (Steinberg, 79 NY2d at 684) and this Court held that

"while a simple negative response would have informed the jury that it could not automatically infer intent to cause the injuries merely because the injuries occurred, such a response might have obscured the jury's right to make a factual finding of intent based on the natural and probable consequences of defendant's acts and the surrounding circumstances" (*id.* at 685).

Steinberg does not stand for the proposition that any time a particular result actually occurred, the jury is entitled to infer intent to cause that result. Rather, the jury is charged with looking at the natural and probable consequences *and the surrounding circumstances*. Otherwise, the result in itself would always be sufficient to support a finding of intent.

Here, the People established only that the victim was subjected to an entirely unexplained, senseless assault at the hands of defendant, and that is precisely why the evidence was insufficient to sustain the conviction under Penal Law § 120.05 (3).

As the rule announced by the majority conflicts with the plain meaning of the statute, I dissent and I would reverse the order of the Appellate Division.

Judges CIPARICK, GRAFFEO, PIGOTT and JONES concur with Judge READ; Chief Judge LIPPMAN dissents and votes to reverse in a separate opinion in which Judge SMITH concurs.

Order affirmed.

[960 NE2d 927, 937 NYS2d 136]

THE PEOPLE OF THE STATE OF NEW YORK, by ANDREW M. CUOMO,
Attorney General of the State of New York, Respondent, v
FIRST AMERICAN CORPORATION et al., Appellants.

Argued October 11, 2011; decided November 22, 2011

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered June 8, 2010. The Appellate Division affirmed so much of an order of the Supreme Court, New York County (Charles E. Ramos, J.; op 24 Misc 3d 672), as had denied defendants' motion to dismiss the complaint on the ground of federal preemption. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as affirmed by this Court, properly made?"

People v First Am. Corp., 76 AD3d 68, affirmed.

HEADNOTES

Statutes — Federal Preemption — Claims Alleging Fraud and Violations of Real Estate Appraisal Independence Rules

1. The Attorney General's claims against defendants alleging fraud and violations of real estate appraisal independence rules in an action seeking injunctive and monetary relief as well as civil penalties for violations of New York's Executive Law and Consumer Protection Act (*see* Executive Law § 63 [12]; General Business Law § 349) and the common law were not preempted by federal law. The Home Owners' Loan Act (HOLA) (12 USC § 1461 *et seq.*) and the Financial Institutions Reform, Recovery and Enforcement Act (FIRREA) (Pub L 101-73, 103 US Stat 183) and their concomitant regulations do not occupy the entire field with respect to appraisal management companies so as to preempt the Attorney General from raising the claims against defendants here. The purpose of HOLA, which created a system of federal savings and loan associations regulated by the Office of Thrift Supervision (OTS), was to provide emergency relief with respect to home mortgage indebtedness. FIRREA governs the regulation of appraisal management companies and explicitly envisioned a cooperative effort between federal and state authorities to ensure that real estate appraisal reports comport with the Uniform Standards of Professional Appraisal Practice (USPAP). FIRREA's clear mandate was to induce states to regulate real estate appraisers in partnership with federal agencies. Although "OTS is authorized to promulgate regulations that preempt state laws affecting the operations of federal savings associations" and "occupies the entire field of lending regulation for federal savings associations" (12 CFR 560.2 [a]), the illustrative examples set forth in 12 CFR 560.2 (b) of the categories of state laws preempted under 12 CFR 560.2 (a) do not mention real estate appraisals. If, however, the state law is not covered by paragraph (b) but affects lending, the presumption arises that the law is preempted (*see* 12 CFR 560.2 [c]). Here, the crux of the Attorney General's

complaint was that defendants engaged in unlawful and deceptive business practices in that they failed to adhere to the requirements of USPAP. The Attorney General's authority to prosecute defendants for such faulty practices would, at most, incidentally affect the lending operations of a federal savings association.

Attorney General — Enjoining Deceptive Practices — Claims Alleging Fraud and Violations of Real Estate Appraisal Independence Rules

2. The Attorney General adequately pleaded a cause of action under General Business Law § 349 and had standing to do so in an action against defendants alleging fraud and violations of real estate appraisal independence rules. Plaintiff asserted claims that defendants, a company that provides lending institutions with real estate appraisal services and its wholly owned subsidiary, an appraisal management company, engaged in repeated fraudulent and deceptive acts in the conduct of its business to the detriment of consumers and the public.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorney General § 36; AM JUR 2d, Consumer and Borrower Protection §§ 229, 245, 258–260, 262, 268–274, 277; AM JUR 2d, Parties § 41.

CARMODY-WAIT 2d, Parties § 19:13.

McKINNEY's, Executive Law § 63 (12); General Business Law § 349.

NY JUR 2d, Consumer and Borrower Protection §§ 5–7, 11, 18; NY JUR 2d, Parties §§ 12–15; NY JUR 2d, State of New York § 43.

12 USCA § 1461 *et seq.*; § 3331 *et seq.*

ANNOTATION REFERENCE

See ALR Index under Appraisal or Appraisers; Attorney General; Consumer Protection; Preemption.

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POINTS OF COUNSEL

DLA Piper LLP, New York City (*Andrew L. Deutsch*, *Richard F. Hans* and *Kerry Ford Cunningham* of counsel), for appellants. I. The Appellate Division erred in holding that the Attorney General's use of State consumer protection laws to regulate Federal Savings Association (FSA) appraisal programs is not preempted by federal law governing FSA lending and appraisal activity. (*City of New York v FCC*, 486 US 57; *Silvas v*

*E*Trade Mtge. Corp.*, 514 F3d 1001; *Fidelity Fed. Sav. & Loan Assn. v De la Cuesta*, 458 US 141; *Cipollone v Liggett Group, Inc.*, 505 US 504; *State Farm Bank v Reardon*, 539 F3d 336; *Lee v Astoria Generating Co., L.P.*, 13 NY3d 382; *Gade v National Solid Wastes Management Assn.*, 505 US 88; *Conference of Fed. Sav. & Loan Assns. v Stein*, 604 F2d 1256, 445 US 921; *Dime Sav. Bank of N.Y., FSB v State of New York*, 174 AD2d 173; *Mayor of City of N.Y. v Council of City of N.Y.*, 4 Misc 3d 151.) II. The Appellate Division erred in holding that the complaint states a claim under General Business Law § 349. (*Broder v Cablevision Sys. Corp.*, 418 F3d 187; *In re Eaton Vance Mut. Funds Fee Litig.*, 380 F Supp 2d 222; *Burns Intl., Inc. v Western Sav. & Loan Assn.*, 978 F2d 533.)

Eric T. Schneiderman, Attorney General, New York City (*Richard Dearing*, *Barbara D. Underwood* and *Benjamin Gutman* of counsel), for respondent. I. Financial Institutions Reform, Recovery and Enforcement Act of 1989 demonstrates that federal law does not occupy the field of appraisal regulation. (*Medtronic, Inc. v Lohr*, 518 US 470; *Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105.) II. Office of Thrift Supervision's preemption regulation does not override Financial Institutions Reform, Recovery and Enforcement Act of 1989 or otherwise reach this suit. (*Matter of M.B.*, 6 NY3d 437; *National Assn. of Home Builders v Defenders of Wildlife*, 551 US 644; *State Farm Bank v Reardon*, 539 F3d 336; *Fidelity Fed. Sav. & Loan Assn. v De la Cuesta*, 458 US 141; *SPGGC, LLC v Ayotte*, 488 F3d 525; *SPGGC, LLC v Blumenthal*, 505 F3d 183; *Pacific Capital Bank, N.A. v Connecticut*, 542 F3d 341; *Maurillo v Park Slope U-Haul*, 194 AD2d 142; *In re Ocwen Loan Servicing, LLC Mtge. Servicing Litig.*, 491 F3d 638; *Martinez v Wells Fargo Home Mtge., Inc.*, 598 F3d 549.) III. The complaint states a valid claim under General Business Law § 349. (*Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20; *Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Stutman v Chemical Bank*, 95 NY2d 24.)

OPINION OF THE COURT

CIPARICK, J.

This appeal arises out of an action commenced by the New York State Attorney General against defendants The First American Corporation (First American) and eAppraiseIT, LLC (eAppraiseIT) seeking injunctive and monetary relief as well as

civil penalties for violations of New York's Executive Law and Consumer Protection Act (*see* Executive Law § 63 [12]; General Business Law § 349) as well as the common law. The primary issue we are called upon to determine is whether federal law preempts these claims alleging fraud and violations of real estate appraisal independence rules. We conclude that federal law does not preclude the Attorney General from pursuing these claims against defendants.

I.

First American provides real estate appraisal services to lending institutions, including savings and loan associations and banks. It supplies these services through its wholly owned subsidiary, eAppraiseIT, an appraisal management company that conducts business in New York. eAppraiseIT publicly advertises that its appraisals conform with the Uniform Standards of Professional Appraisal Practice (USPAP) and that they are "audited for compliance." USPAP, incorporated into both federal and New York law (*see* 12 CFR 34.44; 19 NYCRR 1106.1), requires appraisers to "perform assignments with impartiality, objectivity, and independence, and without accommodation of personal interests" (Advisory Standards Board, USPAP, Ethics Rule [2010-2011 ed], available at http://www.uspap.org/USPAP/frwrdrd/ETHICS_RULE.htm).

In a complaint filed in November 2007, the Attorney General initiated this action against defendants, pursuant to its authority under Executive Law § 63 (12) and General Business Law § 349, asserting claims that defendants engaged in repeated fraudulent and deceptive acts in the conduct of its business to the detriment of consumers and the public. The Attorney General also alleges that defendants "unjustly enriched themselves by receiving payment for independent, accurate, and legal appraisals, but failing to provide such appraisals" in violation of the common law.

According to the complaint, in the spring of 2006, nonparty Washington Mutual, Inc. (WaMu), then the largest nationwide savings and loan institution, retained eAppraiseIT and another company to perform independent appraisals on WaMu loan applications. WaMu soon became eAppraiseIT's largest client, providing close to 30% of its business in New York. The complaint alleges that, in response to stricter federal appraisal regulations, WaMu hired eAppraiseIT in order to create "a structural buffer between the banks and the appraisers that eliminates potential pressure or conflicts of interest."

Nevertheless, the Attorney General asserts that WaMu, throughout the course of its relationship with defendants, cajoled eAppraiseIT employees to augment the appraised values assigned to certain homes in order to allow the loans associated with those homes to proceed to closing. The complaint highlights that, shortly after WaMu hired eAppraiseIT, WaMu's loan production personnel complained that "eAppraiseIT's staff and fee appraisers were not 'hitting value,' that is, were appraising homes at a value too low to permit loans to close." On August 15, 2006, eAppraiseIT's executive vice-president advised the company's president that WaMu loan officers' unsubstantiated requests for appraisal adjustments amounted to "direct pressure on the appraiser[s] for a higher value without" justification.

Initially, eAppraiseIT management attempted to thwart the coercion exerted by WaMu. During the latter part of 2006, however, WaMu allegedly continued to express its dissatisfaction with the appraisal reports issued by eAppraiseIT. It purportedly indicated to First American that any future business with WaMu would be "expressly conditioned" on eAppraiseIT's ability to furnish appraisals with "high enough values." Furthermore, in February 2007, WaMu allegedly directed eAppraiseIT's to cease utilizing its panel of fee appraisers and instead employ appraisers from a panel previously selected by WaMu's loan origination staff who inflate the values of homes "in a greater majority of the time."

As a result of this mounting pressure, the complaint asserts that eAppraiseIT eventually capitulated to WaMu's demands. According to the Attorney General, by April 2007, "WaMu had complete control over eAppraiseIT's appraiser panel" and defendants knew that their compliance with WaMu "violated appraiser independence regulations" under USPAP.

The Attorney General filed the complaint in Supreme Court and defendants removed the action to the United States District Court for the Southern District of New York, asserting that District Court had federal question jurisdiction of the action (*see* 28 USC § 1331). Defendants also sought dismissal of the complaint in federal court. The Attorney General, in response, moved to remand the case back to Supreme Court. District Court granted the Attorney General's motion, and, in so doing, did not address defendant's motion to dismiss (*see People of New York ex rel. Cuomo v First Am. Corp.*, 2008 WL 2676618, 2008 US Dist LEXIS 51790 [SD NY 2008]).

Back in Supreme Court, defendants moved to dismiss the complaint pursuant to CPLR 3211. Defendants contended that the Home Owners' Loan Act (HOLA) (12 USC § 1461 *et seq.*) and the Financial Institutions Reform, Recovery and Enforcement Act (FIRREA) (Pub L 101-73, 103 US Stat 183) and their concomitant regulations preempt the Attorney General from raising these claims. Defendants premised their preemption arguments on two theories: they maintained that the relevant federal statutory and regulatory scheme occupied the entire field of real estate appraisals. Alternatively, defendants posited that New York's attempt to regulate eAppraiseIT conflicted with federal law in that it obstructed WaMu's ability to finance real estate transactions. Lastly, defendants asserted that the complaint failed to state a cause of action under General Business Law § 349.

Supreme Court denied the motion. Addressing the preemption arguments, Supreme Court first concluded that "federal regulation does not occupy the entire field with respect to real estate appraisal regulation" (*People v First Am. Corp.*, 24 Misc 3d 672, 680-681 [Sup Ct, NY County 2009]). The court reasoned that "[i]n the area of real estate appraisals, Congress expressly envisioned a unique regulatory system overseen and enforced by both the federal government and the states" (*id.* at 679). Supreme Court likewise concluded that defendants failed to "articulate[] how the enforcement of USPAP standards under New York law or the application of General Business Law § 349 conflicts with federal law, or otherwise interferes with a bank's nationwide operations or ability to lend" (*id.* at 682). Finally, the court opined that the Attorney General adequately pleaded a cause of action under General Business Law § 349.

The Appellate Division affirmed the order of Supreme Court. Before the Appellate Division, defendants abandoned their conflict preemption arguments (*see People v First Am. Corp.*, 76 AD3d 68, 72 [1st Dept 2010]) but still maintained that, given the comprehensive nature of HOLA and FIRREA, it is clear that Congress intended to occupy the entire home lending field. The Appellate Division disagreed and concluded, like Supreme Court, that Congress did not intend to occupy the entire field with respect to appraisal management companies (*see id.* at 73-76). The court also determined that the Attorney General articulated a cause of action under General Business Law § 349 and had standing to do so, reasoning that the complaint "references misrepresentations and other deceptive conduct allegedly

perpetrated on the consuming public within the State of New York” (*id.* at 83).

The same panel of the Appellate Division granted defendants leave to appeal to this Court and certified a question inquiring whether its order, which affirmed the order of Supreme Court, was “properly made” (2010 NY Slip Op 84106[U] [2010]). We now affirm and answer the certified question in the affirmative.

II.

Preemption analysis begins, as always, with reference to the well-familiar Supremacy Clause of the United States Constitution, which provides that federal laws “shall be the supreme Law of the Land; and the Judges in every state shall be bound thereby, any Thing in the Constitution or Laws of any State to the Contrary notwithstanding” (US Const, art VI, cl 2). Indeed, the Supremacy Clause “vests in Congress the power to supersede not only State statutory or regulatory law but common law as well” (*Guice v Charles Schwab & Co.*, 89 NY2d 31, 39 [1996], *cert denied* 520 US 1118 [1997]). In determining whether federal law preempts state law, the United States Supreme Court has instructed that a court’s “sole task is to ascertain the intent of Congress” (*California Fed. Sav. & Loan Assn. v Guerra*, 479 US 272, 280 [1987]; *see also Medtronic, Inc. v Lohr*, 518 US 470, 485 [1996] [“(T)he purpose of Congress is the ultimate touchstone in every pre-emption case”] [internal quotation marks omitted]; *Matter of People v Applied Card Sys., Inc.*, 11 NY3d 105, 113 [2008]).

Of course, “[p]reemption can arise by: (i) express statutory provision, (ii) implication, or (iii) an irreconcilable conflict between federal and state law” (*Applied Card Sys.*, 11 NY3d at 113, citing *Balbuena v IDR Realty LLC*, 6 NY3d 338, 356 [2006]). This appeal requires us to focus our analysis solely on implied preemption or field preemption, which occurs when:

“[t]he scheme of federal regulation [is] so pervasive as to make reasonable the inference that Congress left no room for the States to supplement it . . . [o]r the Act of Congress may touch a field in which the federal interest is so dominant that the federal system will be assumed to preclude enforcement of state laws on the same subject” (*Rice v Santa Fe Elevator Corp.*, 331 US 218, 230 [1947]).

In that regard, defendants insist that “HOLA and FIRREA so occupy the field that these two statutes preempt any and all state laws speaking to the manner in which appraisal management companies provide real estate appraisal services” (*First Am. Corp.*, 76 AD3d at 73). We disagree.

The Great Depression of the 1930s and the financial devastation that ensued triggered Congress to enact HOLA. HOLA created “a system of federal savings and loan associations, which would be regulated by the [Federal Home Loan Bank] Board” (FHLBB) (*Fidelity Fed. Sav. & Loan Assn. v De la Cuesta*, 458 US 141, 160 [1982]). The purpose of this comprehensive legislation was “to provide emergency relief with respect to home mortgage indebtedness at a time when as many as half of all home loans in the country were in default” (*id.* at 159 [internal quotation marks and citations omitted]). HOLA gave the FHLBB “plenary authority” to “promulgate[] regulations governing the powers and operations of every Federal savings and loan association from its cradle to its corporate grave” (*id.* at 144-145 [internal quotation marks and citation omitted]).

During the mid-1980s, the federal savings and loan crisis erupted, prompting Congress in 1989 to pass FIRREA. In enacting FIRREA, Congress restructured the regulation of federal savings and loan associations by disbanding the FHLBB and replacing it with the Office of Thrift Supervision (OTS) (*see* FIRREA, Pub L 101-73, tit III, § 301, 103 US Stat 183, 277, amending 12 USC § 1461 *et seq.* [establishing the OTS]; Pub L 101-73, tit IV, § 401, 103 US Stat 183, 354, repealing 12 USC § 1437 [*see* 12 USCA § 1437, Historical and Statutory Notes (disbanding the FHLBB)]). As relevant here, FIRREA’s legislative history reveals that Congress designed the statute, in part, “to thwart real estate appraisal abuses . . . [by] establish[ing] a system of uniform national real estate appraisal standards” (HR Rep 101-54[I], 101st Cong, 1st Sess, at 311, reprinted in 1989 US Code Cong & Admin News, at 107; *see also* 12 USC § 3331 [“real estate appraisals utilized in connection with federally related transactions are performed . . . in accordance with uniform standards”]).

To effectuate this stated goal, Congress enacted 12 USC § 3339 as part of FIRREA, which mandates that the OTS “prescribe appropriate standards for the performance of real estate appraisals.” The statute “require[s], at a minimum . . . that real estate appraisals be performed in accordance with generally accepted appraisal standards as evidenced by the appraisal standards promulgated by the Appraisal Standards Board of the

Appraisal Foundation” (12 USC § 3339 [1]). In 1987, prior to the FIRREA legislation, the United States appraisal profession formed The Appraisal Foundation, a private “not-for-profit organization dedicated to the advancement of professional valuation” (The Appraisal Foundation, <http://appraisalfoundation.org> [accessed Nov. 14, 2011]). The Appraisal Foundation established USPAP and the Appraisal Standards Board, appointed by The Appraisal Foundation and referenced by FIRREA, “develops, interprets and amends” USPAP (*id.*). As noted earlier, New York has also incorporated USPAP rules into state law (*see* 19 NYCRR 1106.1).

In aiming to prevent further real estate appraisal abuse, Congress envisaged a robust partnership with the states. To that end, FIRREA sanctions the establishment and use of state agencies dedicated to certifying and licensing appraisers¹ and delineates requirements for using these appraisers in federally related transactions (*see* 12 USC §§ 3331, 3336; 12 CFR 34.44, 564.3).² Furthermore, under FIRREA, Congress created the Appraisal Subcommittee, charged with “monitor[ing] State appraiser certifying licensing agencies for the purpose of determining whether a State agency’s policies, practices, and procedures are consistent with this chapter” (12 USC § 3347 [a]; *see also* 12 USC § 3348 [c]). According to the Appraisal Subcommittee, FIRREA “recognize[s] that the States [are] in the best administrative position to certify and license real estate appraisers and to supervise their appraisal-related activities” and permits the States to impose stricter appraisal standards as necessary (Appraisal Subcommittee, <https://www.asc.gov/Legal-Framework/TitleXI.aspx> [accessed Nov. 14, 2011]). Thus, this subcommittee has observed that FIRREA “created a unique, complementary relationship between the States, the private sector, and the Federal government” (*id.*).

Consistent with this understanding of FIRREA, OTS itself stated that a financial “institution should file a complaint with the appropriate state appraiser regulatory officials when it suspects that a state certified or licensed appraiser failed to comply with USPAP, applicable state laws, or engaged in other

1. Contrary to defendants’ assertion, for purposes of FIRREA, we see no distinction between an individual appraiser and an appraisal management company. FIRREA reaches both.

2. As relevant here, a “federally related transaction” means “any real estate-related financial transaction which . . . requires the services of an appraiser” (12 USC § 3350 [4] [B]).

unethical or unprofessional conduct” (OTS, Mem for Chief Executive Officers, *Final Interagency Appraisal and Evaluation Guidelines*, CEO Ltr 371, at 23 [Dec. 2, 2010], http://www.ots.treas.gov/_files/25371.pdf [accessed Nov. 14, 2011]).³ Similarly, the United States Government Accountability Office, an independent, nonpartisan agency that works for Congress, has observed that FIRREA “relies on the states to . . . monitor and supervise compliance with appraisal standards and requirements” (Government Accountability Office, Report to Congressional Requesters, *Regulatory Programs: Opportunities to Enhance Oversight of the Real Estate Appraisal Industry*, at 3 [GAO-03-404, May 2003], available at <http://www.gao.gov/new.items/d03404.pdf> [accessed Nov. 14, 2011]).

Despite FIRREA’s clear mandate to induce states to regulate real estate appraisers in partnership with federal agencies,⁴ defendants ask us to find that 12 CFR 560.2, a subsequent regulation promulgated by the OTS pursuant to its authority under HOLA, nonetheless, supports preemption. 12 CFR 560.2 (a) states that “OTS is authorized to promulgate regulations that preempt state laws affecting the operations of federal savings associations.” The regulation further provides that “[t]o enhance safety and soundness and to enable federal savings associations to conduct their operations in accordance with best practices (by efficiently delivering low-cost credit to the public

3. OTS’s interpretation of FIRREA remains unchanged. In its 1994 *Interagency Appraisal and Evaluation Guidelines*, rescinded after the release of the 2010 addition, OTS likewise called upon financial institutions “to make referrals directly to state appraiser regulatory authorities when a State licensed or certified appraiser violates USPAP . . . Examiners finding evidence of unethical or unprofessional conduct by appraisers will forward their findings and recommendations to their supervisory officers for appropriate disposition and referral to the state, as necessary” (OTS, Thrift Bulletin, *Interagency Appraisal and Evaluation Guidelines*, at 10 [Nov. 4, 1994], http://www.ots.treas.gov/_files/84042.pdf; see also *First Am. Corp.*, 76 AD3d at 75-76).

4. We observe that the Dodd-Frank Wall Street Reform and Consumer Protection Act of 2010 (see Pub L 111-203, 124 US Stat 1376), enacted by Congress after the commencement of this lawsuit, confirms this understanding. For example, 12 USC § 3353 (a) (1) requires appraisal management companies to comply with USPAP and “register with and be subject to supervision by a State appraiser certifying and licensing agency in each State in which such company operates.” Significantly, that statute states that “[n]othing in this section shall be construed to prevent States from establishing requirements in addition to any rules promulgated” herein (12 USC § 3353 [b]; see also 12 USC § 1465 [b] [observing that HOLA “does not occupy the entire field in any area of State law” unless such state law conflicts with federal law]).

free from undue regulatory duplication and burden), OTS hereby occupies the entire field of lending regulation for federal savings associations.”

Paragraph (b) of 12 CFR 560.2 lists illustrative examples of the categories of state laws, such as mortgage processing and origination, preempted under paragraph (a). 12 CFR 560.2 (c), however, states that certain types of state laws, such as contract and commercial law and tort law, are not preempted “to the extent that they only incidentally affect the lending operations of Federal savings associations.” According to the OTS, in analyzing whether 12 CFR 560.2 preempts a state law, “the first step [is] to determine whether the type of law in question is listed in paragraph (b). If so, the analysis will end there; the law is preempted” (61 Fed Reg 50951, 50966-50967 [1996]). Applying this first step, we note the examples recorded in paragraph (b) do not mention real estate appraisals. We also conclude, in accord with the Appellate Division, that the Attorney General’s challenge to defendants’ alleged misconduct under state law does not correspond with any of the categories of law preempted by paragraph (b).

The OTS further instructs that, “[i]f the law is not covered by paragraph (b), the next question is whether the law affects lending. If it does . . . the presumption arises that the law is preempted” (*id.*; see also 12 CFR 560.2 [c]). Here, the crux of the Attorney General’s complaint is that defendants engaged in unlawful and deceptive business practices in that they failed to adhere to the requirements of USPAP. We conclude the Attorney General’s authority to prosecute First American and its subsidiary eAppraiseIT—an independent appraisal management company—for such faulty practices under Executive Law § 63 (12) and General Business Law § 349 is not preempted because, at most, it would incidentally affect the lending operations of a federal savings association (*accord* 1996 Ops Chief Counsel OTS, *RE: Preemption of State Laws Applicable to Credit Card Transactions*, at 10 [Dec. 24, 1996], available at 1996 WL 767462 and http://www.ots.treas.gov/_files/56615.pdf [concluding that impact on lending of an Indiana statute outlawing deceptive acts and practices was “only incidental to the primary purpose of the statute—the regulation of the ethical practices of all businesses

engaged in commerce’]; see also *In re Ocwen Loan Servicing, LLC Mtge. Servicing Litig.*, 491 F3d 638, 643 [7th Cir 2007]).⁵

[1, 2] In conclusion, we hold that FIRREA governs the regulation of appraisal management companies and explicitly envisioned a cooperative effort between federal and state authorities to ensure that real estate appraisal reports comport with USPAP. We perceive no basis to conclude that HOLA itself or federal regulations promulgated under HOLA preempt the Attorney General from asserting both common law and statutory state law claims against defendants pursuant to its authority under Executive Law § 63 (12) and General Business Law § 349. Thus, defendants’ motion to dismiss on the grounds of federal preemption was properly denied. We also agree with the Appellate Division that the Attorney General has adequately pleaded a cause of action under General Business Law § 349 and that the statute provides him with standing.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

READ, J. (dissenting). The Depression-era Home Owners Loan Act (HOLA) (12 USC § 1462 *et seq.*), until recently amended by the Dodd-Frank Wall Street Reform and Consumer Protection Act (the Dodd-Frank Act) (Pub L 111-203, 124 US Stat 1376 [2010]), occupied the field of the regulation of federal savings associations (FSAs) and was implemented by the Office of Thrift

5. In concluding that HOLA preempts this lawsuit, our dissenting colleague principally relies on the analysis of two federal district court cases, *Cedeno v IndyMac Bancorp, Inc.* (2008 WL 3992304, 2008 US Dist LEXIS 65337 [SD NY 2008]) and *Spears v Washington Mut., Inc.* (2009 WL 605835, 2009 US Dist LEXIS 21646 [ND Cal 2009]). According to the dissent, this Court should “adopt the federal courts’ interpretation of a federal statute unless that interpretation appears to be plainly wrong” (dissenting op at 197). We observe, however, that other federal district courts, consistent with our analysis, have concluded that HOLA does not preempt claims related to real estate appraisals (see e.g. *Bolden v KB Home*, 618 F Supp 2d 1196, 1205 [CD Cal 2008] [finding that OTS regulations under HOLA do not preempt plaintiffs’ claims since those “claims relate to real estate appraisal standards, whereas . . . HOLA was concerned with the credit activities of federal savings associations”]; *Fidelity Natl. Info. Solutions, Inc. v Sinclair*, 2004 WL 764834, 2004 US Dist LEXIS 6687 [ED PA 2004] [concluding that state laws regulating real estate appraisals do not target federal savings associations or national bank operations]).

Supervision (OTS).¹ Further, HOLA’s broad language “expresse[d] no limits on the [OTS’s] authority to regulate the lending practices of [FSAs],” such that “[i]t would have been difficult for Congress to give the [OTS] a broader mandate” (*Fidelity Fed. Sav. & Loan Assn. v De la Cuesta*, 458 US 141, 161 [1982] [internal quotation marks omitted] [discussing the power of the Federal Home Loan Bank Board, OTS’s predecessor]). The issue here is whether the real estate appraisal activities that are the subject of this lawsuit fall within the field occupied by OTS in the exercise of its broad regulatory authority over FSAs, thus preempting this action for injunctive and monetary relief (i.e., disgorgement of profits, including appraisal fees paid by borrowers, restitution and damages) for alleged violations of Executive Law § 63 (12) (fraudulent or illegal business practices), General Business Law § 349 (deceptive acts or practices) and unjust enrichment. The federal courts that have considered the comparable question (in particular, the United States District Court for the Southern District of New York) have answered in the affirmative (see *Cedeno v IndyMac Bancorp., Inc.*, 2008 WL 3992304, 2008 US Dist LEXIS 65337 [SD NY 2008]; *Spears v Washington Mut., Inc.*, 2009 WL 605835, 2009 US Dist LEXIS 21646 [ND Cal 2009]). Since I would not second-guess how the federal courts have reasonably interpreted the preemptive effect of a federal statute, I respectfully dissent.

I.

Federal Preemption under HOLA

To carry out its “broad[] mandate” under HOLA with respect to the lending practices of FSAs, OTS “promulgated

1. The Dodd-Frank Act brought about a sea change in HOLA preemption: the Act provides that HOLA does *not* occupy the field in any area of law, and conforms the preemption standard applicable to FSAs to the conflict preemption standard for national banks delineated by the United States Supreme Court in *Barnett Bank of Marion Cty., N. A. v Nelson* (517 US 25, 31 [1996] [state laws may be preempted where they are in “irreconcilable conflict” with federal statutes, which may occur where compliance with both laws is impossible, or where the state law is “an obstacle to the accomplishment and execution of the full purposes and objectives of Congress” (citations omitted)]); see 12 USC § 1465 [a], [b]). Defendants First American Corporation and First American eAppraiseIT readily acknowledge that the Attorney General’s lawsuit would *not* be preempted under the Dodd-Frank Act’s conflict preemption standard. The new standard for FSAs is not retroactive, however, and only became effective on July 21, 2011, the date when OTS was transferred to the Office of the Comptroller of the Currency (OCC) (see Pub L 111-203, tit X, §§ 1046, 1047 [b]; § 1048, 124 US Stat 1376, 2017). On October 19, 2011, 90 days after this transfer, OTS ceased to exist (see 12 USC § 5413).

regulations governing the powers and operations of every Federal savings and loan association from its cradle to its corporate grave,” and “regulate[d] comprehensively the operations of these associations, including their lending practices and, specifically, the terms of loan instruments” (*De la Cuesta*, 458 US at 145, 161, 167 [internal quotation marks omitted]).

In 12 CFR 560.2 (a), entitled “Occupation of field,” OTS expressed its preemptive intent in the clearest possible terms:

“OTS is authorized to promulgate regulations that preempt state laws affecting the operations of [FSAs] . . . OTS hereby occupies the entire field of lending regulation for [FSAs]. OTS intends to give [FSAs] maximum flexibility to exercise their lending powers in accordance with a uniform federal scheme of regulation. Accordingly, [FSAs] may extend credit as authorized under federal law, including this part, without regard to state laws purporting to regulate or otherwise affect their credit activities, except to the extent provided in paragraph (c) of this section . . . For purposes of this section, ‘state law’ includes any state statute, regulation, ruling, order or judicial decision” (12 CFR 560.2 [a]).

OTS then sets out 13 “[i]llustrative examples” of the “types of state laws preempted by [12 CFR 560.2 (a)], without limitation.” As relevant to this discussion, these examples include

“state laws purporting to impose requirements regarding:

“(5) Loan-related fees

“(9) Disclosure and advertising . . . [and]

“(10) Processing, origination, servicing . . . [of] mortgages” (12 CFR 560.2 [b]).

Immediately following the nonexclusive list of types of preempted laws, the regulation identifies types of state laws that “are not preempted to the extent that they only incidentally affect the lending operations of [FSAs] or are otherwise consistent with the purposes of paragraph (a) of this section” (12 CFR 560.2 [c]). These laws include

“(1) Contract and commercial law; (2) Real property law; (3) Homestead laws specified in 12 U.S.C.

1462a(f); (4) Tort law; (5) Criminal law; and (6) Any other law that OTS, upon review, finds: (i) Furthers a vital state interest; and (ii) Either has only an incidental effect on lending operations or is not otherwise contrary to the purposes expressed in paragraph (a) of this section” (12 CFR 560.2 [c]).

OTS adopted 12 CFR 560.2 in 1996 to express its “longstanding position . . . on the federal preemption of state laws affecting the lending activities of federal savings associations,” meant to “confirm and carry forward its existing preemption position” (OTS, Final Rule, 61 Fed Reg 50951, 50965 [1996]). Stated another way, OTS explained that

“[b]ecause lending lies at the heart of the business of a federal thrift, OTS and its predecessor . . . have long taken the position that the federal lending laws and regulations occupy the entire field of lending regulation for [FSAs], leaving no room for state regulation. For these purposes, the field of lending regulation has been defined to encompass *all laws affecting lending by federal thrifts, except certain specified areas such as basic real property, contract, commercial, tort, and criminal law*” (*id.* [emphasis added]).

OTS then provided the courts with an interpretive framework for 12 CFR 560.2, as follows:

“When confronted with interpretive questions under § 560.2, we anticipate that courts will, in accordance with well established principles of regulatory construction, look to the regulatory history of § 560.2 for guidance. In this regard, OTS wishes to make clear that the purpose of paragraph (c) is to preserve the traditional infrastructure of basic state laws that undergird commercial transactions, not to open the door to state regulation of lending by [FSAs]. When analyzing the status of state laws under § 560.2, the first step will be to determine whether the type of law in question is listed in paragraph (b). If so, the analysis will end there; the law is preempted. If the law is not covered by paragraph (b), the next question is whether the law affects lending. If it does, then, in accordance with paragraph (a), the presumption arises that the law is preempted. This presumption can be reversed

only if the law can clearly be shown to fit within the confines of paragraph (c). For these purposes, *paragraph (c) is intended to be interpreted narrowly. Any doubt should be resolved in favor of preemption*” (*id.* at 50966-50967 [emphasis added]).

II.

Cedeno

Cedeno was a purported class action brought on behalf of the plaintiff and a similarly situated class of residential home mortgage borrowers against defendant IndyMac, an FSA, and its receiver, the Federal Deposit Insurance Corporation (FDIC). The plaintiff alleged violations of two federal statutes, California’s deceptive practice law and New York’s General Business Law § 349, and claimed breach of contract and unjust enrichment.

IndyMac moved to dismiss all claims, and asserted federal preemption as the basis for dismissing the plaintiff’s state law claims. In deciding the motion, the judge accepted as true the plaintiff’s allegations that IndyMac did not “disclose to the plaintiff that it selected appraisers, appraisal companies and/or appraisal management firms who performed faulty and defective appraisal services which inflated the value of residential properties in order to allow [IndyMac] to complete more real estate transactions and obtain greater profits”; neglected “to provide the necessary insulation and separation between its own internal production or sales personnel responsible for providing the mortgage services . . . and the credit or valuation personnel who were responsible for overseeing and verifying the accuracy of the appraisal services,” which led to “pressure” for “approv[al of] inflated appraisals so that loans and profits could be increased”; failed “to ensure that the appraisals were accurate and allowed its own quality control staff to approve inflated and defective appraisals”; “communicated” to appraisers “that there was a certain ‘target value’ or ‘qualifying value’ necessary to close the loan” so that they “understood that if they met the targeted value, they would be selected for future referral of business from IndyMac”; and “hired appraisal management firms or appraisers whose prior performance repeatedly returned the values needed to match the qualifying loan values” (2008 WL 3992304, *1, *2, 2008 US Dist LEXIS 65337, *2, *5-6).

With respect to IndyMac's preemption defense, the court first noted that HOLA vested OTS with the "principal responsibility for regulating federally chartered savings associations"; that in 12 CFR 560.2, OTS had stated "its intention to occupy the entire field of the lending regulation for FSAs" and that "[p]ur-suant to the plenary authority granted under HOLA to regulate the operations of FSAs," OTS had issued "extensive regulations governing [their] operations" (2008 WL 3992304, *5, 2008 US Dist LEXIS 65337, *17-18). The judge then turned to 12 CFR 560.2 (b) and (c), observing that included among the "illustra-tive examples of the types of state laws preempted by OTS regulation" were "state laws purporting to impose require-ments regarding loan-related fees (§ 560.2[(b) (5)]), disclosure and advertising (§ 560.2[(b) (9)]), and processing or origination of mortgages (§ 560.2[(b) (10)])"; and that 12 CFR 560.2 (c) "identif[ied] certain types of state laws, such as state contract, tort, and commercial law, that [were] not preempted to the extent that they only incidentally affect[ed]" a thrift's "lending operations" (2008 WL 3992304, *5, 2008 US Dist LEXIS 65337, *18-19 [internal quotation marks omitted]).

IndyMac argued that "the plaintiff's state law claims [were] specifically directed at loan-related fees as contemplated by Sec-tion 560.2(b)(5) and directly challenge[d] both IndyMac's disclosure and advertising and the processing or origination of mortgages as described in Sections 560.2(b)(9) and 560.2(b)(10)," such that "the Court should not even reach the 'incidental effect' analysis contained in section (c)" (2008 WL 3992304, *6, 2008 US Dist LEXIS 65337, *19 [internal quota-tion marks omitted]). To evaluate IndyMac's argument, the court turned to OTS's 1996 regulation because "[w]hen considering, as here, *laws that do not on their face purport to impose regulations on the areas listed in paragraph (b)*, it is nec-essary to determine *whether the law, as applied to the claims raised, is the type of law listed in paragraph (b)*" (2008 WL 3992304, *6, 2008 US Dist LEXIS 65337, *20 [emphases added]; see also two cases discussed by the court as examples of the foregoing proposition: *Silvas v E*Trade Mtge. Corp.*, 514 F3d 1001 [9th Cir 2008] [holding claims under the California decep-tive practice statute for allegedly faulty disclosure and an alleg-edly improper lock-in fee preempted under 12 CFR 560.2 (b) (9) and (b) (5), respectively] and *In re Ocwen Loan Servicing, LLC Mtge. Servicing Litig.*, 491 F3d 638 [7th Cir 2007] [concluding that some of the claims asserted under the California deceptive

practice statute would be preempted and others would not]). Of course, the plaintiff countered that “her state law claims challenging IndyMac’s appraisal practices [were] state contract and commercial challenges that [fell] within the exceptions outlined in paragraph (c),” while IndyMac insisted that she was “merely trying to circumvent HOLA preemption by pleading plainly preempted claims as violations of state contract law and consumer protection statutes” (2008 WL 3992304, *7, 2008 US Dist LEXIS 65337, *22-23).

The judge summed up the issue that he was required to decide as follows:

“The question before the Court is whether the plaintiff’s claims under state contract law and California and New York state deceptive practice statutes are brought in an effort to regulate IndyMac’s appraisal practices *in a way that interferes with an area defined in paragraph (b) or more than incidentally affects IndyMac’s federally regulated thrift operations for purposes of paragraph (c)*” (2008 WL 3992304, *7, 2008 US Dist LEXIS 65337, *23 [emphasis added]).

Evaluating this question first in the context of the California deceptive practice statute, the judge concluded that the plaintiff did, indeed, attempt to apply this statute to “impose requirements in areas explicitly preempted by federal law” because the challenged appraisal practices “appear[ed] to relate directly to the processing or origination of mortgages” and thus fell within 12 CFR 560.2 (b) (10); and “relate[d] directly to the appraisal fee . . . charged in connection with the mortgage,” and thus sought to regulate loan-related fees within the meaning of 12 CFR 560.2 (b) (5) (2008 WL 3992304, *8, 2008 US Dist LEXIS 65337, *25). Further, by challenging the disclosure made to her, the plaintiff also attempted to use the deceptive practices statute “to regulate the disclosures made in connection with the mortgage,” as encompassed by 12 CFR 560.2 (b) (9). The judge therefore opined that “as applied to the plaintiff’s allegations,” the California statute was preempted under 12 CFR 560.2 (b) (*id.*).

Given his disposition of the case, the judge did not need to analyze whether the plaintiff’s claim under the California deceptive practice statute “more than incidentally affect[ed]” lending within the meaning of 12 CFR 560.2 (c). He nonetheless added that the statute also ran afoul of this provision because “[t]he

practices the plaintiff [sought] to regulate relate[d] directly to the valuation of the collateral security for loans”; and “[t]he relief the plaintiff [sought] would plainly set particular requirements on IndyMac’s lending operations” (2008 WL 3992304, *8, 2008 US Dist LEXIS 65337, *26).

Applying the same analysis, the court held that the plaintiff’s claim under New York’s General Business Law § 349 was likewise preempted because “[a]s applied to the allegations in this case, [she was] relying on a state law to regulate a loan-related fee, disclosure of information relating to the fee, and the processing and origination of a mortgage,” which were preempted under 12 CFR 560.2 (b) (5), (9) and (10), respectively. Moreover, although it was therefore again unnecessary to analyze the statute’s application under 12 CFR 560.2 (c), the judge concluded that “the New York statute as applied in this case more than incidentally affect[ed] federal thrift lending operations” (2008 WL 3992304, *9, 2008 US Dist LEXIS 65337, *27, *28).

Next, the court addressed the plaintiff’s contract claim and her claim for unjust enrichment. As to the former, the judge first observed that plaintiff did not allege that IndyMac had breached any specific provision of any contract that she had entered into with the thrift; rather, “the gist” of her claim, as was the case with her state statutory claims, was that she was provided with an inaccurate appraisal, thereby breaching the covenant of good faith and fair dealing. The court decided that the plaintiff’s state law claim for breach of contract was foreclosed by 12 CFR 560.2 (10) because “like the claims under California and New York deceptive practice statutes, . . . it relies on state law purporting to impose a requirement on the processing and origination of the mortgage” (2008 WL 3992304, *10, 2008 US Dist LEXIS 65337, *31). And as he had before, the judge also evaluated the claim under 12 CFR 560.2 (c), concluding that the regulation sought by the plaintiff would more than incidentally affect IndyMac’s lending operations. As he explained,

“[t]he contract claim is simply another means to attempt to regulate the method used by IndyMac to assess the value of collateral in securing its loans. Granting the plaintiff the relief she seeks would have the same effect as a direct regulation of appraisal practices—causing IndyMac to alter the

methods it uses to evaluate loans and more than incidentally affecting lending operations of federally chartered savings associations” (2008 WL 3992304, *10, 2008 US Dist LEXIS 65337, *32).

Finally, the judge declared that the plaintiff’s unjust enrichment claim failed to state a cause of action “because it [was] a quasi contractual claim and the relationship between the plaintiff and IndyMac [was] regulated by contract”; and “[w]hile there [might] be a dispute as to the scope of the contract, there [was] no dispute as to the existence of the contract between the plaintiff and IndyMac” (*id.*). As a result, any potentially valid claim for unjust enrichment would be preempted for the same reasons stated with respect to the plaintiff’s contract claim.²

Spears

The plaintiffs brought this class action against defendants Washington Mutual Bank FA (WaMu), an FSA, First American eAppraiseIT (a defendant in this case) and Lender’s Service, Inc. (LSI), claiming that they “participated in a scheme to provide home-loan mortgage borrowers with inflated appraisals of the property they sought to purchase” (2009 WL 605835, *1, 2009 US Dist LEXIS 21646, *2). Specifically, the complaint alleged that WaMu retained First American eAppraiseIT and LSI to run its appraisal program; that subsequently, First American eAppraiseIT and LSI performed virtually all of WaMu’s appraisals, and, as a result, WaMu’s borrowers became these firms’ largest source of business; that WaMu’s loan origination staff created a list of “preferred appraisers” to perform appraisals for WaMu borrowers; that WaMu maintained the contractual right with these “preferred appraisers” to challenge an appraisal by requesting reconsideration; that WaMu would use such a request to coerce First American eAppraiseIT and LSI to increase the appraised value of property; and that WaMu asked First American eAppraiseIT and LSI to hire business managers to be given authority to override the values determined by third-party appraisers.

The plaintiffs asserted that this alleged scheme violated a federal law and four provisions of California consumer protection statutes, and constituted a breach of contract and unjust enrichment. After the complaint was filed, the FDIC was

2. The court also determined that the plaintiff failed to state a claim under either of the federal laws asserted, and so dismissed the complaint.

substituted as receiver for WaMu, and the plaintiffs stipulated to dismiss all claims against WaMu/the FDIC. First American eAppraiseIT and LSI moved to dismiss all claims.

The defendants argued that the plaintiffs' state statutory claims were preempted by HOLA. The judge followed the analysis employed by the *Cedeno* court under OTS's 1996 regulations—i.e., he first looked at whether, *as applied*, the four state statutory provisions were the type of state law contemplated under 12 CFR 560.2 (b). The plaintiffs based one cause of action on First American eAppraiseIT's alleged unlawful conduct in contravention of the Uniform Standards of Professional Appraisal Practice (USPAP); specifically, the plaintiffs asserted that the appraisal management firm violated USPAP's requirement that "an appraisal be performed with impartiality, objectivity, and independence" (2009 WL 605835, *5, 2009 US Dist LEXIS 21646, *16). They based two other causes of action on the same conduct, asserting that "the impartiality of the offered appraisals constituted unfair and fraudulent business practices" (*id.*) Finally, the plaintiffs alleged in a fourth cause of action that First American eAppraiseIT "represented that their home appraisal services were of a standard or quality that they were not" in violation of state statute (2009 WL 605835, *5, 2009 US Dist LEXIS 21646, *16-17).

The judge concluded that

"[e]ach of these claims relate directly to the processing and origination of mortgages. Appraisals are required for many real-estate transactions. 12 C.F.R. 34.43 (requiring a certified or licensed appraisal for all real-estate financial transactions except those falling within enumerated exceptions). And those appraisals must be performed according to certain standards in order to protect the public and federal financial interests. 12 C.F.R. 34.41(b). Indeed, plaintiffs' theory of the case, that lenders and appraisers conspired to inflate appraisals in order to increase mortgage resale prices, demonstrates the importance and interrelationship of impartial appraisals to mortgage origination and servicing" (2009 WL 605835, *6, 2009 US Dist LEXIS 21646, *17 [emphases added]).

Citing *Cedeno*, the court held that these state statutory claims, "as applied, relate[d] to the processing and origination of, and

participation in, mortgages, and [were] thus preempted under § 560.2(b)(10)” (*id.*).³

III.

Analysis

This complaint and the complaints in *Cedeno* and *Spears* present the same basic storyline: the FSAs (IndyMac in *Cedeno*; WaMu in this case and *Spears*) shifted from a business model where they held real estate mortgages until the underlying loans were repaid by the borrowers to one where they sold security interests in aggregated mortgages in the financial markets; and in order to maximize their profits from this endeavor, the FSAs coerced or conspired with the appraisal management firms to which they outsourced their real estate appraisal work (unidentified appraisal management firms and appraisers in *Cedeno*; First American eAppraiseIT in this case and *Spears*) to inflate the appraised value of the real property backing the home loans that they made. As the majority put it, “the crux of the Attorney General’s complaint is that defendants [thereby] engaged in unlawful and deceptive business practices in that they failed to adhere to the requirements of USPAP,” as required by 12 CFR 564.4 (majority op at 183).

As an initial matter, there can be no doubt that real estate appraisals affect the lending operations of an FSA. This is why Congress amended HOLA in 1989 by adopting the Financial

3. In addition to dismissing the four state statutory claims on the basis of HOLA preemption, the court also granted LSI’s motion to dismiss on the basis of lack of standing; denied First American eAppraiseIT’s motion to dismiss one of the two claims asserted under federal law, and granted its motion to dismiss the other one; granted its motion to dismiss the breach of contract claim; and granted the plaintiffs 20 days’ leave to amend. Although the judge concluded that the plaintiffs failed to plead an action for breach of contract, he advised them that in the event they chose to amend their breach of contract claim, he would revisit the issue of preemption with respect to it. He also decided that the unjust enrichment claim was subject to dismissal under California law because it had the same basis as the single federal law claim remaining in the action, which furnished an adequate alternative form of relief. Finally, the judge agreed with First American eAppraiseIT that, even if the state law claims had not been preempted, the plaintiffs failed to state a claim because there was no showing of actual damages, as required by the statutes; i.e., “[b]ecause plaintiffs would have had to pay for the appraisal in order to take out the loan, they would have paid an appraisal fee whether the appraisal provided was defective or not. That is, had the appraisal been performed lawfully and in good faith, plaintiffs provide[d] no basis on which to conclude that they would have been better off” (2009 WL 605835, *1, 2009 US Dist LEXIS 21646, *19).

Institutions Reform, Recovery and Enforcement Act of 1989 (FIRREA) (Pub L 101-73, 103 US Stat 183). FIRREA expanded federal oversight of FSAs explicitly to include review and regulation of their real estate appraisal practices (12 USC § 3331 *et seq.*). In general, Congress sought thereby to improve lending by requiring real estate appraisals used in connection with federally-related transactions to be performed in writing, in accordance with uniform standards (i.e., USPAP) by competent and independent appraisers (*see* 12 CFR part 564). As the House Report recommending passage of FIRREA pointed out, “[a]ppraisal deficiencies go hand-in-hand with poor underwriting and administration standards” (HR Rep 101-54[I], 101st Cong, 1st Sess, reprinted in 1989 US Code Cong & Admin News, at 96). “Given the crucial role appraisals play in the safety and soundness of the underwriting of real estate related loans and investments,” Congress envisaged that FIRREA would “protect Federal financial and public policy interests in real estate related financial transactions requiring the services of an appraiser” (*id.* at 274).

This suit is preempted because, in substance, and particularly on the allegations before us, it challenges a thrift’s lending practices. The complaint details alleged collusion between thrift managers and appraisers, the precise activity that Congress found would undermine sound real estate loans. Even if it were theoretically possible for a lawsuit in this vein not to be preempted, it cannot be the case here, where the sole relevance of the alleged misrepresentations is how they affected loans and lending. That is, while the State claims that First American eAppraiseIT’s misrepresentations to the public are an independent harm, they are only harmful to the extent they affect *lending practices*; put another way, the only reason the appraisers’ alleged misrepresentations matter is because of the way in which they affected the thrift’s underwriting. Since those matters are properly matters of federal law, this suit should not proceed. For the same reasons, the *Cedeno* and *Spears* courts both determined that allegedly fraudulent real estate appraisal practices concerned mortgages, and that suits seeking to impose liability for these practices were preempted as attempts to impose substantive requirements in an area regulated by OTS (*Cedeno*, 2008 WL 3992304, *8, 2008 US Dist LEXIS 65337, *25; *Spears*, 2009 WL 605835, *6, 2009 US Dist LEXIS 21646 at *17).

The bulk of the complaint in this case alleges, in effect, a failure to disclose, an area that is expressly preempted (12 CFR

560.2 [b] [9]); the Attorney General seeks to recoup the appraisal fees paid to the thrift by borrowers, and laws that affect loan-related fees are also expressly preempted (*id.* 560.2 [b] [5]). More broadly, appraisal is so important to mortgage underwriting that it cannot be separated from the processing or origination of mortgages (*id.* 560.2 [b] [10]), as the courts concluded in *Cedeno* and *Spears*. Even if the Attorney General's claims arguably do not fall within paragraph (b), they affect lending; therefore, they are presumptively preempted and this presumption "can be reversed only if the law can clearly be shown to fit within the confines of paragraph (c)" (61 Fed Reg at 50966). But the Congressional findings in support of FIRREA make clear that a thrift's appraisal practices do not merely "incidentally affect" lending within the meaning of paragraph (c); they are, in fact, critical to the making of safe and sound real estate loans. As a result, the Attorney General seeks to regulate practices directly related to the valuation of the collateral security for such home loans (*see Cedeno*, 2008 WL 3992304, *8, 2008 US Dist LEXIS 65337, *26-27).

The majority bases its conclusion that the Attorney General's claims are *not* preempted principally on the notion that FIRREA "governs the regulation of appraisal management companies and explicitly envisioned a cooperative effort between federal and state authorities to ensure that real estate appraisal reports comport with USPAP" (majority op at 184).⁴ FIRREA establishes a role for the states, but that role is confined to its traditional one of certifying and licensing individual appraisers (*see* 12 USC §§ 3346-3348).⁵ Notably, FIRREA did not purport to amend HOLA preemption so as to allow the states to regulate

4. The majority asserts that two federal district courts' opinions are "consistent with [its] analysis" (majority op at 184 n 5). Unlike *Cedeno* and *Spears*, the facts and legal issues in those cases do not correspond with the facts and legal issues here. For example, in *Bolden v KB Home* (618 F Supp 2d 1196, 1201 [CD Cal 2008]), the issue was whether FIRREA or the OTS regulation created "complete preemption," a concept distinct from field preemption—and not an issue in this case—which pertains to whether a federal statute so displaces a state cause of action that, even if pleaded under state law, it actually arises under federal law and creates removal jurisdiction (*see e.g. Beneficial Nat. Bank v Anderson*, 539 US 1, 6-8 [2003]). *Fidelity Natl. Info. Solution, Inc. v Sinclair* (2004 WL 764834, *1-3, 2004 US Dist LEXIS 6687, *1-8 [ED Pa 2004]) directly concerned a state's authority to require those performing appraisals to be licensed, not whether appraisals affected FSAs' lending operations.

5. Even there, OTS cautioned that it might "from time to time, impose additional qualification criteria for certified appraisers performing appraisals in

(n. cont'd)

a thrift's real estate appraisal practices. As the Dodd-Frank Act shows, Congress certainly knows how to draft provisions that expressly disclaim any intent to preempt nonconflicting state statutes falling within the same subject area as federal law. And since real estate appraisal activities clearly fall within the subject area pervasively regulated and occupied by HOLA—a thrift's lending operations—Congress would have to have *expressly* narrowed HOLA preemption by carving out an exception for real estate appraisal practices: by definition, there can be no such thing as an implied exception from field preemption.

Finally, the Attorney General attempts to get around *Cedeno* and *Spears* the only way he can—by characterizing these decisions as “wrongly decided.” He faults both judges for “overlook[ing] the impact of FIRREA on the field-preemption analysis.” This of course assumes that FIRREA altered HOLA preemption with respect to the real estate appraisal activities that are the subject of this lawsuit, a proposition for which—as already explained—there is simply no support. He also notes that the lawsuit in *Cedeno* was brought against the FSA, although the defendant in *Spears* was concededly the appraisal management company—indeed, it was First American eAppraiseIT. The fact is, if the Attorney General's preemption analysis is correct, it should make no difference whether the appraisal practices addressed in this lawsuit were carried out by the thrift's in-house appraisers (called “staff appraisers” in the regulations; *see* 12 CFR 564.5 [a]) or outside appraisal firms to which the thrift outsourced its real estate appraisal work (called “fee appraisers” in the regulations; *see id.* 564.5 [b]). OTS's regulations governing real estate appraisals apply equally to the staff and fee appraisers. As First American eAppraiseIT notes, the Attorney General is merely seeking by this lawsuit to regulate a thrift's lending activities indirectly by suing the appraisal management company to which the thrift lawfully assigned its authorized banking activities.

In sum, I believe that *Cedeno* and *Spears* were correctly decided. In any event, we should, in my view, adopt the federal courts' interpretation of a federal statute unless that interpretation appears to be plainly wrong. And even if one disagrees with the decisions in *Cedeno* and *Spears*, they are certainly reasonable applications of HOLA preemption in the context of real

connection with federally related transactions within its jurisdiction” (*see* 12 CFR 564.2 [j]).

estate appraisal practices relating to the underwriting of home loans made by thrifts. Applying the analysis of those cases to the nearly identical facts here, I conclude that this lawsuit is preempted by HOLA.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT and JONES concur with Judge CIPARICK; Judge READ dissents and votes to reverse in a separate opinion.

Order affirmed, etc.

[960 NE2d 414, 936 NYS2d 645]

MIKHAIL TKESHELASHVILI et al., Appellants, v STATE OF NEW YORK, Respondent.

Argued October 19, 2011; decided November 22, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered March 18, 2010. The Appellate Division affirmed an order of the Court of Claims (Francis T. Collins, J.; op 21 Misc 3d 1113[A], 2008 NY Slip Op 52063[U]), which had granted a motion by defendant for summary judgment dismissing the claim, and denied claimants' motion for partial summary judgment on the issue of liability.

Tkeshelashvili v State of New York, 71 AD3d 1318, affirmed.

HEADNOTE

Negligence — Proximate Cause — Reckless Conduct of Plaintiff — Diving Into Shallow Water

A claim alleging that defendant State negligently failed to maintain a State-owned dam and lake in a reasonably safe condition and failed to warn that the water near the dam was too shallow for safe diving was properly dismissed where claimant engaged in reckless behavior when he dove from the dam's spillway into the dangerously shallow lake waters, sustaining serious injuries. Claimant acknowledged that he had been a frequent visitor to the area and had swum there many times, that he knew that the lake's water level fluctuated, and that he saw that the water was below the top of a spillway which was three feet below the crest of the dam and no more than four feet above the lake bed. Any warning would have only alerted him to what he already knew about the approximate water level in the vicinity of the spillway as a result of his familiarity with the depth of the lake's water and the height of the spillway above the lake bed. There was no evidence of any kind to support claimant's speculation that the dam, which leaked, was leakier at the time of the accident or the lake's water level was lower on that day than had been the case on the other occasions when he dove into the lake. It did not follow that the lake's water level must have been lower than usual on the day of the accident because claimant did not hit bottom any of the other times he dove in from the spillway or, if the water level was lower that day, it was because of leaks in the dam, rather than the amount of rainfall that summer. Even assuming that the State owed claimant a duty to warn, a plaintiff with actual knowledge that he is diving into shallow water has engaged in reckless conduct constituting the sole legal cause of any ensuing injuries, thus absolving a defendant of negligence.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Negligence §§ 422, 613, 812, 814, 819–821, 852;

AM JUR 2d, Parks, Squares, and Playgrounds § 39; AM JUR 2d, Premises Liability §§ 635, 636, 705–707, 709–711, 754.

NY JUR 2d, Government Tort Liability § 209; NY JUR 2d, Negligence §§ 61, 87, 91, 98, 103–106; NY JUR 2d, Parks, Recreation, and Historic Preservation §§ 106, 107; NY JUR 2d, Premises Liability §§ 26, 117, 192, 228, 229, 231, 358.

PROSSER AND KEETON, TORTS (5th ed) §§ 42, 44, 65.

ANNOTATION REFERENCE

See ALR Index under Contributory Negligence or Assumption of Risk; Diving; Premises Liability.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: div! /s shallow & reckless & kn*w! /4 risk & caus!

POINTS OF COUNSEL

Weingrad & Weingrad LLP, New York City (*G. Michael Simon* and *Penny Shemtob* of counsel), for appellants. I. Where Mr. Mikhail Tkeshelashvili had no warning, made no observation, was not aware, and did not have knowledge that the water level in Colgate Lake was lowered, he cannot be held reckless and thus the sole proximate cause of his injuries. (*Boltax v Joy Day Camp*, 67 NY2d 617; *Howard v Poseidon Pools*, 72 NY2d 972; *Kriz v Schum*, 75 NY2d 25; *Ziecker v Town of Orchard Park*, 75 NY2d 761; *Olsen v Town of Richfield*, 81 NY2d 1024; *Butler v Seitelman*, 90 NY2d 987; *Walter v Niagara Mohawk Power Corp.*, 193 AD2d 1065.) II. Where the Court of Claims found the State had a duty to maintain and to warn and where an abundance of nonrefuted evidence demonstrated the State acted unreasonably in failing to warn of a known danger and foreseeable risk of injury to appellant, summary judgment against the State is warranted. (*Basso v Miller*, 40 NY2d 233; *Preston v State of New York*, 59 NY2d 997.)

Eric T. Schneiderman, Attorney General, Albany (*Robert M. Goldfarb*, *Barbara D. Underwood*, *Andrew D. Bing* and *Peter H. Schiff* of counsel), for respondent. Claimant's reckless dive into water he knew was always shallow, fluctuated and was at a low level that day was the superseding and sole proximate cause of the accident. (*Derdiarian v Felix Contr. Corp.*, 51 NY2d 308; *Howard v Poseidon Pools*, 72 NY2d 972; *Kriz v Schum*, 75 NY2d 25; *Boltax v Joy Day Camp*, 67 NY2d 617; *Olsen v Town of*

Richfield, 81 NY2d 1024; *Lionarons v General Elec. Co.*, 215 AD2d 851, 86 NY2d 832; *Mortis v Dittl*, 275 AD2d 940; *Butler v Marshall*, 243 AD2d 971; *Preston v State of New York*, 59 NY2d 997; *Johnson v Harrington*, 215 AD2d 857, 87 NY2d 802.)

OPINION OF THE COURT

READ, J.

On a sunny late summer's afternoon—the Sunday of Labor Day weekend in 2005—claimant Mikhail Tkeshelashvili and two male friends went on an outing to Colgate Lake, located in the Town of Jewett¹ in Greene County. Colgate Lake formed following construction in 1887 of Colgate Lake Dam, a log crib and stone masonry structure, to supply water power for a saw mill at a time when logging was a major industry in the area.² The length of the 15-foot-high dam was 275 feet, with two spillways. These spillways were roughly three feet below the dam's crest, and the top of the spillways was, in turn, no more than four feet above the lake bed, which was level for several feet in front of the spillway's face before gradually dropping away to the deepest part of the lake.

Colgate Lake is a quite shallow 26-acre body of water, with a mean depth of 4.6 feet and a maximum depth of 10 feet. It is fed only by the natural water runoff from the surrounding watershed. As a result, the lake's water level fluctuates seasonally depending on snowmelt and rainfall amounts: in times of relative drought, and especially during summer months, the lake recedes, but when runoff is abundant, as in the spring, water flows over the dam's spillway. And because of its age and method of construction, the dam leaked, prompting citizen complaints and periodic repairs to the dam's impoundment or lake face: lower water levels made the lake less desirable for recreation and less aesthetically appealing, as the water would take on a brownish cast.

Colgate Lake and its environs, acquired by the State of New York in 1975, is situated in a portion of the Catskill Park Forest

1. The Town of Jewett, formed in 1849, was named after Freeborn G. Jewett, the first Chief Judge of the New York Court of Appeals.

2. As part of a dam reconstruction in 2007 and 2008, the 1887 dam was excavated and a new dam was constructed slightly downstream on East Kill Creek.

Preserve designated as “wild forest.”³ Among the four classifications of state land in the Preserve, “wild forest” is the second most pristine. As required by article XIV of the New York Constitution, these lands are open to the public, but infrastructure and amenities are minimal so as to “protect the natural wild forest setting and to provide those types of outdoor recreation that the public can enjoy without impairing the wild forest atmosphere or changing the character of fragile areas within wild forest boundaries.” Thus, other than parking lots and a connecting foot trail, Colgate Lake was undeveloped and unsupervised in 2005: there was no beach (only a grassy, open field on the edge of the lake nearest the parking lot), no designated swimming area, no lifeguards or other staff, no flush toilets (there was one privy) and no showers.

Claimant and his family made more than 20 day trips to Colgate Lake during 2005 and the preceding five years. Indeed, he could not recall exactly how many times he had visited the lake “because [there were] a lot of times.” On September 4, 2005, claimant entered the water by diving from the dam’s eastern spillway in the same manner as in his many past visits. He climbed onto the dam, removed his shirt and flip flops, jumped onto the spillway and “did not stop at all” before plunging into the water headfirst, with his arms outstretched over his head, attempting to dive flat and skim the water roughly parallel to the bottom of the lake. This time, though, he struck his head on the lake bed, suffering a spinal cord injury that rendered him quadriplegic. Claimant was 43 years old, five feet, eight inches tall and weighed 170 pounds.

Claimant acknowledged that on past visits to Colgate Lake he had observed the water flowing over the spillway, while at other times the water was below the spillway’s top. He testified at his deposition that he knew the water was below the spillway on September 4, 2005, but had “no clue” how deep the water was because it was too murky for him to see the bottom. Photographs taken by an investigator from the New York State Department of Environmental Conservation (DEC) three days after claimant’s accident show the water level to be perhaps two feet below the top of the eastern spillway, which means that the water was about two feet deep at the spillway’s face on the impoundment or lake side. These photographs were taken the

3. About 60% of the 287,514-acre Catskill Park Forest Preserve, or 155,000 acres, is designated wild forest land.

same time of day as claimant's accident occurred, and under similar sunny weather conditions. This shallowness is confirmed by the deposition testimony of one of claimant's friends, who dove in after him and hit his hands on the lake's stone bottom, bruising his palms. When he stood up, the "water was a little over [his] knees," but much deeper after "one or two steps."

Lois Keegan, who witnessed claimant's ill-fated dive, described what happened:

"I saw people, three gentlemen in their thirties, being loud, and laughing, approaching the spillway . . . [then] one man who I later learned was [claimant], remove[d] his shirt and enter[ed] the water. This man didn't hesitate, he walked right to the edge of the spillway, pulled his shirt off, and dove headfirst into the water. I thought this was unusual, because the water is shallow. After diving, the man surfaced, but I noticed he didn't lift his head."

Ms. Keegan sensed something was amiss, so she "asked the other two men if their friend was ok, but they disregarded my questions, finally the skinny man said, 'He's just playing!' I knew something was wrong."

Ms. Keegan's boyfriend, Jay Ward, a certified National Ski Patrolman trained in outdoor emergency care, jumped into the water at her urging and swam out to claimant, who had floated into deeper water. Mr. Ward turned claimant over in the water, stabilized his neck and back and brought him to shore to await rescue personnel. The emergency crew arrived quickly, and claimant, who had little or no sensation in his extremities, was airlifted by helicopter to Albany Medical Center.

Claimant and his wife, suing derivatively (collectively, claimants), filed this claim for damages, alleging that the State negligently failed to maintain Colgate Lake and Colgate Lake Dam in a reasonably safe condition. Claimants theorized that the State was liable because the water level at Colgate Lake was prone to drop due to leaks in the dam, and "the State took no steps to warn visitors who swam and dived into Colgate Lake about the danger of lowered water levels caused by the leak."

In May 2008, claimants moved for summary judgment on the issue of liability, and the State moved for summary judgment dismissing the claim. The Court of Claims, by order entered October 6, 2008, ruled in the State's favor. Citing our decision

in *Olsen v Town of Richfield* (81 NY2d 1024 [1993]), the judge concluded that “based upon [claimant’s] substantial prior experience, [he] knew or should have known both that Colgate Lake was shallow and that the actual depth of the lake fluctuated”; therefore, his dive “constitute[d], as a matter of law, an intervening act which was so extraordinary or far removed from the [State’s] conduct as to be unforeseeable” (21 Misc 3d 1113[A], 2008 NY Slip Op 52063[U], *9 [Ct Cl 2008] [internal quotation marks omitted]).

The judge further considered claimant’s deposition testimony that he had “no clue” about the water’s depth at the spillway as further support for dismissing the claim. Citing *Lionarons v General Elec. Co.* (215 AD2d 851 [3d Dept 1995], *affd* 86 NY2d 832 [1995]), he observed that

“[d]espite his long experience swimming at Colgate Lake and diving from the spillway, notwithstanding his awareness that water levels at the lake fluctuated and in spite of his observation that water was not flowing through the spillway immediately prior to diving, the claimant failed to determine the level of the lake before entering the water. Furthermore, claimant stated in his affidavit that because the water was ‘dark’ he was unable to see the lake bottom prior to diving. A headfirst dive into ‘dark’ water without first determining its depth is clearly reckless conduct in circumstances, such as those present here, where the claimant was aware that the water level of the lake fluctuated. This is particularly true where the claimant, through long experience at the accident site, knew that the water was shallow. The fact that the claimant and others had successfully completed dives from the spillway of the dam on prior occasions does not render claimant’s conduct any less reckless or more foreseeable” (*id.* [citations omitted]).

Finally, the judge noted that although there was proof that leaks in the dam “were a continuing and long-standing problem,” there was no proof, “expert or otherwise, that the rate at which the water leaked from the dam was any greater in September 2005 than it was on the many occasions [claimant] was at Colgate Lake during the preceding five year period” (*id.*) Put another way, claimants

“failed to establish that the shallow depth of the water was a condition different in kind than those with which the claimant was familiar . . . [T]he fact that the dam leaked for over 30 years and was leaking in September 2005 does nothing to negate the claimant’s familiarity with the fluctuating water level of the lake and the dangers associated with diving into shallow water” (*id.*).

Claimants appealed, and the Appellate Division affirmed. That court “agree[d] with the Court of Claims that the sole legal cause of claimant’s injuries was his own reckless conduct in diving into the water, which he knew or should have known was too shallow for diving” (71 AD3d 1318, 1318-1319 [3d Dept 2010]), and noted that “claimants’ own evidence established that, even under the best circumstances, the water in the area where claimant dove is never more than four feet deep” (*id.* at 1319). We granted claimants’ motion for leave to appeal (15 NY3d 711 [2010]), and now affirm.

As previously noted, claimants’ theory of liability is that the State was “negligent as a matter of law for failing to warn of a known danger and in failing to take any steps to warn of the hazards posed by this danger.” The “known danger” identified by claimants was that the lake’s water near the dam was too shallow for diving because the dam leaked. Claimant contends that he did not possess the requisite “specific and actual awareness of shallow water” necessary to warrant dismissal because he had previously dived into the lake from the spillway without incident and had “no knowledge that the water level [had] been altered.”

Claimant, however, acknowledged that he was a frequent visitor to Colgate Lake to swim there, and that he routinely entered the lake on his numerous visits by executing a flat dive from the eastern spillway. It is undisputed that the lake has a mean depth of only 4.6 feet and would have been at most four feet deep at the lakeside face of the spillway when the lake was brimming with water, which claimant observed was decidedly not the case on September 4, 2005. He knew that the lake’s water level fluctuated; he saw that the water was below the top of the spillway on September 4, 2005 and, as previously indicated, nearly contemporaneous photographs show what was there to be seen: a roughly two-foot differential between the water’s surface and the top of the spillway. Any warning would have only alerted him to what he already knew about the approximate water level in the vicinity of the spillway as a result of his

familiarity with the depth of the lake's water and the height of the spillway above the lake bed. And as the Court of Claims pointed out, there is no evidence, expert or otherwise, to support claimants' speculation that the dam was leakier in 2005 or the lake's water level was lower on September 4, 2005 than had been the case on other occasions when claimant dove into the lake.

Further, it does not follow, as claimants assume, that the lake's water level *must* have been lower than usual on September 4, 2005 because claimant did not hit bottom any of the other times he dove into the lake from the spillway or, if the water level was lower that day, that this was because of leaks in the dam, as claimants contend, rather than the amount of rainfall in the summer of 2005. The fact is, claimant engaged in reckless behavior when, on the date of the accident, he dove from the spillway into the dangerously shallow waters of Colgate Lake.

Relatedly, even assuming that the State owed claimant a duty to warn, we have consistently held that a plaintiff with actual knowledge that he is diving into shallow water has engaged in reckless conduct constituting the sole legal cause of any ensuing injuries, thus absolving a defendant of negligence. In *Olsen*, for example, an 18-year-old boy dove into a shallow creek from a bridge owned by the defendant County. The evidence established that the boy was familiar with the creek and was aware that its water level fluctuated; further he understood that diving from the bridge required him to execute a shallow dive, which he failed to safely accomplish on the day he injured himself. We held that "on this record," which is essentially indistinguishable from the record in this case, "the sole legal cause of plaintiff's injuries was his own reckless conduct in attempting that dive" (*Olsen*, 81 NY2d at 1026; *see also Lionarons*, 215 AD2d at 853 ["plaintiff's own reckless dive headfirst into an area of water (in a creek) which he could only assume was of sufficient depth . . . constituted an unforeseeable superseding event relieving defendants of liability"]; *Howard v Poseidon Pools*, 72 NY2d 972 [1988] [the reckless conduct of a plaintiff who dove headfirst into a pool at a location where the water was at most chest-deep was an unforeseeable superseding event that absolved defendants of liability]; *Boltax v Joy Day Camp*, 113 AD2d 859 [2d Dept 1985], *affd* 67 NY2d 617 [1986] [same]).

Claimants would distinguish *Olsen*, *Boltax* and *Howard* on the basis that in those cases, the plaintiffs possessed "actual

and specific knowledge” of the depth of the water into which they dove and proceeded despite the incredible and evident risk whereas here, claimant’s knowledge of the risk was only imputed. But what the plaintiff actually knew about the depth of the water in *Olsen* was that “there was only a narrow-target of deep water entry that he had to hit precisely on the dive” (81 NY2d at 1026); the plaintiff in *Boltax* “admitted his familiarity with the various water levels at each part of the pool, yet chose to dive head first . . . into shallow water” (67 NY2d at 620); the plaintiff in *Howard*, who dove into an above-ground pool having a water depth of about four feet, “testified that he had been informed of the water depth and . . . when he stood in the pool, the water level was about ‘chest high’ ” (72 NY2d at 974). It is difficult to grasp any meaningful difference between what these plaintiffs “actually” knew about the depth of water in the creek (*Olsen*) or the pools (*Boltax* and *Howard*) into which they dove and claimant’s knowledge about conditions at Colgate Lake. Here, as in these other cases, what claimant knew about those conditions should have alerted him that the water at the face of the dam on the lake side was not deep enough to support safe diving, yet he dove there anyway.⁴

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

4. We note that the State argued alternatively in the Court of Claims and the Appellate Division that this claim should be dismissed on the basis of the assumption of risk doctrine. The lower courts did not reach this issue in light of their conclusion that claimant’s own reckless conduct was the sole legal cause of his injuries. On this appeal, the State mentions, but does not pursue, its argument about assumption of risk, and we therefore have no occasion to address it.

[960 NE2d 424, 936 NYS2d 655]

JOSEPH PERL et al., Appellants, v MEHMOOD MEHER et al., Respondents.

DAVID ADLER et al., Appellants, v PINCUS BAYER et al., Respondents.

SHEILA TRAVIS, Appellant, et al., Plaintiffs, v NASSIROU M. BATCHI et al., Respondents.

Argued October 19, 2011; decided November 22, 2011

SUMMARY

APPEAL, in the first above-entitled action, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 8, 2010. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order of the Supreme Court, Kings County (Larry D. Martin, J.), which had denied defendants' motion for summary judgment dismissing the complaint on the ground that plaintiff Joseph Perl did not sustain a serious injury within the meaning of Insurance Law § 5102 (d); (2) granted the motion; and (3) dismissed the complaint.

APPEAL, in the second above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 12, 2010. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Rockland County (William K. Nelson, J.), entered upon a jury verdict in favor of plaintiff David Adler and upon, in effect, the denial of defendants' motion pursuant to CPLR 4401 for a judgment as a matter of law made at the close of plaintiffs' case, which had awarded plaintiff David Adler the principal sum of \$330,000; (2) granted defendants' motion; and (3) dismissed the complaint.

APPEAL, in the third above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 1, 2010. The Appellate Division affirmed an order of the Supreme Court, Bronx County (Edgar G. Walker, J.), which had granted defendants' motion for summary judgment dismissing the complaint as to plaintiff Sheila Travis for lack of a serious injury.

Perl v Meher, 74 AD3d 930, reversed.

Adler v Bayer, 77 AD3d 692, reversed.

Travis v Batchi, 75 AD3d 411, affirmed.

HEADNOTES

**Insurance — No-Fault Automobile Insurance — Serious Injury —
Expert’s Quantitative Proof of Range of Motion Impairment**

1. In two personal injury actions arising from separate automobile accidents, plaintiffs’ submission of expert testimony regarding specific, numerical range of motion measurements taken by the expert years after the accidents occurred were sufficient to raise an issue of fact regarding whether plaintiffs had suffered serious injuries within the meaning of Insurance Law § 5102 (d). A plaintiff’s subjective complaints alone are not sufficient to support a claim of serious injury; there must be objective proof. An expert’s designation of a numeric percentage of a plaintiff’s loss of range of motion can be used to substantiate a claim of serious injury, or an expert’s qualitative assessment of a plaintiff’s condition may suffice where the evaluation has an objective basis and compares the plaintiff’s limitations to normal function, purpose and use. Here, the same expert testified in both actions that he examined the particular plaintiff shortly after the accident; that he performed a number of clinical tests which indicated some departure from the norm; that he observed that plaintiff had difficulty in moving and diminished strength; and that plaintiff’s range of motion was impaired. The expert did not, at his initial examination of either plaintiff, quantify the range of motion he observed, but he did examine both plaintiffs several years later, using instruments to make specific, numerical range of motion measurements. Regardless of whether the expert’s detailed observations at his initial examination met the qualitative prong of the objective evidence test, the expert’s later, numerical measurements were sufficient to meet the quantitative prong. It was not necessary for the quantitative measurements to have been made contemporaneous with the accident.

**Insurance — No-Fault Automobile Insurance — Serious Injury —
Expert’s Quantitative Proof of Range of Motion Impairment**

2. In order to substantiate a plaintiff’s claim under the No-Fault Law that he or she has sustained a “serious injury” (Insurance Law § 5102 [d]) as the result of an automobile accident, an expert’s designation of a numeric percentage of a plaintiff’s loss of range of motion need not be made contemporaneous to the accident. Observing and recording a patient’s symptoms in qualitative terms shortly after the accident, and later doing more specific, quantitative measurements in preparation for litigation, is not wrong or illogical. Although a contemporaneous doctor’s report is important to proof of causation, where causation is proved it is not unreasonable to measure the severity of the injuries at a later time, as injuries can become significantly more or less severe as time passes. Potential plaintiffs should not be penalized for failing to seek out, immediately after being injured, a doctor who knows how to create the right kind of record for litigation.

**Insurance — No-Fault Automobile Insurance — Serious Injury —
Causation**

3. In a personal injury action arising from an automobile accident that allegedly caused the then 82-year-old plaintiff to sustain injuries described by defendants’ expert in a sworn radiologist’s report based on an MRI as “degenerative in etiology and longstanding in nature, preexisting the accident,” plaintiffs’ evidence in opposition to defendant’s motion for summary

judgment was sufficient to raise an issue of fact as to whether plaintiff's injuries were causally related to the accident. Plaintiffs submitted another radiologist's affidavit, which stated that while some findings from the MRI "are consistent with degenerative disease," a single MRI could not rule out the possibility that "the patient's soft tissue findings are . . . a result of a specific trauma." That question, according to plaintiffs' radiologist, could best be judged "by the patient's treating physician in conjunction with exam, history and any previous tests," and plaintiff's treating physician opined that the findings were causally related to the accident. Although it was not implausible that a man of 82 would have suffered significant degenerative changes, it could not be said as a matter of law on the record here that such changes were the sole cause of plaintiff's injuries.

Insurance — No-Fault Automobile Insurance — Serious Injury

4. In a personal injury action arising from an automobile accident, plaintiff failed to offer evidence sufficient to raise an issue of fact regarding whether she had suffered a serious injury within the meaning of Insurance Law § 5102 (d). There was no evidence in the record as to what plaintiff's alleged permanent impairment was so as to support her "permanent consequential limitation of use of a body organ or member" and "significant limitation of use of a body function or system" claims. A report from her treating physician stated the conclusion that plaintiff had a "[m]ild partial permanent disability," but the report did not describe the disability; it said that plaintiff was "[c]urrently able to perform the essential functions of her job." Moreover, there was no evidence to support plaintiff's claim that there were 90 of the 180 days after the injury when she was disabled from "substantially all" of her usual activities. Even plaintiff's subjective description of her injuries—which in any event would be insufficient to defeat summary judgment—did not show that there were 90 of the 180 days after the injury when she was disabled from "substantially all" of her usual activities, and the record did not show any "medically determined injury" that would bring her within the "90/180" provision of the statute.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobile Insurance §§ 519, 521, 636; AM
JUR 2d, Summary Judgment §§ 31–35.
COUCH ON INSURANCE (3d ed) §§ 125:67, 125:68, 125:73,
125:74.
MCKINNEY's, Insurance Law § 5102 (d).
NY JUR 2d, Insurance §§ 1900, 1955, 1958–1961, 2569; NY
JUR 2d, Summary Judgment and Pretrial Motions to
Dismiss § 67.

ANNOTATION REFERENCE

What constitutes sufficiently serious personal injury, disability, impairment, or the like, to justify recovery of damages outside of no-fault automobile insurance coverage. 33 ALR4th 767.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: no-fault /s serious /2 injury & quantitative /2 measurement

POINTS OF COUNSEL

Law Offices of Annette G. Hasapidis, South Salem (*Annette G. Hasapidis* of counsel), and *Schwartz, Goldstone & Campisi, LLP*, New York City, for Joseph Perl and another, appellants in the first above-entitled action. I. Defendants did not make out a prima facie case because Dr. Farkas conceded, on the one hand, that objective test results proved that plaintiff sustained a serious injury but then subjectively opined, on the other hand, that plaintiff was “exaggerating” his symptoms. (*Toure v Avis Rent A Car Sys.*, 98 NY2d 345; *Washington v Delossantos*, 44 AD3d 748; *Nitti v Clerrico*, 98 NY2d 345; *Iannello v Vazquez*, 78 AD3d 1121; *Vargas v Tomorrow Travel & Tour, Inc.*, 74 AD3d 1626; *Hartman-Jweid v Overbaugh*, 70 AD3d 1399; *Torres v Garcia*, 59 AD3d 705; *Busljeta v Plandome Leasing, Inc.*, 57 AD3d 469; *Santos v Taveras*, 55 AD3d 405; *Gonzales v Fiallo*, 47 AD3d 760; *Thomas v Smith*, 25 AD3d 786.) II. Defendants did not make out a prima facie case because defendants never provided their examining physicians with any of plaintiff’s medical records. (*Abbadessa v Rogers*, 40 AD3d 665; *Toure v Avis Rent A Car Sys.*, 98 NY2d 345; *Balanta v Stanlaine Taxi Corp.*, 307 AD2d 1017; *Lewis v Ulloa-Gonzalez*, 20 Misc 3d 1104[A], 2008 NY Slip Op 51222[U].) III. Because defendants failed to meet their burden, their motion should have been denied “regardless of the sufficiency of the opposing papers.” (*Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Quinn v Nyack Hosp.*, 286 AD2d 675; *Cugini v System Lbr. Co.*, 111 AD2d 114.) IV. Additionally or alternatively, plaintiffs raised a question of fact by presenting Dr. Bleicher’s qualitative assessment that plaintiff sustained a serious injury. (*Pajda v Pedone*, 303 AD2d 729; *Leeber v Ward*, 55 AD3d 563; *Toure v Avis Rent A Car Sys.*, 98 NY2d 345; *Dufel v Green*, 84 NY2d 795; *Licari v Elliott*, 57 NY2d 230; *Lopez v Senatore*, 65 NY2d 1017; *Gaddy v Eyler*, 79 NY2d 955; *Scheer v Koubek*, 70 NY2d 678; *Pierson v Edwards*, 77 AD3d 642; *Lopez v Abdul-Wahab*, 67 AD3d 598.)

Law Offices of Annette G. Hasapidis, South Salem (*Annette G. Hasapidis* of counsel), and *Schwartz, Goldstone & Campisi, LLP*, New York City (*Joseph Campisi* of counsel), for David Adler and another, appellants in the second above-entitled action. I. The lower court erred in ruling that a treating physician’s findings from an examination, performed contemporaneously

with an accident, must both identify the objective tests and quantify the plaintiff's limitations in order to prove a serious injury. (*Toure v Avis Rent A Car Sys.*, 98 NY2d 345; *Ferraro v Ridge Car Serv.*, 49 AD3d 498; *D'Onofrio v Floton, Inc.*, 45 AD3d 525; *Morales v Daves*, 43 AD3d 1118; *Rodriguez v Cesar*, 40 AD3d 731; *Borgella v D & L Taxi Corp.*, 38 AD3d 701; *Pierson v Edwards*, 77 AD3d 642; *Lopez v Abdul-Wahab*, 67 AD3d 598.)

II. Defendants failed to demonstrate that no valid line of reasoning could have led the jury to return a verdict for plaintiffs. (*Cohen v Hallmark Cards*, 45 NY2d 493; *Jones v Fraser*, 265 AD2d 773; *Risbrook v Coronamos Cab Corp.*, 244 AD2d 397; *Brown v Achy*, 9 AD3d 30; *Cruz v Castanos*, 10 AD3d 277; *Garcia v ARC XVI of Fort Wash.*, 20 Misc 3d 1125[A], 2008 NY Slip Op 51620[U]; *Smith v Besanceney*, 61 AD3d 1336; *Perez v Rodriguez*, 25 AD3d 506; *Malloy v Matute*, 79 AD3d 584.)

Grant & Longworth, LLP, Bronx (*Marie R. Hodukavich* of counsel), for Sheila Travis, appellant in the third above-entitled action. I. The Appellate Division departed from this Court's long established precedent in *Toure v Avis Rent A Car Sys.* (98 NY2d 345 [2002]) and applied the wrong standard of review when it limited its evaluation of plaintiff's limitations to range of motion measurements. (*Linton v Nawaz*, 62 AD3d 434, 14 NY3d 821; *Glynn v Hopkins*, 55 AD3d 498; *Mirochnik v Ostrovskiy*, 35 AD3d 413; *Iles v Jonat*, 35 AD3d 537; *Quinones v E & L Transp., Inc.*, 35 AD3d 577; *Armstrong v Morris*, 301 AD2d 931; *Dufel v Green*, 84 NY2d 795; *Counterline v Galka*, 189 AD2d 1043; *Robillard v Robbins*, 168 AD2d 803, 78 NY2d 1105; *Madden v Dake*, 30 AD3d 932.) II. The Appellate Division erred in reviewing plaintiff's opposition to the motion before it examined defendants' proof in support of their summary judgment motion. Because defendant failed to make a prima facie showing of entitlement to summary judgment, the burden never shifted to plaintiff and defendants' motion should have been denied. (*Linton v Nawaz*, 62 AD3d 434, 14 NY3d 821; *Glynn v Hopkins*, 55 AD3d 498; *Mirochnik v Ostrovskiy*, 35 AD3d 413; *Iles v Jonat*, 35 AD3d 537; *Quinones v E & L Transp., Inc.*, 35 AD3d 577; *Armstrong v Morris*, 301 AD2d 931; *Patterson v Rivera*, 49 AD3d 337; *Cassagnol v Williamsburg Plaza Taxi*, 234 AD2d 208; *Cosovic v Term Leasing*, 234 AD2d 79; *Rodriguez v Goldstein*, 182 AD2d 396.) III. There is a triable issue of fact on the question of causation between the motor vehicle accident and plaintiff's injuries. (*Pommells v Perez*, 4 NY3d 566; *Madden v Dake*, 30 AD3d 932.)

Baker, McEvoy, Morrissey & Moskovits, P.C., New York City

(*Marjorie E. Bornes* and *Stacy R. Seldin* of counsel), for Mehmood Meher and others, respondents in the first and third above-entitled actions. I. The courts below properly held that defendants met their burden on the motion and established their prima facie entitlement to judgment. (*Toure v Avis Rent A Car Sys.*, 98 NY2d 345; *Gaddy v Eyler*, 79 NY2d 955; *Foley v Liloia*, 82 AD3d 832; *Washington v Delossantos*, 44 AD3d 748; *Sone v Qamar*, 68 AD3d 566; *Gonzales v Fiallo*, 47 AD3d 760; *Uddin v Cooper*, 32 AD3d 270; *Pommells v Perez*, 4 NY3d 566; *Kreimerman v Stunis*, 74 AD3d 753; *Thomas v Booker*, 76 AD3d 456; *Lopez v Abdul-Wahab*, 67 AD3d 598.) II. Plaintiff did not proffer medical evidence sufficient to rebut defendants' prima facie case that plaintiff did not sustain a "serious injury" within the meaning of section 5102 (d) of the Insurance Law of the State of New York. (*Resek v Morreale*, 74 AD3d 1043; *Kuchero v Tabachnikov*, 54 AD3d 729; *Alicea v Troy Trans, Inc.*, 60 AD3d 521; *Clemmer v Drah Cab Corp.*, 74 AD3d 660; *DeJesus v Cruz*, 73 AD3d 539; *Jean v Kabaya*, 63 AD3d 509; *Danvers v New York City Tr. Auth.*, 57 AD3d 252; *Sternberg v Sipzner*, 74 AD3d 1054; *Nieves v Castillo*, 74 AD3d 535; *Falkner v Hand*, 61 AD3d 1153.)

Kaplan, Hanson, McCarthy, Adams, Finder & Fishbein, Yonkers (*Jeffrey A. Domoto* of counsel), for Pincus Bayer and another, respondents in the second above-entitled action. I. The Court in *Toure v Avis Rent A Car Sys.* (98 NY2d 345 [2002]) did not intend to undertake a broader approach to allow more plaintiffs to meet the threshold. (*Pommells v Perez*, 4 NY3d 566.) II. Quantified range of motion testing contemporaneous to the accident provides a solid, definable bench mark upon which to weed out frivolous actions which do not meet the threshold. (*Licari v Elliott*, 57 NY2d 230; *Dufel v Green*, 84 NY2d 795.) III. Even assuming range of motion testing contemporaneous to the accident is found to be not probative and no longer required, plaintiff has still not met the threshold under *Toure v Avis Rent A Car Sys.* (98 NY2d 345 [2002]). (*Dufel v Green*, 84 NY2d 795; *Ikedo v Hussain*, 81 AD3d 496; *Lemos v Giacomo Mgt., Inc.*, 82 AD3d 602; *Rush v Kwan Chiu*, 79 AD3d 1004.) IV. Should the lower court's decision not be affirmed, this matter should be remanded for a new trial.

Israel, Israel & Purdy, LLP, Great Neck (*Stuart M. Israel* of counsel), for New Yorkers for Fair Automobile Insurance Reform, amicus curiae, in the first above-entitled action. The offer of medical testimony in automobile accident cases should

not be held to a standard different than medical testimony offered in other personal injury cases, a standard found nowhere in the Insurance Law and created wholly by a patchwork of conflicting court decisions. (*Matott v Ward*, 48 NY2d 455; *Matter of Ernest v Boggs Lake Estates*, 12 NY2d 414; *Matter of Cyr v Bero Constr. Corp.*, 75 AD2d 914; *John v City of New York*, 235 AD2d 210; *Elkins v Ferencz*, 93 NY2d 938, 253 AD2d 601; *Knutson v Sand*, 282 AD2d 42; *Dufel v Green*, 84 NY2d 795.)

Nicholas I. Timko, New York City, for New York State Trial Lawyers Association, amicus curiae, in the first above-entitled action. I. The majority violated the separation of powers doctrine and the plain meaning rule by encroaching upon the powers vested in the Legislature and rewriting the No-Fault Law. (*Matter of Maron v Silver*, 14 NY3d 230; *Plaut v Spendthrift Farm, Inc.*, 514 US 211; *Montgomery v Daniels*, 38 NY2d 41; *Licari v Elliott*, 57 NY2d 230; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Bates v United States*, 522 US 23; *Matter of Excellus Health Plan v Serio*, 2 NY3d 166; *People v Finnegan*, 85 NY2d 53; *Matter of Coates*, 9 NY2d 242; *Matter of Jerry v Board of Educ. of City School Dist. of City of Syracuse*, 35 NY2d 534.) II. Courts must apply the flexible approach to opposing threshold motions articulated in *Toure v Avis Rent A Car Sys.* (98 NY2d 345 [2002]). (*Matott v Ward*, 48 NY2d 455; *Whitaker v Soumano*, 81 AD3d 411; *Valentin v Pomilla*, 59 AD3d 184; *Mancini v Lali NY, Inc.*, 77 AD3d 797; *Catalano v Kopmann*, 73 AD3d 963.)

OPINION OF THE COURT

SMITH, J.

In *Pommells v Perez* (4 NY3d 566, 571 [2005]), then Chief Judge Kaye described the working of the No-Fault Law (officially the Comprehensive Motor Vehicle Insurance Reparations Act, Insurance Law § 5101 *et seq.*) by saying: “Abuse . . . abounds.” That included, she said, “abuse . . . in failing to separate ‘serious injury’ cases” from others (*id.*).

No-fault abuse still abounds today. In 2010, no-fault accounted for 53% of all fraud reports received by the Insurance Department (Annual Report to the Governor and the Legislature of the State of New York on the Operations of the Insurance Frauds Prevention Act at 23). “Serious injury” claims are still a source of significant abuse, and it is still true, as it was in 2005, that many courts, including ours, approach claims that soft-tissue injuries are “serious” with a “well-deserved skepticism” (*Pommells*, 4 NY3d at 571).

Here, we confront three cases in which the Appellate Division rejected allegations of serious injury as a matter of law. We conclude that we must reverse in two of the cases, *Perl v Meher* and *Adler v Bayer*, because the evidence plaintiffs have put forward is legally sufficient. We affirm in the third case, *Travis v Batchi*.

In finding that two of these three claims survive our scrutiny, we by no means signal an end to our skepticism, or suggest that that of lower courts is unjustified. There are cases, however, in which the role of skeptic is properly reserved for the finder of fact, or for a court that, unlike ours, has factual review power.

I

Plaintiffs Joseph Perl, David Adler and Sheila Travis brought lawsuits for personal injuries allegedly resulting from automobile accidents; Perl's and Adler's wives also sued, asserting derivative claims. Because the No-Fault Law bars recovery in automobile accident cases for "non-economic loss" (e.g., pain and suffering) unless the plaintiff has a "serious injury" as defined in the statute, Perl, Adler and Travis seek to show that their injuries were serious.

Of the several categories of "serious injury" listed in the statutory definition, three are relevant here: "permanent consequential limitation of use of a body organ or member"; "significant limitation of use of a body function or system"; and

"a medically determined injury or impairment of a non-permanent nature which prevents the injured person from performing substantially all of the material acts which constitute such person's usual and customary daily activities for not less than ninety days during the one hundred eighty days immediately following the occurrence of the injury or impairment" (Insurance Law § 5102 [d]).

Plaintiffs in all these cases rely on one or both of the first two of these categories, claiming permanent and significant limitations of their use of a bodily organ or system. Travis also relies on the third category, claiming that she was disabled from "substantially all" of her "usual and customary daily activities" for at least 90 out of the 180 days following her accident.

Defendants challenged plaintiffs' showing of serious injury in all three cases. In *Perl*, defendants moved for summary judgment; Supreme Court denied the motion, but the Appellate

Division reversed and dismissed the complaint, with two Justices dissenting (*Perl v Meher*, 74 AD3d 930 [2d Dept 2010]). The *Adler* case was tried, resulting in a jury verdict for plaintiffs after defendants had unsuccessfully moved for judgment as a matter of law under CPLR 4401; the Appellate Division reversed, granted defendants' motion and dismissed the complaint (*Adler v Bayer*, 77 AD3d 692 [2d Dept 2010]). In *Travis*, Supreme Court granted defendants' motion for summary judgment and the Appellate Division affirmed (*Travis v Batchi*, 75 AD3d 411 [1st Dept 2010]). Plaintiffs in *Perl* appeal to this Court as of right, pursuant to CPLR 5601 (a). We granted leave to appeal to plaintiffs in *Adler* and *Travis*.

All three cases turn on the sufficiency of plaintiffs' proof. In *Perl* and *Travis*, all of the Appellate Division Justices concluded, as do we, that the evidence offered in support of defendants' summary judgment motions sufficed to shift to plaintiffs the burden of coming forward with evidence to raise an issue of fact. The question is whether plaintiffs met that burden. In *Adler*, the question is whether plaintiffs offered enough evidence at trial to get to the jury.

II

The *Perl* and *Adler* cases are not related, but they are similar in a number of ways, and plaintiffs in each relied on the testimony of the same expert, Dr. Leonard Bleicher.

Perl and Adler both testified that their ability to function had been significantly limited since their accidents. Perl, 82 when the accident occurred, testified that he could no longer garden, carry packages while shopping, or have marital relations. Adler, a school teacher, testified that he could not move around easily, could not read for a long time and could not pick up his children.

We held in *Toure v Avis Rent A Car Sys.* (98 NY2d 345, 350 [2002]) that such "subjective complaints alone are not sufficient" to support a claim of serious injury; there must be "objective proof." Thus Dr. Bleicher's testimony was critical in both the *Perl* and *Adler* cases. In each case, the doctor testified that he examined the injured plaintiff shortly after the accident; that he performed a number of clinical tests, named but not fully described in the record, which were "positive"—i.e., indicated some departure from the norm; that he observed that the patient had difficulty in moving and diminished strength; and that the patient's range of motion was impaired. Bleicher

did not, at his initial examination of either Perl or Adler, quantify the range of motion he observed, except to say that Perl's was "less than 60% of normal in the cervical and lumbar spine." In each case, however, Bleicher again examined the patient several years later, using instruments to make specific, numerical range of motion measurements.

We said in *Toure*:

"In order to prove the extent or degree of physical limitation, an expert's designation of a numeric percentage of a plaintiff's loss of range of motion can be used to substantiate a claim of serious injury. An expert's *qualitative* assessment of a plaintiff's condition also may suffice, provided that the evaluation has an objective basis and compares the plaintiff's limitations to the normal function, purpose and use of the affected body organ, member, function or system" (*id.* [citations omitted]).

[1] We need not decide here whether Bleicher's testimony would furnish legally sufficient proof of serious injury under the "qualitative" prong of *Toure*. While his observations at his initial examinations were detailed, it is debatable whether they have an "objective basis," or are simply a recording of the patients' subjective complaints. Under the "quantitative" prong of *Toure*, however, Bleicher's later, numerical measurements are sufficient to create an issue of fact as to the seriousness of Perl's and Adler's injuries.

[2] Defendants argue that Bleicher's quantitative findings were made too long after Perl's and Adler's accidents. The Appellate Division in *Perl* agreed, holding that "plaintiffs are . . . required to demonstrate restricted range of motion based on findings both contemporaneous to the accident and upon recent findings" (*Perl v Meher*, 74 AD3d at 931 [citations omitted]). (The Appellate Division's rationale in *Adler*, though not specifically explained, is presumably the same.) *Toure*, however, imposed no such requirement of "contemporaneous" quantitative measurements, and we see no justification for it.

There is nothing obviously wrong or illogical about following the practice that Bleicher followed here—observing and recording a patient's symptoms in qualitative terms shortly after the accident, and later doing more specific, quantitative measurements in preparation for litigation. As the author of a recent article points out, a contemporaneous doctor's report is

important to proof of *causation*; an examination by a doctor years later cannot reliably connect the symptoms with the accident. But where causation is proved, it is not unreasonable to measure the *severity* of the injuries at a later time (see Morrissey, ‘Threshold Law’: Is a Contemporaneous Exam by Court of Appeals in Order?, NYLJ, Jan. 18, 2011). Injuries can become significantly more or less severe as time passes.

Bleicher testified in *Adler* that it is the better practice to defer a precise quantitative assessment of an injury: “On initial examination when person has assorted extensive fresh recent acute injuries, then it’s better to go with our visual parameters because measuring range of motion of the joint when it’s acutely injured, it’s not reliable. It doesn’t present correct numbers.” The orthopedist who testified for the defense in *Adler* did not challenge this opinion. In fact, the defense doctor acknowledged that he, like Bleicher in his initial examination, relied on visual estimates of range of motion, not on measurements with instruments.

We agree with the Appellate Division dissenters in *Perl* that a rule requiring “contemporaneous” numerical measurements of range of motion could have perverse results. Potential plaintiffs should not be penalized for failing to seek out, immediately after being injured, a doctor who knows how to create the right kind of record for litigation. A case should not be lost because the doctor who cared for the patient initially was primarily, or only, concerned with treating the injuries. We therefore reject a rule that would make contemporaneous quantitative measurements a prerequisite to recovery.

Defendants in both *Perl* and *Adler* offer alternative grounds for upholding the Appellate Division’s dismissal of the complaints. We find only one of those grounds to warrant discussion: Defendants in *Perl* claim that there was insufficient evidence of a causal connection between Perl’s accident and his injury. They assert that here, as in *Carrasco v Mendez* (decided with *Pommells v Perez*), defendants “presented evidence of a preexisting degenerative . . . condition causing plaintiff’s alleged injuries, and plaintiff failed to rebut that evidence sufficiently to raise an issue of fact” (4 NY3d at 579).

[3] Defendants in *Perl* did indeed present evidence, in the form of a sworn radiologist’s report based on an MRI, that Perl’s injuries were “degenerative in etiology and longstanding in nature, preexisting the accident.” However, plaintiffs’ contrary

evidence, while hardly powerful, was sufficient to raise an issue of fact. They submitted another radiologist's affidavit, saying that, while some findings from the MRI "are consistent with degenerative disease," a single MRI cannot rule out the possibility that "the patient's soft tissue findings are . . . a result of a specific trauma." That question, this radiologist said, can best be judged "by the patient's treating physician in conjunction with exam, history and any previous tests."

The treating physician, Dr. Bleicher, opined that since Perl "had not suffered any similar symptoms before the accident or had any prior injuries/medical conditions that would result in these findings," the findings were causally related to the accident. A factfinder could of course reject this opinion: It is certainly not implausible that a man of 82 would have suffered significant degenerative changes. We cannot say as a matter of law on this record, however, that such changes were the sole cause of Perl's injuries.

Though we hold plaintiffs' evidence of serious injury in both *Perl* and *Adler* to be legally sufficient, both cases have troubling features. Most striking is the sworn assertion by a defense physician who examined Perl, which in substance accuses Perl of malingering. The doctor said:

"The fact that he sits, yet presents with a show of only 10 degrees of flexion of the lumbar spine is contradictory. His 'give-away' strength is contradictory with his ambulation. This individual's show of such decreased range of motion is totally contradicted by the fact that he followed me about, rotating the cervical spine 60 degrees and flexing at least 30 degrees. I do not believe that this individual presents with any true findings at this time."

The issue presented by this evidence, of course, is one of credibility, which is not for this Court to decide.

III

[4] We reach a different result in *Travis*, because we see no evidence in the record of that case of a serious injury as defined in the No-Fault Law.

Travis, like Perl and Adler, relies on the two "limitation of use" categories of the statutory definition—categories that in substance require some significant, permanent impairment. But no evidence of such an impairment is to be found—indeed we

cannot tell from the record what Travis's alleged permanent impairment is. She submitted a report from her treating physician, stating the conclusion that she has a "[m]ild partial permanent disability," but the report does not describe the disability; it says that Travis is "[c]urrently able to perform the essential functions of her job." There is no evidence that she suffered either a "permanent consequential limitation of use of a body organ or member" or a "significant limitation of use of a body function or system."

Travis relies more heavily on the category of the definition that relates to temporarily disabling conditions, claiming that she had a "medically determined injury or impairment of a non-permanent nature which prevent[ed] [her] from performing substantially all of the material acts which constitute [her] usual and customary daily activities for not less than ninety days during the one hundred eighty days immediately following the occurrence of the injury or impairment." Again, however, the evidence to support the claim is lacking. Even Travis's subjective description of her injuries—which in any event would be insufficient, under *Toure*, to defeat summary judgment—does not show that there were 90 of the 180 days after the injury when she was disabled from "substantially all" of her usual activities. On the contrary, she acknowledges that she was able to do some work from home less than three months after the accident. And her doctor's reports say nothing at all about what activities she could and could not perform until, 111 days after the accident, she was found able "to perform the essential functions of her job," though with "restrictions." The record does not show any "medically determined injury" that would bring *Travis* within the "90/180" provision of the statute.

Accordingly, in *Perl v Meher*, the order of the Appellate Division should be reversed, with costs, and the order of Supreme Court denying defendants' motion for summary judgment reinstated; in *Adler v Bayer*, the order of the Appellate Division should be reversed, with costs, defendants' motion for judgment as a matter of law denied, and the case remitted to the Appellate Division for consideration of issues raised but not determined on the appeal to that court; and in *Travis v Batchi*, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

In *Perl v Meher*: Order reversed, etc.

In *Adler v Bayer*: Order reversed, etc.

In *Travis v Batchi*: Order affirmed, with costs.

[960 NE2d 419, 936 NYS2d 650]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SHERMAN RIVERS, Appellant.

Argued October 20, 2011; decided November 22, 2011

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 8, 2010. The Appellate Division modified, on the law and as a matter of discretion in the interest of justice, a judgment of the Supreme Court, Kings County (Deborah A. Dowling, J.), which had convicted defendant, upon a jury verdict, of arson in the first degree (three counts). The modification consisted of vacating the sentences imposed on the convictions of arson in the first degree under counts five and six of the indictment and remitting the matter to Supreme Court for resentencing. The Appellate Division affirmed the judgment as modified.

People v Rivers, 74 AD3d 995, affirmed.

HEADNOTES

Crimes — Harmless and Prejudicial Error — Violation of *Molineux* Rulings

1. In an arson prosecution arising from two fires set in an apartment building during which the prosecution concededly elicited testimony in violation of the trial court's *Molineux* rulings (see *People v Molineux*, 168 NY 264 [1901]), the testimony elicited, on the whole, was not significant and, in any event, to the extent any evidence subject to the trial court's *Molineux* rulings was improperly admitted, such error was harmless. Although the prosecutor elicited evidence of an uncharged arson attempt and evidence linking defendant to violence, guns, the Nation of Islam, and a violent motorcycle gang, allegedly in violation of the trial court's *Molineux* rulings, if defendant was prejudiced at all, such prejudice was minimal. When defendant moved for a mistrial, the trial court instructed the prosecutor to refrain from making statements regarding improper topics and also took steps to minimize the impact upon the jury of arguably improper testimony or prosecutorial statements. Moreover, since the evidence against defendant, including his own taped admissions and testimony of the individual who set the first fire at defendant's behest, overwhelmingly established defendant's guilt, and since there was no reasonable possibility or significant probability that the improper questions and elicited references to defendant's bad acts and negative associations affected the guilty verdict, any *Molineux* error was harmless.

Crimes — Witnesses — Expert Witness — Arson Expert

2. The proposition advanced in dictum in *People v Grutz* (212 NY 72 [1914]), which prohibited expert testimony in an arson prosecution on the ultimate issue of whether the fire was intentionally set on the basis that such testimony

invades the province of the jury, is put to rest. Testimony by an arson expert is admissible when it would help to clarify an issue calling for professional or technical knowledge possessed by the expert and beyond the ken of the typical juror, and this would apply to testimony regarding both the ultimate questions and those of lesser significance. However, expert testimony would not generally be admissible in a case where the fire's cause is not in question. A trial court, in deciding whether testimony from an arson expert is admissible, must determine whether the potential value of the evidence is outweighed by the possibility of undue prejudice to the defendant or interference with the jury's province. Expert testimony should not be excluded merely because, to some degree, it invades the jury's province since expert testimony is used in partial substitution for the jury's otherwise exclusive province.

Crimes — Harmless and Prejudicial Error — Expert Testimony

3. In an arson prosecution, although it could be argued that the admission of expert testimony from a battalion chief and two fire marshals ruling out accidental and natural causes and concluding that one of the fires at issue was intentionally set was largely unnecessary since the evidence, apart from the expert testimony, conclusively established that the fires were intentionally set, any error in the admission of such testimony was harmless. The evidence of defendant's guilt was overwhelming and there was no significant probability that the jury would have acquitted defendant without the expert testimony.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 654, 659, 664–666, 703;
AM JUR 2d, Arson and Related Offenses §§ 42, 48; AM
JUR 2d, Expert and Opinion Evidence §§ 22, 34, 177.
CARMODY-WAIT 2d, Fundamentals of Criminal Evidence
§§ 193:21, 193:22; CARMODY-WAIT 2d, Particular Types
of Evidence §§ 194:174, 194:177, 194:178; CARMODY-
WAIT 2d, Appeals in Criminal Cases §§ 207:117, 207:169.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4,
27.5, 27.6.
NY JUR 2d, Criminal Law: Procedure §§ 2026, 2028, 2680,
3569–3573, 3643.

ANNOTATION REFERENCE

Admissibility of expert and opinion testimony in state
criminal prosecution for arson or related offense. 85 ALR5th
187.

FIND SIMILAR CASES ON WESTLAW®

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POINTS OF COUNSEL

Appellate Advocates, New York City (*Jonathan M. Kratter* and
Lynn W.L. Fahey of counsel), for appellant. I. Appellant was

denied a fair trial by the prosecutor's repeated failure to respect the letter and spirit of the trial court's *Molineux* rulings. (*People v Ventimiglia*, 52 NY2d 350; *People v Arafet*, 13 NY3d 460; *People v Alvino*, 71 NY2d 233; *People v Molineux*, 168 NY 264; *People v Fitzgerald*, 156 NY 253; *People v Vargas*, 88 NY2d 856; *People v Allweiss*, 48 NY2d 40; *People v Rojas*, 97 NY2d 32; *People v Resek*, 3 NY3d 385; *People v Vails*, 43 NY2d 364.) II. The trial court improperly permitted a battalion chief and two fire marshals to testify that the fires were intentionally set and how, and that they could not have resulted from natural or accidental causes. (*People v Brown*, 110 App Div 490; *People v Grutz*, 212 NY 72; *People v Bajraktari*, 154 AD2d 542; *People v Maxwell*, 116 AD2d 667; *People v Abreu*, 114 AD2d 853; *People v Negron*, 280 AD2d 557; *People v Goldberg*, 215 AD2d 402; *People v Johnson*, 186 AD2d 584; *People v Capobianco*, 176 AD2d 815; *People v Rivera*, 131 AD2d 518.)

Charles J. Hynes, District Attorney, Brooklyn (*Victor Barall* and *Leonard Joblove* of counsel), for respondent. I. The defendant's claim that he was deprived of a fair trial by the prosecutor's alleged failure to respect the "letter and spirit" of the court's *Molineux* rulings is unpreserved in part, and, moreover, is without merit. In any event, in light of the overwhelming evidence, any error in the prosecutor's failure to abide by the court's rulings was harmless. (*People v Crimmins*, 36 NY2d 230; *People v Matthews*, 68 NY2d 118; *People v Ventimiglia*, 52 NY2d 350; *People v Small*, 12 NY3d 732; *People v Calabria*, 94 NY2d 519; *People v Alicea*, 37 NY2d 601; *People v Arafet*, 13 NY3d 460; *People v Thomas*, 26 AD3d 188; *People v Brown*, 277 AD2d 974; *People v Hamilton*, 73 AD3d 408.) II. The defendant has, in part, failed to preserve his claim regarding the testimony of the two fire marshals and a fire battalion chief on the cause of the fires. Moreover, the claim is without merit. In any event, if the testimony was improperly admitted, the error was harmless. (*People v Grutz*, 212 NY 72; *People v Crimmins*, 36 NY2d 230; *People v El Machiah*, 71 AD3d 914; *People v Narrod*, 23 AD3d 1061; *People v Taylor*, 75 NY2d 277; *People v Brown*, 97 NY2d 500; *People v Qualls*, 55 NY2d 733; *People v Fleming*, 70 NY2d 947; *People v Miller*, 91 NY2d 372; *People v Cronin*, 60 NY2d 430; *People v Hicks*, 2 NY3d 750.)

OPINION OF THE COURT

JONES, J.

Defendant was charged with numerous offenses, including three counts of arson in the first degree (Penal Law § 150.20),

in connection with two fires set five days apart in a four-story apartment building located at 408 Greene Avenue in Brooklyn, New York. The evidence adduced at trial established that defendant, who did not own the building, engaged in a scheme to profit from its illegal sale. Defendant gained control of the property by means of a forged and fraudulently notarized deed. He then contracted to sell it to a third party for \$300,000. Pursuant to a clause in the sales contract, the property was to be delivered “vacant and free of leases or tenancies.” To that end, defendant, on two occasions, paid others to set fires in the building to drive the tenants out. Defendant was convicted, upon a jury verdict, of three counts of arson in the first degree, one count relating to a fire set on May 25, 2004 (expectation of pecuniary profit), and the other two counts relating to a fire set on May 30, 2004 (expectation of pecuniary profit and use of an incendiary device).

On appeal, defendant argued that the prosecutor repeatedly violated the trial court’s *Molineux* rulings (see *People v Molineux*, 168 NY 264 [1901] [for *Molineux* rule]; *People v Allweiss*, 48 NY2d 40, 46-48 [1979] [for summary of principles related to *Molineux* rule]) by eliciting evidence of an uncharged arson attempt and of his prior bad acts and associations—the elicited testimony linked defendant to violence, guns, the Nation of Islam, and a violent motorcycle gang. In defendant’s view, the prosecutor’s repeated violations of the court’s *Molineux* rulings cumulatively denied him the right to a fair trial (see *People v Calabria*, 94 NY2d 519, 522 [2000]).

Defendant further argued that the elicited expert testimony concerning the origins of the fires was inadmissible under *People v Grutz* (212 NY 72, 82 [1914] [“The physical facts” of an arson are always “so simple that they can be readily understood when properly described, and it is then for the jury to draw the appropriate conclusion,” without guidance of expert opinion]) and *People v Narrod* (23 AD3d 1061, 1062 [4th Dept 2005] [it was error to allow an “arson investigator to testify that he had ruled out accidental causes of the fire”]).¹ According to defendant, the experts’ improper testimony invaded the jury’s province and denied him the right to a fair trial.

1. With respect to the first fire, a battalion chief testified that “it appeared a flammable liquid had been put on the stairs and lit on fire” and “[t]here was no other apparent cause for the fire.” The chief further testified that the second fire was “suspicious.”

The Appellate Division affirmed the convictions, stating that any error concerning the contested testimony was harmless (74 AD3d 995, 995 [2d Dept 2010]). A Judge of this Court granted defendant leave to appeal and we now affirm.

[1] Although, as the People concede, certain questions asked by the prosecutor at trial clearly violated the trial court's *Molineux* rulings, the contested testimony elicited, on the whole, was not significant. That is, if defendant was prejudiced at all, such prejudice was minimal. Each time after defendant moved for a mistrial based on an alleged violation of the court's *Molineux* rulings, the trial court, in its discretion, considered the arguments of the parties, concluded that what happened did not rise to the level of a mistrial and, in certain instances, provided further instruction to counsel to refrain from making statements regarding improper topics. For example, at the conclusion of the prosecutor's opening statement, defendant moved for a mistrial, arguing, inter alia, that the prosecutor's references to the Nation of Islam and Muslims were intended to inflame and prejudice the jury. After ruling that a mistrial was not warranted, the court told the prosecutor to "stay focused" and to avoid the appearance of stereotyping certain individuals just because they are members of the Nation of Islam and/or Muslims.

The trial court also took steps to minimize the impact of arguably improper testimony or prosecutorial statements during the trial. For example, after the prosecutor made conclusory statements of fact during his opening statement, the court sustained defense counsel's objection and reminded the jurors in no uncertain terms that "what counsel says is not evidence in the case. Rather, you may consider the opening statement as a preview or an outline of what counsel believes the evidence will prove in this case."

The fire marshal who investigated the first fire testified that the "pour pattern" indicated that a flammable liquid had run from one step down to the next and been ignited. He further testified that there are three causes of fires, "[a]ccidental, natural and non-accidental," and that the fire was neither natural nor accidental but must have originated "[i]n the vapors of a flammable liquid that was introduced to the steps."

The fire marshal who investigated the second fire testified that he eliminated accidental causes of the fire due to the absence of any ignition sources and natural causes because there had been no lightning. He further testified that "[t]he fire was originated by vapors of a flammable liquid introduced." Finally, he testified that his findings were consistent with the use of an incendiary device such as a Molotov cocktail.

In any event, to the extent any evidence subject to the trial court's *Molineux* rulings was improperly admitted, such error was harmless (see *People v Crimmins*, 36 NY2d 230, 240-242 [1975]). The evidence against defendant, from his own taped admissions, and testimony of the individual who set the first fire at defendant's behest, overwhelmingly established defendant's guilt of the crimes charged. Further, there was no reasonable possibility or significant probability that the improper questions and elicited references to defendant's bad acts and negative associations affected the jury's verdict, or that the absence of such errors would have led to an acquittal.

[2] Defendant's second argument—that the expert testimony, ruling out accidental and natural causes of the fires and concluding that one of the fires was intentionally set, invaded the jury's province—is equally unavailing. At the outset, we consider the rule set forth in *Grutz* prohibiting expert testimony concerning whether a fire was intentionally set. This prohibition occurs as dictum in an opinion written in 1914—at a time when fire investigations involved far less technical expertise than they do today. Nevertheless *Grutz* is still frequently cited for the proposition that an expert may not invade the province of the jury by testifying that a fire was intentionally set² or that the facts are “consistent” with an intentionally set fire.³ It has continued to be cited even after Appellate Division panels have held that an arson expert may testify to a reasonable degree of scientific certainty that, based on the expert's investigations, all possible natural and accidental causes of the fire had been eliminated⁴—thus eliminating all but intentional causes.

The result is that the law in New York is at once confusing and anomalous. As the Connecticut Supreme Court has recently noted,

“the rule, followed by the courts of New York and Virginia, that precludes an expert witness from giving an opinion about the ultimate issue in arson cases, namely, whether the fire was intentionally set

2. See e.g. *People v Champion* (247 AD2d 901, 901 [4th Dept 1998], *lv denied* 91 NY2d 971 [1998]); *People v Avellanet* (242 AD2d 865, 866 [4th Dept 1997], *lv denied* 91 NY2d 868 [1997]).

3. See e.g. *People v Negron* (280 AD2d 557, 558 [2d Dept 2001]).

4. See e.g. *People v Capobianco* (176 AD2d 815, 816 [2d Dept 1991], *lv denied* 79 NY2d 825 [1991]); *Champion* (247 AD2d at 901); *Avellanet* (242 AD2d at 866); *People v Maxwell* (116 AD2d 667, 668 [2d Dept 1986], *lv denied* 67 NY2d 886 [1986]).

. . . is a distinct minority position that stands in stark contrast to the ‘modern trend,’ which is ‘to abolish the ultimate issue prohibition’ ” (*State v Beavers*, 290 Conn 386, 417 n 27, 963 A2d 956, 977 n 27 [2009], quoting 1 Paul C. Giannelli and Edward J. Imwinkelried, *Scientific Evidence* § 5.07, at 321 [4th ed 2007], and citing cases).

We now put the *Grutz* proposition to rest. New York has a well-established body of case law concerning the admissibility and limits of expert testimony, that should be brought to bear in deciding what an arson expert may tell the jury in a particular case. “The guiding principle is that expert opinion is proper when it would help to clarify an issue calling for professional or technical knowledge, possessed by the expert and beyond the ken of the typical juror” (*De Long v County of Erie*, 60 NY2d 296, 307 [1983] [citations omitted]; see *People v Taylor*, 75 NY2d 277, 288 [1990] [same]). Moreover, this principle applies to testimony regarding both “the ultimate questions and those of lesser significance” (*People v Cronin*, 60 NY2d 430, 432-433 [1983]).

Although, in deciding whether expert testimony is admissible, courts must determine whether “the potential value of the evidence is outweighed by the possibility of undue prejudice to the defendant or interference with the province of the jury” (*People v Bennett*, 79 NY2d 464, 473 [1992]), “courts should be wary not to exclude such testimony merely because, to some degree, it invades the jury’s province” (*People v Lee*, 96 NY2d 157, 162 [2001]). “Expert opinion testimony is used in partial substitution for the jury’s otherwise exclusive province which is to draw ‘conclusions from the facts.’ It is a kind of authorized encroachment in that respect” (*People v Jones*, 73 NY2d 427, 430-431 [1989] [citation omitted], quoting *Cronin*, 60 NY2d at 432). Obviously, expert testimony would not generally be admissible in a case where the fire’s cause is not in question.

[3] Here, because the evidence adduced at trial conclusively established, apart from the expert testimony, that the subject fires were intentionally set, it can be argued that the admission of expert testimony was largely unnecessary. In any event, any error was harmless, because the evidence of defendant’s guilt was overwhelming and there was no significant probability that the jury would have acquitted defendant without the expert testimony (see *Crimmins*, 36 NY2d at 240-242).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ,
SMITH and PIGOTT concur.

Order affirmed.

[961 NE2d 623, 938 NYS2d 232]

JULIETTE DEJOIE CADICHON et al., Appellants, v THOMAS
FACELLE, M.D., et al., Respondents.

Argued October 19, 2011; decided November 21, 2011

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 18, 2010. The Appellate Division order, insofar as appealed from, with two Justices dissenting, affirmed an order of the Supreme Court, Bronx County (Alison Y. Tuitt, J.), which had denied plaintiffs' motion to vacate the dismissal of the action pursuant to CPLR 3216.

Cadichon v Facelle, 71 AD3d 520, reversed.

HEADNOTE

Dismissal and Nonsuit — Want of Prosecution — Dismissal without Court Order Vacated

Plaintiffs were entitled to vacatur of the dismissal of their medical malpractice action for neglect to prosecute where the record indicated that the action was ministerially dismissed, without notice to the parties, and without the entry of any formal order of dismissal by the court, based upon plaintiffs' failure to comply with a deadline to file the note of issue as set forth in a stipulation executed by the court and the parties and in an annexed 90-day demand served upon plaintiffs' counsel pursuant to CPLR 3216. As evident from the 90-day demand and the dictates of CPLR 3216, plaintiffs' failure to comply with the demand would "serve as a basis" for the trial court, on its own motion, to dismiss the action. However, there was no evidence that the trial court made a motion to dismiss the action, and there was apparently no entry of a formal order dismissing the action, only a ministerial dismissal without benefit of further judicial review. The parties continued to schedule depositions as if the case were still active, and the earliest that any of the litigants learned that the matter had been dismissed was more than two months following dismissal, when one of the hospital defendants moved to dismiss the action, and the court clerk returned those papers on the ground that the motion was moot. Where, as here, a case proceeds to the point where it is subject to dismissal, it should be the trial court, with notice to the parties, that makes the decision concerning the fate of the case, not the Clerk's Office.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Dismissal, Discontinuance, and Nonsuit §§ 57, 59, 68, 76, 106–110.

CARMODY-WAIT 2d, Dismissal of Claim for Want of Prosecution §§ 44:8, 44:9, 44:126, 44:133, 44:159–44:161, 44:199, 44:203.

McKINNEY's, CPLR 3216.
NY JUR 2d, Actions §§ 142, 143.
SIEGEL, NY PRAC § 375.

ANNOTATION REFERENCE

See ALR Index under Dismissal, Discontinuance, and Nonsuit.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: dismiss! /3 ministerial! & vacate /3 dismissal

POINTS OF COUNSEL

Pollack, Pollack, Isaac & De Cicco, New York City (Brian J. Isaac of counsel), and *Paul B. Weitz & Associates, P.C.*, for appellants. The lower courts erroneously refused to vacate the clerk's administrative marking of this case as dismissed based on plaintiffs' failure to file a note of issue, because same was caused by defendants' disregard of their discovery obligations in connection with the May 3 order; CPLR 205 (a) as amended applies because it was effective prior to the time of the trial court's decision on the motion to vacate; the motion should not have been denied for failure to include an affidavit of merit in any event, since plaintiffs' papers amply showed that defendants' conduct prevented the filing of a note of issue. (*Sortino v Fisher*, 20 AD2d 25; *Thomas v Melbert Foods*, 19 NY2d 216; *Fischer v Pan Am. World Airways*, 16 NY2d 725; *Salama v Cohen*, 16 NY2d 1058; *Commercial Credit Corp. v Lafayette Lincoln-Mercury*, 17 NY2d 367; *Cohn v Borchard Affiliations*, 25 NY2d 237; *Airmont Homes v Town of Ramapo*, 69 NY2d 901; *Chase v Scavuzzo*, 87 NY2d 228; *Lopez v Imperial Delivery Serv.*, 282 AD2d 190; *Townsend v Merrill Lynch Futures*, 187 AD2d 326.)

Martin Clearwater & Bell LLP, New York City (Stewart G. Milch, Joseph L. DeMarzo and John J. Barbera of counsel), for Thomas Facelle, M.D., respondent. Plaintiffs' complaint was properly dismissed, and their motion to vacate the dismissal was properly denied. In response to Supreme Court's validly issued order pursuant to CPLR 3216, plaintiffs took no steps to complete discovery or file their note of issue. Upon moving to vacate the dismissal, plaintiffs failed to offer a reasonable excuse for their default or demonstrate the existence of a meritorious claim. (*Baczkowski v Collins Constr. Co.*, 89 NY2d 499; *Fenner v County of Nassau*, 80 AD3d 555; *Walker v City of New York*, 46

AD3d 278; *Blackmon v Meo*, 284 AD2d 711, 97 NY2d 602; *Burridge v Gaines*, 281 AD2d 967; *Smith v Montefiore Med. Ctr.*, 60 AD3d 479; *Huger v Cushman & Wakefield, Inc.*, 58 AD3d 682; *Melius v Pletman*, 202 AD2d 880, 84 NY2d 903; *McDonald v Montefiore Med. Ctr.*, 60 AD3d 547; *McKinney v Corby*, 295 AD2d 580.)

Steinberg, Symer & Platt, LLP, Poughkeepsie (*Jonathan Symer and Ellen Fischer Bopp* of counsel), for Good Samaritan Hospital, respondent. I. The initial dismissal of the action on December 31, 2007 was appropriate. (*Heredia v Two Kings*, 4 AD3d 153; *Dhaliwal v Long Boat Taxi*, 305 AD2d 449; *Giannoccoli v One Cent. Park W. Assoc.*, 15 AD3d 348; *Goldberg v Tunstall*, 295 AD2d 315; *Kihl v Pfeffer*, 94 NY2d 118.) II. The Supreme Court's denial of the original motion to vacate the dismissal was appropriate and within its discretion. (*Baczkowski v Collins Constr. Co.*, 89 NY2d 499; *Davis v Cardiovascular Consultants of Long Is., P.C.*, 65 AD3d 1076; *Petersen v Lysaght, Lysaght & Kramer, P.C.*, 47 AD3d 783; *Fenner v County of Nassau*, 80 AD3d 555; *Bort v Perper*, 82 AD3d 692; *Cato v City of New York*, 70 AD3d 471; *Palumbo v Dell*, 73 AD3d 723; *Rocha-Silva v St. John's Hosp.*, 70 AD3d 1025; *Blackmon v Meo*, 284 AD2d 711; *Burridge v Gaines*, 281 AD2d 967.) III. CPLR 205 (a) is inapplicable to this review, and in any event would not result in reversal even if applied. (*State of New York v Daicel Chem. Indus., Ltd.*, 42 AD3d 301; *Aguaiza v Vantage Props., LLC*, 69 AD3d 422; *Matter of Kahn [National City Bank]*, 284 NY 515; *Gallewski v Hentz & Co.*, 301 NY 164; *Robinson v Robins Dry Dock & Repair Co.*, 238 NY 271; *Matter of Asman v Ambach*, 64 NY2d 989; *Matter of Alscot Inv. Corp. v Incorporated Vil. of Rockville Ctr.*, 64 NY2d 921; *Matter of Mascony Transp. & Ferry Serv. v Richmond*, 71 AD2d 896; *Black Riv. Regulating Dist. v Adirondack League Club*, 307 NY 475; *Matter of Tartaglia v McLaughlin*, 297 NY 419.)

McAloon & Friedman, P.C., New York City (*Gina Bernardi Di Folco* of counsel), for Montefiore Medical Center, respondent. I. The December 27, 2007 dismissal was proper. (*Baczkowski v Collins Constr. Co.*, 89 NY2d 499; *Walker v City of New York*, 46 AD3d 278; *Felix v County of Nassau*, 52 AD3d 653; *Huger v Cushman & Wakefield, Inc.*, 58 AD3d 682; *McDonald v Montefiore Med. Ctr.*, 60 AD3d 547.) II. Plaintiff failed to demonstrate a reasonable excuse or a meritorious case. (*Walker v City of New York*, 46 AD3d 278; *Lopez v Imperial Delivery Serv.*, 282 AD2d 190, 96 NY2d 937; *Rijo v McLaughlin*, 309 AD2d 716; *Felix v*

County of Nassau, 52 AD3d 653; *Betty v City of New York*, 12 AD3d 472; *Campos v New York City Health & Hosps. Corp.*, 307 AD2d 785; *Markarian v Hundert*, 180 AD2d 780; *Davis v Goodsell*, 6 AD3d 382; *McCracken v Nitto Kohki USA*, 271 AD2d 510; *Donegan v St. Joseph's Med. Ctr.*, 283 AD2d 152.) III. CPLR 205 does not mandate vacatur. (*Andrea v Arnone, Hedin, Casker, Kennedy & Drake, Architects & Landscape Architects, P.C. [Habiterre Assoc.]*, 5 NY3d 514; *Doyle v American Home Prods. Corp.*, 583 F3d 167; *Boardman v Glissando Enters. of N. J.*, 41 AD2d 523; *Levy v Kelly Assoc.*, 20 AD2d 772; *Sortino v Fisher*, 20 AD2d 25; *People ex rel. Burby v Howland*, 155 NY 270.)

Clausen Miller, P.C., New York City (*Edward M. Tobin* of counsel), for Louis May, M.D., respondent. I. The Appellate Division, First Department, properly determined that the trial court did not abuse its discretion in denying plaintiffs' motion to vacate the dismissal. (*Lopez v Imperial Delivery Serv.*, 282 AD2d 190; *Townsend v Merrill Lynch Futures*, 187 AD2d 326; *Frank L. Ciminelli Constr. Co. v City of Buffalo*, 110 AD2d 1075; *Walker v City of New York*, 46 AD3d 278; *Smith v Montefiore Med. Ctr.*, 60 AD3d 479; *Arts4All, Ltd. v Hancock*, 54 AD3d 286; *Seletsky v St. Francis Hosp.*, 263 AD2d 452; *Safina v Queens-Long Is. Med. Group*, 238 AD2d 395; *Migdol v City of New York*, 291 AD2d 201.) II. The amended version of CPLR 205 (a) does not apply to this action. (*Campos v New York City Health & Hosps. Corp.*, 307 AD2d 785; *Wilson v Galicia Contr. & Restoration Corp.*, 8 AD3d 560; *AWL Indus., Inc. v QBE Ins. Corp.*, 65 AD3d 904; *Foster v Dealmaker, SLS, LLC*, 63 AD3d 1640; *Ragubir v 44 Ct. St., LLC*, 60 AD3d 833; *Du Valle v Swan Lake Resort Hotel, LLC*, 26 AD3d 616; *Juracka v Ferrara*, 137 AD2d 921; *Gager v White*, 53 NY2d 475; *Jacobus v Colgate*, 217 NY 235; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577.)

OPINION OF THE COURT

FIGOTT, J.

In May 2003, plaintiffs Juliette and Jean Cadichon commenced a medical malpractice action against defendants Thomas Facelle, M.D., Good Samaritan Hospital and Montefiore Medical Center for injuries allegedly sustained by Mrs. Cadichon during surgery in July 2002. The trial court executed a preliminary and compliance conference order in August 2003 and May 2004, respectively, concerning the parties' discovery obligations and examinations before trial.

After plaintiffs commenced a separate medical malpractice action against defendant Dr. May—which was consolidated with

the action against the other defendants in May 2006—plaintiffs and Dr. May agreed to their discovery obligations in an April 2005 preliminary conference order. Once the cases were consolidated in May 2006, another compliance conference order was prepared, setting forth the parties’ discovery obligations, directing that all examinations before trial be completed by September 13, 2006, and stating that plaintiffs were to file their note of issue and certificate of readiness by November 2006.

At issue on this appeal is the May 3, 2007 stipulation. At the time this stipulation was executed by the trial court and the parties, plaintiffs had complied with all discovery obligations, and Mrs. Cadichon had been deposed twice, once before and once after the consolidation of the actions. The order directed that Dr. Facelle be deposed by June 26, 2007; Dr. May by July 10, 2007; and representatives of Good Samaritan Hospital and Montefiore Medical Center by August 21, 2007, with plaintiffs providing the hospital defendants with 30 days notice as to the names of the representatives plaintiffs wished to depose. The stipulation also directed plaintiffs’ counsel to file the note of issue on or before December 27, 2007.

Also served upon and signed by plaintiffs’ counsel was a “**DEMAND FOR SERVICE AND FILING OF NOTE OF ISSUE**” which states as follows:

“THE COURT DEMANDS, PURSUANT TO C.P.L.R. 3216, THAT YOU RESUME PROSECUTION OF THE ABOVE ENTITLED ACTION, AND THAT YOU SERVE AND FILE A NOTE OF ISSUE [AS PER THE ANNEXED ONE PAGE STIPULATION DATED 5/3/07, I.E., BY 12/27/07]⁽¹⁾ AFTER THE RECEIPT OF THIS DEMAND.

“YOUR DEFAULT IN COMPLYING WITH THIS DEMAND WITHIN THE 90-DAY PERIOD WILL SERVE AS A BASIS FOR THE COURT, ON ITS OWN MOTION, TO DISMISS THE ACTION FOR UNREASONABLY NEGLECTING TO PROCEED” (emphasis supplied).

December 27, 2007 came and went. Plaintiffs did not file their note of issue by that date, allegedly because defendants had still not been deposed. Unbeknownst to the parties, the case was

1. The bracketed portion represents the trial court’s handwriting.

dismissed on December 31, 2007 and, for the first few months of the new year, plaintiffs attempted to schedule deposition dates, the court having failed to inform any of the parties of the case's dismissal. Counsel for Dr. Facelle agreed to produce his client for a deposition on April 7, 2008. Around that same time, in March 2008, Good Samaritan Hospital moved to dismiss the action, but those papers were returned to it by the Clerk's Office on the ground that the motion was moot. This was the earliest that any of the litigants had learned that the matter had been dismissed.

Supreme Court denied plaintiffs' motion to vacate the dismissal pursuant to CPLR 3216, and the Appellate Division, in a 3-2 decision, affirmed (71 AD3d 520 [2010]). Plaintiffs appeal as of right on the two-Justice dissent. We previously determined that the Appellate Division order should be deemed the final appealable paper for purposes of this Court's jurisdiction (15 NY3d 877, 879 [2010]), and we now reverse.

CPLR 3216 (a) provides that

“[w]here a party unreasonably neglects to proceed generally in an action or otherwise delays in the prosecution thereof against any party who may be liable to a separate judgment, or unreasonably fails to serve and file a note of issue, the court, on its own initiative or upon motion, may dismiss the party's pleadings on its terms.”

A case cannot be dismissed pursuant to CPLR 3216 (a), however, unless a written demand is served upon “the party against whom such relief is sought” in accordance with the statutory requirements, along with a statement that the “default by the party upon whom such notice is served in complying with such demand within said ninety day period *will serve as a basis for a motion* by the party serving said demand for dismissal as against him for unreasonably neglecting to proceed” (CPLR 3216 [b] [3] [emphasis supplied]).

Here, the action was apparently “dismissed” on December 31, 2007. But there is no order of dismissal to that effect, as evidenced by the parties' conduct in scheduling depositions as if the case were still active. Defendants point to the stipulation, claiming that once the plaintiffs failed to file their note of issue, the trial court was within its right to dismiss the action. It is evident from the 90-day demand and the dictates of CPLR 3216 that the plaintiffs' failure to comply with the demand would

“serve as a basis” for the trial court, on its own motion, to dismiss the action. That is not what occurred here; there is no evidence in the record that the trial court made a motion to dismiss the action in this case, and it is apparent that the case was dismissed based upon plaintiffs’ failure to comply with the May 3, 2007 stipulation and 90-day demand in doing so. Indeed, there was apparently no “order” of the court dismissing the case and, at best, only a ministerial dismissal of the action without benefit of further judicial review even though the stipulation provided that it only “will serve as a basis for the *court*, on its own motion” (emphasis supplied) to take further action.

Although inapplicable to this case, the July 7, 2008 amendment to CPLR 205 (a),² which, as relevant here, states that where a dismissal is one for neglect to prosecute, “the judge shall set forth on the record the specific conduct constituting the neglect, which conduct shall demonstrate a general pattern of delay in proceeding with the litigation,” underscores that dismissal of a claim under circumstances such as this involves judicial involvement. It is evident from this record that the case was ministerially dismissed, without notice to the parties, without the entry of any formal order by the court dismissing the matter.

It is apparent from this record that neither plaintiffs nor defendants acted with expediency in moving this case forward. We have noted, repeatedly, that “[l]itigation cannot be conducted efficiently if deadlines are not taken seriously . . . [and] that disregard of deadlines should not and will not be tolerated” (*Andrea v Arnone, Hedin, Casker, Kennedy & Drake, Architects & Landscape Architects, P.C. [Habiterria Assoc.]*, 5 NY3d 514, 521 [2005], citing *Miceli v State Farm Mut. Auto. Ins. Co.*, 3 NY3d 725 [2004]; *Brill v City of New York*, 2 NY3d 648 [2004]; *Kihl v Pfeffer*, 94 NY2d 118 [1999]). But where, as here, the case proceeds to the point where it is subject to dismissal, it should be the trial court, with notice to the parties, that should make the decision concerning the fate of the case, not the Clerk’s Office.

2. The Legislature enacted this amendment to remedy a “persistent problem within our courts regarding dismissal for neglect to prosecute,” noting that “[t]he intent of CPLR §205(a) has been misconstrued allowing for many cases to be dismissed” on the ground because the law had been “unclear with respect to what specifically constitute[d] a neglect to prosecute” (Assembly Mem in Support, Bill Jacket, L 2008, ch 156, at 6).

Therefore, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, and plaintiffs' complaint should be reinstated.

GRAFFEO, J. (dissenting). Although it may not be apparent from the majority writing, the issue before us is whether the courts below abused their discretion in declining to reinstate plaintiffs' claim after it was dismissed as a consequence of their undisputed failure to comply with a CPLR 3216 90-day demand to file a note of issue. Because I discern no abuse of discretion, I would affirm.

The majority reinstates plaintiffs' complaint based on their conclusion that the purported "ministerial" dismissal of the claim was erroneous because it was not preceded by a motion on notice—an argument that plaintiffs have not asserted at any stage of this proceeding. The majority therefore decides this case on an unpreserved issue that was never raised in the parties' submissions. The approach is also misguided because the fact that the prior dismissal was not preceded by such a motion could not have had any material effect on the rights of the parties. If Supreme Court had sua sponte initiated a motion on notice to dismiss plaintiffs' claim based on failure to comply with the 90-day demand as the majority suggests should have occurred, plaintiffs would still have had to meet the CPLR 3216 standard in order to avoid dismissal—the same standard Supreme Court applied to determine the motion to vacate the order of dismissal. Since plaintiffs failed to meet the statutory standard (a conclusion that the majority does not dispute), they are not entitled to reinstatement of their claim. Accordingly, I respectfully dissent.

I.

In 2003 and 2005, plaintiffs Juliette and Jean Philippe Cadichon commenced separate medical malpractice actions against two physicians and two hospitals arising from treatment Mrs. Cadichon received following the surgical removal of her gallbladder. A series of scheduling orders were issued directing discovery and imposing deadlines for plaintiffs to take certain actions, including the filing of a note of issue. The actions were consolidated in May 2006 and a compliance conference was conducted by Supreme Court in May 2007.

At that time, with significant discovery remaining outstanding, the parties agreed that the depositions of defendants

would be conducted by specified deadlines and that the note of issue would be filed by December 27, 2007. In particular, the stipulation directed (1) that the deposition of Dr. Thomas Facelle be completed on or before June 26, 2007; (2) that the deposition of Dr. Louis May be completed on or before July 10, 2007; (3) that the deposition of Good Samaritan Hospital be completed on or before August 21, 2007, with a direction that plaintiffs' counsel designate a witness to depose from that hospital 30 days prior to the deposition; and (4) that the deposition of Montefiore Medical Center be completed on or before August 21, 2007, again with the caveat that plaintiffs were to designate a witness from that hospital 30 days prior to the examination. Defendants also agreed to complete any independent medical examinations of plaintiff Juliette Cadichon prior to July 16, 2007. The stipulation was then "so ordered" by the court. This was the fifth scheduling order issued by the court.

In addition, Supreme Court sua sponte issued a separate **"DEMAND FOR SERVICE AND FILING OF NOTE OF ISSUE"** reiterating that plaintiffs were required to file a note of issue on or before December 27, 2007. The demand was accompanied by a warning advising plaintiffs: **"YOUR DEFAULT IN COMPLYING WITH THIS DEMAND WITHIN THE 90-DAY PERIOD WILL SERVE AS A BASIS FOR THE COURT, ON ITS OWN MOTION, TO DISMISS THE ACTION FOR UNREASONABLY NEGLECTING TO PROCEED."** Plaintiffs' attorney acknowledged receipt of the demand by signing the document in the presence of the court.

During the period between the issuance of the court's May 2007 order and the December 27, 2007 note of issue deadline, plaintiffs did not schedule or conduct the depositions of the physician defendants, nor did they identify the witnesses they sought to depose from the hospitals, a condition precedent to conducting those depositions. Hence, plaintiffs failed to file a note of issue by December 27, 2007 as required by the court's demand. Plaintiffs also did not undertake to contact the court during this time period, either to seek an extension or amendment of the scheduling order, to move to compel the depositions or to secure other assistance in relation to completion of discovery. Instead, plaintiffs' attorneys allowed the court's note of issue deadline to pass without

explanation and, as a consequence, plaintiffs' medical malpractice action was dismissed in December 2007.¹

In April 2008, plaintiffs' counsel moved to vacate the dismissal of the action, contending that plaintiffs should not be held accountable for failing to timely file a note of issue because defendants had delayed the completion of discovery. Plaintiffs' attorneys argued that they had no obligation to present a justifiable excuse for the default or offer an affidavit establishing the merit of their claim as required by CPLR 3216 because they asserted that defendants had stymied any efforts to complete discovery by failing to appear for their depositions.

All of the defendants opposed the motion and cross-moved for the issuance of a judgment memorializing dismissal of the claim. They denied having obstructed the completion of discovery and maintained that plaintiffs' attorneys had made no attempt to schedule defendants' depositions within the deadlines established in the scheduling order.

In response, an attorney from plaintiffs' law firm submitted an affirmation averring that he tried to schedule the deposition of Dr. Facelle by making "numerous" telephone calls to the deposition clerk at the doctor's law firm. Plaintiffs' attorney did not indicate that attempts were made to schedule the remaining depositions. Plaintiffs also submitted an affirmation of an unidentified physician who attested to the merit of plaintiffs' claims, at least with respect to some of the defendants. In surreply papers, defendants argued that plaintiffs' belated excuse for the delay was inadequate and they challenged the sufficiency of the affidavit of merit.

In an August 2008 order, Supreme Court denied plaintiffs' motion to vacate the dismissal of the action. The court noted that it had personally served plaintiffs' counsel with the demand directing the filing of a note of issue by December 27, 2007 and stating that lack of compliance with the demand would result in dismissal. Applying the CPLR 3216 standard, the court concluded that plaintiffs' proffered excuse for the default was

1. The majority presumes that the complaint was dismissed by a clerk without any participation from the court. But this assumption finds no support in the record. Because plaintiffs never argued that the court lacked the authority to sua sponte dismiss the complaint as a consequence of the default in filing a note of issue, the circumstances surrounding the so-called "ministerial" dismissal of the complaint were never developed. In fact, in plaintiffs' motion to vacate the dismissal, plaintiffs' attorneys represented that "the Court, on its own accord, disposed" of the case.

inadequate because counsel did not specify what steps he took to schedule the depositions of defendants, beyond placing a few telephone calls. “At no time did plaintiff[s] counsel] sen[d] a letter, make a motion to compel the deposition[s], make a motion to strike defendant’s answer[s] or simply make a motion to extend the time to file the note of issue.” Finally, the court concluded that the affidavit of merit was insufficient to sustain a claim against the two hospitals as it is silent as to any departures from the standard of care attributable to those defendants.²

On plaintiffs’ appeal, the Appellate Division affirmed, with two Justices dissenting (71 AD3d 520 [2010]). The majority concluded that Supreme Court had not abused its discretion in finding that plaintiffs failed to meet their CPLR 3216 burden of establishing a justifiable excuse for the failure to timely file a note of issue. The dissent would have reinstated the complaint, but not on the grounds relied on by the majority in this Court. Rather, the Appellate Division dissenters concluded that the discovery delays were attributable to defendants and that plaintiffs established both a justifiable excuse and a meritorious cause of action as required by CPLR 3216. Plaintiffs appeal as of right on the two-Justice dissent.

II.

I believe that the focus in this case should be on CPLR 3216, which governs dismissals arising from the neglect to timely prosecute an action. It provides:

“Where a party unreasonably neglects to proceed generally in an action or otherwise delays in the prosecution thereof against any party who may be liable to a separate judgment, or unreasonably fails to serve and file a note of issue, the court, on its own initiative or upon motion, may dismiss the party’s pleading on terms” (CPLR 3216 [a]).

We have characterized this statute as “extremely forgiving of . . . delay” because subdivision (b) precludes a court from terminating an action unless three preconditions are met: more

2. Plaintiffs moved for renewal and reargument but that motion was denied. Because plaintiffs’ appeal from the renewal/reargument order was dismissed by this Court, any reference to the facts asserted and legal arguments made in that motion have been stricken from the record and from plaintiffs’ briefs in this Court.

than one year must have elapsed since joinder of issue; the party must have been served with a written demand to serve and file a note of issue within 90 days;³ and the party must have failed to meet the deadline in the written demand (*see Baczkowski v Collins Constr. Co.*, 89 NY2d 499, 502-503 [1997]; *see also Di Simone v Good Samaritan Hosp.*, 100 NY2d 632 [2003]). Moreover, if a plaintiff meets the deadline, all prior delay in prosecution is forgiven (*see generally* CPLR 3216 [c]). On the other hand,

“[i]n the event that the party upon whom is served the demand specified in subdivision (b)(3) of this rule fails to serve and file a note of issue within such ninety day period, the court may take such initiative or grant such motion unless the said party shows justifiable excuse for the delay and a good and meritorious cause of action” (CPLR 3216 [e]).

Although the majority fails to address the plain language of the statute, it is important to note that CPLR 3216 (a) expressly grants a trial court the authority to either sua sponte dismiss the claim or await a motion to dismiss from a defendant (if plaintiff “unreasonably fails to serve and file a note of issue, the court, on its own initiative *or* upon motion, may dismiss the party’s pleading” [emphasis added]).

Regardless of whether a defendant moves to dismiss in the first instance or the court initiates the dismissal, prompting a motion to vacate, the statutory standard for resolving the application is the same—to avoid dismissal or secure reinstatement of the litigation a plaintiff must show a justifiable excuse for the delay and a meritorious claim. For this reason, although the majority concludes otherwise, it is irrelevant that the court initially sua sponte dismissed the complaint rather than waiting for one of the defendants to make a motion to dismiss on notice. The parties addressed the same issues—raising the same factual and legal arguments—in the motion to vacate the dismissal as would have been raised in a motion to dismiss. In reinstating the complaint on a procedural basis not advanced by plaintiffs, the majority fails to explain why it ignores the substantial motion practice in Supreme Court in which the parties litigated

3. The statute directs that the 90-day demand may be served by “[t]he court or party seeking such relief,” as long as the demand warns that the failure to timely file the note of issue pursuant to the demand may serve as a basis to dismiss the action (CPLR 3216 [b] [3]). That requirement was met here.

whether plaintiffs met the CPLR 3216 standard for excusing their default. I can only assume that the majority has charted this course instead of addressing the CPLR 3216 arguments actually raised by the parties because plaintiffs in fact failed to meet the statutory standard, as both Supreme Court and the Appellate Division concluded.

That conclusion is supported by our precedent. We have considered the propriety of CPLR 3216 dismissals on at least two occasions, in *Baczkowski* and *Di Simone*. In the former, it was defendant that filed the 90-day demand for the filing of a note of issue (not the court, as occurred in this case). In response to defendant's subsequent motion to dismiss made after plaintiff missed the deadline, the plaintiff proffered two excuses for the delay: that "uncertainty over pending third-party discovery excused the delay" and that a secretary from the law firm representing plaintiff had attempted to file a note of issue after the deadline passed but was not permitted to do so (89 NY2d at 504). We determined that both were inadequate because plaintiff failed to demonstrate an appropriate and timely effort to comply with the 90-day demand. We were troubled by the fact that plaintiff not only defaulted on the obligation to file the note of issue but had also neglected to "take any other step indicating an intention to resume prosecution of the action, such as moving to vacate the 90-day demand or seeking an extension of time within which to file a note of issue" (*id.* at 503-504). We therefore held that Supreme Court had abused its discretion in denying defendant's motion to dismiss but the Appellate Division had rectified that error by reversing Supreme Court's order and dismissing plaintiff's claim. In contrast, in *Di Simone*, because plaintiff had established a meritorious claim and demonstrated that the failure to comply with a 90-day demand was excusable as it was a consequence of her attorney's disbarment and the resulting lapse of representation during the relevant time period, we held that the Appellate Division abused its discretion in dismissing the cause of action.

Our analysis in prior CPLR 3216 cases is consistent with the approach this Court has repeatedly taken over the past decade in comparable circumstances. Until today, in decision after decision, we have held that dilatory actions by attorneys that unjustifiably delay the course of litigation—including delays in conducting discovery, delays in filing summary judgment motions or delays in proceeding to trial through the filing of a note

of issue—cannot be overlooked (*see e.g. Gibbs v St. Barnabas Hosp.*, 16 NY3d 74 [2010]; *Miceli v State Farm Mut. Auto. Ins. Co.*, 3 NY3d 725 [2004]; *Brill v City of New York*, 2 NY3d 648 [2004]; *Kihl v Pfeffer*, 94 NY2d 118 [1999]).⁴ In an effort to encourage fairness and appropriate professional practice standards, we have emphasized that

“our court system is dependent on all parties engaged in litigation abiding by the rules of proper practice . . . The failure to comply with deadlines not only impairs the efficient functioning of the courts and the adjudication of claims, but it places jurists unnecessarily in the position of having to order enforcement remedies to respond to the delinquent conduct of members of the bar, often to the detriment of the litigants they represent. Chronic noncompliance with deadlines breeds disrespect for the dictates of the Civil Practice Law and Rules and a culture in which cases can linger for years without resolution . . . For these reasons, it is important to adhere to the position we declared a decade ago that if the credibility of court orders and the integrity of our judicial system are to be maintained, a litigant cannot ignore court orders with impunity” (*Gibbs*, 16 NY3d at 81 [internal quotation marks, brackets and citations omitted]).

In applying the rules set by the Legislature in the CPLR, we have never suggested that we do not appreciate the difficulties and practice pressures experienced by members of the trial bar. Certainly, the time and effort needed to identify and secure appropriate expert witnesses, along with other relevant evidence, prior to conducting depositions or complying with other discovery demands may, in some circumstances, result in

4. In *Gibbs* (16 NY3d 74 [2010]), where plaintiff’s counsel violated a conditional preclusion order by failing to supply a bill of particulars and did not establish good cause for the delay and a meritorious claim, we held that the trial court abused its discretion in failing to order preclusion. In *Miceli* (3 NY3d 725 [2004]), where the moving party’s attorney failed to file a summary judgment motion within 120 days of the filing of a note of issue and did not demonstrate good cause for the delay, Supreme Court erred in granting summary judgment to the movant (*see also Brill*, 2 NY3d 648 [2004] [same; clarifying that good cause means a reasonable excuse for the delay in making the motion]). And in *Kihl* (94 NY2d 118 [1999]), where the law firm representing plaintiff failed to adequately respond to discovery demands, disregarding a time limit in a conditional dismissal order, we held that the trial court properly granted defendant’s motion to dismiss the complaint.

considerable delays, even when there have been diligent attempts to comply with discovery orders. But based on our precedent it is evident that, rather than merely ignoring court-ordered deadlines, the proper recourse—both to fulfill the professional obligations owed the client and in respect for the courts—is to timely ask for an extension from one’s adversary, move to compel discovery from a recalcitrant party, request a preclusion order or otherwise seek judicial assistance in resolving discovery disputes. In light of the various informal and statutory options available to counsel to address legitimate delays, extensive periods of inactivity that result in the violation of court orders should not be lightly condoned, particularly where trial judges have made repeated attempts to spur the parties to complete discovery as occurred here.

After all, litigation is an uncertain business for both plaintiffs and defendants and neither side benefits when disputes are unnecessarily protracted. Plaintiffs are entitled to prompt resolution of their claims—they have a legitimate need to know whether they have a viable cause of action and, if so, to secure adequate compensation for their injuries within reasonable time constraints. This is especially true in cases that involve seriously injured plaintiffs who may be unable to work and may suffer physical and financial hardship while their lawsuits are pending. Similarly, defendants are anxious to learn whether they will be held responsible for the claims made against them and, if so, the extent of the judgment that will be imposed.

Litigants therefore desire and deserve a court system that administers justice in a fair, respectful and reasonably efficient manner. It is this policy that the Legislature has endeavored to advance by fashioning rules governing the progress of litigation, such as the procedure in CPLR 3216 for enforcement of a 90-day demand for filing of a note of issue. And, in my view, it is the role of the courts to ensure that all parties comply with the relevant statutory directives. Because I believe that these principles should inform the resolution of this case, I turn to the traditional analysis we have applied in CPLR 3216 dismissal cases.

III.

Under CPLR 3216, the issue for resolution is whether, as a matter of law, the courts below erred in concluding that plaintiffs failed to establish a justifiable excuse for the default in filing the note of issue. In their motion to vacate the

dismissal of the complaint, plaintiffs initially took the position that they had no obligation to offer either a reasonable explanation for their undisputed lack of compliance with the 90-day demand or to supply any materials establishing a bona fide claim. However, this assertion is inconsistent with CPLR 3216, which permits a court to dismiss the claim based on a failure to meet the note of issue deadline unless plaintiff meets the two-part test thereby excusing that default (*see* CPLR 3216 [e]). To be sure, even when a plaintiff proffers an inadequate excuse or insufficient affidavit of merit, the court continues to possess some discretion to decline to dismiss the claim. But the fact that a court is not compelled to terminate the action does not absolve a plaintiff of the need to address the statutory standards.

Here, read in their entirety, the papers submitted in support of plaintiffs' vacatur motion suggest two excuses for the delay: a claim that defendants thwarted plaintiffs' efforts to complete the depositions directed in the scheduling order and an allegation that plaintiffs' lawyers had adequately fulfilled their obligations in relation to the depositions since an unnamed clerk at the law firm representing Dr. Facelle had been telephoned several times in an effort to schedule the physician's deposition.⁵ Based on the record, I cannot say, as a matter of law, that the courts below erred in finding these excuses to be insufficient to justify vacatur of the dismissal.

No doubt, the court's May 2007 conference—resulting in the fifth scheduling order issued in relation to these medical malpractice claims—was intended to light a fire under all of the parties' representatives, both plaintiffs' counsel and the four law firms appearing for defendants. None of the parties involved in this case is deserving of praise—the record indicates that both sides were less than expeditious in responding to earlier discovery orders. But the court dismissed the claim based on plaintiffs' failure to file a note of issue within the time frame directed in the “so ordered” stipulation and demand. The stipulation mandated that the depositions be conducted “on or before” specified dates. Thus, the stipulation contained

5. As discussed by the Appellate Division dissenters, plaintiffs proffered a third excuse—law office failure—in their motion for renewal/reargument (*see* 71 AD3d at 523). I have not considered this belated argument because the renewal/reargument order is not before this Court for review and we have stricken all papers relating to that motion from the briefs and record on appeal.

deadlines—it did not actually set forth the time, place or location of any particular deposition.⁶ As the party that sought to conduct the depositions, the onus was necessarily on plaintiffs to arrange the dates certain for the examinations before trial, a process that entailed selecting a time and location, notifying the affected parties and securing the services of a stenographer. Plaintiffs’ attorneys could have set a date for the depositions by any one of several means: by letter, telephone call or pursuant to CPLR 3107, which permits a party to serve a notice “to take the deposition of any person upon oral examination” on 20 days notice “in writing, stating the time and place for taking the deposition.” If one of these procedures failed to secure results, they were required to try another—or seek further assistance from the court.

The only record evidence of any attempt made by plaintiffs’ counsel to actually schedule the depositions during the relevant time period were statements that one lawyer “placed numerous phone calls to the deposition clerk” at the law firm representing Dr. Facelle and was told that his calls would be returned. But Supreme Court did not abuse its discretion in concluding that these purported efforts were insufficient to justify plaintiffs’ failure to timely schedule and conduct Dr. Facelle’s deposition—much less the depositions of the remaining defendants, who were each separately represented. On this record, plaintiffs’ failure to complete discovery cannot fairly be attributed to defendants, who apparently waited for plaintiffs to take further measures consistent with the scheduling order. Even if plaintiffs’ conclusory claim that defendants thwarted their discovery efforts and failed to schedule plaintiffs’ medical examinations is credited, this would not warrant vacating plaintiffs’ default because the CPLR provided plaintiffs with other means for redress, including moving to compel disclosure pursuant to CPLR 3124 or moving to strike defendants’ answers pursuant to CPLR 3126 (3) or CPLR 2004.

Furthermore, plaintiffs’ action was not dismissed because they failed to conduct depositions—the dismissal was a

6. Although plaintiffs assert that defendants violated the scheduling order when they failed to produce their clients on the deadlines in the court order, the record indicates that plaintiffs did not set specific dates, times or locations for the oral examinations. Under the circumstances, defendants could not have been expected to appear with their clients (indeed, the hospital witnesses had not been identified)—nor do plaintiffs indicate that they were waiting at a designated place with a stenographer on any particular day or time, ready, willing and able to conduct the depositions.

consequence of plaintiffs' default in filing a note of issue. Again, if plaintiffs could not meet the deadline set by the court, they should have taken appropriate steps prior to the due date such as moving for permission to serve and file a conditional note of issue (noting the outstanding discovery) or moving for an extension of time to file the note of issue. Certainly, it's not unusual that, despite diligent efforts, an attorney is unable to comply with a court order or meet a statutory deadline. When this occurs, it is imperative that relief be sought from the court before the default occurs. Plaintiffs failed to do so in this case, providing ample basis in the record for the conclusion reached by the courts below that there was no adequate justification for allowing the note of issue deadline to pass without making reasonable efforts to comply with the court's mandate, especially given the history of this litigation in which the parties had permitted four prior scheduling orders to expire without undertaking discovery.

Because I discern no abuse of discretion in the determination of the courts below that plaintiffs failed to establish a justifiable excuse for noncompliance with the "so ordered" stipulation and court-issued demand, there would be no basis to disturb the order denying vacatur of the dismissal even if the affidavit of merit had been sufficient as to all party defendants. Therefore, a discussion of the second requirement of the CPLR 3216 standard is unnecessary to my analysis.

Finally, the Court is apparently unanimous in its conclusion that we may not entertain plaintiffs' argument that Supreme Court's order denying the motion to vacate was erroneous due to the court's failure to apply a new standard imposed in a July 2008 amendment to CPLR 205 (a)—a statute that addresses when a plaintiff may recommence an action that has been dismissed on a basis unrelated to the merits. The majority notes that this new provision is inapplicable to this case and I agree. Even crediting the assertion that the new CPLR 205 (a) language applies when there has been no attempt to recommence an action following dismissal (as is the case here), the amendment did not become effective until seven months after Supreme Court dismissed plaintiffs' claim. Moreover, the CPLR 205 (a) argument is not preserved for our review because it was not raised in the motion to vacate the dismissal.

None of us likes to see a case dismissed as a result of a procedural default—we all would prefer to have personal injury actions resolved on the merits. However, there are times when

the public policy favoring the resolution of tort claims on the merits must yield to equally important though countervailing concerns—such as the proper enforcement of statutory mandates and court orders. In my view, this is such a case. By consistently applying CPLR mandates, courts encourage a culture of compliance regarding the rules of procedure and an appropriate respect for the integrity of the judicial system—a result that inures to the greater good of all who participate in the litigation process. Because the court steps away from the important policy considerations embodied in the governing statute—CPLR 3216—I feel compelled to dissent.

Chief Judge LIPPMAN and Judges CIPARICK and JONES concur with Judge PIGOTT; Judge GRAFFEO dissents and votes to affirm in a separate opinion in which Judges READ and SMITH concur.

Order, insofar as appealed from, reversed, etc.

[961 NE2d 1111, 938 NYS2d 500]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOSEPH
HIGHTOWER, Appellant.

Argued November 14, 2011; decided December 13, 2011

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the First Judicial Department, entered July 19, 2010. The Appellate Term affirmed a judgment of the Criminal Court of the City of New York, New York County (Shlomo S. Hagler, J.), which had convicted defendant, upon his plea of guilty, of petit larceny.

People v Hightower, 28 Misc 3d 131(A), 2010 NY Slip Op 51269(U), reversed.

HEADNOTES

Crimes — Information — Challenge to Sufficiency

1. Defendant, who had waived his right to be prosecuted by a misdemeanor information, could nevertheless challenge the validity of the accusatory instrument on jurisdictional grounds because a valid and sufficient accusatory instrument is a nonwaivable jurisdictional prerequisite to a criminal prosecution.

Crimes — Information — Jurisdictional Validity

2. In evaluating the jurisdictional validity of an accusatory instrument, the distinction between jurisdictional and nonjurisdictional defects is between defects implicating the integrity of the process and less fundamental flaws, such as evidentiary or technical matters. A violation of the requirement that the factual portion of a misdemeanor information must provide reasonable cause to believe that defendant committed the offense charged in the accusatory part of the instrument falls into the first category.

Crimes — Larceny — Improper Use of Unlimited Access Subway Pass

3. A petit larceny charge in an accusatory instrument alleging that defendant, in exchange for money, swiped an unlimited-ride pass card thereby allowing an unidentified person to pass through a subway turnstile was jurisdictionally defective. Although the misdemeanor information described defendant's acts with enough clarity to provide reasonable cause to believe that defendant engaged in the unlawful sale of transportation authority services and provided unlawful access to those services, there was no basis upon which the petit larceny charge in the accusatory instrument could be upheld. To be guilty of larceny, a person must, with intent to deprive, wrongfully take, obtain or withhold property, i.e., any thing of value, from an owner thereof, i.e., someone with a right of possession superior to that of the taker, obtainer or withholder. The transportation authority was not deprived of the money that defendant accepted from the actual rider because it never owned those funds.

The money in question could have been due and owing to the authority, but the authority never acquired a sufficient interest in the money to become an “owner” thereof within the meaning of Penal Law § 155.00 (5).

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Indictments and Informations §§ 13, 16, 18, 85, 93–95, 146; AM JUR 2d, Larceny §§ 44, 46, 66, 109, 118–120.

CARMODY-WAIT 2d, Commencing the Prosecution; Grand Jury §§ 178:7, 178:18, 178:71.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 19.3.

McKINNEY’S, Penal Law § 155.00 (5).

NY JUR 2d, Criminal Law: Procedure §§ 947, 956, 985; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 907, 914, 927.

ANNOTATION REFERENCE

See ALR Index under Indictments and Informations; Larceny or Theft; Subways; Title and Ownership.

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POINTS OF COUNSEL

Legal Aid Society, New York City (*Adrienne Hale* and *Steven Banks* of counsel), for appellant. The accusatory instrument was jurisdictionally defective, as its allegations—that appellant used an unlimited MetroCard to swipe a person into the subway system in exchange for money—failed to provide reasonable cause to believe that appellant committed the crime of petit larceny, because there was no taking of “property” from an “owner” thereof as proscribed by the larceny statutes. (*People v Dreyden*, 15 NY3d 100; *People v Kalin*, 12 NY3d 225; *People v Dumas*, 68 NY2d 729; *People v Maldonado*, 86 NY2d 631; *People v Jones*, 9 NY3d 259; *People v Alejandro*, 70 NY2d 133; *People v Hall*, 48 NY2d 927; *People v Case*, 42 NY2d 98; *People v Scott*, 3 NY2d 148; *People v Zinke*, 76 NY2d 8.)

Cyrus R. Vance, Jr., District Attorney, New York City (*John B.F. Martin* and *Patricia Curran* of counsel), for respondent. The misdemeanor complaint set forth reasonable cause to believe that defendant committed the crime of petit larceny. In

any event, defendant waived his appellate challenge to the sufficiency of the complaint by pleading guilty and, thus, has forfeited his right to appellate review. (*People v Kalin*, 12 NY3d 225; *People v Alejandro*, 70 NY2d 133; *People v Weinberg*, 34 NY2d 429; *People v Connor*, 63 NY2d 11; *People v Dreyden*, 15 NY3d 100; *People v Fernandez*, 67 NY2d 686; *People v Konieczny*, 2 NY3d 569; *People v Keizer*, 100 NY2d 114; *People v Hansen*, 95 NY2d 227; *People v McDermott*, 69 NY2d 889.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

This appeal presents the interesting issue of whether defendant's swipe of an unlimited MetroCard in return for a fee, although decidedly criminal in nature, constituted larceny. We hold that it did not.

The question before the Court, as to the consequences of unauthorized uses of an otherwise valid MetroCard, is not academic. Last year, subway ridership in New York City topped 1.6 billion, making the City's system, consisting of 468 stations, the fourth busiest in the world. Since its introduction in 1998, the unlimited MetroCard has become a popular option among riders, with the 30-day unlimited card alone accounting for nearly one third of the 29 million weekly swipes (*see* Albert Sun, *How MetroCard Swipes Reveal a Changing City*, Wall St J, <http://blogs.wsj.com/metropolis/2011/10/20/how-metrocard-swipes-reveal-a-changing-city> [Oct. 20, 2011]).

On February 15, 2009, a police officer observed defendant swiping an unlimited MetroCard through a turnstile in a Midtown Manhattan New York City Transit Authority (NYCTA or the Authority)¹ subway station, but instead of proceeding to the platform himself, allowing another person to gain access to the subway platform, and accepting an unknown amount of money in exchange. As a result of this transaction, defendant was convicted of petit larceny.

There are several types of MetroCards, including pay-per-ride cards and unlimited cards. An unlimited MetroCard is a fare card that grants unlimited access to subways and buses within the NYCTA system for a set price and it remains valid for a specified period of time (e.g., 30 days or seven days), with the restriction that a user must wait 18 minutes between swipes at the same station or on the same bus route.

1. The NYCTA is also known as the MTA New York City Transit.

Unlimited MetroCards are transferable, but the person lending or giving the card away is not permitted to accept money in exchange.² A MetroCard can be swiped through an electronic reader in a subway station in order to determine the amount of money left on the card (in the case of a pay-per-ride card) or the expiration date (in the case of an unlimited card).

A misdemeanor information was issued and it described the events giving rise to the charges, including the officer deponent's observations at the time of the incident:

“[D]eponent observed the defendant receive money from one individual in exchange for which deponent observed the defendant immediately thereafter swipe an unlimited ride MetroCard through the turnstile in order to allow said individual to enter the subway station beyond the turnstiles without permission or authority to do so . . .

“[D]efendant did not enter the subway station beyond the turnstiles . . . [D]eponent recovered said unlimited ride MetroCard from defendant . . . [and] determined this card was an unlimited ride MetroCard by swiping it through a[n] [NYCTA] MetroCard reader.”

[1] Defendant was charged with one count of petit larceny (pursuant to Penal Law § 155.25), one count of unauthorized sale of certain transportation services (pursuant to Penal Law § 165.16 [1]),³ and one count of illegal access to Transit

2. It is illegal for a person who is not authorized by the NYCTA to sell access to its services to do so (*see* Penal Law § 165.16 [1]; 21 NYCRR 1050.4).

3. “A person is guilty of unauthorized sale of certain transportation services when, with intent to avoid payment by another person to the metropolitan transportation authority, New York city transit authority or a subsidiary or affiliate of either such authority of the lawful charge for transportation services on a railroad, subway, bus or mass transit service operated by either such authority or a subsidiary or affiliate thereof, he or she, in exchange for value, sells access to such transportation services to such person, without authorization, through the use of an unlimited farecard or doctored farecard. This section shall apply only to such sales that occur in a transportation facility, as such term is defined in subdivision two of section 240.00 of this chapter, operated by such metropolitan transportation authority, New York city transit authority or subsidiary or affiliate of such authority, when public notice of the prohibitions of its section

(*n. cont'd*)

Authority services (pursuant to 21 NYCRR 1050.4).⁴ Defendant entered a plea of guilty to petit larceny in satisfaction of all of the charges and was convicted of that crime.⁵ The Appellate Term affirmed the judgment of conviction (28 Misc 3d 131[A], 2010 NY Slip Op 51269[U] [App Term, 1st Dept 2010]). A Judge of this Court granted defendant leave to appeal (15 NY3d 953 [2010]). We now reverse and, since defendant has already served his sentence, dismiss the accusatory instrument.

The factual portion of a misdemeanor information charging multiple counts shall “consist of a single factual account applicable to all the counts of the accusatory part” and

“[t]he factual allegations may be based either upon personal knowledge of the complainant or upon information and belief . . . [and] in order for an information or a count thereof to be sufficient on its face, every element of the offense charged and the defendant’s commission thereof must be supported by non-hearsay allegations of such information and/or any supporting depositions” (CPL 100.15 [3]).

“A misdemeanor complaint or a felony complaint, or a count thereof, is sufficient on its face when . . .

“[i]t substantially conforms to the requirements prescribed in section 100.15; and

and the exemptions thereto appears on the face of the farecard or is conspicuously posted in transportation facilities operated by such metropolitan transportation authority, New York city transit authority or such subsidiary or affiliate of such authority” (Penal Law § 165.16 [1]).

4. 21 NYCRR 1050.4 (c) provides that,

“[e]xcept for employees of the authority acting within the scope of their employment or other expressly authorized agents of the authority, no person shall sell, provide, copy, reproduce or produce, or create any version of any fare media or otherwise authorize access to or use of the facilities, conveyances or services of the authority without the written permission of a representative of the authority duly authorized by the authority to grant such right to others.”

5. [1] Although defendant waived his right to be prosecuted by a misdemeanor information, he may nevertheless challenge the validity of the accusatory instrument on jurisdictional grounds because “[a] valid and sufficient accusatory instrument is a *nonwaivable jurisdictional prerequisite* to a criminal prosecution” (*People v Case*, 42 NY2d 98, 99 [1977] [emphasis added]).

“[t]he allegations of the factual part of such accusatory instrument and/or any supporting depositions which may accompany it, provide reasonable cause to believe that the defendant committed the offense charged in the accusatory part of such instrument” (CPL 100.40 [4] [a], [b]).

A person is guilty of larceny when, “with intent to deprive another of property or to appropriate the same to himself or to a third person, he wrongfully takes, obtains or withholds such property from an owner thereof” (Penal Law § 155.05 [1]) and “[a] person is guilty of petit larceny when he steals property” (Penal Law § 155.25). Property is “any money, personal property, real property, computer data, computer program, thing in action, evidence of debt or contract, or any article, substance or thing of value, including any gas, steam, water or electricity, which is provided for a charge or compensation” and an owner is “any person who has a right to possession thereof superior to that of the taker, obtainer or withholder” (Penal Law § 155.00 [1], [5]).

[2] As is relevant to the facts of the instant case, the misdemeanor information must provide reasonable cause to believe that when defendant, in exchange for money, swiped an unlimited MetroCard thereby allowing an unidentified person to pass through a subway turnstile, he took property belonging to the NYCTA. In *People v Dreyden* (15 NY3d 100, 103 [2010]), we recognized two broad categories of defects to be used as guideposts in determining whether an accusatory instrument is jurisdictionally flawed: “[t]he distinction between jurisdictional and nonjurisdictional defects ‘is between defects implicating the integrity of the process . . . and less fundamental flaws, such as evidentiary or technical matters’ ” (quoting *People v Hansen*, 95 NY2d 227, 231 [2000]) and we find that the violation of the reasonable cause requirement (as set forth in CPL 100.40 [4] [b]) here falls into the first category.

[3] In order for the reasonable cause standard to be met, the factual portion of the accusatory instrument must describe conduct that constitutes the crime charged. Although the information in this case described the events with enough clarity to provide reasonable cause that defendant was engaged in the unlawful sale of NYCTA services and providing unlawful access to NYCTA services, we hold that it was jurisdictionally defective as to the crime of which defendant was actually convicted—petit larceny.

The Authority was not deprived of the unknown amount of money⁶ that defendant accepted from the subway rider because it never owned those funds. In *People v Nappo* (94 NY2d 564 [2000]), we held that the State was not the “owner” of uncollected taxes within the meaning of the statutory definition of the term because “taxes due were not the property of the State prior to their remittance” (*id.* at 566). Here, the unknown amount of money paid to defendant could have been due and owing to the NYCTA, but as was the case in *Nappo*, the NYCTA never acquired a sufficient interest in the money to become an “owner” within the meaning of Penal Law § 155.00 (5). In *Nappo*, we recognized that once a trustee has collected the funds, then they can be said to be the property of the ultimate recipient: “the State may be deemed the ‘owner’ of ‘collected’ but unremitted sales taxes” (*id.* at 567). Here, as in *Nappo*, “defendant[] w[as] not in possession, by trust or otherwise, of monies owned by the [NYCTA]” (*id.*).

The People argue that defendant deprived the NYCTA of a portion of its business and therefore he is guilty of petit larceny. We have held that taking away a portion of a person or entity’s business through extortion constitutes larceny (*see People v Spatarella*, 34 NY2d 157, 162 [1974]). However, we decline to extend that reasoning to these facts because here we must assume that the NYCTA voluntarily transferred this valid Metro-Card in a manner consistent with its ordinary course of business by selling the card and receiving the price it set. By contrast, in *Spatarella*, the victim was compelled to give up a business customer (who, unlike the uncollected taxes in *Nappo*, was already within his “control” and “possession”) to one of the defendants when that defendant threatened the victim with physical injury.

Accordingly, there is no basis upon which the petit larceny charge in the accusatory instrument can be upheld. Defendant was not prosecuted under the general theft of services statute (Penal Law § 165.15 [3]), a class A misdemeanor, and we do not address its applicability to the facts of this case (*see* Penal Law § 20.10).

The order of the Appellate Term should be reversed and the accusatory instrument dismissed.

6. The record does not indicate the amount of money paid to defendant.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES
concur.

Order reversed, etc.

[961 NE2d 645, 938 NYS2d 254]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JAY JO-
MAR BRADSHAW, Respondent.

Argued November 16, 2011; decided December 13, 2011

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered August 10, 2010. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Kings County (Cassandra M. Mullen, J.), which had convicted defendant, upon his plea of guilty, of rape in the first degree; (2) vacated defendant's plea; (3) suppressed certain identification testimony; and (4) remitted the matter to Supreme Court, Kings County, for further proceedings.

People v Bradshaw, 76 AD3d 566, affirmed.

HEADNOTES

Crimes — Appeal — Waiver of Right to Appeal

1. The record did not sufficiently demonstrate that defendant, who had a history of mental illness and signed a written waiver of the right to appeal in connection with his guilty plea, validly waived his right to appeal because Supreme Court failed to ensure that defendant grasped the minimal information pertaining to the appeal waiver it provided during the plea colloquy. When asked by Supreme Court during his plea allocution whether he understood that he was waiving his right to appeal, defendant answered by simply asking about the mandatory fees associated with his guilty plea. Supreme Court neither confirmed whether defendant comprehended its terse explanation of the nature of the appeal waiver nor mentioned that defendant possessed an inherent right to appeal a judgment of conviction and sentence. Right before it adjourned the case for sentencing, Supreme Court simply asked whether the written waiver of the right to appeal had been signed, and did not inquire of defendant whether he understood the written waiver or whether he had even read the waiver before signing it. Supreme Court should have assured itself that defendant adequately understood the right that he was forgoing, and the absence of such inquiry was particularly troubling given defendant's background and history of mental illness, including defendant's submission to four CPL article 730 examinations ordered by Supreme Court in the nearly four years between defendant's indictment and his guilty plea. Those circumstances, combined with the knowledge that defendant was a first-time felony offender who had been ordered to submit to article 730 examinations in two other counties, should have alerted Supreme Court not only to give defendant a thorough explanation of the appeal waiver but also to make sure that defendant fully grasped the nature of this fundamental right that he was forgoing.

Crimes — Arrest — Probable Cause

2. In a prosecution for rape and related crimes, Supreme Court should have suppressed testimony concerning complainant's identification of defendant in

a lineup since the People did not meet their burden in establishing probable cause for defendant's arrest.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 600–602, 605, 606, 624, 672.
CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:11–
182:13, 182:27, 182:28, 182:31, 182:60.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.4,
21.6.
NY JUR 2d, Criminal Law: Procedure §§ 1486, 1506, 1513,
1527.

ANNOTATION REFERENCE

Validity and effect of criminal defendant's express waiver of right to appeal as part of negotiated plea agreement. 89 ALR3d 864.

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POINTS OF COUNSEL

Charles J. Hynes, District Attorney, Brooklyn (Maria Park and Leonard Joblove of counsel), for appellant. I. Defendant's waiver of his right to appeal was valid. (*People v Seaberg*, 74 NY2d 1; *People v Hidalgo*, 91 NY2d 733; *People v Moissett*, 76 NY2d 909; *People v Lopez*, 6 NY3d 248; *People v Prescott*, 66 NY2d 216, 475 US 1150; *People v Kemp*, 94 NY2d 831; *People v Williams*, 36 NY2d 829, 423 US 873; *People v Johnson*, 14 NY3d 483; *People v Ramos*, 7 NY3d 737; *People v Callahan*, 80 NY2d 273.) II. The court was not required to assign a new attorney to defendant in connection with his motion to withdraw the guilty plea. (*Strickland v Washington*, 466 US 668; *People v Caban*, 5 NY3d 143; *People v Friedman*, 39 NY2d 463.)

Appellate Advocates, New York City (Erica Horwitz and Lynn W.L. Fahey of counsel), for respondent. I. The Appellate Division correctly held, based on this Court's settled law, that Mr. Jay Bradshaw's waiver of the right to appeal was not knowing, intelligent and voluntary. (*People v Lopez*, 6 NY3d 248; *People v Seaberg*, 74 NY2d 1; *Johnson v Zerbst*, 304 US 458; *Barker v Wingo*, 407 US 514; *People v Harris*, 61 NY2d 9; *People v*

Thomas, 53 NY2d 338; *Carnley v Cochran*, 369 US 506; *People v Muniz*, 91 NY2d 570; *People v Williams*, 36 NY2d 829; *People v Callahan*, 80 NY2d 273.) II. This Court lacks jurisdiction to review the ineffectiveness of counsel claim never determined by the Appellate Division.

OPINION OF THE COURT

CIPARICK, J.

In *People v Lopez* (6 NY3d 248 [2006]), we emphasized, once again, that “[a] waiver of the right to appeal is effective only so long as the record demonstrates that it was made knowingly, intelligently and voluntarily” (6 NY3d at 256). Applying this standard here, we hold that the record fails to establish that defendant validly waived his right to appeal.

I.

A Kings County grand jury indicted defendant for rape in the first degree and other related charges for an incident that allegedly occurred in the early morning hours of May 11, 2004 near an apartment complex in Brooklyn. In late June 2004, Supreme Court arraigned defendant on the charges and ordered that he submit to an examination pursuant to article 730 of the Criminal Procedure Law to determine whether he was an “incapacitated person.”¹

Both a psychiatrist and a psychologist separately evaluated defendant in early August 2004 and they each concluded that defendant was unfit to proceed with his case. The psychiatrist specifically noted that defendant “exhibit[ed] signs of regression” and was “clearly incapable presently of assistance in his defense and stands in need of further inpatient psychiatric care.” The psychiatrist also commented that despite the seriousness of the charges lodged against defendant, he appeared, at times “quite nonplussed by his predicament.” Similarly, the psychologist observed that although she believed that defendant understood more than he acknowledged, defendant could articulate “only a sketchy and inaccurate understanding of the legal process.”

On September 9, 2004, Supreme Court signed an order, on motion of defense counsel, adjudicating defendant an

1. “‘Incapacitated person’ means a defendant who as a result of mental disease or defect lacks capacity to understand the proceedings against him or to assist in his own defense” (CPL 730.10 [1]).

incapacitated person and committing him to the custody of the Commissioner of Mental Health. Following his commitment at the Mid-Hudson Forensic Psychiatric Center (Mid-Hudson), defendant was diagnosed with “Adjustment Disorder with Anxiety and depressed mood.” Over the next several months, he received extensive treatment, which included medication, individual sessions with his psychiatrists and group therapy. In a report dated March 3, 2005, defendant’s psychiatrists determined that he was now competent to return to court, finding improvement in defendant’s cognitive function.

Defendant’s ability to proceed with his case, however, proved short-lived. In August 2005, at Supreme Court’s directive, defendant submitted to a second article 730 examination and was again found unfit to proceed. The same psychiatrist who assessed defendant during the initial article 730 examination opined that “defendant is again, or still, regressed” and seemed “inaccessible” to basic reason. He further remarked that defendant’s responses were “of childish quality.” Accordingly, in September 2005, Supreme Court signed a second order adjudicating defendant an incapacitated person.

While defendant’s treating psychiatrists at Mid-Hudson found him fit to proceed within a month of Supreme Court’s commitment order, defendant’s case did not move forward in a customary fashion. From December 2005 through February 2006, defendant, who was in custody, missed five scheduled court appearances. Defense counsel explained that defendant had been adjudicated an incapacitated person on a felony matter pending in Queens County and had been committed to the same facility where defendant had been treated in connection with this case.²

Defendant finally returned to court in April 2006. Although his case had been adjourned for possible disposition over the course of that month and into May, Supreme Court ordered a third article 730 examination of defendant on May 30, 2006. A different psychiatrist and psychologist examined defendant and while they determined he was fit to proceed, the psychologist stressed that defendant was “in need of a good deal of support by defense counsel, in order to explain the complexity of this case and how it relates to outcomes or plea offers in the other two cases.”

2. On a subsequent court date in May 2006, Supreme Court was also informed that defendant had a case pending in Bronx County and an article 730 examination had been ordered there as well.

From August to November 2006, defendant appeared in court on four occasions. Throughout this period, the parties advised Supreme Court that the trial courts in the Bronx and in Queens had decided to hold hearings in order to determine defendant's fitness to proceed with his cases pending in those counties. When defendant returned to court on December 11, 2006 on the instant matter, the hearings in Bronx and Queens Counties had not been completed. In any event, Supreme Court ordered defendant to submit to a fourth article 730 examination on that day.

Following defendant's February 2007 examination, he was found fit to proceed. The psychologist who evaluated defendant at this time did comment, however, that while defendant was "able to discuss [his cases] and consider his options . . . effective and consistent psychiatric treatment is paramount in maintaining [his] stability and competence." On February 26, 2007, defendant initially contested the results of this examination and requested a hearing on the matter. Approximately three weeks later, defendant withdrew his request for a hearing and Supreme Court confirmed the results.

In the 12 months that ensued, the parties conducted plea negotiations and apprised the court on the status of defendant's other open cases. Finally, on February 5, 2008, Supreme Court presided over a suppression hearing to determine the admissibility of certain identification testimony. After the hearing, the court denied defendant's suppression motion, concluding that the People could introduce complainant's identification of defendant in a lineup at trial.

The next day, defendant pleaded guilty to first-degree rape in exchange for a promised determinate sentence of nine years imprisonment followed by five years postrelease supervision. The record reveals that Supreme Court only made fleeting references to defendant's appeal waiver. At the outset of the proceeding, the court enumerated the conditions of the guilty plea, including defendant's waiver of his right to appeal. The court briefly outlined that an appeal waiver "means, the conviction here is final, that there is not a higher court you can take [the case] to." When Supreme Court inquired whether defendant understood, defendant only asked the court to clarify its explanation of the mandatory fees associated with his guilty plea. Supreme Court neither confirmed whether defendant comprehended its terse explanation of the nature of the appeal waiver nor did it mention that defendant possessed an inherent right to appeal a judgment of conviction and sentence.

After Supreme Court ascertained that defendant spoke English, it addressed defendant's previous confinement for "mental illness" and questioned whether defendant felt "well today, psychologically." Defendant responded, "Yes." The court also received assurance from defendant that he had not ingested any alcohol or controlled substances impairing his ability to understand these proceedings. The court further explained the rights associated with a jury trial and that defendant's decision to plead guilty would extinguish this right. Defendant acknowledged that he understood this right that he was forgoing.³

Next, the court inquired, "other than what I have already promised you, which is the nine years[imprisonment], five years postrelease supervision, waiver of [the] right to appeal, and \$270 in fees and fines, has anybody else made any other promise to you in order to get you to plead guilty?" Defendant said, "No" and further stated he had not been threatened or coerced into pleading guilty. Once defendant allocuted to the first-degree rape charge, the court accepted the plea. Right before it adjourned the case for sentencing, Supreme Court simply asked whether the written waiver of the right to appeal had been signed. Defense counsel affirmed that the form had been executed by defendant in his presence and handed it to the court. The court did not inquire of defendant whether he understood the written waiver or whether he had even read the waiver before signing it.

The written waiver in this case consists of three sections. The first section, signed by defendant, indicates, in part, that "I execute this waiver after being advised by the court and my attorney of the nature of the rights I am giving up." The form further states that "I have been advised of my right to take an appeal [and] to prosecute the appeal as a poor person." The second section, signed by defense counsel, says, in part, that "I represent that prior to the signing of the foregoing waiver, the above-named defendant was fully advised of the rights of a convicted person to take an appeal" in New York. The third section, signed by Supreme Court, states, "[h]aving examined the defendant in open court and on the record, it is the Court's opinion that the defendant has knowingly and freely waived the right to appeal. Waiver is approved."

At sentencing, defendant sought to withdraw his guilty plea. He maintained that his attorney misinformed him about the

3. The court also advised defendant that his guilty plea may subject him to civil confinement pursuant to article 10 of the Mental Hygiene Law.

parameters of the plea and he had actually been promised a “MICA [Mentally Ill/Chemically Addicted] therapeutic program.” Supreme Court denied defendant’s request to withdraw his guilty plea and sentenced defendant, a first-time felony offender, as promised. In addition, the court imposed a supplemental sex offender fee.⁴

The Appellate Division, with two Justices dissenting, reversed the judgment of conviction and sentence. The court held that defendant’s appeal waiver was unenforceable “because . . . Supreme Court provided virtually no explanation regarding the waiver and took no measures to ensure that he, a first-[time] felony offender with a history of mental illness, understood it and was validly waiving his right to appeal” (*People v Bradshaw*, 76 AD3d 566, 568 [2d Dept 2010]). While the majority acknowledged that, in certain instances, “a detailed written waiver can supplement a trial court’s on-the-record explanation of what a waiver of the right to appeal entails, and clarify possible ambiguities in that explanation,” it concluded, given Supreme Court’s “extremely perfunctory” discussion of the waiver, that this was not such a case (*id.* at 569). Having determined that defendant retained his right to appeal the denial of his suppression motion, the court further agreed with defendant that complainant’s lineup identification of defendant should have been suppressed since the “hearing record is inadequate to establish that his arrest was supported by probable cause” (*id.* at 570). Finally, the court noted that Supreme Court erred in imposing the supplemental sex offender fee “because the crime was committed prior to the effective date” of the statute providing for such fee (*id.* at 573).

The dissenting Justices would have modified the judgment of conviction and sentence to the extent that it was improper for Supreme Court to impose a supplemental sex offender fee, and, as so modified, would have affirmed (*see id.* at 581). The dissenters, relying on this Court’s holding in *People v Ramos* (7 NY3d 737 [2006]), concluded that Supreme Court’s colloquy with defendant during the plea proceeding, combined with the executed written waiver form, demonstrated that “defendant effectively waived his right to appeal,” foreclosing any “review of the denial of suppression of identification testimony” (*id.* at

4. At sentencing, defendant also requested to proceed pro se, expressing discontent with his attorney’s representation. Supreme Court sentenced defendant without addressing this issue.

579). Notwithstanding this position, the dissenters also opined that Supreme Court's denial of defendant's suppression motion was appropriate since the hearing record sufficiently established that defendant was in lawful custody at the time that complainant identified him in the lineup (*see id.* at 580-581).

A Justice of the Appellate Division granted the People leave to appeal (15 NY3d 896 [2010]) and we now affirm.

II.

It is well settled that plea bargaining is “a vital part of our criminal justice system” (*People v Seaberg*, 74 NY2d 1, 7 [1989]). “In addition to permitting a substantial conservation of prosecutorial and judicial resources, it provides a means where, by mutual concessions, the parties may obtain a prompt resolution of criminal proceedings with all the benefits that enure from final disposition” (*id.*). Of course, plea bargaining “necessarily includes the surrender of many guaranteed rights,” such as “the right to a jury trial or the privilege against self-incrimination” (*id.*). Citing the United States Supreme Court's decision in *Schick v United States* (195 US 65, 72 [1904]), we observed that absent a constitutional or statutory mandate or public policy considerations, “an accused may waive any right which he or she enjoys” (*id.*). In *Seaberg*, we recognized that in New York an accused's statutory right to an initial appeal (*see* CPL 450.10) is among the rights that may be relinquished (*see id.* at 7-8).

As noted earlier, “[a] waiver of the right to appeal is effective only so long as the record demonstrates that it was made knowingly, intelligently and voluntarily” (*People v Lopez*, 6 NY3d 248, 256 [2006]; *see also People v Calvi*, 89 NY2d 868, 871 [1996]; *People v Callahan*, 80 NY2d 273, 280 [1992]). An appellate waiver meets this standard when a defendant has “a full appreciation of the consequences” of such waiver (*Seaberg*, 74 NY2d at 11). To that end, a defendant must comprehend that an appeal waiver “is separate and distinct from those rights automatically forfeited upon a plea of guilty” (*Lopez*, 6 NY3d at 256).

It is the trial court's responsibility, “in the first instance,” to determine “whether a particular [appellate] waiver satisfies these requirements” (*Callahan*, 80 NY2d at 280). After all, the trial court “is in the best position to assess all of the relevant factors” (*id.*) “surrounding the waiver, including the nature and terms of the agreement and the age, experience and *background*

of the accused” (*Seaberg*, 74 NY2d at 11 [emphasis added]). In addition, “though a trial court need not engage in any particular litany” or catechism in satisfying itself that a defendant has entered a knowing, intelligent and voluntary appeal waiver, a trial court “must make certain that a defendant’s understanding” of the waiver, along with the other “terms and conditions of a plea agreement is evident on the face of the record” (*Lopez*, 6 NY3d at 256; see also *Callahan*, 80 NY2d at 283 [a valid appeal waiver “cannot be inferred from a silent record”]).

We applied these principles in *People v DeSimone*, a companion case decided in conjunction with our decision in *Callahan*. There, the record established that the defendant signed a written waiver of his right to appeal, although there was no mention of this waiver by the court during the plea proceeding (see *DeSimone*, 80 NY2d at 279). Consequently, we held that “the record simply [did] not afford a sufficient basis for concluding that [the] defendant’s waiver of his right to appeal was knowing, intelligent and voluntary” (*id.* at 283). In that regard, we observed that there was not only “no record discussion between the court and [the] defendant concerning the waiver” but there was also no “attempt by the court to ascertain on the record an acknowledgment from [the] defendant that he had, in fact, signed the waiver or that, if he had, he was aware of its contents” (*id.*). We further noted that the court appeared to have “no prior knowledge of the waiver” and was certainly unaware of “the circumstances surrounding the document’s [purported] execution” (*id.*).

[1] Although the record before us here is not as bleak as the record in *DeSimone*, we likewise conclude it does not sufficiently demonstrate that defendant validly waived his right to appeal because the trial court failed to ensure that defendant grasped the minimal information pertaining to the appeal waiver it provided during the plea colloquy. Following Supreme Court’s description of the appeal waiver, it questioned whether defendant comprehended the court’s remarks. Defendant answered by simply asking about the mandatory fees associated with his guilty plea. At this juncture, or at least prior to the completion of the plea proceeding, Supreme Court should have assured itself that defendant adequately understood the right that he was forgoing.

The absence of this inquiry is particularly troubling given defendant’s background and history of mental illness. In the nearly four years between defendant’s indictment and his guilty

plea, Supreme Court ordered, on this case alone, that he submit to four article 730 examinations. Of those four examinations, defendant was found unfit to proceed with his case on two occasions, causing lengthy delays in the case. Indeed, the reports furnished by the mental health professionals painstakingly described defendant's diminished mental capacity. As indicated earlier, they revealed that he was "inaccessible," "regressed" and "nonplussed by his predicament." One psychologist commented that defendant possessed "only a sketchy and inaccurate understanding of the legal process." Even in one of the instances where defendant was competent to proceed with his case, a different psychologist warned that defendant was "in need of a good deal of support by defense counsel, in order to explain the complexity of this case and how it relates to outcomes or plea offers in the other two cases." These circumstances, combined with the knowledge that defendant was a first-time felony offender who had been ordered to submit to article 730 examinations in two other counties, should have alerted the trial court not only to give defendant a thorough explanation of the appeal waiver but also to make sure that defendant fully grasped the nature of this fundamental right that he was forgoing (*see Callahan*, 80 NY2d at 280 ["the trial court . . . is in the best position to assess all of the relevant factors, including . . . the age(,) experience (and background) of the accused"])).

Nevertheless, the People, the dissenting Justices at the Appellate Division and the dissent here espouse that the oral colloquy during the plea proceeding combined with the written waiver mandates a finding that defendant's appeal waiver was effective. To support this position, they heavily rely on our decision in *People v Ramos* (7 NY3d 737 [2006]). We reject this argument and conclude that *Ramos* is distinguishable from the case at bar.

During the plea proceeding in *Ramos*, the trial court stated,

"you also understand by entering this plea of guilty you're giving up any and all rights to appeal this conviction and sentence; in other words, this is now final. Once you agree to do this, not only will there not be any trial but there won't be any appeals. Do you understand that this is final?"

Defendant Ramos acknowledged that he understood. We held that this oral colloquy, even if it was ambiguous, combined with

the written waiver, which “stated that [the] defendant had the right to appeal, explained the appellate process and confirmed that defense counsel fully advised him of the right to take an appeal” under New York law “establishes that [the] defendant knowingly, intelligently and voluntarily waived his right to appeal” (*Ramos*, 7 NY3d at 738).

We observe that the oral colloquy in *Ramos* was perfunctory just as the oral colloquy was here. We also recognize that a review of the record in both cases reveals that the written waivers used were identical. Nonetheless, the critical distinction between these two cases is that the defendant in *Ramos*, unlike here, orally acknowledged on the record that he understood that he was forgoing his right to appeal. Thus, we concluded in *Ramos* that defendant’s oral confirmation that he comprehended the nature of the appeal waiver in conjunction with the supplemental written waiver form satisfied the requirement that defendant’s understanding of the appeal waiver was “evident on the face of the record” (*Lopez*, 6 NY3d at 256). Here, by contrast, defendant never orally confirmed that he grasped the concept of the appeal waiver and the nature of the right he was forgoing. Therefore, as in *DeSimone*, notwithstanding the written appeal waiver form, it cannot be said that defendant knowingly, intelligently and voluntarily waived his right to appeal (*see* 80 NY2d at 283).

We disagree with the dissent’s suggestion that we have “transformed the taking of an appeal waiver” into a “game of chance,” akin to the purchase of a lottery ticket (dissenting op at 268). Indeed, we advance no new rule today. Rather, we are simply applying our sound decisions—as we must—in *Seaberg*, *Callahan*, *DeSimone*, *Lopez* and *Ramos* to the particular circumstances of this case. And this precedent makes clear that “[t]o facilitate appellate review,” it is the trial court’s obligation “to ensure” that a defendant’s understanding of the appeal waiver is “made apparent on the face of the record” (*Callahan*, 80 NY2d at 280; *see also Lopez*, 6 NY3d at 256). In *Ramos*, the trial court met this obligation by eliciting an oral response on the record from defendant that he comprehended the appeal waiver. That oral assurance, combined with the signed written waiver, permitted a finding that the defendant entered into a knowing, voluntary and intelligent appeal waiver. Since there is no evidence from the oral colloquy that Supreme Court adequately assured itself that defendant understood the nature of the appeal waiver, our precedents require a finding that the appeal waiver was invalid.

[2] Finally, we agree with the Appellate Division that testimony concerning complainant's identification of defendant in a lineup should have been suppressed since the People did not meet their burden in establishing probable cause for defendant's arrest.

Accordingly, the order of the Appellate Division should be affirmed.

READ, J. (dissenting). Today's decision brings to mind the New York State Lottery's slogan: "Hey, you never know." My colleagues in the majority, unlike Lottery officials, are not trying to encourage participation in a game of chance, but our trial judges might well be forgiven for concluding that the Court has now transformed the taking of an appeal waiver into something equally uncertain of outcome. This is perhaps best illustrated by comparing the facts and proceedings underlying our decision in *People v Ramos* (7 NY3d 737 [2006]), handed down only five years ago, with what happened here. Although the differences between the two cases are negligible to nonexistent, a unanimous court upheld Ramos's appeal waiver, whereas a divided court has now invalidated defendant Jay Jomar Bradshaw's.

To begin with, the majority emphasizes the 23-year-old Bradshaw's psychiatric history and status as a first-time felony offender at the time of his plea, although he had been convicted of a misdemeanor and on another occasion adjudicated a youthful offender (majority op at 259-260, 265-266). So, too, in *Ramos*, where the 30-year-old defendant had scant (if any)¹ experience with the criminal justice system before July 2001, when he was taken into custody in connection with attacks on six women between October 1999 and June 2001. At the time, Ramos suffered from long-standing psychiatric problems, including a history of manic depression and seizures. During the year and a half after his arrest, he was confined in various psychiatric facilities; he twice attempted suicide while awaiting disposition of his case. By October 2001, Ramos had undergone three competency examinations pursuant to article 730 of the Criminal Procedure Law, resulting in a 2-1 split of opinion. His case was repeatedly adjourned for the purpose of determining his competency.

In late 2002, two reviewing physicians found Ramos fit to

1. His attorney, in her brief, said that Ramos had never before been in trouble with the law. The District Attorney did not dispute this; however, in the transcript of the plea proceeding the District Attorney stated that Ramos had a prior felony arrest, but that the grand jury did not return an indictment.

stand trial. Still, one of these doctors was forced to terminate the examination when Ramos started scratching his face in a self-destructive manner. The physicians diagnosed Ramos as suffering from a probable grand mal seizure disorder; an adjustment disorder with mixed depression and anxiety; and borderline intellectual functioning. In January 2003, defense counsel and the prosecutor agreed, and the court confirmed, that Ramos was nonetheless fit to proceed within the meaning of article 730.

The plea hearing was held in May 2003—mere days after Ramos’s second suicide attempt. The judge asked Ramos if he knew what medication he was taking. Ramos replied, “I have no idea. Right now I’m on Dilantin.” When the judge queried if the medication made it difficult for him to “understand your surroundings,” Ramos replied “I don’t know, sir.” In response to the judge’s follow-up questions, Ramos stated that he knew he was in the courthouse, his lawyer was standing beside him and a judge was questioning him. The judge then asked, “Do you understand what we’re doing here today?” and Ramos replied, “Not fully, but just” The judge interjected “What is it that you don’t understand?” Before Ramos could respond, though, the judge elicited from him that his mother was in the courtroom; that he had discussed with his mother that he was going to have “either hearings and/or trial or to enter a plea on a negotiated plea for an agreed upon sentence”; that he had enjoyed “a full, fair and complete opportunity” to discuss his case with his attorney and his mother; and that he was satisfied with his attorney.

The judge next asked Ramos if he understood that he could go to trial, and that by deciding not to do so, he was giving up certain constitutional rights, including the right to have his case tried by a jury; to confront the witnesses against him; to remain silent; and to make the District Attorney persuade a jury of his guilt beyond a reasonable doubt. Ramos answered simply “Yes,” each time. The judge explained the counts to which Ramos was pleading guilty and the promised sentence, and told him that his attorney was withdrawing any and all motions in the case. Again, Ramos responded “Yes” when asked if he understood what the judge was saying. He answered “No,” only when questioned about whether any promises other than the bargained-for sentence had been made to induce him to plead guilty.

The entire colloquy about Ramos’s waiver of his right to appeal consisted of the following exchange:

“THE COURT: You also understand that by entering this plea of guilty you’re giving up any and all rights to appeal this conviction and sentence; in other words, this is now final. Once you agree to do this, not only will there not be any trial but there won’t be any appeals; do you understand that this is final?”

“THE DEFENDANT: Yes.”

Ramos then withdrew his plea of not guilty, and admitted facts sufficient to establish that he was guilty of attempted assault in the first degree, first-degree attempted rape (two counts), first-degree rape (two counts) and first-degree robbery. The judge accepted Ramos’s plea, which was made in exchange for the promise of a prison sentence not to exceed 35 years.

Although not mentioned at all during the plea proceeding, Ramos at some point signed a written waiver of his right to appeal. We know this happened because the written waiver was included in Supreme Court’s file for the case. In signing the written waiver, Ramos stated as follows:

“I hereby waive my right to appeal. I execute this waiver after being advised by the court and my attorney of the nature of the rights I am giving up. I have been advised of my right to take an appeal (CPL 450.10), to prosecute the appeal as a poor person and to have an attorney assigned in the event that I am indigent, and to submit a brief and/or argue before an appellate court on any issues relating to my conviction and sentence.

“I make this waiver voluntarily, knowingly and of my own free will.”

Ramos’s attorney signed another section of the written waiver, representing that

“prior to the signing of the foregoing waiver, the above-named defendant was fully advised of the rights of a convicted person to take an appeal under the laws of the State of [N]ew York.

“I further represent that, in my professional opinion, the above waiver by the defendant of the right to appeal was voluntarily and knowingly made and recommend to the Court that the waiver be approved.”

The judge did not sign the final part of the written waiver,

which states that the court was of the “opinion that the defendant has knowingly and freely waived the right to appeal,” and that the waiver was approved.

When Ramos appeared for sentencing on June 5, 2003, he handed the court a pro se motion to withdraw his guilty plea based on a claim of mental incompetency. The judge noted that “[i]n reviewing the psychiatric reports, it is clear that there are some issues regarding [Ramos’s] full function and he certainly suffers . . . from grand mal epilepsy,” but denied the motion. The court cited the medical finding that Ramos was competent to stand trial; the extensive plea negotiations; Ramos’s indication at the time of the plea that he understood the nature of the proceedings; and his “full allocution, which was both consistent and coherent.” The judge sentenced Ramos to determinate prison terms aggregating 35 years, as bargained for.

The Appellate Division subsequently ruled that Ramos’s waiver of the right to appeal was valid (*People v Ramos*, 21 AD3d 1125 [2d Dept 2005]). On appeal to us, Ramos argued that his waiver was not knowing, intelligent and voluntary because the judge presented the right to appeal as on a par with trial rights automatically forfeited by entry of a guilty plea, and was insufficiently “mindful of [Ramos’s] intellectual and psychiatric deficits” when dealing with him.

With respect to the first point, Ramos relied on our decision in *People v Billingslea* (6 NY3d 248, 256 [2006]), where we stated that

“[w]hen a trial court characterizes an appeal as one of the many rights automatically extinguished upon entry of a guilty plea, a reviewing court cannot be certain that the defendant comprehended the nature of the waiver of appellate rights. The record must establish that the defendant understood that the right to appeal is separate and distinct from those rights automatically forfeited upon a plea of guilty—the right to remain silent, the right to confront one’s accusers and the right to a jury trial, for example.”

With respect to the second point, Ramos cited *People v Seaberg* (74 NY2d 1, 11 [1989]) for the proposition that the trial judge must determine whether an appeal waiver was knowing and intelligent by considering, among other factors, the accused’s “age, experience and background.”

We held that Ramos’s waiver of the right to appeal was valid because

“[e]ven if there were any ambiguity in the sentencing court’s colloquy, [Ramos] executed a detailed written waiver, distinguishing this case from *People v Billingslea*, in which the sentencing court’s colloquy was accompanied by nothing other than defendant’s one-word response to the question whether she understood the conditions of her plea” (7 NY3d 737, 738 [2006] [internal quotation marks and citation omitted]).

Critically, we noted that Ramos’s “written waiver stated that [he] had the right to appeal, explained the appellate process and confirmed that defense counsel fully advised him of the right to take an appeal under the laws of the State of New York”; and that “[t]he record therefore establishes that [Ramos] knowingly, intelligently and voluntarily waived his right to appeal” (*id.*).

Here, unlike the situation in *Ramos*, the judge twice informed Bradshaw that he was giving up his appeal rights, and did so in a way that did not risk conflating the right to appeal with those rights automatically forfeited by a guilty plea. The first exchange follows:

“THE COURT: Let me just put the whole plea on the record. You will be pleading guilty to rape in the first degree, with a promised sentence of nine years, to run concurrent with whatever you get in Queens and the Bronx.² There’s a period of something called post release supervision that follows it. And there are a couple of fines, which I do not have the authority to waive, of \$270, but that will come out of inmate funds.

“There’s a waiver of right to appeal. What that means, the conviction here is final, that there is not a higher court you can take it to. Do you understand that?

“THE DEFENDANT: The waiver—I mean the money fee, is this the same fee that—

“THE COURT: There will be one in each county.

“[DEFENSE COUNSEL]: They will take it out of inmate funds.

2. As the majority opinion notes, Bradshaw had additional felony cases pending against him in those boroughs (majority op at 260, 260 n 2).

“THE COURT: Do you understand that?”

“THE DEFENDANT: Yes.”

This exchange indicates that Bradshaw certainly heard what the judge had to say about both the waiver of his right to appeal and fees, but was only interested in following up about the fees. The judge’s second “Do you understand that?” and Bradshaw’s affirmative response might arguably refer to the judge’s statement about the appeal waiver or the fees (or both), or only to the judge’s and defense counsel’s answer to Bradshaw’s immediately preceding question about the fees.

The second exchange ensued later in the plea proceeding:

“THE COURT: Now, other than what I have already promised you, which is the nine years, with my recommendation of concurrent sentencing,^[3] five years post release supervision, waiver of right to appeal, and \$270 in fees and fines, has anybody else made any other promise to you in order to get you to plead guilty?”

“THE DEFENDANT: No.”

Again, Bradshaw, who frequently asked questions of the judge during the plea colloquy, said not a word about the waiver of appeal. He pleaded guilty to first-degree rape.

Finally, at the very end of the plea proceeding, the judge asked if the written waiver of appeal had been signed. Defense counsel responded, “Handing up to the Court . . . the waiver of right to appeal executed by Mr. Bradshaw and witnessed by myself as his attorney.” The judge also signed the written waiver, which was identical to the one in *Ramos*.

At sentencing, Bradshaw made a pro se motion to withdraw his plea. He argued that his attorney “took advance [*sic*] of [his] mental disadvantage to fully understand” by “persuad[ing]” and “coerc[ing]” him into taking a plea, and “misinform[ing]” him about the “actual plea agreement” by inaccurately representing that he would receive a therapeutic program. The judge denied the motion and imposed the agreed-upon sentence of nine years in prison and five years of postrelease supervision.

So why was the appeal waiver valid in *Ramos* but not in this case? *Ramos* was at least as fragile mentally as Bradshaw, who participated far more actively in the plea proceeding. And in

3. If convicted after trial, Bradshaw might have been sentenced to 25 years in prison.

Billingslea, we explained that although the “better practice” would be for the judge to explain to a defendant during the plea colloquy that “though he ordinarily retains the right to an appeal even after pleading guilty, . . . he was being offered a particular plea by the prosecution on the condition that he give up that right,” it was “*even better* to secure a written waiver” to the same effect (6 NY3d at 257 [emphasis added]). Further, in *Ramos*, we held that such a written waiver—and, as already mentioned, the written waivers in *Ramos* and in this case are identical—cured “any ambiguity in the sentencing court’s colloquy” about whether the “[d]efendant’s waiver of his right to appeal was effective” (7 NY3d at 738). Yet here, the majority completely discounts the written waiver, “render[ing it] entirely superfluous” in the words of the dissenters at the Appellate Division (76 AD3d 566, 579 [2d Dept 2010, Fisher, J., dissenting]). Put even more bluntly, we are evidently to assume that Bradshaw did not know what he was signing, and that defense counsel’s and the court’s representations are not to be believed. I respectfully dissent.

Chief Judge LIPPMAN and Judges PIGOTT and JONES concur with Judge CIPARICK; Judge READ dissents in a separate opinion in which Judges GRAFFEO and SMITH concur.

Order affirmed.

[961 NE2d 1107, 938 NYS2d 496]

MINDAUGAS BLAUDZIUNAS et al., Appellants, v EDWARD CARDINAL
EGAN, as Cardinal of the Archdiocese of New York and as
Trustee of OUR LADY OF VILNA CHURCH, et al., Respondents.

Argued November 15, 2011; decided December 13, 2011

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered June 29, 2010. The Appellate Division affirmed an order of the Supreme Court, New York County (Louis B. York, J.; op 2008 NY Slip Op 33144[U] [2008]), which had denied plaintiffs' motion for a preliminary injunction seeking to enjoin defendants from demolishing a church building and granted defendants' motion to dismiss the complaint. The following question was certified by the Appellate Division: "Was the order of Supreme Court, as affirmed by this Court, properly made?"

Blaudziunas v Egan, 74 AD3d 697, affirmed.

HEADNOTE

Religious Corporations and Associations — Demolition of Church Building — Authority of Former Parishioners to Challenge Demolition

Section 5 of the Religious Corporations Law did not grant plaintiffs, former parishioners of a Roman Catholic church incorporated as a religious corporation, the authority to challenge the decision to demolish the church, which was properly voted upon by the board of trustees and sanctioned by the archbishop. Section 5 vests the custody and control of a religious corporation's real property in the board of trustees and states that the trustees of an incorporated Roman Catholic church shall not transfer any property without the consent of the bishop or archbishop of the diocese. Section 5 is consistent with the church corporation bylaws and sections 91 and 92 of the Religious Corporations Law, which explain the governance of an incorporated Roman Catholic church and the division and disposition of parish property, in uniformly recognizing the authority of the board of trustees and the archbishop to control church property. Applying the neutral principles of law doctrine, no right or authority to veto the demolition decision was reserved for the benefit of the parishioners. Pursuant to the bylaws, parishioners were members of the ecclesiastical body—not members of a corporation, and such status did not confer upon them the rights and duties as members of the religious corporation. Given that the deed to the property at issue was in the name of the religious corporation, and the corporation's bylaws and the Religious Corporations Law unequivocally granted the trustees, as well as the archbishop specifically, the power to control and administer the property of the church corporation, the authority to demolish the church building was within their purview.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Religious Societies §§ 5, 6, 8, 37.
McKINNEY's, Religious Corporations Law §§ 5, 91, 92.
NY JUR 2d, Religious Organizations §§ 7, 16, 30, 49, 50, 53,
64, 65, 76.

ANNOTATION REFERENCE

See ALR Index under Religion and Religious Societies.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: religious /2 corporation & challenge /s demoli! /4
church

POINTS OF COUNSEL

Law Office of Harry Kresky, New York City (Harry M. Kresky of counsel), for appellants. I. The court below misconstrued Religious Corporations Law § 5. (*Morris v Scribner*, 69 NY2d 418; *People v Finnegan*, 85 NY2d 53; *Trustees of Presbytery of N.Y. v Westminster Presbyt. Church of W. Twenty-Third St.*, 222 NY 305; *Rangolan v County of Nassau*, 96 NY2d 42; *Carney v Philippone*, 1 NY3d 333; *Matter of Smith v Calvary Baptist Church*, 35 AD3d 749; *Watson v Christie*, 288 AD2d 29; *Baxter v McDonnell*, 155 NY 83; *People's Bank v St. Anthony's R.C. Church*, 109 NY 512; *Committee to Save St. Brigid's Inc. v Egan*, 45 AD3d 375.) II. Consideration of the application of Religious Corporations Law § 5 does not involve the Court in the adjudication of matters that are ecclesiastical in nature. (*Presbyterian Church in U. S. v Mary Elizabeth Blue Hull Memorial Presbyterian Church*, 393 US 440; *Jones v Wolf*, 443 US 595; *Avitzur v Avitzur*, 58 NY2d 108; *Sieger v Union of Orthodox Rabbis of U.S. & Can.*, 1 AD3d 180; *Episcopal Diocese of Rochester v Harnish*, 11 NY3d 340; *Morris v Scribner*, 69 NY2d 418; *Saint Nicholas Cathedral of Russian Orthodox Church in N. Am. v Kedroff*, 306 NY 38; *Westminster Presbyt. Church of W. Twenty-Third St. v Trustees of Presbytery of N.Y.*, 211 NY 214; *Matter of Congregation Yetev Lev D'Satmar, Inc. v Kahana*, 9 NY3d 282.) III. Appellants state a claim for breach of fiduciary duty. (*Barr v Wackman*, 36 NY2d 371; *Auerbach v Bennett*, 47 NY2d 619; *Higgins v New York Stock Exch., Inc.*, 10 Misc 3d 257; *Foley v D'Agostino*, 21 AD2d 60; *Matter of Manhattan Eye, Ear & Throat Hosp. v Spitzer*, 186 Misc 2d 126; *Vione v Tewell*, 12 Misc 3d 973;

Martinelli v Bridgeport R.C. Diocesan Corp., 196 F3d 409; *Sanders v Casa View Baptist Church*, 134 F3d 331; *Matter of Smith v Calvary Baptist Church*, 35 AD3d 749; *Watson v Christie*, 288 AD2d 29.) IV. To the extent the court below exempts Roman Catholic religious corporations from requirements to which other religious and not-for-profit corporations are subject, it violates the Establishment Clause of the First Amendment. (*County of Allegheny v American Civil Liberties Union, Greater Pittsburgh Chapter*, 492 US 573; *Wallace v Jaffree*, 472 US 38; *Swanson By & Through Swanson v Guthrie Ind. School Dist. No. I-L*, 135 F3d 694; *United Christian Scientists v Christian Science Bd. of Directors, First Church of Christ, Scientist*, 829 F2d 1152.) V. The fact that the church has been suppressed does not render section 5 of the Religious Corporations Law or the above principles inapplicable.

Leahey & Johnson, P.C., New York City (*Peter James Johnson, Jr.*, *Peter James Johnson*, *Joanne Filiberti* and *Gabriel M. Krausman* of counsel), for respondents. I. The Appellate Division, First Department, followed the statutory framework adopted by the New York State Legislature almost 150 years ago and the well-settled law interpreting the Religious Corporations Law to properly reject appellants' tortured and unconstitutional interpretation of Religious Corporations Law § 5. (*Committee to Save St. Brigid's Inc. v Egan*, 45 AD3d 375; *Walker Mem. Baptist Church, Inc. v Saunders*, 285 NY 462; *Fiske v Beaty*, 206 App Div 349, 238 NY 598; *Islamic Ctr. of Harrison, Pa. v Islamic Science Found.*, 216 AD2d 357; *Metropolitan Baptist Church Inc. v Braxton*, 285 App Div 1044; *Bank of Manhattan Trust Co. v 2166 Broadway Corp.*, 142 Misc 910; *Maryland & Virginia Eldership of Churches of God v Church of God at Sharpsburg, Inc.*, 396 US 367; *Committee to Save St. Brigid v Egan*, 30 AD3d 356.) II. The Appellate Division, First Department, correctly ruled that the decision to demolish the church building of the subject suppressed incorporated parish, duly made by the archbishop and the trustees of the parish in accordance with applicable canon law and church bylaws, was ecclesiastical in nature, and properly rejected the invitation to interfere in the governance and administration of a hierarchical church in accordance with the Free Exercise Clauses of the United States and New York State Constitutions and the First and Fourteenth Amendments of the United States Constitution. (*Filetto v St. Mary of Assumption Church of Binghamton*, 61 Misc 2d 278; *Watson v Jones*, 80 US 679; *Maryland & Virginia Eldership of Churches of God v Church of God at Sharpsburg, Inc.*, 396 US

367; *Serbian Eastern Orthodox Diocese for United States and Canada v Milivojevich*, 426 US 696; *Kedroff v Saint Nicholas Cathedral of Russian Orthodox Church of North America*, 344 US 94; *Faith United Christian Church v United Christian Church*, 266 AD2d 428; *Burke v Rector, Churchwardens & Vestrymen of Trinity Church*, 63 Misc 43; *Committee to Save St. Brigid v Egan*, 30 AD3d 356; *Jones v Wolf*, 443 US 595; *Committee to Save St. Brigid's Inc. v Egan*, 45 AD3d 375.) III. The Appellate Division, First Department, correctly ruled that the parish's ecclesiastical existence has been extinguished, and appellants, as former parishioners of a now defunct religious society, had no standing to bring their action.

OPINION OF THE COURT

JONES, J.

The issue before this Court is whether section 5 of the Religious Corporations Law grants plaintiffs, former parishioners of a church incorporated as a religious corporation, the authority to challenge the board of trustees' decision to demolish the church. We hold that it does not.

In 1909, Our Lady of Vilna Church—a Roman Catholic church established to serve a Lithuanian community in New York City—was incorporated by the then board of trustees, comprised of the archbishop of the Roman Catholic Diocese of New York, the vicar general of the diocese, the rector of Our Lady of Vilna and two laymen trustees selected and appointed by the ex officio members, pursuant to the Religious Corporations Law. The land on which the church building and former rectory are located was deeded to the church corporation in 1910 and 1912.

At a special meeting of the board of trustees in 1980, the church adopted bylaws, consistent with the Religious Corporations Law and Canon Law of the Roman Catholic Church, regarding the governance of the church corporation and the rights and duties of the trustees. In relevant part, it defined "Church" as the "ecclesiastical entity (parish) that was incorporated under civil law as this Corporation" and "Members of the Church" to "mean the parishioners of the aforesaid ecclesiastical entity (parish)."¹ The bylaws also explained the powers of the board of trustees and the limitations upon said body. It stated: "The Trustees of the Corporation shall consti-

1. The bylaws do not identify or define any group of individuals as "members of the corporation," a term used in the Religious Corporations Law.

tute its governing body . . . No act or proceeding of the Trustees shall be valid without the sanction of the Archbishop.” The bylaws also conferred upon the trustees “custody and control of all the temporalities and property belonging to the Corporation . . . in accordance with the discipline, rules and usages of the Roman Catholic Church and of the Archdiocese for the support and maintenance of the Church.”

In 2006, the archbishop of the Diocese of New York, Edward Cardinal Egan, issued a decree of suppression, an ecclesiastical decision to close the church building and extinguish the parish, due to “a serious decline in its parish population, the need to provide for enhanced stewardship of Archdiocesan resources, and optimum use of Archdiocesan clergy and lay personnel to better serve the People of God.” As stated in the decree, the archbishop proceeded pursuant to “Canon [Law] 515.2,^[2] after having first heard the Presbyteral Council of the Archdiocese of New York and consulted with the Regional Vicar, the administrator, and neighboring pastors.” In 2007, after the archdiocese issued a press release regarding its decision to close the church, two former lay trustees of the church commenced an action to challenge the suppression decree. In August 2007, that action was discontinued by stipulation.

In October 2007, the board of trustees of the religious corporation convened a special meeting. A quorum was present—the three ex officio members and a lay trustee. At the meeting, the lay trustee was reappointed, and another was appointed. According to the meeting’s minutes, the archbishop reported upon his “ecclesiastical suppression of the parish and closure of the church building due to the longstanding decline in parish population, lack of attendance and paucity of requests for baptisms, weddings and funerals, rarely held Lithuanian language Masses and the need to enhance and preserve resources to better serve the faithful.” Additionally, a report concerning the condition of the building detailed an “historical overview of the problems with the building . . . the building’s condition . . . [and a] conclu[sion] that there was a significant issue with respect to structural condition.” After noting that there were “no plans to reopen the church for worship,” the board of trustees unanimously adopted a resolution to demolish the building.

2. Canon Law 515.2 provides, “It is only for the diocesan bishop to erect, suppress, or alter parishes. He is neither to erect, suppress, nor alter notably parishes, unless he has heard the presbyteral council.”

In February 2008, plaintiffs, former parishioners of the church, commenced this action and moved for a preliminary injunction seeking to enjoin defendants, the board of trustees, from demolishing the church building. Supreme Court denied plaintiffs' motion and granted defendants' motion to dismiss the complaint.

The Appellate Division affirmed. The court concluded, *inter alia*, that the Religious Corporations Law “does not require that the demolition of the church be authorized by the parishioners,” but “vest[s] approval authority for all actions taken by the trustees of an incorporated Roman Catholic church in the archbishop or bishop of the diocese to which that church belongs” (74 AD3d 697, 698 [2010]). One justice dissented. The Appellate Division granted plaintiffs' motion for leave to appeal to this Court and certified a question. We now affirm.

“[R]eligious bodies are to be left free to decide church matters for themselves, uninhibited by State interference,” save for matters that can be resolved through the application of “neutral principles of law” (*First Presbyt. Church of Schenectady v United Presbyt. Church in U.S. of Am.*, 62 NY2d 110, 116-117, 120 [1984]). In *Jones v Wolf*, the United States Supreme Court recognized that “[t]he primary advantages of the neutral-principles approach are that it is completely secular in operation, and yet flexible enough to accommodate all forms of religious organization and policy” (443 US 595, 603 [1979]). It “relies exclusively on objective, well-established concepts of trust and property law familiar to lawyers and judges . . . [and] promises to free civil courts completely from entanglement in questions of religious doctrine, polity, and practice” (*id.*). More specifically, the

“[a]pplication of the neutral principles doctrine requires the court to focus on the language of the deeds, the terms of the local church charter, the State statutes governing the holding of church property, and the provisions in the constitution of the general church concerning the ownership and control of the church property” (*Episcopal Diocese of Rochester v Harnish*, 11 NY3d 340, 350 [2008] [internal quotation marks and citation omitted]).

Notwithstanding the bylaws of this church corporation, which grant the board of trustees custody and control of the church property, plaintiffs rely upon Religious Corporations Law § 5 to

challenge the board of trustees' decision to demolish the church building. Plaintiffs contend that the decision to demolish the church building must be authorized by the parishioners, who they claim are members of the church corporation. This argument is unavailing.

Section 5 of the Religious Corporations Law, in relevant part, vests the custody and control of a religious corporation's real property in the board of trustees, and directs the administration of such property

“in accordance with the discipline, rules and usages of the corporation . . . to which the corporation is subject, and with the provisions of law relating thereto, for the support and maintenance of the corporation, or, providing the members of the corporation at a meeting thereof shall so authorize, of some religious, charitable, benevolent or educational object conducted by said corporation or in connection with it, or with the denomination, if any, with which it is connected.”

It further states

“[t]he trustees of an incorporated Roman Catholic Church . . . shall not transfer any property as herein provided without the consent of the archbishop or bishop of the diocese to which such church belongs or in case of their absence or inability to act, without the consent of the vicar general or administrator of such diocese” (Religious Corporations Law § 5).

Relevant to Roman Catholic churches, Religious Corporations Law §§ 91 and 92 explain the governance of an incorporated Roman Catholic church and the division and disposition of parish property, respectively. Section 91 requires

“[t]he archbishop or bishop and the vicar-general of the diocese to which any incorporated Roman Catholic church belongs, the rector of such church, and their successors in office . . . by virtue of their offices, [to] be trustees of such church . . . [as well as t]wo laymen, members of such incorporated church.”

It further states:

“No act or proceeding of the trustees of any such incorporated church shall be valid without the sanction of the archbishop or bishop of the diocese to which such church belongs, or in case of their absence or inability to act, without the sanction of the vicar-general or of the administrator of such diocese.”

Section 92 recognizes the jurisdiction of a Roman Catholic bishop over an individual parish and his authority to act independently or with the consent of the trustees of the original Roman Catholic church corporation to transfer property to a new or second Roman Catholic church corporation.

Section 5 of the Religious Corporations Law is consistent with sections 91 and 92 and the bylaws of the church corporation. They uniformly recognize the authority of the board of trustees and the archbishop to control church property. However, plaintiffs characterize themselves and other former parishioners as “members of the corporation,” pursuant to section 5 of the Religious Corporations Law, and allege that they have the collective right to veto the demolition decision by refusing to give the requisite authorization relating to the use of church resources when they are used for some “religious, charitable, benevolent or educational object.”

Applying the neutral principles of law doctrine, no such right or authority has been reserved for the benefit of the parishioners. Pursuant to the bylaws, parishioners are members of the ecclesiastical body—not members of a corporation. Such status does not confer upon them the rights and duties as members of the religious corporation. Nor have plaintiffs pointed to any statute, corporate governance document, church canon or other provision that identifies current or former parishioners as members of the corporation. Given the deed to the property at issue is in the name of the religious corporation and the corporation’s bylaws and the Religious Corporations Law unequivocally grant the trustees, as well as the archbishop specifically, the power to control and administer the property of the church corporation, the authority to demolish the church building was within their purview. Thus, plaintiffs have no basis to challenge the actions properly voted upon by the board of trustees and sanctioned by the archbishop.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question not answered as unnecessary.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order affirmed, etc.

[961 NE2d 668, 938 NYS2d 277]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SCOTT
C. FUREY, Appellant.

Argued November 16, 2011; decided December 15, 2011

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 1, 2010. The Appellate Division affirmed a judgment of the Oswego County Court (Walter W. Hafner, Jr., J.), which had convicted defendant, upon a jury verdict, of kidnapping in the second degree, burglary in the second degree, menacing in the third degree, criminal mischief in the fourth degree, and assault in the third degree.

People v Furey, 77 AD3d 1357, reversed.

HEADNOTE

Crimes — Jurors — Challenge to Jury — Prospective Juror's Familiarity with Potential Witnesses

In a criminal prosecution, the trial court abused its discretion as a matter of law when it denied defendant's for-cause challenge to a prospective juror who had personal and professional relationships with several of the witnesses expected to testify at defendant's trial. The familiarity of the prospective juror, the wife of a local police captain, with numerous potential witnesses satisfied the implied bias standard under CPL 270.20 (1) (c), necessitating her removal for cause. Not only had the captain assigned the investigation to a particular detective sergeant, but more significantly, the prospective juror forthrightly disclosed that she knew eight of the witnesses (seven police officers and an assistant district attorney) who were to testify at trial—more than half of the People's potential witnesses—and had frequent professional and social relationships with at least two of the police officers. Although the prospective juror offered unequivocal assurances of impartiality, those declarations were ineffective because there was a considerable risk that she could unwittingly give undue credence to the witnesses she knew, and her service would give rise to the perception that defendant did not receive a fair trial.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Jury §§ 200–203, 205, 258–260.

CARMODY-WAIT 2d, Jury Selection and Supervision §§
191:41–191:43, 191:46, 191:49.

LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 22.3.

MCKINNEY'S, CPL 270.20 (1) (c).

NY JUR 2d, Criminal Law: Procedure §§ 2557, 2559.

ANNOTATION REFERENCE

Social or business relationship between proposed juror and nonparty witness as affecting former's qualification as juror. 11 ALR3d 859.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: challeng! /s juror /s cause /p relation! /6 witness & implied /2 bias

POINTS OF COUNSEL

Muldoon & Getz, Rochester (Gary Muldoon and Martin P. McCarthy, II, of counsel), for appellant. I. Given prospective juror Comerford's personal and professional relationships with eight prosecution witnesses, it was error to deny defendant's for-cause challenge. (*People v Branch*, 46 NY2d 645; *People v Rentz*, 67 NY2d 829; *People v Provenzano*, 50 NY2d 420; *People v Colon*, 71 NY2d 410; *People v Lynch*, 95 NY2d 243; *People v Smith*, 52 AD3d 847; *People v Clark*, 125 AD2d 868.) II. The trial judge's denial of defendant's challenge for cause for prospective juror Close, when she gave no unequivocal assurance that she could set aside bias against defendant's character, is reversible error. (*People v Torpey*, 63 NY2d 361; *People v Chambers*, 97 NY2d 417; *People v Arnold*, 96 NY2d 358; *People v Greene*, 290 AD2d 349; *People v Johnson*, 94 NY2d 600; *People v Cargill*, 70 NY2d 687; *People v Buford*, 69 NY2d 290; *People v Blyden*, 55 NY2d 73; *People v Brzezicki*, 249 AD2d 917; *People v Harris*, 179 Misc 2d 612.)

Donald H. Dodd, District Attorney, Oswego (Michael G. Cianfarano of counsel), for respondent. I. Defendant forfeited his right to challenge for cause prospective juror Comerford. (*People v Powell*, 13 AD3d 975, 4 NY3d 889.) II. The trial court properly denied defendant's challenge for cause regarding prospective juror Comerford. (*People v Colon*, 71 NY2d 410; *People v Brown*, 136 AD2d 1, 72 NY2d 857; *People v Rentz*, 67 NY2d 829; *People v Clark*, 281 AD2d 947; *People v Branch*, 46 NY2d 645; *People v Lynch*, 95 NY2d 243; *People v Maldonado*, 278 AD2d 513; *People v Cassidy*, 16 AD3d 1079, 5 NY3d 760; *People v Provenzano*, 50 NY2d 420; *People v Pickren*, 284 AD2d 727, 96 NY2d 923.) III. The trial court properly denied defendant's challenges for cause regarding prospective juror Close. (*People v Chambers*, 97 NY2d 417; *People v Shulman*, 6 NY3d 1; *People v Smith*, 62 AD3d 422, 13 NY3d 749; *People v Trinidad*, 8 AD3d 106, 3 NY3d 682.)

OPINION OF THE COURT

GRAFFEO, J.

We hold that County Court abused its discretion as a matter of law when it denied defendant's for-cause challenge to a prospective juror who had personal and professional relationships with several of the witnesses expected to testify at defendant's trial.

Defendant Scott Furey was charged with committing burglary, kidnapping and other offenses against his former girlfriend. Detective Sergeant Kevin Carter of the City of Oswego Police Department testified at the suppression hearing that this matter was assigned to him by Captain Comerford. The captain's wife subsequently reported to County Court for jury duty.

During voir dire, Mrs. Comerford was interviewed as a prospective juror. She acknowledged being familiar with some of the individuals who were listed as possible prosecution witnesses since they worked with her husband in the Oswego Police Department. With regard to two specific police witnesses, Mrs. Comerford informed the court that she knew them both professionally and personally (though more of the former than the latter), had known them for three years and 10 years, respectively, and had contact with them on a monthly basis. County Court inquired whether Mrs. Comerford could consider the two officers' "testimony in the same fashion and in the same light as any other witness or would you give their testimony greater or lesser consideration or subject their testimony to different tests of credibility because you know those witnesses?" She replied, "I believe I can be fair" and agreed that she "would look at their testimony in the same fashion." She also denied having "any special tests or higher beliefs of credibility because" of her familiarity with the officers. After the names of the other police officers were disclosed as possible witnesses, Mrs. Comerford indicated that she knew five of the officers and would view their testimony in the same manner as other witnesses. She further stated that she knew an additional witness, an assistant district attorney. In total, Mrs. Comerford was acquainted with 8 of the 14 witnesses identified by the People.

The defense moved to dismiss Mrs. Comerford for cause. The People objected, relying on her statements that she would not give preferential treatment to the testimony of the witnesses

she knew. County Court denied the for-cause challenge, explaining that Mrs. Comerford “indicated that she knows nothing about the facts and circumstances of this case and through her husband she knows who many of the People’s witnesses are potentially and she would treat them the same as any other witnesses.” Defendant then used a peremptory challenge to remove Mrs. Comerford from the panel and subsequently exhausted his allotment of peremptories.

Defendant was convicted of second-degree kidnapping, second-degree burglary and other offenses. He was sentenced to an aggregate term of 5½ years imprisonment and five years of post-release supervision. The Appellate Division affirmed (77 AD3d 1357 [2010]) and a Judge of this Court granted defendant leave to appeal (15 NY3d 952 [2010]). We now reverse and order a new trial.

A prospective juror may be challenged for cause on several grounds, one of which is a preexisting relationship with a potential witness that “is likely to preclude [the prospective juror] from rendering an impartial verdict” (CPL 270.20 [1] [c]). This is referred to colloquially as an “implied bias” (*see* Preiser, Practice Commentaries, McKinney’s Cons Laws of NY, Book 11A, CPL 270.20, at 300 [2002 ed]) that requires automatic exclusion from jury service regardless of whether the prospective juror declares that the relationship will not affect her ability to be fair and impartial (*see e.g. People v Branch*, 46 NY2d 645, 650 [1979]; *People v Rentz*, 67 NY2d 829, 831 [1986]). And such bias, whether acknowledged by the declarant or not, cannot be cured with an expurgatory oath. “[T]he risk of prejudice arising out of the close relationship . . . [is] so great that recital of an oath of impartiality could not convincingly dispel the taint” (*Branch*, 46 NY2d at 651) and creates the perception that the accused might not receive a fair trial before an impartial finder of fact. For this reason, we have advised trial courts to exercise caution in these situations by leaning toward “disqualifying a prospective juror of dubious impartiality” (*id.*).

Not all relationships between a prospective juror and a potential witness or interested party require disqualification for cause as a matter of law (*see Rentz*, 67 NY2d at 830). The frequency of contact and nature of the parties’ relationship are to be considered in determining whether disqualification is necessary (*see id.* at 830-831; *People v Scott*, 16 NY3d 589, 595 [2011]). Thus, a prospective juror who worked with a trial prosecutor in prior cases and had direct and personal contact

with him was subject to removal for cause (*Branch*, 46 NY2d at 651), but an individual who campaigned for the political party that endorsed a district attorney was not (see *People v Provenzano*, 50 NY2d 420, 425 [1980]). Similarly, a prospective juror who had relatives in law enforcement—but no personal or social relationships with any of the testifying police officers—was not per se excludable for cause (see *People v Colon*, 71 NY2d 410, 418 [1988], *cert denied* 487 US 1239 [1988]).

Considering this precedent, we conclude that Mrs. Comerford's familiarity with numerous witnesses satisfied the implied bias standard under CPL 270.20 (1) (c), necessitating her removal for cause. During the suppression hearing that occurred prior to jury selection, the testimony established that Captain Comerford had assigned the investigation to Detective Sergeant Carter. More significantly, Mrs. Comerford forthrightly disclosed that she knew eight of the witnesses (seven police officers and an assistant district attorney) who were to testify at trial—more than half of the People's potential witnesses—and had frequent professional and social relationships with at least two of the police officers. Although Mrs. Comerford offered unequivocal assurances of impartiality, those declarations were ineffective in a case like this because there was a considerable risk that she could unwittingly give undue credence to the witnesses she knew and her service would give rise to the perception that defendant did not receive a fair trial. It was therefore an abuse of discretion as a matter of law to deny defendant's challenge for cause.* In light of this determination, defendant's remaining contention is academic.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, FIGOTT and JONES concur.

Order reversed, etc.

* We reject the People's argument that this issue is unreviewable. Their claim that Mrs. Comerford could not be challenged for cause by the defense after the People used peremptory challenges (see CPL 270.15 [2]; cf. *People v McQuade*, 110 NY 284, 295 [1888]) was neither raised during jury selection nor decided adversely to defendant.

[961 NE2d 657, 938 NYS2d 266]

In the Matter of NEW YORK STATE SUPERFUND COALITION, INC.,
Appellant, v NEW YORK STATE DEPARTMENT OF ENVIRONMEN-
TAL CONSERVATION et al., Respondents.

Argued November 14, 2011; decided December 15, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 31, 2009. The Appellate Division modified, on the law, an amended judgment of the Supreme Court, Albany County (Robert A. Sackett, J.), entered in a combined proceeding pursuant to CPLR article 78 and action for declaratory judgment, which had partially granted petitioner's application to annul certain regulations promulgated by respondent Department of Environmental Conservation. The modification consisted of reversing so much of the amended judgment as had granted petitioner's application to annul 6 NYCRR 375-2.8 (a) and 6 NYCRR 375-1.8 (f) (9) and dismissing the petition to that extent. The Appellate Division affirmed the amended judgment as modified.

Matter of New York State Superfund Coalition, Inc. v New York State Dept. of Envtl. Conservation, 68 AD3d 1588, affirmed.

HEADNOTE

Environmental Conservation — Hazardous Waste — Inactive Hazardous Waste Disposal Sites — Validity of Regulation

Respondent New York State Department of Environmental Conservation did not exceed its authority or act contrary to law in enacting 6 NYCRR 375-2.8 (a), which calls for the restoration of inactive hazardous waste disposal sites to "pre-disposal conditions, to the extent feasible," and 6 NYCRR 375-1.8 (f) (9) (i), which incorporates the remedial goal stated in section 375-2.8 (a). The regulations do not exceed the enabling authority of ECL 27-1313 (5) (d) which provides, in pertinent part, that the goal of a remedial program is "a complete cleanup of the site through the elimination of the significant threat to the environment posed by the disposal of hazardous wastes at the site." ECL 27-1313 (5) (d) does not provide that a "complete cleanup" is effectuated solely through "the elimination of the significant threat to the environment"; rather, it tasks respondent with eliminating significant threats while also stating a preference for a more thorough or "complete" cleanup. That stated goal is aspirational, as ECL 27-1313 (5) (d) recognizes that respondent may implement limited actions that reduce rather than completely eliminate dangers. Such statutory construction is consistent with ECL 27-1301 (3), which defines inactive hazardous waste disposal site remedial programs as including measures of abatement or control in addition to elimination and removal. There is no discernible difference between the use of the

phrase “complete cleanup” in section 27-1313 (5) (d) and “pre-disposal conditions, to the extent feasible” in respondent’s regulations. A remedial program may encompass measures that run a gamut from removal of wastes to institutional controls, implemented to address harms that range from potential to actual hazards. Moreover, respondent is not empowered to unilaterally fashion a remedial program without due consideration of the practicalities of such a measure as the statutory scheme expressly ties the scope of such programs to the particular characteristics for each regulated site. Accordingly, the phrase “to the extent feasible” in the respondent’s regulation is a reasonable incorporation of the considerations within the statute and a limit on the scope of remedial programs. Furthermore, respondent cannot arbitrarily exercise its authority as the Legislature has provided for a specific process prior to the implementation of any remedial program by which landowners subject to regulation by respondent may contest the order of such a measure.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Pollution Control §§ 143, 1060.

McKINNEY’s, ECL 27-1301 (3); 27-1313 (5) (d).

NY JUR 2d, Environmental Rights and Remedies §§ 229, 230, 233.

ANNOTATION REFERENCE

See ALR Index under Environmental Law; Hazardous Substances and Waste.

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POINTS OF COUNSEL

Hiscock & Barclay, LLP, Rochester (*Thomas F. Walsh, Thomas J. Warth* and *Danielle E. Mettler* of counsel), for appellant. I. The issue concerning the State Superfund program cleanup goal is of public importance. (*Matter of Flynn v State Ethics Commn., Dept. of State, State of N.Y.*, 87 NY2d 199; *Matter of Tze Chun Liao v New York State Banking Dept.*, 74 NY2d 505; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *Servomation Corp. v State Tax Commn.*, 51 NY2d 608; *Matter of Campagna v Shaffer*, 73 NY2d 237; *Matter of Consolidated Edison Co. of N.Y. v Department of Envtl. Conservation*, 71 NY2d 186; *Boreali v Axelrod*, 71 NY2d 1; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303.) II. The Appellate Division erred in deferring to New York State Department of Environmental Conservation’s interpretation of ECL 27-1313

(5) (d). (*Flacke v Onondaga Landfill Sys.*, 69 NY2d 355; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Matter of Binghamton-Johnson City Joint Sewage Bd. v New York State Dept. of Envtl. Conservation*, 159 AD2d 887; *Matter of Lighthouse Pointe Prop. Assoc. LLC v New York State Dept. of Envtl. Conservation*, 14 NY3d 161; *Matter of Tze Chun Liao v New York State Banking Dept.*, 74 NY2d 505; *Friedman v Connecticut Gen. Life Ins. Co.*, 9 NY3d 105.) III. Even if the Court determines that ECL 27-1313 (5) (d) is ambiguous, the legislative history compels a finding that the lower appellate court erred as a matter of law. (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Lighthouse Pointe Prop. Assoc. LLC v New York State Dept. of Envtl. Conservation*, 14 NY3d 161; *Riccelli Enters., Inc. v New York State Dept. of Envtl. Conservation*, 30 Misc 3d 573; *Matter of Tze Chun Liao v New York State Banking Dept.*, 74 NY2d 505; *Matter of Campagna v Shaffer*, 73 NY2d 237; *Servomation Corp. v State Tax Commn.*, 51 NY2d 608; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *Flacke v Onondaga Landfill Sys.*, 69 NY2d 355; *Matter of Scanlan v Buffalo Pub. School Sys.*, 90 NY2d 662; *Matter of Cintron v Calogero*, 15 NY3d 347.)

Eric T. Schneiderman, Attorney General, Albany (Andrew B. Ayers, Barbara D. Underwood and Denise A. Hartman of counsel), for respondents. I. New York State Department of Environmental Conservation's regulations adopt the most reasonable interpretation of article 27, title 13 of ECL and give meaning to all of the relevant statutory language. (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *Dana v New York Cent. & Hudson Riv. R.R. Co.*, 92 NY 639; *Matter of Nicholas v Kahn*, 47 NY2d 24; *Matter of Golf v New York State Dept. of Social Servs.*, 91 NY2d 656; *Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Lighthouse Pointe Prop. Assoc. LLC v New York State Dept. of Envtl. Conservation*, 14 NY3d 161; *United States v Mead Corp.*, 533 US 218; *Chevron U.S.A. Inc. v Natural Resources Defense Council, Inc.*, 467 US 837.) II. The Legislature acquiesced in New York State Department of Environmental Conservation's interpretation of the goals of remedial programs. (*Brooklyn Union Gas Co. v New York State Human Rights Appeal Bd.*, 41 NY2d 84; *Matter of Oswald N.*, 87 NY2d 98; *Clark v Cuomo*, 66 NY2d 185.)

OPINION OF THE COURT

JONES, J.

Petitioner New York State Superfund Coalition, Inc. (Superfund Coalition) commenced this combined CPLR article 78 proceeding and declaratory judgment action to challenge certain regulations promulgated by the New York State Department of Environmental Conservation (DEC or the Department) with respect to remedial programs implemented to clean “inactive hazardous waste disposal sites.”¹ The Superfund Coalition asserts that the regulations are ultra vires and impermissibly allow DEC to order expansive remedial programs that contravene the limited legislative goal of article 27, title 13 of the Environmental Conservation Law to identify and remove only “significant threats.” We hold that DEC did not exceed its authority or act contrary to law in enacting the subject regulations.

I

In 1979, the Legislature enacted article 27, title 13 of the Environmental Conservation Law to address the public issue of inactive hazardous waste disposal sites. At the time of the enactment, DEC had identified approximately 530 sites throughout the state that posed a threat to public health and the environment given their “proximity to densely populated areas or . . . water courses or aquifers” (Budget Rep on Bills, at 2, Bill Jacket, L 1979, ch 282). At the time, inactive hazardous waste disposal sites were largely unregulated, as opposed to active waste disposal sites which were monitored under state and federal systems of regulation (*see id.*). As inactive sites were essentially unmonitored, there was no standard practice of ensuring adequate disposal or containment of hazards to minimize environmental impacts (*see id.*). The 1979 enactment was proposed to place the burden of remedying these sites on those responsible for the presence of waste material, or in the alternative, task DEC with implementing a remedial program in the

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1. “Inactive hazardous waste disposal site means any area or structure used for the long term storage or final placement of hazardous waste including, but not limited to, dumps, landfills, lagoons and artificial treatment ponds, as to which area or structure no permit or authorization issued by the department or a federal agency for the disposal of hazardous waste was in effect after the effective date of this title and any inactive area or structure on the National Priorities List established under the authority of 42 U.S.C.A. Section 9605” (ECL 27-1301 [2]).

event the responsible party was unknown, unable or unwilling to ameliorate the situation.

The Superfund Coalition is a not-for-profit corporation whose members consist of commercial entities that own land within the State of New York listed on a registry of sites subject to Department regulation. Previously, in *Matter of New York State Superfund Coalition v New York State Dept. of Envtl. Conservation* (75 NY2d 88 [1989]), the Superfund Coalition asked this Court to address DEC regulations regarding the identification of “inactive hazardous waste disposal sites” requiring remedial action (see ECL 27-1303, 27-1313 [3]). In that case, this Court annulled the regulation, concluding that DEC had acted beyond its authority by enacting overreaching regulations that conflicted with the statutory scheme of the Legislature. While the Legislature had envisioned the utilization of a “significant threat” standard in the identification of inactive hazardous waste disposal sites—which contemplated the existence of an actual threat, or “more than the mere presence of hazardous waste” (75 NY2d at 93)—the corresponding regulation permitted the Department to identify waste sites based on the potential existence of hazardous waste (see *id.* at 93-94). This Court observed that, as constructed, “the DEC regulation would allow remedial programs to be ordered for *all* inactive hazardous waste disposal sites, not just those which pose a significant threat as targeted by the Legislature” (*id.* at 94 [internal quotation marks omitted]).

In this appeal, the Superfund Coalition now challenges regulations concerning the nature and breadth of remedial programs implemented to clean inactive hazardous waste disposal sites following their identification under the “significant threat” standard set forth by the Legislature. It commenced a combined CPLR article 78 proceeding and declaratory judgment action to challenge and annul regulations 6 NYCRR 375-2.8 (a), 6 NYCRR 375-1.8 (f) (9) (i), 6 NYCRR 375-2.2 (i) (7) and 6 NYCRR 375-1.8 (g) (5) on grounds that their adoption was in excess of the DEC’s jurisdiction, and arbitrary and capricious.

Supreme Court granted the petition in part, invalidating 6 NYCRR 375-2.8 (a) and 6 NYCRR 375-1.8 (f) (9) (i) as null and void.² The court reasoned that

“ECL 27-1313(5)(d) authorizes a complete cleanup

2. Supreme Court also annulled 6 NYCRR 375-2.2 (i) (7), but that regulation is not at issue on this appeal.

to the extent of the elimination of the significant threat and of the imminent danger of irreversible or irreparable damage to the environment. Had the Legislature wished to return every inactive hazardous waste site to predisposal conditions, it could have stopped at a complete cleanup. But it did not . . . In ignoring the statutory definitions and goals, the revised regulation is an unlawful continuation by the DEC to equate hazardous waste with significant threat, in that a return to predisposal conditions necessitates removal of all hazardous wastes, whereas the statute requires only the elimination of the significant threat and of the imminent danger of irreversible or irreparable damage to the environment” (internal quotation marks and citation omitted).

The Appellate Division unanimously modified by reversing the portion of Supreme Court’s order that annulled the two regulations (68 AD3d 1588 [3d Dept 2009]). The court, finding ambiguity in the language of section 27-1313 (5), deferred to DEC’s interpretation and concluded that “the regulatory goal is consistent with the statutory definition of inactive hazardous waste disposal site remedial program, which is broad enough to allow the employment of a wide range of methods and may address even potential hazards once DEC has made the threshold determination that remediation is necessary” (68 AD3d at 1590 [internal quotation marks and citation omitted]). This Court granted the Superfund Coalition leave to appeal (15 NY3d 712 [2010]).

The issue before this Court is whether regulations 6 NYCRR 375-2.8 (a) and 6 NYCRR 375-1.8 (f) (9) (i), which call for the restoration of inactive hazardous waste disposal sites to “predisposal conditions, to the extent feasible” exceed the enabling authority of Environmental Conservation Law § 27-1313 (5) (d) which provides, in pertinent part, that the goal of a remedial program is “a complete cleanup of the site through the elimination of the significant threat to the environment posed by the disposal of hazardous wastes at the site.” We hold that they do not, and now affirm.

II

It is axiomatic that “an agency’s authority must coincide with its enabling statute” (*Matter of New York State Superfund Coalition*, 75 NY2d at 92).

“Administrative agencies, as creatures of the Legislature within the executive branch, can act only to implement their charter as it is written and as given to them. An agency cannot create rules, through its own interstitial declaration, that were not contemplated or authorized by the Legislature and thus, in effect, empower themselves to rewrite or add substantially to the administrative charter itself” (*Matter of Tze Chun Liao v New York State Banking Dept.*, 74 NY2d 505, 510 [1989] [citations omitted]).

That is, we must consider whether the subject regulations have a statutory basis or represent an impermissibly broad exercise of authority by DEC, expanding the power conferred upon it by the Legislature.

Environmental Conservation Law § 27-1313 (5) (d) provides, as relevant here, that

“[t]he goal of any such remedial program shall be a complete cleanup of the site through the elimination of the significant threat to the environment posed by the disposal of hazardous wastes at the site and of the imminent danger of irreversible or irreparable damage to the environment caused by such disposal.”

6 NYCRR 375-2.8 (a), in turn, provides that

“[t]he goal of the remedial program for a specific site is to restore that site to pre-disposal conditions, to the extent feasible. At a minimum, the remedy selected shall eliminate or mitigate all significant threats to the public health and to the environment presented by contaminants disposed at the site.”

And 6 NYCRR 375-1.8 (f) (9) (i), which incorporates the remedial goal stated in 6 NYCRR 375-2.8 (a) into the consideration of land use when implementing a remedial program provides that

“[i]n assessing reasonable certainty [of land use], the Department shall consider:

“(i) the current, intended, and reasonably anticipated future land uses of the site and its surroundings in the selection of the remedy for soil remediation under the brownfield cleanup and

environmental restoration programs, and may consider land use in the State superfund program, where cleanup to pre-disposal conditions is determined not feasible.”

“Courts regularly defer to the governmental agency charged with the responsibility for administration of [a] statute in those cases where interpretation or application involves knowledge and understanding of underlying operational practices or entails an evaluation of factual data and inferences to be drawn therefrom, and the agency’s interpretation is not irrational or unreasonable” (*Matter of Lighthouse Pointe Prop. Assoc. LLC v New York State Dept. of Env’tl. Conservation*, 14 NY3d 161, 176 [2010] [internal quotation marks omitted]; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]).

However, if

“the question is one of pure statutory reading and analysis, dependent only on accurate apprehension of legislative intent, there is little basis to rely on any special competence or expertise of the administrative agency and its interpretive regulations are therefore to be accorded much less weight. And, of course, if the regulation runs counter to the clear wording of a statutory provision, it should not be accorded any weight” (*Matter of Lighthouse Pointe*, 14 NY3d at 176).

The Superfund Coalition argues—and the dissent agrees—that a plain reading of section 27-1313 (5) (d) indicates that a “complete cleanup” is effectuated solely through “the elimination of the significant threat to the environment.” In our view, though, this is a strained reading of a statute that on its face tasks the Department with eliminating significant threats while also stating a preference for a more thorough or “complete” cleanup. This reading is consistent with the well-settled rule of statutory construction that “effect and meaning must, if possible, be given to the entire statute and every part and word thereof” (McKinney’s Cons Laws of NY, Book 1, Statutes § 98; *Sanders v Winship*, 57 NY2d 391, 396 [1982]).

As an initial matter, we note that section 27-1313 (5) (d), in fact, addresses only those situations where DEC has determined that it is “cost-effective” for the Department itself to develop

and implement a remedial program at a site. Put another way, this provision—unlike 6 NYCRR 375-2.8 (a) and 6 NYCRR 375-1.8 (f) (9) (i)—does not apply where, for example, DEC orders a responsible party to implement a remedial program (*see* ECL 27-1313 [3]); or undertakes a remedial program itself because a responsible party is unwilling or unable to do so, or DEC is unable to timely identify a responsible party (ECL 27-1313 [5] [a], [b], [c]). Notably, the factors to be considered by the Department in determining whether it is “cost-effective” for it to act under ECL 27-1313 (5) (d) in the first place include “the ability of the department to determine, through the exercise of its scientific judgment, whether the elimination of the imminent danger of irreversible or irreparable damage to the environment” posed by the significant threat “can be achieved through *limited actions*”; and “the extent to which” remedial action undertaken by DEC “would *reduce* such danger to human health or the environment or would otherwise benefit human health or the environment” (ECL 27-1313 [5] [d] [i], [iv] [emphases added]). These factors support our view that the stated goal of a “complete” cleanup under section 27-1313 (5) (d) is aspirational since the statute recognizes that DEC may implement limited actions that reduce rather than completely eliminate dangers.

Our construction of the statute is also consistent with section 27-1301 (3), which defines inactive hazardous waste disposal site remedial programs as including “activities undertaken to eliminate, remove, *abate*, *control* or monitor health and/or environmental hazards or *potential hazards* in connection with inactive hazardous waste disposal sites” (ECL 27-1301 [3] [emphases added]). The Legislature’s express definition of a remedial program, which includes measures of abatement or control in addition to elimination and removal and refers to potential hazards, likewise evinces a preference for the most thorough cleanup that makes sense in light of technical feasibility and cost-effectiveness. Although the Superfund Coalition fears that the regulatory goal for a remedial program of “pre-disposal conditions, to the extent feasible,” if left in place, would require removal of “every last molecule” of contamination or cleanup to “pre-Columbian environmental quality,” DEC disavows any such intention. Indeed, as the Department points out, technical feasibility and cost-effectiveness bear importantly on remedy selection, as the regulations recognize. For example, a feasibility study may allow a responsible party to prepare a site for a “restricted use” (6 NYCRR 375-2.8 [c]; *see also* ECL

27-1317 [discussing remedial work plans calling for institutional and engineering controls]).

Thus, while the cleanup of an inactive hazardous waste disposal site is triggered by a finding of a “significant threat,” as discussed in the prior *Matter of New York State Superfund Coalition* (75 NY2d 88 [1989]) case, that standard does not limit the scope of the ensuing remedial program when a more thorough cleanup is justified. The direction to clean up to “pre-disposal conditions, to the extent feasible” (6 NYCRR 375-2.8 [a] [emphasis added]) is a shorthand way of saying the same thing and so accords with the aims of article 27, title 13 and the statutory language.

Finally, we note that although the Superfund Coalition refers to DEC’s adoption of the cleanup goal of “pre-disposal conditions, to the extent feasible” as marking a “sea change” in remedy selection, it is not new. The same language has been in DEC’s regulations since 1992. As originally adopted, the regulation stated that the goal of a remedial program was to restore a site to pre-disposal conditions “to the extent feasible *and authorized by law*” (former 6 NYCRR 375-1.10 [b] [emphasis added]). DEC simply eliminated the phrase “and authorized by law” as surplusage when amending the regulation in 2006. We agree with DEC and the Appellate Division that the omission of the phrase “and authorized by law” makes no substantive change to the cleanup goal.

In sum, there is no discernible difference between the use of the phrase “complete cleanup” in section 27-1313 (5) (d) and “pre-disposal conditions, to the extent feasible” in DEC’s regulations. A remedial program may encompass measures that run a gamut from removal of wastes to institutional controls, implemented to address harms that range from potential to actual hazards. Contrary to the Superfund Coalition’s contention that a standard of “pre-disposal conditions, to the extent feasible” would compel a reversion to pristine environmental conditions, there is no statutory authority, or indication in the regulations that DEC is empowered to arbitrarily fashion a remedial program.

III

Although a remedial program may address a greater number of environmental hazard concerns, the authority of DEC to order remedial programs is not unfettered, as previously indicated. As the Department itself recognizes in its regulations, remedial

programs are limited “to the extent feasible” as any remediation would be subject to a number of factors that must be considered in shaping the goals and scope of a program, prior to its implementation.

“In determining the scope, nature and content of such [remedial] program, the department shall consider among others, the following factors:

“(i) the technological feasibility of all actions;

“(ii) the nature of the danger to human health and the environment which the actions are designed to address; and

“(iii) the extent to which the actions would reduce such danger to human health or the environment or would otherwise benefit human health or the environment” (ECL 27-1313 [5] [c]).

Consequently, DEC is not empowered to unilaterally fashion a remedial program without due consideration of the practicalities of such a measure as the statutory scheme expressly ties the scope of such programs to the particular characteristics for each regulated site. Accordingly, the phrase “to the extent feasible” in the DEC regulation is a reasonable incorporation of the considerations within the statute and a limit on the scope of remedial programs.

Further, the Department cannot arbitrarily exercise its authority as the Legislature has provided for a specific process prior to the implementation of any remedial program by which landowners subject to DEC regulation may contest the order of such a measure. First, the issuance of an order directing a remedial program must provide “notice and the opportunity for a hearing” to persons subject to such an order (ECL 27-1313 [4]). Second, any person subject to such an order is entitled to present a defense or comment on the matter. Third, no order shall be issued until a final determination is rendered by the commissioner subsequent to a hearing. Finally, a person subject to an order may challenge it through a CPLR article 78 proceeding within 30 days after the service of an order (*see id.*).

IV

Pursuant to the statutory scheme of article 27, title 13 of the Environmental Conservation Law, DEC is authorized to identify inactive hazardous waste disposal sites under the “significant

threat” standard—i.e., the existence of actual waste on the site. If an actual significant threat is not present, then the site is not subject to remediation. However, if a significant threat has been found and remediation deemed necessary, an appropriately tailored program can be implemented to encompass dangers ranging from potential harms to actual, significant threats as the Legislature has separately defined “remedial program” to permit it to address other harms (ECL 27-1301 [3]). Ultimately, these administrative directives can be constrained by technological feasibility, cost-effectiveness and procedural due process, among other things. Consequently, the challenged DEC regulations, which mirror this statutory scheme, are reasonable interpretations that incorporate the essential goals of the statutes and do not exceed the enabling authority of the legislation with respect to the cleanup of inactive hazardous waste sites (*cf. Matter of Tze Chun Liao*, 74 NY2d at 510-511).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

PIGOTT, J. (dissenting). Over 20 years ago, we held that ECL 27-1301 (1) (b) and 27-1313 (3) require the Department of Environmental Conservation (DEC) to demonstrate that hazardous waste constitutes a “significant threat” to the environment before ordering the implementation and development of an “inactive hazardous waste disposal site remedial program,” nullifying a DEC regulation that allowed the DEC to render a “significant threat” determination premised only on the mere presence of hazardous waste on the site (*Matter of New York State Superfund Coalition v New York State Dept. of Env'tl. Conservation*, 75 NY2d 88, 93 [1989]). On this appeal, we address a corollary issue, namely, the breadth of the DEC’s remedial program once the DEC determines that the hazardous waste constitutes a “significant threat” to the environment. Because in my view the regulations in question here exceed the unambiguous directive of ECL 27-1313 (5) (d), I respectfully dissent.

ECL 27-1313 (5) (d) states, in relevant part, that

“the department shall be authorized to develop and implement an inactive hazardous waste disposal site remedial program at the site pursuant to this subdivision if, in the discretion of the department, it is cost-effective for the department to develop and implement such a remedial program. *The goal of*

any such remedial program shall be a complete cleanup of the site through the elimination of the significant threat to the environment posed by the disposal of hazardous wastes at the site and of the imminent danger of irreversible or irreparable damage to the environment caused by such disposal” (emphasis supplied).

Pursuant to this statute, the DEC promulgated 6 NYCRR 375-2.8 (a), which states that

“[t]he goal of the remedial program for a specific site is to restore that site to pre-disposal conditions, to the extent feasible” and that, *“[a]t a minimum, the remedy selected shall eliminate or mitigate all significant threats to the public health and to the environment presented by contaminants disposed at the site”* (emphasis supplied).¹

There is nothing ambiguous about ECL 27-1313 (5) (d): the objective of the remedial program is “complete cleanup” of the site, which is met “through the elimination of the significant threat.” Had the Legislature intended to grant the DEC authority to order a “complete cleanup” in the broad manner that the majority claims, then there would have been no need for the inclusion of the limiting clause “through the elimination of the significant threat.” But it is clear from the statutory language that the Legislature intended to limit the reach of the remedial program to the “elimination of the significant threat.” Therefore, 6 NYCRR 375-2.8 (a)’s directive that the remedial program’s goal is to achieve “pre-disposal conditions” not only directly contradicts its enabling statute, thereby entitling the DEC’s “interpretation” of ECL 27-1313 (5) (b) to no weight (*see Matter of Lighthouse Pointe Prop. Assoc. LLC v New York State Dept. of Env’tl. Conservation*, 14 NY3d 161, 176 [2010]), but it also exceeds the powers the Legislature granted to the DEC through ECL 27-1313 (5) (d)’s enactment (*see Matter of Tze Chun Liao v New York State Banking Dept.*, 74 NY2d 505, 510 [1989]).

The cost-effectiveness factors set forth at ECL 27-1313 (5) (d) (i) and (iv) lend no support to the majority’s conclusion that a “complete cleanup,” as they define it, is merely aspirational; the “limited actions” referenced by the majority underscore the

1. The other challenged regulation, 6 NYCRR 375-1.8 (f) (9) (i), incorporates the term “pre-disposal conditions.”

Legislature's intent that a "complete cleanup" is limited to the elimination of the significant threat. For instance, the first cost-effectiveness factor—a scientific determination of "whether the elimination of the imminent danger of irreversible or irreparable damage to the environment can be achieved through *limited actions*" (ECL 27-1313 [5] [d] [i] [emphasis supplied])—relates back to ECL 27-1313 (5) (d)'s definition of what conditions pose a "significant threat to the environment," namely, the "disposal of hazardous wastes" *and* the "imminent danger . . . caused by such disposal." In other words, the Legislature directed the DEC to conduct a scientific analysis to assess whether the elimination of the significant threat could be achieved with "limited actions," not, as the majority appears to claim, whether all "insignificant threats" (i.e., those hazardous wastes that do not pose an "imminent danger of irreversible or irreparable damage to the environment") can be removed. Moreover, the second cost-effectiveness factor cited by the majority—consideration of "the extent to which the actions would reduce such danger to human health or the environment or would otherwise benefit human health or the environment"—cannot be viewed in a vacuum (ECL 27-1313 [5] [d] [iv]). This cost-effectiveness factor, like ECL 27-1313 (5) (d) (i), is one the DEC must take into account in determining whether it would be cost-effective for it to develop an inactive hazardous waste disposal remedial program at the site to *eliminate the significant threat*, and cannot be interpreted as legislative approval for the institution of a DEC remedial program that extends beyond that objective.

The majority places undue significance on the fact that ECL 27-1301 (3)'s definition of "inactive hazardous waste disposal site remedial program"² includes the remediation of "potential hazards" (majority op at 297), as if this demonstrates a legislative intent that such a program may go beyond the elimination of the significant threat. Rather, the broad definition merely

2. An "inactive hazardous waste disposal site remedial program" is defined, as

"activities undertaken to eliminate, remove, abate, control or monitor health and/or environmental hazards or potential hazards in connection with inactive hazardous waste disposal sites or to treat or dispose of wastes and waste contaminated materials from such sites including, but not limited to, grading, contouring, trenching, grouting, capping, excavation, transporting, incineration, chemical treatment, biological treatment or construction of leachate collection and treatment facilities."

delineates the tools the DEC may use as part of its remedial program; it is not demonstrative of any legislative intent to grant the DEC authority to contravene ECL 27-1313 (5) (d) by allowing it to restore a site to pre-disposal conditions. Indeed, the DEC's definition of "significant threat" allows the Commissioner to identify potential hazards as a significant threat if "the Commissioner determines that the contaminants disposed at the site or coming from the site result in, *or are reasonably foreseeable to result in*" any of the "significant adverse impact[s]" or "effects" set forth in 6 NYCRR 375-2.7 (a) (1) (i)-(vi) or "significant environmental damage" (6 NYCRR 375-2.7 [a] [1], [2] [emphasis supplied]). Given the DEC's interpretation that a "significant threat" can encompass potential hazards, i.e., those that are "reasonably foreseeable to result in" certain designated harms, it can hardly be said that the Legislature's inclusion of the phrase "potential hazards" in ECL 27-1301 (3) was meant to apply to remediation of those wastes that do not pose a "significant threat" to the environment.

Finally, the majority tries to temper its expansive interpretation of ECL 27-1313 (5) (d) and 27-1301 (3) by pointing to 6 NYCRR 375-2.8 (a)'s language that the goal of any remedial program is to restore the site to its pre-disposal condition "to the extent feasible" (majority op at 298). This amorphous language, however, lends little comfort and certainty to actual and prospective owners of such sites, as it is the DEC, and the DEC alone, that will make the determination as to how extensively a site must be remediated and how much money the property owner must expend to return the site to "pre-disposal conditions," whatever that means. Moreover, DEC's interpretation of ECL 27-1313 (5) (d) goes beyond what any competent Legislature would permit, and these regulations, as upheld by the majority, codify a questionable policy of imposing upon private landowners the financial burden of eliminating *insignificant* threats to the environment which, in my view, is hardly a goal that justifies compelling private citizens to expend large sums of money. Had the Legislature intended such a draconian result, it would not have so clearly stated that a "complete cleanup" is one that is achieved "through the elimination of the significant threat," a directive that, until now, was one that could be easily followed and provided landowners and prospective landowners alike with certainty as to the cost of remediation. Therefore, I would reverse the order of the Appellate Division and grant the petition.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO and READ concur with Judge JONES; Judge PIGOTT dissents and votes to reverse in a separate opinion in which Judge SMITH concurs.

Order affirmed, with costs.

[960 NE2d 917, 937 NYS2d 126]

LEE BORDELEAU et al., Respondents, v STATE OF NEW YORK et al., Appellants.

Argued and submitted October 12, 2011; decided November 21, 2011

SUMMARY

APPEALS, by permission of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered June 24, 2010. The Appellate Division modified, on the law, an order of the Supreme Court, Albany County (Michael C. Lynch, J.; op 22 Misc 3d 1131[A], 2009 NY Slip Op 50380[U]), which had granted a motion by defendants State of New York and other governmental defendants, a motion by defendant International Business Machines Corporation, a motion by Advanced Micro Devices, Inc., a motion by West Genesee Hotel Associates, and a motion by American Axle & Manufacturing, Inc. to dismiss the complaint. The modification consisted of (1) reversing so much of the order as had granted defendants' motions to dismiss the first cause of action; (2) denying the motions to that extent; and (3) remitting the matter to Supreme Court to permit defendants to serve answers within 30 days of the date of the Appellate Division's decision. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Did this Court err, as a matter of law, in modifying, on the law, the order of the Supreme Court by reversing so much of the order which granted defendants' motions to dismiss the first cause of action, and remitting the matter to the Supreme Court for further proceedings no[t] inconsistent with this Court's decision and, as so modified, affirming the order?"

Bordeleau v State of New York, 74 AD3d 1688, reversed.

HEADNOTES

Constitutional Law — Gift of Public Funds — Appropriations to Public Benefit Corporations

1. Plaintiff taxpayers' challenge pursuant to article VII, § 8 (1) of the New York State Constitution to appropriations in the New York State 2008-2009 budget to defendant public benefit corporation to fund payments to private entities for public development purposes was properly dismissed by Supreme Court. Article VII, § 8 (1) of the State Constitution precludes the State from giving or loaning "money" to private recipients and it more broadly forbids the State from giving or lending its "credit" to private recipients or public corporations. Although the State may not lend its credit to a public corporation, such as defendant, nothing in article VII, § 8 (1) prohibits the State from

adopting appropriations directed to such public entities. Because public benefit corporations benefit from a status separate and apart from the State, money passed to public corporations consequently cannot be subject to the article VII, § 8 (1) prohibition against gifting or loaning State money as such money is no longer in the control of the State.

Constitutional Law — Gift of Public Funds — Appropriations to Fund Contracts with Private Entities

2. Plaintiff taxpayers' challenge pursuant to article VII, § 8 (1) of the New York State Constitution to appropriations in the New York State 2008-2009 budget to the State Department of Agriculture and Markets to fund agreements with not-for-profit organizations for the promotion of agricultural products grown or produced in New York, namely apple and grape crops and products, was properly dismissed by Supreme Court. An appropriation that results in funds being given directly by the State to private recipients is valid where it has a predominant public purpose and any private benefit is merely incidental. Here, the very purpose of the Department of Agriculture and Markets is to obtain specialized marketing services to promote a major industry in New York—the agriculture industry—for the overall benefit of the public and the State's competitiveness to foster growth in this important sector of the State's economy. Moreover, the Department is authorized to assist in the promotion and marketing of New York's wine and fruit products. The appropriations at issue here, which provided funding for contracts between the Department and the New York State Apple Growers Association, New York Wine and Grape Foundation and Long Island Wine Council, all fulfilled a predominantly public purpose and were not prohibited under article VII, § 8 (1).

Constitutional Law — Gift of Public Funds — Validity of Appropriations That Provide Funds to Private Entities

3. In resolving a challenge to an appropriation, whether under article VIII, § 1 or article VII, § 8 (1) of the New York State Constitution, that results in funds being given directly by the State to private recipients, such appropriation will be deemed valid if it has a predominant public purpose and any private benefit is merely incidental. *Murphy v Erie County* (28 NY2d 80 [1971]), not *People v Westchester County Natl. Bank of Peekskill, N.Y.* (231 NY 465 [1921]), provides the appropriate standard for resolving a challenge to such an appropriation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Agriculture §§ 23, 28, 30; AM JUR 2d, Public Funds §§ 46-49, 54, 60.

McKINNEY's, NY Const, art VII, § 8 (1).

NY JUR 2d, Agriculture and Crops §§ 17-24, 42, 43; NY JUR 2d, Public Funds §§ 54-56; NY JUR 2d, Taxpayers' Actions §§ 1-3.

ANNOTATION REFERENCE

See ALR Index under Agriculture; Public Moneys; Taxpayers' Actions.

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POINTS OF COUNSEL

Eric T. Schneiderman, Attorney General, Albany (Barbara D. Underwood, Paul Groenwegen and Andrew D. Bing of counsel), for State of New York, appellant. I. Appropriations for the public purpose of promoting economic development do not contravene article VII, § 8 of the State Constitution. (*Matter of New York Charter Schools Assn., Inc. v DiNapoli*, 13 NY3d 120; *Wein v State of New York*, 39 NY2d 136; *Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y.*, 46 NY2d 358; *Comereski v City of Elmira*, 308 NY 248; *Schulz v State of New York*, 84 NY2d 231; *People v Westchester County Natl. Bank of Peekskill*, N.Y., 231 NY 465; *Murphy v Erie County*, 28 NY2d 80; *Denihan Enters. v O'Dwyer*, 302 NY 451; *Tribeca Community Assn. v New York State Urban Dev. Corp.*, 200 AD2d 536, 83 NY2d 905; *Matter of Schulz v Warren County Bd. of Supervisors*, 179 AD2d 118.) II. The appropriations to the New York State Urban Development Corporation are also lawful because the Constitution permits gifts of State funds to a public corporation. (*Wein v State of New York*, 39 NY2d 136; *Schulz v State of New York*, 84 NY2d 231; *Town of Rye v Union Free School Dist.*, 280 NY 469; *Comereski v City of Elmira*, 308 NY 248; *Wein v City of New York*, 36 NY2d 610; *Matter of Plumbing, Heating, Piping & A.C. Contrs. Assn. v New York State Thruway Auth.*, 5 NY2d 420.) III. The appropriations provided funding for expenditures made for services rendered or other consideration. (*Matter of Signacon Controls v Mulroy*, 32 NY2d 410; *McKenzie v Harrison*, 120 NY 260; *Tribeca Community Assn. v New York State Urban Dev. Corp.*, 200 AD2d 536.)

Greenberg Traurig, LLP, Albany (Harold Iselin, Cynthia E. Neidl and Victoria P. Lane of counsel), for Globalfoundries U.S., Inc., appellant. I. With regard to funding for projects designed to be in the public interest, courts are required to exercise a large measure of restraint. (*Godfrey v Spano*, 13 NY3d 358; *McNeary v Niagara Mohawk Power Corp.*, 286 AD2d 522; *Rovello v Orofino Realty Co.*, 40 NY2d 633; *Allen v City of New York*, 49 AD3d 1126; *Guggenheimer v Ginzburg*, 43 NY2d 268; *Rivietz v Wolohojian*, 38 AD3d 301; *Matter of Moran Towing Corp. v Urbach*, 99 NY2d 443; *Cohen v State of New York*, 94 NY2d 1;

Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y., 46 NY2d 358; *Wein v City of New York*, 36 NY2d 610.) II. Plaintiffs lack standing to challenge the Empire State Development Corporation appropriations. (*Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Schulz v State of New York*, 193 AD2d 171; *Wein v Comptroller of State of N.Y.*, 46 NY2d 394; *Matter of Transactive Corp. v New York State Dept. of Social Servs.*, 92 NY2d 579; *Matter of Colella v Board of Assessors of County of Nassau*, 95 NY2d 401.) III. Plaintiffs' conclusory allegations concerning the Empire State Development Corporation appropriations and grant fail to state a claim. (*Godfrey v Spano*, 13 NY3d 358; *Wein v City of New York*, 36 NY2d 610; *Comereski v City of Elmira*, 308 NY 248; *Rivietz v Wolohojian*, 38 AD3d 301.) IV. The Empire State Development Corporation appropriations and grant do not violate New York Constitution, article VII, § 8 because they involve neither the money nor the credit of the State and are neither a gift nor a loan. (*Schulz v State of New York*, 84 NY2d 231; *Saratoga Harness Racing Assn. v Agriculture & N.Y. State Horse Breeding Dev. Fund*, 22 NY2d 119; *Wein v State of New York*, 39 NY2d 136; *Comereski v City of Elmira*, 308 NY 248; *Yonkers Community Dev. Agency v Morris*, 37 NY2d 478; *Matter of West 41st St. Realty v New York State Urban Dev. Corp.*, 298 AD2d 1; *New York State Urban Dev. Corp. v Vanderlex Mdse. Co.*, 98 Misc 2d 264; *Matter of Signacon Controls v Mulroy*, 32 NY2d 410; *McKenzie v Harrison*, 120 NY 260; *Matter of La Barbera v Town of Woodstock*, 29 AD3d 1054.)

Cravath, Swaine & Moore LLP, New York City (Teena-Ann V. Sankoorikal and Evan R. Chesler of counsel), and Alec S. Berman, White Plains, for International Business Machines Corporation, appellant. I. The pleading fails to state a cause of action and dismissal is appropriate under CPLR 3211 (a) (7). (*Held v Kaufman*, 91 NY2d 425; *Schulz v State of New York*, 84 NY2d 231; *Leon v Martinez*, 84 NY2d 83; *Mark Hampton, Inc. v Bergreen*, 173 AD2d 220, 80 NY2d 788; *Maas v Cornell Univ.*, 94 NY2d 87; *Weimer v City of Johnstown*, 249 AD2d 608; *Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314.) II. The Appellate Division erred as a matter of law in reversing the Supreme Court's order dismissing the first cause of action. (*Wein v State of New York*, 39 NY2d 136; *People v Westchester County Natl. Bank of Peekskill, N.Y.*, 231 NY 465; *Schulz v State of New York*, 84 NY2d 231; *Comereski v City of Elmira*, 308 NY 248; *Matter of Smith v Levitt*, 30 NY2d 934; *Arker Cos. v New York State Urban Dev. Corp.*, 47 AD3d 739; *Matter of Plumbing, Heating,*

Piping & A.C. Contrs. Assn. v New York State Thruway Auth., 5 NY2d 420; *Matter of Levy v City Commn. on Human Rights*, 85 NY2d 740; *Collins v Manhattan & Bronx Surface Tr. Operating Auth.*, 62 NY2d 361; *Matter of Goldstein v New York State Urban Dev. Corp.*, 64 AD3d 168.)

Lippes Mathias Wexler Friedman LLP, Buffalo (Thomas J. Gaffney, Kevin J. Cross and Kenneth R. Kirby of counsel), for West Genesee Hotel Associates, appellant. I. The Supreme Court correctly determined, as a matter of law based on documentary evidence, that the state's main or primary object for appropriating funds to Empire State Development Corporation for it to assist in the funding of the upgrading, refurbishment and renovation of Hyatt-Regency Hotel in downtown Buffalo was for the public purposes or benefits of enhancing the Buffalo region's marketability as a convention venue and destination, thereby increasing the publicly-owned Buffalo and Niagara convention center's convention business, increasing economic activity in Buffalo and the surrounding region, and/or creating or retaining New York State jobs; all, as opposed to gifting state money to West Genesee Hotel Associates without any corresponding public benefit(s) or purpose(s); hence, the plaintiffs' first cause of action was correctly dismissed by the Supreme Court. (*Matter of Frosliid v Hults*, 20 AD2d 498, 14 NY2d 722, 756; *Matter of La Barbera v Town of Woodstock*, 29 AD3d 1054, 7 NY3d 844; *Matter of Teachers Assn., Cent. High School Dist. No. 3 [Board of Educ., Cent. High School Dist. No. 3, Nassau County]*, 34 AD2d 351; *Matter of Goldstein v New York State Urban Dev. Corp.*, 64 AD3d 168, 13 NY3d 511; *Vitucci v New York City School Constr. Auth.*, 289 AD2d 479; *Sunrise Props. v Jamestown Urban Renewal Agency*, 206 AD2d 913; *Matter of Palmateer v Greene County Indus. Dev. Agency*, 38 AD3d 1087; *Tribeca Community Assn. v New York State Urban Dev. Corp.*, 200 AD2d 536; *Matter of Humane Socy. of U.S. v Empire State Dev. Corp.*, 53 AD3d 1013; *Matter of Glen Cove Community Dev. Agency [Ardaas, Inc.]*, 259 AD2d 750.) II. The state's funding of the Empire State Development Corporation should be upheld, as legislative acts enjoy a presumption of legality. (*Matter of Frosliid v Hults*, 20 AD2d 498; *Schulz v State of New York*, 84 NY2d 231; *Hotel Dorset Co. v Trust for Cultural Resources of City of N.Y.*, 46 NY2d 358; *Wein v State of New York*, 39 NY2d 136; *Matter of Kaur v New York State Urban Dev. Corp.*, 15 NY3d 235; *Matter of Goldstein v New York State Urban Dev. Corp.*, 64 AD3d 168, 13 NY3d 511; *De Matteis v Town of Hempstead*, 286 App Div 1025; *Waterloo Woolen Mfg. Co. v Shanahan*, 128 NY

345; *Matter of Hicks Dev. Corp. v Incorporated Vil. of Lawrence*, 282 App Div 1048, 306 NY 922; *City of Utica v Damiano*, 22 Misc 2d 804.) III. Neither plaintiffs nor their expert raised a genuine issue of fact, and plaintiffs' expert applied an incorrect test to the challenged appropriations. (*Schulz v State of New York*, 160 Misc 2d 741; *Washington Mut. Bank, F.A. v SIB Mtge. Corp.*, 21 AD3d 953.) IV. The cases relied upon by the Appellate Division are distinguishable, inapposite, or inconsistent with more recent precedent. (*People v Westchester County Natl. Bank of Peekskill, N.Y.*, 231 NY 465; *Schulz v State of New York*, 84 NY2d 231; *Wein v State of New York*, 39 NY2d 136; *Murphy v Erie County*, 28 NY2d 80; *Matter of County of Erie v Kerr*, 49 AD2d 174; *Matter of Frosolid v Hults*, 20 AD2d 498; *Tribeca Community Assn. v New York State Urban Dev. Corp.*, 200 AD2d 536, 83 NY2d 905; *Schulz v State of New York*, 160 Misc 2d 741; *Matter of Schulz v State of New York*, 86 NY2d 225.) V. There are alternative grounds for affirming dismissal of the complaint against West Genesee. (*People v Carroll*, 3 NY2d 686; *Town of Massena v Niagara Mohawk Power Corp.*, 45 NY2d 482; *Matter of Padwee v Lustenberger*, 226 AD2d 897; *Panetta v Tonetti*, 182 AD2d 977; *Schulz v State of New York*, 84 NY2d 231; *Wein v State of New York*, 39 NY2d 136; *People v Ohrenstein*, 77 NY2d 38; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Huron Group, Inc. v Pataki*, 5 Misc 3d 648, 23 AD3d 1051, 6 NY3d 803; *Matter of Schulz v De Santis*, 218 AD2d 256.) VI. The Supreme Court's dismissals of the plaintiffs' second and third causes of action are not properly before this Court; however, if the said dismissals are reviewed, they were correct. (*Royal v Brooklyn Union Gas Co.*, 122 AD2d 132; *Saxton v Carey*, 44 NY2d 545.)

James M. Ostrowski, Buffalo, for respondents. I. The Constitution bans cash grants to private firms for economic development. (*Wein v State of New York*, 39 NY2d 136; *People v Westchester County Natl. Bank of Peekskill, N.Y.*, 231 NY 465; *Smith v Smythe*, 197 NY 457; *Murphy v Erie County*, 28 NY2d 80; *Matter of Schulz v State of New York*, 86 NY2d 225; *People v Ohrenstein*, 77 NY2d 38; *Tribeca Community Assn. v New York State Urban Dev. Corp.*, 200 AD2d 536; *Matter of Schulz v Warren County Bd. of Supervisors*, 179 AD2d 118; *Matter of Palmtree v Greene County Indus. Dev. Agency*, 38 AD3d 1087; *Schulz v State of New York*, 84 NY2d 231.) II. There is no convention center exception to the ban on subsidies. (*Matter of Frosolid v Hults*, 20 AD2d 498; *Matter of Teachers Assn., Cent. High School Dist. No. 3 [Board of Educ., Cent. High School Dist. No. 3,*

Nassau County], 34 AD2d 351.) III. The state cannot avoid the ban on cash grants to private firms by laundering the money through a public corporation. (*Wein v State of New York*, 39 NY2d 136; *People v Westchester County Natl. Bank of Peekskill*, N.Y., 231 NY 465; *Comereski v City of Elmira*, 308 NY 248; *Schulz v State of New York*, 84 NY2d 231; *Matter of Smith v Levitt*, 30 NY2d 934; *Matter of Schulz v Pataki*, 272 AD2d 758; *John Grace & Co. v State Univ. Constr. Fund*, 44 NY2d 84.) IV. A promise to engage in economic development is not adequate consideration for a cash grant. (*Matter of Schulz v State of New York*, 86 NY2d 225; *People v Westchester County Natl. Bank of Peekskill*, N.Y., 231 NY 465; *Van Curler Dev. Corp. v City of Schenectady*, 59 Misc 2d 621; *Matter of La Barbera v Town of Woodstock*, 29 AD3d 1054; *Admiral Realty Co. v City of New York*, 206 NY 110; *Matter of Antonopoulou v Beame*, 32 NY2d 126.) V. The defendants failed to demonstrate that cash grants to private firms serve a public purpose. VI. The plaintiffs have overcome the presumption of constitutionality. VII. There is an issue of fact whether cash grants to private firms serve a public purpose. (*Denihan Enters. v O'Dwyer*, 302 NY 451.) VIII. The plaintiffs have standing. IX. The complaint contains sufficient detail to allow the defendants to prepare a defense.

OPINION OF THE COURT

JONES, J.

The issue before this Court is whether plaintiffs' challenge to appropriations in the New York State 2008-2009 budget, pursuant to article VII, § 8 (1) of the New York State Constitution, can survive a motion to dismiss. We conclude that it cannot.

Plaintiffs, a group of 50 taxpayers of the State of New York, commenced this declaratory judgment action against the State, New York State Urban Development Corporation (UDC) doing business as Empire State Development Corporation (ESDC), International Business Machines Corporation (IBM), Advanced Micro Devices, Inc., West Genesee Hotel Associates, American Axle & Manufacturing, Inc., among other defendants, challenging numerous loans and grants issued by public defendants to private entity defendants and other private companies in order to stimulate economic development. Plaintiffs broadly allege that certain grants to private entities violate the constitutional ban on gifts of state monies to private firms. More specifically, they challenge the State's practice of designating state funds for the purpose of economic development as unconstitutional.

The challenged appropriations fall into two general categories. The vast majority were state appropriations to the UDC, a public benefit corporation, to fund payments to private entities for public development purposes.¹ Projects falling within this classification include the expansion of semiconductor manufacturing facilities at the University of Albany Nanotech Complex and the Globalfoundries U.S., Inc. (formerly Advanced Micro Devices) project in Malta, Saratoga County. The second category of appropriations listed in the complaint addresses funds allocated to the State Department of Agriculture and Markets to fund contracts with not-for-profit corporations for the purpose of marketing and promoting New York agricultural products. In particular, the complaint identifies appropriations designated for the New York State Apple Growers Association, New York Wine and Grape Foundation and Long Island Wine Council.

State defendants, IBM, Advanced Micro Devices, West Genesee Hotel Associates, and American Axle & Manufacturing, Inc. moved to dismiss the complaint pursuant to CPLR 3211 (a) (1) as barred by documentary evidence and CPLR 3211 (a) (7) for failure to state a cause of action. Supreme Court granted defendants' motion and dismissed the complaint (22 Misc 3d 1131[A], 2009 NY Slip Op 50380[U] [2009]). Plaintiffs appealed.

The Appellate Division modified Supreme Court by reversing so much thereof as granted defendants' motions to dismiss the first cause of action (74 AD3d 1688 [2010]). The court rejected the defendants' argument that the State may grant public funds to public benefit corporations for public-private partnerships or for projects to spur economic development in the State. The court granted defendants' motion for leave to this Court and certified the following question:

1. The UDC was created in 1968 by the New York State Urban Development Corporation Act (*see* McKinney's Uncons Laws of NY § 6254). The legislative findings emphasized that

“[i]t is hereby declared to be the policy of the state to promote a vigorous and growing economy, to prevent economic stagnation and to encourage the creation of new job opportunities in order to protect against the hazards of unemployment, reduce the level of public assistance to now indigent individuals and families, increase revenues to the state and to its municipalities and to achieve stable and diversified local economies” (McKinney's Uncons Laws of NY § 6252).

The Act created the Empire State Economic Development Fund and the JOBS Now Program, which authorize the UDC to make grants and loans for economic development purposes (*see* McKinney's Uncons Laws of NY §§ 6266-h, 6266-i).

“Did this Court err, as a matter of law, in modifying, on the law, the order of the Supreme Court by reversing so much of the order which granted defendants’ motions to dismiss the first cause of action, and remitting the matter to the Supreme Court for further proceedings no[t] inconsistent with this Court’s decision and, as so modified, affirming the order?” (2010 NY Slip Op 82494[U] [2010]).

We now reverse and answer the question in the affirmative.

At the outset, we observe that plaintiffs’ “burden is a heavy one” (*Schulz v State of New York*, 84 NY2d 231, 241 [1994] [*Schulz I*]). It is well established that “enactments of the Legislature—a coequal branch of government—enjoy a strong presumption of constitutionality” (*id.*). In this case, plaintiffs’ burden is “exceedingly strong” because they challenge public expenditures designed in the public interest (*Wein v State of New York*, 39 NY2d 136, 145 [1976]). Indeed, we have recognized the need for deference involving “public funding programs essential to addressing the problems of modern life, unless such programs are ‘patently illegal’ ” (*Schulz I*, 84 NY2d at 241). As such, unconstitutionality must be proven beyond a reasonable doubt.

Article VII, § 8 (1) of the State Constitution broadly declares, in relevant part,

“[t]he money of the state shall not be given or loaned to or in aid of any private corporation or association, or private undertaking; nor shall the credit of the state be given or loaned to or in aid of any individual, or public or private corporation or association, or private undertaking.”

This provision contains two separate prohibitions: first, it precludes the State from giving or loaning “money” to private recipients and, second, it more broadly forbids the State from giving or lending its “credit” to private recipients or public corporations. Hence, while the State may not lend its credit to a public corporation, such as the UDC, nothing in article VII, § 8 (1) prohibits the State from adopting appropriations directed to such public entities. Before addressing the specific arguments of the parties, it is helpful to briefly trace the history of article VII, § 8 (1).

In 1846, the voters of the State of New York amended the Constitution to prevent the giving or lending of the State’s credit to private corporations (*see Wein*, 39 NY2d at 143-144; *see*

also *People v Ohrenstein*, 77 NY2d 38, 50 [1990]). At issue then was the State's "prior practices of subsidizing private railroad and canal companies through long-term State debt obligations" (*Matter of Schulz v State of New York*, 86 NY2d 225, 233 [1995] [*Schulz II*]). Such practices "produced a fiscal crisis for the State government" when those companies failed and the State was forced to pay their debts (*Ohrenstein*, 77 NY2d at 50; see also *Schulz I*, 84 NY2d at 241-242 ["Of particular concern, and the impetus for change, was the lending of public credit to private, 'irresponsible' corporations. Following the onset of economic depression in 1837, private railroad corporations defaulted on obligations that had been assumed on the strength of liberally granted State credit. The State assumed the liabilities, with no hope of reimbursement, and by 1845 more than three fifths of the entire State debt was the result of such loans"]). It is therefore clear that the disbursement of public funds to cover the debts of private corporations led directly to the adoption of that constitutional amendment.

The 1846 Constitution, however, did not bar gifts of state money because, as this Court recognized over a century later, the granting of state money was a one-time event that "does not bind future generations or create the same dangers of collapse, insolvency and crisis associated with the abuse of credit" (*Schulz I*, 84 NY2d at 246). Nevertheless, the constitutional prohibition was later expanded in the 1874 Amendments to the Constitution to preclude the giving and lending of public money to aid any private entity or undertaking (see *Ohrenstein*, 77 NY2d at 50 ["Neither the credit nor the money of the State shall be given or loaned to aid or in aid of any association, corporation or private undertaking (former art VIII, § 9)"]). The purpose of that amendment was to prevent the State's practice of freely granting "public funds to railroads and to charitable associations" (*People v Westchester County Natl. Bank of Peekskill*, N.Y., 231 NY 465, 473 [1921]) because a concern had arisen regarding the inability of the State to "superintend the expenditure of the money, or even control it, so far as to compel its use for the purposes for which it was appropriated" (1873 NY Senate Doc No. 70, at 39).

More than 60 years later, the Constitutional Convention of 1938 combined the two separate provisions dealing with gifts or loans of state money and credit into article VII, § 8 (para 1). The 1938 Constitution also amended the scope of the prohibition against giving or lending the State's credit, for the first

time making it applicable to public corporations (*see Wein*, 39 NY2d at 144 [explaining that the newly broadened credit provision “was intended to protect the State from the uncertain and possibly disastrous consequences of incurring future contingent liabilities, liabilities easy for a current generation to project but a burden on future generations”]). The 1938 Constitution, however, did not extend the prohibition against the giving or loaning of the State’s money, which continues to apply only to private recipients. The constitutional provision at issue has remained essentially unchanged since 1938.² Against this backdrop, we turn to the parties’ contentions.

[1] Defendants contend that the first category of the challenged appropriations—those given to the ESDC to expend for its statutorily authorized purposes, including economic development—falls outside the scope of article VII, § 8 (1) because that provision permits gifts and loans of money to public benefit corporations. Characterizing public benefit corporations as “agencies of the State,” plaintiffs counter that State defendants have given or are about to give, and that private defendants have received or are about to receive, state funds as gifts. Plaintiffs highlight certain grants designated to private corporations by the ESDC. At bottom, plaintiffs claim, and the dissent agrees, that the appropriations to the ESDC are unconstitutional because the State may not achieve indirectly that which cannot be done directly. We believe that defendants have the more accurate argument.

With an apparent goal to “insulate the State from the burden of long-term debt,” the Legislature, beginning in 1921, created “legally separate public benefit corporations, known as public authorities, to discharge particular functions” (*Schulz I*, 84 NY2d at 244). “[A] prime purpose for creating such corporations was to separate their administrative and fiscal functions from the State and its subdivisions” (*Collins v Manhattan & Bronx Surface Tr. Operating Auth.*, 62 NY2d 361, 367-368 [1984]). Essentially, these public benefit corporations serve “to ‘protect the State from liability and enable public projects to be carried on free from restrictions otherwise applicable’ ” (*Schulz I*, 84 NY2d at 244 [internal quotation marks omitted]; *see Collins*, 62 NY2d at 369, quoting *Matter of Plumbing, Heating, Piping & A.C. Contrs. Assn. v New York State Thruway Auth.*, 5

2. In 1961, subdivision (3) of this provision was added to ease the limitations on the use of state loans for job creation purposes.

NY2d 420, 423 [1959] [“Although created by the State and subject to dissolution by the State, these public corporations are independent and autonomous, deliberately designed to be able to function with a freedom and flexibility not permitted to an ordinary State board, department or commission”]).

It is well settled that “public benefit corporations exist[] independently of the State” (*Schulz I*, 84 NY2d at 246). This Court has “consistently recognized public authorities as legal entities separate from the State, enjoying an existence separate and apart from the State, its agencies and political subdivisions” (*id.* at 246 n 4). And significantly, it is undisputed that article VII, § 8 (1) permits the granting of public funds to public benefit corporations for a public purpose (*Wein*, 39 NY2d at 140; *see also Schulz I*, 84 NY2d at 246 [“While the provision bars the State from lending its ‘credit’ to a public corporation, the State is nonetheless free to give money to a public authority and to commit itself to giving future gifts”]). These two principles do not, however, stand alone as both have been recognized since the inception of public authorities.

Concurrent with their status as entities separate from the State, the ability of public authorities and public benefit corporations to receive public funds was acknowledged in *Matter of Dormitory Auth. of State of N.Y. (Span Elec. Corp.)* (18 NY2d 114 [1966]). And in *Schulz I*, we noted that the Constitution of 1938 accepted the creation of the “new vehicle” devised by the Legislature by giving “full recognition to the existence of public benefit corporations, their independent capacity to contract debt, and the continued power of the State to make gifts of money to those authorities” (*Schulz I*, 84 NY2d at 244, 246). More specifically, the 1938 Constitution not only recognized the viability of public benefit corporations, but also limited the prohibition of giving or loaning state money to “any private corporation or association, or private undertaking,” rather than the former, broader prohibition “in aid of any association, corporation or private undertaking” (NY Const, art VII, § 8 [1]; former art VIII, § 9; *see Quirk and Wein, A Short Constitutional History of Entities Commonly Known as Authorities*, 56 Cornell L Rev 521, 577, 579 [1971]). Because public benefit corporations benefit from a status separate and apart from the State, money passed to public corporations consequently cannot be subject to the article VII, § 8 (1) prohibition against gifting or loaning state money as such money is no longer in the control of the State (*see generally Matter of New York Pub. Interest Research*

Group v New York State Thruway Auth., 77 NY2d 86 [1990] [rejecting arguments as to the State's control over a public authority's funds]).

There is no doubt that the constitutional limitations at issue serve to prevent improvident fiscal decision-making and preferential treatment (see *Westchester County*, 231 NY at 474). Such concerns were the subject of debate during the 1938 Constitutional Convention. But the Convention and subsequent ratification of the amendments by the electorate demonstrated the approval for the ability of public benefit corporations to receive and expend public monies, enable the development and performance of public projects and be independent of the State (see *Problems Relating to Executive Administration and Powers*, 1938 Rep of NY Constitutional Convention Comm, vol 8, at 325-326 [the Poletti Report]; *Schulz I*, 84 NY2d at 246). Thus, plaintiffs cannot challenge the grants at issue by a public benefit corporation, like the UDC, under article VII, § 8 (1) of the State Constitution. Consequently, even viewing the complaint in a light most favorable to plaintiffs (*Leon v Martinez*, 84 NY2d 83, 87-88 [1994]), it is insufficient to proceed against defendants under the first challenged category of appropriations.

[2] Turning to the narrower second category—involving appropriations to the State Department of Agriculture and Markets to fund agreements with not-for-profit organizations for the promotion of agricultural products grown or produced in New York, namely apple and grape crops and products—defendants contend that the complaint fails to state a claim even though such funds were given directly by the State to private recipients. Relying on *Murphy v Erie County* (28 NY2d 80 [1971]), defendants assert that an appropriation is valid where it has a predominant public purpose and any private benefit is merely incidental. Again, we agree.

In *Murphy*, the county issued bonds to finance the construction of a stadium that would be leased to, or managed by, a private entity. The transaction was challenged under article VIII, § 1 of the New York State Constitution³ on the basis of a claim that by giving control over the stadium to a private management company “and not retaining any right to use the facility, the county converted the stadium into a private use for

3. Article VIII, § 1 is the local analogue to article VII, § 8 (1), prohibiting local governments from giving or loaning any money to private recipients or giving or lending their credit to private or public corporations.

[the private entity's] benefit" (*id.* at 87). We rejected the constitutional claim, reasoning that although a private firm "will also derive a benefit from" the transaction, the stadium would serve a "very public purpose" (*id.*). The Court distinguished *Westchester County*—the 1921 precedent upon which the dissent hinges its analysis—on the basis that the benefit of the challenged expenditure in that case "accrued only to a private party" (*id.* at 88). We held that "an incidental private benefit" will not "invalidate a project which has for its primary object a public purpose" (*id.* [internal quotation marks omitted]).

[3] We conclude that *Murphy*, not *Westchester County*, provides the appropriate standard for resolving a challenge to an appropriation, whether under article VIII, § 1 or article VII, § 8 (1). Here, the very purpose of the Department of Agriculture and Markets is to obtain specialized marketing services to promote a major industry in New York—the agriculture industry—for the overall benefit of the public and the State's competitiveness to foster growth in this important sector of the State's economy (*see* Agriculture and Markets Law § 3). Moreover, the Department is authorized to assist in the promotion and marketing of New York's wine and fruit products (*see* Agriculture and Markets Law § 16 [2-b]). The appropriations at issue here, which provide funding for contracts between the Department and the New York State Apple Growers Association, New York Wine and Grape Foundation and Long Island Wine Council, all fulfill a predominantly public purpose and are not prohibited under article VII, § 8 (1).

In sum, we find no constitutional infirmity to the challenged appropriations. Although some, like plaintiffs and the dissent, may question the wisdom of the policy choices, "the Legislature has made a valid legislative judgment" (*Dalton v Pataki*, 5 NY3d 243, 272 [2005]; *see also Local Govt. Assistance Corp. v Sales Tax Asset Receivable Corp.*, 2 NY3d 524, 528 [2004] ["The wisdom of this legislation is not a matter for this Court to address"]).

Accordingly, the order of the Appellate Division should be reversed, with costs, the first cause of action of plaintiffs' complaint dismissed, and the certified question answered in the affirmative.

PIGOTT, J. (dissenting). Unconstitutional acts do not become constitutional by virtue of repetition, custom or passage of time.

But that is what the majority opinion holds today. The arguments made by these defendants are precisely the kind of claims that sully taxpayers' view of our state government. It is unfortunate that the majority gives credence to those arguments and, as a result, deprives these plaintiffs—50 New York State taxpayers who are attempting to exercise their right to air their grievances—of an opportunity to conduct the most basic discovery to support their claims.

Far from being complex, article VII, § 8 (1) of the New York State Constitution (the Gift Clause) explicitly forbids what plaintiffs claim the State defendants are doing in this case. It states:

“1. The money of the state shall not be given or loaned to or in aid of any private corporation or association, or private undertaking; nor shall the credit of the state be given or loaned to or in aid of any individual, or public or private corporation or association, or private undertaking, but the foregoing provisions shall not apply to any fund or property now held or which may hereafter be held by the state for educational, mental health or mental retardation purposes” (emphasis supplied).

According plaintiffs' complaint a fair reading, it is clear that they assert that money of the State is being “given or loaned to or in aid of . . . private corporation[s]” for the purpose of economic development. Defendants' assertion that the appropriations serve the “public purpose of promoting economic development” contravenes not only our case law but the underlying purpose of the Gift Clause itself. Our State Constitution's prohibition against giving or loaning money to private corporations dates back to 1874,¹ when the citizenry adopted an amendment that read, in pertinent part, as follows: “[**Credit or money of the State not to be given.**] Neither the credit nor the money of the State shall be given or loaned to or in aid of any association, corporation or private undertaking” (1846 NY Const, art VIII, § 10, as amended by Const Amends of 1874 [emphasis supplied]; *Problems Relating to Taxation and Finance*, 1938 Rep of

1. The prohibition against loaning the *credit* of the state “to, or in aid of any individual, association or corporation” goes back even farther, to 1846 (1846 NY Const, art VII, § 9). That prohibition was, in part, in response to the state utilization of the public credit to finance failing and/or insolvent private railroads (see 2 Lincoln, *Constitutional History of New York*, at 91-101, 179-182, 552 [1994]).

NY Constitutional Convention Comm, vol 10, at 114). We examined that amendment in *People v Westchester County Natl. Bank of Peekskill, N.Y.* and, although that case involved the gift of the State's *credit* to soldiers who served during World War I, not to satisfy an obligation owed to them but rather as a gratuity, I find the Court's interpretation of that amendment instructive to defendants' collective arguments here that the Empire State Development Corporation's (ESDC) distribution of taxpayer dollars to private corporations should be upheld as serving a public purpose:

"Whether the purpose [of the gift or loan of credit] is a public one . . . is no longer the sole test as to the proper use of the state's credit. Such a purpose may not be served in one particular way. However important, however useful the objects designed by the [L]egislature, they may not be accomplished by a gift or a loan of credit to an individual or to a corporation. It will not do to say that the character of the act is to be judged by its main object—that because the purpose is public, the means adopted cannot be called a gift or a loan. To do so would be to make meaningless the provision adopted by the convention of 1846. Gifts of credit to railroads served an important public purpose. That purpose was distinctly before the [L]egislatures that made them. Yet they were still gifts and so were prohibited" (231 NY 465, 475 [1921] [emphasis supplied]).

Perhaps most telling is that Judge Cardozo disagreed with the majority's holding that the proposed payments to the returning soldiers violated the Gift Clause, and elucidated that the true purpose of the clause was not to prohibit the Legislature from pledging the credit of the State "in recognition of an honorable obligation" but rather "was to put an end to the use of the credit of the state in fostering the growth of private enterprise and business" (*id.* at 483-484 [Cardozo, J., dissenting]). And this is what plaintiffs have asserted in their complaint. The fact that the *Westchester County Natl. Bank* case dealt with the gift of credit as opposed to a gift of money is irrelevant; it is evident from that case that, even if the Legislature had proposed paying cash to the World War I veterans instead of using the State's bonding authority, the outcome would have been the same, because the issue was whether the issuance of bonds on behalf of the veterans was a gift, irrespective of its form.

In 1967, the voters rejected a proposed amendment to the State Constitution that would have allowed the distribution of funds to private businesses for the purpose of economic development in the same manner the ESDC is distributing funds now. The proposed (and subsequently rejected) amendment stated as follows:

“The state, any local government and any other *public corporation* may grant to any person, association or *private corporation* in any year or periodically by contract, or loan its money for *economic and community development purposes*,^[2] but the proceeds of indebtedness contracted for any such purpose shall be used only for loans for capital construction” (12 Proceedings of 1967 NY Constitutional Convention, at 31 [emphasis supplied], quoting Proposed Constitution, art X, § 12 [b]).

The rejection of this amendment did nothing to deter the State’s current practice of distributing taxpayer funds to foster the growth of private industry, which defendants call “economic development.” Defendants make the specious assertion that the appropriations here do not violate the Gift Clause because the monies are not made “directly” to private companies but, rather, are first funneled through public corporations, which then distribute the funds to private entities. In other words, because the State distributes taxpayer funds through an intermediary like the ESDC, it is not the State that is loaning money to a private corporation or undertaking, but rather a public corporation that is loaning money to private enterprise. But we have cautioned on more than one occasion that “[w]hen the main purpose of a statute, or of part of a statute, is to evade the Constitution by effecting indirectly that which cannot be done directly, the act is to that extent void, because it violates the spirit of the fundamental law” (*People ex rel. Burby v Howland*, 155 NY 270, 280 [1898]; see also *Wein v State of New York*, 39 NY2d 136, 145 [1976]).

Here, plaintiffs state a valid claim that the disbursement of funds through intermediaries constitutes gifts of money “in aid

2. The phrase “economic and community development purposes” is defined in the proposed amendment as including “the renewal and rebuilding of communities, the development of new communities, and programs and facilities to enhance the physical environment, health and social well-being of, and to encourage the expansion of economic opportunity for, the people of the state” (12 Proceedings of 1967 NY Constitutional Convention, at 31, quoting Proposed Constitution, art X, § 12 [a]).

of” private corporations and that the disbursements are not cloaked in validity and constitutionality merely because the State may not have “directly” given the monies to these private entities. There seems to me no fundamental difference between the State directly giving monies to such private enterprises and the State creating a public corporation with the express intention of doing so.³ For these reasons, the majority errs in holding that the Legislature may do indirectly, through a public corporation conduit, what the Constitution forbids it to do directly. But this error is apparently of only academic importance, because the majority, after discussing the indirect appropriations at length, goes on to hold that the Legislature may also do directly what the Constitution forbids. Some of the appropriations that plaintiffs challenge do not go through conduits, but are routed directly to trade associations made up of private firms—and the majority upholds these also. Either overruling *Westchester County Natl. Bank* or shrinking it beyond recognition, the majority seemingly decides that any gift or loan of money to private recipients is valid as long as it has “a predominantly public purpose” (majority op at 318). It is hard to see what is left of the constitutional prohibition. Accordingly, I would answer the certified question in the negative.

SMITH, J. (dissenting). I heartily join Judge Pigott’s dissent, and add a few words to vent my own frustration at today’s result.

It is an illusion—one that seems to have the persistence of original sin—that prosperity can be attained by taking money from taxpayers and handing it to favored businesses. A recent article restates well-established economic doctrine: “The idea of government intervention to influence the composition of a country’s output has long been derided by economists for breeding inefficiency, reducing competition, encouraging lobbying and

3. Although the majority places significant emphasis on our holdings in *Schulz v State of New York* (84 NY2d 231 [1994]) and *Wein* (39 NY2d 136 [1976]) in support of their contentions that public benefit corporations and authorities are not arms of the State and therefore are constitutionally permitted to receive public funds from the State for a public purpose (majority op at 316), it is significant that *Schulz* involved the funding of *public works projects* through the Thruway and Metropolitan Transportation Authorities, and *Wein* involved state assistance to a financially-struggling New York City in 1975. Neither one of those cases sanctions the granting of state money through an intermediary for distribution to a private concern.

saddling countries with factories producing products nobody wants” (*Tinker, tailor*, Economist, Oct. 1, 2011, available at <http://www.economist.com/node/21530958> [last visited Nov. 9, 2011]).

The New York Legislature’s devotion to this self-destructive practice is no small matter. Among the expenditures at issue in this case is one described by the State as a commitment of “\$140 million to support the construction of a wafer packaging facility and continued research and development efforts” to a joint venture of which International Business Machines Corporation is a member. This expenditure, it is said, will “result in the creation of at least 675 jobs” and the “retention” of 1,400 others. That works out to roughly \$60,000 of state money per job. Another is an expenditure of \$300 million to help an “international consortium of semiconductor manufacturers” expand a research and development program. This, we are told, will result in the creation of 450 jobs and the saving of 250 others: more than \$400,000 per job. And the brief of defendant Globalfoundries U.S., Inc. discloses that the Legislature has appropriated \$650 million to subsidize that company’s semiconductor manufacturing (an appropriation distinct, as far as I can tell, from the \$300 million semiconductor subsidy described by the State). Globalfoundries says that its manufacturing facility “is expected to employ more than 1,500 people, with an additional 5,000 jobs created by supplier firms”—implying a cost to the State of roughly \$100,000 per job.

I seem to remember a time when IBM could make money by selling its products for more than it cost to produce them. I would have thought semiconductor manufacturers could do the same. If they cannot, a bailout for their shareholders is not a prudent use of more than a billion dollars in taxpayer funds.

Of course, the New York Legislature, so long as it stays within constitutional limits, is free to disregard both received economic teachings and common sense. I have defended before, and will no doubt defend again, the right of elected legislators to commit folly if they choose. But when our Legislature commits the precise folly that a provision of our Constitution was written to prevent, and this Court responds by judicially repealing the constitutional provision, I think I am entitled to be annoyed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO and READ concur with Judge JONES; Judge PIGOTT dissents and votes to affirm in a separate opinion in which Judge SMITH concurs in another separate dissenting opinion.

Order reversed, etc.

[961 NE2d 643, 938 NYS2d 252]

In the Matter of ELRAC, INC., Appellant, v BIRTIS EXUM, Respondent.

Argued November 15, 2011; decided December 13, 2011

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 4, 2010. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Bronx County (Patricia A. Williams, J.), which had granted the petition for a permanent stay of arbitration, and (2) denied the petition. The following question was certified by the Appellate Division: “Was the order of this Court, which reversed the order of the Supreme Court, properly made?”

Matter of ELRAC, Inc. v Exum, 73 AD3d 431, affirmed.

HEADNOTE

Workers’ Compensation — Exclusiveness of Remedy — Recovery of Uninsured Motorist Benefits from Self-Insured Employer

The exclusivity provision of Workers’ Compensation Law § 11 does not bar an employee entitled to workers’ compensation benefits from recovering uninsured motorist benefits from his or her self-insured employer in connection with an automobile accident that occurred while the employee was driving an employer-owned vehicle in the course of employment. While Workers’ Compensation Law § 11 states that an employer’s liability for workers’ compensation benefits shall be exclusive and in place of “any other liability whatsoever,” the statute cannot be read to bar all suits to enforce contractual liabilities. An action against a self-insurer to enforce its liability for uninsured motorist coverage, which is the same liability that an insurance company has under Insurance Law § 3420 (f) (1), is essentially contractual. Where an employer is self-insured, as allowed by Vehicle and Traffic Law § 370 (3), it is as though the employer has written an insurance policy to itself, including the statutorily-required provision for uninsured motorist coverage. There is no policy reason why the employee’s uninsured motorist protection should decrease because he or she happened to be driving a car of a self-insurer.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Automobile Insurance §§ 36, 40, 320, 329, 476, 478; AM JUR 2d, Workers’ Compensation §§ 50, 52, 98.
COUCH ON INSURANCE (3d ed) §§ 10:3, 122:23, 133:32, 133:33, 171:36–171:41.
MCKINNEY’S, Insurance Law § 3420 (f) (1); Vehicle and Traffic Law § 370 (3); Workers’ Compensation Law § 11.

NY JUR 2d, Insurance §§ 665, 1811, 1814, 1815, 1818, 1851;
NY JUR 2d, Workers' Compensation §§ 84, 85, 93-95.

ANNOTATION REFERENCE

See ALR Index under Uninsured Motorists; Workers' Compensation.

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/2 motorist /p self-insured

POINTS OF COUNSEL

Carman, Callahan & Ingham, LLP, Farmingdale (*Michael F. Ingham* of counsel), for appellant. I. The Workers' Compensation Law is the exclusive remedy in this case. (*Cifolo v General Elec. Co.*, 305 NY 209.) II. The cases cited in the Appellate Division decision are inapposite as none involve the Workers' Compensation Law. (*Matter of Allstate Ins. Co. v Shaw*, 52 NY2d 818; *Matter of New York City Tr. Auth. [Thom]*, 70 AD2d 158, 52 NY2d 1032; *Matter of Country-Wide Ins. Co. [Manning]*, 96 AD2d 471, 62 NY2d 748; *Matter of State Farm Mut. Auto. Ins. Co. v Amato*, 72 NY2d 288.) III. Where there is no uninsured motorist coverage from the inception, the time frame for filing a stay of arbitration is not applicable. (*Matter of Matarasso [Continental Cas. Co.]*, 56 NY2d 264.)

Robin Grumet, New York City, and *Richard M. Kass* for respondent. I. The decision of the court below is consistent with the public policy of this State and the prior case law of this Court. (*Matter of Allstate Ins. Co. v Shaw*, 52 NY2d 818; *Matter of Country-Wide Ins. Co. [Manning]*, 96 AD2d 471, 62 NY2d 748; *Matter of New York City Tr. Auth. [Thom]*, 52 NY2d 1032; *Matter of State Farm Mut. Auto. Ins. Co. v Amato*, 72 NY2d 288.) II. Workers' Compensation Law § 11 is inapplicable as a bar to the within claim. (*Matter of Shutter v Philips Display Components Co.*, 90 NY2d 703; *Billy v Consolidated Mach. Tool Corp.*, 51 NY2d 152; *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367; *Matter of Thomas v Bethlehem Steel Corp.*, 95 AD2d 118, 63 NY2d 150; *Cifolo v General Elec. Co.*, 305 NY 209.) III. Case law from other states, cited by appellant, is inapplicable to the facts and claim herein and is unpersuasive in this jurisdiction. (*Atlantic Mut. Ins. Co. v Goglia*, 44 AD3d 558.)

OPINION OF THE COURT

SMITH, J.

We hold that a self-insured employer whose employee is involved in an automobile accident may be liable to that employee for uninsured motorist benefits, notwithstanding the exclusivity provision of the Workers' Compensation Law.

Birtis Exum was an employee of Elrac, Inc. (a subsidiary of Enterprise Rent-A-Car Company). While driving, in the course of his employment, a car owned by Elrac, Exum was in an accident with another car, driven by a person without liability insurance. Elrac was self-insured, as allowed by Vehicle and Traffic Law § 370 (3), and thus had not obtained an insurance policy to cover the car Exum was driving.

Exum served a notice of intention to arbitrate on Elrac, seeking uninsured motorist benefits. Elrac petitioned to stay the arbitration. Supreme Court granted the petition, but the Appellate Division reversed, permitting the arbitration to proceed (*Matter of ELRAC, Inc. v Exum*, 73 AD3d 431 [1st Dept 2010]). The Appellate Division granted leave to appeal to this Court, and we now affirm.

Insurance Law § 3420 (f) (1) requires every policy of motor vehicle liability insurance to contain a provision requiring payment to the insured of all sums, up to \$25,000 in the case of injury and \$50,000 in the case of death, that the insured is entitled to recover as damages from the owner or operator of an uninsured motor vehicle. In *Matter of Allstate Ins. Co. v Shaw* (52 NY2d 818 [1980]), we considered the application of this requirement to self-insurers, and held that a self-insurer had the same liability for uninsured motorist coverage that an insurance company would have. We said that, by authorizing self-insurance, the Legislature “in no way intended to decrease the insurance protection presently available” (*id.* at 820).

The rationale of *Shaw* applies here. There is no policy reason why Exum's uninsured motorist protection should decrease because he happened to be driving the car of a self-insurer.

But there is a difference between this case and *Shaw*: here the person claiming uninsured motorist coverage was an employee of the self-insurer. It is undisputed that Exum was entitled to workers' compensation benefits from Elrac, and Elrac claims that he is therefore barred from recovering uninsured motorist benefits. Exum points out that we permitted an employee of a self-insurer to recover in *Matter of Country-Wide*

Ins. Co. (Manning) (62 NY2d 748 [1984]), which involved essentially indistinguishable facts. Because we did not discuss the workers' compensation issue in *Manning*, however, we assume that the issue is open.

Workers' Compensation Law § 11 says:

"The liability of an employer [for workers' compensation benefits] . . . shall be exclusive and in place of any other liability whatsoever, to such employee, his or her personal representatives, spouse, parents, dependents, distributees, or any person otherwise entitled to recover damages, contribution or indemnity, at common law or otherwise, on account of such injury or death or liability arising therefrom."

Although the words "any other liability whatsoever" seem all-inclusive, there are cases—of which this is one—in which they cannot be taken literally (see *Billy v Consolidated Mach. Tool Corp.*, 51 NY2d 152 [1980]). Specifically, the statute cannot be read to bar all suits to enforce contractual liabilities. If an employer agrees, as part of a contract with an employee, to provide life insurance or medical insurance, and breaches that contract, an action to recover damages for the breach would not be barred, though the action might literally be "on account of . . . injury or death."

An action against a self-insurer to enforce the liability recognized in *Shaw* is, in our view, essentially contractual. The situation is as though the employer had written an insurance policy to itself, including the statutorily-required provision for uninsured motorist coverage. This action is therefore not barred by Workers' Compensation Law § 11.

Accordingly, the order of the Appellate Division should be affirmed with costs. The certified question is unnecessary and should not be answered.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order affirmed, etc.

[960 NE2d 944, 937 NYS2d 153]

METROPOLITAN TAXICAB BOARD OF TRADE et al., Appellants, v
NEW YORK CITY TAXI & LIMOUSINE COMMISSION et al.,
Respondents.

Argued November 14, 2011; decided December 15, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 16, 2010. The Appellate Division order, insofar as appealed from, affirmed an order and judgment (one paper) of the Supreme Court, New York County (Jane S. Solomon, J.; op 27 Misc 3d 254), entered in a proceeding pursuant to CPLR article 78, which had denied a petition to annul amendments to the New York City Taxi & Limousine Commission's rules and granted a motion by respondents to dismiss that portion of the petition seeking a declaratory judgment.

Metropolitan Taxicab Bd. of Trade v New York City Taxi & Limousine Commn., 71 AD3d 508, reversed.

HEADNOTE

**Municipal Corporations — Regulation of Taxicab Business —
Prohibiting Taxicab Owners from Collecting Sales Tax in Addition to Maximum Permitted Lease Rates**

A regulation of a municipal taxi and limousine commission that prohibited taxicab owners from collecting sales tax from driver-lessees in addition to the maximum permitted lease rates was annulled because the commission did not show any rational basis for it. The decision to change the prevailing practice of permitting owners to collect the sales tax in addition to the maximum lease rate was admittedly not based on any economic analysis, nor was there any evidence of an industrywide inconsistency regarding the collection of sales tax. The commission would not necessarily be faulted for making an adjustment to the maximum permitted lease rates without an affirmative showing that taxi owners' revenues and costs justified the adjustment, so long as the owners had an opportunity to submit evidence on that issue. But a change in the maximum rates had to be justified by something, and the commission presented no justification with any support in the record for its decision to require the inclusion of sales tax in the maximum lease rates. In short, the regulation appeared to be an arbitrary and capricious decision to transfer money from taxicab owners to taxicab drivers.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Carriers §§ 758, 760.

NY JUR 2d, Carriers §§ 32, 150.

ANNOTATION REFERENCE

See ALR Index under Municipal Corporations; Sales and Use Taxes; Taxicabs.

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POINTS OF COUNSEL

Emery Celli Brinckerhoff & Abady LLP, New York City (*Richard D. Emery, Matthew D. Brinckerhoff, Elizabeth S. Saylor and Julia Einbond* of counsel), for appellants. I. The New York City Taxi & Limousine Commission has an affirmative duty to consider costs. (*New York State Assn. of Counties v Axelrod*, 78 NY2d 158; *Matter of Jewish Mem. Hosp. v Whalen*, 47 NY2d 331; *Matter of St. James Nursing Home v DeBuono*, 12 AD3d 921; *Matter of LaSalle Ambulance v Merrifield*, 237 AD2d 960; *Matter of United Home for Aged Hebrews v Axelrod*, 201 AD2d 656; *Sheldon v New York City Tr. Auth.*, 39 AD2d 950; *Permian Basin Area Rate Cases*, 390 US 747; *City of Charlottesville, Va. v Federal Energy Regulatory Commn.*, 661 F2d 945; *Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health*, 85 NY2d 326; *Matter of Miller v Kozakiewicz*, 300 AD2d 399.) II. The new tax rules conflict with state tax law. (*Canale v New York State Dept. of Taxation & Fin.*, 84 Misc 2d 786.) III. The new tax rules were not aimed at standardizing inconsistent practices. (*Matter of Archer v Town of Wheatfield*, 300 AD2d 1108; *Matter of Basher v Town of Evans*, 112 AD2d 4.)

Michael A. Cardozo, Corporation Counsel, New York City (*Susan Paulson, Francis F. Caputo and Adam Stolorow* of counsel), for respondents. The New York City Taxi & Limousine Commission rule imposing limitations on charges in excess of the lease cap is rational rulemaking promulgated in conformance with the law. (*Friscia v Lem Lee 13th Ltd. Partnership*, 37 AD3d 168; *Matter of New York City Comm. for Taxi Safety v New York City Taxi & Limousine Commn.*, 256 AD2d 136; *Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health*, 85 NY2d 326; *Price v New York City Bd. of Educ.*, 51 AD3d 277; *Matter of Big Apple Food Vendors' Assn. v Street Vendor Review Panel*, 90 NY2d 402; *Vermont Yankee*

Nuclear Power Corp. v Natural Resources Defense Council, Inc., 435 US 519; *New York State Assn. of Counties v Axelrod*, 78 NY2d 158; *Matter of St. James Nursing Home v DeBuono*, 12 AD3d 921; *Matter of United Home for Aged Hebrews v Axelrod*, 201 AD2d 656; *Matter of Nazareth Home of the Franciscan Sisters v Novello*, 7 NY3d 538.)

OPINION OF THE COURT

SMITH, J.

Regulations of the New York City Taxi & Limousine Commission limit the rates that may be charged by owners of taxicabs who lease those cabs to drivers. In this case, owners challenge a Commission regulation that prohibits owners from collecting sales tax in addition to the maximum permitted lease rates. We hold that the regulation must be annulled, because the Commission has not shown any rational basis for it.

I

The Commission was created by the New York City Charter to serve a number of purposes, among them “to adopt and establish an overall public transportation policy governing taxi . . . services” and “to establish certain rates” (NY City Charter § 2300). A more specific Charter provision authorizes the Commission to regulate the “rates of fare” charged to taxicab passengers (NY City Charter § 2304 [b]), but the Commission has also exercised the authority (not challenged in this case) to regulate the rates at which the owners of taxicabs lease them to drivers. A Commission rule (Rules of NY City Taxi & Limousine Commn [35 RCNY] § 1-78 [a]) establishes a “Standard Lease Cap” for each 12-hour shift, ranging from \$105 for day shifts to \$129 for night shifts on Thursday, Friday and Saturday.

At issue in this case is the Commission’s Rule § 1-78 (a) (4), which says:

“No owner . . . may charge to or accept from a driver any payment of any kind, such as a tax . . . , for the lease of a medallion or of a medallion and a vehicle, other than a lease amount no greater than the applicable Standard Lease Caps . . . [with exceptions not relevant here].”

Petitioners, three firms in the business of leasing taxicabs and a trade association of such firms, challenge this regulation only insofar as it prohibits the collection of sales tax in addition to the Standard Lease Cap. Supreme Court upheld

the regulation (*Metropolitan Taxicab Bd. of Trade v New York City Taxi & Limousine Commn.*, 27 Misc 3d 254 [Sup Ct, NY County 2009]), and the Appellate Division affirmed (71 AD3d 508 [1st Dept 2010]). We granted leave to appeal, and now reverse.

II

The Commission adopted rule 1-78 (a) (4) in 2009. Until then, for at least 10 years, it had been the general practice for owners whose rates were capped by the Commission to charge sales tax in addition to the Standard Lease Caps. The practice was not concealed: the record shows that rates that exceeded the caps when sales tax was included were contained in rate sheets and displayed on signs.

An affidavit from the head of a taxi drivers' organization, submitted by the Commission, acknowledges that "excluding taxes from lease caps is the predominant practice in the industry." The Commission asserts that the practice was not consistent, but there is no evidence of any real inconsistency: the Commission's evidence shows only that there were times when the total charge to a driver for a particular shift, including sales tax, was equal to or below the Standard Lease Cap. This may—and according to petitioners, does—mean only that, for certain shifts, market conditions did not permit owners to charge as much as they thought the regulations allowed. The Commission points to no example of an owner who charged, for *all* shifts, an amount equal to or less than the Standard Lease Cap when sales tax was included.

The Commission's decision in 2009 to change the prevailing practice, and make the Standard Lease Caps inclusive of sales tax, was admittedly not based on any economic analysis. Indeed, no information about the owners' costs was before the Commission when the decision was made. Petitioners claim that by adopting the regulation without considering their costs the Commission violated New York City Charter § 2304 (c), which says in relevant part:

"In determining the rates of fare, the commission may consider all facts which in its judgment have a bearing on a proper determination, with due regard among other things . . . to the gross revenues derived from operation, to the net return derived from operation, to the expenses of operation including the income of drivers or operators, to the return

upon capital actually expended and the necessity of making reservations out of income for surplus and contingencies.”

The Commission argues, in substance, that the words “may consider” in the Charter provision imply that whether to consider financial information is discretionary with the Commission, while petitioners argue that the “due regard” language makes consideration of such information mandatory.

We do not resolve the abstract question of what is discretionary or mandatory under the Charter provision. Indeed, the conflict between the parties’ interpretations may be more apparent than real. It seems obvious that, if the Commission had before it data showing that a proposed lease rate would not bring the owners a fair return, it would not be free to ignore the data: that would raise constitutional problems, whatever the proper interpretation of the City Charter provision. On the other hand, it seems almost equally obvious that the Commission may leave it up to the firms that it regulates to inform the Commission about their costs—and that, where no such information is provided, the Commission may reasonably infer that the rate it is proposing is not confiscatory.

Thus, we would not necessarily fault the Commission for making an adjustment to its Standard Lease Caps without an affirmative showing that taxi owners’ revenues and costs justified the adjustment, so long as the owners had had an opportunity to submit evidence on that issue. But a change in the caps does have to be justified by something—and that is where the rule at issue in this case fails. The Commission has not presented any justification with any support in the record for its decision to require the inclusion of sales tax in its Standard Lease Caps.

The Commission claims that industry practice was inconsistent, and that the resulting confusion justified a new, uniform rule. As we explained above, however, the claim of inconsistency has no record support. The Commission also asserts, in conclusory terms, that its new regulation was a mere clarification—that its Standard Lease Caps were always intended to include sales tax. But there is no evidence that that was the Commission’s intention; indeed, there is considerable evidence that the Commission never thought about the question one way or the other until the proceedings that resulted in rule 1-78 (a) (4). And the Commission does not explain why, if it believed adding sales tax on top of the Standard Lease Caps to be unlawful under the old regulations, it permitted taxi owners to do so openly for a decade.

In short, on this record, rule 1-78 (a) (4), as it relates to sales tax, appears to be what petitioners say it is—an arbitrary and capricious decision to transfer money from taxi owners to taxi drivers. “Absent a predicate in the proof to be found in the record, [an] unsupported determination . . . must . . . be set aside as without rational basis and wholly arbitrary” (*Matter of Jewish Mem. Hosp. v Whalen*, 47 NY2d 331, 343 [1979]; *see also New York State Assn. of Counties v Axelrod*, 78 NY2d 158, 167 [1991]). We therefore annul the challenged part of the regulation.

In view of the result we reach, we do not need to consider petitioners’ alternative argument that to make the Standard Lease Caps inclusive of sales tax violates the Tax Law. However, in case the Commission chooses to return to this subject, or confronts a similar issue, we point out that the Tax Law issue might have been avoided by changing the form of the regulation. Tax Law § 1132 (a) (1) requires a vendor to collect sales tax from the customer; the vendor is not permitted to absorb the tax (*see also* Tax Law § 1133 [d]; 20 NYCRR 525.2, 532.1). On the other hand, if the Commission chose to reduce its Standard Lease Caps in order to offset the burden of sales tax on drivers, that would present no obvious Tax Law problem.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed with costs, and Commission Rule § 1-78 (a) (4) annulled to the extent that it forbids owners of taxicabs from collecting sales tax in addition to Standard Lease Caps.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order, insofar as appealed from, reversed, etc.

[960 NE2d 948, 937 NYS2d 157]

LUIS F. ORTIZ, Appellant, v VARSITY HOLDINGS, LLC, et al.,
Respondents.

Argued November 14, 2011; decided December 20, 2011

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered July 13, 2010. The Appellate Division affirmed so much of an order of the Supreme Court, Kings County (David I. Schmidt, J.), as had granted that branch of a motion by defendants which was for summary judgment dismissing the third cause of action to recover damages for a violation of Labor Law § 240 (1), and denied plaintiff's cross motion, in effect, for summary judgment on the issue of liability on that cause of action. The following question was certified by the Appellate Division: "Was the decision and order of this Court properly made?"

Oritz v Varsity Holdings, LLC, 75 AD3d 538, modified.

HEADNOTES

Labor — Safe Place to Work — Summary Judgment

1. In a personal injury action arising from plaintiff worker's fall from a six-foot high dumpster, defendants property manager and owner were not entitled to summary judgment dismissing plaintiff's Labor Law § 240 (1) claim as it could not be said as a matter of law that equipment of the kind enumerated in section 240 (1) was not necessary to guard plaintiff from the risk of falling from the top of the dumpster. Courts must take into account the practical differences between the usual and ordinary dangers of a construction site, and the extraordinary elevation risks envisioned by the statute. However, with the facts considered in the light most favorable to plaintiff, his particular task of rearranging the demolition debris and placing additional debris in the dumpster, as he described it, required him to stand at the top of the dumpster, with at least one foot perched on the eight-inch ledge of the dumpster. Moreover, defendants failed to adduce any evidence demonstrating that being in a precarious position such as plaintiff was in was not necessary to the task, nor did defendants demonstrate that no safety device of the kind enumerated in section 240 (1) would have prevented his fall.

Labor — Safe Place to Work — Summary Judgment

2. In a personal injury action arising from plaintiff worker's fall from a six-foot high dumpster on property owned and managed by defendants, plaintiff's motion for summary judgment on his Labor Law § 240 (1) claim was properly denied since a question of fact remained regarding whether the task plaintiff was expected to perform created an elevation-related risk of the kind that the safety devices listed in section 240 (1) shield workers from. To recover under the statute plaintiff was required to establish that he stood on or near the

eight-inch ledge at the top of the dumpster because it was necessary to do so in order to carry out the task he had been given. While the assertion in his affidavit that he was required to stand on or near the ledge was enough, in the context of the case and without contradictory evidence from defendants, to ward off defendants' motion for summary judgment, it was not sufficient by itself for plaintiff to win summary judgment. Moreover, to prevail on summary judgment, plaintiff must establish that there was a safety device of the kind enumerated in the statute that could have prevented his fall, because liability is contingent upon the failure to use, or the inadequacy of such a device. Because that too was a triable issue of fact, plaintiff was not entitled to summary judgment.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 266-269, 359.

McKINNEY's, Labor Law § 240 (1).

NY JUR 2d, Employment Relations §§ 285-289, 379-381.

PROSSER AND KEETON, TORTS (5th ed) § 80.

ANNOTATION REFERENCE

See ALR Index under Dumpster; Labor and Employment; Occupational Safety and Health.

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POINTS OF COUNSEL

Law Office of Richard Paul Stone, New York City (Richard Paul Stone of counsel), and *Law Offices of Albert Zafonte Jr. & Associates*, Uniondale (Albert Zafonte Jr. of counsel), for appellant. Plaintiff is entitled to partial summary judgment of liability because his employer failed to provide him a safe place to work and he was caused to fall through an elevation differential by a gravity-related hazard. (*Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Runner v New York Stock Exch., Inc.*, 13 NY3d 599; *Toefer v Long Is. R.R.*, 4 NY3d 399; *Monterroza v State Univ. Constr. Fund*, 56 AD3d 629; *Georgopoulos v Gertz Plaza, Inc.*, 13 AD3d 478; *Bush v Goodyear Tire & Rubber Co.*, 9 AD3d 252; *Bond v York Hunter Constr.*, 95 NY2d 883; *Dilluvio v City of New York*, 95 NY2d 928.)

Rebore, Thorpe & Pisarello, P.C., Farmingdale (Timothy J. Dunn III and Michelle S. Russo of counsel), for respondents. I.

Plaintiff's accident was not the result of a hazard contemplated by Labor Law § 240 (1). (*Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Narducci v Manhasset Bay Assoc.*, 96 NY2d 259; *Nieves v Five Boro A.C. & Refrig. Corp.*, 93 NY2d 914; *Melo v Consolidated Edison Co. of N.Y.*, 92 NY2d 909; *Hargobin v K.A.F.C.I. Corp.*, 282 AD2d 31; *Toefer v Long Is. R.R.*, 4 NY3d 399; *Perez v Bronx Park S. Assoc.*, 285 AD2d 402, 97 NY2d 610; *Berg v Albany Ladder Co., Inc.*, 10 NY3d 902; *Bond v York Hunter Constr.*, 95 NY2d 883; *Melber v 6333 Main St.*, 91 NY2d 759.) II. Plaintiff is not entitled to partial summary judgment.

Fiedelman & McGaw, Jericho (Andrew Zajac and Dawn C. DeSimone of counsel), *Rona L. Platt*, Uniondale, *Brendan T. Fitzpatrick*, Albertson, and *Julian Ehrlich*, Jericho, for Defense Association of New York, Inc., amicus curiae. The exceptional protection of Labor Law § 240 (1) does not apply to plaintiff's fall from a ground-level dumpster. (*Toefer v Long Is. R.R.*, 4 NY3d 399; *Nieves v Five Boro A.C. & Refrig. Corp.*, 93 NY2d 914; *Narducci v Manhasset Bay Assoc.*, 96 NY2d 259; *Misseritti v Mark IV Constr. Co.*, 86 NY2d 487; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Martinez v City of New York*, 93 NY2d 322; *Berg v Albany Ladder Co., Inc.*, 10 NY3d 902; *Monterroza v State Univ. Constr. Fund*, 56 AD3d 629; *Bush v Goodyear Tire & Rubber Co.*, 9 AD3d 252; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280.)

Nicholas I. Timko, New York City, *David L. Scher* and *Brian J. Shoot* for New York State Trial Lawyers Association, amicus curiae. I. The extraordinary elevation-related hazards of Luis F. Ortiz's work, and not its incidental relation to a ground-level dumpster, should inform this Court's Labor Law § 240 (1) analysis. (*Holly v County of Chautauqua*, 13 NY3d 931; *Swiderska v New York Univ.*, 10 NY3d 792; *Narducci v Manhasset Bay Assoc.*, 96 NY2d 259; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Runner v New York Stock Exch., Inc.*, 13 NY3d 599; *Dooley v Peerless Importers, Inc.*, 42 AD3d 199; *Donohue v CJAM Assoc., LLC*, 22 AD3d 710; *Bradley v Morgan Stanley & Co., Inc.*, 21 AD3d 866; *De Jara v 44-14 Newtown Rd. Apt. Corp.*, 307 AD2d 948; *Danielewski v Kenyon Realty Co.*, 2 AD3d 666.) II. The "falls from trucks" cases, relied upon by defendants-respondents, actually demonstrate why Labor Law § 240 (1) should apply to protect a worker such as Luis F. Ortiz. (*Toefer v Long Is. R.R.*, 4 NY3d 399; *Bond v York Hunter Constr.*, 95 NY2d 883; *Berg v Albany Ladder Co., Inc.*, 10 NY3d 902; *Dilluvio v City of New York*, 95 NY2d 928; *Lavore v Kir Munsey Park*

020, LLC, 40 AD3d 711; *Santoro v New York City Tr. Auth.*, 302 AD2d 581; *Amantia v Barden & Robeson Corp.*, 38 AD3d 1167.) III. Where, as here, a worker is engaged in an elevated activity that triggers Labor Law § 240 (1)'s protections, yet is provided no safety device at all, partial summary judgment is appropriate against the owner/contractor. (*Felker v Corning Inc.*, 90 NY2d 219; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513; *Bland v Manocherian*, 66 NY2d 452.)

OPINION OF THE COURT

PIGOTT, J.

Plaintiff Luis F. Ortiz was injured while engaged in demolition work at an apartment building being renovated in Brooklyn. The property was owned by defendant Varsity Holdings, LLC and managed by defendant Mag Realty Corp. Ortiz and his coworkers were taking debris from the building and placing it in a dumpster outside. According to Ortiz, the dumpster was about six feet high, eight feet wide, and 14 feet long. The ledge at the top of the dumpster was about eight inches in width.

After several hours of work, the dumpster was filling up, and Ortiz and his colleagues climbed up it, using footholds built into the side, and began to rearrange the debris inside to make more room. It started to rain, making the surface of the dumpster slippery. Ortiz was injured when, while holding a wooden beam and standing at the top of the dumpster, with at least one foot on the narrow ledge, he lost his balance and fell to the ground.*

Ortiz commenced this action, claiming violations of Labor Law §§ 200, 240 (1), and § 241 (6). Defendants moved for summary judgment as to all of plaintiff's Labor Law claims. Ortiz cross-moved for summary judgment on his Labor Law § 240 (1) claim, insisting that defendants should have provided a scaffold to prevent his fall. In his affidavit in support of his cross motion and in opposition to defendants' motion, Ortiz stated that the task he was instructed to carry out required him to stand on the eight-inch ledge while placing heavy debris in open areas of the dumpster.

Supreme Court granted defendants' motion, and denied Ortiz's cross motion. On appeal, Ortiz challenged the dismissal of his section 240 (1) cause of action, and the denial of his cross

* In his deposition testimony, Ortiz recalled that he had one foot on the ledge and one foot on the garbage in the dumpster. In his affidavit in opposition to defendants' motion and in support of his cross motion, Ortiz stated that both feet were on the ledge.

motion on that claim. The Appellate Division affirmed, simultaneously granting Ortiz leave to appeal to this Court and certifying the question whether its order was properly made (75 AD3d 538 [2010]). We now modify.

Defendants and amicus the Defense Association of New York argue that, as a matter of law, the task Ortiz was performing—loading a dumpster and rearranging the debris therein—did not create an elevation-related risk of the kind that the safety devices listed in Labor Law § 240 (1) protect against. Defendants cite *Toefer v Long Is. R.R.* (4 NY3d 399 [2005]), noting our holding that “[a] four-to-five-foot descent from a flatbed trailer or similar surface does not present the sort of elevation-related risk that triggers Labor Law § 240 (1)’s coverage” (*id.* at 408).

[1] It is true that courts must take into account the practical differences between “the usual and ordinary dangers of a construction site, and . . . the extraordinary elevation risks envisioned by Labor Law § 240 (1)” (*id.* at 407, quoting *Rodriguez v Margaret Tietz Ctr. for Nursing Care*, 84 NY2d 841, 843 [1994]). A worker may reasonably be expected to protect himself by exercising due care in stepping down from a flatbed truck. However, the present case, with the facts considered in the light most favorable to the non-moving party, is distinguishable from *Toefer*. Ortiz’s particular task of rearranging the demolition debris and placing additional debris in the dumpster, as he describes it, required him to stand at the top of the dumpster, six feet above the ground, with at least one foot perched on an eight-inch ledge. Moreover, defendants failed to adduce any evidence demonstrating that being in a precarious position such as this was not necessary to the task. Nor do defendants demonstrate that no safety device of the kind enumerated in section 240 (1) would have prevented his fall.

On this record, therefore, we cannot say as a matter of law that equipment of the kind enumerated in section 240 (1) was not necessary to guard plaintiff from the risk of falling from the top of the dumpster. Consequently, defendants have not demonstrated entitlement to summary judgment.

[2] However, we agree with defendants that Ortiz’s cross motion for summary judgment was properly denied. To recover under section 240 (1), Ortiz must establish that he stood on or near the ledge at the top of the dumpster because it was necessary to do so in order to carry out the task he had been given (*see Broggy v Rockefeller Group, Inc.*, 8 NY3d 675, 681 [2007]).

Ortiz failed to adduce evidence, through testimony or other means, to establish what he asserted in his affidavit—that he was required to stand on or near the ledge. While that assertion is enough, in the context of this case and without contradictory evidence from defendants, for plaintiff to ward off summary judgment, it is not sufficient by itself for plaintiff to win summary judgment.

Moreover, to prevail on summary judgment, plaintiff must establish that there is a safety device of the kind enumerated in section 240 (1) that could have prevented his fall, because “liability is contingent upon . . . the failure to use, or the inadequacy of” such a device (*Narducci v Manhasset Bay Assoc.*, 96 NY2d 259, 267 [2001]). Because this too is a triable issue of fact, plaintiff is not entitled to summary judgment.

Viewing the facts in the light most favorable to defendants, as we must when we consider plaintiff’s summary judgment motion, a question of fact remains regarding whether the task Ortiz was expected to perform created an elevation-related risk of the kind that the safety devices listed in section 240 (1) shield workers from.

Accordingly, the order of the Appellate Division should be modified, without costs, by denying defendants’ motion for summary judgment as to plaintiff’s Labor Law § 240 (1) cause of action, and, as so modified, affirmed, and the certified question should not be answered as unnecessary.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order modified, etc.

[962 NE2d 765, 939 NYS2d 274]

ASSURED GUARANTY (UK) LTD., in the Right of Itself and of
ORKNEY RE II PLC, Respondent, v J.P. MORGAN INVESTMENT
MANAGEMENT INC., Appellant.

Argued November 15, 2011; decided December 20, 2011

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered November 23, 2010. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Barbara R. Kapnick, J.; op 28 Misc 3d 1215[A], 2010 NY Slip Op 51362[U] [2010]), which had granted defendant's motion pursuant to CPLR 3211 to dismiss the complaint. The modification consisted of reinstating the contract claims based on defendant's alleged violation of Delaware Insurance Code chapter 13 that accrued on or after June 26, 2007, as well as claims for breach of fiduciary duty and gross negligence that accrued on or after that date. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Was the order of this Court, which modified the order of the Supreme Court to the extent of reinstating certain claims that accrued on or after June 26, 2007 properly made?"

Assured Guar. (UK) Ltd. v J.P. Morgan Inv. Mgt. Inc., 80 AD3d 293, affirmed.

HEADNOTE

Fraud — Martin Act — Common-Law Causes of Action for Breach of Fiduciary Duty and Gross Negligence Not Preempted

The Martin Act (General Business Law art 23-A) did not preempt plaintiff's common-law causes of action for breach of fiduciary duty and gross negligence against defendant for allegedly mismanaging the investment portfolio of an entity whose obligations plaintiff guaranteed. The plain text of the Martin Act, while granting the Attorney General investigatory and enforcement powers over possible fraudulent practices in the marketing of securities and prescribing various penalties, does not expressly mention or otherwise contemplate the elimination of common-law claims. Although a private litigant may not pursue a common-law cause of action where the claim is predicated solely on a violation of the Martin Act or its implementing regulations and would not exist but for the statute, an injured investor may bring a common-law claim—for fraud or otherwise—that is not entirely dependent on the Martin Act for its viability. Mere overlap between the common law and the Martin Act is not enough to extinguish common-law remedies. Moreover, proceedings by the Attorney General and private actions further the same

goal—combating fraud and deception in securities transactions—and to hold that the Martin Act precludes properly pleaded common-law actions would leave the marketplace less protected than it was before the Martin Act's passage.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Investment Companies and Advisers §§ 19, 20.
McKINNEY'S, General Business Law art 23-A.
NY JUR 2d, Investment Securities §§ 239, 240, 243, 279–284.

ANNOTATION REFERENCE

See ALR Index under Fiduciaries and Personal Representatives; Investments; Preemption.

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POINTS OF COUNSEL

Paul, Weiss, Rifkind, Wharton & Garrison LLP, New York City (*Walter Rieman, Richard A. Rosen, John F. Baughman, Farrah R. Berse and Jennifer K. Vakiener* of counsel), for appellant. I. This Court's decisions support interpreting the Martin Act to preempt non-fraud tort claims. (*Kerusa Co. LLC v W10Z/515 Real Estate Ltd. Partnership*, 12 NY3d 236; *CPC Intl. v McKesson Corp.*, 70 NY2d 268; *Horn v 440 E. 57th Co.*, 151 AD2d 112; *Whitehall Tenants Corp. v Estate of Olnick*, 213 AD2d 200; *Eagle Tenants Corp. v Fishbein*, 182 AD2d 610; *Breakwaters Townhomes Assn. of Buffalo v Breakwaters of Buffalo*, 207 AD2d 963; *Hamlet on Olde Oyster Bay Home Owners Assn., Inc. v Holiday Org., Inc.*, 65 AD3d 1284; *Thompson v Parkchester Apts. Co.*, 249 AD2d 68; *Rego Park Gardens Owners v Rego Park Gardens Assoc.*, 191 AD2d 621; *Castellano v Young & Rubicam, Inc.*, 257 F3d 171.) II. Legislative intent favors preemption of non-fraud tort claims. (*Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314; *Riley v County of Broome*, 95 NY2d 455; *Llanos v Shell Oil Co.*, 55 AD3d 796; *Anwar v Fairfield Greenwich Ltd.*, 728 F Supp 2d 354; *Schneidewind v ANR Pipeline Co.*, 485 US 293; *Guice v Charles Schwab & Co.*, 89 NY2d 31; *Northern Natural Gas Co. v Kansas Corporation Comm'n*, 372 US 84; *DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Robin v Incorporated Vil. of Hempstead*, 30 NY2d 347;

Matter of Lansdown Entertainment Corp. v New York City Dept. of Consumer Affairs, 74 NY2d 761.) III. The First Department's recent holdings are a departure from its own long-standing and well-recognized precedent. (*Horn v 440 E. 57th Co.*, 151 AD2d 112; *CPC Intl. v McKesson Corp.*, 70 NY2d 268; *Whitehall Tenants Corp. v Estate of Olnick*, 213 AD2d 200; *Thompson v Parkchester Apts. Co.*, 249 AD2d 68; *Rego Park Gardens Owners v Rego Park Gardens Assoc.*, 191 AD2d 621; *Eagle Tenants Corp. v Fishbein*, 182 AD2d 610; *Meridian Horizon Fund, LP v Tremont Group Holdings, Inc.*, 747 F Supp 2d 406; *Lehman Bros. Commercial Corp. v Minmetals Intl. Non-Ferrous Metals Trading Co.*, 179 F Supp 2d 118; *Gabriel Capital, L.P. v Natwest Fin., Inc.*, 137 F Supp 2d 251; *Granite Partners, L.P. v Bear, Stearns & Co. Inc.*, 17 F Supp 2d 275.) IV. The rationale for Martin Act preemption reflects significant policy considerations. (*Herman & MacLean v Huddleston*, 459 US 375; *Transamerica Mortgage Advisors, Inc. v Lewis*, 444 US 11; *Blue Chip Stamps v Manor Drug Stores*, 421 US 723; *Scalp & Blade v Advest, Inc.*, 281 AD2d 882; *CMMF, LLC v J.P. Morgan Inv. Mgt. Inc.*, 78 AD3d 562; *Castellano v Young & Rubicam, Inc.*, 257 F3d 171; *Guice v Charles Schwab & Co.*, 89 NY2d 31; *Monfort v Larson*, 257 AD2d 261; *Merrill Lynch, Pierce, Fenner & Smith Inc. v Dabit*, 547 US 71; *Kirschner v KPMG LLP*, 15 NY3d 446.)

Wollmuth Maher & Deutsch LLP, New York City (William A. Maher, Vincent T. Chang, Randall R. Rainer, Michael P. Burke and John E. Lazar of counsel), for respondent. I. Statutory preemption of common-law claims requires "clear and specific legislative intent." (*Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314; *Candee v Hayward*, 37 NY 653; *Matter of ATM One v Landaverde*, 2 NY3d 472; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Hechter v New York Life Ins. Co.*, 46 NY2d 34; *Matter of Sullivan Co.*, 289 NY 110; *Belco Petroleum Corp. v AIG Oil Rig*, 164 AD2d 583; *Blue Cross & Blue Shield of N.J., Inc. v Philip Morris USA Inc.*, 3 NY3d 200; *Morris v Snappy Car Rental*, 84 NY2d 21.) II. There is no uniform "rule of preemption" under the Martin Act. (*Horn v 440 E. 57th Co.*, 151 AD2d 112; *Eagle Tenants Corp. v Fishbein*, 182 AD2d 610; *Rego Park Gardens Owners v Rego Park Gardens Assoc.*, 191 AD2d 621; *Breakwaters Townhomes Assn. of Buffalo v Breakwaters of Buffalo*, 207 AD2d 963; *CMMF, LLC v J.P. Morgan Inv. Mgt. Inc.*, 78 AD3d 562; *Bhandari v Ismael Leyva Architects, PC.*, 84 AD3d 607; *Silver Oak Capital L.L.C. v UBS AG*, 82 AD3d 666; *Board of Mgrs. of Marke Gardens*

Condominium v 240/242 Franklin Ave., LLC, 71 AD3d 935; *Ca-boara v Babylon Cove Dev., LLC*, 54 AD3d 79; *Scalp & Blade v Advest, Inc.*, 281 AD2d 882.) III. There is no legislative acquiescence. (*Mountain View Coach Lines v Storms*, 102 AD2d 663; *Reyes v Sanchez-Pena*, 191 Misc 2d 600; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *Clark v Cuomo*, 66 NY2d 185; *United States v Price*, 361 US 304; *Brown v Gardner*, 513 US 115; *O'Melveny & Myers v FDIC*, 512 US 79; *Camps Newfound/Owatonna, Inc. v Town of Harrison*, 520 US 564; *California Div. of Labor Standards Enforcement v Dillingham Constr., N. A., Inc.*, 519 US 316; *Jones v Rath Packing Co.*, 430 US 519.) IV. Public policy does not favor preemption of common-law claims. (*People v Federated Radio Corp.*, 244 NY 33; *Dunham v Ottinger*, 243 NY 423; *Anwar v Fairfield Greenwich Ltd.*, 728 F Supp 2d 354; *Belco Petroleum Corp. v AIG Oil Rig*, 164 AD2d 583; *Sprietsma v Mercury Marine*, 537 US 51; *Humana Inc. v Forsyth*, 525 US 299; *Green v Fund Asset Mgt., L.P.*, 245 F3d 214.)

Eric T. Schneiderman, Attorney General, New York City (Richard Dearing, Barbara D. Underwood and Alison J. Nathan of counsel), for Attorney General of the State of New York, amicus curiae. I. The Martin Act does not preempt independent common-law causes of action in the area of securities. (*Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314; *Hechter v New York Life Ins. Co.*, 46 NY2d 34; *ABN AMRO Bank, N.V. v MBIA Inc.*, 17 NY3d 208; *CPC Intl. v McKesson Corp.*, 70 NY2d 268; *Kerusa Co. LLC v W10Z/515 Real Estate Ltd. Partnership*, 12 NY3d 236; *Board of Mgrs. of Marke Gardens Condominium v 240/242 Franklin Ave., LLC*, 71 AD3d 935; *Scalp & Blade v Advest, Inc.*, 281 AD2d 882; *Richards v Kaskel*, 32 NY2d 524; *Brooklyn Union Gas Co. v New York State Human Rights Appeal Bd.*, 41 NY2d 84; *Clark v Cuomo*, 66 NY2d 185.) II. There is no basis for distinguishing between common-law actions that require scienter and those that do not for purposes of preemption. (*CPC Intl. v McKesson Corp.*, 70 NY2d 268; *Anwar v Fairfield Greenwich Ltd.*, 728 F Supp 2d 354; *Kerusa Co. LLC v W10Z/515 Real Estate Ltd. Partnership*, 12 NY3d 236; *Whitehall Tenants Corp. v Estate of Olnick*, 213 AD2d 200; *Horn v 440 E. 57th Co.*, 151 AD2d 112; *Eagle Tenants Corp. v Fishbein*, 182 AD2d 610; *Board of Mgrs. of Marke Gardens Condominium v 240/242 Franklin Ave., LLC*, 71 AD3d 935; *Meinhard v Salmon*, 249 NY 458; *Colburn v Morton*, 3 Keyes 296; *Brewster v Hatch*, 122 NY 349.) III. Defendants' policy argument for preemption is misconceived. (*Anwar v*

Fairfield Greenwich Ltd., 728 F Supp 2d 354; *CPC Intl. v McKesson Corp.*, 70 NY2d 268; *Roni LLC v Arfa*, 72 AD3d 413.) IV. The lower courts in *Roni LLC v Arfa* (72 AD3d 413 [2010]) erroneously narrowed the scope of the Martin Act. (*People v Lavrowsky*, 3 Misc 2d 600; *People v Abbott*, 4 Misc 2d 565; *People v Ruthven*, 160 Misc 112; *People v Landes*, 84 NY2d 655; *Black Riv. Assoc. v Newman*, 218 AD2d 273; *Fraternity Fund Ltd. v Beacon Hill Asset Mgt. LLC*, 376 F Supp 2d 385; *Lehman Bros. Commercial Corp. v Minmetals Intl. Non-Ferrous Metals Trading Co.*, 179 F Supp 2d 159.)

Lisa A. Catalano, Securities Arbitration Clinic, St. John's University School of Law, Jamaica and Law Offices of Timothy J. O'Connor, Albany (Timothy J. O'Connor of counsel), for Public Investors Arbitration Bar Association, amicus curiae. I. This Court's recent decision in *ABN AMRO Bank, N.V. v MBIA Inc.* (17 NY3d 208 [2011]) and public policy militate in favor of a finding of no preemption of non-fraud common-law tort claims. (*Scott v Dime Sav. Bank of N.Y., FSB*, 886 F Supp 1073; *United States v Skelly*, 442 F3d 94; *de Kwiatkowski v Bear, Stearns & Co., Inc.*, 306 F3d 1293; *McDaniel v Bear Stearns & Co., Inc.*, 196 F Supp 2d 343; *Siedman v Merrill Lynch, Pierce, Fenner & Smith, Inc.*, 465 F Supp 1233; *Shearson/American Express Inc. v McMahon*, 482 US 220; *Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 1033; *Singer v Jefferies & Co.*, 78 NY2d 76; *Ozelkan v Tyree Bros. Envtl. Servs., Inc.*, 29 AD3d 877; *State St. Trust Co. v Ernst*, 278 NY 104.) II. The claimed preemption by the Martin Act of civil claims by private investors is repugnant to article I, § 14 and article VI, § 7 (a) of the New York Constitution. (*Montgomery v Daniels*, 38 NY2d 41; *Matter of Steinway*, 159 NY 250; *Woods v Lancet*, 303 NY 349; *Boddie v Connecticut*, 401 US 371; *Sohn v Calderon*, 78 NY2d 755; *Thrasher v United States Liab. Ins. Co.*, 19 NY2d 159; *Richards v Kaskel*, 32 NY2d 524; *Matter of Zuckerman v Board of Educ. of City School Dist. of City of N.Y.*, 44 NY2d 336.)

William A. Jacobson, Cornell Securities Law Clinic, Ithaca, for Cornell Securities Law Clinic, amicus curiae. I. The legislative history reveals an intent to supplement, not preempt, the common law. (*Rankin v Shanker*, 23 NY2d 111; *Hotaling v Leach & Co., Inc.*, 126 Misc 845; *42nd St. Fotoshop v Weimet Film Co.*, 286 App Div 714; *Mekrut v Gould*, 16 Misc 2d 326; *ABN AMRO Bank, N.V. v MBIA Inc.*, 17 NY3d 208.) II. The Martin Act text contains no clear and specific intent to preempt the common law. (*Burns Jackson Miller Summit & Spitzer v*

Lindner, 59 NY2d 314; *Hechter v New York Life Ins. Co.*, 46 NY2d 34; *People v Finley*, 10 NY3d 647; *Matter of Crucible Materials Corp. v New York Power Auth.*, 13 NY3d 223; *Seligman v Friedlander*, 199 NY 373; *Hennessey v Walker*, 279 NY 94; *Transit Commn. v Long Is. R.R. Co.*, 253 NY 345; *Hammelburger v Foursome Inn Corp.*, 54 NY2d 580; *Matter of Delmar Box Co. [Aetna Ins. Co.]*, 309 NY 60.) III. New York courts have correctly ruled against Martin Act preemption. (*CMMF, LLC v J.P. Morgan Inv. Mgt. Inc.*, 78 AD3d 562; *Caboara v Babylon Cove Dev., LLC*, 54 AD3d 79; *Scalp & Blade v Advest, Inc.*, 281 AD2d 882; *Independent Order of Foresters v Donaldson, Lufkin & Jenrette Inc.*, 919 F Supp 149; *Castellano v Young & Rubicam, Inc.*, 257 F3d 171; *Louros v Kreicas*, 367 F Supp 2d 572; *Anwar v Fairfield Greenwich Ltd.*, 728 F Supp 2d 354; *CPC Intl. v McKesson Corp.*, 70 NY2d 268; *Whitehall Tenants Corp. v Estate of Olnick*, 213 AD2d 200; *Kerusa Co. LLC v W10Z/515 Real Estate Ltd. Partnership*, 12 NY3d 236.)

Milberg LLP, New York City (Robert A. Wallner and Jennifer L. Young of counsel), for New York State AFL-CIO and others, amici curiae. I. Nothing in the Martin Act or its legislative history supports preemption of common-law claims. (*Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314; *ABN AMRO Bank, N.V. v MBIA Inc.*, 17 NY3d 208.) II. That the Martin Act does not preempt common-law fraud claims, which are well within its scope, further demonstrates that the instant common-law claims are likewise not preempted. (*Kerusa Co. LLC v W10Z/515 Real Estate Ltd. Partnership*, 12 NY3d 236; *Roni LLC v Arfa*, 74 AD3d 442; *Bhandari v Ismael Leyva Architects, P.C.*, 84 AD3d 607; *People v Sala*, 95 NY2d 254; *Sykes v RFD Third Ave. 1 Assoc., LLC*, 15 NY3d 370; *CRT Invs., Ltd. v BDO Seidman, LLP*, 85 AD3d 470; *Silver Oak Capital L.L.C. v UBS AG*, 82 AD3d 666; *Jordan v UBS AG*, 11 AD3d 283.) III. J.P. Morgan Investment Management Inc.'s reliance on federal preemption law undermines its argument. (*Merrill Lynch, Pierce, Fenner & Smith Inc. v Dabit*, 547 US 71; *In re Beacon Assoc. Litig.*, 745 F Supp 2d 386; *Silver Oak Capital L.L.C. v UBS AG*, 82 AD3d 666; *CMMF, LLC v J.P. Morgan Inv. Mgt. Inc.*, 78 AD3d 562; *Board of Mgrs. of Marke Gardens Condominium v 240/242 Franklin Ave., LLC*, 71 AD3d 935; *Caboara v Babylon Cove Dev., LLC*, 54 AD3d 79, 82 AD3d 1141; *Scalp & Blade v Advest, Inc.*, 281 AD2d 882; *Castellano v Young & Rubicam, Inc.*, 257 F3d 171; *Anwar v Fairfield Greenwich Ltd.*, 728 F Supp 2d 354; *Matter of Pokoik v Department of Health Servs., County of Suffolk*, 72 NY2d 708.) IV. The Court should grant

deference to the Attorney General's views. (*Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 62 NY2d 539; *Anwar v Fairfield Greenwich Ltd.*, 728 F Supp 2d 354; *South Cherry St., LLC v Hennessee Group LLC*, 573 F3d 98; *Stephenson v Price-waterhouseCoopers, LLP*, 768 F Supp 2d 562.)

Wilmer Cutler Pickering Hale and Dorr, LLP, New York City (Lori A. Martin of counsel), and *Wilmer Cutler Pickering Hale and Dorr LLP*, Washington, D.C. (Paul R.Q. Wolfson and Daniel S. Volchok of counsel), for Securities Industry and Financial Markets Association and others, amici curiae. I. A ruling that private non-scienter-based claims can go forward would constitute a significant change in the law, with potentially far-reaching consequences best considered by the Legislature. II. Investment advice and management are not activities readily susceptible to evaluation under a reasonableness standard. (*Mangam v Brooklyn City R.R. Co.*, 38 NY 455; *People v Grogan*, 260 NY 138; *Danielenko v Kinney Rent A Car*, 57 NY2d 198.) III. Allowing non-fraud claims against investment advisers will lead to increased costs for clients. IV. Gross negligence and breach of fiduciary duty claims against investment advisers would be as problematic as ordinary negligence claims. (*Dalton v Hamilton Hotel Operating Co.*, 242 NY 481; *Steamboat New World v King*, 16 How [57 US] 469; *Food Pageant v Consolidated Edison Co.*, 54 NY2d 167; *Andre v Pomeroy*, 35 NY2d 361.)

Lowey Dannenberg Cohen & Hart, P.C., White Plains (Barbara J. Hart, Thomas M. Skelton and Jeanne D'Esposito of counsel), for New York State Common Retirement Fund and others, amici curiae. I. There is no basis for preemption of common-law claims under the Martin Act. (*Scalp & Blade v Advest, Inc.*, 281 AD2d 882; *Caboara v Babylon Cove Dev., LLC*, 54 AD3d 79; *Board of Mgrs. of Marke Gardens Condominium v 240/242 Franklin Ave., LLC*, 71 AD3d 935; *United States v Texas*, 507 US 529; *Hechter v New York Life Ins. Co.*, 46 NY2d 34; *Isbrandtsen Co. v Johnson*, 343 US 779; *Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314; *American Telephone & Telegraph Co. v Central Office Telephone, Inc.*, 524 US 214; *United States v Detroit Timber & Lumber Co.*, 200 US 321; *CPC Intl. v McKesson Corp.*, 70 NY2d 268.) II. Public policy considerations weigh against preemption. (*Anwar v Fairfield Greenwich Ltd.*, 728 F Supp 2d 354; *Belco Petroleum Corp. v AIG Oil Rig*, 164 AD2d 583; *Sprietsma v Mercury Marine*, 537 US 51; *Humana Inc. v Forsyth*, 525 US 299; *Bateman Eichler, Hill Richards, Inc. v Berner*, 472 US 299; *Koppel v 4987 Corp.*, 167 F3d 125; *Kahan v*

Rosenstiel, 424 F2d 161.) III. Preemption creates unnecessary barriers to recovery for the New York State Common Retirement Fund, the New York City Pension Funds and the New York State Teachers' Retirement System and other investors. (*In re Beacon Assoc. Litig.*, 745 F Supp 2d 386.) IV. There is no basis to conclude that allowing common-law claims would result in a proliferation of meritless lawsuits. V. Proposed legislation does not evidence legislative acquiescence. (*Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314.)

OPINION OF THE COURT

GRAFFEO, J.

At issue on this appeal is whether the Martin Act (General Business Law art 23-A) preempts plaintiff's common-law causes of action for breach of fiduciary duty and gross negligence. For the reasons that follow, we conclude that plaintiff's common-law claims are not preempted.

Plaintiff Assured Guaranty (UK) Ltd. commenced this action against defendant J.P. Morgan Investment Management Inc., asserting causes of action for breach of fiduciary duty, gross negligence and breach of contract. The gravamen of the complaint is that J.P. Morgan mismanaged the investment portfolio of an entity—Orkney Re II PLC—whose obligations plaintiff guaranteed.

As an express third-party beneficiary of an investment management agreement between J.P. Morgan and Orkney, plaintiff alleges that J.P. Morgan invested Orkney's assets heavily in high-risk securities, such as subprime mortgage-backed securities, and failed to diversify the portfolio or advise Orkney of the true level of risk. The complaint further contends that J.P. Morgan improperly made investment decisions in favor of nonparty Scottish Re Group Ltd., a client of J.P. Morgan and Orkney's largest equity holder, rather than for the benefit of Orkney or plaintiff. As a consequence, the complaint claims that Orkney suffered substantial financial losses, triggering plaintiff's obligation to pay under its guarantee.

J.P. Morgan moved to dismiss the complaint pursuant to CPLR 3211. As relevant here, J.P. Morgan argued that the breach of fiduciary duty and gross negligence claims were preempted by the Martin Act. Supreme Court granted the motion and dismissed the complaint in its entirety (28 Misc 3d 1215[A], 2010 NY Slip Op 51362[U] [2010]). The court held that the breach of fiduciary duty and gross negligence claims fell "within

the purview of the Martin Act and their prosecution by plaintiff would be inconsistent with the Attorney General’s exclusive enforcement powers under the Act” (2010 NY Slip Op 51362[U], *5).

The Appellate Division modified by reinstating the breach of fiduciary duty and gross negligence causes of action and part of the contract claim (80 AD3d 293 [1st Dept 2010]). In reinstating the two tort claims, the Appellate Division concluded that “there is nothing in the plain language of the Martin Act, its legislative history or appellate level decisions in this state that supports defendant’s argument that the Act preempts otherwise validly pleaded common-law causes of action” (*id.* at 304). The Appellate Division granted J.P. Morgan leave to appeal on a certified question (2011 NY Slip Op 64361[U] [2011]), and we now affirm.¹

J.P. Morgan’s position can be simply stated—plaintiff’s common-law breach of fiduciary duty and gross negligence claims must be dismissed because they are preempted by the Martin Act. Contending that the Martin Act vests the Attorney General with exclusive authority over fraudulent securities and investment practices addressed by the statute, J.P. Morgan asserts that it would be inconsistent to allow private investors to bring overlapping common-law claims. J.P. Morgan cites our decisions in *CPC Intl. v McKesson Corp.* (70 NY2d 268 [1987]) and *Kerusa Co. LLC v W10Z/515 Real Estate Ltd. Partnership* (12 NY3d 236 [2009]) in support of its contention that the Martin Act abrogated all nonfraud common-law claims. Plaintiff, joined by various amici curiae, including the New York Attorney General, counters that neither the language nor the history of the Martin Act requires preemption. Plaintiff also asserts that *CPC Intl.* and *Kerusa* favor its interpretation of the statute—common-law claims not predicated exclusively on violations of the Martin Act may proceed in private actions.

The Martin Act—New York’s “blue sky” law—“authorizes the Attorney General to investigate and enjoin fraudulent practices in the marketing of stocks, bonds and other securities within or from New York” (*Kerusa*, 12 NY3d at 243, citing General Business Law §§ 352, 353). We have observed that the Martin Act was enacted “to create a statutory mechanism in

1. J.P. Morgan takes no position on the Appellate Division’s reinstatement of the breach of contract claim and, therefore, we have no occasion to address it on this appeal.

which the Attorney-General would have broad regulatory and remedial powers to prevent fraudulent securities practices by investigating and intervening at the first indication of possible securities fraud on the public and, thereafter, if appropriate, to commence civil or criminal prosecution” (*CPC Intl.*, 70 NY2d at 277; *see also Kralik v 239 E. 79th St. Owners Corp.*, 5 NY3d 54, 58-59 [2005]).

When the Martin Act was originally adopted in 1921, “the primary weapon afforded to the Attorney General to combat securities fraud was that of injunctive relief” (Mihaly and Kaufmann, *Securities, Commodities and Other Investments*, McKinney’s Cons Laws of NY, Book 19, General Business Law art 23-A, at 13; *see also* General Business Law § 353 [1]). The Act has since been amended on a number of occasions to broaden its reach. In 1955, for example, the Legislature added section 352-c, which allowed the Attorney General to bring criminal proceedings against those engaging in fraudulent practices “even absent proof of scienter or intent” (*People v Landes*, 84 NY2d 655, 660 [1994]). Analogously, in contrast to a common-law fraud claim, the Attorney General “need not allege or prove either scienter or intentional fraud” in a civil enforcement action under the Martin Act (*State of New York v Rachmani Corp.*, 71 NY2d 718, 725 n 6 [1988]). And in 1976, the Attorney General was authorized to seek monetary restitution on behalf of investors who were the victims of fraudulent activities (*see* General Business Law § 353 [3]).

The scope of the Martin Act was expanded to include the real estate industry in 1960, when the Legislature added section 352-e to address the offer and sale of condominiums and cooperative apartments. The goal of this amendment was to prevent fraud in the sale and transfer of such properties. Consequently, “[t]he Martin Act makes it illegal for a person to make or take part in a public offering of securities consisting of participation interests in real estate unless an offering statement is filed with the Attorney General” and numerous disclosures are made pursuant to the statute and its implementing regulations (*Kerusa*, 12 NY3d at 243).

Legislative intent is integral to the question of whether the Martin Act was intended to supplant nonfraud common-law claims. It is well settled that “when the common law gives a remedy, and another remedy is provided by statute, the latter is cumulative, unless made exclusive by the statute” (*Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314, 324

[1983] [internal quotation marks and citation omitted]). We have emphasized that “a clear and specific legislative intent is required to override the common law” and that such a prerogative must be “unambiguous” (*Hechter v New York Life Ins. Co.*, 46 NY2d 34, 39 [1978]).

Here, the plain text of the Martin Act, while granting the Attorney General investigatory and enforcement powers and prescribing various penalties, does not expressly mention or otherwise contemplate the elimination of common-law claims (see *ABN AMRO Bank, N.V. v MBIA Inc.*, 17 NY3d 208, 224 [2011] [stating that, if the Legislature intended to extinguish common-law remedies, “we would expect to see evidence of such intent within the statute”]). Certainly the Martin Act, as it was originally conceived in 1921 with its limited relief, did not evince any intent to displace all common-law claims in the securities field. Nor can J.P. Morgan point to anything in the legislative history of the various amendments that demonstrates a “clear and specific” legislative mandate to abolish preexisting common-law claims that private parties would otherwise possess. True, we have held that the Martin Act did not “create” a private right of action to enforce its provisions (see *CPC Intl.*, 70 NY2d at 276-277). But the fact that “no new per se action was contemplated by the Legislature does not . . . require us to conclude that the traditional . . . forms of action are no longer available to redress injury” (*Burns Jackson*, 59 NY2d at 331). Hence, we agree with plaintiff that the Martin Act does not preclude a private litigant from bringing a nonfraud common-law cause of action.

Despite the absence of an unambiguous legislative intention to bar common-law claims, J.P. Morgan nevertheless posits that our decisions in *CPC Intl.* and *Kerusa* settled the issue in favor of preemption. We believe that J.P. Morgan overreads the import of these cases.

In *CPC Intl.*, the plaintiff—a corporation that purchased the stock of another company—brought a “private” Martin Act claim and a common-law fraud cause of action against a number of defendants stemming from the fraudulently inflated price of the stock. Addressing the viability of plaintiff’s Martin Act claim, we first observed that the statute did not explicitly authorize a private action. We then concluded that no cause of action was impliedly created by the Martin Act, reasoning:

“[A]n implied private action is not consistent with the legislative scheme underlying the Martin Act

and, specifically, section 352-c; . . . the specific purpose of the statute was to create a statutory mechanism in which the Attorney-General would have broad regulatory and remedial powers to prevent fraudulent securities practices by investigating and intervening at the first indication of possible securities fraud on the public and, thereafter, if appropriate, to commence civil or criminal prosecution; and . . . consistency of purpose with the statute includes consistency with this enforcement mechanism” (70 NY2d at 276-277).

However, we did not address whether the Martin Act preempted or abrogated otherwise viable and independent common-law claims. In fact, we addressed plaintiff’s common-law fraud cause of action on the merits, finding that it stated a claim and, therefore, withstood a CPLR 3211 motion to dismiss.²

In *Kerusa*, we recently examined whether the purchaser of a condominium apartment could institute a cause of action for common-law fraud “predicated solely on alleged material omissions from the offering plan amendments mandated by the Martin Act . . . and the Attorney General’s implementing regulations” (12 NY3d at 239). According to the complaint in *Kerusa*, the defendants—the sponsor of the condominium and other related parties—had failed to “disclose various

2. After we decided *CPC Intl.*, some courts held that the Martin Act preempts nonfraud common-law claims if the subject of the claim is “covered” by the statute (see e.g. *Stephenson v Citco Group Ltd.*, 700 F Supp 2d 599, 612-618 [SD NY 2010]; *Granite Partners, L.P. v Bear, Stearns & Co. Inc.*, 17 F Supp 2d 275, 291-292 [SD NY 1998]; *Independent Order of Foresters v Donaldson, Lufkin & Jenrette Inc.*, 919 F Supp 149, 153-154 [SD NY 1996]; see also *Castellano v Young & Rubicam, Inc.*, 257 F3d 171, 190 [2d Cir 2001]). The rationale typically employed by these cases is that fraud necessitates evidence of deceitful intent, an element not required by the Martin Act, whereas other common-law claims such as breach of fiduciary duty and gross negligence do not require such proof, and to recognize such claims would be analogous to permitting a private right of action under the Act, in contravention of *CPC Intl.* (see *Stephenson*, 700 F Supp 2d at 613 [“Martin Act preemption does not extend to those common law claims that require additional elements beyond what is required for Martin Act liability, such as common law fraud claims that require a showing of intent”]). More recently, however, a number of courts have rejected this approach, concluding that the Martin Act does not preclude nonfraud tort claims (see e.g. *CMMF, LLC v J.P. Morgan Inv. Mgt. Inc.*, 78 AD3d 562, 564 [1st Dept 2010]; *Board of Mgrs. of Marke Gardens Condominium v 240/242 Franklin Ave., LLC*, 71 AD3d 935, 936 [2d Dept 2010]; *Anwar v Fairfield Greenwich Ltd.*, 728 F Supp 2d 354, 357-358 [SD NY 2010]; see also *Scalp & Blade v Advest, Inc.*, 281 AD2d 882, 883 [4th Dept 2001]). We believe that these latter cases represent the more accurate view.

construction and design defects in the offering plan amendments” filed with the Attorney General pursuant to the Martin Act (*id.* at 245). We were careful to make clear that “[b]ut for the Martin Act and the Attorney General’s implementing regulations, however, the sponsor defendants did not have to make the disclosures in the amendments” (*id.*). Put differently, the purchaser’s entire claim was premised on a violation of the Martin Act and would not have existed absent the statute. Under these discrete circumstances, we held that the purchaser could not bring a fraud claim because to accept the “pleading as valid would invite a backdoor private cause of action to enforce the Martin Act in contradiction to our holding in *CPC Intl.* that no private right to enforce that statute exists” (*id.*).

Read together, *CPC Intl.* and *Kerusa* stand for the proposition that a private litigant may not pursue a common-law cause of action where the claim is predicated solely on a violation of the Martin Act or its implementing regulations and would not exist but for the statute. But, an injured investor may bring a common-law claim (for fraud or otherwise) that is not entirely dependent on the Martin Act for its viability. Mere overlap between the common law and the Martin Act is not enough to extinguish common-law remedies.

Finally, J.P. Morgan claims that policy considerations, including the preservation of the Attorney General’s exclusive enforcement authority under the Martin Act, should encourage us to find expansive preemption in the securities and real estate fields. To the contrary, we believe that policy concerns militate in favor of allowing plaintiff’s common-law claims to proceed. We agree with the Attorney General that the purpose of the Martin Act is not impaired by private common-law actions that have a legal basis independent of the statute because proceedings by the Attorney General and private actions further the same goal—combating fraud and deception in securities transactions. Moreover, as Judge Marrero observed recently, to hold that the Martin Act precludes properly pleaded common-law actions would leave the marketplace “less protected than it was before the Martin[] Act[’s] passage, which can hardly have been the goal of its drafters” (*Anwar v Fairfield Greenwich Ltd.*, 728 F Supp 2d 354, 371 [SD NY 2010]).

For all of these reasons, we conclude that plaintiff’s breach of fiduciary duty and gross negligence claims are not barred by the Martin Act.

Accordingly, the order of the Appellate Division should be affirmed, with costs. The certified question should be answered in the affirmative.

Chief Judge LIPPMAN and Judges CIPARICK, READ, PIGOTT and JONES concur; Judge SMITH taking no part.

Order affirmed, etc.

[962 NE2d 247, 938 NYS2d 826]

BOARD OF EDUCATION OF THE GARRISON UNION FREE SCHOOL
DISTRICT, Respondent, v GREEK ARCHDIOCESE INSTITUTE OF
ST. BASIL, Also Known as ST. BASIL ACADEMY, Appellant, et
al., Defendants.

Argued November 15, 2011; decided January 5, 2012

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered July 20, 2010. The Appellate Division (1) affirmed (a) an order of the Supreme Court, Putnam County (Andrew P. O'Rourke, J.), which had granted plaintiff's motion for summary judgment declaring that plaintiff is not responsible for the costs of educating the children living at defendant Greek Archdiocese Institute of St. Basil's facility who are not residents of the Garrison school district as defined by Education Law § 3202, and (b) an order of that court denying defendant Greek Archdiocese Institute of St. Basil's motion for summary judgment declaring that plaintiff is responsible for the costs of educating the children living at defendant's facility and that defendant is not the party responsible for financing the education of those children, and (2) remitted the matter to the Supreme Court, Putnam County, for the entry of a judgment declaring that plaintiff is not responsible for the costs of educating the children living at the facility operated by defendant who are nonresidents of Garrison, New York. The following question was certified by the Appellate Division: "Was the decision and order of this Court dated July 20, 2010, properly made?"

Board of Educ. of the Garrison Union Free School Dist. v Greek Archdiocese Inst. of St. Basil, 75 AD3d 569, affirmed.

HEADNOTE

Schools — Tuition for Nonresidents — Children Residing in Child Care Institutions

Plaintiff school district was not obligated to pay for the educational costs of those children living in defendant licensed child care institution located within district boundaries who were determined to be nonresidents of the school district. Education Law article 81, which governs the education of school-aged children residing in child care institutions, provides that such children are entitled "to receive a free and appropriate education in the least restrictive environment for that child" (Education Law § 4002 [1]). Suitable programs for accomplishing that task may include the program of the public schools where the institution is located or a neighboring public school program

(Education Law § 4002 [2] [a]). Article 81 must be read in conjunction with Education Law § 3202, which provides that the school district of a child's residence is financially responsible for the cost of educating a child. Although the statutory language of Education Law § 3202 (6) states that it gives way to the provisions of article 81, it does so only to the extent to which article 81 expressly supercedes its provisions. Thus, the residency provisions of section 3202 apply because article 81 does not adequately address who is responsible for paying the cost of the required "free and appropriate" education. Moreover, the statutory provisions of article 81 indicate that the Legislature did not intend to put the financial burden on the local school district for all of the children living in a child care institution.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Schools §§ 258, 409–411.

McKINNEY's, Education Law art 81; §§ 3202, 4002.

NY JUR 2d, Schools, Universities, and Colleges §§ 376, 582, 624.

ANNOTATION REFERENCE

See ALR Index under Schools and Education.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: school /2 district /p non-resident /p care /2 institution

POINTS OF COUNSEL

Kramer Levin Naftalis & Frankel LLP, New York City (Gregory A. Horowitz, Julie M. Weiswasser and Alissa R. Goodman of counsel), for appellant. I. Education Law § 4002 compels Garrison Union Free School District to provide free and appropriate public education to children residing at the Greek Archdiocese Institute of St. Basil. (*Campaign for Fiscal Equity v State of New York*, 86 NY2d 307; *Board of Educ., Levittown Union Free School Dist. v Nyquist*, 57 NY2d 27; *Campaign for Fiscal Equity v State of New York*, 100 NY2d 893; *Plyler v Doe*, 457 US 202.) II. Education Law § 3202 does not govern this matter. (*People v Mobil Oil Corp.*, 48 NY2d 192.) III. The Commissioner of Education recognized that Education Law § 3202 would not govern after the Greek Archdiocese Institute of St. Basil received its license. IV. Education Law § 4004 does not limit the Greek Archdiocese Institute of St. Basil children's right to free education. (*Board of Educ., Levittown Union Free School Dist. v Nyquist*, 57 NY2d 27.) V. *Longwood Cent. School Dist. v Springs*

Union Free School Dist. (1 NY3d 385 [2004]) does not govern this matter.

Girvin & Ferlazzo, P.C., Albany (*Salvatore D. Ferlazzo* and *Patrick J. Fitzgerald* of counsel), for respondent. I. Garrison Union Free School District is obligated to enroll children residing at St. Basil Academy only on a tuition basis and after other reasonable conditions have been met. (*Longwood Cent. School Dist. v Springs Union Free School Dist.*, 1 NY3d 385.) II. The operating certificate which St. Basil Academy received from the New York State Department of Social Services does not impose financial obligations on Garrison Union Free School District for the education of children who live at St. Basil Academy. (*Stichting Ter Behartiging Van de Belangen Van Oudaandeelhouders In Het Kapitaal Van Saybolt Intl. B.V. v Schreiber*, 407 F3d 34; *Maurizio v Goldsmith*, 84 F Supp 2d 455; *Wheeler v Citizens Telecom. Co. of N.Y., Inc.*, 18 AD3d 1002; *People v Rivera*, 45 NY2d 989.) III. The legislative history relating to the enactment of Education Law § 3202 (6) unequivocally confirms the statutory interpretation set forth above. (*State of New York v Green*, 96 NY2d 403.) IV. St. Basil Academy misinterprets the provisions of article 81 of the Education Law. V. The Commissioner of Education's decisions that Garrison Union Free School District is not responsible for the cost of educating children who live at St. Basil Academy should be afforded great weight and deference. (*Board of Educ. of Lawrence Union Free School Dist. No. 15, Town of Hempstead v McColgan*, 18 Misc 3d 572; *Matter of Kelley v Ambach*, 83 AD2d 733; *Matter of Lezette v Board of Educ., Hudson City School Dist.*, 35 NY2d 272.) VI. St. Basil Academy's own actions and representations undermine its argument. (*Matter of J-T Assoc. v Hudson Riv.—Black Riv. Regulating Dist.*, 175 AD2d 438; *Matter of Estate of Prospect v New York State Teachers' Retirement Sys.*, 13 AD3d 699.)

OPINION OF THE COURT

FIGOTT, J.

This appeal presents the question of whether a school district is obligated to pay for the educational costs of the children living in a child care institution located within district boundaries. We hold that a school district is not obligated to provide a tuition-free education to those children determined to be nonresidents of the school district.

The Greek Archdiocese Institute of St. Basil (hereinafter St. Basil) is located within the boundaries of the Garrison Union

Free School District and houses primarily Greek Orthodox children whose parents are unable to care for them due to circumstances such as death, abuse, neglect, disability or poverty. The children are typically placed at the initiative of priests in parishes across the United States, sometimes accompanied by family court orders. St. Basil does not always obtain custody or guardianship status over the children.

There has been a long-standing dispute over who bears the burden of paying the educational costs for the children at St. Basil. Over 25 years ago, St. Basil and Garrison settled a lawsuit by way of an agreement providing that St. Basil would pay the Garrison school district all charges for tuition and any other costs incidental to the education of all students residing at St. Basil whose parents were not residents of the school district. Since that time and until 2002, St. Basil either educated the children at a boarding school it operated at its residential facility or sent the children to public schools in neighboring school districts or private schools on a tuition-paying basis.

In September 2002, St. Basil attempted to register 26 school-aged children in the Garrison school district on a tuition-free basis. Garrison scheduled a residency hearing before an appointed hearing officer pursuant to section 100.2 (y) of the Regulations of the Commissioner of Education of the State of New York (8 NYCRR) to determine its obligations. In November 2002, the Hearing Officer determined that none of the students were residents of the Garrison school district and therefore they were not permitted to attend the school on a tuition-free basis. St. Basil appealed that determination to the Commissioner of Education.

The Commissioner affirmed the Hearing Officer's decision. In doing so, the Commissioner explained that article 81 of the Education Law did not apply because St. Basil was not a "child care institution" since it was not licensed by the New York State Office of Children and Family Services (OCFS). At the time, St. Basil's licensure was pending with OCFS. The Commissioner concluded that the default statute, Education Law § 3202 (6), applied, and under that statute a child's residence is presumed to be that of his or her parents unless the parents relinquished total custody and control. Because there was "insufficient evidence" to establish that the parents relinquished permanent custody and control to St. Basil, that residency presumption was not rebutted. Thus, the Commissioner held that the children living at St. Basil who attend

Garrison school district must do so on a tuition-paying basis. The Commissioner further held that if the parents (or guardians) of the children resided in New York, the expense should be covered by the school district of the parent's residence. In other words, Garrison school district was obligated to educate the children only if St. Basil or some other entity or individual assumed financial responsibility for tuition. Neither St. Basil nor Garrison appealed the Commissioner's determination.

In September 2003, St. Basil submitted an application for a certificate to operate a residential care program for children pursuant to Social Services Law § 460-b. The regulations required St. Basil to submit an educational plan showing that it would take the necessary steps to ensure that the children living at the institution receive an education in accordance with the requirements of the Education Law (*see* 18 NYCRR 441.13 [a]). In its education plan, St. Basil stated that "[a]fter the completion of the 2004-2005 school year . . . St. Basil will pay the tuition for its students to continue to attend [schools outside Garrison school district] unless the Commissioner of Education determines that Garrison is responsible for those charges." On November 10, 2006, St. Basil was issued a license to operate a residential child care institution.

Thereafter, Garrison commenced the instant action seeking, among other things, a judgment declaring that St. Basil's status as a licensed child care institution did not mean that Garrison was now required to pay for the education costs of the children at St. Basil who were not residents of the school district. St. Basil responded by filing counterclaims, which, among other things, sought a declaration that Garrison was obligated to provide a cost-free education to *all* children placed at St. Basil and that St. Basil is not responsible for paying the tuition of its nonresident children. After motion practice not relevant to this appeal, St. Basil and Garrison each moved for summary judgment on their claims for declaratory relief.

Supreme Court found that Garrison was not responsible for the cost of educating the children living in St. Basil who are not residents of the Garrison school district as defined by Education Law § 3202. The Appellate Division affirmed (75 AD3d 569 [2d Dept 2010]) and certified the following question to this Court: "Was the decision and order of this Court dated July 20, 2010, properly made?"

St. Basil argues that the rights of the children are established by Education Law § 4002, which compels Garrison to provide

free and appropriate education to all of the children residing at St. Basil. Garrison counters that section 4002 must be read in conjunction with Education Law § 3202, which provides that the school district of a child's residence—and not the school district where the child care institution is located—is financially responsible for the cost of educating a child living at a child care institution.

We begin our analysis with the general statute, Education Law § 3202, which is entitled “Public schools free to resident pupils; tuition from nonresident pupils.” The statute “sets out the framework for determining when and under what circumstances a school district is obligated to provide free education” (*Catlin v Sobol*, 77 NY2d 552, 559 [1991]). It is “designed to allocate costs sensibly between school districts and to avert burdening them with the costs of educating nonresident children” (*Longwood Cent. School Dist. v Springs Union Free School Dist.*, 1 NY3d 385, 388-389 [2004]). Section 3202 (1) provides:

“A person over five and under twenty-one years of age who has not received a high school diploma is entitled to attend the public schools maintained in the district in which such person resides without the payment of tuition.”

“Thus, every school district must ‘provide tuition-free education only to students whose parents or legal guardians reside within the district’ ” (*Longwood*, 1 NY3d at 389, quoting *Appeal of Stokes*, 32 Ed Dept Rep 93, 94 [Decision No. 12,769] [1992]).

Neither party disputes that section 3202 requires the Garrison school district to provide a tuition-free education to those children living at St. Basil who qualify as residents of the district. St. Basil argues, however, that since it received its license to be a “child care institution,” article 81 of the Education Law (Education Law § 4001 *et seq.*), and not Education Law § 3202, applies to all of the nonresident children living at St. Basil. Thus, under article 81, St. Basil claims, *all* children residing in child care institutions, whether their school district of residence is in-state or out-of-state, are entitled to tuition-free education at the expense of the local school district. Therefore, St. Basil argues Garrison is required to accept all of its children on a tuition-free basis.

Education Law article 81 provides that every child between the ages of 5 and 21 residing in a child care institution is entitled

“to receive a free and appropriate education in the least restrictive environment for that child” (Education Law § 4002 [1]). It further requires that each child be “provided suitable educational services in the least restrictive environment” and lists suitable programs for accomplishing this task including “[t]he program of the public schools . . . where such child care institution is located or a neighboring public school program” (§ 4002 [2], [2] [a]). It does not fully address who bears the cost of that education.

St. Basil’s argument is that the educational rights of the children at St. Basil are determined exclusively by article 81, which compels Garrison to provide “a free and appropriate education” to the children residing there. It contends that article 81 “addresses a special case where children’s rights are not subject to the residency requirements of § 3202.” We disagree.

Article 81 must be read in conjunction with Education Law § 3202, which provides that the school district of a child’s *residence* is financially responsible for the cost of educating a child. Although the statutory language of Education Law § 3202 (6) states that it gives way to the provisions of article 81, it does so only to the extent to which article 81 expressly supercedes its provisions. Thus, the residency provisions of section 3202 must apply because article 81 does not adequately address who is responsible for paying the cost of the required “free and appropriate” education. A reading of the statutory provisions of article 81 reveals that the Legislature did not intend to put the financial burden on the local school district for all of the children living in a child care institution. For instance, the statute provides that the local school district may seek tuition reimbursement for children who are residents of the state and who are placed in child care institutions by government entities such as a social services district, the Division for Youth, or the Family Court (*see* Education Law § 4004 [2] [a]). Throughout the Education Law, the relevant provisions addressing who is the financially responsible party emphasize the residence of the parents or the responsibility of the entity or agency placing the child in the institution.

Indeed, as we previously recognized in *Longwood Cent. School Dist. v Springs Union Free School Dist.* (1 NY3d 385 [2004]), the purpose of the Education Law was “to distribute fairly the costs of education among school districts” and to “‘relieve school districts of the obligation which exists in certain cases . . . to bear the financial burden of educating nonresident

children' ” (*id.* at 389, quoting State Ed Dept Mem, Bill Jacket, L 1973, ch 867, at 6).

St. Basil is an “institution for the care, custody and treatment of children” and the Education Law specifies that children living in such institutions are not deemed residents of the school district in which the institution is located purely by reason of their presence in the institution (Education Law § 3202 [6]). The issuance of a license to operate a child care institution does not change the residence of the children living there. Further, there is nothing to suggest that the Legislature intended the local school district to bear the entire financial burden for those children living in a child care institution, particularly those having a different residential district or those who are placed from a different state. Garrison school district is therefore not responsible for the costs of educating those children from St. Basil who are determined to be nonresidents of the Garrison school district.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order affirmed, etc.

[962 NE2d 773, 939 NYS2d 282]

JOSE LUIS TOLEDO, as Administrator of the Estate of JOAQUIN MARTINEZ, Also Known as JOAQUIN MARTINEZ VARGAS, Deceased, Respondent, v IGLESIA NI CHRISTO, Appellant.

Argued November 14, 2011; decided January 10, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 6, 2010. The Appellate Division affirmed so much of a judgment of the Supreme Court, Bronx County (Norma Ruiz, J.), as had awarded interest on future wrongful death damages, calculated on the value of those damages discounted to the date of death and going forward from that date to the date of judgment.

Toledo v Iglesia Ni Christo, 75 AD3d 436, affirmed.

HEADNOTE

Interest — Preverdict Interest — Future Wrongful Death Damages

In awarding preverdict interest in a wrongful death action, the trial court properly discounted the jury's award of future damages back to the date of the death of plaintiff's decedent and awarded interest on the future damages from the date of death to the date of verdict. Preverdict interest awarded pursuant to EPTL 5-4.3 (a) in a wrongful death action is part of the damages, and such interest should run from the date of death to the date of verdict. Damages in a wrongful death action are due on the date of the decedent's death. Thus, future damages are a debt owed entirely as of the date of liability, which by statute is the date of death, and such damages award properly should include preverdict interest calculated from the date of death. While preverdict interest on a future damages award that has not been properly discounted would result in an improper windfall to the plaintiff, juries are specifically instructed, pursuant to CPLR 4111 (e), to award a full amount of future damages, without a reduction to present value, and discounting is performed by the trial court under CPLR articles 50-A and 50-B. Since the purpose of interest was to compensate plaintiff for having been deprived of the use of money to which he was entitled from the moment that liability was determined, i.e., the date of death, to permit defendant to retain the cost of using the money would have resulted in an improper windfall to defendant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Damages §§ 483, 707; AM JUR 2d, Death §§ 197, 198, 235, 417; AM JUR 2d, Interest and Usury § 39.
CARMODY-WAIT 2d, Action for Wrongful Death §§ 130:152, 130:167, 130:168.

McKINNEY's, EPTL 5-4.3 (a).

NY JUR 2d, Damages §§ 18, 118, 122, 200; NY JUR 2d, Death §§ 212, 324, 331, 335; NY JUR 2d, Interest and Usury § 15.

ANNOTATION REFERENCE

See ALR Index under Damages; Death and Death Actions; Future and Prospective Damages; Judgments, Orders, and Decrees.

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POINTS OF COUNSEL

Mauro Lilling Naparty LLP, Great Neck (*Richard J. Montes, Caryn L. Lilling* and *Matthew W. Naparty* of counsel), and *Congdon, Flaherty, O'Callaghan, Reid, Donlon, Travis & Fishlinger* for appellant. I. In a wrongful death action subject to CPLR article 50-B, future damages discounted to present value as of the date of the verdict should not be further discounted to the date of death such that plaintiff receives additional interest. (*Milbrandt v Green Refractories Co.*, 79 NY2d 26; *Woodling v Garrett Corp.*, 813 F2d 543; *Shu-Tao Lin v McDonnell Douglas Corp.*, 742 F2d 45; *Bryant v New York City Health & Hosps. Corp.*, 93 NY2d 592.) II. No valid compensatory purpose is served by allowing preverdict interest on future damages from the date of death, since these damages would not have been due and owing as of the date of death if the decedent had survived. (*Love v State of New York*, 78 NY2d 540; *Oiness v Walgreen Co.*, 88 F3d 1025; *Borges v Our Lady of the Sea Corp.*, 935 F2d 436; *Martin v Walk, Haydel & Assoc., Inc.*, 794 F2d 209; *Valley Line Co. v Ryan*, 771 F2d 366; *Rohring v City of Niagara Falls*, 84 NY2d 60; *Milbrandt v Green Refractories Co.*, 79 NY2d 26; *Pay v State of New York*, 87 NY2d 1011; *Desiderio v Ochs*, 100 NY2d 159.)

Edelman & Edelman, P.C., New York City (*David M. Schuller* of counsel), for respondent. Preverdict interest is properly awarded on future wrongful death damages, provided that such future damages are discounted back to the date of death before interest is calculated. (*Milbrandt v Green Refractories Co.*, 79 NY2d 26; *Rohring v City of Niagara Falls*, 84 NY2d 60; *Pay v State of New York*, 87 NY2d 1011; *Love v State of New York*, 78

Opinion by CIPARICK, J.

NY2d 540; *Woodling v Garrett Corp.*, 813 F2d 543; *Shu-Tao Lin v McDonnell Douglas Corp.*, 742 F2d 45; *Equal Empl. Opportunity Commn. v County of Erie*, 751 F2d 79; *Action S.A. v Marc Rich & Co., Inc.*, 951 F2d 504; *Jones & Laughlin Steel Corp. v Pfeifer*, 462 US 523; *Krumenacker v Gargano*, 276 AD2d 750.)

McGaw, Alventosa & Zajac, Jericho (Andrew Zajac and Dawn C. DeSimone of counsel), Rona L. Platt, Uniondale, Brendan T. Fitzpatrick, Albertson, David Hamm, New York City, and Lawton W. Squires for Defense Association of New York, Inc., amicus curiae. The methodology adopted by the courts below allows for an impermissible double recovery. (*Pay v State of New York*, 87 NY2d 1011; *Rohring v City of Niagara Falls*, 84 NY2d 60; *Milbrandt v Green Refractories Co.*, 79 NY2d 26; *Woodling v Garrett Corp.*, 813 F2d 543; *Shu-Tao Lin v McDonnell Douglas Corp.*, 742 F2d 45.)

OPINION OF THE COURT

CIPARICK, J.

The sole issue on this appeal is whether the trial court, in awarding preverdict interest, properly discounted future wrongful death damages back to the date of decedent's death and awarded interest from the date of death to the date of verdict. We agree with the courts below and affirm the judgment as entered. We do not reach the question of whether the interest should have been added to the future damages award discounted to the date of verdict or added to the award discounted to the date of death as that issue is not before us.

Decedent Joaquin Martinez Vargas was killed in a construction accident on September 21, 2002. Plaintiff Jose Luis Toledo, the administrator of decedent's estate, brought this negligence and wrongful death action against defendant church. Supreme Court granted summary judgment on the issue of liability on August 14, 2006. In November 2007, a jury trial was held to determine both past and future damages. Supreme Court instructed the jury to "determine the economic value of Joaquin Martinez to Claudia Vera [decedent's wife], Henri Hernan Martinez, and Christopher Martinez [decedent's children] on September 21, 2002, the date on which Mr. Martinez died."

On December 3, 2007, the jury rendered a verdict awarding plaintiff \$150,000 for decedent's conscious pain and suffering, \$310,000 for loss of earnings from date of death to date of verdict, \$35,000 for spousal services lost from date of death to

date of verdict, \$50,000 for loss of parental support for infant Henri from date of death to date of verdict, \$15,000 for loss of parental support for infant Christopher from date of death to date of verdict, \$2,000,000 for future lost earnings for 27 years, \$0 for future lost spousal services, \$400,000 for future parental loss for Henri for 16 years and \$250,000 for future parental loss for Christopher for 17 years. After post-trial motions, defendant, relying on the testimony of its economist, stipulated to an additional \$912,000 for future loss of spousal services representing 38 years from the date of verdict. The total jury award for future damages was \$3,562,000.

Plaintiff submitted a proposed judgment to Supreme Court. That judgment included an award for future damages of \$4,295,595 computed as follows: pursuant to CPLR 5041, plaintiff first subtracted the \$250,000 lump sum from the jury's award of future damages of \$3,562,000 and then discounted that total at a discount rate of approximately 4.33% to the date of verdict, December 3, 2007. The award (less the \$250,000 lump sum) discounted back to the date of verdict was \$3,104,848. Plaintiff then further discounted the award to the date of decedent's death, arriving at a value of \$2,487,465. Plaintiff then calculated the interest on that discounted amount at the statutory interest rate of 9% from the date of death to the date of verdict (*see* CPLR 5004). The interest calculated was \$1,190,747. Plaintiff then added the amount of the calculated interest from the date of death to the date of verdict to the discounted award as of the date of verdict, arriving at a total future damages award of \$4,295,595.

Defendant submitted its own proposed counter-judgment, which neither discounted the verdict back to the date of death nor included *any* preverdict interest for the future wrongful death award. Supreme Court accepted plaintiff's proposed judgment and signed it on October 23, 2008.

Defendant then moved to resettle the award. Supreme Court denied the motion holding that, in actuality, the motion was one for reargument and that there were no matters of fact or law misapprehended by the court. Defendant appealed the judgment. Prior to the appeal, the parties entered into a stipulation which provided: "The sole issue to be presented on this appeal is the question whether the trial court properly discounted the future wrongful death damages back to the date of death, and awarded interest thereon from the date of death to the date of judgment." The Appellate Division initially reversed holding

that interest on future damages should only have been calculated from the date of the verdict (*see Toledo v Iglesia Ni Christo*, 71 AD3d 404, 405 [1st Dept 2010]). Upon reargument, the Appellate Division recalled and vacated its decision and, relying on EPTL 5-4.3 and our cases interpreting the statute, namely *Milbrandt v Green Refractories Co.* (79 NY2d 26 [1992]) and *Rohring v City of Niagara Falls* (84 NY2d 60 [1994]), held “[w]here as here, the award of future damages was discounted by the court to the date of liability, which is the date of death, the award of interest from that date to the date of judgment was proper” (*Toledo v Iglesia Ni Christo*, 75 AD3d 436, 436 [1st Dept 2010]). We granted defendant leave to appeal (15 NY3d 713 [2010]) and now affirm.

Defendant argues that our holding in *Milbrandt* prevents a plaintiff from collecting preverdict interest on future damages in a wrongful death action, because the interest from the date of death to the date of verdict has already been included in the discounted award at the time of the verdict, and that any additional interest would be an impermissible windfall to the plaintiff. Defendant further argues that awarding interest on future damages that have yet to be realized also constitutes an unfair windfall for plaintiff. We disagree.

Wrongful death awards in New York are provided for in the EPTL. Specifically, EPTL 5-4.3, relating to the amount of recovery in a wrongful death action, provides in pertinent part:

“(a) The damages awarded to the plaintiff may be such sum as the jury or, where issues of fact are tried without a jury, the court or referee deems to be fair and just compensation for the pecuniary injuries resulting from the decedent’s death to the persons for whose benefit the action is brought . . . Interest upon the principal sum recovered by the plaintiff from the date of the decedent’s death shall be added to and be a part of the total sum awarded.”

Applying this statute and its predecessor statutes, this Court and the courts below have long held that “prejudgment interest in a wrongful death action is ‘part of the damages’ ” (*Davenport v Webb*, 11 NY2d 392, 394 [1962], quoting *Cleghorn v Ocean Acc. & Guar. Corp.*, 244 NY 166, 167 [1926]; *see also Welsh v Peerless Cas. Co.*, 8 AD2d 373, 376 [1st Dept 1959]; *Ashkenazy v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 245 AD2d 326, 327 [2d Dept 1997]), and that such interest should run from the

date of death to the date of verdict (see *Alfieri v Cabot Corp.*, 17 AD2d 455, 461 [1st Dept 1962] [“interest from the date of the wrongful death is an element of damages”]; see also *Duffy v City of New York*, 7 AD2d 988, 988 [1st Dept 1959]).

Furthermore, it has long been the rule in New York that the damages on a wrongful death action are due on the date of the death of the plaintiff’s decedent (see *Radley v Leray Paper Co.*, 214 NY 32, 36 [1915]; *Murmann v New York, New Haven & Hartford R.R. Co.*, 233 App Div 446, 448 [2d Dept 1931], *revd on other grounds* 258 NY 447 [1932] [“The damages, theoretically, should have been paid at the time the loss was suffered, to wit, the date of death”]). Future damages are thus a debt owed entirely as of the date of liability—the date of death (see *Rohring*, 84 NY2d at 69-70)—and such damages award properly should include preverdict interest calculated from the date of death.

Consistent with this analysis, in *Milbrandt* we ruled “that no preverdict interest should be added to an award for postverdict losses if the award has not been discounted to a time prior to the award” (79 NY2d at 31). There, we observed that since the verdicts in *Milbrandt* and in the companion case *Schmertz v Presbyterian Hosp. in City of N.Y.* had not been properly discounted, preverdict interest on future damages awards would have been improper as it would indeed constitute a windfall (see *id.* at 36). Following the adoption of CPLR articles 50-A and 50-B, however, discounting is performed by the trial court and juries are specifically instructed, pursuant to CPLR 4111 (e), to award a *full* amount of future damages, without a reduction to present value.¹

Moreover, in *Rohring* we stated “that future damages should be discounted to the date of liability, which by statute is the date of death, before interest is calculated on them” (84 NY2d at 69). We now conclude that the proper method for calculating preverdict interest in a wrongful death action is to discount the verdict to the date of liability, i.e., the date of death, and award interest on that amount from the date of death to the date of judgment.²

1. We note that CPLR article 50-A was amended in 2003, such that wrongful death damages in medical malpractice cases are awarded as a lump sum and not subject to structuring.

2. The dissent concludes that there is no justification under *Milbrandt* to discount the award back to the date of death at a discount rate which is

(n. cont’d)

Finally, it should be noted that awarding preverdict interest on future damages to plaintiff is not a penalty against defendant. “The purpose of interest is to require a person who owes money to pay compensation for the advantage received from the use of that money over a period of time” (*Manufacturer’s & Traders Trust Co. v Reliance Ins. Co.*, 8 NY3d 583, 589 [2007]). “[T]he plaintiff has been deprived of the use of money to which he or she was entitled from the moment that liability was determined. That is a loss for which the plaintiff should be compensated” (*Love v State of New York*, 78 NY2d 540, 545 [1991]). “[A] rule that would permit the defendant to retain the cost of using the money (i.e., interest) would provide *the defendant* with a windfall” (*id.* [emphasis added])—a result we do not countenance.

Insofar as there is any issue concerning the accuracy of Supreme Court’s calculation of the future damages award, that issue is not before us, nor was it litigated below. The stipulation entered into by the parties narrowed the scope of this appeal solely to the issue of “whether the trial court properly discounted the future wrongful death damages back to the date of death, and awarded interest thereon from the date of death to the date of judgment,” not whether the calculation itself was accurate. Hence, we do not address whether the preverdict interest should have been added to the award discounted to the date of death or to the award discounted to the date of verdict.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

SMITH, J. (dissenting). In *Milbrandt v Green Refractories Co.* (79 NY2d 26, 36 [1992]) we held that, where future damages

“equal to the rate of return to be expected from reasonably safe investments” (79 NY2d at 32) and then add interest at the statutory rate of 9% (*see* CPLR 5004; dissenting op at 370). However, the concern in *Milbrandt* was not the discrepancy between the discount rate and the statutory interest rate, but the windfall that would occur if one added interest to an undiscounted award. To interpret *Milbrandt* in the manner in which the dissent does makes the distinction between personal injury awards which are due at the time of verdict and wrongful death awards which are due at the time of death meaningless. Such a reading also renders the language in *Rohring* that “future damages should be discounted to the date of liability, which by statute is the date of death, before interest is calculated on them” (84 NY2d at 69) similarly meaningless. That the difference between the discount rate and the statutory interest rate provides a benefit to plaintiff is an issue for the legislature and not one for judicial determination (*see Desiderio v Ochs*, 100 NY2d 159, 176 [2003, Rosenblatt, J., concurring]).

have been discounted to the date of a jury's verdict, the amount so calculated already includes interest up to that date and no further calculation of pre-verdict interest is necessary or appropriate. *Milbrandt* was a well-reasoned decision that reached a fair result, and the application of *Milbrandt* would produce a fair result in this case.

The majority here, however, holds that the date-of-verdict damages must be discounted back to the date of decedent's death, and that interest must then be added from the date of death to the date of verdict. This should be a useless but harmless exercise, for the two calculations should cancel each other; but here, for reasons no one has attempted to explain, the discounting was done using an interest rate of roughly 4%, while interest was calculated at the statutory rate of 9%—in effect doubling the interest and giving plaintiff a significant windfall. I see no justification for this procedure, and I therefore dissent.

I

Milbrandt, like this case, was an action for wrongful death. In *Milbrandt*, as in this case, part of the jury's award was for "postverdict losses"—i.e., "what decedent would, in the future, have contributed to the care and support of his family" (79 NY2d at 32). In *Milbrandt*, "the court instructed the jury to discount the [post-verdict] damages by reducing the award to its cash value on the day of the verdict" (*id.*). Here, pursuant to CPLR article 50-B, the jury verdict included an undiscounted amount of post-verdict damages; the trial court, after modifying the verdict as the result of a pretrial motion and making certain other adjustments required by statute, calculated a date-of-verdict present value (*see* majority op at 366).^{*} I see no reason why this difference—the difference between a calculation by the jury and one by the judge—should be significant, and I find *Milbrandt* controlling here.

In *Milbrandt*, we rejected the idea that the date-of-verdict present value needed to be the subject of any further interest calculation. We said:

"When, as with the awards in the cases before us,
an intended amount is not discounted to the date of

^{*} The parties and the majority assume, as do I, that the date of the damages verdict is an appropriate date for a present value calculation. In principle, for the reasons I explain below, it should not matter what date is chosen as long as there is no discrepancy between the rate used in discounting back to a date and in adding interest after that date.

death, but only to the date of the verdict, *the award includes the return that would be earned on the principal from the date of death to the date of the verdict.* . . .

“If, as in the cases before us, the damages are discounted only to the date of verdict, then *that award already includes interest on the principal sum from the date of death to the date of verdict*, and additional interest is a windfall.” (79 NY2d at 35-36 [emphasis added].)

We therefore held in *Milbrandt* that no pre-verdict damages should be added to future damages discounted by the jury to present value at date of verdict. For the same reason, in this case there is no reason to add anything to the \$3,104,848 in date-of-verdict present value calculated by the court. That amount fully compensates plaintiff for his future losses as of the date of verdict.

II

Plaintiff nevertheless asked the trial court for, and was granted, what he called “Interest on Future Wrongful Death Damages.” He began his calculation of this amount by discounting the \$3,104,848 from the date of verdict to the date of death. He did not disclose the interest rate he used in the discounting process, but it is clear from his result that it was approximately (or perhaps exactly) 4.36%. He arrived at a date-of-death value of \$2,487,465, then calculated interest going forward to the date of verdict at 9%, producing an interest figure of \$1,190,747. Then—for reasons I cannot fathom, and which plaintiff has not explained—he added this interest not to the date-of-death value, but to the date-of-verdict value of \$3,104,848 (an amount which, by definition, already included interest at 4.36% from date of death to date of verdict), reaching a sum of \$4,295,595 in future damages plus interest.

I put aside plaintiff’s bizarre choice to add the interest to the date-of-verdict value, rather than to the date-of-death value on which it was calculated. This was obviously wrong—by adding interest to an amount that already included interest, plaintiff essentially claimed, and obtained, interest at more than 13% on his date-of-death value—but I acknowledge that, since defendant failed to complain of this error, we may be powerless to correct it. The more basic problem, of which defendant did

complain, is that plaintiff's whole calculation of "Interest on Future Wrongful Death Damages" makes no sense.

In principle, there is no harm in discounting back from date of verdict to date of death and adding interest from date of death to date of verdict—because if the discounting is done correctly, there is no difference between following that procedure and simply awarding the date-of-verdict present value, as *Milbrandt* did. The discount rate and the interest rate should be identical, and the amount subtracted and the amount added will thus cancel each other. As a federal Court of Appeals explained in *Woodling v Garrett Corp.* (813 F2d 543, 560 [2d Cir 1987]), a case we approved in *Milbrandt* (79 NY2d at 36, 37): "Assuming that the inflation-adjusted discount rate is based on the legal rate of interest, which is used in calculating prejudgment interest, this practice [discounting and adding interest] reaches precisely the same result as [awarding date-of-verdict value]."

The calculations, if done properly, reach the same result because the whole point of discounting is to find the amount of money on an earlier date that is equivalent in value to a given amount on a later date. To do so, one must choose a discount rate equal to the rate of interest the person holding the funds between the two dates is expected to earn (*see generally* Gilbert, *Forensic Discount Rates*, 1 J Legal Econ 40 [1991]). Here, choosing the discount rate is an easy task, because we know the interest rate plaintiff could expect to earn from the date of death to the date of verdict: 9%, by statute (CPLR 5004). And if we use that discount rate there is no need to do the exercise at all, because it consists in effect of subtracting and adding the same amount of money.

In *Rohring v City of Niagara Falls* (84 NY2d 60, 69 [1994]), we recognized the equivalence between the *Milbrandt* approach of awarding date-of-verdict value and the discounting and adding approach. We said in *Rohring*, "in [*Milbrandt*] we held that future damages should be discounted to the date of liability, which by statute is the date of death, before interest is calculated on them" (84 NY2d at 69). The majority quotes part of this language (majority op at 368), but omits *Rohring's* reference to *Milbrandt* and thus obscures the key point: The discounting and adding approach is identical in substance to the *Milbrandt* approach—if the discounting and adding is done correctly.

It was not done correctly here. Plaintiff presented to Supreme Court, and obtained approval of, a calculation in which the discount rate was 4.36% and the interest rate from date of death was 9%. (I am ignoring the distinction between compound and simple interest, which does not affect the argument.) I do not find in plaintiff's submissions, or in the opinions below, or in today's majority opinion, any reasoned argument that supports discounting with a lower interest rate, and then adding back interest at a higher one. That is not only inconsistent with *Milbrandt*: it is an irrational procedure that accomplishes nothing except putting defendant's money in plaintiff's pocket.

Chief Judge LIPPMAN and Judges GRAFFEO, PIGOTT and JONES concur with Judge CIPARICK; Judge SMITH dissents in a separate opinion in which Judge READ concurs.

Order affirmed, with costs.

[963 NE2d 1219, 940 NYS2d 518]

JOHN GRONSKI et al., Appellants, v COUNTY OF MONROE, Respondent.

Argued October 12, 2011; decided November 17, 2011

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered May 7, 2010. The Appellate Division affirmed an order of the Supreme Court, Monroe County (Thomas A. Stander, J.), which had granted a motion by defendant for summary judgment and dismissed the complaint.

Gronski v County of Monroe, 73 AD3d 1439, reversed.

HEADNOTES

Negligence — Maintenance of Premises — Duty of Landowner

1. In an action to recover for injuries an employee of an independent contractor sustained while working at a recycling center owned by defendant County but operated by the contractor under an operations and maintenance agreement, the courts below improperly applied the out-of-possession landlord standard in granting the County's motion for summary judgment dismissing the complaint since no leasehold was created by the agreement. Control over the property is the test which measures generally the responsibility in tort of the owner of real property, and control is both a question of law and of fact.

Negligence — Maintenance of Premises — Duty of Landowner

2. In an action to recover for injuries an employee of an independent contractor sustained while working at a recycling center owned by defendant County but operated by the contractor under an operations and maintenance agreement, defendant was not entitled to summary judgment dismissing the complaint as it could not be said as a matter of law that the County had relinquished complete control of the facility. When a landowner and one in actual possession have committed their rights and obligations with regard to the property to a writing, both the terms of the agreement and the parties' course of conduct, including but not limited to, the landowner's ability to access the premises, must be examined in order to determine whether the landowner in fact surrendered control over the property such that its duty is extinguished as a matter of law. Although the agreement between the County and the independent contractor unambiguously assigned to the contractor the responsibility to implement safe practices and remedy unsafe conditions at the recycling center, it also vested the County with ultimate approval authority over the contractor's operating procedures and granted the County supervisory rights and unfettered access to the facility. Moreover, an examination of the County's conduct indicated that it maintained both a visible and vocal presence at the recycling center. The County, as landowner, remained in presumptive control over its property and subject to the attendant obligations of ownership until it was found that control was relinquished, either as a matter of law or by a factfinder after presentation of all of the evidence. Accordingly,

the remaining issue to be resolved by a trier of fact was whether the County, through its course of conduct, exercised sufficient control over the facility such that it owed plaintiff a duty to prevent and remedy the kind of condition that resulted in his injury.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Premises Liability §§ 6, 9, 13, 17, 449.

NY JUR 2d, Premises Liability §§ 29, 122, 130, 161, 165, 167, 172, 176.

PROSSER AND KEETON, TORTS (5th ed) §§ 62, 63.

ANNOTATION REFERENCE

See ALR Index under Independent Contractors; Municipal Corporations; Premises Liability.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: out-of-possession /2 landlord /p control /p duty /s maint!

POINTS OF COUNSEL

The Wolford Law Firm LLP, Rochester (*Elizabeth A. Wolford* and *Michael R. Wolford* of counsel), for appellants. I. The out-of-possession landlord standard for premises liability should not be applied outside the landlord-tenant context. (*Peralta v Henriquez*, 100 NY2d 139; *Basso v Miller*, 40 NY2d 233; *Melo v La-Guardia Fitness Ctr. Corp.*, 72 AD3d 761; *Litwack v Plaza Realty Invs., Inc.*, 11 NY3d 820; *Chapman v Silber*, 97 NY2d 9; *Campbell v Holding Co.*, 251 NY 446; *Putnam v Stout*, 38 NY2d 607; *Juarez v Wavecrest Mgt. Team*, 88 NY2d 628; *Guzman v Haven Plaza Hous. Dev. Fund Co.*, 69 NY2d 559; *Rousseau v Gugliuzza*, 285 AD2d 993.) II. The Fourth Department's decision conflicts with decisions from the First, Second and Third Departments that have refused to apply the out-of-possession landlord standard outside the leasehold context. (*Page v State of New York*, 72 AD3d 1456; *Fernandez v Town of Babylon*, 72 AD3d 636; *Scott v Redl*, 43 AD3d 1031; *Perez v Metropolitan Museum of Art*, 304 AD2d 481; *Ferro v Burton*, 45 AD3d 1454; *Thompson v Port Auth. of N.Y. & N.J.*, 305 AD2d 581; *Regensdorfer v Central Buffalo Project Corp.*, 247 AD2d 931.) III. Even if the out-of-possession landlord standard applied, it is apparent that defendant should be held to a duty of care since one of the exceptions applies. (*Kolmel-Hayes v South Shore Cruise Lines*,

Inc., 23 AD3d 530; *Gerber v West Hempstead Convenience*, 2 AD3d 260; *Gilmartin v Tempestoso*, 273 AD2d 875; *Hughes v Cold Spring Constr. Co.*, 26 AD3d 858; *Strunk v Zoltanski*, 62 NY2d 572.) IV. Defendant had a nondelegable duty to provide plaintiff with a safe place to work. (*Scott v Redl*, 43 AD3d 1031; *Kleeman v Rheingold*, 81 NY2d 270; *Backiel v Citibank*, 299 AD2d 504; *Rosenberg v Equitable Life Assur. Socy. of U.S.*, 79 NY2d 663; *Bart v Universal Pictures*, 277 AD2d 4; *Reid v Styco of Rochester*, 214 AD2d 955.)

Gibson, McAskill & Crosby, LLP, Buffalo (Victor Alan Oliveri of counsel), for respondent. I. The County of Monroe relinquished operational control over the Monroe County Recycling Center and therefore should *not* be subject to liability in tort for injuries allegedly sustained by plaintiff while working at the recycling center as an employee of Metro Waste Paper Recovery U.S., Inc., the independent contractor retained by the County to operate the recycling center. (*Ritto v Goldberg*, 27 NY2d 887; *Butler v Rafferty*, 100 NY2d 265; *Kleeman v Rheingold*, 81 NY2d 270; *Brothers v New York State Elec. & Gas Corp.*, 11 NY3d 251; *City of New York v Pennsylvania R.R. Co.*, 37 NY2d 298; *Fresina v Nebush*, 209 AD2d 1004; *Ferro v Burton*, 45 AD3d 1454; *Regensdorfer v Central Buffalo Project Corp.*, 247 AD2d 931; *Thompson v Port Auth. of N.Y. & N.J.*, 305 AD2d 581; *Stark v Port Auth. of N.Y. & N.J.*, 224 AD2d 681.) II. The County of Monroe did not owe a nondelegable duty to provide for plaintiff's safety. (*Rosenberg v Equitable Life Assur. Socy. of U.S.*, 79 NY2d 663; *Whitaker v Norman*, 75 NY2d 779; *McDonald v Shell Oil Co.*, 20 NY2d 160; *Besner v Central Trust Co. of N.Y.*, 230 NY 357; *Kleeman v Rheingold*, 81 NY2d 270; *Brothers v New York State Elec. & Gas Corp.*, 11 NY3d 251; *Khan v Bangla Motor & Body Shop, Inc.*, 27 AD3d 526; *Bart v Universal Pictures*, 277 AD2d 4; *Nagy v State of New York*, 89 AD2d 199.)

OPINION OF THE COURT

CIPARICK, J.

At issue in this appeal is whether the courts below erred in finding, as a matter of law, that defendant County of Monroe (the County) relinquished control over a county-owned but independently operated recycling center such that the County is not liable to plaintiff John Gronski for injuries sustained as a result of an unsafe condition on the premises. We hold that an issue of fact exists as to whether and to what extent the County exercised control over the subject property.

I.

Plaintiff was employed as a mechanic by Metro Waste Paper Recovery U.S., Inc. (Metro Waste) at a recycling center owned by the County. Metro Waste operated the facility as an independent contractor. On August 11, 2003, plaintiff was walking through the recycling center when a bale of paper weighing nearly one ton fell from a stack of other bales and landed on him. According to plaintiff's complaint, the stacked bales were not properly placed in the designated storage area, and no support mechanisms were used to secure them in place. As a result of the accident, plaintiff sustained serious injuries, including numerous bone fractures, a torn urethra, internal bleeding and a collapsed lung. An Occupational Safety and Health Administration (OSHA) investigation report stated that the unsecured stacked bales presented a serious regulatory violation.¹ Metro Waste was cited accordingly.

The relationship between the County and Metro Waste is governed by an operations and maintenance agreement (the agreement), which the parties entered into in 2002. The agreement established that Metro Waste "shall have complete charge of and responsibility for the Facility and Facility Site, its subcontractors, materialmen, materials, equipment and personnel engaged in the performance of its work [and] . . . shall perform its work in accordance with its own methods . . . subject to the limited review authority of the County." The agreement also assigned all responsibility for repair, maintenance and safety at the facility to Metro Waste. The County, however, retained "the right of access to the Facility in order to determine compliance by the Contractor with the terms and conditions of this Agreement, and . . . the right . . . to take visitors and group tours through . . . the Facility." The agreement also gave the County the right to, among other things, determine which persons were authorized to utilize the recycling center, access all books and records maintained and terminate the agreement for cause on 10 days notice. Finally, the agreement required Metro Waste to submit for the County's approval an annual program manual describing its "Plant Operating Procedures, including maintenance, staffing, health and safety."

1. The relevant regulation, 29 CFR 1910.176 (b), provides: "Storage of material shall not create a hazard. Bags, containers, bundles, etc., stored in tiers shall be stacked, blocked, interlocked and limited in height so that they are stable and secure against sliding or collapse."

Plaintiff commenced the instant action² against the County alleging that the County was negligent for failing to exercise due care to prevent an unsafe condition, to wit, improperly stacked and stored bales at the recycling center. Plaintiff also claimed that the County was negligent in allowing a defective baler to be used at the recycling center, resulting in improperly wound bales that contributed to the accident.³ The County moved for summary judgment, arguing that, like an out-of-possession landlord, it had relinquished all control over the maintenance and operations of the recycling center to Metro Waste pursuant to the agreement and was not contractually obligated to repair unsafe conditions on the premises.

In opposition to the County's motion, plaintiff submitted the deposition testimony of County Department of Environmental Services engineers Patrick Collins and Russell Rutkowski, and Metro Waste general manager Jeffrey Meyers. Collins testified that he conducted public tours at the facility approximately every week. Rutkowski was charged with overseeing Metro Waste's compliance with the agreement. He testified that he visited the recycling center unannounced on a weekly basis, typically walking through the entire facility to ensure that work was being performed in accordance with the agreement's terms. Both plaintiff and Meyers attested to seeing Rutkowski at the facility, with Meyers stating that the visits typically lasted about an hour. When asked about his oversight authority on maintenance and safety issues at the facility, Rutkowski vacillated, stating both that he did and did not possess the authority to monitor and report safety hazards. Rutkowski went on to state that if he observed an unsafe condition, such as a worker without a hard hat, he would bring it to Meyers' attention. Rutkowski also indicated that Collins would report his observations of litter or other housekeeping and maintenance issues to Rutkowski, who in turn relayed them to Meyers, though Meyers stated he did not discuss maintenance or safety with Rutkowski or Collins. Rutkowski further testified that he had previously seen bales stacked nine feet high outside of the designated storage area, but did not know they presented an OSHA violation.

Supreme Court granted the County's motion for summary judgment. It held that

2. Plaintiff's wife, Nancy Gronski, sues derivatively.

3. In deciding the issue here we need not reach plaintiff's product liability claim.

“[l]ooking at the entire [agreement], the rights retained by the County do not create a duty to maintain a safe environment for an employee of Metro Waste . . . Under the [agreement] Metro Waste was responsible for all safety issues . . . There is no question of fact of control created by the terms of the [agreement].” (Emphasis omitted.)

Supreme Court further held that “the County, as an out-of-possession landlord who relinquishes control of the premises and is not contractually obligated to repair unsafe conditions, is not liable to the [p]laintiff . . . for personal injuries caused by an unsafe condition existing on the premises” (internal quotation marks omitted). The Appellate Division affirmed, holding that “[Supreme Court] properly analogized this case to those cases involving out-of-possession landlords” (*Gronski v County of Monroe*, 73 AD3d 1439, 1439 [4th Dept 2010]). The Appellate Division concluded that the County “met its initial burden of establishing that it did not exercise control over the subject [facility and] . . . [p]laintiff failed to raise a triable issue of fact” (*id.* [internal quotation marks omitted]). We granted plaintiff leave to appeal (15 NY3d 708 [2010]) and now reverse.

II.

[1] To begin, we reject the out-of-possession landlord standard as applied by the courts below as no leasehold was created by the agreement (*see Butler v Rafferty*, 100 NY2d 265, 271 n 3 [2003]). Generally, a landowner owes a duty of care to maintain his or her property in a reasonably safe condition (*see Peralta v Henriquez*, 100 NY2d 139, 144 [2003]; *see also Basso v Miller*, 40 NY2d 233, 241 [1976]). That duty is premised on the landowner’s exercise of control over the property, as “the person in possession and control of property is best able to identify and prevent any harm to others” (*Butler*, 100 NY2d at 270). Indeed, “[i]t has been held uniformly that control is the test which measures generally the responsibility in tort of the owner of real property” (*Ritto v Goldberg*, 27 NY2d 887, 889 [1970]). Thus, a landowner who has transferred possession and control is generally not liable for injuries caused by dangerous conditions on the property (*see Chapman v Silber*, 97 NY2d 9, 19 [2001]). Control is both a question of law and of fact (*see Ritto*, 27 NY2d at 889).

In *Ritto*, we applied this standard and concluded that, despite a lease that transferred possession and control to commercial

tenants, the issue of whether the landlord actually exercised control over the premises was one for the jury (*see id.* at 888-889). There, the defendant landlord leased a room to operators of an automatic washing machine business, granting the tenants “exclusive use of the aforementioned room” (*id.* at 888). The plaintiff, a residential tenant injured by a defective washing machine, sued both the landlord and the commercial tenants (*see id.* at 887-888). While we found that, pursuant to the lease, the “landlord surrendered the right of occupancy . . . and reserved no control over the instruments used by those tenants in their business” (*id.* at 888), we concluded that:

“[t]here is proof . . . from which a jury might determine that the landlord, by a long course of conduct of his employees in reporting malfunctions of the machines to the repair service and the owner, so intervened in the operation of the business as to give rise to a reliance by residential tenants in the building on reports of malfunction being made by the landlord. Hence a liability might result if reports were not made and this played an effective part in the occurrence of the accident” (*id.* at 889).

More recently, in *Butler*, we applied the control principle to find that the defendant, a tenant in common who entered into a non-lease agreement with his sister/cotenant, was not liable to a plaintiff injured on their jointly-owned property (*see* 100 NY2d at 268-271). The agreement divided the cotenants’ living quarters and obligated both parties to share in expenses for maintenance and repairs (*see id.* at 267). The plaintiff, a guest who was injured after falling from a bunk bed on the sister’s portion of the property (*see id.* at 267-268), contended “that [the brother’s] control of the premises was established primarily through [the repair] clause in the contract” (*id.* at 271). We concluded that, because the defendant exercised no supervisory role over his sister’s sphere, was not permitted access to it, and in fact could not access it due to a blocked entryway, he did not “in any way exercise[] possession or control over her portion of the property” (*id.*) and, therefore, could not be held in breach of a duty to the plaintiff (*see id.* at 270-271).

Thus, it follows that when a landowner and one in actual possession have committed their rights and obligations with regard to the property to a writing, we look not only to the terms of the agreement but to the parties’ course of conduct—including, but not limited to, the landowner’s ability to access the

premises—to determine whether the landowner in fact surrendered control over the property such that the landowner’s duty is extinguished as a matter of law (*see id.*).

[2] In this case, the agreement between the County and Metro Waste unambiguously assigned the responsibility to implement safe practices and to remedy unsafe conditions at the recycling center to Metro Waste. Significantly, however, the agreement vested the County with ultimate approval authority over Metro Waste’s operating procedures. Moreover, an examination of the County’s conduct indicates that it maintained both a visible and vocal presence at the recycling center. Unlike the defendant in *Butler*, who was entirely excluded from his cotenant’s portion of the property (*see id.*), here, the agreement granted the County supervisory rights and unfettered access to the facility. In fact, the County availed itself of those provisions through Collins’ regular public tours and Rutkowski’s routine, unannounced inspections. Though Rutkowski equivocated on the specific issue of his authority to monitor and remedy unsafe conditions—answering both yes and no to the question of whether he oversaw safety and maintenance issues—he offered specific examples of circumstances in which he would take action, such as upon observing workers without hard hats.

The dissent opines that unlike in *Ritto*, plaintiff did not demonstrate reliance on these aspects of Rutkowski’s involvement in the operation of the recycling center (*see* dissenting op at 384). In *Ritto*, the fact that residential tenants came to rely on reports of washing machines’ malfunctioning being made by the landlord’s employees raised a question as to the landlord’s exercise of control over the premises, despite the presumptive transfer of control accomplished by the leasehold between the landlord and the commercial tenants (*see* 27 NY2d at 889). *Ritto*, however, did not establish reliance on the landowner’s conduct as a distinct element of the control analysis to be required in all cases going forward, especially where, as here, no leasehold exists.

Viewing all of the evidence in the light most favorable to the plaintiff, as we must on this motion for summary judgment (*see Branham v Loews Orpheum Cinemas, Inc.*, 8 NY3d 931, 932 [2007]), we cannot say, as did the lower courts, that, as a matter of law, the County relinquished complete control of the recycling center to Metro Waste. In focusing exclusively on the terms of the agreement to designate the County free from any duty owed to plaintiff, the courts below erred in failing to give due weight

to the County's course of conduct. The dissent places similar emphasis on the agreement, though it ignores the supervisory rights the agreement reserves to the County and the fact that the County enjoyed wide access to the facility. The dissent disparages that we should find, based on plaintiff's evidence, an issue of fact "over whether the County *assumed* control over the safety operations" (dissenting op at 384 [emphasis added]). Yet that position rests on a mistaken premise that absolute control was transferred to Metro Waste to begin with, despite the absence of a leasehold between Metro Waste and the County. Rather, the County, as landowner, remains in presumptive control over its property and subject to the attendant obligations of ownership until it is found that control was relinquished, either as a matter of law or by a factfinder after presentation of all of the evidence. As we do not agree with our dissenting colleagues that relinquishment of control is proved here as a matter of law, the issue that remains to be resolved by a trier of fact is whether the County, through its course of conduct, exercised sufficient control over the facility such that it owed plaintiff a duty to prevent and remedy the kind of condition that resulted in his injury.

Accordingly, the order of the Appellate Division should be reversed, with costs, and defendant's motion for summary judgment denied.

PIGOTT, J. (dissenting). It is undisputed that "control is the test which measures generally the responsibility in tort of the owner of real property" (*Ritto v Goldberg*, 27 NY2d 887, 889 [1970]). As we explained in *Ritto*, a landowner who relinquishes control of a premises may nonetheless be held liable for injuries that occur thereon if the landowner or its employees engage in a "course of conduct" from which a jury could infer that the landowner intervened in the operation of the premises to the point that it induced reliance by those utilizing it (*id.*). In my view, plaintiff simply failed to produce *any* evidence to establish that the County of Monroe, through its employees' conduct, so intervened in how the recycling center was run that it induced reliance on the part of Metro Waste and its employees to the point where the County should be held liable for the alleged improper stacking of the bales by Metro Waste employees.*

The comprehensive operations and maintenance agreement between the County and Metro Waste evidenced that the County

* The majority does not dispute that the County met its initial burden establishing its entitlement to summary judgment.

relinquished control over the operations of the recycling center to Metro Waste. The agreement identifies Metro Waste as “an independent contractor” that “shall have complete charge of and responsibility for the [recycling facility and its site], its subcontractors, materialmen, materials, equipment and personnel engaged in the performance of its work.” Not only that, the agreement requires Metro Waste to “perform its work *in accordance with its own methods and have complete responsibility to direct and control its performance under the Agreement*, subject to the limited review authority of the County as set forth in the Agreement” (emphasis supplied).

Metro Waste’s obligations with regard to safety of its employees are just as comprehensive as its obligations to run the recycling center, if not more so: Metro Waste was obligated to “maintain the safety of the [recycling center] at a level consistent with Applicable Law and normal industrial and solid waste management practices” and, most importantly here, “at its cost and expense,” it agreed to

“take all reasonable precautions for the safety of, and provide all reasonable protection to prevent damage, injury or loss by reason of or related to the operation of the [recycling center] to . . . all employees working at the [recycling center] and all other persons who may be involved with the operation or maintenance of the [recycling center].”

The aforementioned provisions are significant because the County and Metro Waste agreed that Metro Waste was in “complete charge” of the recycling center, had “complete responsibility to direct and control its performance,” and that it was Metro Waste’s duty to “provide all reasonable protection” to its employees. Moreover, according to the agreement, the recyclable materials were to be “properly stored prior to removal and transfer” and it was Metro Waste’s responsibility to “expeditiously remedy any nuisance conditions.” Therefore, given the comprehensive terms of this agreement, the only way the County could be found to have owed a duty to plaintiff is if it so intervened in the affairs of the recycling center that it induced reliance on the part of Metro Waste and/or plaintiff.

Plaintiff seeks to hold the County liable for allowing an “unsafe, insecure, unstable and dangerous condition” to be present at the recycling center, namely, the improperly placed and stacked bale that struck plaintiff. But there is no evidence in

this record that the County's employees affirmatively directed Metro Waste or its employees as to how the bales should have been stacked. The majority makes much of the fact that "Rutkowski . . . testified that he had previously seen bales stacked nine feet high outside of the designated storage area, but did not know they presented an OSHA violation" (majority op at 378), but this underscores the point that the County, pursuant to the agreement, was not charged with controlling how Metro Waste operated the recycling center. It also demonstrates that the County did not intervene in directing how the bales were stacked and, therefore, it could not be said that the County induced reliance on the part of Metro Waste or plaintiff through its conduct. Indeed, plaintiff testified that he was unaware of any instance where the County told Metro Waste employees where or how to stack the bales, and Metro Waste's general manager at the recycling center testified that it was Metro Waste's responsibility alone to determine how and where bales were stacked.

The mere fact that Rutkowski himself allegedly believed that he had oversight authority over maintenance and safety issues, as the majority states (majority op at 378), is irrelevant. Given the comprehensive nature of the agreement, it is Rutkowski's *conduct* that is relevant, not what Rutkowski *believed*. Plaintiff produced no evidence that would permit a jury to infer that the County controlled Metro Waste's operations as to how the bales were to be stacked and stored. In fact, the evidence indicates otherwise. Unlike the situation in *Ritto*—where the landowner's employees routinely reported malfunctions in the business tenant's washing machines to both the repair service and the business tenant, intervening in the operation of the business to the point where a jury could infer that the residential tenants may have been induced to rely on the landlord's reports of washing machine malfunctions—there is no evidence that any of the County's conduct could have induced reliance on the part of plaintiff that the County was in charge of how the bales were to be stacked.

How the majority can conclude that there is a question of fact over whether the County assumed control over the safety operations based on the testimony that Rutkowski complained about litter and cleanliness on occasion or would advise Metro Waste management if he observed an employee not wearing a hard hat is beyond me. None of that evidence raises a question of fact vis-à-vis the County's control over the recycling center's

operations or, more specifically, how the bales were stacked. Therefore, I would affirm the order of the Appellate Division.

Chief Judge LIPPMAN and Judges GRAFFEO and JONES concur with Judge CIPARICK; Judge PIGOTT dissents and votes to affirm in a separate opinion in which Judges READ and SMITH concur.

Order reversed, etc.

[964 NE2d 372, 941 NYS2d 1]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v COREY
GAMBLE, Appellant.

Argued January 4, 2012; decided February 9, 2012

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 22, 2010. The Appellate Division modified, on the law, a judgment of the Supreme Court, Bronx County (Martin Marcus, J.), which had convicted defendant, upon a jury verdict, of murder in the first degree and murder in the second degree. The modification consisted of vacating the DNA databank fee. The Appellate Division affirmed the judgment as modified.

People v Gamble, 72 AD3d 544, affirmed.

HEADNOTES

Crimes — Right to Counsel — Impact of Courtroom Seating Arrangements

1. The positioning of court officers directly behind defendant during the course of his criminal trial did not infringe upon defendant's constitutional right to counsel by depriving defendant of his right to communicate confidentially with his attorney. Defendant did not meet his burden of establishing that confidential communications with his attorney had been compromised by the placement of the court officers behind defendant with the officers' toes against the bottom of defendant's chair, a heightened security measure put in place by Supreme Court based on defendant's disciplinary history while incarcerated and prior incidents of aggressive courtroom behavior. Supreme Court found that the relief sought by defense counsel—that the court officers sit in their normal places two inches farther away from defendant—would not have made counsel's communications with defendant any more confidential, and nothing in the record suggested that the finding was incorrect.

Crimes — Fair Trial — Impact of Courtroom Seating Arrangements

2. The positioning of court officers directly behind defendant during the course of his criminal trial did not deprive defendant of his right to a fair trial. The discretion afforded to trial courts to control their courtrooms and trial proceedings necessarily includes decisions pertaining to courtroom security. Here, defendant had been charged with a disciplinary infraction for allegedly assaulting a correction officer and had acted aggressively in court during the pendency of this case before a different judge. Those undisputed record facts allowed Supreme Court in the exercise of its discretion to permit the court officers to sit directly behind defendant with their toes placed on the back of his chair. There was no basis in the record for a finding that this security measure telegraphed to the jury that defendant was a dangerous individual.

Moreover, the additional security measures sanctioned by Supreme Court were, at most, only minimally intrusive.

Crimes — Proof of Other Crimes — Proof of Uncharged Crimes to Establish Motive and Identity of Perpetrator

3. In the murder prosecution of defendant based on comprehensive, albeit circumstantial, evidence linking defendant to the shootings of his upstairs neighbors in their apartment, Supreme Court exercised sound discretion in permitting the daughter and the boyfriend of one of the victims to testify about limited incidents of defendant's uncharged crimes leading to the shootings. The daughter was permitted to testify about an incident that occurred 11 months before the shootings when defendant confronted her and one of the victims in the victims' apartment and threatened to kill them both; fearing for their safety, they filed a complaint and obtained an order of protection. The boyfriend was permitted to testify about an incident that occurred less than two months before the shooting when defendant confronted the same victim in the victims' apartment while the boyfriend was present and threatened to kill them while displaying a knife and what appeared to be a handgun. Defendant was arrested for that incident, charged with criminal contempt, and a second order of protection was issued in favor of the victim as well as the boyfriend. While excluding certain testimony that it deemed overly prejudicial, Supreme Court correctly determined that the witnesses' testimony that defendant had previously threatened to kill them and one of the victims was relevant in establishing a motive for the murders and the identity of the perpetrator in this circumstantial case. Moreover, Supreme Court properly opined that the testimony it allowed the People to elicit provided necessary background information on the nature of the relationship between defendant and the victims and placed the charged conduct in context. Furthermore, the record revealed that the People adhered to the scope of Supreme Court's *Molineux* ruling (*People v Molineux*, 168 NY 264 [1901]).

Crimes — Evidence — Third-Party Culpability

4. In the murder prosecution of defendant for fatally shooting his upstairs neighbors in their apartment, Supreme Court's determination that defendant's purported third-party culpability evidence demonstrating that there were other potential perpetrators who had a motive to do violence to one of the victims would be entirely speculative and its subsequent preclusion was a proper exercise of Supreme Court's discretion. Defendant failed to establish a nexus between an earlier beating where the victim had been assaulted and the shooting here. That the People introduced evidence establishing defendant's motive for the shootings did not open the door to generalized, speculative evidence of possible motives by unidentifiable persons.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Criminal Law §§ 941, 1108; AM JUR 2d, Evidence §§ 329, 348, 409, 413, 414, 418, 422, 423, 428, 429, 439, 441; AM JUR 2d, Trial § 132.
- CARMODY-WAIT 2d, Conduct of Trial, in General § 190:149; CARMODY-WAIT 2d, Fundamentals of Criminal Evidence §§ 193:11, 193:21–193:24, 193:31.
- LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.8, 24.4.

NY JUR 2d, Criminal Law: Procedure §§ 758, 813, 2024–2027, 2029, 2030, 2461, 2597.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Courtroom or Court-house; Prior Offenses and Convictions; Trial.

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POINTS OF COUNSEL

Office of the Appellate Defender, New York City (*Margaret E. Knight* and *Richard M. Greenberg* of counsel), for appellant. I. Where the trial court deferred to the court officers' stated policy of sitting in physical contact with Corey Gamble's chair, thereby preventing Mr. Gamble from having confidential communications with his attorney during the trial, and conveying to the jury that Mr. Gamble was dangerous and violent, he was denied his rights to counsel, due process, and a fair trial. (*People v Sloan*, 79 NY2d 386; *People v Turaine*, 78 NY2d 871; *People v Mehmedi*, 69 NY2d 759; *People v Ciaccio*, 47 NY2d 431; *People v Dokes*, 79 NY2d 656; *People v Cooper*, 307 NY 253; *Coplon v United States*, 191 F2d 749; *People v De Armas*, 106 AD2d 659; *People v Buchanan*, 13 NY3d 1; *Holbrook v Flynn*, 475 US 560.) II. Where the prosecution's case focused on Corey Gamble's motive, Mr. Gamble was denied his right to present a defense when the court precluded evidence that one of the victims was a drug dealer, had recently offered to be a criminal informant, and had once suffered a severe beating, unrelated to Mr. Gamble, inside the same apartment where the homicides occurred, demonstrating that other individuals also possessed a motive to harm one of the victims. (*Chambers v Mississippi*, 410 US 284; *Pointer v Texas*, 380 US 400; *People v Primo*, 96 NY2d 351; *People v Moore*, 42 NY2d 421; *People v Fitzgerald*, 156 NY 253; *People v Dyes*, 122 AD2d 69; *People v Rolf*, 185 AD2d 656; *People v Carver*, 183 AD2d 907; *People v LaFrance*, 182 AD2d 598; *People v Carter*, 86 AD2d 451.) III. The court abused its discretion by allowing the admission of an overwhelming quantity of evidence related to the history of disputes between Corey Gamble and the victims, and the prejudice from this error was only compounded when the prosecution and its witnesses exceeded the scope of the overly broad *Molineux* ruling. (*People v Molineux*, 168 NY 264; *People v Ventimiglia*, 52 NY2d 350; *People v Alvino*, 71

NY2d 233; *People v Bierenbaum*, 301 AD2d 119; *People v Giles*, 11 NY3d 495; *People v Dales*, 309 NY 97; *People v Resek*, 3 NY3d 385; *People v Mayrant*, 43 NY2d 236; *People v Richardson*, 222 NY 103; *Roldan v Artuz*, 78 F Supp 2d 260.) IV. In its closing argument, the prosecution impermissibly shifted the burden of proof by arguing that Corey Gamble should have called witnesses to corroborate his testimony. (*People v LaPorte*, 306 AD2d 93; *People v Walters*, 251 AD2d 433; *People v Tankleff*, 49 AD3d 160, 84 NY2d 992; *People v Gary*, 44 AD3d 416; *People v Antomarchi*, 80 NY2d 247; *United States v Parker*, 903 F2d 91; *People v Balls*, 69 NY2d 641; *People v Medina*, 53 NY2d 951; *People v Calabria*, 94 NY2d 519.)

Corey Gamble, appellant pro se. I. Respondent failed to dispute that their entire rebuttal case was premised upon irrelevant and incompetent evidence and counsel was ineffective for failing to raise an objection to have the testimony stricken. (*People v Gruden*, 42 NY2d 214; *Ohio v Roberts*, 448 US 56; *People v Ely*, 68 NY2d 520; *People v Baez*, 103 AD2d 746; *Hicks v Oklahoma*, 447 US 343; *People v Patterson*, 93 NY2d 80; *People v Vega*, 276 AD2d 414; *People v Clarke*, 66 AD3d 694; *People v De Jesus*, 42 NY2d 519; *Brookhart v Janis*, 384 US 1.) II. Respondent attempts to mislead this Court in its response to counsel's prejudicial failure to impeach Marvin Ford with his inculpatory prior inconsistent statement. (*People v Lewis*, 2 NY3d 224; *People v Lopez*, 56 AD3d 280; *People v Rojas*, 213 AD2d 56; *People v Garcia*, 46 AD3d 461; *People v Bryce*, 88 NY2d 124; *People v Vilardi*, 76 NY2d 67; *Ortega v City of New York*, 9 NY3d 69; *Kaufman v Quickway, Inc.*, 14 NY3d 907; *People v Nasser*, 15 Misc 3d 499; *People v Oxley*, 64 AD3d 1078.) III. Respondent has not disputed that the two cases are related; as such, defendant's right to counsel should have attached at the pretrial lineup. (*People v Gruden*, 42 NY2d 214; *People v Smith*, 54 NY2d 954; *People v Torres*, 60 NY2d 119; *People v Mitchell*, 2 NY3d 272; *People v Hawkins*, 55 NY2d 474; *People v Havelka*, 45 NY2d 636; *People v Payton*, 51 NY2d 169.)

Robert T. Johnson, District Attorney, Bronx (*Hannah E.C. Moore* and *Joseph N. Ferdenzi* of counsel), for respondent. I. The Appellate Division correctly found that the placement of the court officers has no impact on defendant's ability to communicate confidentially with his attorney; moreover, the placement of the court officers did not deprive defendant of a fair trial. (*People v Lane*, 7 NY3d 888; *People v Thomas*, 50 NY2d 467; *People v Konstantinides*, 14 NY3d 1; *People v Sloan*, 79

NY2d 386; *People v Vargas*, 88 NY2d 363; *Illinois v Allen*, 397 US 337; *People v Rouse*, 79 NY2d 934; *People v Palermo*, 32 NY2d 222; *People v Miller*, 184 AD2d 375; *People v Stokes*, 290 AD2d 71.) II. The Appellate Division properly found that defendant was not denied the right to present a defense. (*People v Primo*, 96 NY2d 351; *Greenfield v People*, 85 NY 75; *People v Carter*, 86 AD2d 451; *People v Hudy*, 73 NY2d 40; *Carmell v Texas*, 529 US 513; *Crane v Kentucky*, 476 US 683; *People v Arafet*, 13 NY3d 460; *People v Crimmins*, 36 NY2d 230; *People v Geraci*, 85 NY2d 359; *People v Wachowicz*, 22 NY2d 369.) III. The Appellate Division correctly found that the trial court's *Molineux/Ventimiglia* ruling was proper and that the prosecutor adhered to the scope of the ruling. (*People v Ingram*, 71 NY2d 474; *People v Alvino*, 71 NY2d 233; *People v Ventimiglia*, 52 NY2d 350; *People v Molineux*, 168 NY 264; *People v Jackson*, 39 NY2d 64; *People v Dorm*, 12 NY3d 16; *People v Tosca*, 98 NY2d 660; *People v Till*, 87 NY2d 835; *People v Yapor*, 308 AD2d 361; *People v Berry*, 278 AD2d 52.) IV. As the Appellate Division found, defendant's claim that the prosecutor's conduct during trial deprived him of a fair trial is unpreserved and without merit. (*People v Heide*, 84 NY2d 943; *People v Medina*, 53 NY2d 951; *People v Romero*, 7 NY3d 911; *People v Ashwal*, 39 NY2d 105; *Williams v Brooklyn El. R.R. Co.*, 126 NY 96; *People v Ortiz*, 116 AD2d 531; *People v Galloway*, 54 NY2d 396; *People v D'Alessandro*, 184 AD2d 114; *People v Calabria*, 94 NY2d 519; *People v Arce*, 42 NY2d 179.) V. The claims raised in defendant's pro se supplemental brief are without merit. (*People v Hawkins*, 55 NY2d 474; *People v Hernandez*, 70 NY2d 833; *People v Mitchell*, 2 NY3d 272; *People v Schreiner*, 77 NY2d 733; *People v Roe*, 74 NY2d 20; *People v Konstantinides*, 14 NY3d 1; *People v Molineux*, 168 NY 264; *People v Cohen*, 90 NY2d 632; *People v Baldi*, 54 NY2d 137; *People v Caban*, 5 NY3d 143.)

Alan J. Pierce, Syracuse, amicus curiae.

OPINION OF THE COURT

CIPARICK, J.

This appeal raises several questions for our review. The principal question we are called upon to determine is whether courtroom seating arrangements wherein court officers stationed themselves directly behind defendant during the course of his trial deprived him of his constitutional right to communicate confidentially with his attorney and prejudicially conveyed to the jury that he was dangerous. We conclude that

the positioning of the court officers in this case did not infringe upon defendant's constitutional right to counsel or deprive him of a fair trial.

The other significant question we are asked to consider is whether Supreme Court abused its discretion when it permitted the People under *People v Molineux* (168 NY 264 [1901]) to introduce certain evidence of defendant's uncharged crimes and whether the People's evidence elicited at trial exceeded the scope of such ruling. We conclude that Supreme Court's decision to admit this evidence was appropriate.

I.

A Bronx County grand jury charged defendant with three counts of murder in the first degree (Penal Law § 125.27 [1] [a] [viii]) and three counts of murder in the second degree (Penal Law § 125.25 [1]). The indictment alleged that on March 15, 2003, defendant killed Eunice Younger and her two adult children, Ricky Younger and Gloria Watson (the Youngers), by shooting them in the head inside their apartment. Prior to trial, defendant moved to suppress, as relevant here, his identification in a lineup by two eyewitnesses. Defendant contended that counsel represented him on a related matter and that, therefore, law enforcement violated his right to counsel when they conducted a lineup without notifying his attorney. Supreme Court denied the motion, reasoning that “[a] defendant who is not represented on a case for which he is in custody, but who is represented by an attorney on an unrelated case, has no right to the presence of that attorney at a lineup relating to the case in which he is not represented.”

Also before trial, the People moved for the admission of certain uncharged crimes and prior bad acts allegedly committed by defendant, maintaining that the proffered testimony was relevant on the issues of “identity of the perpetrator, intent, motive and background.” According to the People, their theory of the case was “that these homicides were the culmination of approximately a year long series of incidents between the defendant” and the Youngers, defendant's upstairs neighbors. In support of this theory, the People sought permission to elicit testimony from Cortina Watson, decedent Gloria Watson's daughter, and Marvin Ford, Gloria's boyfriend. The gravamen of the proposed testimony would be that defendant assaulted and threatened them and the Youngers on several occasions in the year prior to the shootings.

Following an initial hearing, written submissions by the parties and a subsequent reargument motion on the matter, Supreme Court limited Cortina Watson's testimony at trial as follows: on the evening of April 13, 2002, 11 months before the shootings, she was inside the Youngers' apartment with Ricky. At some time during Cortina's visit, defendant began kicking the door to the family apartment. Cortina answered the door at which time defendant, who was in an agitated state, told her that he was "sick and tired of you people using all the hot water." Cortina responded by informing defendant that no one in the apartment was utilizing the hot water. Defendant, in turn, threatened to kill her and Ricky. Fearing for their safety, they filed a complaint with the police and received a temporary order of protection forbidding defendant from having any contact with them.¹

Supreme Court also allowed Marvin Ford to testify, limiting his testimony to the following: on January 18, 2003, less than two months before the shooting, Ford was inside the Youngers' apartment with Ricky. During Ford's visit, defendant came to the door and a verbal altercation between Ricky and defendant ensued. Ford overheard defendant threaten to kill Ricky and observed defendant display a knife. After defendant left the premises, Ford saw him from the apartment window. Defendant, again displaying what appeared to be a handgun, shouted to Ford that "I've got something for you." Based on this incident, the police arrested defendant and charged him with criminal contempt and a second order of protection was issued, barring defendant from having any contact with either Ford or Ricky.²

Toward the beginning of jury selection, defense counsel objected to the physical proximity of court officers who sat "directly behind the defendant." She complained that their positioning prevented her from freely communicating with her client and signaled to the prospective jurors that defendant had "to be guarded so closely." As such, counsel requested that the

1. Supreme Court precluded Cortina Watson from testifying that defendant had also threatened to kill Eunice Younger and her two children that evening. Supreme Court also prohibited Cortina from testifying that defendant displayed what appeared to be a handgun during the course of the incident.

2. Supreme Court precluded Ford from testifying about an incident that allegedly took place on March 14, 2003, the day before the shootings. On that day, Ford observed that decedent Gloria Watson's face was swollen and bruised. Watson told Ford that defendant had struck her in the face.

officers “sit at the rail where their seats are normally positioned.” Supreme Court disagreed with defense counsel’s perception, but informed her that it would ask the officers “to sit back a little further.”

Later that day, defense counsel renewed her objection to the positioning of court officers behind defendant. She argued that, because the court officers have their feet on defendant’s chair, “it is impossible to have a confidential communication with [him].” Supreme Court placed on the record that defendant had been charged with a disciplinary infraction while incarcerated at Rikers Island for allegedly assaulting a correction officer and that this incident was the basis for the heightened security measures—i.e., the placement of the court officers’ toes against the bottom of defendant’s chair. Supreme Court also indicated that there were prior incidents before a different judge where defendant acted aggressively in the courtroom. With respect to defense counsel’s remarks concerning defendant’s constitutional right to confidential communication with his attorney, Supreme Court noted that the court officers were only sitting approximately two or three inches closer to defendant from their normal position at the rail. The court further stated to counsel: “[T]he notion that there is a greater confidentiality in the communications between you when the officers are two inches further away I think is farfetched. You have as much confidentiality as you would have if they were back at the railing . . . so I don’t see a difference there.” In any event, Supreme Court offered to arrange opportunities for defendant and counsel to speak in a more private setting. Defense counsel also reiterated her view that the physical proximity of the court officers “has prejudiced the defendant terribly in the eyes of this jury because it telegraphs to them very directly this is a very dangerous man.” Supreme Court rejected this argument, countering that it was “satisfied” that defendant was not prejudiced in the eyes of the jury.

After jury selection, the People presented comprehensive, albeit circumstantial, evidence linking defendant to the shootings. The jury, for example, heard testimony from Monica Killebrew who lived in an apartment opposite the Youngers. On the date of the shootings, at around 4:00 P.M., Killebrew was home when she heard loud banging noises coming from outside her apartment. As she approached her front door, Killebrew testified that the noises she heard sounded like “a fight,” “like people . . . getting thrown up against the wall.” A short time

thereafter, Killebrew heard defendant, whose voice she was positive that she recognized, say, “I am tired of you people bothering me.” Immediately thereafter, Killebrew heard a “popping sound” that sounded like a gunshot. Moments later, she heard three more shots. At this point, Killebrew was standing by her apartment window in hysterics, speaking to a woman on the street, when she saw defendant walking out of the building. Killebrew testified that after defendant left, the apartment building was completely still inside and that nobody else entered or exited the building. Killebrew identified defendant in a lineup the following day and in court during the trial.

In addition to Killebrew, two other witnesses who were located at a business adjacent to the apartment building at the time of the shooting testified. They both corroborated Killebrew’s testimony about the timing of the gunshots and identified defendant as the individual who exited the apartment building after the shots were heard. They also confirmed that nobody else entered or exited the building after defendant walked through the front entrance.

Once the police arrived, they discovered the Youngers in their apartment; all three had gunshot wounds to the head, and according to medical evidence, died instantly. During the police investigation, they recovered nine latent fingerprints, one of which conclusively proved to be a print of defendant’s left ring finger.

As noted earlier, the People also elicited background testimony from Cortina Watson and Marvin Ford concerning defendant’s contentious relationship with the Youngers. During Cortina’s cross-examination, defense counsel asked her about an October 2001 incident in which Ricky Younger was the victim of a beating inside his apartment. The People objected to this question on relevance grounds. Defendant proffered that this beating was related to Ricky’s involvement with illegal drug activity and that it was his intention to establish that Ricky had many enemies who had a motive to commit these murders. Supreme Court sustained the objection, reasoning that defense counsel failed to establish a connection between the October 2001 incident and the March 2003 shootings.³

3. During defense counsel’s cross-examination of Killebrew, she asked whether Killebrew had used drugs with Ricky. After Supreme Court sustained the People’s objection to the question, defense counsel renewed her argument that this evidence was relevant to show that Ricky had enemies with a motive

(n. cont’d)

At the close of the People's proof, defendant elected to interpose a defense, testifying on his own behalf and calling numerous other witnesses. Defendant testified that, prior to the shootings, he had several disputes with the Youngers and Marvin Ford mainly because Ricky Younger had been selling drugs outside of defendant's apartment. Defendant explained that he called the police about once a month not only to complain about the drug selling but also about Ricky slashing the tires on his vehicle and excessive noise coming from the Youngers' apartment. Although defendant admitted that he had a verbal altercation with the Youngers on April 13, 2002, he disputed Cortina's version of the events. Defendant stated that the dispute on that day originated when he observed Ricky bending down near the side of his car with a knife. After defendant saw that his driver's side tire was flat, he confronted Ricky. Defendant denied that he threatened anyone or that he was in possession of a gun.

Defendant's version of the events that transpired on January 18, 2003 was also different. Defendant testified that at around 11:00 A.M. he left his apartment and noticed that Ricky and Ford stood near his car, drinking a beer. Defendant went back inside and when he returned to his vehicle approximately five minutes later, he observed that there was a broken bottle near his tire and that the tire was leaking air. Defendant explained that he went to the Youngers to confront both Ricky and Ford, but that he did not possess a knife or threaten to kill or stab Ricky. Defendant also maintained that he did not display a handgun to Ford.

With respect to the shootings, defendant denied that he was the perpetrator. In fact, defendant testified that on March 15, 2003, at around 5:00 P.M., he first learned of the shootings and that he was the suspect while watching a television news program at his mother's house. Defendant stated that he had left his apartment that day in the late morning and, before going to his mother's house, made a purchase at a RadioShack and filled out a job application at a Home Depot. Defendant also denied setting foot inside the Youngers' apartment and said that the fingerprint the police had recovered from a window frame therein could not be his.

The jury convicted defendant on one count of first-degree murder and one count of second-degree murder. Supreme Court

to kill him. Supreme Court adhered to its ruling, concluding that the proposed line of questioning was entirely speculative.

sentenced defendant to concurrent sentences of life imprisonment without parole and 25 years to life. The Appellate Division unanimously modified the judgment of conviction and sentence to the extent of vacating the DNA databank fee imposed by Supreme Court and, as so modified, affirmed (*see People v Gamble*, 72 AD3d 544, 545 [1st Dept 2010]). A Judge of this Court granted defendant leave to appeal (15 NY3d 920 [2010]) and we now affirm.

II.

We begin our analysis with defendant's constitutional argument that the positioning of court officers directly behind him during the course of the trial deprived him of his right to communicate confidentially with his attorney. It is well settled that the fundamental right to counsel in a criminal case includes "the right to consult counsel in private, without fear or danger that the People, in a criminal prosecution, will have access to what has been said" (*People v Cooper*, 307 NY 253, 259 [1954]). "Intrusion upon a client-lawyer conference, whether in the privacy of an office or at the counsel table in court, contravenes our sense of traditional fair play and due process" (*id.*; *see also Coplion v United States*, 191 F2d 749, 759 [DC Cir 1951] [the Fifth and Sixth Amendments "guarantee to persons accused of crime the right privately to consult with counsel both before and during trial. This is a fundamental right which cannot be abridged, interfered with, or impinged upon in any manner"]).

[1] In *Cooper*, we recognized that it is defendant's burden to establish that confidential communications with his attorney have been compromised (*see* 307 NY at 260). Here, we conclude that defendant did not meet his burden in showing that the positioning of the court officers directly behind him impeded his ability to converse privately with his attorney. Supreme Court found that the relief sought by defense counsel—a request that the court officers sit in their normal places two inches farther away from defendant—would not have made counsel's communications with defendant any more confidential, and nothing in the record suggests that the finding was incorrect.

[2] Defendant also maintains that, in any event, the close positioning of the court officers directly behind him prejudiced him in the eyes of the jury in that it conveyed to them that he was dangerous. We reject this contention. It is axiomatic that "[t]rial courts must retain appropriate discretion to control their courtrooms and trial proceedings generally" (*People v*

Vargas, 88 NY2d 363, 377 [1996]). This discretion afforded to trial courts necessarily includes decisions pertaining to courtroom security. As the United States Supreme Court has held, “[i]t is essential to the proper administration of criminal justice that dignity, order, and decorum be the hallmarks of all court proceedings in our country” (*Illinois v Allen*, 397 US 337, 343 [1970]). The Court further observed that “[n]o one formula for maintaining the appropriate courtroom atmosphere will be best in all situations” (*id.*).

In this case, the record is clear that defendant had been charged with a disciplinary infraction for allegedly assaulting a correction officer at Rikers Island. Supreme Court placed this information on the record and further noted that defendant had acted aggressively in court during the pendency of this case before a different judge. We conclude that these record facts—never disputed by defendant—allowed the trial court in the exercise of its discretion to permit the court officers to sit directly behind defendant with their toes placed on the back of his chair. Nor is there a basis in the record for a finding that such security measure telegraphed to the jury that defendant was a dangerous individual. In that regard, we note that additional security measures sanctioned by Supreme Court were, at most, only minimally intrusive. At no point, for example, was defendant physically restrained in the presence of the jury (*see People v Clyde*, 18 NY3d 145, 152 [2011] [“the Federal Constitution prohibits the use of physical restraints visible to the jury during a criminal trial, absent a court determination that they are justified by an essential state interest specific to the defendant on trial”] [internal quotation marks, ellipses and citation omitted]). Simply put, defendant’s assertion that the positioning of the court officers deprived him of a fair trial has no merit.

We now turn to the trial court’s *Molineux* ruling, allowing certain uncharged crimes of defendant into evidence. We have long “held that there are instances when evidence of uncharged crimes may be used to prove guilt of the offense charged” (*People v Gillyard*, 13 NY3d 351, 355 [2009]). We articulated that such evidence may be admitted in circumstances

“ ‘when [the evidence] tends to establish (1) motive; (2) intent; (3) the absence of mistake or accident; (4) a common scheme or plan embracing the commission of two or more crimes so related to each other that proof of one tends to establish others;

[or] (5) the identity of the person charged with the commission of the crime on trial' ” (*id.*, quoting *People v Molineux*, 168 NY 264, 293 [1901]).

We have repeatedly acknowledged that these categories are not exhaustive, but “merely illustrative” (*People v Jackson*, 39 NY2d 64, 68 [1976]). Thus, “we established the rule that evidence of defendant’s other crimes is admissible only if probative of some fact at issue other than the defendant’s criminal propensity” (*Gillyard*, 13 NY3d at 355, citing *People v Rojas*, 97 NY2d 32, 37-40 [2001]). Of course, “[t]he balancing of probative value against potential prejudice is entrusted to the trial court’s discretion” (*Gillyard*, 13 NY3d at 355, citing *People v Ventimiglia*, 52 NY2d 350, 359-360 [1981]).

[3] In our view, Supreme Court exercised sound discretion in permitting Cortina Watson and Marvin Ford to testify about limited incidents of defendant’s uncharged crimes leading to the shootings. While excluding certain testimony that it deemed overly prejudicial, Supreme Court correctly determined that their testimony that defendant had previously threatened to kill them and Ricky Younger was relevant in establishing a motive for the murders and the identity of the perpetrator in this circumstantial evidence case (*see People v Dorm*, 12 NY3d 16, 19 [2009]). Moreover, the trial court properly opined that the testimony it allowed the People to elicit “provided necessary background information on the nature of the relationship [between defendant and the Youngers] and placed the charged conduct in context” (*id.*; *see e.g. People v O’Gara*, 239 AD2d 215, 215 [1st Dept 1997] [“Evidence of defendant’s prior bad acts was properly received . . . which provided background information necessary to explain the increasingly acrimonious relationship between defendant and the victim . . . and which was necessary and highly relevant on the issues of motive and identity”]). Furthermore, our review of the record reveals that the People adhered to the scope of the trial court’s *Molineux* ruling.

[4] Defendant’s further contention that he was denied the right to present a defense and his argument that Supreme Court erroneously shielded the jury from hearing evidence demonstrating that there were “other potential perpetrators who had a motive to do violence to Ricky” is without merit. Applying the standard articulated in *People v Primo* (96 NY2d 351, 356-357 [2001]), we agree with the lower courts that defendant failed to establish a nexus between an earlier beating where Ricky

Younger had been assaulted and the shooting here. Supreme Court's determination that this purported third-party culpability evidence would be entirely "speculative" and its subsequent preclusion was a proper exercise of its discretion. That the People introduced evidence establishing defendant's motive for the shootings does not, as the Appellate Division observed, "open the door to generalized, speculative evidence of possible motives by unidentifiable persons" (*Gamble*, 72 AD3d at 545).

Finally, contrary to defendant's assertion, the People did not shift the burden of proof at any point onto defendant to prove his innocence. Further, we have considered defendant's pro se contentions that his right to counsel attached during the viewing of the lineup and that he received ineffective assistance of counsel and find them to be without merit.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and JONES concur.

Order affirmed.

[963 NE2d 1226, 940 NYS2d 525]

SPCA OF UPSTATE NEW YORK, INC., et al., Appellants, v AMERICAN WORKING COLLIE ASSOCIATION et al., Respondents.

Argued January 4, 2012; decided February 9, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 3, 2010. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Warren County (David B. Krogmann, J.), which had denied defendants' motion to dismiss the complaint for want of personal jurisdiction, (2) granted the motion, and (3) dismissed the complaint.

SPCA of Upstate N.Y., Inc. v American Working Collie Assn., 74 AD3d 1464, affirmed.

HEADNOTE

Courts — Jurisdiction — Long-Arm Jurisdiction — Defamation

In an action alleging that defendants, an Ohio organization devoted to the protection of collies and its president, a Vermont resident, published defamatory statements on the organization's Web site addressing the condition and treatment of certain rescued collies at one of plaintiff's facilities, defendants did not transact business in New York within the meaning of CPLR 302 (a) (1) so as to warrant a finding of long-arm jurisdiction. Although defamation claims may proceed against non-domiciliaries who transact business in New York and thereby satisfy the requirements of CPLR 302 (a) (1), such claims cannot form the basis for "tortious act" jurisdiction due to the express statutory exceptions set forth in CPLR 302 (a) (2) and (3). Given this manifestation of the Legislature's intention to treat defamation differently from other causes of action, particular care must be taken to make certain that non-domiciliaries are not haled into court in a manner that potentially chills free speech without an appropriate showing that they purposefully transacted business here and that the proper nexus exists between the transaction and the defamatory statements at issue. Here, defendants' activities in New York, which consisted of defendant president's three phone calls and two brief visits to plaintiff's facility, totaling less than three hours, in addition to a donation of cash and leashes, were quite limited and did not constitute purposeful activities related to the defamation claim. Importantly, the allegedly defamatory statements were not written in or directed to New York, and they were posted on a medium that was equally accessible in any jurisdiction. Further, there was no substantial relationship between the statements and defendants' New York activities. Defendant president did not visit New York in order to generate material to publish on the organization's Web site. Rather, defendants' activities were limited to helping provide financial and medical assistance for the rescued dogs.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Foreign Corporations §§ 62, 270, 293, 297.
CARMODY-WAIT 2d, Jurisdiction in Personam and in Rem
§§ 25:22, 25:33, 25:45.
McKINNEY's, CPLR 302.
NY JUR 2d, Courts and Judges §§ 597–600, 605, 621, 622,
624, 625.
SIEGEL, NY PRAC §§ 85, 86.

ANNOTATION REFERENCE

Individual and corporate liability for libel and slander in electronic communications, including e-mail, Internet, and websites. 3 ALR6th 153.

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website internet

POINTS OF COUNSEL

Stanclift, Ludemann & McMorris, P.C., Glens Falls (*Martin J. McGuinness* of counsel), for appellants. I. Long-arm jurisdiction exists over respondents because they purposefully transacted business in New York and there is a clear connection between the transaction and appellants' claim for defamation. (*Legros v Irving*, 38 AD2d 53; *Montgomery v Minarcin*, 263 AD2d 665; *Talbot v Johnson Newspaper Corp.*, 71 NY2d 827; *Best Van Lines, Inc. v Walker*, 490 F3d 239; *Longines-Wittnauer Watch Co. v Barnes & Reinecke*, 15 NY2d 443; *Parke-Bernet Galleries v Franklyn*, 26 NY2d 13; *Sovik v Healing Network*, 244 AD2d 985.) II. It is poor public policy to allow defendant to become immunized from suit in New York simply because the underlying cause of action is for defamation.

Goldberg Segalla LLP, Albany (*Jonathan Bernstein* of counsel), for respondents. I. Personal jurisdiction in New York over defendants does not exist warranting the Appellate Division's memorandum and decision to be affirmed. (*Montgomery v Minarcin*, 263 AD2d 665; *Legros v Irving*, 38 AD2d 53, 30 NY2d 653; *Talbot v Johnson Newspaper Corp.*, 71 NY2d 827; *GTP Leisure Prods. v B-W Footwear Co.*, 55 AD2d 1009; *Deutsche Bank Sec., Inc. v Montana Bd. of Invs.*, 7 NY3d 65; *Sterling*

Natl. Bank & Trust Co. of N.Y. v Fidelity Mtge. Invs., 510 F2d 870; *Henderson v Immigration & Naturalization Serv.*, 157 F3d 106; *Best Van Lines, Inc. v Walker*, 490 F3d 239; *McKee Elec. Co. v Rauland-Borg Corp.*, 20 NY2d 377; *Hanson v Denckla*, 357 US 235.) II. Defendants' constitutional rights will be violated if jurisdiction in New York is asserted. (*Burger King Corp. v Rudzewicz*, 471 US 462; *International Shoe Co. v Washington*, 326 US 310; *Asahi Metal Industry Co. v Superior Court of Cal., Solano Cty.*, 480 US 102; *World-Wide Volkswagen Corp. v Woodson*, 444 US 286; *Metropolitan Life Ins. Co. v Robertson-Ceco Corp.*, 84 F3d 560; *LaMarca v Pak-Mor Mfg. Co.*, 95 NY2d 210; *Legros v Irving*, 38 AD2d 53.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The question presented in this defamation action is whether plaintiffs established personal jurisdiction over the out-of-state defendants under CPLR 302 (a) (1), New York's long-arm statute. We find that they did not.

Plaintiff SPCA of Upstate New York is a New York corporation and plaintiff Cathy Cloutier is its executive director. Defendant American Working Collie Association (AWCA) is an Ohio not-for-profit corporation and its president, defendant Jean Levitt, is a Vermont resident. The AWCA is a volunteer-based club that is devoted to promoting the welfare and protection of collies. The organization has members throughout the United States—including 13 in New York at the time of the events herein—but has neither an office nor employees in New York. The AWCA maintains a Web site (www.awca.net), generally containing photographs and anecdotes about particular collies, as well as messages from the AWCA's president providing collie-related information of interest to the group's members. This action arises out of allegedly defamatory statements published by defendants on the AWCA Web site.

On October 17, 2007, 23 mistreated dogs (collies and dachshunds) were rescued from a residence in Fort Ann, New York and placed with plaintiff SPCA in its Queensbury, New York facility. Soon thereafter, while in Vermont, defendant Levitt telephoned plaintiff Cloutier to offer the AWCA's assistance with the subject animals. Subsequently, the AWCA sent the SPCA a donation in the amount of \$1,000. Levitt placed a second telephone call from Vermont to advise Cloutier that the AWCA had purchased collars and leashes for the dogs and to make arrangements to deliver those materials.

Levitt visited the SPCA facility on November 7, 2007 for less than one hour, at which time Levitt delivered the leashes and collars and toured the facility. Levitt also wrote a personal check to the SPCA to cover the costs of certain veterinary care. Later that month, Levitt telephoned Cloutier from Vermont for the third and final time and, during that call, they discussed the appropriate care for one of the collies. In addition, on several weekends, volunteers who were affiliated with AWCA assisted in providing care for the dogs. Levitt again visited the SPCA facility on January 5, 2008, for about an hour and a half, to check on the collies.

After Levitt's return to Vermont, she generated a series of writings addressing the condition of the collies and the treatment being provided by the SPCA. These writings were posted to the AWCA Web site periodically, beginning January 13, 2008. Based on statements contained in the writings, plaintiffs commenced this defamation action in January 2009. Defendants answered, asserting as relevant here, the affirmative defense of lack of personal jurisdiction. Supreme Court denied defendants' motion to dismiss, finding that personal jurisdiction had been obtained over the defendants under CPLR 302 (a) (1) because Levitt purposefully availed herself of this state's benefits and protections through her trips to New York and that there was a substantial relationship between her activities here and the allegedly defamatory statements.

The Appellate Division reversed, granted defendants' motion and dismissed the complaint (74 AD3d 1464 [3d Dept 2010]). The Court determined that, given New York's "narrow approach" to long-arm jurisdiction where defamation cases are concerned, defendants' contacts with the state were insufficient to support a finding of personal jurisdiction. This Court granted plaintiffs leave to appeal (15 NY3d 716 [2010]), and we now affirm.

CPLR 302 outlines acts that can form the basis for obtaining personal jurisdiction over non-domiciliaries. Long-arm jurisdiction can be premised on the commission of a tortious act—perpetrated either within the state or outside the state, causing injury within the state—but provides an express statutory exception for "cause[s] of action for defamation of character arising from the act" (CPLR 302 [a] [2], [3]). Although defamation claims therefore cannot form the basis for "tortious act" jurisdiction, such claims may proceed against non-domiciliaries who transact business within the state and thereby satisfy the

requirements of CPLR 302 (a) (1). Defamation claims are accorded separate treatment to reflect the state's policy of preventing disproportionate restrictions on freedom of expression—though, “[w]here purposeful transactions of business have taken place in New York, it may not be said that subjecting the defendant to this State’s jurisdiction is an ‘unnecessary inhibition on freedom of speech or the press’ ” (*Legros v Irving*, 38 AD2d 53, 55-56 [1st Dept 1971], *lv dismissed* 30 NY2d 653 [1972], quoting Weinstein-Korn-Miller, NY Civ Prac, vol 1, ¶ 302.11).

In order to demonstrate that an individual is transacting business within the meaning of CPLR 302 (a) (1), “there must have been some ‘purposeful activities’ within the State that would justify bringing the nondomiciliary defendant before the New York courts” (*McGowan v Smith*, 52 NY2d 268, 271 [1981]). Moreover, there must be “some articulable nexus between the business transacted and the cause of action sued upon” (*McGowan*, 52 NY2d at 272). Phrased differently, there must be “a ‘substantial relationship’ between [the purposeful] activities and the transaction out of which the cause of action arose” (*Talbot v Johnson Newspaper Corp.*, 71 NY2d 827, 829 [1988]; *see also Johnson v Ward*, 4 NY3d 516, 519 [2005]).

When determining whether the necessary substantial relationship exists between a defendant’s purposeful activities and the transaction giving rise to the defamation cause of action, we have considered whether the relationship between the activities and the allegedly offending statement is too diluted (*see Talbot*, 71 NY2d at 829). Certain types of conduct will plainly satisfy the required nexus (*see e.g. Legros*, 38 AD2d at 56 [where a book containing allegedly defamatory statements was researched and printed in New York and where the publishing contract was negotiated and executed in this state, the cause of action was deemed to arise out of the transaction]; *Montgomery v Minarcin*, 263 AD2d 665, 667-668 [3d Dept 1999] [an allegedly defamatory television news report that was researched (over a six-week period), written, produced and broadcast in New York was sufficient to establish the transaction of business within the state]). To the contrary, where the contacts are more circumscribed and not directly related to the defamatory statement, defendants have prevailed (*see e.g. Talbot*, 71 NY2d at 829 [defendant daughter’s attendance at a New York college over two years prior to the allegedly defamatory statements made by her defendant father, relating a description of certain conduct observed by the daughter while a student in New York, was

insufficient to establish the required nexus between any purposeful activities in this state and the cause of action at issue]; *Copp v Ramirez*, 62 AD3d 23 [1st Dept 2009], *lv denied* 12 NY3d 711 [2009] [no personal jurisdiction over non-domiciliaries who made allegedly defamatory statements in New Mexico to New York reporters from NBC's Dateline program three years after each spent 60 hours or less at Ground Zero for purposes of producing a potential documentary]).

Here, defendants' activities in New York were quite limited. Levitt's three phone calls and two short visits—totaling less than three hours—in addition to the donation of cash and leashes, do not constitute purposeful activities related to the asserted cause of action that would justify bringing her before the New York courts. Moreover, it is of importance that the statements were not written in or directed to New York. While they were posted on a medium that was accessible in this state, the statements were equally accessible in any other jurisdiction.

Further, there is no substantial relationship between the allegedly defamatory statements and defendants' New York activities. Levitt did not visit New York in order to conduct research, gather information or otherwise generate material to publish on the group's Web site. Instead, defendants engaged in limited activity within the state in order to help provide financial and medical assistance for the dogs. The alleged mistreatment was observed during the course of those two brief visits but written about after Levitt returned to Vermont. The AWCA neither placed the dogs with plaintiffs in New York nor complained of its volunteers' treatment by plaintiffs, either one of which might well entail a sufficiently substantial relationship between the allegedly defamatory statements and defendants' New York activities as to warrant a finding of long-arm jurisdiction. The connection here is too tangential to support the exercise of personal jurisdiction over defendants.

As the Second Circuit has observed, “New York courts construe ‘transacts any business within the state’ more narrowly in defamation cases than they do in the context of other sorts of litigation” (*Best Van Lines, Inc. v Walker*, 490 F3d 239, 248 [2d Cir 2007]). Through CPLR 302, the Legislature has manifested its intention to treat the tort of defamation differently from other causes of action and we believe that, as a result, particular care must be taken to make certain that non-domiciliaries are not haled into court in a manner that potentially chills free speech without an appropriate showing

that they purposefully transacted business here and that the proper nexus exists between the transaction and the defamatory statements at issue.

In light of the foregoing, it is unnecessary to address defendants' constitutional argument.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

PIGOTT, J. (dissenting). I respectfully dissent because, in my view, the American Working Collie Association (AWCA) and its president, Jean Levitt, engaged in "purposeful activities" in New York and there was a "substantial relationship" between those activities and the defamation causes of action lodged by the SPCA of Upstate New York, Inc. (SPCA) and its executive director, Cathy Cloutier.

Under CPLR 302 (a) (1)—the jurisdictional basis upon which the SPCA and Cloutier rely—long-arm jurisdiction over a non-domiciliary exists where a defendant transacts business in New York and the claim asserted arises from that transaction (*see Johnson v Ward*, 4 NY3d 516, 519 [2005]). "It is a 'single act statute' and proof of one transaction in New York is sufficient to invoke jurisdiction, even though the defendant never enters New York, so long as the defendant's activities here were purposeful and there is a substantial relationship between the transaction and the claim asserted" (*Kreutter v McFadden Oil Corp.*, 71 NY2d 460, 467 [1988]).

The majority classifies activities of AWCA and Levitt as being "quite limited" (majority op at 405), but the record is littered with instances where the AWCA—whose express mission is the promotion of "the well being of collies"—"purposefully avail[ed] itself of the privilege of conducting activities within [New York]" (*Ehrenfeld v Bin Mahfouz*, 9 NY3d 501, 508 [2007] [citations omitted]), such that it "should reasonably . . . expect[] to defend its actions" here (*Deutsche Bank Sec., Inc. v Montana Bd. of Invs.*, 7 NY3d 65, 71 [2006]).

Even construing CPLR 302 (a) (1) "more narrowly in defamation cases" (*Best Van Lines, Inc. v Walker*, 490 F3d 239, 248 [2d Cir 2007]), the facts here certainly meet the standard. Levitt, upon learning that 23 collies and dachshunds had been rescued from a home in Fort Ann, New York, initiated telephone contact with the SPCA and "offered" AWCA's "services," which included the donations of collars and leashes, along with a check from the AWCA for \$1,000. When the collars and leashes

arrived, Levitt contacted Cloutier a second time and, during that telephone conversation, agreed to meet with Cloutier to facilitate the delivery of those items. At this first New York meeting, Levitt again offered AWCA's assistance and wrote a personal check to cover veterinary costs of the rescued dogs. Shortly after that visit, Levitt telephoned the SPCA to discuss arrangements she had made to send one of the rescued collies to a rehabilitation center. Nearly two months later, on January 5, 2008, Levitt visited the SPCA facility "to check on the care that was being given by the SPCA to the [rescued dogs]." In addition to these activities, the AWCA, over eight weekends, sent members and volunteers to the SPCA to assist in exercising the dogs and cleaning their crates. That Levitt's visits may have been brief is irrelevant; the AWCA conducted a significant number of "purposeful activities" in New York, such that they could hardly be classified as "quite limited," particularly in light of the monies and items donated and the services provided.

Nor can it be said that there was no "substantial relationship" between these "purposeful activities" and Levitt's alleged defamatory statements. Of significance is the fact that the first alleged defamatory comment was posted by Levitt on January 13, 2008, a week after her second visit to the SPCA, detailing Levitt's observations during the second visit which, according to the post, was precipitated by complaints made to her by AWCA volunteers about the condition of the SPCA facility. Moreover, each of the alleged defamatory posts addressed the conditions of the rescued dogs in New York, and the inference can be drawn from the complaint that Levitt's purpose for going to New York (and for sending volunteers to assist at the SPCA) was to garner attention for the plight of these rescued dogs in order to promote their well being. Finally, several of the alleged defamatory posts reference accounts given by AWCA volunteers to Levitt concerning the conditions of the SPCA facility. For an organization whose "purpose . . . is to promote the well being of collies," it cannot reasonably be said that there was no nexus between AWCA's purposeful activities and the alleged defamatory comments.

Finally, the majority's "free speech" concern is illusory in the context of this case. CPLR 302 (a) (2) and (3), long-arm provisions that address tortious acts committed by a defendant within the state, and tortious acts committed out of state but cause injury in New York, respectively, exclude defamation claims from their reach. CPLR 302 (a) (1) does not contain such an exception, and for good reason: "There is a clear distinction

between a situation where the only act which occurred in New York was the mere utterance of the libelous material and on the other hand, a situation where purposeful business transactions have taken place in New York giving rise to the cause of action” (*Legros v Irving*, 38 AD2d 53, 55 [1st Dept 1971]). In the latter case, “it may not be said that subjecting the defendant to this State’s jurisdiction is an ‘unnecessary inhibition on freedom of speech or the press’ ” (*id.* at 55-56). So long as a plaintiff can establish purposeful activities on the part of the defendant and a substantial relationship between those activities and the defamation claim, there is little danger of chilling free speech through the exercise of long-arm jurisdiction.

Judges CIPARICK, READ and JONES concur with Chief Judge LIPPMAN; Judge PIGOTT dissents in a separate opinion in which Judges GRAFFEO and SMITH concur.

Order affirmed, with costs.

[964 NE2d 379, 941 NYS2d 8]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent-Appellant,
v SANTOS QUINTO, Appellant-Respondent.

Argued January 5, 2012; decided February 9, 2012

SUMMARY

CROSS APPEALS, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 31, 2010. The Appellate Division modified, on the law, an order of the Supreme Court, Kings County (Cassandra M. Mullen, J.), which had granted a motion by defendant to dismiss an indictment charging him with rape in the second degree (three counts), rape in the third degree, sexual misconduct (three counts), sexual abuse in the third degree (three counts), endangering the welfare of a child, menacing in the third degree, and harassment in the second degree (three counts). The modification consisted of deleting the provisions of the order that had granted those branches of the defendant's motion which were to dismiss as untimely the charges of rape in the second degree in violation of Penal Law § 130.30 (1) (three counts), rape in the third degree in violation of Penal Law § 130.25 (3), sexual misconduct in violation of Penal Law § 130.20 (1) (three counts), and sexual abuse in the third degree in violation of Penal Law § 130.55 (three counts), and substituting therefor provisions denying those branches of the motion. The Appellate Division affirmed the order as modified.

People v Quinto, 77 AD3d 76, affirmed.

HEADNOTES

Crimes — Timeliness of Prosecution — Toll Applicable to Sex Crimes against Child Less than 18 Years Old — Prior Report of Offense

1. In a criminal action initiated more than five years after defendant's then-14-year-old step-granddaughter initially informed the police that she had become pregnant as a result of a rape by a classmate, those counts of the indictment charging defendant with sex offenses allegedly committed during time periods which occurred both before and after the time period encompassed by the victim's report to the police of the alleged rape by the schoolmate were timely commenced under the tolling provision of CPL 30.10 (3) (f). Section 30.10 (3) (f) tolls the running of the limitations period for sex crimes committed against minors "until the child has reached the age of eighteen or the offense is reported" to an appropriate agency, whichever occurs earlier. The statute specifically refers to a report of "the offense," not "any offense."

Inasmuch as the only purported crime that the then-14-year-old victim discussed with the police was an alleged rape by a classmate occurring several months earlier and did not mention any other sexual conduct occurring either before or after the alleged incident with the classmate, the police had no reason to believe that the victim had been subjected to any criminal conduct during the time periods occurring either before or after the reported classmate rape. As a result, the statutes of limitations did not commence on the initial disclosure date when the victim was still 14 for any of the sex offenses within the two time frames surrounding the reported classmate rape. Rather, the limitations periods for those crimes began to run when the victim turned 18 years old.

Crimes — Timeliness of Prosecution — Toll Applicable to Sex Crimes against Child Less than 18 Years Old — Prior Report of Offense

2. In a criminal action initiated more than five years after defendant's then-14-year-old step-granddaughter initially informed the police that she had become pregnant as a result of a rape by a classmate, those counts of the indictment charging defendant with sex offenses allegedly committed during the time period encompassed by the victim's report to the police of the alleged rape by the schoolmate were timely commenced under the tolling provision of CPL 30.10 (3) (f). A triggering "report" under CPL 30.10 (3) (f), which tolls the running of the limitations period for sex crimes committed against minors "until the child has reached the age of eighteen or the offense is reported" to an appropriate agency, whichever occurs earlier, refers to a communication that, at a minimum, describes the offender's alleged criminal conduct and the harm inflicted on the victim and covers only the specific criminal acts disclosed in the communication. Information of this nature provides the police with actual notice that a specific criminal offense has occurred, allowing them to conduct a prompt investigation. Here, the information the victim conveyed when she was 14 did not provide a reasonable basis for the authorities to suspect that she had been sexually assaulted at home by a relative; in fact, inquiries prompted by the victim's pregnancy led the victim to deny unequivocally that she was being sexually abused by a family member. Since no information linked defendant to the circumstances of the reported crime, the People were entitled to apply CPL 30.10 (3) (f) and the statutes of limitations for the indicted sex offenses allegedly committed by defendant during the time period of the reported classmate rape did not commence until the victim became 18 years of age.

Crimes — Timeliness of Prosecution — Non-sexual Offenses — Defendant's Whereabouts Continuously Unknown and Unascertainable

3. In a criminal prosecution which, in part, charged the victim's step-grandfather with certain non-sexual offenses which were allegedly committed in 2002, CPL 30.10 (4) (a) (ii) did not toll the time between the alleged commission of the offenses and the victim's allegations against defendant in 2007. Section 30.10 (4) (a) (ii) excludes any periods of time following the commission of an offense if "the whereabouts of the defendant were continuously unknown and continuously unascertainable by the exercise of reasonable diligence," and excludes time only if the police are aware of a particular crime. Here, the police did not learn about the crimes charged in the indictment until the victim revealed her allegations in 2007. Consequently, the one- and two-year limitations periods that applied to the indictment's non-sexual misdemeanors and petty offenses began to run when those crimes purportedly

happened and the timeliness for prosecution of those crimes expired well before the accusatory instrument was issued.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 247, 255, 256.
CARMODY-WAIT 2d, Timeliness of Prosecution; Speedy Trial
§§ 186:11, 186:20, 186:21, 186:81.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 18.1–
18.3.
MCKINNEY's, CPL 30.10 (3) (f); 30.30 (4) (a) (ii).
NY JUR 2d, Criminal Law: Procedure §§ 1843, 1908–1912.

ANNOTATION REFERENCE

See ALR Index under Children; Limitation of Actions;
Sex and Sexual Matters.

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POINTS OF COUNSEL

Appellate Advocates, New York City (*Anna Pervukhin* and *Lynn W.L. Fahey* of counsel), for appellant-respondent. The trial court properly dismissed the indictment as time-barred by the statute of limitations. (*United States v Lovasco*, 431 US 783; *United States v Marion*, 404 US 307; *Railroad Telegraphers v Railway Express Agency, Inc.*, 321 US 342; *Stogner v California*, 539 US 607; *Toussie v United States*, 397 US 112; *United States v Eliopoulos*, 45 F Supp 777; *United States v Habig*, 390 US 222; *United States v Scharton*, 285 US 518; *Waters v United States*, 328 F2d 739; *United States v Raymond*, 700 F Supp 2d 142.)

Charles J. Hynes, District Attorney, Brooklyn (*Seth M. Lieberman* and *Leonard Joblove* of counsel), for respondent-appellant. I. The Appellate Division correctly reversed the Supreme Court's dismissal of the counts in the indictment that charge sexual offenses. (*People v Seda*, 93 NY2d 307; *People v Hammons*, 7 Misc 3d 1028[A], 2005 NY Slip Op 50794[U]; *People v Kisina*, 14 NY3d 153; *People v Gilmour*, 98 NY2d 126; *Matter of Duell v Condon*, 84 NY2d 773; *People v Coe*, 71 NY2d 852; *People v White*, 73 NY2d 468, 493 US 859; *People v Eulo*, 63 NY2d 341; *Matter of MERSCORP, Inc. v Romaine*, 8 NY3d 90; *Matter of*

North v Board of Examiners of Sex Offenders of State of N.Y., 8 NY3d 745.) II. The Appellate Division erred in affirming the Supreme Court's dismissal of the counts of the indictment charging non-sexual offenses. (*People v Seda*, 93 NY2d 307; *People v Parilla*, 33 AD3d 363, 8 NY3d 654; *People v Jones*, 299 AD2d 283; *People v Jordan*, 43 AD3d 1076.)

OPINION OF THE COURT

GRAFFEO, J.

This case calls upon us to consider the type of information that qualifies as a report of a sex crime against a child that triggers the commencement of the statute of limitations under CPL 30.10 (3) (f).

I

In New York, although class A felonies and four specified class B felony sex offenses have no limitations period (*see* CPL 30.10 [2] [a]), all other felonies are covered by a five-year statute of limitations (*see* CPL 30.10 [2] [b]). A two-year window applies to misdemeanors (*see* CPL 30.10 [2] [c]) and petty offenses must be prosecuted within one year (*see* CPL 30.10 [2] [d]).

For those crimes governed by a statute of limitations, the general rule is that the time period commences when a criminal offense is committed (*see* CPL 30.10 [2]). By the mid-1990s, there was a widespread recognition that the strictures of the limitations periods pertaining to sex offenses against children presented unique difficulties because many child victims are hesitant or fearful of disclosing such crimes, especially when the sexual abuse is committed by a family member or an individual in the child's household. In response to these concerns, new laws adding tolling provisions to the statutes of limitations for sexual offenses against children were enacted in 1996 as part of a "major step" (Letter from President of Borough of Queens, June 5, 1996, Bill Jacket, L 1996, ch 122, at 22) toward "ensur[ing] that the law provides the highest level of protection possible to these most vulnerable victims" (Letter from Mayor of City of NY, June 5, 1996, Bill Jacket, L 1996, ch 122, at 28). These provisions were adopted based on the Legislature's recognition that

"child-victims of sex offenses cannot fully appreciate the crimes committed against them until they reach maturity; many child-victims are victimized

by parents or other persons with whom they have a close relationship, and cannot reasonably be expected to report these crimes while they remain under the sway of their abusers” (Governor’s Approval Mem, Bill Jacket, L 1996, ch 122, at 13, 1996 McKinney’s Session Laws of NY, at 1864; *see also* Assembly Mem in Support, 1996 McKinney’s Session Laws of NY, at 2085).

CPL 30.10 (3) (f) was a major component of the legislative package. It established that the statute of limitations in a prosecution of a sex offense (other than those that are not subject to any limitations period) committed against a minor does not begin to run “until the child has reached the age of eighteen or the offense is reported to a law enforcement agency or statewide central register of child abuse and maltreatment, whichever occurs earlier” (CPL 30.10 [3] [f]). Delaying the commencement of the relevant limitations period until the age of maturity was intended to “increase the likelihood that young adults, recently freed from a position of dependency, will disclose the offenses committed against them in order to seek redress through the criminal justice system” and that this would “also improve opportunities for preventing recurrences of the conduct by the perpetrator” (Letter from Council on Children and Families, June 17, 1996, Bill Jacket, L 1996, ch 122, at 18). Although majority age replaced the commission of the crime date as the general starting point for the statute of limitations, a statutory exception starts the clock running sooner. The limitations period is triggered if “the offense is reported” to the police or to the central register for child abuse. The scope of CPL 30.10 (3) (f) is the central focus of this appeal; more particularly, what constitutes a report to law enforcement for statute of limitations purposes?

II

The child at issue in this case, whom we refer to as Jane, was 14 years old when she underwent a medical examination in November 2002 that revealed she was 12 weeks pregnant, with a conception date in August of that year. At first, Jane denied that she had been sexually active or that she was being sexually abused at home. She later claimed that she had been raped in August 2002 at school by a classmate.

Jane eventually told the investigating police officers that she had consensual, unprotected intercourse with a 14-year-old boy.

She explained that she lied about being raped because she did not want her parents to know that she was having sex. After she gave the police a written retraction of the rape accusation, the case was closed.

Jane turned 18 years of age in January 2006. Over a year later, when she was 19 years old, Jane informed the police that she had been sexually assaulted years earlier by her step-grandfather, defendant Santos Quinto. Based on this disclosure, in December 2007, defendant was charged in a felony complaint with rape and related offenses.

Jane subsequently testified before a grand jury that defendant had raped her on three different occasions in 2002 in the Brooklyn home where they resided: (1) once between May 2002 and the end of June 2002; (2) once between July 2002 and the end of August 2002; and (3) once during the month of September 2002. On at least one of those occasions, defendant purportedly threatened to rape Jane's sister if she did not submit to intercourse with him. Jane claimed that she told her grandmother (defendant's wife) about these incidents but her grandmother did not believe her. She also explained that she had kept the sexual assaults and pregnancy a secret from everyone because defendant warned her not to say anything and she was afraid of him.

The grand jury indicted defendant for numerous offenses grouped into the three distinct time periods:

1. For defendant's alleged conduct between May 1, 2002 and June 30, 2002, he was charged with: rape in the second degree (Penal Law § 130.30 [1] [a class D felony]); sexual misconduct (Penal Law § 130.20 [1] [a class A misdemeanor]); endangering the welfare of a child (Penal Law § 260.10 [1] [a class A misdemeanor]); two counts of sexual abuse in the third degree (Penal Law § 130.55 [a class B misdemeanor]); and harassment in the second degree (Penal Law § 240.26 [1] [a violation]).

2. With respect to his actions that purportedly occurred between July 1, 2002 and August 31, 2002, defendant was indicted for: rape in the second degree; rape in the third degree (Penal Law § 130.25 [3] [a class E felony]); sexual misconduct; menacing in the third degree (Penal Law § 120.15 [a class B misdemeanor]); sexual abuse in the third degree; harassment in the second degree; and endangering the welfare of a child.

3. Finally, for the period from September 1, 2002 to September 30, 2002, defendant was charged with rape in the second degree;

sexual misconduct; harassment in the second degree; and endangering the welfare of a child.

Thus, defendant was cumulatively indicted for three counts of second-degree rape; one count of third-degree rape; three counts of sexual misconduct; one count of endangering the welfare of a child; three counts of third-degree sexual abuse; one count of third-degree menacing; and three counts of second-degree harassment. He moved to dismiss the indictment in its entirety, contending that the statutes of limitations for all of the charged offenses had expired. Defendant asserted that the limitations periods began to run under CPL 30.10 (3) (f) when Jane informed the police in November 2002 that she had been raped by a classmate. Based on that commencement date, defendant argued that the statutes of limitations expired no later than November 2007 and, therefore, the charges against him were untimely as they were not initiated until December 2007.

Supreme Court agreed with defendant and dismissed the indictment, concluding that Jane had “reported” the crimes to the police in November 2002, at which time the limitations periods for the offenses were triggered pursuant to CPL 30.10 (3) (f). The court also held that another statutory toll that applies if a defendant’s whereabouts are “continuously unknown and continuously unascertainable by the exercise of reasonable diligence” (*see* CPL 30.10 [4] [a] [ii]) was not available in this situation because the police had not conducted the investigation with due diligence.¹

Upon the People’s appeal, the Appellate Division modified by reinstating the felony and misdemeanor sex offenses (77 AD3d 76 [2d Dept 2010]). The court determined that Jane had not made a “report” related to defendant’s alleged sex crimes in November 2002, which meant that the limitations periods for the sex offenses did not begin to run until Jane turned 18 in January 2006. Applying the CPL 30.10 (3) (f) tolling provision, the Appellate Division held that the commencement of the action in December 2007 was timely since the two-year statute of limitations for the misdemeanor sex offenses did not expire until January 2008, and the five-year period for the felony sex

1. CPL 30.10 (4) (a) (ii) specifies that, for all criminal offenses, the calculation of the amount of time that has elapsed since the offense was committed shall not include “[a]ny period . . . during which . . . the whereabouts of the defendant were continuously unknown and continuously unascertainable by the exercise of reasonable diligence” provided, however, that the applicable limitations period can be extended by no more than five years.

offenses did not expire until January 2011. With regard to the non-sex offenses, however, the Appellate Division ruled that they were barred because the statutes of limitations for those offenses had expired and the “continuously unknown and continuously unascertainable” whereabouts tolling provision in CPL 30.10 (4) (a) (ii) was not applicable under the facts presented.

A Judge of this Court granted leave to both parties (15 NY3d 923 [2010]) and we now affirm.

III

The precise issue in this case is whether the information that Jane disclosed to the police on November 8, 2002 was a “report[]” to the authorities that was sufficient to bar the availability of the tolling provision in CPL 30.10 (3) (f) in connection with the indictment against defendant. He contends that Jane’s revelation that she became pregnant in August 2002 as a result of being raped by a classmate at school qualifies as a “report” under the statute because the police were placed on notice at that time of a potential sex crime against a minor, which required an investigation. Therefore, defendant asserts that the initial November 2002 “report” encompassed not just the sexual act that led to the pregnancy, but all of the crimes defendant allegedly committed during the three time periods charged in the indictment. And, if the statutory toll does not apply, the criminal action against him was not timely commenced and he would be entitled to dismissal of the indictment.

[1] We disagree. To begin, the text of CPL 30.10 (3) (f) compels us to reject defendant’s argument that Jane’s early statements to the police encompass all three of the time periods designated in the indictment. The statute specifically refers to a report of “*the* offense” (emphasis added), not “*any* offense” (see *State v Hutchison*, 176 Or App 363, 367-368, 31 P3d 1123, 1125 [Ct App 2001]; *State v Whittington*, 144 NM 85, 89, 183 P3d 970, 974 [Ct App 2008]). The only purported crime that Jane discussed with the police in November 2002 was an alleged August 2002 rape by a classmate. Jane did not mention any other sexual conduct occurring either before or after the alleged incident. Hence, the police had no reason to believe that Jane was subjected to any criminal conduct during the first and third time periods charged in the indictment (May to June 2002 and September 2002, respectively). As a result, the statutes of limitations did not commence on the initial disclosure date—

November 8, 2002—for any of the sex offenses within those two time frames. Rather, the limitations periods for those crimes began to run when Jane turned 18 years old in January 2006. Hence, the Appellate Division correctly reinstated those counts of the indictment because the criminal action was commenced in December 2007—within the two- and five-year statutes of limitations.

[2] We next turn to the question of whether Jane’s disclosure to the police in November 2002 constituted a “report” requiring dismissal of the sex offenses occurring during the second time period identified in the indictment—July 1, 2002 to August 31, 2002. CPL 30.10 does not define the word “reported” so we must apply its ordinary and natural meaning (*see e.g. People v Versaggi*, 83 NY2d 123, 129 [1994]). “Report” is usually defined as describing or giving an account of something (*see Webster’s Third New International Dictionary, Unabridged* [Merriam-Webster 2012], available at <http://unabridged.merriam-webster.com>). As we have explained, the term “the offense” refers to a discrete criminal act or series of acts that satisfies the elements of a particular penal statute (*see e.g. State v Hutchison*, 176 Or App at 367-368, 31 P3d at 1125). Combining these definitions, the phrase “the offense is reported” as used in CPL 30.10 (3) (f) would mean a communication that, at a minimum, describes the offender’s criminal conduct and the particular harm that was inflicted on the victim. Information of this nature provides the police with actual notice that a specific criminal offense has occurred, allowing them to conduct a prompt investigation (*see generally State v Green*, 108 P3d 710, 721 [Utah 2005]; *State v Harberts*, 198 Or App 546, 559-560, 108 P3d 1201, 1209 [Ct App 2005], *review denied* 341 Or 80, 136 P3d 1123 [2006]).²

Considered in this manner, the information that Jane provided to the police in November 2002 certainly was a “report” but the operative question is, a report of what? The

2. New York is not the only state that has a reporting exception for sex offenses against children (*see e.g. Ark Code Ann* § 5-1-109 [a] [2]; *Cal Penal Code* § 803 [f] [1]; *Fla Stat Ann* § 775.15 [13] [a]; *Ga Code Ann* § 17-3-2.1; *Mass Gen Laws Ann ch 277*, § 63; *Minn Stat Ann* § 628.26 [e]; *ND Cent Code Ann* § 29-04-03.1; *NM Stat Ann* § 30-1-9.1; *Or Rev Stat Ann* § 131.125 [2]; *Vt Stat Ann tit 13*, § 4501 [c]; *see generally Conn Gen Stat Ann* § 54-193a [using a “notification” requirement]; *State v Hensley*, 59 Ohio St 3d 136, 140, 571 NE2d 711, 715 [1991] [statutes of limitations tolled until a person with statutory duty to report child abuse or neglect has knowledge of both the act and criminal nature of the act]).

offense she described was a rape by a classmate in a first-floor bathroom at their school in August 2002, not the forcible intercourse and sexual molestation accusations made later against her step-grandfather. The information conveyed did not provide a reasonable basis for the authorities to suspect that Jane had been sexually assaulted at home by a relative in July or August 2002. Indeed, inquiries prompted by Jane's pregnancy apparently caused her to unequivocally deny that she was being sexually abused by a family member. The "report" provision triggering the five- and two-year statutes of limitations for sex offenses under CPL 30.10 (3) (f) would have applied only to the incident that was directly derived from the information obtained from Jane—the manner, time and place that she was supposedly sexually assaulted. Since no information linked defendant to the circumstances of the reported crime, we hold that the People were entitled to apply CPL 30.10 (3) (f) and, contrary to the dissent's conclusion, the statutes of limitations for the indicted sex offenses in the second charged time period did not commence until Jane became 18 years of age.

In our view, this meaning of the phrase "the offense is reported" is consistent with the legislative history and purpose of CPL 30.10 (3) (f). The statute was based on a societal acknowledgment that victims of childhood sexual abuse who do not (or, indeed, who cannot) disclose such acts while they are minors should be given a reasonable period of time after becoming adults to divulge the abuse they suffered. Based on the ordinary meaning of the terms used in CPL 30.10 (3) (f), the legislative history of the statute and its overarching purpose, it is clear that the drafters established the age of 18 as the operative date of the limitations periods unless the police or statewide abuse register receive earlier actual notice that a child has been sexually victimized. We therefore believe that the extension of the limitations periods for sex crimes against children under CPL 30.10 (3) (f) is best accomplished by recognizing that the reporting requirement should be interpreted to cover only the specific criminal acts that are disclosed in a communication. Consequently, we hold that the triggering "report" required under the statutory exception refers to a communication that, at a minimum, describes the offender's alleged criminal conduct and the harm inflicted on the victim.

In sum, the information Jane shared with the police in November 2002 did not activate the statutes of limitations

under CPL 30.10 (3) (f) because she neither identified defendant as the perpetrator nor reported or revealed any of the sex offenses charged in the indictment. Under these facts, the statutes of limitations for the indicted sex crimes did not begin to run until Jane reached 18 years of age in January 2006. The charged sex offenses therefore are not time-barred.

IV

Next, because defendant was also charged with non-sexual offenses not covered by CPL 30.10 (3) (f), we address the timeliness of those charges and the applicability of another tolling provision—CPL 30.10 (4) (a) (ii)—which may apply to any crime subject to a limitations period. It excludes any periods of time following the commission of an offense if “the whereabouts of the defendant were continuously unknown and continuously unascertainable by the exercise of reasonable diligence.” We have explained that this statute covers cases where the police are unable to identify the perpetrator of a crime despite the exercise of reasonable diligence or have identified the perpetrator but cannot find him after a diligent investigation (*see e.g. People v Seda*, 93 NY2d 307, 311 [1999]). In both scenarios, police knowledge that a crime was committed is a necessary prerequisite to the statute’s application (*see People v Jordan*, 43 AD3d 1076, 1077 [2d Dept 2007]). Subdivision (4) (a) (ii) therefore operates in a manner that is quite different than subdivision (3) (f)—it excludes time only if the police are aware of a particular crime, whereas subdivision (3) (f) stops the limitations clock if the police do not know that a child has been the victim of a sex offense.

[3] Because the police did not learn about the non-sex crimes charged in the indictment until Jane revealed her allegations in December 2007, we conclude that CPL 30.10 (4) (a) (ii) did not toll the time between the alleged commission of the offenses and Jane’s disclosure. Consequently, the one- and two-year limitations periods that apply to the indictment’s non-sexual misdemeanors and petty offenses began to run when those crimes purportedly happened in 2002, hence the timeliness for prosecution of those crimes expired in 2003 and 2004, respectively, well before the accusatory instrument was issued in this case. We agree with the Appellate Division that the non-sexual misdemeanors and petty offenses must be dismissed.

Accordingly, the order of the Appellate Division should be affirmed.

READ, J. (dissenting in part). In my view, an “offense” was “reported to a law enforcement agency” within the meaning of CPL 30.10 (3) (f) when a social worker notified the police in November 2002 that 14-year-old Jane, who was 12 weeks pregnant at the time, claimed to have been raped and impregnated by a fellow student. As a result, the second count of the indictment, which charges defendant Santos Quinto with the crime of second-degree rape during the time period of July 1, 2002 to August 31, 2002, is time-barred. I agree with the majority that the statute of limitations has not expired for the first and third counts, which charge defendant with second-degree rape at other times.

Section 30.10 (3) (f) extends the time period for commencing a prosecution for certain sex crimes against children until either “the child has reached the age of eighteen or the offense is reported to a law enforcement agency or statewide central register of child abuse and maltreatment, whichever occurs earlier.” The majority stresses that the Legislature adopted this statute to insure that “victims of childhood sexual abuse who do not (or, indeed, who cannot) disclose such acts while they are minors [are] given a reasonable period of time after becoming adults to divulge the abuse they suffered” (majority op at 418). This is an undeniably accurate but incomplete explanation for section 30.10 (3) (f). After all, if the Legislature’s only goal had been to give child victims of sexual abuse more time to seek redress, there would be no reporting exception at all: the statute would simply call for the period of limitations to begin at the victim’s majority, the approach taken by many other states (*see e.g.* Haw Rev Stat § 701-108 [6] [c] [period of limitations in child sex abuse case begins to run when victim turns 18]; Mo Rev Stat § 556.037 [same]; Mont Code Ann § 45-1-205 [1] [b], [c] [same]; Tenn Code Ann § 40-2-101 [h], [i] [same]).

The obvious aim of the reporting exception is to prevent unduly delayed prosecutions for acts of child sexual abuse. The possibility of an erroneous conviction is minimized when a prosecution occurs while evidence is still fresh. Old claims are harder to defend against because evidence may be lost, memories may fade, witnesses may disappear. And the state, as well as defendants, has an important interest in reducing the risk of false prosecutions—a persistent worry in cases of sexual abuse, which so often devolve into a contest of “he said, she said.”

The majority’s interpretation of section 30.10 (3) (f), though, essentially writes the reporting exception out of the statute.

Jane was discovered to be pregnant during a visit to a health clinic in November 2002. She first denied being sexually active or having been sexually abused at home; she then claimed that she was forcibly raped by a classmate whose voice she recognized. This allegation prompted a social worker at the clinic to contact the police. Jane repeated her account to two detectives, by then accusing a classmate by name, until confronted with “inconsistencies” (unspecified in the record) in her story. She then retracted the rape accusation against her fellow student, saying that her pregnancy was instead due to unprotected consensual sex with him. The police believed this explanation—a circumstance I would expect defense counsel to explore fully if this matter goes to trial—and so investigated no further. The police report that had been filed was withdrawn.

This is not a case, then, where some general allegation of child sexual abuse was reported to the police in 2002. Rather, a specific offense—a rape causing a pregnancy—occurring at a specific time—August 2002—was reported. After investigation, the police concluded that no crime had been committed. If Jane’s subsequent allegations prove to be true, this was a tragic mistake because she was allowed to remain in an abusive home for another five years.

I do not fault the police for accepting Jane’s explanation of consensual sex with a fellow student. Unfortunately, this version of the cause of her pregnancy, even though she was only 14 years old, is plausible. Additionally, the police knew that Jane did not come forward willingly—her hand was forced by the sudden discovery at the health clinic of her pregnancy. If the reporting exception in section 30.10 (3) (f) has any meaning, though, the reports made to the police by the social worker and Jane are surely specific enough to qualify. Otherwise, the only “report” sufficient to start the clock running under this provision is one where the police, after investigating a specific allegation of child sexual abuse, proceed to indict someone. This cannot be what the Legislature had in mind. Rather, the exception was intended to foreclose future prosecutions of anyone where the police, having received a specific allegation of sexual abuse of a minor, elect, for whatever reason, not to pursue the matter.

Chief Judge LIPPMAN and Judges CIPARICK, SMITH, PIGOTT and JONES concur with Judge GRAFFEO; Judge READ dissents in part in a separate opinion.

Order affirmed.

[964 NE2d 1010, 941 NYS2d 543]

In the Matter of STEPHEN ROSENBLUM, Respondent, v NEW YORK
CITY CONFLICTS OF INTEREST BOARD et al., Appellants.

Argued January 11, 2012; decided February 9, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 1, 2010. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Jane S. Solomon, J.; op 2009 NY Slip Op 31073[U] [2009]), entered in a proceeding pursuant to CPLR article 78, which had granted the petition and prohibited respondents from proceeding any further with the administrative trial of petitioner.

Matter of Rosenblum v New York City Conflicts of Interest Bd., 75 AD3d 426, reversed.

HEADNOTE

**Schools — Administrative Personnel — Enforcement of New York
City’s Conflicts of Interest Law against Tenured Public School
Assistant Principal**

Respondent Conflicts of Interest Board of the City of New York (COIB) and respondent City’s Office of Administrative Trials and Hearings were improperly prohibited from proceeding with an administrative trial against petitioner, a tenured assistant principal in the City’s public school system, for an alleged violation of New York City’s Conflicts of Interest Law (NY City Charter §§ 2600-2607) after the New York City Department of Education (DOE) declined to take disciplinary action against petitioner. COIB is authorized to enforce the Conflicts of Interest Law against a public servant who is subject to discipline under Education Law §§ 3020 and 3020-a. Although sections 3020 and 3020-a set out the exclusive means for DOE to sanction a tenured pedagogue, including by imposing a fine, the penalty petitioner faced here, it does not follow that COIB may not fine a DOE employee for a Conflicts of Interest Law violation. The Conflicts of Interest Law is a separate statutory scheme designed to protect governmental integrity, not to safeguard a tenured pedagogue from arbitrary action by DOE that might adversely affect the terms and conditions of his or her employment. While COIB may recommend that DOE suspend or remove a tenured pedagogue from employment for an ethics violation (NY City Charter § 2606 [b]), COIB itself may only levy a fine for the act prompting its recommendation. Accordingly, “discipline” within the meaning of sections 3020 and 3020-a encompasses only job-related penalties that may be imposed upon a tenured pedagogue by his or her employer—a local school board or, in the case of the City, DOE. Moreover, the text and legislative history of the Conflicts of Interest Law belie the notion that COIB may not fine City employees, such as tenured pedagogues, who are also subject to a state law or collective bargaining agreement providing for disciplinary

proceedings. Since NY City Charter § 2603 (h) (6) states that COIB is not prevented from acting where the employing agency decides to terminate or otherwise discipline a public servant, there is no basis for interpreting the Conflicts of Interest Law as forbidding the Board from acting where the agency has elected not to pursue disciplinary action.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 257–259; AM JUR 2d, Schools §§ 219, 221, 222, 224, 228, 245, 247.

McKINNEY's, Education Law §§ 3020, 3020–a.

NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 524, 531, 597; NY JUR 2d, Schools, Universities, and Colleges §§ 314–318.

ANNOTATION REFERENCE

See ALR Index under Discipline and Disciplinary Actions; Municipal Corporations; Schools and Education.

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POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (Stephen J. McGrath, Andrea J. Berger, Spencer Fisher and Susan B. Eisner of counsel), for appellants. The New York City Conflicts of Interest Board is authorized to commence a hearing against petitioner at the Office of Administrative Trials and Hearings for a violation of the Conflicts of Interest Law. (Matter of City of New York v Uniformed Fire Officers Assn., Local 854, IAFF, AFL-CIO, 95 NY2d 273; Matter of New York State Off. of Children & Family Servs. v Lanterman, 14 NY3d 275; Matter of Felix v New York City Dept. of Citywide Admin. Servs., 3 NY3d 498; Matter of Board of Higher Educ. of City of N.Y. v Allen, 6 NY2d 127; Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib., 2 NY3d 249; People v Judiz, 38 NY2d 529; People v Van Buren, 4 NY3d 640; Holt v Board of Educ. of Webutuck Cent. School Dist., 52 NY2d 625; Belle v Town Bd. of Town of Onondaga, 61 AD2d 352; Matter of Maloff v City Commn. on Human Rights, 38 NY2d 329.)

Bruce K. Bryant, Brooklyn, David N. Grandwetter and Charity M. Guerra for respondent. I. The courts below correctly

determined that the New York City Conflicts of Interest Board and the Office of Administrative Trials and Hearings do not have jurisdiction to prosecute and discipline petitioner and their attempt to do so violates Education Law § 3020-a. (*Matter of Lynch v Nyquist*, 34 NY2d 588; *TeBordo v Cold Spring Harbor Cent. School Dist.*, 126 AD2d 542; *Matter of Board of Educ. of City School Dist. of City of N.Y. v Mills*, 250 AD2d 122; *Matter of Awaraka v Board of Educ. of City of N.Y.*, 59 AD3d 442; *Matter of Watkins v Board of Educ. of Port Jefferson Union Free School Dist.*, 26 AD3d 336; *Matter of Syquia v Board of Educ. of Harpursville Cent. School Dist.*, 80 NY2d 531; *Brotherhood of Locomotive Engrs. Div. 269 v Long Is. R.R. Co.*, 85 F3d 35; *Matter of New York State Off. of Children & Family Servs. v Lanterman*, 14 NY3d 275; *Matter of Felix v New York City Dept. of Citywide Admin. Servs.*, 3 NY3d 498.) II. Even if Education Law § 3020-a does not preclude an independent prosecution by the New York City Conflicts of Interest Board (COIB), City Charter § 2603 (h) (2) requires the COIB to refer alleged violations by tenured employees to the employer for section 3020-a discipline. (*Matter of Rankin v Lavine*, 41 NY2d 911; *Matter of Frick v Bahou*, 56 NY2d 777.)

Richard E. Casagrande, New York City, and *Keith J. Gross* for New York State United Teachers, amicus curiae. I. Education Law § 3020-a is the exclusive avenue to discipline a tenured pedagogue. (*Matter of Board of Educ. of City School Dist. of City of N.Y. v Mills*, 250 AD2d 122, 93 NY2d 803.) II. A fine constitutes discipline under both the Education Law and Conflicts of Interest Law.

Paul Hastings LLP, New York City (*Douglas Koff* of counsel), and *Jeremy Feigelson* for Association of the Bar of the City of New York, amicus curiae. “Discipline” in Education Law § 3020 does not encompass the New York City Conflicts of Interest Board’s imposition of a fine against a tenured education employee. (*Holt v Board of Educ. of Webutuck Cent. School Dist.*, 52 NY2d 625; *People v Santi*, 3 NY3d 234; *Matter of Sutka v Conners*, 73 NY2d 395; *Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372.)

Proskauer Rose LLP, New York City (*Peter J.W. Sherwin*, *Matthew J. Morris* and *Justin M. Collins* of counsel), for Citizens Union, amicus curiae. The Conflicts of Interest Board has a vital mandate that other agencies cannot fulfill, which does not conflict with the Education Law. (*Matter of City of New York v*

Uniformed Fire Officers Assn., Local 854, IAFF, AFL-CIO, 95 NY2d 273; *Golden v Clark*, 76 NY2d 618; *Evans v Carey*, 40 NY2d 1008, *Matter of Nicholas v Kahn*, 47 NY2d 24; *Matter of Edge Ho Holding Corp.*, 256 NY 374; *41 Kew Gardens Rd. Assoc. v Tyburski*, 70 NY2d 325; *Lane v City of Mount Vernon*, 38 NY2d 344; *Matter of Levy v City Commn. on Human Rights*, 85 NY2d 740; *Holt v Board of Educ. of Webutuck Cent. School Dist.*, 52 NY2d 625; *Matter of Bott v Board of Educ., Deposit Cent. School Dist.*, 41 NY2d 265.)

OPINION OF THE COURT

READ, J.

We hold that the Conflicts of Interest Board of the City of New York (the Board or COIB) is authorized to enforce the Conflicts of Interest Law (NY City Charter §§ 2600-2607) against a public servant who is subject to discipline under sections 3020 and 3020-a of the Education Law. As a result, the lower courts improperly prohibited respondents COIB and the City's Office of Administrative Trials and Hearings (OATH) from proceeding with an administrative trial against petitioner Stephen Rosenblum, a tenured assistant principal in the City's public school system.

I.

In 1964, the Legislature enacted General Municipal Law article 18 to “define areas of conflicts of interest in municipal transactions,” while “leaving to each community the expression of its own code of ethics” (L 1964, ch 946, § 1). New York City's Conflicts of Interest Law is applicable to all of the City's current and former employees, and sets out various ethics rules designed “to preserve the trust placed in the public servants of the city, to promote public confidence in government, to protect the integrity of government decision-making and to enhance government efficiency” (NY City Charter § 2600).

Adopting the recommendation of the Charter Revision Commission, City voters in 1988 approved the creation of COIB as an independent body with the power to enforce the Conflicts of Interest Law (*id.* §§ 2602-2603). Whenever the Board receives a written complaint alleging violations of the law, it must take one of four actions: dismiss the complaint if it determines no further steps are required; send the complaint to the Commissioner of the City's Department of Investigation for further inquiry; make an initial determination that there is probable

cause to believe that a violation of the Conflicts of Interest Law has occurred; or refer the matter to the head of the agency employing the public servant in those cases where the violation is deemed minor, or related disciplinary charges are pending there (*id.* § 2603 [e] [2]).

Once the Board makes an initial determination, whether based on a complaint, investigation or other information, it must notify the public servant in writing of the alleged violation (*id.* § 2603 [h] [1]). If, after consideration of the public servant's response to this notice, the Board determines that there remains probable cause, it

“shall hold or direct a hearing to be held on the record to determine whether such violation has occurred, or shall refer the matter to the appropriate agency if the public servant is subject to the jurisdiction of any state law or collective bargaining agreement which provides for the conduct of disciplinary proceedings, provided that when such a matter is referred to an agency, the agency shall consult with the board before issuing a final decision” (*id.* § 2603 [h] [2]; *see also* 53 RCNY 2-02 [a]; 2-03).

The hearing is conducted by the Board or, upon its behalf, by a Board member, or the Chief Administrative Law Judge or an assigned administrative law judge (ALJ) from OATH (*see* 53 RCNY 2-03), which has jurisdiction to conduct adjudicatory hearings for all City agencies (NY City Charter § 1048).

Following the hearing, the hearing officer reports recommended findings of fact, conclusions of law and a proposed disposition for the Board's review and final action (*see* 53 RCNY 2-04 [a]). If the Board determines that a violation of the Conflicts of Interest Law has occurred, it

“shall, after consultation with the head of the agency served or formerly served by the public servant . . . issue an order either imposing such penalties provided for by this [Conflicts of Interest Law] as it deems appropriate, or recommending such penalties to the head of the agency served or formerly served by the public servant,”

with the exception of members of the City Council and staff, where COIB's authority is limited to recommending penalties to the Council (NY City Charter § 2603 [h] [3]; *see also id.* § 2606 [b] [Upon determination of a violation, the Board, “after

consultation with the head of the agency involved . . . shall have the power to impose fines of up to twenty-five thousand dollars, and to recommend to the appointing authority (i.e., the employing agency), or person or body charged by law with responsibility for imposing such penalties, suspension or removal from office or employment”]).

Finally, section 2603 (h) (6) of the Charter specifies that

“[n]othing contained in this section [2603] shall prohibit the appointing officer [i.e., the employing agency] of a public servant from terminating or otherwise disciplining such public servant, where such appointing officer is otherwise authorized to do so; provided, however, that such action by the appointing officer shall not preclude the board from exercising its powers and duties under [the Conflicts of Interest Law] with respect to the actions of any such public servant.”

From its creation in November 1988 through 2009, the Board has imposed fines on 379 public servants.

In 2007, Rosenblum was employed by the New York City Department of Education (DOE) as a probationary principal at Intermediate School (I.S.) 281, a middle school in Community School District 21 in Brooklyn. COIB received a complaint that Rosenblum had approached the principal of I.S. 228, another middle school in the district, on October 24, 2007 to request favorable treatment for his son, a teacher at I.S. 228. Rosenblum’s son, who had been removed from the classroom the previous month because of allegations of misconduct, was at risk of being fired. Rosenblum was alleged to have offered for his son to “leave the school and seek a job elsewhere” if the principal of I.S. 228 accommodated Rosenblum by acting to “save” his son’s employment with DOE.

By notice dated April 28, 2008, the Board advised Rosenblum of its initial determination that there was probable cause to believe that this encounter violated section 2604 (b) (3) of the Conflicts of Interest Law, which prohibits a public servant from “us[ing] or attempt[ing] to use his or her position as a public servant to obtain any . . . private or personal advantage, direct or indirect, for the public servant or any person or firm associated with the public servant.” In an answer dated June 27, 2008, Rosenblum asserted that he had “at no time . . . discussed his son’s employment situation” with the principal of I.S. 228.

On August 15, 2008, the Board referred the matter to DOE, Rosenblum's employing agency, as required by section 2603 (h) (2) and its rules (*see* 53 RCNY 2-02 [a]);¹ on October 7, 2008, DOE informed the Board that it was not going to take disciplinary action against Rosenblum. That same day, the Board served Rosenblum with a petition asking OATH to find that he had violated the law and to impose a \$10,000 fine (the maximum allowed at the time) and grant such further relief as might be just and proper. Rosenblum answered and moved to dismiss on October 17, 2008, arguing that Education Law §§ 3020, 3020-a and 2590-j (7), as supplemented by the collective bargaining agreement (CBA) between DOE and his union, the Council of Supervisors and Administrators, Local 1, AFSA, AFL-CIO (CSA), was the exclusive method for disciplining a tenured pedagogue.

Section 3020 (1), entitled "Discipline of teachers," specifies that "[n]o person enjoying the benefits of tenure shall be disciplined or removed during a term of employment except for just cause and in accordance with the procedures specified in section three thousand twenty-a of this article or in accordance with alternate disciplinary procedures contained in a [CBA] covering his or her terms and conditions of employment" (*see also* Education Law § 3020 [3] ["Notwithstanding any inconsistent provision of law, the procedures set forth in (Education Law § 3020-a) and (Education Law § 2590-j) may be modified or replaced by agreements negotiated between the city school district of the city of New York and any employee organization representing employees or titles that are or were covered by any

1. This provision states as follows:

"(a) *Determination of Probable Cause.* If, after consideration of the public servant's response, the Board determines that there remains probable cause to believe that a violation of the provisions of [the Conflicts of Interest Law] has occurred, and the public servant has not elected to forego the hearing, the Board shall hold or direct a hearing to be held on the record to determine whether such violation has occurred.

"If the public servant is subject to the jurisdiction of a state law provision or collective bargaining agreement which provides for the conduct of a disciplinary hearing by another body, the Board shall refer the matter to the appropriate entity. The hearing shall be conducted in accordance with the rules of that entity.

"The Board may also refer a matter to the public servant's agency if the Board deems the violation to be minor or if other disciplinary charges are pending there against the public servant" (53 RCNY 2-02 [a]).

memorandum of agreement executed by such city school district and (CSA)’’).

Section 3020-a sets out the disciplinary procedures and penalties applicable where charges are brought against “a person enjoying the benefits of tenure as provided in . . . [Education Law § 2590-j].” Where a penalty is imposed, it

“may be a written reprimand, a fine, suspension for a fixed time without pay, or dismissal. In addition to or in lieu of [these] penalties, the hearing officer, where he or she deems appropriate, may impose upon the employee remedial action including but not limited to leaves of absence with or without pay, continuing education and/or study, a requirement that the employee seek counseling or medical treatment or that the employee engage in any other remedial or combination of remedial actions” (Education Law § 3020-a [4] [a]).

Section 2590-j (7) (a) concomitantly specifies that “[n]o member of the teaching or supervisory staff of schools who has served the full and appropriate probationary period prescribed by, or in accordance with law, shall be found guilty of any charges except after a hearing as provided by [Education Law § 3020-a].”

On January 21, 2009, the ALJ denied Rosenblum’s motion, relying on OATH precedent holding that section 2603 (h) (2) of the City Charter did not preclude the Board from bringing an enforcement proceeding in cases where the employing agency elected not to prosecute. The ALJ further opined that section 2603 (h) (6) “also makes plain that the jurisdiction of [COIB] to enforce the Ethics Law is separate and apart from the jurisdiction of an appointing agency to commence a disciplinary proceeding against its employees”; and that the Board’s action was not discipline within the meaning of Education Law §§ 3020 and 3020-a. The ALJ directed that the hearing commence on January 29, 2009.

On January 28, 2009, Rosenblum commenced this CPLR article 78 proceeding, seeking to prohibit the Board and OATH from proceeding with the scheduled administrative trial. Supreme Court granted the petition (2009 NY Slip Op 31073[U] [Sup Ct, NY County 2009]). The judge decided that a fine imposed by the Board would constitute discipline under Education Law § 3020 because section 3020-a’s penalties include a

fine; and that section 2603 (h) (6) did not authorize the Board to proceed against Rosenblum once DOE declined to discipline him and, even if it were otherwise, a state statute trumps a local law. The Board and OATH appealed.

The Appellate Division affirmed, concluding that Supreme Court “properly held that the exclusive avenue to discipline a tenured pedagogue is Education Law § 3020-a, and thus it would be violative of the Education Law to allow an OATH hearing which does not require the same procedural protections” (75 AD3d 426, 427 [1st Dept 2010] [citations omitted]). The court observed that “the fine sought to be imposed . . . is included in the types of discipline specifically enumerated by [Education Law § 3020-a (4) (a)] as penalties” (*id.*). We granted the Board and OATH permission to appeal (16 NY3d 706 [2011]), and now reverse.

II.

Rosenblum argues that Education Law § 3020 (1) and § 3020-a establish the exclusive means to discipline him; a fine, because specified as one of the penalties that might be imposed under section 3020-a (4) (a), constitutes discipline; therefore, COIB does not possess jurisdiction to prosecute him for an alleged violation of the Conflicts of Interest Law since an adverse determination might result in a fine. Alternatively, he interprets section 2603 (h) (2) of the City Charter to divest COIB of jurisdiction where a state law or a CBA provides for the employing agency to conduct disciplinary proceedings against a public servant. In essence, Rosenblum contends the employing agency enjoys veto power over Board action in such circumstances. In his case then, Rosenblum reasons, COIB may not take him to a hearing at OATH because DOE declined to pursue the alleged ethics violation under sections 3020 and 3020-a of the Education Law.

First, we see no reason or precedent for defining “discipline” as broadly as Rosenblum urges. There is no dispute that sections 3020 and 3020-a set out the exclusive means *for DOE* to sanction a tenured pedagogue, including by imposing a fine. It does not follow, however, that COIB may not fine a DOE employee for violating the Conflicts of Interest Law, a separate statutory scheme designed to protect governmental integrity, not to safeguard a tenured pedagogue from arbitrary action by DOE that might adversely affect the terms and conditions of his

employment. While COIB may recommend that DOE suspend or remove a tenured pedagogue from employment for an ethics violation (NY City Charter § 2606 [b]), the Board itself may only levy a fine for the act prompting its recommendation. In our view, then, “discipline” within the meaning of sections 3020 and 3020-a encompasses only job-related penalties that may be imposed upon a tenured pedagogue by his employer—a local school board or, in the case of the City, DOE.²

Interestingly, the words “discipline” and “disciplinary” did not even appear in sections 3020 and 3020-a of the Education Law until 1994, several years after the creation of COIB, when the Legislature changed the title of the former from “Dismissal of teachers” to “Discipline of teachers,” and the title of the latter from “Hearing procedures and penalties” to “Disciplinary procedures and penalties” (*see* L 1994, ch 691, § 2). These and other revisions to sections 3020 and 3020-a codified recommendations of a Moreland Act Commission appointed by Governor Mario Cuomo to study and suggest ways to improve the State’s public school system. The Commission concluded, after extensive public hearings, that the procedures for bringing misconduct charges against tenured teachers “resulted in hearings that were far too expensive and time-consuming . . . estimated to cost in excess of \$80,000, and in many instances [to] take over one year to resolve” (Governor’s Approval Mem, Bill Jacket, L 1994, ch 691).³ Seeking to “balance due process protection for tenured teachers against the need for districts to have an expedient and cost-effective tool for maintaining disciplinary standards,” the Commission recommended several reforms, including replacing the then existing three-member hearing panel in teacher misconduct cases with a single hearing officer empowered “to impose a broad range of penalties, including

2. Because we conclude that the Conflicts of Interest Law is not inconsistent with sections 3020 and 3020-a of the Education Law, we need not address Rosenblum’s argument that in the event of a conflict the latter would necessarily trump the former.

3. Teacher misconduct hearings are apparently even more protracted today: As part of his 2012-2013 executive budget, Governor Andrew Cuomo has proposed legislation to amend sections 3020 and 3020-a yet again so as to reduce backlogs and costs. According to the Governor, “[r]ecent records show that the arbitration process lasts *an average of 653 days*—far exceeding the statutory timeframe of 155 days” (*see* Briefing Book, 2012-2013 Executive Budget and Reform Plan, at 27, available at <http://publications.budget.ny.gov/eBudget1213/fy1213littlebook/BriefingBook.pdf> [emphasis added]).

mandatory remedial action to improve a teacher's performance" (*id.*).⁴

Chapter 691, which originated as part of the Governor's 1994 Legislative Program, thus includes the words "discipline" and "disciplinary" in the titles of sections 3020 and 3020-a respectively to reflect the expanded menu of potential penalties and remedies put in place by the Legislature to carry out the Commission's recommendations, not to preclude public entities other than a tenured pedagogue's employer from seeking sanctions for employee misconduct. As the City points out, no one would seriously suggest, for example, that the district attorney could not prosecute a tenured pedagogue for a crime committed on school grounds simply because DOE might (or declined to) pursue a disciplinary action arising out of the same act. Likewise, COIB may impose a fine on a tenured pedagogue for an ethics violation even though DOE is authorized to penalize this employee pursuant to sections 3020 and 3020-a for the same act.

Second, the text and legislative history of the Conflicts of Interest Law belie the notion that the Board may not fine City employees, such as tenured pedagogues, who are also subject to a State law or CBA providing for disciplinary proceedings.⁵ Such an interpretation would effectively convert the Board from an independent enforcement agency into an investigative and advisory arm of other City agencies. This is inconsistent with a major reason for the 1988 Charter revision—to create COIB as an entity with the power, which its predecessor the Board of Ethics lacked, to commence administrative actions to enforce the Conflicts of Interest Law.

Section 2603 (h) (2) of the Conflicts of Interest Law requires the Board to refer an alleged ethics violation to the public servant's employing agency before holding a hearing, and for that agency to consult with the Board before making a final decision. This certainly makes sense as the employing agency may not otherwise be aware of the circumstances underlying the alleged ethics violation and is free to pursue a wider range of penalties for misconduct than the Board. It does not follow,

4. At the time, an employing board was only authorized to implement a "penalty or punishment, if any, of a reprimand, a fine, suspension for a fixed time without pay or dismissal" (former Education Law § 3020-a [4]).

5. The Board tells us that over 90% of the City's workforce is entitled to the civil service protections afforded by section 3020-a or similar provisions of State law.

though, that the Board is precluded from proceeding if the agency decides not to pursue disciplinary charges against the public servant for an ethics violation. In many cases, the employing agency may consider it more efficient and cost-effective to defer to the Board, especially where the agency concludes that a fine is the only reasonable potential penalty for the misconduct alleged, even if proven. As noted previously, for example, section 3020-a proceedings last, on average, nearly two years (*see* n 3, *supra*). Further, section 2603 (h) (6) of the Conflicts of Interest Law specifically states that the Board is not prevented from acting where the employing agency, in fact, decides to terminate or otherwise discipline a public servant. If the Board may still act when the employing agency has imposed discipline, there is no basis for interpreting the Conflicts of Interest Law as forbidding the Board from acting where the agency has elected not to pursue disciplinary action, especially since such a decision does not connote vindication.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the petition dismissed.

SMITH, J. (dissenting). Education Law § 3020 (1) says: “No person enjoying the benefits of tenure shall be disciplined . . . except . . . in accordance with the procedures specified” in Education Law § 3020-a or a collective bargaining agreement. The only question in this case is whether the fine that the New York City Conflicts of Interest Board (COIB) seeks to impose on petitioner is discipline. I see no escape from the conclusion that it is.

In common sense, of course an employee who is fined by his employer for acting unethically is being disciplined. “Discipline” is the word commonly used to refer to a punishment imposed by an employer on an employee for an infraction of the employer’s rules. (By contrast, criminal punishment is not commonly spoken of as “discipline.” Thus, the analogy that the majority draws between a criminal prosecution and a COIB proceeding [majority op at 432] is inapt.) The majority seems to suggest that only the Department of Education (DOE), not the City, is petitioner’s “employer” (majority op at 431), but that cannot be right. If petitioner were not an employee of the City, he would not be a “public servant” as that term is defined in section 2601 (19) of the New York City Charter, and the COIB would have no jurisdiction over him.

It seems self-evident to me that a fine imposed by one’s employer is a form of discipline, but if there were any doubt it

would be resolved by Education Law § 3020-a, which is titled “Disciplinary procedures and penalties.” The “penalties” are listed in section 3020-a (4) (a), and “a fine” is among them.

A football player who is fined for breaking curfew has been disciplined. Why is the same not true of an assistant principal fined for the conduct at issue here? Suppose the COIB is successful in this case, and petitioner is required to pay a fine. If he is later asked if he has ever been disciplined, and says no, would anyone say that the answer was truthful?

Thus, the Education Law in plain terms gives petitioner immunity from the kind of proceeding the COIB is bringing in this case. Nothing in the City Charter provisions that empower and regulate the COIB alters that conclusion. Section 2603 (h) (2) of the Charter, which provides for hearings by the COIB, says that the COIB:

“shall refer the matter to the appropriate agency if the public servant is subject to the jurisdiction of any state law or collective bargaining agreement which provides for the conduct of disciplinary proceedings, provided that when such a matter is referred to an agency, the agency shall consult with the [COIB] before issuing a final decision.”

This section, if anything, strengthens petitioner’s argument, for it implies that where a “state law or collective bargaining agreement” is applicable it is “the agency” (here, DOE) that should make the “final decision.”

The City relies, as does the majority, on section 2603 (h) (6) of the Charter, which says:

“Nothing contained in this section shall prohibit the appointing officer of a public servant from terminating or otherwise disciplining such public servant, where such appointing officer is otherwise authorized to do so; provided, however, that such action by the appointing officer shall not preclude the board from exercising its powers and duties under this chapter with respect to the actions of any such public servant.”

The City reads this language—reasonably enough—to say that the decision of the DOE (“the appointing officer”) in this case not to proceed against petitioner does not “preclude” the COIB from doing so. While the provision says only that “action” by the appointing officer in terminating or otherwise

disciplining the employee “shall not preclude” a COIB-initiated proceeding, it is fair to infer that a decision *not* to take such action also will not have preclusive effect. Here, however, no one is saying that the DOE’s choice not to proceed against petitioner is preclusive. What precludes discipline by the COIB is the plain language of Education Law § 3020. The Charter provision does not say, and cannot plausibly be read to imply, that the Education Law provision is inapplicable to discipline imposed by the COIB.

As the majority suggests, it may well be more efficient—it may on the whole be highly desirable—for the COIB to be able to proceed against a tenured DOE employee, regardless of whether the DOE thinks discipline is justified. If that is so, then the Legislature made an unwise choice in providing that such employees may be disciplined only as provided in the Education Law or a collective bargaining agreement. But the Legislature did make that choice, and expressed it in plain language, and we should apply the statute as written.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO and FIGOTT concur with Judge READ; Judge SMITH dissents in a separate opinion in which Judge JONES concurs.

Order reversed, etc.

[963 NE2d 1235, 940 NYS2d 534]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v GILBERTO SOSA, Respondent.

Argued January 12, 2012; decided February 14, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 8, 2011. The Appellate Division affirmed a judgment of the Supreme Court (Marcy L. Kahn, J.; *see* 27 Misc 3d 638 [2010]), which had vacated the sentence imposed on defendant on March 26, 2003 of concurrent terms of 10 to 20 years' imprisonment for criminal possession of a controlled substance in the third degree, and 3 to 6 years' imprisonment for criminal possession of a controlled substance in the fourth degree, and resentenced defendant pursuant to CPL 440.46, nunc pro tunc to March 26, 2003, to an aggregate term of seven years' imprisonment to be followed by two years of postrelease supervision.

People v Sosa, 81 AD3d 464, affirmed.

HEADNOTE

Crimes — Sentence — Resentence under Drug Law Reform Act — Exclusion Offenses — Calculation of Look-Back Period

Defendant, who was serving a sentence imposed under the now-repealed Rockefeller Drug Laws, was eligible for resentencing under the Drug Law Reform Act of 2009 (L 2009, ch 56) since his prior violent felony conviction did not occur within the 10-year look-back provision of CPL 440.46 (5) (a), as measured from the date of his drug offense resentence application, and thus did not qualify as an exclusion offense under that provision. The phrase "the preceding ten years" in CPL 440.46 (5) (a) would ordinarily be understood to extend backward from the present, i.e., from the time the resentence application is placed before the motion court, and there is no textual ground for the contention that what was really meant was 10 years preceding the commission of the drug offense for which the defendant is presently incarcerated. The Drug Law Reform Act was intended to afford relief to low-level non-violent drug offenders originally sentenced under a scheme that often mandated inordinately harsh punishment. A defendant's enhanced recidivist sentence should not, because of his or her commission of a violent felony in the objectively distant and ever-receding past, remain irretrievably governed by a generally outmoded sentencing regimen. Moreover, given CPL 440.46 (3)'s express contemplation that the resentencing court consider a defendant's institutional record and prison disciplinary history, time spent incarcerated has a bearing on the resentencing decision and, thus, logically should not be excluded from counting toward a defendant's basic eligibility for sentencing relief. To the extent that the Legislature's definition of the eligible class in an

individual case proves over-inclusive, the proper corrective is achieved by means of the statutorily required exercise of judicial discretion to determine whether relief to an eligible applicant is in the end consonant with the dictates of substantial justice.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 860; AM JUR 2d, Drugs and Controlled Substances § 205.

CARMODY-WAIT 2d, Sentencing Procedures § 203:215.

McKINNEY'S, CPL 440.46 (5) (a).

NY JUR 2d, Criminal Law: Procedure §§ 2927, 3008, 3010.

ANNOTATION REFERENCE

See ALR Index under Drugs and Narcotics; Sentence and Punishment.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: resentenc! /5 drug & exclusion /2 offense & preceding /2 ten /2 year

POINTS OF COUNSEL

Cyrus R. Vance, Jr., District Attorney, New York City (David P. Stromes and Christopher P. Marinelli of counsel), for appellant. I. The 2009 Drug Law Reform Act proscribes resentencing for any offender who has a violent felony conviction within the 10 years preceding the commission of his instant drug felony, excluding time spent incarcerated since the commission of the violent felony offense. (*People v Wright*, 78 AD3d 474, 16 NY3d 801; *People v Cagle*, 7 NY3d 647; *People v Dozier*, 163 AD2d 220, 78 NY2d 242; *People v Collado*, 73 AD3d 608.) II. Both the Criminal Procedure Law and the Drug Law Reform Act of 2009 clearly authorize the People to appeal from a resentence on the ground that the resentencing was invalid as a matter of law. (*People v Then*, 47 AD3d 404, 11 NY3d 527; *People v Rodriguez*, 40 AD3d 512, 9 NY3d 920; *People v Smith*, 23 AD3d 280, 7 NY3d 398; *People v Bautista*, 7 NY3d 838; *People v Laing*, 79 NY2d 166.)

Center for Appellate Litigation, New York City (Barbara Zolot and Robert S. Dean of counsel), for respondent. I. As the Drug Law Reform Act of 2009 does not authorize the People to appeal a grant of resentencing to the Appellate Division, that court's

order must be dismissed, thereby nullifying the basis for the People's appeal to this Court and requiring its dismissal. (*People v Bautista*, 7 NY3d 838; *People v De Jesus*, 54 NY2d 447; *People v Reed*, 276 NY 5; *People v Marra*, 13 NY2d 18; *Matter of State of New York v King*, 36 NY2d 59; *People v Laing*, 79 NY2d 166; *Matter of Santangelo v People*, 38 NY2d 536.) II. Criminal Procedure Law § 440.46 (5) (a)'s plain language and precisely defined tolling period, ameliorative purpose, concern for public safety, and the overwhelming weight of authority compel affirmance of the Appellate Division's look-back rule, which measures "the preceding ten years" from the present, not from the commission date of the drug offense. (*People v Kisina*, 14 NY3d 153; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v Paulin*, 17 NY3d 238; *People v Santiago*, 17 NY3d 246; *People v Lashley*, 83 AD3d 868; *People v Hill*, 82 AD3d 77; *Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662; *Paramount Communications v Gibraltar Cas. Co.*, 90 NY2d 507; *People v Cagle*, 7 NY3d 647; *People v Quinones*, 12 NY3d 116.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Under the Drug Law Reform Act of 2009 (L 2009, ch 56 [codified in relevant part at CPL 440.46] [hereinafter DLRA-3]), certain defendants serving indeterminate sentences imposed pursuant to the now repealed Rockefeller Drug Laws for class B drug felonies may apply for resentencing. The acknowledged purpose of this remedial legislation is to afford relief to low-level, non-violent drug offenders originally sentenced under a scheme that often mandated " 'inordinately harsh punishment' " (see *People v Paulin*, 17 NY3d 238, 244 [2011], quoting Assembly Sponsor's Mem, Bill Jacket, L 2004, ch 738, at 6). The focus of this appeal is upon one threshold condition of eligibility for relief under DLRA-3, namely, that the applicant for resentencing not have committed what is referred to in subdivision (5) of CPL 440.46 as an "exclusion offense." To the extent here relevant, an "exclusion offense" is defined in that subdivision as

"a crime for which the person was previously convicted *within the preceding ten years, excluding any time during which the offender was incarcerated for any reason between the time of commission of the previous felony and the time of commission of*

the present felony, which was: (i) a violent felony offense as defined in section 70.02 of the penal law” (CPL 440.46 [5] [a] [emphasis added]).

The specific difference that occasions this litigation is over the meaning to be attached to the above-quoted definitional phrase “within the preceding ten years.” The People have contended that it means within the 10 years preceding the applicant’s commission of the drug offense upon which resentencing is sought, while defendant has successfully maintained that the vantage for the 10-year look-back is instead the necessarily more recent date of the resentencing application.

Following a jury verdict convicting him of criminal possession of a controlled substance in the third and fourth degrees, based on acts dating to August 24, 2002, defendant was sentenced on March 26, 2003, as a second felony offender, to concurrent indeterminate prison terms running, in the aggregate, from 10 to 20 years. On October 7, 2009, defendant applied for resentencing pursuant to the then recently enacted DLRA-3. The People opposed the application on the ground that defendant was ineligible for the requested relief by reason of his commission of an “exclusion offense”; defendant had been convicted of a violent felony—third degree criminal possession of a weapon—on November 27, 1995, and it was the People’s understanding that that conviction temporally qualified as an exclusion offense under CPL 440.46 (5) (a) because the underlying crime was committed less than 10 years before the 2002 drug crimes for which defendant sought resentencing. Defendant responded that, under the governing statute, the 10-year look-back period extends from the date of the DLRA-3 resentencing application, not the date of the crime or crimes for which sentencing is sought.

The sentencing court, accepting defendant’s contention as to the point from which the look-back should be measured, found him eligible for resentencing¹ and, in the absence of any objection to the application upon the ground that substantial justice precluded relief (*see* CPL 440.46 [3] [incorporating by reference L 2004, ch 738, § 23 (DLRA of 2004)]), resented defendant,

1. It was, in this connection, not disputed that, looking back from the date of defendant’s sentencing application, ultimately deemed by the court to have been filed on January 7, 2010, defendant’s 1995 violent felony fell outside of the 10-year statutory period, even after excluding time from the period’s calculation, as the statute directs, by reason of defendant’s term of incarceration for his prior felony.

as a second felony offender with a predicate violent felony conviction, to an aggregate prison term of seven years.

The Appellate Division affirmed (81 AD3d 464 [1st Dept 2011]), agreeing with defendant that the critical 10-year retrospect should extend from the date of the resentencing application, a conclusion by now reached as well by each of the remaining departments (*see People v Lashley*, 83 AD3d 868, 868 [2d Dept 2011]; *People v Carter*, 86 AD3d 653, 654 [3d Dept 2011]; *People v Hill*, 82 AD3d 77, 79 [4th Dept 2011]). A Judge of this Court granted the People's application for leave to appeal, and we now affirm.

The result of adopting the People's reading of CPL 440.46 (5) (a), which functions to exclude from the 10-year look-back calculation any period of incarceration stemming prospectively from the non-violent drug felony conviction as to which sentencing relief is sought, would be to render permanently ineligible for resentencing not only any defendant who had committed a violent felony within 10 years of the crime for which resentencing is sought (which crime to come within the statute's purview must have been committed before January 13, 2005 [CPL 440.46 (1)], thus extending the reach of the look-back under the People's theory, at a minimum, to January 13, 1995), but any otherwise eligible defendant whose prison term subsequent to a prior violent felony operated under the statutory toll to bring that prior violent felony within the 10-year look-back. The Legislature could, of course, have excluded any defendant with a prior violent felony from the statute's remedial ambit, but did not do so. While it did categorically exclude adjudicated violent predicate felons (*see* CPL 440.46 [5] [b]), it allowed in its definition of "exclusion offense"—one, which contrary to the premise of the dissent does not turn upon the predicate relationship between the prior (violent) and subsequent (drug) felony²—that certain incarcerated non-violent drug felony defendants with temporally remote violent felony convictions would be eligible for DLRA-3 resentencing. We would not hesitate to enforce an intention by the Legislature severely to limit that purportedly

2. The statute is, in this connection, quite clear when it premises ineligibility for DLRA-3 relief not simply upon the commission of a predicate felony but on "a predicate felony conviction *for an exclusion offense*" (CPL 440.46 [5] [emphasis added]) and then goes on separately to define an "exclusion offense" as, *inter alia*, one which must have occurred "within the preceding ten years," not "10 years preceding the [present] drug felony," as the dissent posits, a time frame nowhere referred to in the statute, even in its tolling provision (*see* discussion *infra* at 441).

benefitted class, even to the virtually plenary extent advocated by the People, if that limitation, although arguably at odds with the broad objectives of the remedial enactment of which it was part, were clearly expressed, but it is not.

Indeed, we see no textual ground for the People's contention that when the statute describes the look-back simply as "the preceding ten years"—a period that would ordinarily be understood to extend backward from the present, or, from the perspective of the motion court, from the time the resentence application is placed before it—what was really meant was the dramatically different formulation of which the Legislature was doubtless capable (*see e.g.* Penal Law § 70.04 [1] [b] [iv]), namely, 10 years preceding the commission of the drug offense for which the defendant is presently incarcerated. Although an argument is made to the effect that the use of the phrase, "preceding ten years," begs a question as to what is preceded, which question must be answered by reference to the entirely distinct phrase, "time of commission of the present felony," found in the statute's subsequent toll provision, we are not persuaded, either of the need for clarification or of the method. Even if "the preceding ten years" were an ambiguous expression, which it is not, its meaning as to the point of retrospect would not be properly explained by the circumstance that the statute in a different connection—that of defining the toll applicable in calculating the actual extent of the look-back—refers to the "time of commission of the present felony."

Somewhat more substantial, but only from a policy perspective and not as a matter of statutory interpretation, is the People's argument that an anomaly results from construing the statute as the Appellate Division has. Relying upon our observation in *People v Cagle* (7 NY3d 647, 651 [2006]) that time spent serving a sentence of imprisonment does not demonstrate a felon's ability to live within the norms of civil society, the People contend that no period of incarceration, either before or after the commission of the present (drug) felony, should be included in the measurement of the 10-year look-back. *Cagle*, however, involved a look-back to determine eligibility for enhanced punishment under a recidivist sentencing statute. There was no issue raised respecting the Legislature's undoubted prerogative to determine, in the very different context of defining eligibility for resentencing for the purpose of bringing presumptively harsh sentences into line with current norms, that the often lengthy periods spent in prison under sentences precisely of the

sort targeted by the remedial legislation should not effectively preclude a defendant from relief. To be clear, the question now presented is not whether this defendant or any other will be punished as a predicate felon; defendant was both originally sentenced and resentenced as such. The only question is whether a defendant's enhanced recidivist sentence should, because of his or her commission of a violent felony in the objectively distant and ever-receding past, remain irretrievably governed by a generally outmoded sentencing regimen.

The Legislature, we believe, has addressed this question textually, both by flatly providing that the relevant look-back period is "the preceding ten years," excluding from the calculation thereof only pre-drug felony incarceration time, and by unmistakably manifesting its judgment that the designedly rehabilitative course of a defendant's incarceration subsequent to conviction for a low-level, non-violent drug felony may improve and be probative of his or her capacity for a responsible life at liberty. CPL 440.46 (3) expressly contemplates the resentencing court's consideration of the defendant's "institutional record of confinement" and prison disciplinary history. The Legislature's requirement of such consideration is not compatible with the view that time spent incarcerated is categorically without bearing upon, and thus logically to be excluded from counting toward, a defendant's basic eligibility for sentencing relief under DLRA-3.

Even if there were some arguable anomaly in treating the reformatory significance of an incarceratory course stemming from a prior violent felony differently from one stemming from a subsequent non-violent drug felony—and really there is none—it would remain that the law, as it is written, countenances the disparity and is not properly rewritten to accord more perfectly with judicial or prosecutorial notions of consistency. This is particularly so where, as here, the legislation at issue of necessity involves a complex balancing of several sets of compelling and in some respects competing concerns. To be sure, one of those is public safety, but another is that, as the experience with the Rockefeller Drug Laws has demonstrated, there are extraordinary public costs, both human and economic, to the extended incarceration of low-level drug offenders. The Legislature has evidently determined that a prior, temporally distant violent felony should not itself exclude an otherwise eligible defendant from DLRA-3 relief. This is plainly consistent with the legislation's necessarily broad remedial objectives in

addressing the sequelae of the prior sentencing regimen and should not be effectively nullified as a matter of statutory interpretation. To the extent that the Legislature's definition of the eligible class in the individual case proves over-inclusive, the proper corrective is achieved by means of the statutorily required exercise of judicial discretion to determine whether relief to an eligible applicant is in the end consonant with the dictates of substantial justice (*see* CPL 440.46 [3] [incorporating by reference L 2004, ch 738, § 23]; *and see e.g. People v Brown*, 26 Misc 3d 1204[A], 2010 NY Slip Op 50000[U] [2010]).

Accordingly, the order of the Appellate Division should be affirmed.

PIGOTT, J. (dissenting). On November 27, 1995, defendant was convicted of criminal possession of a weapon in the third degree (Penal Law § 265.02 [4]), a class D violent felony, and was sentenced to an indeterminate term of 2-4 years. Defendant was arrested for drug-related offenses on August 24, 2002. In March 2003, he was convicted of criminal possession of a controlled substance in the third and fourth degrees, sentenced to concurrent indeterminate terms of 10-20 years and 3-6 years, respectively, and adjudicated a predicate felon based upon his weapons possession conviction.

Defendant moved for resentencing under the Drug Law Reform Act of 2009 (2009 DLRA), asserting that he did not have a “predicate felony conviction for an exclusion offense” which, as relevant here, is defined as:

“(a) *a crime for which the person was previously convicted within the preceding ten years, excluding any time during which the offender was incarcerated for any reason between the time of the commission of the previous felony and the time of the commission of the present felony, which was: (i) a violent felony offense as defined in section 70.02 of the penal law*” (CPL 440.46 [5] [a] [i] [emphasis supplied]).

Because, in my view, the phrase “within the preceding ten years” refers to the 10 years preceding the drug felony for which resentencing is sought, defendant has a predicate felony conviction for an “exclusion offense” and is not entitled to resentencing.

The Penal Law utilizes the term “predicate felony conviction” to define the relationship between a prior conviction and

an instant one (*see* Penal Law § 70.06 [1] [b] [ii]). In that context, the only natural reading of CPL 440.46 (5) (a) is that the 10-year look-back period should be measured from the date of the “present felony” (i.e., the drug offense for which defendant seeks resentencing). Notably, the term “present felony” is similarly used in Penal Law § 70.06 (1) (b) to refer to the instant felony from which the court is expected to measure in determining whether a defendant has a predicate felony conviction.

It is also significant that CPL 440.46 (5) (a)’s tolling provision references a definitive time period—one that runs from the time of the “commission of the previous felony and the time of the commission of the present felony,” excluding periods of incarceration. There is no express tolling provision for the time a defendant spends incarcerated on the drug offense for which he seeks resentencing, which, in my view, evinces the Legislature’s intent that the only relevant time period for tolling purposes was that time between the commission of the violent felony offense and the drug offense. Under this interpretation, a post-incarceration tolling provision would have been unnecessary where the 10-year look-back period runs from the date of the commission of the drug offense for which defendant seeks resentencing.

Defendant interprets the term “predicate felony conviction” as referring to the relationship between the prior conviction and the date of the application for resentencing. There is no support in either the Penal Law or the CPL for that interpretation and, specifically, there is no reference in the statute that the 10-year look-back period should run from the date of the application. Such an interpretation encourages the kind of gamesmanship that occurred here, where defendant, upon initially learning that he fell within the 10-year look-back period because he moved for resentencing too early (thereby rendering him ineligible), asked Supreme Court to deem his application as being submitted at a later date. The court complied with this request, which, in my view underscores the fallacy of defendant’s argument, namely, that as long as a defendant with a violent felony offense spends enough time incarcerated and does not commit a violent felony while incarcerated, he will eventually be able to seek resentencing.

I agree with the majority that the 2009 DLRA is remedial in nature, but only for certain classes of people sentenced under the Rockefeller Drug Laws: those who have never committed a second violent felony offense or a persistent violent felony

offense (*see* CPL 440.46 [5] [b]), and those convicted of a violent felony offense committed more than 10 years prior to the commission of the drug offense upon which they seek resentencing, “excluding any time during which [they were] incarcerated for any reason” (CPL 440.46 [5] [a]). When it enacted the 2009 DLRA, the Legislature’s intent was to make resentencing available to a finite number of individuals who, due to their non-violent histories or their having committed violent felony offenses sufficiently remote in time, were entitled to partake in these reforms. The underlying intent of the DLRA reforms was not, in my view, to permit drug offenders with violent histories to reap the benefits of these reforms on a “rolling” basis by counting the time they are incarcerated on the drug felony offense as part of the 10-year look-back period.

Accordingly, I would reverse the order of the Appellate Division.

Judges CIPARICK, GRAFFEO and JONES concur with Chief Judge LIPPMAN; Judge PIGOTT dissents and votes to reverse in a separate opinion in which Judges READ and SMITH concur.

Order affirmed.

[963 NE2d 1250, 940 NYS2d 549]

In the Matter of TERRACE COURT, LLC, Appellant, v NEW YORK STATE DIVISION OF HOUSING AND COMMUNITY RENEWAL, Respondent. ROBERT KATEL et al., Intervenors-Respondents.

Argued January 3, 2012; decided February 14, 2012

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 28, 2010. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, New York County (Jane S. Solomon, J.; op 2008 NY Slip Op 32125[U] [2008]), entered in a proceeding pursuant to CPLR article 78, which had denied a petition to annul respondent's determination denying a major capital improvement rent increase for five apartments in petitioner's building, and dismissed the proceeding.

Matter of Terrace Ct., LLC v New York State Div. of Hous. & Community Renewal, 79 AD3d 630, affirmed.

HEADNOTES

Landlord and Tenant — Rent Regulation — Major Capital Improvement Rent Increase — Permanent Exemption for Certain Apartments

1. In ruling that certain apartments in petitioner's residential building were permanently exempted from being subjected to a major capital improvement (MCI) rent increase while other apartments would have their rent increased, respondent State Division of Housing and Community Renewal (DHCR) did not abandon the principle that administrative agencies are required to follow their own precedent and that deviations from precedent should be accompanied by an explanation for the modification so that the agency's decision may be properly reviewed. DHCR has, in several instances, granted an MCI rent increase along with permanent exemptions for particular apartments, rather than issuing temporary suspensions for the affected apartments.

Landlord and Tenant — Rent Regulation — Major Capital Improvement Rent Increase — Permanent Exemption for Certain Apartments

2. In a proceeding to review a determination of respondent State Division of Housing and Community Renewal (DHCR) granting petitioner a major capital improvement (MCI) rent increase for some apartments in its building but permanently exempting five apartments from the increase due to water damage found to be related to the MCI work, temporary suspensions of the MCI rent increase were not mandated by Rent Stabilization Code (9 NYCRR) § 2522.4 (a) (13). That regulation provides that DHCR should not grant an MCI rent adjustment if the owner "is not maintaining all required services";

however, the agency may grant the application “upon condition that such services will be restored within a reasonable time.” DHCR’s reading of “all required services” as referencing services that are unrelated to the MCI project is entitled to deference and cannot be said to be irrational. In the overall context of the MCI adjustment process, DHCR is supposed to grant a rent modification if an MCI project inures to the benefit of every tenant in a building. However, subdivision (a) (13) of the regulation, in contrast, envisions situations, unlike the situation here, where an MCI application satisfies that requirement but the landlord has failed to provide other “required services” unrelated to the MCI project; under those circumstances the regulation permits DHCR to encourage the restoration of those services by making that action a necessary condition of the owner’s recoupment of the funds expended on the MCI project. Because it has not been alleged that petitioner deprived its tenants of required services unrelated to the MCI work, the regulation had no bearing on petitioner’s application for a rent increase.

Landlord and Tenant — Rent Regulation — Major Capital Improvement Rent Increase — Permanent Exemption for Certain Apartments

3. It was not arbitrary or capricious for respondent State Division of Housing and Community Renewal (DHCR) to grant petitioner a major capital improvement (MCI) rent increase while at the same time permanently exempting five apartments from the obligation to pay additional rent due to water damage found to be related to the MCI work. DHCR is not limited to temporarily suspending an MCI rent increase and its choice to permanently exempt an apartment in certain situations is deferentially reviewed by the courts to determine whether there is a rational basis for the decision and, if so, DHCR’s conclusion must be upheld even if a court would have reached a different result. Here, DHCR found that, at the time the MCI application was submitted, the five apartments at issue had defective conditions caused by moisture attributable to the MCI project and that those conditions continued in existence when DHCR inspected the apartments approximately 16 months later. On those facts, it was reasonable for the agency to conclude that those apartments did not benefit from the MCI project since they had been adversely affected by the construction work. As such, there was a sound basis for DHCR to exclude the five apartments from having to contribute to the cost of the MCI project. Although not cited as a basis for its decision here, if DHCR considers whether an owner has demonstrated good faith in diligently addressing the problems caused by an MCI, DHCR should articulate this circumstance in the MCI order to allow for adequate review by the courts.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Landlord and Tenant § 913.
9 NYCRR 2522.4 (a) (13).
NY JUR 2d, Landlord and Tenant §§ 455, 457, 459.
NEW YORK REAL PROPERTY SERVICE § 74:93.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Rent.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: rent /3 increase /s major /2 capital /2 improvement
& permanent! /4 exempt!

POINTS OF COUNSEL

Duane Morris LLP, New York City (*Thomas R. Newman* of counsel), *Wenig Saltiel & Johnson LLP*, Brooklyn (*Meryl L. Wenig* and *Arthur Birnbaum* of counsel), and *Jacob Haberman*, New York City, for appellant. I. It was arbitrary and an abuse of discretion as a matter of law, for the New York State Division of Housing and Community Renewal, contrary to its own precedents, to deny appellant, *in perpetuity*, the right to the statutorily mandated, building-wide, major capital improvement (MCI) rent increase for five of the rent-stabilized apartments, and not permit appellant to correct the small portion of the work found to be defective and then obtain the granted MCI increase, prospectively only. (*Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *300 Gramatan Ave. Assoc. v State Div. of Human Rights*, 45 NY2d 176; *Matter of Purdy v Kreisberg*, 47 NY2d 354; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Jensen v Union Ry. Co.*, 260 NY 1; *Matter of IG Second Generation Partners L.P. v New York State Div. of Hous. & Community Renewal, Off. of Rent Admin.*, 10 NY3d 474.) II. The majority in the Appellate Division misconstrued Rent Stabilization Code (9 NYCRR) § 2522.4 (a) (13), on which appellant relies, as not requiring the New York State Division of Housing and Community Renewal to apply the building-wide major capital improvement increase which it had granted to the five exempted apartments, prospectively only, after the problems that led to their exemption are corrected. (*Matter of Residential Mgt. v Division of Hous. & Community Renewal*, 234 AD2d 154; *Matter of Versailles Realty Co. v New York State Div. of Hous. & Community Renewal*, 76 NY2d 325; *Matter of Ansonia Residents Assn. v New York State Div. of Hous. & Community Renewal*, 75 NY2d 206; *Matter of Langham Mansions, LLC v New York State Div. of Hous. & Community Renewal*, 76 AD3d 855.)

Gary R. Connor, General Counsel, New York State Division of Housing and Community Renewal, New York City (*Christina S. Ossi* of counsel), for respondent. The New York State Division of Housing and Community Renewal properly exercised its discretion to permanently exempt five apartments from a major capital improvement (MCI) rent increase because the record

shows that the defective conditions remained uncorrected more than 1½ years after the MCI application was filed. (*Matter of Versailles Realty Co. v New York State Div. of Hous. & Community Renewal*, 76 NY2d 325; *Matter of Ansonia Residents Assn. v New York State Div. of Hous. & Community Renewal*, 75 NY2d 206; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Residential Mgt. v Division of Hous. & Community Renewal*, 234 AD2d 154; *Simkowitz v New York State Div. of Hous. & Community Renewal*, 256 AD2d 51; *Festa v Leshen*, 145 AD2d 49; *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144; *Matter of Dworman v New York State Div. of Hous. & Community Renewal*, 94 NY2d 359; *Matter of Empress Manor Apts. v New York State Div. of Hous. & Community Renewal*, 147 AD2d 642; *Matter of Stork Rest. v Boland*, 282 NY 256.)

Collins, Dobkin & Miller, LLP, New York City (Seth A. Miller of counsel), for intervenors-respondents. New York State Division of Housing and Community Renewal reasonably exercised its discretion in deciding that defects in the pointing work at issue should result in denying any rent increase for the affected tenants. (*Matter of Versailles Realty Co. v New York State Div. of Hous. & Community Renewal*, 76 NY2d 325; *Matter of Riverton Assoc. v New York State Div. of Hous. & Community Renewal*, 15 AD3d 225; *Matter of West Vil. Assoc. v Division of Hous. & Community Renewal*, 277 AD2d 111; *Matter of Metropolitan Life Ins. Co. v New York State Div. of Hous. & Community Renewal*, 235 AD2d 354; *Matter of Cenpark Realty Co. v New York State Div. of Hous. & Community Renewal*, 257 AD2d 543; *Matter of Ansonia Residents Assn. v New York State Div. of Hous. & Community Renewal*, 75 NY2d 206; *Matter of Clermont York Assoc. v Lynch*, 271 AD2d 262; *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144; *Matter of Von Bulow*, 63 NY2d 221; *Simkowitz v New York State Div. of Hous. & Community Renewal*, 256 AD2d 51.)

Himmelstein, McConnell, Gribben, Donoghue & Joseph, New York City (David Hershey-Webb of counsel), for New York State Tenants & Neighbors Coalition, Inc. and another, amici curiae. The court below correctly held that the New York State Division of Housing and Community Renewal rationally exercised its discretion in permanently exempting five apartments where the major capital improvement pointing and waterproofing work was not completed at the time the application was filed. (*Drucker*

v Mauro, 30 AD3d 37; *390 W. End Assoc. v Harel*, 298 AD2d 11; *Matter of ATM One v Landaverde*, 2 NY3d 472; *Matter of Gelston v New York State Div. of Hous. & Community Renewal*, 177 Misc 2d 431; *Manocherian v Lenox Hill Hosp.*, 84 NY2d 385; *Roberts v Tishman Speyer Props., L.P.*, 62 AD3d 71, 13 NY3d 270; *Simkowitz v New York State Div. of Hous. & Community Renewal*, 256 AD2d 51; *Matter of Whitehouse Estates v New York State Div. of Hous. & Community Renewal*, 5 AD3d 190; *Matter of Langham Mansions, LLC v New York State Div. of Hous. & Community Renewal*, 76 AD3d 855.)

Borah, Goldstein, Altschuler Nahins & Goidel, P.C., New York City (Paul N. Gruber and David B. Carera of counsel), for Community Housing Improvement Program of New York City and another, amici curiae. Permitting an owner to receive a major capital improvement increase but suspending its collection in order to address individual isolated apartment issues is consistent with New York State Division of Housing and Community Renewal policy, furthers the purpose of the rent laws and represents sound policy. (*Matter of Langham Mansions, LLC v New York State Div. of Hous. & Community Renewal*, 76 AD3d 855; *Matter of Weinreb Mgt. v New York State Div. of Hous. & Community Renewal*, 305 AD2d 207; *Matter of Peckham v Calogero*, 12 NY3d 424; *Matter of Dworman v New York State Div. of Hous. & Community Renewal*, 94 NY2d 359; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588; *Matter of Lantry v State of New York*, 6 NY3d 49; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *Matter of Carol Mgt. Corp. v Commissioner of State of N.Y. Div. of Hous. & Community Renewal*, 140 Misc 2d 673; *Sutherland v WP Owners Corp.*, 245 AD2d 382.)

OPINION OF THE COURT

GRAFFEO, J.

In this appeal we consider whether the Division of Housing & Community Renewal (DHCR) is authorized to grant a major capital improvement rent increase while at the same time permanently exempting particular apartments from the obligation to pay additional rent when circumstances warrant. We hold that DHCR has been granted such authority and, on this record, it was not arbitrary or capricious for DHCR to permanently exempt five apartments.

Petitioner Terrace Court, LLC is the owner of a residential apartment building located at 202 Riverside Drive in Manhattan. The building contains 91 apartments, 37 of which are rent

regulated. Terrace Court spent approximately \$1.2 million to upgrade the building, which project involved pointing work and the replacement of masonry, lintels and parapets.

An owner of rent-regulated apartments may seek to pass along the costs of a “major capital improvement” (MCI) to its tenants by filing an application with DHCR once the work is completed (*see* Rent Stabilization Law of 1969 [Administrative Code of City of NY] § 26-511 [c] [6] [b]; Rent Stabilization Code [9 NYCRR] § 2522.4 [a] [2] [i]). In May 2004, Terrace Court applied to DHCR to increase the rents of its regulated apartments on the basis that the construction project qualified as an MCI. It sought an additional \$42.58 per month for each room in the 37 apartments. Some tenants objected to the proposal because the construction work had resulted in water from the exterior of the building seeping into their apartments and these conditions had not been rectified.

The tenants’ association sent affidavits to DHCR, including a report from an architect who inspected the building and found that the leaks were consistent with water intruding from outside the building. The association also informed DHCR that the Department of Buildings issued a violation to Terrace Court in November 2004 regarding water-damaged apartments and alleged that the owner had not adequately performed the work on the building’s facade. Terrace Court maintained that the project had been properly completed (it submitted reports from its experts to corroborate this claim) and that, in any event, it had addressed the tenants’ complaints. The owner also advised DHCR that the violation from the Department of Buildings had been dismissed because the water in the identified apartments had been caused by a bathroom leak on an upper level of the building.

In September 2005, approximately 16 months after submission of the MCI application, a DHCR inspector and a Terrace Court employee inspected five allegedly damaged apartments. Each of these residences had walls in various states of disrepair and exhibited staining, discoloration, blistering or cracking. Actual moisture was detected in two of the apartments.

The Rent Administrator granted Terrace Court’s MCI application in December 2005 and raised the monthly rents by \$40.20 per room. The order, however, permanently exempted the five inspected apartments from the increase based on the tenants’ complaints and the agency’s inspection. Terrace Court

filed a petition for administrative review (PAR) challenging the inspector's findings and claiming that DHCR lacked the authority to permanently exempt the five apartments. It asserted that the increases related to those residences should have been temporarily suspended until the problems were resolved. DHCR denied the PAR and determined that the permanent exemption for the five apartments was appropriate because the water conditions "existed in the apartments when work was completed just prior to the owner's filing of the application for an MCI rent increase" and the apartments still exhibited water damage at the time of the DHCR inspection.

Terrace Court then commenced this CPLR article 78 proceeding, asserting that it was arbitrary and capricious for DHCR to permanently exempt the five apartments from the rent adjustment. The tenants of the exempted apartments intervened in the proceeding and Supreme Court denied the petition. The court concluded that the imposition of permanent exemptions was supported by DHCR's "determination that the pointing work was not done effectively for the five exempted apartments" (2008 NY Slip Op 32125[U], *5 [2008]).

The Appellate Division affirmed, with two Justices dissenting (79 AD3d 630 [1st Dept 2010]). It held that DHCR acted rationally and did not abuse its discretion as there was ample proof that the pointing work had not been performed properly with regard to the exempted apartments. The court found that no regulation, DHCR policy or judicial precedent limited the agency to denying an MCI increase in its entirety or granting a temporary suspension of the adjustment. The Appellate Division further observed that there can be instances in which DHCR may have "ample reason to believe that [a] landlord would make (or had made) the necessary repairs in a diligent fashion" but that, on the record in this case, the agency "did not believe that [Terrace Court] intended in good faith to address the situation, especially after it vociferously denied the existence of a problem and then engaged in unsuccessful efforts to fix it" (79 AD3d at 635).

The dissenters found no rational basis for the permanent exemption of the five apartments because such a determination was alleged to be inconsistent with DHCR's preexisting policy of temporarily suspending an MCI increase for apartments until necessary repairs are made and, in this case, the agency had not provided an adequate justification for departing from that practice.

Terrace Court appealed to this Court as of right and now challenges DHCR's decision to permanently exempt the five apartments as arbitrary and capricious, and violative of the agency's settled policy to temporarily suspend MCI increases until repairs are completed. According to the owner, temporary suspensions are mandated by a regulation and DHCR's action was unreasonable as a matter of law in the absence of an explanation by the agency regarding its departure from precedent.

It is true, as a general proposition, that administrative agencies are required to follow their own precedent (*see e.g. Matter of Lantry v State of New York*, 6 NY3d 49, 58 [2005]) and an agency that deviates from its established rule must provide an explanation for the modification so that a reviewing court can "determine whether the agency has changed its prior interpretation of the law for valid reasons, or has simply overlooked or ignored its prior decision" (*Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516, 520 [1985]). The failure to provide a justification for the change requires reversal even if there is substantial evidence to support the agency's determination (*see id.*).

[1] Here, DHCR did not abandon this principle as its prior determinations in similar cases were not restricted to temporary suspensions. There have been at least several instances where the agency granted an MCI rent increase along with permanent exemptions for particular apartments, rather than issuing temporary suspensions.¹ In one such case, DHCR disagreed with the Rent Administrator's decision to temporarily suspend an MCI increase and instead imposed permanent exemptions.² Hence, the underlying premise of Terrace Court's contention is without merit and we reject its attempt to distinguish DHCR precedent recognizing the availability of permanent exemptions.

[2] Nor were temporary suspensions of the MCI increase mandated by Rent Stabilization Code (9 NYCRR) § 2522.4 (a) (13). This regulation provides, in pertinent part, that DHCR

1. *See e.g. Matter of Various Tenants of 315 W. 57th St.*, DHCR Admin Review Docket No. ED 430065-RT et al., at 3; *Matter of Clermont Tenants Assn.*, DHCR Admin Review Docket Nos. UA410049RT and UD410012RO, at 3 (Oct. 8, 2008); *Matter of Sunden*, DHCR Admin Review Docket Nos. BF 210190-RT & BF 230079-RT, at 2; *Matter of Tenants of 27 W. 96th St. New York, NY*, DHCR Admin Review Docket No. SJ430047RT, at 2 (July 10, 2000).

2. *See Matter of Tenants of 27 W. 96th St. New York, NY*, DHCR Admin Review Docket No. SJ430047RT, at 2 (July 10, 2000).

should not grant an MCI rent adjustment if the owner “is not maintaining all required services,” however, the agency may grant the application “upon condition that such services will be restored within a reasonable time.” Although Terrace Court believes that “all required services” encompasses water damage repairs, DHCR interprets the phrase as referencing services that are unrelated to the MCI project. Since an agency’s interpretation of its own regulation is entitled to deference (*see e.g. Matter of IG Second Generation Partners L.P. v New York State Div. of Hous. & Community Renewal, Off. of Rent Admin.*, 10 NY3d 474, 481 [2008]), we cannot say that DHCR’s reading of subdivision (a) (13) is irrational. In the overall context of the MCI adjustment process, DHCR is supposed to grant a rent modification if an MCI project inures to the benefit of every tenant in a building (*see Rent Stabilization Law [Administrative Code of City of NY] § 26-511 [c] [6]; Rent Stabilization Code [9 NYCRR] § 2522.4 [a] [2] [i] [c]; Matter of Riverside Equities v New York State Div. of Hous. & Community Renewal*, 292 AD2d 313, 313-314 [1st Dept 2002]). Subdivision (a) (13) of the regulation, in contrast, envisions situations where (unlike here) an MCI application satisfies that requirement but the landlord has failed to provide other “required services” unrelated to the MCI project. When that occurs, subdivision (a) (13) permits DHCR to encourage the restoration of those services by making that action a necessary condition of the owner’s recoupment of the funds expended on the MCI project. Because it has not been alleged that Terrace Court deprived its tenants of required services unrelated to the MCI work, the regulation has no bearing on this case.

[3] It is therefore apparent that DHCR is not limited to temporarily suspending an MCI rent increase; the agency may permanently exempt an apartment in certain situations. Its choice is deferentially reviewed by the courts to determine whether there is a rational basis for the decision and, if so, DHCR’s conclusion must be upheld even if a court would have reached a different result (*see e.g. Matter of Peckham v Calogero*, 12 NY3d 424, 431 [2009], citing *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 231 [1974]).

In light of this standard of review, we hold that DHCR acted rationally in this case. It found that, at the time the MCI application was submitted, the five apartments at issue had defective conditions caused by moisture attributable to the MCI

project and that those conditions continued in existence when DHCR inspected the apartments approximately 16 months later. On these facts, it was reasonable for the agency to conclude that those apartments did not benefit from the MCI project since they had been adversely affected by the construction work. As such, there was a sound basis for DHCR to exclude the five apartments from having to contribute to the cost of the MCI project. Consequently, under these circumstances, it was neither arbitrary nor capricious for DHCR to order permanent exemptions from the MCI adjustment rather than temporary suspensions.³

DHCR claims that one of the relevant considerations in these situations is whether an owner has demonstrated good faith in diligently addressing the problems caused by an MCI. The agency apparently reasons that an owner who does so is more likely to remedy a defective condition (justifying a temporary suspension of the rent increase), whereas an owner who denies the existence of MCI-related problems or does not undertake repairs within a reasonable amount of time is unlikely to extend the benefits of the project to the affected apartments (thereby justifying a permanent exemption from the MCI adjustment). DHCR maintains that this rationale is relevant here because Terrace Court consistently denied that the MCI project caused the water damage and it did not remedy the defects during the 16-month period when the MCI application was pending. But the agency's order did not cite this as a basis for its decision and we therefore do not consider it (*see e.g. Matter of John P. v Whalen*, 54 NY2d 89, 97 n 4 [1981]). In future cases where this circumstance is relevant, DHCR should articulate it in the MCI order to allow for adequate review by the courts.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

SMITH, J. (concurring). I join the Court's unanimous opinion, but with some misgivings.

There are a number of cases (including *Matter of Little* [DHCR Admin Review Docket No. NC430029RP et al. (Aug. 2, 1999)]; *Matter of Bourdeau* [DHCR Admin Review Docket No.

3. The fact that the five apartments did not benefit from the MCI project theoretically would have permitted DHCR to deny Terrace Court's application in its entirety (*see* Rent Stabilization Code [9 NYCRR] § 2522.4 [a] [2] [i] [c]) and the agency's decision to take less extreme action was not unreasonable as a matter of law.

TK230075RT (Mar. 9, 2006)]; and *Matter of Papamichael Realty* [DHCR Admin Review Docket No. UJ130059RO (May 11, 2007)]), in which DHCR has ruled that a rent increase based on a major capital improvement should be suspended as to certain apartments until particular problems are fixed. There are also a number of cases (including this one and those cited in footnote 1 of the Court's opinion), in which DHCR has permanently exempted certain apartments from the increase. I accept the idea that both remedies are sometimes appropriate, and that DHCR has discretion to choose between them. What troubles me is that it is not easy to tell from DHCR's decisions on what basis it is making the choice.

In this case, DHCR's opinion is particularly unenlightening. The Commissioner says that the exemption should be permanent because various unsatisfactory conditions "existed in the apartments when work was completed just prior to the owner's filing of the application for an MCI rent increase." But is it not true in every case involving either a temporary or permanent exemption that a problem existed when the rent increase was applied for?

DHCR has a hard job, and courts should not make it harder by nit-picking. For this reason I join my colleagues in holding that the permanent exemption here was justified by the record. But I hope DHCR will do a better job in the future of explaining the policies and principles that guide its decisions to make exemptions from rent increases either temporary or permanent.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur with Judge GRAFFEO; Judge SMITH concurs in a separate opinion.

Order affirmed, with costs.

[963 NE2d 1241, 940 NYS2d 540]

LESLIE KAHN, Appellant, v NEW YORK CITY DEPARTMENT OF
EDUCATION et al., Respondents.

In the Matter of DOREEN NASH, Appellant, v THE BOARD OF
EDUCATION OF THE CITY SCHOOL DISTRICT OF THE CITY OF
NEW YORK et al., Respondents.

Argued January 11, 2012; decided February 14, 2012

SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 14, 2010. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Alice Schlesinger, J.; op 26 Misc 3d 366 [2009]), entered in a proceeding pursuant to CPLR article 78, which had denied respondents' motion to dismiss the petition challenging the termination of petitioner's probationary employment, and (2) granted the motion.

APPEAL, in the second above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 8, 2011. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, New York County (Marilyn Schafer, J.; op 2009 NY Slip Op 32531[U] [2009]), entered in a proceeding pursuant to CPLR article 78, which had (1) denied the petition seeking to annul respondents' determination terminating petitioner's probationary employment as a school secretary and to direct respondents to reinstate her employment with back pay and interest, and (2) granted respondents' cross motion to dismiss the proceeding.

Kahn v New York City Dept. of Educ., 79 AD3d 521, affirmed.

Matter of Nash v Board of Educ. of the City School Dist. of the City of N.Y., 82 AD3d 470, affirmed.

HEADNOTE

Limitation of Actions — Four-Month Statute of Limitations — Challenge to Termination of Probationary Public School Employment

The proceedings by petitioners challenging the termination of their probationary employment at respondent New York City Department of Education, brought more than four months after the dates when their probationary service ended but within four months after petitioners exhausted an available

internal appeal procedure, were time-barred under CPLR 217 (1). As *Matter of Frasier v Board of Educ. of City School Dist. of City of N.Y.* (71 NY2d 763 [1988]) holds, a determination pursuant to Education Law § 2573 (1) (a) to discontinue a probationary employee's service becomes final and binding on that employee on his or her last day at work. Here, respondent's decisions were "final and binding" within the meaning of CPLR 217 (1) as of the dates when petitioners' probationary service ended, and any suit to challenge those decisions should have been commenced within four months after those dates. The internal appeal procedure provided for under the collective bargaining agreement and respondent's bylaws constituted an optional procedure under which an employee may ask respondent to reconsider and reverse its initial decision; it was not an administrative remedy that petitioners were required to exhaust before litigating the termination of their probationary employment.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Limitation of Actions §§ 126, 127, 130; AM JUR 2d, Schools §§ 205, 246.

CARMODY-WAIT 2d, Limitation of Actions § 13:189;
CARMODY-WAIT 2d, Proceeding Against a Body or Officer
§§ 145:182, 145:192, 145:193, 145:1057.

McKINNEY's, CPLR 217 (1); Education Law § 2573.

NY JUR 2d, Article 78 and Related Proceedings §§ 173, 174,
186, 187, 192; NY JUR 2d, Schools, Universities, and Col-
leges §§ 287, 290, 312, 313, 328.

SIEGEL, NY PRAC § 566.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment; Limitation of Actions; Schools and Education.

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month

POINTS OF COUNSEL

New York Civil Liberties Union Foundation, New York City (Adriana Piñon and Arthur Eisenberg of counsel), for appellant in the first above-entitled proceeding. The First Department's decision conflicts with the text of CPLR article 78, with this Court's precedent interpreting that text, and with sound public policy. (*Matter of Essex County v Zagata*, 91 NY2d 447; *Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52; *Matter of Plummer v Klepak*, 48 NY2d 486; *Church of St. Paul & St. Andrew v Barwick*, 67 NY2d 510; *Walton v New York State Dept. of*

Correctional Servs., 8 NY3d 186; *Matter of Best Payphones, Inc. v Department of Info. Tech. & Telecom. of City of N.Y.*, 5 NY3d 30; *Stop-The-Barge v Cahill*, 1 NY3d 218; *Matter of Andersen v Klein*, 50 AD3d 296; *Matter of Strong v New York City Dept. of Educ.*, 62 AD3d 592, 14 NY3d 704; *Matter of Lipton v New York City Bd. of Educ.*, 284 AD2d 140.)

Michael A. Cardozo, Corporation Counsel, New York City (*Julian L. Kalkstein* and *Larry A. Sonnenshein* of counsel), for respondents in the first above-entitled proceeding. I. Petitioner's CPLR article 78 proceeding, challenging the termination of her probationary employee status, sought to vindicate petitioner's personal interests and not a public interest. Therefore, petitioner's action was barred by her failure to file a notice of claim pursuant to Education Law § 3813 (1). (*C.S.A. Contr. Corp. v New York City School Constr. Auth.*, 5 NY3d 189; *Zurich Am. Ins. Co. v Ramapo Cent. School Dist.*, 63 AD3d 729; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Ruocco v Doyle*, 38 AD2d 132; *Matter of Cayuga-Onondaga Counties Bd. of Coop. Educ. Servs. v Sweeney*, 89 NY2d 395; *Union Free School Dist. No. 6 of Towns of Islip & Smithtown v New York State Human Rights Appeal Bd.*, 35 NY2d 371, 36 NY2d 807; *Matter of Silvernail v Enlarged City School Dist. of Middletown*, 40 AD3d 1004; *Mills v County of Monroe*, 59 NY2d 307, 464 US 1018; *Sandak v Tuxedo Union School Dist. No. 3*, 308 NY 226; *Matter of Frasier v Board of Educ. of City School Dist. of City of N.Y.*, 71 NY2d 763.) II. The Appellate Division properly found that petitioner's CPLR article 78 proceeding challenging her termination from her probationary position with the Department of Education was barred by the expiration of the four-month statute of limitations set by CPLR 217. (*Matter of Lubin v Board of Educ. of City of N.Y.*, 60 NY2d 974, 469 US 823; *Matter of Cappellino v Town of Somers*, 83 AD3d 934; *Matter of Strong v New York City Dept. of Educ.*, 62 AD3d 592; *Matter of Andersen v Klein*, 50 AD3d 296; *Matter of Triana v Board of Educ. of City School Dist. of City of N.Y.*, 47 AD3d 554; *Matter of Lipton v New York City Bd. of Educ.*, 284 AD2d 140; *Matter of Frasier v Board of Educ. of City School Dist. of City of N.Y.*, 71 NY2d 763; *Matter of Venes v Community School Bd. of Dist. 26*, 43 NY2d 520; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774; *Board of Educ., Bellmore-Merrick Cent. High School Dist., Nassau County v Bellmore-Merrick United Secondary Teachers*, 39 NY2d 167.)

Keith J. Gross, New York City, and *Richard E. Casagrande* for New York State United Teachers, amicus curiae in the first above-entitled proceeding. I. The four-month statute of limitations mandated by CPLR 217 should run from the date a probationary pedagogue receives the Chancellor's determination after administrative review. (*Matter of Frasier v Board of Educ. of City School Dist. of City of N.Y.*, 71 NY2d 763; *Matter of Sapidin v Board of Educ. of City of N.Y.*, 246 AD2d 359; *Matter of Lipton v New York City Bd. of Educ.*, 284 AD2d 140; *Matter of Triana v Board of Educ. of City School Dist. of City of N.Y.*, 47 AD3d 554; *Matter of Strong v New York City Dept. of Educ.*, 62 AD3d 592.) II. It is judicially efficient and fair to commence the statute of limitations from the date the pedagogue receives the Chancellor's determination after administrative review. III. Commencing the statute of limitations at different points for challenges to U-ratings and discontinuances is impractical and prejudicial. (*Matter of Andersen v Klein*, 50 AD3d 296; *Matter of Mateo v Board of Educ. of City of N.Y.*, 285 AD2d 552; *Matter of Bonilla v Board of Educ. of City of N.Y.*, 285 AD2d 548.)

Charity M. Guerra, Council of School Supervisors & Administrators, Brooklyn, for Council of School Supervisors and Administrators, amicus curiae in the first above-entitled proceeding. This case presents an important issue regarding ripeness that this Court should decide both for this litigant and to clarify the rule of law. (*Watergate II Apts. v Buffalo Sewer Auth.*, 46 NY2d 52; *Matter of Cantres v Board of Educ. of City of N.Y.*, 145 AD2d 359; *Matter of Biondo v New York State Bd. of Parole*, 60 NY2d 832; *Mundy v Nassau County Civ. Serv. Commn.*, 44 NY2d 352; *Matter of Chaban v Board of Educ. of City of N.Y.*, 201 AD2d 646; *Walton v New York State Dept. of Correctional Servs.*, 8 NY3d 186; *Matter of Frasier v Board of Educ. of City School Dist. of City of N.Y.*, 71 NY2d 763; *Matter of Edmead v McGuire*, 67 NY2d 714; *Matter of Sneed v Hammons*, 242 AD2d 509; *Matter of Schulman v Board of Educ. of City of N.Y.*, 184 AD2d 643.)

Keith J. Gross, New York City, and *Richard E. Casagrande* for appellant in the second above-entitled proceeding. I. The four-month statute of limitations mandated by CPLR 217 runs from the date a probationary pedagogue receives the Chancellor's determination after administrative review. (*Matter of Frasier v Board of Educ. of City School Dist. of City of N.Y.*, 71 NY2d 763; *Matter of Wilborn v Starr*, 58 AD2d 785; *Kroboth v Sexton*, 160 AD2d 126; *Matter of Sapidin v Board of Educ. of City of N.Y.*, 246 AD2d 359; *Matter of Lipton v New York City*

Bd. of Educ., 284 AD2d 140; *Matter of Triana v Board of Educ. of City School Dist. of City of N.Y.*, 47 AD3d 554; *Matter of Strong v New York City Dept. of Educ.*, 62 AD3d 592; *Matter of El-daghar v New York City Hous. Auth.*, 34 AD3d 326; *Matter of Buffalo Audio Ctr. Arrolite Co. v Union Free School Dist. No. 1*, 29 Misc 2d 871, 15 AD2d 991; *Matter of Cosmopolitan Catering Corp. v Hostetter*, 42 Misc 2d 714.) II. It is judicially efficient and fair to commence the statute of limitations from the date the pedagogue receives the Chancellor's determination after administrative review. (*Matter of Community School Bd. Nine v Crew*, 224 AD2d 8, 89 NY2d 807; *Matter of Frasier v Board of Educ. of City School Dist. of City of N.Y.*, 71 NY2d 763.) III. Commencing the statute of limitations at different points for challenges to U-ratings and discontinuances is impractical and prejudicial to pedagogues. (*Matter of Andersen v Klein*, 50 AD3d 296; *Matter of Mateo v Board of Educ. of City of N.Y.*, 285 AD2d 552; *Matter of Bonilla v Board of Educ. of City of N.Y.*, 285 AD2d 548.)

Michael A. Cardozo, Corporation Counsel, New York City (Julian L. Kalkstein, Susan B. Eisner, Stephen J. McGrath and Daniel Gomez-Sanchez of counsel), for respondents in the second above-entitled proceeding. The Appellate Division properly found that petitioner's CPLR article 78 proceeding challenging the discontinuance of her probationary service as a school secretary with the Department of Education was barred by the expiration of the four-month statute of limitations set by CPLR 217. (*Matter of Yarbough v Franco*, 95 NY2d 342; *Matter of De Milio v Borghard*, 55 NY2d 216; *New York State Assn. of Counties v Axelrod*, 78 NY2d 158; *Matter of Robertson v Board of Educ. of City of N.Y.*, 175 AD2d 836; *Matter of Lubin v Board of Educ. of City of N.Y.*, 60 NY2d 974, 469 US 823; *Matter of Frasier v Board of Educ. of City School Dist. of City of N.Y.*, 71 NY2d 763; *Matter of Strong v New York City Dept. of Educ.*, 62 AD3d 592, 14 NY3d 704; *Matter of Andersen v Klein*, 50 AD3d 296; *Matter of Schulman v Board of Educ. of City of N.Y.*, 184 AD2d 643; *Matter of Jones v Board of Educ. of City of N.Y.*, 159 AD2d 506.)

OPINION OF THE COURT

READ, J.

These cases call upon us to decide whether petitioners Leslie Kahn and Doreen Nash (collectively, petitioners) were required to exhaust an available internal appeal procedure before challenging the termination of their probationary employment at

the City of New York's Department of Education (the Department or DOE). The Department is obligated by its collective bargaining agreement (CBA) with the United Federation of Teachers and its own bylaws to afford probationary employees the opportunity for reconsideration of a decision to discontinue their employment.

We hold that DOE's decisions were "final and binding" within the meaning of CPLR 217 (1) as of the dates when Kahn's and Nash's probationary service ended, January 25, 2008 and July 15, 2005, respectively. Petitioners awaited the outcome of the internal reviews provided for under the CBA and DOE's bylaws before commencing suit. But these reviews "stem[] solely from the [CBA]" and constitute "*an optional procedure* under which a teacher may ask [DOE] to reconsider and reverse [its] initial decision, . . . *which is final and which, when made, in all respects terminates the employment of a probationer* under Education Law § 2573 (1) (a)" (*Matter of Frasier v Board of Educ. of City School Dist. of City of N.Y.*, 71 NY2d 763, 767 [1988] [emphases added]); they are not administrative remedies that petitioners were required to exhaust before litigating the termination of their probationary employment. As a result, petitioners' lawsuits, brought more than four months after the dates when their probationary service ended, are time-barred.

I.

Kahn

On February 1, 2005, Kahn began her three-year probationary period of employment at DOE as a social worker at the Williamsburg High School for Architecture and Design. In June 2007, she accepted a position as a social worker at Khalil Gibran International Academy. On December 17, 2007, Gibran's interim principal issued an observation report in which she evaluated Kahn's counseling session with students on December 12, 2007 as unsatisfactory. On December 19, 2007, the principal also rated Kahn's performance as unsatisfactory in an annual professional performance review, and recommended denial of completion of probation. Then on December 21, 2007, the community superintendent informed Kahn that, in accordance with Education Law § 2573 (1), she was denying her certification of completion of probation; that under the terms of the CBA between DOE and the bargaining unit of which Kahn was a member she was "entitled to the review procedures . . .

prescribed” in article 4 of the Department’s bylaws; and that her service pursuant to her appointment would “terminate as of close of business January 25, 2008.”

Section 4.3.2 of DOE’s bylaws (formerly section 5.3.4), entitled **“Appeals re Discontinuance of Probationary Service”** provides that

“[a]ny person in the employ of the City School District who appears before the Chancellor, or a committee designated by the Chancellor, concerning the discontinuance of service during the probationary term, or at the expiration thereof, shall have a review of the matter before a committee which shall be designated in accordance with contractual agreements covering employees or by regulations of the Chancellor, as appropriate.

“After the review, the committee shall forward its advisory recommendation to the community superintendent or to the Chancellor in accordance with contractual agreements.”

Under section 4.3.3, the employee is entitled to appear in person at the hearing, accompanied by an advisor; to be confronted by and call witnesses; and to examine exhibits and introduce relevant evidence. The CBA calls for the section 4.3.2 review to be conducted by a tripartite committee of professional educators, with one selected by the teacher, one by DOE and the third by the other two from an agreed-upon list.

On January 3, 2008, Kahn initiated the section 4.3.2 review by notifying the Department’s Office of Appeals and Reviews that she requested an appeal; she checked only the box labeled “Discontinuance” as a reason for her appeal.¹ The committee held a hearing on April 9, 2008. By a vote of 2-1, the committee recommended “non-concurrence” with the decision to discontinue Kahn’s probationary service. The director of the Office of Appeals and Reviews forwarded the committee’s confidential advisory report to the community superintendent on April 16, 2008, advising her to review the report and examine the record, and notify Kahn in writing of her decision either to reaffirm or

1. This form letter stated simply “I hereby request an appeal for the following reason[](s): Check appropriate category(ies)” and identified the following four choices: “U” Rating; C-31; C-31 and “U” Rating; and Discontinuance. C-31 apparently refers to Chancellor’s Regulation C-31, which sets forth procedures to be followed to terminate New York City licenses of untenured pedagogical employees.

reverse the discontinuance of Kahn's probationary service. On May 9, 2008, the superintendent informed Kahn that she "reaffirmed the previous action which resulted in Denial of Certification of Completion of Probation effective close of business on January 25, 2008."

On September 9, 2008, exactly four months later, Kahn commenced this CPLR article 78 proceeding against DOE, the Chancellor and the interim principal at Gibran (collectively, DOE). In her amended petition, dated November 17, 2008, Kahn claimed that the principal's observation of the counseling session was deficient because not "made in consultation with an 'in-discipline' Social Work Supervisor [possessing] a clinical license," as required by the CBA; and that the principal's deficient observation and inaccurate assessment of her record of attendance and punctuality caused DOE to terminate her employment, which also effectively barred her from any future job in the New York City school system.

Kahn alleged two "causes of action": that DOE failed to perform duties enjoined by law and acted in an arbitrary and capricious manner in violation of CPLR article 78; and that DOE violated the due process clauses of the federal and state constitutions and 42 USC § 1983 by "providing [Kahn] with an unsatisfactory rating [and in] terminating [her] in a manner that did not comport with fair processes." She principally sought orders vacating DOE's decisions resulting in the unsatisfactory rating and termination of her employment; permitting her to "resume her status" as a probationary DOE employee; and directing that any further evaluations of her performance comply with the CBA's requirements governing her position.

On January 12, 2009, DOE cross-moved to dismiss the petition. The Department argued that Kahn's claims were precluded by her failure to file a notice of claim as required by Education Law § 3813 (1);² that the proceeding was barred by expiration of CPLR 217 (1)'s four-month statute of limitations; that to the

2. Section 3813 (1) of the Education Law states that

"[n]o action or special proceeding, for any cause whatever . . . or claim against the district or any such school, or involving the rights or interests of any district or any such school shall be prosecuted or maintained against any school district, board of education . . . or any officer of a school district[or] board of education . . . unless it shall appear by and as an allegation in the complaint or necessary moving papers that a written verified claim upon which such action or special proceeding is founded

(n. cont'd)

extent Kahn challenged her unsatisfactory rating, she had not exhausted her administrative remedies; and that her petition did not state a cause of action under section 1983 because she had not been deprived of any property or liberty interest.

Supreme Court denied DOE's cross motion in a decision and order dated September 8, 2009 (26 Misc 3d 366 [NY County 2009]). The judge ruled that because Kahn was seeking equitable relief rather than money damages, Education Law § 3813 (1) did not mandate a timely notice of claim as a prerequisite to her lawsuit (*id.* at 370-373); that her claims under section 1983 were timely and pleaded sufficiently to survive a motion to dismiss (*id.* at 380-383); and that "any failure by [Kahn] to exhaust any administrative remedies available in connection with the U-Rating" should be excused because "[t]o the extent the December 21 decision was made in partial reliance on the U-Rating, [Kahn] fully addressed the rating at the Chancellor's hearing regarding her termination" (*id.* at 381).

The bulk of Supreme Court's decision addressed what the judge called "the challenging issue of determining the precise reach" of *Frasier* (*id.* at 368). She acknowledged that the First and Second Departments had consistently interpreted *Frasier* to mean that "an Article 78 proceeding commenced by a probationary teacher more than four months after the discharge" was untimely (*id.* at 375, citing *Matter of Schulman v Board of Educ. of City of N.Y.*, 184 AD2d 643, 644 [2d Dept 1992] ["There is no merit to the petitioner's argument that the review of this administrative determination (to terminate his probationary employment) served to extend the four month limitations period"]; *Matter of Strong v New York City Dept. of Educ.*, 62 AD3d 592, 593 [1st Dept 2009] ["Petitioner's time to commence the (CPLR article 78) proceeding was not extended by her administrative appeal of (the) determination" to terminate her probationary employment as a per diem substitute teacher]; *Matter of Triana v Board of Educ. of City School Dist. of City of N.Y.*, 47 AD3d 554, 557 [1st Dept 2008] ["The law is well established that a decision to terminate the employment of a probationary teacher is final and binding on the date the termination becomes effective, and this is true even in

was presented to the governing body of said district or school within three months after the accrual of such claim, and that the officer or body having the power to adjust or pay any said claim has neglected or refused to make an adjustment or payment thereof for thirty days after presentment."

circumstances where administrative review is available”] [citations omitted]; and *Matter of Lipton v New York City Bd. of Educ.*, 284 AD2d 140, 140-141 [1st Dept 2001] [“Petitioner’s claim that the termination of her probationary employment was invalid because she was, in fact, a tenured employee was properly dismissed on the ground that the instant CPLR article 78 proceeding was not brought within four months of (the Chancellor’s) letter advising petitioner of the termination of her probationary employment”)].

But Supreme Court criticized these interpretations as based upon “no discussion at all,” featuring “sweeping statement[s]” that imbued *Frasier* with “a meaning . . . never intended” by the Court of Appeals (26 Misc 3d at 375). The judge distinguished *Frasier* on the ground that it involved back pay rather than reinstatement, and did not mention CPLR 217 (1); she considered the appellate courts’ interpretation of *Frasier* to create an anomaly because, in her view, “[t]he law [was] clear that an employee’s appeal of a U-Rating, made with or without an appeal of a discontinuance, [would] stay the running of the statute of limitations as to the issue of the U-Rating” (*id.* at 378).³ Further, the judge opined that “language in *Frasier* itself suggests” that we meant that decision to be “a limited one,” not covering situations where there was “a statutory or constitutional violation or procedural defect” as is potentially the case here, where Kahn “assert[ed] a statutory violation in that she was denied 60 days’ advance notice before her termination as required by Education Law § 2573 (1) (a),”⁴ and “also claim[ed] that her rights under the [CBA] were violated in that the Committee considered a U-Rating issued by the principal without the participation of a social work supervisor” (*id.* at 379). While “respectfully urg[ing] the First Department to take a second

3. Appeals of unsatisfactory ratings are governed by section 4.3.1 of DOE’s bylaws. This provision, which is not worded the same as section 4.3.2, specifies that the committee’s findings and recommendations “shall be submitted to the Chancellor for a final decision.”

4. Kahn does not appear to mention the lack of 60 days’ notice in her amended petition or motion papers. Where a probationary teacher or other member of the teaching staff is not recommended for tenure, the superintendent must issue written notice of that decision no later than 60 days before the probationary period (with exceptions, three years) ends (Education Law § 2573 [1] [a]). We have held that the remedy for noncompliance with this notice provision is “one day’s pay for each day the notice was late” (*Matter of Tucker v Board of Educ., Community School Dist. No. 10*, 82 NY2d 274, 278 [1993]; see also *Matter of Vetter v Board of Educ., Ravena-Coeymans-Selkirk Cent. School Dist.*, 14 NY3d 729 [2010]).

look at *Frasier*” (*id.* at 373), Supreme Court concluded that Kahn’s CPLR article 78 proceeding was timely because brought within four months of the May 9, 2008 letter from the community superintendent, which reaffirmed the earlier decision to deny Kahn certification of completion of probation.

On October 28, 2009, prior to answering Kahn’s amended petition, DOE moved for leave to appeal Supreme Court’s decision denying its motion to dismiss. On November 23, 2009, Kahn cross-moved to amend her petition again, principally to include the committee’s confidential advisory report, which had become available to her during the course of the litigation; she opposed DOE’s motion for leave to appeal. On December 23, 2009, Supreme Court granted DOE’s motion and Kahn’s cross-motion, and stayed the proceeding until the Appellate Division handed down its decision. The judge noted that “[a]lthough the appellate courts typically do not review interim orders in Article 78 proceedings, the issues raised”—particularly “whether the proceeding was time-barred based on [*Frasier*] and its progeny”—were “significant ones which . . . merit[ed] the attention of the Appellate Division at this time.”

In December 2010, the Appellate Division unanimously reversed Supreme Court’s September 8, 2009 order and granted DOE’s motion to dismiss the petition (79 AD3d 521 [1st Dept 2010]). While agreeing with the lower court that Kahn did not need to comply with Education Law § 3813 (1), the court concluded that her lawsuit was nonetheless barred by CPLR 217 (1) because “[a] petition to challenge the termination of probationary employment on substantive grounds must be brought within four months of the effective date of termination,” and “[t]he time to commence such a proceeding is not extended by the . . . pursuit of administrative remedies” (*id.* at 522). In addition, the Appellate Division noted that while the notice of termination was procedurally defective because Kahn was not given the 60 days’ prior notice required by Education Law § 2573 (1) (a), “that defect [did] not invalidate the discontinuance or render the statute of limitations inapplicable; at best, it would have entitled [Kahn] to additional back pay, had she served a notice of claim and sought money damages” (*id.*).

Finally, the Appellate Division concluded that Kahn did not have a valid claim under section 1983 because, as a probationary employee, she did not have a property interest in her position; the “process provided for in the collective bargaining agreement did not create” one; and she was not deprived of a

liberty interest (*id.* at 523).⁵ We subsequently granted Kahn leave to appeal (16 NY3d 709 [2011]), and now affirm.

Nash

Nash began her probationary service at DOE on September 3, 2002 in a secretarial position. After two years at Intermediate School 191, she transferred to Brooklyn Technical High School, where she was assigned to be a pupil accounting secretary. In May 2005, Brooklyn Technical's principal evaluated Nash's performance as unsatisfactory in her annual professional performance review for the 2004-2005 school year. On June 15, 2005, the principal indicated on the performance review form that he recommended discontinuance of Nash's probationary service; and on June 17, 2005, the local instructional superintendent noted likewise on the form. Additionally, on June 15, 2005 the superintendent informed Nash that on July 15, 2005, he would "review and consider whether [her] services as a probationer [should] be discontinued and [her] license terminated as of close of business July 15, 2005." He added that his consideration of termination and discontinuance was based on her unsatisfactory rating, and offered her the opportunity to submit a written response thereto no later than July 8, 2005. On June 16, 2005,⁶ Nash notified the Office of Appeals and Reviews that she sought section 4.3.2 review; she checked the box labeled "C-31 and **Discontinuance**/Denial of Completion of Probation" on the form.⁷

Then on July 15, 2005, the local instructional superintendent notified Nash that "after consideration and review of all appropriate documentation," he "affirm[ed] [her] Discontinuance of Probationary Service and license termination effective close of business July 15, 2005." He further informed her that, in accordance with Chancellor's Regulation C-31 and the CBA, she had the right to appeal the decision to the Office of Appeals and Reviews within 15 school days of the date of the letter; and that her Social Security number would be placed on the inquiry list.

The committee held a hearing on May 10, 2006. By a vote of 3-0, the committee recommended "non-concurrence" with the

5. Kahn does not appeal the Appellate Division's ruling with respect to her section 1983 claim.

6. That same day, Nash also filed a form to waive the one-year limitation for review of her appeal of the adverse rating she received from the principal on June 15, 2005.

7. The form identified the following four choices: "U" Rating; C-31; C-31 and "U" Rating; and "C-31 and **Discontinuance**/Denial of Completion of Probation," the option selected by Nash.

decision to discontinue Nash's probationary service. On May 14, 2008, almost exactly two years later, the superintendent of Brooklyn High Schools wrote Kahn to "reaffirm[] the previous actions which resulted in **Discontinuance of Probationary Service** effective close of business July 18, 2005."⁸

On August 13, 2008, Nash filed a notice of claim pursuant to Education Law § 3813 (1), and on September 10, 2008, she commenced this CPLR article 78 proceeding against the Board of Education and the Chancellor (collectively, DOE). In her amended petition, filed December 23, 2008, Nash alleged that DOE violated section 4.3.3 of its bylaws by furnishing her with a deficient notice of hearing, and not producing at the hearing the principal who recommended that she be let go; that DOE's alleged failure to abide by its own bylaws, Chancellor's Regulation C-31 and the CBA and to present credible evidence resulted in an arbitrary and capricious determination in violation of lawful procedure; and that DOE's failure to follow the committee's recommendation, which was supported by substantial evidence, was arbitrary and capricious. She sought an order and judgment declaring that the hearing and determination to uphold the termination of her probationary employment were arbitrary, capricious and contrary to law, and directing her reinstatement to her former position, with back pay and interest.

On January 16, 2009, DOE cross-moved to dismiss the amended petition on the grounds that Nash's claims for reinstatement and back pay were time-barred by CPLR 217 (1) because she did not sue within four months of the effective date of the termination of her probationary employment; and that insofar as she sought to review the unsatisfactory rating that she received for the 2004-2005 school year, she had not exhausted mandatory administrative and contractual remedies.⁹

In a decision, order and judgment dated October 21, 2009, Supreme Court denied Nash's petition and dismissed the proceeding as time-barred (2009 NY Slip Op 32531[U] [NY County 2009]). Citing *Frasier* and *Triana*, the judge held that "Nash's pursuit of a review hearing and reconsideration of the discontinuance by the Chancellor's committee [did] not extend or toll the four-month statutory limitations period" in CPLR

8. The date of July 18, 2005 appears to be a typographical error; there is no dispute that Nash's probationary service ended on July 15, 2005.

9. DOE did not contest the timeliness of the notice of claim that Nash filed pursuant to Education Law § 3813 (1).

217 (1); and that “[t]he request for review, pursuant to Bylaws § 4.3.2, [was] nothing more than a request for reconsideration of the original determination to discontinue [her] probationary employment” (*id.* at *7). In Supreme Court’s view and “contrary to Nash’s strenuous argument, characterizing this proceeding as solely a challenge to the 2008 Chancellor’s reaffirmation of the 2005 decision [did] not render timely the demands for reinstatement and back pay” (*id.*).

As for Nash’s challenge of her unsatisfactory rating, Supreme Court concluded that she had exhausted her administrative remedies because her “request for a hearing to review a discontinuance based on a U-rating necessarily encompassed a review of that rating” (*id.* at *8). But the judge found no merit in Nash’s objections to the way the hearing was conducted, noting that the committee voted 3-0 in her favor.

In March 2011, the Appellate Division unanimously affirmed (82 AD3d 470 [1st Dept 2011]). The court held that to the extent that Nash disputed the loss of her job at DOE, her claim was time-barred under CPLR 217 (1) because “a petition to challenge the termination of probationary employment must be brought within four months of the effective date of termination, during which time the termination is deemed to become final and binding, and a petitioner’s pursuit of administrative remedies does not toll the four-month statute of limitations” (*id.*). The Appellate Division further observed that “[t]he reconsideration of the matter by [the] committee did not amount to a ‘fresh look’ at the merits so as to renew the running of the statute of limitations” (*id.* at 471). Finally, the court agreed with Supreme Court that Nash’s lawsuit was timely insofar as she challenged the unsatisfactory rating, and that she had exhausted her administrative remedies with respect to the rating. We subsequently granted Nash leave to appeal (17 NY3d 704 [2011]), and now affirm.

II.

The petitioner in *Frasier*, a probationary teacher in the New York City school system, was notified in writing by the Chancellor that his probationary appointment was terminated as of September 4, 1984. Frasier sought review of this adverse decision, utilizing the procedures established by section 5.3.4 of the Board of Education’s bylaws and the CBA. As noted earlier, this appeal process is essentially identical to the present-day section 4.3.2 review. After the review’s completion, the Chancellor

notified Frasier that he was reversing his earlier determination and reinstating him to probationary status. Frasier then sought back pay and benefits for the period of time between the termination of his employment on September 4, 1984 and his subsequent reinstatement on March 25, 1985.

We framed the issue presented as “whether the Chancellor’s original action terminated [Frasier’s] rights as a probationary appointee under Education Law § 2573 (1) (a) as of September 4, 1984, or whether, as petitioner claims . . . , that action was nonfinal and ineffective until completion of the review procedure” (*Frasier*, 71 NY2d at 765). We concluded that the original action terminating Frasier’s probationary employment was, in fact, final and effective and, as a result, Frasier was not entitled to back pay and benefits.

We observed that “[u]nquestionably, a Board of Education, under Education Law § 2573 (1) (a),”—and, in New York City, the Chancellor—“has the right to terminate the employment of a probationary teacher at any time and for any reason, unless the teacher establishes that the termination was for a constitutionally impermissible purpose, violative of a statute, or done in bad faith” (*id.*). Additionally, “[f]rom the language of Education Law § 2573 (1) (a), it [was] evident that a decision not to grant tenure to a probationary teacher, once made, [was] intended to be final” as “[t]he statute contains no provision for reconsideration or review or for reinstatement of a discontinued probationary appointee” (*id.* at 766).

We recognized, though, that a “question remain[ed]” as to “whether anything in the review procedure established in the bylaws . . . [made] the Chancellor’s original decision on discontinuance nonfinal” (*id.* at 766-767). Answering this question in the negative, we concluded that the internal review procedure established in the bylaws “in no way pertain[ed] to the finality of the Chancellor’s decision,” but rather was “procedural only”; in short,

“[p]ro probationary teachers have no constitutional or statutory right to a review of the Chancellor’s decisions to discontinue their services and to deny tenure. Their right to a review stems solely from the [CBA]. Section 5.3.4 [now section 4.3.2] does no more than establish *an optional procedure* under which a teacher may ask the Chancellor to reconsider and reverse his initial decision, a decision

which is final and which, when made, in all respects terminates the employment of a probationer under Education Law § 2573 (1) (a)'' (*id.* at 767 [citations omitted and emphases added]).

Thus in *Frasier*, we concluded that a probationary teacher in the New York City public school system who was let go from his job but then later reinstated after completion of the optional internal review was not entitled to back pay and benefits for the period he was out of work. The principal take-away from the decision, though, is not this conclusion, but rather the reason for it; namely, that the original decision to discontinue Frasier's employment was in all respects final as of the day his probationary appointment ended and was therefore not dependent upon exhaustion of the internal review to become effective. Because a determination pursuant to Education Law § 2573 (1) (a) to discontinue a probationary employee's service becomes final and binding on that employee on his or her last day at work—as *Frasier* holds—CPLR 217 (1) dictates that any suit to challenge the determination must be commenced within four months after that date.

Petitioners understandably insist that the internal review created by the CBA and DOE's bylaws must be exhausted before suit may be brought under CPLR article 78 to challenge a determination made pursuant to Education Law § 2573 (1) (a) to discontinue a probationary employee's service. After all, otherwise their actions are untimely. But this position is not consistent with our decision in *Frasier*, as explained in this writing and as the First and Second Departments have repeatedly held (*see also Matter of De Milio v Borghard*, 55 NY2d 216 [1982] [where a probationary county employee brought a CPLR article 78 proceeding to challenge the commissioner's decision to terminate his employment, the four-month limitations period began to run from the date the employee's employment ended, not from the date when the commissioner denied his request for reconsideration of the decision to discharge him]).

Further, the ruling that petitioners seek would not, in our view, benefit probationary teachers and teaching staff generally. The grounds for overturning DOE's decision to let a probationary employee go during the probationary period are limited indeed. But under petitioners' theory, someone with a potentially meritorious claim would have to await the conclusion of the internal review—which surely would take months and might take years—before seeking redress in court. In the meantime,

this individual would not be getting paid and, as *Frasier* establishes, has no right to back pay if eventually reinstated.

Accordingly, in each case, the order of the Appellate Division should be affirmed, with costs.¹⁰

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

In each case: Order affirmed, with costs.

10. In light of our disposition of this appeal, we need not reach and express no opinion as to whether a plaintiff or petitioner who seeks only equitable relief from DOE must comply with the notice-of-claim provisions in Education Law § 3813 (1) as a precondition to suit.

[964 NE2d 396, 941 NYS2d 25]

REGIONAL ECONOMIC COMMUNITY ACTION PROGRAM, INC., Appellant, v ENLARGED CITY SCHOOL DISTRICT OF MIDDLETOWN, Respondent.

Argued January 4, 2012; decided February 16, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 7, 2010. The Appellate Division affirmed a judgment of the Supreme Court, Orange County (David S. Ritter, J.), which had dismissed the complaint. The judgment was entered upon an order of that court, among other things, denying plaintiff's motion for summary judgment and granting that branch of defendant's cross motion which was for summary judgment dismissing the complaint.

Regional Economic Community Action Program, Inc. v Enlarged City School Dist. of Middletown, 79 AD3d 723, affirmed.

HEADNOTES

Limitation of Actions — What Statute Governs — Claim against School District to Recover Taxes Erroneously Assessed

1. Education Law § 3813 (2-b)'s one-year statute of limitations applies to a taxpayer's claim against a school district for money had and received arising from an erroneous assessment of school taxes. The statute, which governs non-tort claims against school districts, provides, "notwithstanding any other provision of law providing a longer period of time in which to commence an action or special proceeding" against a school district, no such action shall be commenced more than one year after the cause of action arose. A taxpayer may recover taxes paid pursuant to a wrongful assessment under the theory of money had and received. Because such a claim is premised upon a contractual obligation or liability, express or implied in law or fact, it is generally governed by a six-year statute of limitations. However, that limitations period is inapplicable where, as here, the taxpayer seeks recovery against a school district, which is entitled to rely on section 3813 (2-b).

Limitation of Actions — When Cause of Action Accrues — Claim against School District to Recover Taxes Erroneously Assessed

2. A taxpayer's claim against a school district for money had and received arising from an erroneous assessment of school taxes accrued when the taxes were paid, and not when the district refused to issue a refund. Education Law § 3813 (1), which provides that accrual of claims for monies due arising out of contract "shall be deemed to have occurred as of the date payment for the amount claimed was denied," was inapplicable to the taxpayer's claim. That statute applies to actions where the parties have a contractual relationship, and the taxpayer and the district did not have such a relationship. Although a

cause of action for money had and received is an action based on an implied contract, that designation is a misnomer because it is not an action founded on a contract at all; rather, it is an obligation which the law creates in the absence of an agreement when one party possesses money that in equity and good conscience it ought not to retain and that belongs to another.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Limitation of Actions §§ 126, 127, 130; AM JUR 2d, Schools § 58; AM JUR 2d, State and Local Taxation §§ 706, 707, 721.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:199, 13:348, 13:349; CARMODY-WAIT 2d, Actions By and Against Public Bodies and Public Officers §§ 144:214, 144:216.

McKINNEY's, Education Law § 3813.

NY JUR 2d, Schools, Universities, and Colleges § 855; NY JUR 2d, Taxation and Assessment § 427.

ANNOTATION REFERENCE

See ALR Index under Limitation of Actions; Schools and Education; Taxes.

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POINTS OF COUNSEL

James G. Sweeney, P.C., Goshen (*James G. Sweeney* of counsel), for appellant. I. The “voluntary payment” rule should be abandoned, at least in the context of this case. (*Peyser v Mayor of City of N.Y.*, 70 NY 497; *Tripler v Mayor of City of N.Y.*, 125 NY 617; *Matter of Trustees of Vil. of Delhi*, 201 NY 408; *Adrico Realty Corp. v City of New York*, 250 NY 29; *Municipal Metallic Bed Mfg. Corp. v Dobbs*, 253 NY 313; *People v Marrero*, 69 NY2d 382; *Mercury Mach. Importing Corp. v City of New York*, 3 NY2d 418; *Five Boro Elec. Contrs. Assn. v City of New York*, 12 NY2d 146; *Paramount Film Distrib. Corp. v State of New York*, 30 NY2d 415; *City of Rochester v Chiarella*, 58 NY2d 316.) II. The Enlarged City School District of Middletown stands in the stead of the City of Middletown and is bound by Regional Economic Community Action Program, Inc.’s claim against the City. (*Xerox Corp. v Town of Webster*, 131 Misc 2d 817; *Center v Hampton Affiliates*, 66 NY2d 782; *People ex rel. Wessell, Nickel & Gross v Craig*, 236 NY 100; *Corporate Prop. Invs. v Board of*

Assessors of County of Nassau, 153 AD2d 656; *Matter of Tennessee Gas Pipeline Co. v Town of Chatham Bd. of Assessors*, 239 AD2d 831.) III. The letter of protest received by the Enlarged City School District of Middletown was sufficient to apprise it of Regional Economic Community Action Program, Inc.'s challenge. (*Corporate Prop. Invs. v Board of Assessors of County of Nassau*, 153 AD2d 656; *Nassau Ins. Co. v Murray*, 46 NY2d 828.) IV. The Enlarged City School District of Middletown's other defenses fail. (*Matter of New York State Assn. of Criminal Defense Lawyers v Kaye*, 96 NY2d 512; *Niagara Mohawk Power Corp. v City School Dist. of City of Troy*, 59 NY2d 262; *Matter of First Natl. City Bank v City of N.Y. Fin. Admin.*, 36 NY2d 87; *Matter of City of White Plains v City of New York*, 63 AD2d 396, 46 NY2d 707; *Jenad, Inc. v Village of Scarsdale*, 35 Misc 2d 450; *Matter of Castaways Motel v Schuyler*, 24 NY2d 120; *People v Lo Cicero*, 14 NY2d 374.)

Donoghue, Thomas, Auslander & Drohan, LLP, Hopewell Junction (*Daniel Petigrow* and *Neelanjan Coudhury* of counsel), for respondent. I. Assuming Regional Economic Community Action Program, Inc. paid its taxes to the Enlarged City School District of Middletown under protest, it is barred from maintaining this action under the one-year statute of limitations dictated by Education Law § 3813 (2-b). (*Matter of First Natl. City Bank v City of N.Y. Fin. Admin.*, 36 NY2d 87; *Board of Educ. of Cold Spring Harbor Cent. School Dist. v Rettaliata*, 181 AD2d 648; *Matter of Scarborough School Corp. v Assessor of Town of Ossining*, 97 AD2d 476; *World Plan Executive Council-U. S. v Town of Fallsburg*, 92 AD2d 1047; *Kahal Bnei Emunim & Talmud Torah Bnei Simon Israel v Town of Fallsburg*, 159 Misc 2d 1045; *K. Capolino Design & Renovation v Assessors of City of Yonkers*, 138 Misc 2d 811; *North Salem Cent. School Dist. v Mahopac Cent. School Dist.*, 1 AD3d 418; *Bias Limud Torah v County of Sullivan*, 290 AD2d 856, 305 AD2d 972; *Lancaster Towers Assoc. v Assessor of Town of Lancaster*, 259 AD2d 1001; *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367.) II. In the absence of any evidence that Regional Economic Community Action Program, Inc. protested its tax payments, the Enlarged City School District of Middletown should not be forced to refund school taxes collected at the time they were properly levied and collected. (*Matter of Szkolnik v Allen*, 21 AD2d 729, 15 NY2d 765; *Xerox Corp. v Town of Webster*, 131 Misc 2d 817; *Matter of District Three IUE Hous. Dev. Fund Corp. v Buckley*, 74 Misc 2d 1078; *Matter of Rochester Sav. Bank v County of Monroe*, 169 Misc 526; *Matter of FMC Corp. [Peroxygen Chems.*

Div.] v Unmack, 92 NY2d 179; *Hurd v City of Buffalo*, 34 NY2d 628; *Bethlehem Steel Corp. v Board of Educ. of City School Dist. of Lackawanna*, 44 NY2d 831; *Foss v City of Rochester*, 65 NY2d 247; *Forward v Webster Cent. School Dist.*, 136 AD2d 277; *Gandolfi v City of Yonkers*, 101 AD2d 188, 62 NY2d 995.) III. If, as Regional Economic Community Action Program, Inc. contends, the Enlarged City School District of Middletown should be bound by the Court's decision in *Matter of Adult Home at Erie Sta., Inc. v Assessor & Bd. of Assessment Review of City of Middletown* (10 NY3d 205 [2008]), then it should have been named as a necessary party in the original CPLR article 78 proceeding. (*City of New York v Long Is. Airports Limousine Serv. Corp.*, 48 NY2d 469; *First Natl. Bank of Amsterdam v Shuler*, 153 NY 163; *Pettersen v Town of Fort Ann*, 23 Misc 3d 549; *Matter of Einstoss*, 26 NY2d 181; *Rosenfeld v Hotel Corp. of Am.*, 20 NY2d 25; *Living Springs Retreat v County of Putnam*, 159 AD2d 693; *Matter of Macy's Primary Real Estate v Assessor of City of White Plains*, 291 AD2d 73.)

Jay Worona, Latham, and *Aileen Abrams* for New York State School Boards Association, Inc., amicus curiae. The court below properly determined that plaintiff-appellant is not entitled to a refund of school taxes it paid because it failed to provide legal notice of its intent to seek a refund to the Enlarged City School District of Middletown, either prior to or at the time of payment of the taxes. (*Video Aid Corp. v Town of Wallkill*, 85 NY2d 663; *Mercury Mach. Importing Corp. v City of New York*, 3 NY2d 418; *Matter of Tennessee Gas Pipeline Co. v Town of Chatham Bd. of Assessors*, 239 AD2d 831; *City of Rochester v Chiarella*, 58 NY2d 316; *Forward v Webster Cent. School Dist.*, 136 AD2d 277; *Hurd v City of Buffalo*, 41 AD2d 402; *Foss v City of Rochester*, 65 NY2d 247; *Matter of Brookview Apts. v Stuhlman*, 278 AD2d 825; *Matter of Raymond v Honeywell*, 58 Misc 2d 903; *Matter of Haddad v City of Hudson*, 6 AD3d 1018.)

OPINION OF THE COURT

PIGOTT, J.

In this appeal, we are asked to determine the statute of limitations governing a taxpayer's claim against a school district for money had and received arising from an erroneous assessment of school taxes and when such claim accrues. We hold that Education Law § 3813 (2-b)'s one-year statute of limitations applies and that the claim for money had and received accrues when the taxes are paid.

Regional Economic Community Action Program, Inc. (RECAP) is a tax-exempt charitable organization and owner of properties in the City of Middletown that provide housing for participants in RECAP's "Community Re-Entry Program." In February 2004, the City rejected RECAP's Real Property Tax Law § 420-a application for a charitable tax exemption, and assessed taxes against the properties accordingly. These assessments, by virtue of their inclusion on the City's final tax rolls, became part of the tax roll adopted by the Enlarged City School District of Middletown (the District).

In June 2004, without giving notice to the District, RECAP commenced a CPLR article 78 proceeding against the City, challenging the legality of the assessments. During the pendency of that proceeding, RECAP paid both city and school taxes for the years 2003-2004 through 2007-2008. According to RECAP, it included a letter with those payments stating that it was paying its taxes to the City "under protest." In March 2008, this Court concluded that RECAP was entitled to the exemption (*see Matter of Adult Home at Erie Sta., Inc. v Assessor & Bd. of Assessment Review of City of Middletown*, 10 NY3d 205, 212, 217 [2008]), and it thereafter recovered the property taxes it had paid the City.

In January 2009, RECAP demanded that the District refund RECAP's tax payments for the 2003-2004 through 2007-2008 tax years. Upon the District's refusal, RECAP commenced this action in April 2009 asserting a claim for money had and received, seeking over \$142,000. Both parties moved for summary judgment, the District asserting, among other things, that RECAP's cause of action was time-barred under Education Law § 3813 (2-b).

Supreme Court granted the District's cross motion, holding that RECAP failed to comply with section 3813's notice of claim and one-year statute of limitations provisions (*see* Education Law § 3813 [1], [2-b]). The Appellate Division affirmed on a different ground, holding that although RECAP may have submitted a letter with its tax payments to the City stating that such payments were "under protest," that letter referred to city tax payments alone, not those made to the District (79 AD3d 723 [2d Dept 2010]). We affirm, solely on the statute of limitations ground adopted by Supreme Court.

[1] We reject RECAP's contention that its claim for money had and received is governed by a six-year statute of limitations.

To be sure, a taxpayer may recover taxes paid pursuant to a wrongful assessment under that theory and, because such a claim is premised “upon a contractual obligation or liability, express or implied in law or fact,” it is generally governed by a six-year statute of limitations (*Matter of First Natl. City Bank v City of N.Y. Fin. Admin.*, 36 NY2d 87, 93 [1975]; *see also Diefenthaler v Mayor of City of N.Y.*, 111 NY 331, 337-338 [1888]). That limitation period is inapplicable here, however, because RECAP seeks recovery against a school district, which is entitled to rely on Education Law § 3813 (2-b).

According to section 3813 (2-b)—which governs non-tort claims against school districts—“*notwithstanding any other provision of law providing a longer period of time in which to commence an action or special proceeding*, no [such] action or special proceeding shall be commenced against [a school district] . . . more than one year after the cause of action arose” (emphasis supplied). The plain language of section 3813 (2-b) refutes RECAP’s claim that the longer six-year statute of limitations governs. Therefore, RECAP had one year from the date the cause of action arose within which to bring its claim.

[2] RECAP asserts that its entire claim accrued in March 2009—when the District refused to issue a refund—relying on Education Law § 3813 (1), which states that “[i]n the case of an action or special proceeding for monies due arising out of contract, accrual of such claim shall be deemed to have occurred as of the date payment for the amount claimed was denied.” That provision is inapplicable to this type of claim.

In 1992, the Legislature amended section 3813 (1) by adding the “accrual” language to clarify the accrual date for filing a notice of claim as a precondition to a suit brought against a school district by a party in a contractual relationship with the district (*see* Mem in Support, Bill Jacket, L 1992, ch 387; *see also* Education Law § 3813 [1]). But RECAP and the District do not have a contractual relationship. Although a cause of action for money had and received is an action based on an implied contract, this designation is “a misnomer because it is not an action founded on contract at all; it is an obligation which the law creates in the absence of agreement when one party possesses money that in equity and good conscience he ought not to retain and that belongs to another” (*Parsa v State of New York*, 64 NY2d 143, 148 [1984], citing *Miller v Schloss*, 218 NY 400, 406-407 [1916]). Because section 3813 (1) addresses notice of claim requirements for parties who have a contractual

relationship with the school district, RECAP's section 3813 (1) accrual date argument is without merit.

We conclude that RECAP's cause of action for money had and received accrued when it paid the taxes (*see First Natl. City Bank*, 36 NY2d at 93). Even assuming RECAP's last payment was made "under protest" in October 2007, as RECAP claims, RECAP did not commence this action until April 2009, outside the one-year statute of limitations, rendering RECAP's claim time-barred.* Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

Order affirmed, with costs.

* Given our holding, we need not address RECAP's contentions that RECAP paid the school taxes "under protest" or that RECAP complied with section 3813 (1)'s notice of claim requirements.

[964 NE2d 391, 941 NYS2d 20]

YENEM CORP., Appellant, v 281 BROADWAY HOLDINGS et al.,
Respondents. (And Other Actions.)

RANDALL Co., LLC, Appellant, v 281 BROADWAY HOLDINGS et al.,
Respondents, et al., Defendants. 281 BROADWAY HOLDINGS
LLC et al., Third-Party Plaintiffs, v HUNTER-ATLANTIC, INC.,
Third-Party Defendant-Respondent, et al., Third-Party De-
fendants.

Argued January 3, 2012; decided February 14, 2012

SUMMARY

APPEALS, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from a corrected order of that Court, entered August 3, 2010. The Appellate Division (1) affirmed so much of an order of the Supreme Court, New York County (Carol R. Edmead, J.), as had denied plaintiff Yenem Corp.'s motion for summary judgment on the issue of liability, and (2) (a) reversed, on the law, so much of an order of that court (Charles E. Ramos, J.), as had granted plaintiff Randall Co., LLC's motion for summary judgment on the issue of liability, and denied the cross motion of defendants and third-party plaintiffs 281 Broadway Holdings LLC and the John Buck Co. for, among other things, leave to amend their answer, (b) denied plaintiff's motion, and (c) granted the cross motion for leave to amend. The following question was certified by the Appellate Division: "Was the corrected decision and order of this Court, which affirmed the order of the Supreme Court entered September 18, 2008, and reversed an order of said Court entered January 29, 2009, properly made?"

Yenem Corp. v 281 Broadway Holdings, 76 AD3d 225, reversed.

HEADNOTES

Negligence — Violation of Statutory Duty — Excavator's Duty to Preserve and Protect Adjoining Property — Absolute Liability

1. Defendants, whose excavation work performed 18 feet below curb level caused an adjacent building owned and leased by plaintiffs to shift out of plumb and tilt out of verticality, were subject to absolute liability under former Administrative Code of the City of New York § 27-1031 (b) (1), which imposed a specific duty upon those performing excavation work more than 10 feet below curb level to "preserve and protect" adjoining structures. Usually, a violation of a state statute that imposes a specific duty constitutes negligence per se, or may even create absolute liability, whereas a violation of a municipal

ordinance constitutes only evidence of negligence. However, Administrative Code § 27-1031 (b) (1), which originated from an 1855 special law imposing absolute liability that was subsequently reenacted under the Consolidation Act of 1882, was unique in that its language and purpose were virtually identical, in all relevant aspects, to those of its state law predecessors. Neither the wording nor the import of the statute was materially or substantially altered either upon its recodification in 1899 as a local law or in the century thereafter. More importantly, its original purpose of shifting the risk of injury from the injured landowner to the excavator of adjoining land remained constant over the years. As such, Administrative Code § 27-1031 (b) (1) was entitled to statutory treatment in tort cases.

Negligence — Violation of Statutory Duty — Excavator's Duty to Preserve and Protect Adjoining Property — Summary Judgment

2. Plaintiffs, the owner and tenant of a building that shifted out of plumb and tilted out of verticality during the course of defendants' excavation work on adjacent property, were entitled to summary judgment on the issue of liability under former Administrative Code of the City of New York § 27-1031 (b) (1), which imposed a specific duty upon those performing excavation work more than 10 feet below curb level to "preserve and protect" adjoining structures. Defendants' affidavits and the report of their engineers expressly stated that the excavation, carried to a depth exceeding the regulatory threshold, undermined the foundation of the building and caused it to lean southward. Although certainly relevant to any measure of damages, consideration of the building's prior condition did not factor into a proximate cause analysis under Administrative Code § 27-1031 (b) (1), which imposed absolute liability upon defendants.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Adjoining Landowners §§ 49, 52-55, 58-60, 65, 66, 74-76, 78-81.
NY JUR 2d, Adjoining Landowners §§ 15, 18-23.
PROSSER AND KEETON, TORTS (5th ed) § 36.

ANNOTATION REFERENCE

See ALR Index under Adjoining Landowners and Property; Excavations; Municipal Corporations.

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POINTS OF COUNSEL

Jaroslawicz & Jaros LLC, New York City (*David Jaroslawicz* and *David Tolchin* of counsel), for Yenem Corp., appellant. I. Plaintiff was entitled to summary judgment as to liability on

common-law grounds. (*Klein v Beta I LLC*, 10 AD3d 509; *Hixon v Congregation Beit Yaakov*, 57 AD3d 328; *11 Essex St. Corp. v Tower Ins. Co. of N.Y.*, 81 AD3d 516; *Andre v Pomeroy*, 35 NY2d 361; *Nallan v Helmsley-Spear, Inc.*, 50 NY2d 507; *Silberman v Surrey Cadillac Limousine Serv.*, 109 AD2d 833; *Coronet Props. Co. v L/M Second Ave.*, 166 AD2d 242.) II. Under Administrative Code of the City of New York § 27-1031 (b), plaintiff was entitled to summary judgment and there was absolute liability as against defendants. (*Cohen v Lesbian & Gay Community Servs. Ctr., Inc.*, 20 AD3d 309; *Dorrity v Rapp*, 72 NY 307; *Post v Kerwin*, 133 App Div 404; *Levine v City of New York*, 249 App Div 625; *Elliott v City of New York*, 95 NY2d 730; *Bloomingtondale v Duffy*, 71 Misc 136; *Gordon v Automobile Club of Am.*, 101 Misc 724, 180 App Div 927; *Klein v Beta I LLC*, 10 AD3d 509; *Hixon v Congregation Beit Yaakov*, 57 AD3d 328.) III. The finding of the majority below that absolute liability should not apply is directly contrary to the law in this state. (*Spano v Perini Corp.*, 25 NY2d 11; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Coronet Props. Co. v L/M Second Ave.*, 166 AD2d 242; *Levine v City of New York*, 249 App Div 625; *Palermo v Bridge Duffield Corp.*, 3 AD2d 863.) IV. The conclusion of the majority in the Appellate Division that the *Elliott v City of New York* (95 NY2d 730 [2001]) case precludes summary judgment for plaintiff is erroneous. (*Derdiarian v Felix Contr. Corp.*, 51 NY2d 308.) V. The Appellate Division majority's statement that *Coronet Props. Co. v L/M Second Ave.* (166 AD2d 242, 243 [1st Dept 1990]) is dispositive is erroneous. (*Levine v City of New York*, 249 App Div 625; *Palermo v Bridge Duffield Corp.*, 3 AD2d 863.) VI. The majority in the Appellate Division ignored the distinction between summary judgment on liability and the amount of damages a plaintiff can recover. (*Andre v Pomeroy*, 35 NY2d 361.)

Weg and Myers, P.C., New York City (*Dennis T. D'Antonio, Joshua L. Mallin, William H. Parash and Jonathan C. Corbett* of counsel), for Randall Co. LLC, appellant. I. Owners and general contractors have historically been held absolutely liable for the damages that their construction causes to adjoining landowners. (*Cohen v Lesbian & Gay Community Servs. Ctr., Inc.*, 20 AD3d 309; *Dorrity v Rapp*, 72 NY 307; *Post v Kerwin*, 133 App Div 404; *Levine v City of New York*, 249 App Div 625; *Elliott v City of New York*, 95 NY2d 730; *Bloomingtondale v Duffy*, 71 Misc 136; *Gordon v Automobile Club of Am.*, 101 Misc 724; *Klein v Beta I LLC*, 10 AD3d 509; *Hixon v Congregation Beit Yaakov*, 57 AD3d 328; *Coronet Props. Co. v L/M Second Ave.*, 166 AD2d 242.) II. The Appellate Division majority's reliance on *Elliott v*

City of New York (95 NY2d 730 [2001]) is misguided. (*Coronet Props. Co. v L/M Second Ave.*, 166 AD2d 242; *Guzman v Haven Plaza Hous. Dev. Fund Co.*, 69 NY2d 559; *Huerta v New York City Tr. Auth.*, 290 AD2d 33.) III. Appellant is entitled to partial summary judgment on the issue of liability because respondents violated section 27-1031 (b) of the Building Code (Administrative Code of City of NY). (*Gandley v Prestige Roofing & Siding Co.*, 148 AD2d 666; *Trbaci v AJS Constr. Project Mgt., Inc.*, 22 Misc 3d 1116[A], 2009 NY Slip Op 50153[U]; *Dorrity v Rapp*, 72 NY 307; *Post v Kerwin*, 133 App Div 404; *Coronet Props. Co. v L/M Second Ave.*, 166 AD2d 242; *Bloomingtondale v Duffy*, 71 Misc 136; *Van Nostrand v Froehlich*, 44 AD3d 54; *Doyle v American Home Prods. Corp.*, 286 AD2d 412; *Gramigna v Morse Diesel*, 210 AD2d 115.) IV. The Appellate Division erred in granting respondents' motion to amend. (*Lettieri v Allen*, 59 AD3d 202; *Sharon Ava & Co. v Olympic Tower Assoc.*, 259 AD2d 315; *Daniels v Empire-Orr, Inc.*, 151 AD2d 370; *Matter of Cromwell Towers Redevelopment Co. v City of Yonkers*, 41 NY2d 1; *Elmsmere Assoc. v Gladstone*, 153 AD2d 501.)

Shafer Glazer, LLP, New York City (David A. Glazer and Mika M. Mooney of counsel), for respondents. I. The Appellate Division correctly determined that absolute liability can only be imposed under a state statute. (*Elliott v City of New York*, 95 NY2d 730; *Smulczeski v City Ctr. of Music & Drama*, 3 NY2d 498; *Huerta v New York City Tr. Auth.*, 290 AD2d 33; *Schumer v Caplin*, 241 NY 346; *Dorrity v Rapp*, 72 NY 307; *City of New York v Wineburgh Adv. Co.*, 122 App Div 748; *Kobbe Co. v City of New York*, 122 App Div 755; *Pajak v Pajak*, 56 NY2d 394; *Post v Kerwin*, 133 App Div 404.) II. Excavation and protection of adjacent structures does not fall into the category of statutes that typically give rise to absolute liability, and there is no evidence demonstrating an intent to impose absolute liability upon owners that undertook measures to preserve and protect adjoining structures. (*Van Gaasbeck v Webatuck Cent. School Dist. No. 1*, 21 NY2d 239; *Koenig v Patrick Constr. Corp.*, 298 NY 313; *City of New York v Stringfellow's of N.Y.*, 253 AD2d 110; *Matter of City of New York v State of New York*, 282 AD2d 134; *Dorrity v Rapp*, 72 NY 307.) III. The Appellate Division correctly determined that a violation of Administrative Code of the City of New York § 27-1031 and a determination on proximate cause must be made prior to an imposition of liability. (*Coronet Props. Co. v L/M Second Ave.*, 166 AD2d 242; *Cohen v Lesbian & Gay Community Servs. Ctr., Inc.*, 20 AD3d 309; *Quattrocchi v F.J. Sciame Constr. Corp.*, 44 AD3d 377; *Dorrity v Rapp*, 72 NY 307;

McGlynn v Palace Co., 262 AD2d 116; *Johnson v Phillips*, 261 AD2d 269; *Kiernan v Edwards*, 97 AD2d 750.) IV. Yenem Corp. cannot seek liability under common-law negligence for the first time on appeal, nor can it establish a prima facie case of negligence. (*Sean M. v City of New York*, 20 AD3d 146; *Recovery Consultants v Shih-Hsieh*, 141 AD2d 272; *Quain v Buzzetta Constr. Corp.*, 69 NY2d 376; *Kenney v City of New York*, 30 AD3d 261; *Coronet Props. Co. v L/M Second Ave.*, 166 AD2d 242; *Wing Wong Realty Corp. v Flintlock Constr. Servs., LLC*, 71 AD3d 537; *Horwitz v Camelot Assoc. Corp.*, 66 AD3d 1299.) V. Neither the former statutes pertaining to excavation and adjoining properties nor Administrative Code of the City of New York § 27-1031 were intended to provide a cause of action for tenants. VI. Leave to amend respondents' answer was properly awarded by the Appellate Division since such leave is freely given and the claims have merit. (*Oil Heat Inst. of Long Is. Ins. Trust v RMTS Assoc.*, 4 AD3d 290; *Matter of Salon Ignazia, Inc.*, 34 AD3d 821; *McFarland v Michel*, 2 AD3d 1297; *St. Paul Fire & Mar. Ins. Co. v Town of Hempstead*, 291 AD2d 488; *Lettieri v Allen*, 59 AD3d 202.) VII. Randall Co., LLC's request for \$250,000 for lost rents should not be awarded as it is an unsubstantiated amount. (*SRM Card Shop v 1740 Broadway Assoc.*, 2 AD3d 136.)

Molod Spitz & DeSantis, P.C., New York City (*Marcy Sonneborn* and *Alice Spitz* of counsel), for third-party respondent. I. Summary judgment is premature before discovery has been conducted. (*Venables v Sagona*, 46 AD3d 672; *Amico v Melville Volunteer Fire Co., Inc.*, 39 AD3d 784; *Valdivia v Consolidated Resistance Co. of Am., Inc.*, 54 AD3d 753; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Friends of Animals v Associated Fur Mfrs.*, 46 NY2d 1065; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Zuckerman v City of New York*, 49 NY2d 557; *Lewis v Safety Disposal Sys. of Pa., Inc.*, 12 AD3d 324; *Global Mins. & Metals Corp. v Holme*, 35 AD3d 93; *Fazio v Brandywine Realty Trust*, 29 AD3d 939.) II. The Legislature has not expressed its intent to treat an alleged violation of the Building Code of New York City as a state statute. (*Staples v Town of Amherst*, 146 AD2d 292; *Fox v Jenny Eng'g Corp.*, 122 AD2d 532, 70 NY2d 761; *Allen v Cloutier Constr. Corp.*, 44 NY2d 290; *Conte v Large Scale Dev. Corp.*, 10 NY2d 20; *De Milio v New York State Thruway Auth.*, 15 AD2d 27; *Utica Mut. Ins. Co. v Mancini & Sons*, 9 AD2d 116; *People v Pulizzi*, 199 Misc 405; *Cohen v Crimenti*, 24 AD2d 587; *Schaeffer v Caldwell*, 273 App Div 263; *Martin v Herzog*, 228 NY 164.) III. Plaintiffs have not made out a prima facie case under the Administrative Code of the City of New

York. (*Dorrity v Rapp*, 72 NY 307; *Coronet Props. Co. v L/M Second Ave.*, 166 AD2d 242; *Eastern Consol. Props. v Adelaide Realty Corp.*, 95 NY2d 785; *Holy Props. v Cole Prods.*, 87 NY2d 130; *Cenven, Inc. v Bethlehem Steel Corp.*, 41 NY2d 842; *Elliott v City of New York*, 95 NY2d 730; *Guzman v Haven Plaza Hous. Dev. Fund Co.*, 69 NY2d 559; *Major v Waverly & Ogden*, 7 NY2d 332; *Tkach v Montefiore Hosp.*, 289 NY 387; *Worth Distribs. v Latham*, 59 NY2d 231.) IV. Hunter-Atlantic, Inc. is not in privity of contract with Yenem Corp. (*Espinal v Melville Snow Contrs.*, 98 NY2d 136; *Eaves Brooks Costume Co. v Y.B.H. Realty Corp.*, 76 NY2d 220; *Raffa v Stilloe Roofing & Siding*, 182 AD2d 901; *Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314; *Strauss v Belle Realty Co.*, 98 AD2d 424, 65 NY2d 399.)

Michael A. Cardozo, Corporation Counsel, New York City (*Margaret G. King* and *Spencer Fisher* of counsel), for City of New York, amicus curiae. Certain language in the Appellate Division majority decision risks creating confusion about the legal status of many New York City Charter and Administrative Code of the City of New York provisions originally adopted as state laws, including provisions applicable outside the tort context. This Court should ensure the continued status of those provisions in accordance with long-standing judicial precedent. (*Elliott v City of New York*, 95 NY2d 730; *Grimmer v Tenement House Dept. of City of N.Y.*, 204 NY 370; *Racine v Morris*, 201 NY 240; *People ex rel. Savory, Inc. v Plunkett*, 295 NY 180; *Board of Educ. v Rogers*, 278 NY 66; *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563; *Matter of City of New York v Patrolmen's Benevolent Assn. of the City of N.Y., Inc.*, 14 NY3d 46; *Matter of Finegan v Cohen*, 275 NY 432; *Walter v City of N.Y. Police Dept.*, 244 AD2d 205; *Old Dutch Lands v City of New York*, 55 Misc 2d 384, 32 AD2d 649, 26 NY2d 984.)

OPINION OF THE COURT

CIPARICK, J.

On this appeal, we consider whether former Administrative Code of the City of New York § 27-1031 (b) (1) imposes absolute liability on defendants whose excavation work caused damage to adjoining property. We hold that it does, and that plaintiffs are entitled to summary judgment.

Plaintiff Randall Co. (Randall) is the owner of a landmark cast iron and masonry building located at 287 Broadway in

Manhattan. Plaintiff Yenem Corp. (Yenem) was a commercial tenant operating a pizzeria in the building. In 2006, defendant The John Buck Company (JBC) through its subsidiary, defendant 281 Broadway Holdings LLC (281 Broadway Holdings), purchased the lot adjacent to the south and west sides of 287 Broadway and began developing an L-shaped commercial and condominium complex. JBC and 281 Broadway Holdings hired defendant Hunter-Atlantic, Inc. (Hunter-Atlantic) to excavate the site. The excavation occurred at a depth of 18 feet below curb level. As the excavation progressed, 287 Broadway shifted out of plumb, tilting out of verticality. On November 28, 2007, the Department of Buildings (DOB) found that the building leaned to the south by approximately nine inches. The following day, DOB issued a vacate order deeming the building unsafe for occupancy. As a result, Yenem was forced to close its business, and Randall's building remains vacant.

Yenem commenced an action against JBC, 281 Broadway Holdings and Hunter-Atlantic claiming that defendants were negligent and strictly liable under Administrative Code of the City of New York § 27-1031 (b) (1) for causing damage to 287 Broadway, resulting in the loss of Yenem's business. Randall commenced a separate action against JBC and 281 Broadway Holdings¹ asserting similar claims. Hunter-Atlantic cross-claimed against its codefendants and asserted third-party claims against various subcontractors and engineering companies.

Randall moved for partial summary judgment against JBC and 281 Broadway Holdings seeking lost rent and other damages, and Yenem moved for summary judgment against all defendants. JBC and 281 Broadway Holdings opposed plaintiffs' motions and cross-moved for summary judgment against Hunter-Atlantic. In support of their respective summary judgment motions, plaintiffs submitted, among other things, a letter and affidavit of managing agents of 281 Broadway Holdings and a report by defendants' structural engineers, all of which stated that 287 Broadway shifted increasingly out of plumb during the course of defendants' excavation work despite defendants' various remedial efforts. Specifically, one of defendants' engineers stated that "[t]he movement of the building during excavation was caused by settlement due to undermining of the existing footings and a loss of soil under the footing."

1. The complaint also named "John Doe," "Jane Doe," and "XYZ Corporation" as the contractors hired by defendants to perform the excavation work.

In the *Yenem* action, Supreme Court denied Yenem's motion for summary judgment with leave to renew at the close of discovery. The court found that violation of Administrative Code of the City of New York § 27-1031 (b) (1) did not result in strict liability but constituted some evidence of negligence. The court also found potential factual issues regarding the proximate cause of the building's movement. In the *Randall* action, however, a different Supreme Court justice granted Randall's motion for partial summary judgment and denied defendants' cross motion in its entirety. The court held that defendants were strictly liable under section 27-1031 (b) (1).

In consolidated appeals, a divided Appellate Division upheld the order denying plaintiff's motion for summary judgment in the *Yenem* action and reversed the order granting plaintiff summary judgment in the *Randall* action (*see Yenem Corp. v 281 Broadway Holdings*, 76 AD3d 225, 231 [1st Dept 2010]). The court rejected plaintiffs' argument that because section 27-1031 (b) (1) was originally enacted as a state law imposing absolute liability, it should continue to be so construed (*see id.* at 228-229). Citing *Elliott v City of New York* (95 NY2d 730 [2001]), the Appellate Division found that as a municipal ordinance, the code provision was an "unsuitable candidate for elevation to the status of a state statute imposing per se negligence or absolute liability" (*Yenem Corp.*, 76 AD3d at 230). The court further held that plaintiffs failed to demonstrate that "defendants' actions were the proximate cause of the damage to the building or that the precautions taken by defendants in connection with the excavation were inadequate" (*id.* at 231).

Two justices dissented on the ground that section 27-1031 (b) (1), having its origins in state law, imposes strict liability where a plaintiff demonstrates that a violation of the provision proximately caused injuries to the plaintiff's property (*see id.* at 233). The dissent opined that *Elliott* expressly recognized that a local law with state law origins could invoke statutory treatment and, providing a thorough review of the provision's legislative history, concluded that section 27-1031 (b) (1) fit that rule "to the proverbial tee" (*id.* at 237). The dissent further concluded that defendants violated the code provision; that the building's prior condition was irrelevant to the issue of proximate cause; and that, as a strict liability provision, section 27-1031 (b) (1) did not permit an affirmative defense of reasonable precautions (*see id.* at 242-245).

The Appellate Division granted plaintiffs leave to appeal, certifying the following question to us: “Was the corrected decision and order of this Court, which affirmed the order of the Supreme Court entered September 18, 2008, and reversed an order of said Court entered January 29, 2009, properly made?” We now reverse and answer the certified question in the negative.

[1] “As a rule, violation of a State statute that imposes a specific duty constitutes negligence per se, or may even create absolute liability. By contrast, violation of a municipal ordinance constitutes only evidence of negligence” (*Elliott*, 95 NY2d at 734 [citations omitted]). We have “however, acknowledge[d] that certain sections of the Administrative Code have their origin in State law and, as such, they might be entitled to statutory treatment in tort cases” (*id.* at 736 [citation omitted]). Thus, “[i]n analyzing whether a violation of [an] Administrative Code section should be viewed as negligence per se or as some evidence of negligence, we consider the origin of [the] provision” (*id.* at 733).

Former Administrative Code of the City of New York § 27-1031 (b) (1)² provides:

“When an excavation is carried to a depth more than ten feet below the legally established curb level the person who causes such excavation to be made shall, at all times and at his or her own expense, preserve and protect from injury any adjoining structures, the safety of which may be affected by such part of the excavation as exceeds ten feet below the legally established curb level provided such person is afforded a license to enter and inspect the adjoining buildings and property.”

The provision originated from an 1855 special law (*see* NY Const, art IX, § 3 [d] [4]) that created a duty to protect neighboring landowners in “the city and county of New-York” and the “city of Brooklyn” from harm arising from excavation work where none had existed at common law (L 1855, ch 6, § 1). In effect, the statute, as enacted, shifted the burden of protecting against harm from the landowner to the excavator. In *Dorrity v*

2. Section 27-1031 (b) (1) was repealed effective July 1, 2008 and its equivalent provision is now contained in the New York City Construction Code (Administrative Code, tit 28, ch 33, § 3309.4). We do not pass on that provision, as it is not before us on this appeal.

Rapp (72 NY 307 [1878]), we characterized the statute as imposing absolute liability, stating:

“[t]he primary object of the statute[] was to cast upon the party making an excavation on his land, exceeding ten feet in depth, the risk of injury resulting therefrom to the wall of an adjoining owner, and the burden of protecting it. The liability imposed is not made to depend upon the degree of care exercised by the person making the excavation. *When the facts bring the case within the statute, the duty and liability which the statute imposes is absolute and unqualified*” (*id.* at 311 [emphasis added]).

The original statute was subsequently reenacted under the Consolidation Act of 1882 (*see* L 1882, ch 410, § 474). In 1899, the law was recodified as a municipal ordinance in section 22 of the New York City Building Code, which, in turn, was later incorporated into the Administrative Code as section C26-385.0 (a). In 1968, section C26-385.0 (a) was recodified as section C26-1903.1 (b) (1), and in 1985, that section became section 27-1031 (b) (1). Even after its recodification as a local law, however, New York courts continued to treat the provision as a strict liability statute (*see Hart v City Theatres Co.*, 215 NY 322, 325-326 [1915]; *Racine v Morris*, 201 NY 240, 244 [1911]; *Post v Kerwin*, 133 App Div 404, 405-406 [2d Dept 1909]; *Victor A. Harder Realty & Constr. Co. v City of New York*, 64 NYS2d 310, 317-318 [Sup Ct, NY County 1946]).

We see no reason to depart from that interpretation in our review of section 27-1031 (b) (1). Certainly not every municipal ordinance with state law roots is entitled to statutory treatment, but section 27-1031 (b) (1) is unique. Its language and purpose are virtually identical, in all relevant aspects, to those of its state law predecessors.³ Indeed, as noted by the dissent below, “neither the wording nor the import of the statute was

3. In 1882, the law provided:

“Whenever excavations, for building or other purposes, on any lot or piece of land in the city and county of New York, shall be intended to be carried to the depth of more than ten feet below the curb, and there shall be any party or other wall, wholly or partly on adjoining land and standing upon or near the boundary lines of such lot, the person causing such excavations to be made . . . shall at all times from the commencement until the completion of such excavations, at his own expense, preserve such wall from injury, and so support the same by a proper foundation that it shall remain as stable as before the excavations were commenced” (L 1882, ch 410, § 474).

materially or substantively altered” either upon its recodification as a local law or in the century thereafter (*see Yenem Corp.*, 76 AD3d at 239). Even more important, its original purpose of shifting the risk of injury from the injured landowner to the excavator of adjoining land has remained constant over the years. To hold that a violation of the provision is only “evidence of negligence” would thus defeat the legislation’s basic goal. Though formerly a state law and now a local ordinance, section 27-1031 (b) (1) continues to embody the specific legislative policy that in New York City those who undertake excavation work, rather than those whose interest in neighboring land is harmed by it, should bear its costs.⁴

[2] Finally, we agree with the dissent below that plaintiffs are entitled to summary judgment. Defendants’ affidavits and the report of defendants’ engineers expressly state that the excavation, carried to a depth exceeding the regulatory threshold, undermined the foundation of 287 Broadway and caused it to lean southward. The majority below erred in finding that the building’s allegedly poor condition raised an issue of fact as to causation; though certainly relevant to any measure of damages, consideration of the building’s prior condition does not factor into a proximate cause analysis under section 27-1031 (b) (1).

Accordingly, the order of the Appellate Division should be reversed, with costs, in *Yenem Corp. v 281 Broadway Holdings*, plaintiff’s motion for summary judgment on the issue of liability granted, in *Randall Co., LLC v 281 Broadway Holdings*, the order of Supreme Court reinstated, and the certified question answered in the negative.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and JONES concur.

Order reversed, with costs, in *Yenem Corp. v 281 Broadway Holdings*, plaintiff’s motion for summary judgment on the issue

4. We note that we have previously given elevated treatment to local ordinances derived from special laws, finding that they reflect the “policy of the state” and, in some circumstances, may even override a conflicting state law embodying a countervailing public policy (*see Matter of Patrolmen’s Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563, 576 [2006] [holding that the state policy embodied in Administrative Code § 14-115 (a), which reserves authority over police disciplinary matters to the New York City Police Commissioner, is “so important that the policy favoring collective bargaining (implemented by the Taylor Law) should give way”]).

of liability granted, in *Randall Co., LLC v 281 Broadway Holdings*, order of Supreme Court, New York County, reinstated, and certified question answered in the negative.

[964 NE2d 388, 941 NYS2d 17]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANTHONY STEWARD, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v NAFIS WRIGHT, Appellant.

Argued January 12, 2012; decided February 14, 2012

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 16, 2010. The Appellate Division affirmed an order of the Supreme Court, New York County (Bruce Allen, J.), which had denied defendant's CPL 440.46 motion for resentencing.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 16, 2010. The Appellate Division affirmed an order of the Supreme Court, New York County (Lewis Bart Stone, J.), which had denied defendant's CPL 440.46 motion for resentencing.

People v Steward, 78 AD3d 481, affirmed.

People v Wright, 78 AD3d 474, affirmed.

HEADNOTE

Crimes — Sentence — Drug Law Reform Act of 2009 — Predicate Felony Conviction for Exclusion Offense

Defendants, incarcerated drug felons who had been adjudicated predicate felony offenders based upon prior nonviolent felony convictions, were ineligible for resentencing under the Drug Law Reform Act of 2009 because they had prior convictions for violent felony offenses, on which sentences were imposed not more than 10 years before the commission of their respective drug felonies, excluding time for incarceration, that constituted predicate felony convictions for exclusion offenses under CPL 440.46 (5) (a). It is evident from CPL 440.46 (5) (a) that a predicate felony conviction is not limited to a conviction that has been adjudicated on the basis of a violent felony offense, particularly in light of CPL 440.46 (5) (b)'s prior adjudication requirement. By including that requirement in paragraph (b), which does not include the 10-year limitation, but not paragraph (a), the Legislature plainly intended that defendants with convictions for violent felony offenses need not be previously adjudicated as such before being rendered ineligible for resentencing. Furthermore, while the term "second felony offender" requires an adjudication under CPL 400.21 (7) (c), the term "predicate felony conviction" does not

require any such adjudication (*see* Penal Law § 70.06 [1] [b]). Although the defendants here did not do so, defendants seeking resentencing are not precluded from challenging the validity of their prior violent felony convictions, as the Drug Law Reform Act of 2004 provides that a court may conduct a hearing “to determine any controverted issue of fact relevant to the issue of sentencing” (L 2004, ch 738, § 23).

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Criminal Law §§ 858, 860; AM JUR 2d, Drugs and Controlled Substances § 150.

CARMODY-WAIT 2d, Sentencing Procedures §§ 203:215, 203:216.

McKINNEY’S, CPL 440.46 (5) (a), (b).

NY JUR 2d, Criminal Law: Procedure §§ 3008, 3010.

ANNOTATION REFERENCE

See ALR Index under Drugs and Narcotics; Sentence and Punishment.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*David J. Klem*, *Jan Hoth* and *Robert S. Dean* of counsel), for appellants in the first and second above-entitled actions. Appellants Steward and Wright were eligible for resentencing, pursuant to the Drug Law Reform Act of 2009, because the only “predicate conviction” upon which appellants had been arraigned was a nonviolent offense and, therefore, not an exclusionary offense. (*People v Williams*, 66 NY2d 629; *People v Montilla*, 10 NY3d 663; *People v Samms*, 95 NY2d 52; *Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745; *People v Kuey*, 83 NY2d 278; *People v Harris*, 61 NY2d 9; *People v Mateo*, 93 NY2d 327; *People v Duggins*, 3 NY3d 522; *Sanders v Winship*, 57 NY2d 391; *Matter of Branford House v Michetti*, 81 NY2d 681.)

Cyrus R. Vance, Jr., District Attorney, New York City (*John B. F. Martin* and *Christopher P. Marinelli* of counsel), for respondent in the first above-entitled action. Defendant’s two predicate violent felony convictions for exclusion offenses rendered him ineligible for resentencing under the Drug Law Reform Act

of 2009. (*People v Duggins*, 3 NY3d 522; *People v Wright*, 78 AD3d 474; *People v Brown*, 26 Misc 3d 1204[A], 2010 NY Slip Op 50000[U]; *People v Mills*, 11 NY3d 527; *People v Ramirez*, 49 AD3d 475, 10 NY3d 868; *People v Alcequier*, 43 AD3d 699, 11 NY3d 921; *People v Singleton*, 40 AD3d 502, 9 NY3d 881; *People v Dais*, 81 AD3d 432; *Matter of Albano v Kirby*, 36 NY2d 526; *People v Montilla*, 10 NY3d 663.)

Cyrus R. Vance, Jr., District Attorney, New York City (John B. F. Martin and Christopher P. Marinelli of counsel), for respondent in the second above-entitled action. Defendant's two predicate violent felony convictions for exclusion offenses rendered him ineligible for resentencing under the Drug Law Reform Act of 2009. (*People v Duggins*, 3 NY3d 522; *People v Brown*, 26 Misc 3d 1204[A], 2010 NY Slip Op 50000[U]; *People v Mills*, 11 NY3d 527; *People v Ramirez*, 49 AD3d 475, 10 NY3d 868; *People v Alcequier*, 43 AD3d 699, 11 NY3d 921; *People v Singleton*, 40 AD3d 502, 9 NY3d 881; *People v Dais*, 81 AD3d 432; *Matter of Albano v Kirby*, 36 NY2d 526; *People v Montilla*, 10 NY3d 663; *People v Samms*, 95 NY2d 52.)

OPINION OF THE COURT

PIGOTT, J.

The Drug Law Reform Act of 2009 permits resentencing for persons in the custody of the Department of Corrections and Community Supervision* who are serving an indeterminate sentence with a maximum term of more than three years for a Penal Law article 220 class B felony that was committed before January 13, 2005 (*see* CPL 440.46 [1]). Resentencing is unavailable, however, “to any person who is serving a sentence on a conviction for *or has a predicate felony conviction for an exclusion offense*,” which is defined, as relevant here, as

“(a) a crime for which the person was previously convicted within the preceding ten years, excluding any time during which the offender was incarcerated for any reason between the time of commission of the previous felony and the time of commission of the present felony, which was: (i) *a violent felony offense as defined in section 70.02 of the penal law*” (CPL 440.46 [5] [a] [i] [emphasis supplied]).

* Effective March 31, 2011, the New York State Department of Correctional Services was renamed as the Department of Corrections and Community Supervision (*see* L 2011, ch 62, part C, subpart B, § 79).

Defendant Steward moved for resentencing on his March 2004 convictions for criminal sale of a controlled substance in the third and fourth degrees. He had been arraigned as a predicate felon on the basis of his 1992 conviction for the nonviolent felony of robbery in the third degree, rather than his 1991 convictions for the violent felonies of robbery in the first and second degrees.

Defendant Wright sought resentencing on his May 2005 conviction for criminal possession of a controlled substance in the third degree. At sentencing, he had been adjudicated a predicate felon based on his 1997 conviction for the nonviolent felony of attempted criminal sale of a controlled substance in the third degree, notwithstanding the fact that he also had two 1994 violent felony convictions for attempted robbery in the second degree.

The trial courts in *Steward* and *Wright* concluded that neither defendant was eligible for resentencing because each had been convicted of an “exclusion offense” as defined by CPL 440.46 (5) (a) (i), rejecting defendants’ respective claims that the term “predicate felony conviction” refers to only those felonies upon which a defendant had been adjudicated a predicate felon. The Appellate Division affirmed in each appeal, holding that the reference to “‘predicate felony conviction’ does not require that the defendant be so adjudicated” (*People v Wright*, 78 AD3d 474, 475 [1st Dept 2010]; *People v Steward*, 78 AD3d 481 [1st Dept 2010]). A Judge of this Court granted leave, and we now affirm.

The sole issue raised on these appeals is whether these defendants have predicate felony convictions for exclusion offenses, thereby rendering them ineligible for resentencing. Defendants make an identical argument—that because the convictions upon which they were adjudicated predicate felony offenders were for nonviolent felony offenses, they had no predicate felony convictions for exclusion offenses under CPL 440.46 (5) (a). Thus, the argument goes, although their older violent felony convictions may constitute “prior convictions” or “prior felonies,” they were not predicate felony convictions.

A “predicate felony conviction” is defined, in pertinent part, as a conviction of a felony in this state, for which sentence was imposed before the commission of the current felony and “not more than ten years before commission of the felony of which the defendant presently stands convicted,” excluding “any

period of time during which the person was incarcerated for any reason between the time of commission of the previous felony and the time of commission of the present felony” (Penal Law § 70.06 [1] [b] [i], [ii], [iv], [v]). Defendants concede that they have prior violent felony convictions. Moreover, it is evident from the record that, excluding time for incarceration “for any reason” between the commission of the violent felonies and the present drug felonies, the sentences on those prior convictions were imposed not more than 10 years before the commission of their respective drug felonies for which they seek resentencing. On the face of the statute, therefore, defendants have predicate felony convictions for an “exclusion offense.”

But defendants assert that CPL 440.46 (5) (a) requires that they must have been “arraigned” on a predicate statement and “adjudicated” a predicate felony offender on the basis of a violent felony offense in order for it to render them ineligible for resentencing. However, it is evident from CPL 440.46 (5) (a) that predicate felony convictions are not limited to convictions that have been so “adjudicated,” particularly in light of CPL 440.46 (5) (b)’s explicit language that an “exclusion offense” is also “a second violent felony offense pursuant to [Penal Law § 70.04] or a persistent violent felony offense pursuant to [Penal Law § 70.08] *for which the person has previously been adjudicated*” (emphasis supplied). By including a “prior adjudication” requirement in paragraph (b) (which does not include the 10-year limitation) but not paragraph (a), the Legislature plainly intended that defendants with convictions for violent felony offenses need not be previously adjudicated as such before being rendered ineligible for resentencing under CPL 440.46 (5) (a) (*see Matter of Albano v Kirby*, 36 NY2d 526, 530 [1975] [noting that “(w)hen different terms are used in various parts of a statute . . . , it is reasonable to assume that a distinction between them is intended”]). The plain language of CPL 440.46 (5) (a) and (b) thus demonstrates that prior adjudication is required under the latter provision, but not the former.

Nor do Penal Law § 70.06 (1) (b) and CPL 400.21 (7) (c) limit the term “predicate felony conviction” to only convictions that have been previously adjudicated as such. Penal Law § 70.06 (1) (b) delineates the criteria concerning what types of prior convictions constitute “predicate felony conviction[s],” while CPL 400.21 (7) (c) specifies the procedure courts must follow when determining whether a defendant is a second felony offender, which includes a finding by a court as to whether “the

defendant has been subjected to a predicate felony conviction.” Therefore, while the term “second felony offender” requires an adjudication under CPL 400.21 (7) (c), the term “predicate felony conviction” does not require any such adjudication.

Contrary to defendants’ contentions, our holding does not foreclose defendants seeking resentencing from challenging the validity of the underlying prior violent felony conviction(s) upon which they are denied resentencing. The Drug Law Reform Act of 2004—governing “proceedings on and determination of a motion brought pursuant to [CPL 440.46]”—states that a court may “conduct a hearing, if necessary, to determine whether [a defendant] qualifies to be resentenced or to determine *any controverted issue of fact relevant to the issue of sentencing*” (L 2004, ch 738, § 23 [emphasis supplied]; see CPL 440.46 [3]). Thus, a defendant has an opportunity to challenge the validity of the predicate felony conviction as part of his resentencing application; here, defendants did not challenge the validity of their prior violent felony convictions.

Accordingly, the orders of the Appellate Division in *Steward* and *Wright* should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and JONES concur.

In each case: Order affirmed.

[965 NE2d 240, 942 NYS2d 13]

MINERVA VEGA, Respondent, v RESTANI CONSTRUCTION CORP. et al., Defendants, and GENERAL FENCE CORPORATION, Appellant.

Argued January 3, 2012; decided February 16, 2012

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 27, 2010. The Appellate Division affirmed an order of the Supreme Court, Bronx County (Geoffrey D. Wright, J.), which had denied the motion by defendant General Fence Corporation for summary judgment dismissing the complaint and all cross claims as against it. The following question was certified by the Appellate Division: “Was the order of Supreme Court, as affirmed by this Court, properly made?”

Vega v Restani Constr. Corp., 73 AD3d 641, affirmed.

HEADNOTES

Negligence — What Constitutes — Improper Disposal of Construction Debris in Garbage Can at Park

1. Plaintiff, a park maintenance worker who was allegedly injured in the course of her employment when she attempted to move a garbage can containing concrete, was entitled to a trial on the merits of her claim that defendant subcontractor’s improper disposal of construction debris into the can caused her serious and permanent injuries. Defendant, hired as a subcontractor on a project to renovate the park where plaintiff was injured, failed to meet its burden of making a prima facie showing of entitlement to summary judgment. Defendant failed to prove that it did not place construction debris in the trash receptacle. Its owner averred that he did not remember whether defendant disposed of concrete, and defendant did not place any documentation on the record establishing either that it was not involved in the disposal of concrete as a result of its participation in the renovation project, or, if it was, that the task was properly accomplished. Moreover, even if defendant had met its burden, plaintiff set forth evidence sufficient to establish that there were genuine issues of material fact necessitating a trial. There was evidence that concrete removal was part of the renovation work performed at the park and that there was concrete in the garbage can at the time of plaintiff’s accident. There was also a material factual dispute over whether members of the public had access to the park in the days leading up to plaintiff’s accident.

Negligence — What Constitutes — Improper Disposal of Construction Debris in Garbage Can at Park — Risk of Injury Inherent in Plaintiff’s Work

2. In a personal injury action brought by plaintiff, a park maintenance worker who was allegedly injured in the course of her employment when she attempted to move a garbage can containing concrete disposed of by defendant

subcontractor, defendant failed to meet its burden on its motion for summary judgment under a theory that the risk of injury due to moving very heavy garbage cans was inherent in plaintiff's work so as to bar her from recovery for her injuries. Defendant, hired as a subcontractor on a project to renovate the park where plaintiff was injured, offered no evidence concerning the typical duties of someone working in plaintiff's position. Moreover, plaintiff testified during her deposition that it was not part of her job to dispose of construction debris, and a representative of defendant made statements strongly suggesting that it was the responsibility of the contractors themselves, not the park maintenance staff, to dispose of concrete waste from the renovation project.

Negligence — What Constitutes — Improper Disposal of Construction Debris in Garbage Can at Park — Ordinary and Obvious Hazard

3. In a personal injury action brought by plaintiff, a park maintenance worker who was allegedly injured in the course of her employment when she attempted to move a garbage can containing concrete disposed of by defendant subcontractor during a park renovation project, the hazard of a very heavy garbage can filled with concrete was not, as a matter of law, "ordinary and obvious" so as to bar plaintiff from recovery for her injuries, assuming that the doctrine of open and obvious hazards applies in these circumstances. On defendant's motion for summary judgment there remained triable issues of fact pertaining to whether the risk that the garbage can could be filled with concrete was ordinary and obvious. The record evidence suggested that it would have been unusual and abnormal for there to be concrete in the garbage can, and that the concrete was under some garbage and not visible. Although it might have been possible that the hazard was otherwise obvious because plaintiff could have hefted the can in order to test its weight before attempting to pull it, the record did not support the conclusion that the claimed overloading condition was obvious, and that plaintiff should have known that the can was very heavy due to the presence of concrete, or that attempting to move it on her own would cause injury.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship § 371; AM JUR 2d, Negligence §§ 78–83, 85, 110–116, 148, 763, 773–780, 793, 808, 809, 815, 822, 1006, 1007.

CARMODY-WAIT 2d, Summary Judgment §§ 39:7, 39:12, 39:18.

NY JUR 2d, Employment Relations § 401; NY JUR 2d, Negligence §§ 25, 26, 109, 123, 125, 130; NY JUR 2d, Summary Judgment and Pretrial Motions to Dismiss §§ 9, 10, 18, 22, 23.

PROSSER AND KEETON, TORTS (5th ed) §§ 41, 42, 53, 65, 68.

ANNOTATION REFERENCE

See ALR Index under Contributory Negligence or

Assumption of Risk; Garbage or Refuse; Parks and Playgrounds.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: worker /s injur! & subcontractor & park /s maint!

POINTS OF COUNSEL

O'Connor Redd LLP, White Plains (*Amy Lynn Fenno* of counsel), for appellant. I. An ordinary and obvious hazard of Vega's work as a park maintenance worker was the lifting of heavy garbage cans. (*Marin v San Martin Rest.*, 287 AD2d 441; *Anderson v Bush Indus.*, 280 AD2d 949; *Abbadessa v Ulrik Holding*, 244 AD2d 517; *Jackson v Board of Educ. of City of N.Y.*, 30 AD3d 57; *Imtanios v Goldman Sachs*, 44 AD3d 383, 9 NY3d 1028; *Keating v Cookingham*, 223 AD2d 997; *Kowalsky v Conreco Co.*, 264 NY 125; *Gurung v Arnav Retirement Trust*, 79 AD3d 969; *Walters v Northern Trust Co. of N.Y.*, 29 AD3d 325; *Appelbaum v 100 Church*, 6 AD3d 310.) II. Since General Fence did not have exclusive control over Loreto Park or the garbage can Vega alleges caused her injury the doctrine of *res ipsa loquitur* is inapplicable. (*Durso v Wal-Mart Stores*, 270 AD2d 877; *Finocchio v Crest Hollow Club at Woodbury*, 184 AD2d 491; *Nesbit v New York City Tr. Auth.*, 170 AD2d 92; *Kowalski v Loblaws, Inc.*, 61 AD2d 340; *Pavon v Rudin*, 254 AD2d 143; *Banca Di Roma v Mutual of Am. Life Ins. Co., Inc.*, 17 AD3d 119; *Wolf v American Tract Socy.*, 164 NY 30; *Abbott v Page Airways*, 23 NY2d 502; *Cole v Swagler*, 308 NY 325; *Manley v New York Tel. Co.*, 303 NY 18.) III. General Fence met its burden of proof on its motion for summary judgment and plaintiff did not create an issue of fact warranting denial of the motion. (*Kambat v St. Francis Hosp.*, 89 NY2d 489; *Dermatossian v New York City Tr. Auth.*, 67 NY2d 219; *Corcoran v Banner Super Mkt.*, 19 NY2d 425; *Wolf v American Tract Socy.*, 164 NY 30; *JMD Holding Corp. v Congress Fin. Corp.*, 4 NY3d 373; *Keating v Cookingham*, 223 AD2d 997; *Spearmon v Times Sq. Stores Corp.*, 96 AD2d 552.)

Pollack, Pollack, Isaac & De Cicco, New York City (*Brian J. Isaac* and *Jillian Rosen* of counsel), and *Law Offices of Stillman & Stillman*, Bronx, for respondent. I. The First Department's order denying General Fence summary judgment is correct; plaintiff's accident was not caused by a condition inherent in her work and there is not a scintilla of evidence that Ms. Vega

performed her work carelessly. (*Marin v San Martin Rest.*, 287 AD2d 441; *Anderson v Bush Indus.*, 280 AD2d 949; *Abbadessa v Ulrik Holding*, 244 AD2d 517; *Jackson v Board of Educ. of City of N.Y.*, 30 AD3d 57; *Imtanos v Goldman Sachs*, 44 AD3d 383, 9 NY3d 1028; *Keating v Cookingham*, 223 AD2d 997; *Steiner v Benroal Realty Assoc.*, 290 AD2d 551; *Knisley v Pratt*, 148 NY 372; *Kowalsky v Conreco Co.*, 264 NY 125; *Mullin v Genesee County Elec. Light, Power & Gas Co.*, 202 NY 275.) II. The doctrine of *res ipsa loquitur* is applicable since plaintiff raised a question of fact on the issue of exclusive control by General Fence. (*People v Geraci*, 85 NY2d 359; *Caraballo v Paris Maintenance Co.*, 2 AD3d 275; *Morejon v Rais Constr. Co.*, 7 NY3d 203; *Interested Underwriters at Lloyds v Associated Ceilings Corp.*, 55 NY2d 635; *Pollock v Rapid Indus. Plastics Co.*, 113 AD2d 520; *Corcoran v Banner Super Mkt.*, 19 NY2d 425; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Coastal Sheet Metal Corp. v Martin Assoc., Inc.*, 63 AD3d 617; *Bryan v 250 Church Assoc., LLC*, 60 AD3d 578; *Torres v Industrial Container*, 305 AD2d 136.) III. General Fence failed to meet its *prima facie* burden of eliminating all issues of fact and plaintiff raised questions of fact through defendant's own evidence. (*Colt v Great Atl. & Pac. Tea Co.*, 209 AD2d 294; *Simmons v City of New York*, 146 AD2d 624; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Olan v Farrell Lines*, 64 NY2d 1092.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

We hold that plaintiff, a park maintenance worker, is entitled to a trial on the merits of her claim that a subcontractor's improper disposal of construction debris caused her serious and permanent injuries when, in the course of her employment in a Bronx park, she attempted to move a garbage barrel containing such waste. Whether or not plaintiff will ultimately prevail, she is entitled to present her claim to a trier of fact, and, accordingly, we find that the lower courts correctly denied the summary judgment motion of defendant-appellant General Fence Corporation (GFC).

In 2001, defendant¹ general contractor Restani Construction Corporation (Restani) was awarded a bid to work on the renovation of several Bronx parks, including Loreto Park. Defendant GFC was hired as a subcontractor on the project. Plaintiff

1. Restani is a defendant in this action but is not a party to this appeal.

Minerva Vega, a park maintenance worker employed by the City of New York Parks and Recreation Department asserts that on the morning of May 28, 2002, when she attempted to pull a trash can from its location in Loreto Park in order to move it to the front entrance for pick up by the New York City Department of Sanitation she was unable to do so and felt a tear in her shoulder.² Defendant's coworker, Ms. Jackie Diaz averred that "[w]hen I looked in the garbage barrel that day, I saw chunks of cement that could only have come from the [other] workers who were repairing/fixing the park." Plaintiff commenced the instant action against several defendants, including defendant-appellant GFC, alleging that the "accident occurred wholly as a result of the defendants' negligence without any contributory negligence on [her] part." The Appellate Division affirmed the Supreme Court's denial of defendant's motion for summary judgment (73 AD3d 641 [1st Dept 2010]). The Appellate Division granted defendant GFC's motion for leave to appeal (2010 NY Slip Op 84110[U] [2010]) and we now affirm.

[1] On a motion for summary judgment, facts must be viewed "in the light most favorable to the non-moving party" (*Ortiz v Varsity Holdings, LLC*, 18 NY3d 335, 339 [2011]). Summary judgment is a drastic remedy, to be granted only where the moving party has "tender[ed] sufficient evidence to demonstrate the absence of any material issues of fact" (*Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]) and then only if, upon the moving party's meeting of this burden, the non-moving party fails "to establish the existence of material issues of fact which require a trial of the action" (*id.*). The moving party's "[f]ailure to make [a] prima facie showing [of entitlement to summary judgment] requires a denial of the motion, *regardless of the sufficiency of the opposing papers*" (*id.* [emphasis added]). We conclude that GFC has failed to meet its burden as the moving party and that, in any event, assuming, for the sake of argument, that GFC has met its burden, plaintiff has set forth evidence sufficient to establish that there are genuine issues of material fact necessitating a trial.

Defendant GFC has failed to meet its burden of "demonstrat[ing] the absence of any material issues of fact" (*Alvarez*, 68 NY2d at 324). In its counsel's affirmation in support of its motion for summary judgment, GFC argued that "even had

2. Plaintiff testified during her May 24, 2005 deposition that her injuries included "a complete tear of the rotator cuff" in three different places.

General Fence placed . . . concrete debris into the container (which it denies having done), putting[] debris into a garbage container is not an act of negligence upon which plaintiff can base a claim” and that “there is no evidence to support plaintiff’s contention that there was a concrete block in the garbage can” and “no evidence that General Fence . . . performed any concrete excavation at the site.” The affirmation relied on the affidavit of Dalton Johnson, principal owner of GFC, for the proposition that “General Fence did not place concrete into garbage containers as a general practice and would not have done so at this park if it had in fact performed excavation work.”

As a preliminary matter, we find GFC misapprehends the nature of the alleged circumstances of the accident here. GFC appears to view Ms. Vega’s alleged accident as a simple case of injury resulting from placing garbage into a garbage can. We disagree. While, as a general premise, the act of throwing ordinary garbage into a designated receptacle is unlikely to be negligent, GFC did not come forward with any evidence establishing that the disposal of construction debris into a public trash can by a subcontractor would not constitute negligence, and the cases on which it relies are distinguishable. A sharp contrast may be drawn between the present allegations of improper disposal of construction debris and the circumstances attendant to a homeowner placing a bulky couch on the curb for collection or park visitors filling a garbage can with common items of trash.

Nor did GFC prove that it did not place construction debris in the trash receptacle. GFC’s reliance on Mr. Johnson’s affidavit is misplaced. He averred that he did not remember whether GFC disposed of concrete and GFC has not placed any documentation on the record establishing either that it was not involved in the disposal of concrete as a result of its participation in the renovation project at Loreto Park, or, if it was, that the task was properly accomplished (i.e., paid invoices to contractors). Mr. Johnson’s failure to recall (and GFC’s apparent failure to document) whether it was involved in concrete disposal as part of the Loreto Park project is insufficient to meet GFC’s burden of demonstrating that there are no triable issues and that it is accordingly entitled to summary judgment. Additionally, Mr. Sal Restivo, of Restani, testified that he was “not sure” whether concrete was broken during the project and that the only two contractors at the site who would have broken concrete were Restani and GFC. Plaintiff testified during her March 11, 2006

deposition that she observed the breaking of “rock” as part of the work performed at the park. In addition, a work order for the renovation project at Loreto Park, dated February 20, 2002, lists “[r]emove reinforced concrete” as a task to be completed. Finally, contrary to GFC’s assertion in its affirmation, there is record evidence supporting Ms. Vega’s allegation that there was concrete in the trash can at the time of her accident. Ms. Diaz stated in her affidavit that she identified concrete in the garbage can on the day of the accident: “Minnie hurt her shoulder trying to move that garbage barrel and never came back to work after that day. When I looked in the garbage barrel that day, I saw chunks of cement.” It is not the function of a court deciding a summary judgment motion to make credibility determinations or findings of fact, but rather to identify material triable issues of fact (or point to the lack thereof) (*see Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395, 404 [1957] [noting that in deciding a motion for summary judgment “ ‘issue-finding, rather than issue-determination, is the key to the procedure’ ”] [citation omitted])).

There is a material factual dispute in this case over whether members of the public had access to the park in the days leading up to Ms. Vega’s accident. Mr. Restivo testified that Restani finished its work at the park on May 20th. However, there is evidence in the record, in the form of a Punch List, dated May 21, 2002, and a Weekly Progress Report dated May 24, 2002, suggesting that additional work was done after the 20th. During her March 11, 2006 deposition, Ms. Vega testified that she did not enter Loreto Park while the construction project was ongoing, but rather did some cleaning work on the outside of the park during that time. Her testimony also suggested that Loreto Park reopened to the public on May 26th, two days before her accident. When asked when the construction ended and Ms. Vega returned to her normal duties at the park, she replied “[t]hat was on the 20, the 26th, the 26th [of May].” However, plaintiff’s coworker, Ms. Diaz, averred that “[t]he date of Minerva Vega’s accident, was our first day back to Loreto Park,” suggesting that the park may not have reopened until the day of the accident. Because GFC has failed to meet its burden of demonstrating that triable issues do not exist as to the identity of the party responsible for the allegedly negligent dumping, we cannot conclude on the basis of this record, that GFC was not responsible for placing the concrete into the garbage can.

[2] GFC urges this Court to find that the risk of injury due to moving very heavy garbage cans was inherent in plaintiff’s work

and, as such, she is barred from recovery for injuries she sustained when attempting to move the garbage can allegedly made heavy by disposed concrete. This principle is derived from the common-law duty of an “employer . . . to provide his employees with a safe place to work” and that duty “does not extend to hazards which are part of or inherent in the very work” being performed (*Gasper v Ford Motor Co.*, 13 NY2d 104, 110 [1963]). It is discussed in various Appellate Division cases (see e.g. *Anderson v Bush Indus.*, 280 AD2d 949, 950 [4th Dept 2001] [holding that “the hazard of being injured as a result of repeatedly lifting heavy boxes and loading them into a truck is inherent in the work of a UPS driver”]; *Marin v San Martin Rest.*, 287 AD2d 441, 441 [2d Dept 2001] [holding that “(t)he hazard of being injured as a result of lifting a heavy garbage bag and loading it into a sanitation truck is inherent in the work of a sanitation worker”]). Assuming that this rule is applicable here where defendant is not plaintiff’s employer and GFC is not the owner of the premises on which the accident allegedly occurred, based on this record, we cannot agree with GFC that as a matter of law, the risk of injury due to moving very heavy garbage cans filled with concrete was inherent in plaintiff’s work. In support of its motion, GFC offered no evidence concerning the typical duties of someone working in plaintiff’s position. Furthermore, plaintiff testified during her 2005 deposition that it was not part of her job to dispose of construction debris: “when they finished one area, finished the construction, then we cleaned whatever garbage cans had to be removed, not their garbage, but the garbage that people had left around the park in the garbage cans.” In addition, a representative of GFC, Mr. Johnson, made statements strongly suggesting that it was the responsibility of the contractors themselves, not the park maintenance staff, to dispose of concrete waste from the Loreto Park renovation project. Accordingly, we hold that GFC failed to meet its burden as the movant for summary judgment on this theory.

[3] GFC argues that the hazard of a very heavy trash can filled with concrete was “ordinary and obvious,” and therefore that plaintiff is not entitled to recovery. In *Abbadessa v Ulrik Holding* (244 AD2d 517, 518 [2d Dept 1997], *lv denied* 91 NY2d 814 [1998]), the Appellate Division held that

“[w]hen a workman confronts the ordinary and obvious hazards of his employment, and has at his

disposal the time and other resources (e.g., a co-worker) to enable him to proceed safely, he may not hold others responsible if he elects to perform his job so incautiously as to injure himself.”

This rule is derived from general principles of negligence involving open and obvious hazards (*cf. Tagle v Jakob*, 97 NY2d 165, 169 [2001] [recognizing the longstanding rule that “a landowner has no duty to warn of an open and obvious danger”]). *Abbadessa* was an action by a sanitation worker against a property owner. Assuming this doctrine applies to the present case in which plaintiff sues a third party which does not own Loreto Park, we cannot agree that as a matter of law, the hazard in this case (the piece of concrete that rendered the can too heavy for plaintiff to move by herself without injury) was “ordinary and obvious.” We hold that there remain triable issues of fact pertaining to whether the risk that the trash can could be filled with concrete was “ordinary and obvious.” The record evidence suggests that it would have been unusual and abnormal for there to be concrete in the garbage can. In addition, while we do not equate obviousness with visibility, we find it significant that plaintiff’s coworker, Ms. Diaz averred that “[t]he garbage barrel was pretty full of the cement chunks but they were at the bottom and the garbage barrels were very wide. There was garbage on top of the cement and you couldn’t see the cement chunks.” It may be possible, as GFC argues, that the hazard, while not visible, was otherwise obvious because plaintiff could have hefted the can in order to test its weight before attempting to pull it. However, on the basis of the present record, we cannot conclude that the claimed overloading condition was obvious, and that plaintiff should have known that the can was very heavy due to the presence of concrete, or that attempting to move it on her own would cause injury.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

SMITH, J. (dissenting). I dissent because I see no basis on which a finder of fact could rationally conclude, by a preponderance of the evidence, that an employee of General Fence Corporation (GFC) put the concrete in the trash can.

The affidavit of GFC’s principal owner, while not claiming a specific recollection of the events, flatly denied that GFC was the guilty party. Johnson testified that he did not remember

whether GFC did any concrete removal at this site; that it was GFC's "custom and practice . . . to physically remove any and all debris that it creates from the work site"; and that "[i]n no event would [GFC] have disposed of concrete or concrete debris in one of the refuse containers intended for the public's usage."

I am mystified by the majority's conclusion that this was insufficient to meet GFC's burden on summary judgment. What else was Johnson supposed to say? The majority faults him for his "failure to recall" and GFC for its "apparent failure to document . . . whether it was involved in concrete disposal" (majority op at 504). But a small business cannot reasonably be expected to produce specific proof, years after the event, of everything it did not do. If I were asked whether I put a large, heavy object in a public trash can three years ago, I could only answer as Johnson did: I do not remember everything I did then, but I know from my custom and practice that I did not do that. GFC's reliance on its customary procedures was sufficient to meet its summary judgment burden.

In opposition to GFC's summary judgment motion, plaintiff offered no evidence at all to connect GFC to the disposal of the concrete. If concrete work was done on this project, it could equally well have been done either by the general contractor, Restani, or by GFC—indeed, my reading of the record suggests that it is slightly more likely that Restani did any such work. And a third possibility existed: that the source of the debris in the trash can was neither of those two contractors, but someone who entered the park after the contractors' work was done. The construction job was largely completed by May 20, eight days before the accident, and there is no evidence of any work done after May 24. (Any concrete removal would have to have been done long before.) Plaintiff's own testimony, as the majority acknowledges, "suggested that Loreto Park reopened to the public on May 26th, two days before her accident" (majority op at 505). The majority strains to find in the testimony of plaintiff's coworker, who said that the day of the accident "was *our* first day back to Loreto Park" (emphasis added), a basis for the majority's surmise "that the park *may* not have reopened until the day of the accident" (*id.* [emphasis added]).

No plaintiff's verdict here could rest on anything but speculation. Summary judgment should have been granted dismissing the complaint.

Judges CIPARICK, GRAFFEO and JONES concur with Chief Judge LIPPMAN; Judge SMITH dissents in a separate opinion in which Judges READ and PIGOTT concur.

Order affirmed, etc.

[965 NE2d 906, 942 NYS2d 404]

DAVID MIRVISH, Appellant, v HANNO D. MOTT, Individually and as Executor of YULLA H. LIPCHITZ, Deceased, et al., Respondents.

Argued January 3, 2012; decided February 16, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 27, 2010. The Appellate Division (1) reversed, on the law, a decree of the Surrogate's Court, New York County (Renee R. Roth, S.), which had granted petitioner's cross motion for summary judgment finding that the decedent's inter vivos gift of certain artwork was valid and denied respondent executor's motion for summary judgment dismissing the petition, (2) granted the motion of respondent to the extent of declaring that petitioner's claims of ownership of certain artwork and his claims for damages were barred by the statute of limitations, and (3) denied petitioner's cross motion.

Mirvish v Mott, 75 AD3d 269, reversed.

HEADNOTE

Gifts — Inter Vivos Gift — Monumental Sculpture

A 1,100-pound bronze sculpture was the subject of a valid inter vivos gift to plaintiff's assignor since each of the elements of a valid inter vivos gift—intent on the part of the donor to make a present transfer; delivery of the gift, either actual or constructive to the donee; and acceptance by the donee—was established by clear and convincing evidence. Following the death of the sculptor's wife, who had inherited the work after the artist's death, plaintiff's assignor produced a photograph of the sculpture, signed and dated on the back in the widow's handwriting, with a notation stating "I gave this sculpture 'The Cry' to my good friend [plaintiff's assignor]." The manner of the gift was consistent with the widow's pattern of making gifts of similar items to plaintiff's assignor. The intent of the widow to make a present transfer of the sculpture was clear on the face of the gift instrument. There was no suggestion that she had been coerced; there was no question about her capacity. In addition, mere possession of a gift after the donor's death creates a presumption of delivery to the donee during the donor's lifetime and the executor of the widow's estate failed to raise a triable issue of fact so as to overcome the presumption of delivery. Nor was there any dispute that the plaintiff's assignor accepted the gift. The Dead Man's Statute (CPLR 4519) created no impediment to the assignor's reliance on the presumption of delivery created by his possession of the gift instrument, which was specifically addressed to him, after the death of the artist's widow. Moreover, even assuming that the limitations period had lapsed on the plaintiff's conversion and replevin claims, the executor, on behalf of the estate, acknowledged in a related settlement

agreement that the Surrogate's Court would decide the ownership of the sculpture "on the merits" and, therefore, the estate could not secure possession of the sculpture without a final judicial determination of ownership in its favor.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Gifts §§ 14–22, 28, 63, 77, 79, 83, 85; AM JUR 2d, Witnesses §§ 544, 547, 563, 564, 605.
CARMODY-WAIT 2d, Presentation of the Case §§ 56:159–56:161, 56:164, 56:168.
McKINNEY's, CPLR 4519.
NY JUR 2d, Evidence and Witnesses §§ 916, 917; NY JUR 2d, Gifts §§ 2, 7, 9, 17, 29–38, 41, 44–46, 48, 73.

ANNOTATION REFERENCE

See ALR Index under Dead Man's Statute; Gifts and Donations.

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Query: gift /p death /s donor /p presum! /s deliver!

POINTS OF COUNSEL

Carter Ledyard & Milburn LLP, New York City (Gary D. Sesser, Ronald D. Spencer, Susan B. Kalib and Judith M. Wallace of counsel), for appellant. I. Yulla Lipchitz' gift of "The Cry" to Biond Fury was valid. (*Gruen v Gruen*, 68 NY2d 48; *Matter of Szabo*, 10 NY2d 94; *Matter of Van Alstyne*, 207 NY 298; *Beaver v Beaver*, 117 NY 421; *Sofsky v Rosenberg*, 76 NY2d 927; *Davin v Isman*, 228 NY 1; *Matter of Brown*, 252 NY 366; *Indig v Finkelstein*, 23 NY2d 728; *Cowee v Cornell*, 75 NY 91; *Anagnostou v Stifel*, 168 AD2d 256.) II. The Appellate Division failed to distinguish between the right of ownership and the remedy of conversion. (*Tanges v Heidelberg N. Am.*, 93 NY2d 48; *Solomon R. Guggenheim Found. v Lubell*, 77 NY2d 311; *Bakalar v Vavra*, 619 F3d 136.) III. The Appellate Division erred in holding that Mott's actions before 2004 constituted conversion. (*State of New York v Seventh Regiment Fund*, 98 NY2d 249; *Solomon R. Guggenheim Found. v Lubell*, 77 NY2d 311; *Vigilant Ins. Co. of Am. v Housing Auth. of City of El Paso, Tex.*, 87 NY2d 36; *Sporn v MCA Records*, 58 NY2d 482; *Pease v Smith*, 61 NY 477; *Stanley v Morgan Guar. Trust Co. of N.Y.*, 173 AD2d 390; *General Stencils v Chiappa*, 18 NY2d 125.)

Rottenberg Lipman Rich, P.C., New York City (Harry W.

Lipman and Robert A. Freilich of counsel), for respondents. I. The Appellate Division correctly held that Mirvish's causes of action are time-barred. (*Sporn v MCA Records*, 58 NY2d 482; *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399; *State of New York v Seventh Regiment Fund*, 98 NY2d 249; *Varga v Credit-Suisse*, 5 AD2d 289, 5 NY2d 865; *Guild v Hopkins*, 271 App Div 234, 297 NY 477; *Solomon R. Guggenheim Found. v Lubell*, 77 NY2d 311; *Brown v Garey*, 267 NY 167; *Boyce v Brockway*, 31 NY 490; *Lavery v Snethen*, 68 NY 522; *Employers' Fire Ins. Co. v Cotten*, 245 NY 102.) II. Mirvish's claims are time-barred because Fury failed to sue within three years of his alleged receipt of the gift instrument. (*Telaro v Telaro*, 25 NY2d 433; *New York City Tr. Auth. v New-York Historical Socy.*, 167 Misc 2d 31, 237 AD2d 419; *Elghanayan v Elghanayan*, 265 AD2d 262; *State of New York v Seventh Regiment Fund*, 98 NY2d 249; *Martin v Briggs*, 235 AD2d 192; *SongByrd, Inc. v Estate of Grossman*, 206 F3d 172, 531 US 824; *Herrington v Verrilli*, 151 F Supp 2d 449.) III. Mirvish cannot prove that Ms. Lipchitz completed a valid inter vivos gift of "The Cry." (*Gruen v Gruen*, 68 NY2d 48; *Matter of Abramowitz*, 38 AD2d 387, 32 NY2d 654; *Freeman v Johnston*, 84 NY2d 52, 513 US 1016; *Zuckerman v City of New York*, 49 NY2d 557; *Friends of Animals v Associated Fur Mfrs.*, 46 NY2d 1065; *Sofsky v Rosenberg*, 76 NY2d 927; *Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106; *Davin v Isman*, 228 NY 1; *Gaines v Huyler*, 113 Misc 188, 206 App Div 777, 239 NY 611; *Matter of Scherzinger*, 272 App Div 722.) IV. Dismissing Mirvish's claim to ownership on grounds of untimeliness or failure of delivery makes for good public policy.

OPINION OF THE COURT

READ, J.

Jacques Lipchitz, the Russian-born cubist sculptor, died in 1973 at the age of 81. He was survived by his wife, Yulla H. Lipchitz, who inherited many valuable works of art from her husband, including "The Cry," a 1,100-pound bronze sculpture, cast three of seven, 1928-1929. After she was widowed, Yulla began a relationship with Biond Fury as early as 1980; the two of them lived together for 17 years prior to her death on July 20, 2003 at the age of 92.

From time to time, Yulla would make gifts to Fury, including art created by her late husband. She memorialized these gifts by giving Fury a picture of the artwork with a writing describing the piece and declaring that it was a gift. After Yulla's death,

Fury produced a photograph of “The Cry” with the following notation on the back, in Yulla’s handwriting: “I gave this sculpture ‘The Cry’ to my good friend Biond Fury in appreciation for all he did for me during my long illness. With love and my warm wishes for a Happy Future, Yulla Lipchitz October 2, 1997, New York.” At the time, “The Cry” was apparently in storage in New York in the custody of the Marlborough Gallery, Inc. (Marlborough), the Manhattan art dealer.¹

About a year later, the French minister of culture and communication approached Pierre Levai, Marlborough’s president, to ask about the possibility of placing “The Cry” on exhibit in Paris for a period of five years, “with a view to its ultimately being purchased.” The minister proposed to include “The Cry” in a group of modern and contemporary works to be installed in the Tuileries Gardens near the Louvre Museum. On November 11, 1998, Levai wrote the minister that he had discussed the French government’s request “with the Lipchitz family,” who agreed to loan the sculpture for three years, unless Yulla died earlier. At the conclusion of the loan, Levai continued, the family was “prepared to negotiate a sale of the work,” but if “[a]t the conclusion of the loan, . . . the sculpture [was] not purchased, it [was] to be returned to the Lipchitz family in New York at the borrower’s cost.”

Levai discussed the loan of “The Cry” to the French government only with Mott, never with Yulla. Mott, who at the time did not know about the handwritten gift instrument conveying “The Cry” to Fury, is the executor and a residuary beneficiary of one third of his mother’s estate. He is an attorney, and he handled Yulla’s financial affairs and held power of attorney from her for many years prior to her death. Mott also performed legal work for Marlborough, beginning as early as 1980.

According to Mott, he talked to his mother about the loan and, on her behalf, “consented that [‘The Cry’] should be put on display in the [Tuileries Gardens] in Paris and it was and it

1. Marlborough’s records show that “The Cry” was “picked up” from the Lipchitz studio in Hastings-on-Hudson on July 9, 1997 for transport to the Marlborough warehouse. Fury, on the other hand, testified that, to the best of his recollection, in the late 1990s “The Cry” was moved from the Lipchitz studio to the Michael Leonard warehouse in New York, which is where he believed it to be located at the time Yulla made the gift of it to him; and that sometime later Hanno Mott, Yulla’s son from her first marriage, arranged for “The Cry” to be transported elsewhere. Although Fury did not know for sure, he “assume[d]” that “The Cry” was delivered to the Marlborough warehouse after it was removed from the Michael Leonard warehouse at Mott’s direction.

had [Yulla's] name on the loan." The French government at some point also inquired if, once the exhibition was over, Yulla was willing to make a gift of "The Cry." Mott testified that Yulla told him "No, of course not, but if they want to buy it, they can buy it"—i.e., that "we would [give] . . . a right of first refusal." "The Cry" was in Paris, subject to this agreement, when Yulla died. Her will did not mention "The Cry" or any other specific work of art. Fury claims not to have known that the sculpture was loaned to the French government in 1998.

On March 9, 2004, Fury's attorney sent a letter to Mott's attorney demanding immediate delivery of "The Cry" to Fury; he enclosed a copy of the deed of gift. Fury's attorney sent a second letter on September 30, 2004, noting that there had been no response to "[the] March 9, 2004 demand to deliver '[T]he Cry' to Mr. Fury." Then on January 12, 2005, Fury's attorney wrote yet again, complaining that he had "not received any response to [his] repeated written demands for delivery of 'The Cry' which was indisputably gifted to Mr. Fury by Yulla Lipchitz"; renewing the demand; and warning that "[f]ailure to deliver [the sculpture would] require commencement of a proceeding under SCPA 2105." This provision authorizes a person with a claim to property or the proceeds thereof alleged to be in a fiduciary's possession or control to petition Surrogate's Court for an order requiring the fiduciary to show cause why he should not deliver the property or proceeds (*see* SCPA 2105 [1]). Upon return of process, the surrogate must "determine the respective interests of the parties in the property or the proceeds or value thereof and make a decree accordingly" (SCPA 2105 [3]).

Mott claims to have sold "The Cry" and three other sculptures in a package deal in July 2004 to Marlborough International Fine Art Establishment (Marlborough International) for \$1 million. He testified that he did this because these four works had been on consignment for a very long time,² and the estate needed the cash; moreover, he "did not believe that there was

2. The record is not clear as to whether "The Cry" was entrusted to Marlborough for sale as well as storage. Mott testified that in March 2004, when he first became aware of Fury's claim of ownership, "The Cry" "had been on consignment and was continuing on consignment" with Marlborough although "there was no written consignment agreement," simply "a receipt that the work was received on consignment." For his part, Levai first declared that "[t]o the best of [his] knowledge," Mott in 1997 asked him "to keep ['The Cry'] for him, to keep it with some other sculptures in order to help him in storage"; and that he "really [didn't] remember" if "The Cry" was consigned to Marlborough. He later testified that "to the best of [his] knowledge," there

any merit to [Fury's] claim." But in a letter to the French minister dated January 10, 2005, six months *after* the purported sale of "The Cry" to Marlborough International, Mott informed the minister that Yulla had passed away in 2003; noted that "the agreement for the loan also provided that at its conclusion the Lipchitz family would be prepared to negotiate a sale of the Sculpture"; and inquired "[o]n behalf of the family . . . whether the Ministry [had] any interest in acquiring the Sculpture at this time before arrangements are made for its return."

On September 15, 2005, Fury sold his interest in "The Cry" to David Mirvish, an art collector and gallery owner in Toronto, for \$220,000. On October 4, 2005, Mirvish's attorney notified Mott of the sale, and demanded that he let Mirvish know where the sculpture was and "allow [him] to take possession of it within 10 days of [the] letter"; and "[p]ending resolution of this matter, . . . make no sale or other transfer of the sculpture nor remove it from its present location." In a letter dated October 14, 2005, the estate's attorney refused this demand, asserting that "the Estate was the true owner of ['The Cry'], which was never subject of a valid *inter vivos* gift from [Yulla] to Biond Fury"; on October 20, 2005, he additionally informed Mirvish's attorney that the sculpture "had been on consignment to a gallery for many years and was sold over a year ago."

By petition dated October 26, 2005, Mott, as the executor of Yulla's estate, brought an action against Fury, asking Surrogate's Court for a determination pursuant to SCPA 209 (4) that the estate "was the rightful owner of, and . . . legitimately sold and passed title of the Cry."³ Section 209 (4) empowers Surrogate's Court "[t]o determine a decedent's interest in any property claimed to . . . be property available for distribution under [the] will . . . , and to determine the rights of any persons claiming an interest therein, as against the decedent, or as between themselves, and to construe any instruments made by [decedent] affecting such property."

was no consignment agreement for "The Cry"; that Marlborough customarily memorialized consignments in a writing; that "The Cry" was not, in fact, consigned to Marlborough; and that Marlborough was never "asked to attempt to sell" the sculpture apart from the discussions with the French government.

3. Ownership of "The Cry" was not the only bone of contention between Mott and Fury. The petition, among other things, also asked the surrogate to determine that the estate was the rightful owner of two other works of art that Fury claimed Yulla gave him as gifts. One of these was alleged to have subsequently been sold to Mirvish's art gallery, which was therefore named as a respondent.

Mirvish subsequently commenced this action in Surrogate's Court against Mott, individually and as executor of Yulla's estate, by petition dated July 31, 2006. He asserted various causes of action against Mott, the estate or both; specifically, he alleged conversion; sought to impose a constructive trust on proceeds from the sale of "The Cry" received by the estate; asked for an order pursuant to SCPA 2105 compelling delivery of the property or the proceeds from its sale; alleged replevin; and demanded an order pursuant to SCPA 2102⁴ disclosing the sculpture's whereabouts. In September 2006, Mott filed an answer that raised a statute of limitations defense.

Upon Mirvish's application, Surrogate's Court issued an order dated September 12, 2007 directing Mott to hold in escrow the \$1 million that he "received on his alleged sale of The Cry, pending resolution of the conflicting claims of ownership" (2007 NY Misc LEXIS 7111, *8 [Sur Ct, NY County 2007]). The surrogate noted "that on one hand [Mott] claim[ed] to have sold The Cry in 2004, while on the other hand he subsequently corresponded with the French government presenting himself as still having control over the statue" (*id.* at *3-4). She concluded that equitable relief was warranted in view of these "discrepancies in [Mott's] assertions regarding his control over, and ownership of [] The Cry, coupled with his obvious willingness to ignore claims which he on his own determined to be invalid without first seeking judicial determination" (*id.* at *5).

By letter dated September 19, 2007, Mirvish's attorney notified Surrogate's Court that his client had filed suit in Supreme Court in June 2007 against Marlborough and Marlborough International for "among other things, conversion relating to the July 2004 sale of *The Cry* by Hanno Mott, on behalf of the Estate, to Marlborough International, and the subsequent transfer of *The Cry* to Switzerland in 2006." He informed the surrogate that this lawsuit had been settled almost immediately, on August 23, 2007, and "[p]ursuant to the settlement, the July 2004 sale was rescinded and *The Cry* . . . returned to New York [where it was] being held in escrow pending [her] determination of the ownership issue."

Mott, as executor of Yulla's estate, joined the settlement agreement, thereby agreeing to be bound by paragraphs 4 and 6

4. SCPA 2102 authorizes a proceeding in Surrogate's Court to require a fiduciary "[t]o supply information concerning the assets or affairs of an estate relevant to the interest of the petitioner when the fiduciary has failed after request made upon him in writing therefor" (SCPA 2102 [1]).

through 16 inclusive (with one exception not relevant here).⁵ Notably, paragraph 4.b of the agreement states that the escrow agent shall hold “The Cry” and a disclaimer of interest in the sculpture executed by Marlborough and Marlborough International “until such time as it receives (i) joint instruction from Mirvish and Hanno Mott . . . , or (ii) *a final non-appealable judgment of a New York State Court determining ownership of the Sculpture*, whereupon the Sculpture and disclaimer of interest shall be delivered pursuant to such joint instruction or judgment” (emphasis added). Paragraph 7 describes the Surrogate’s Court proceeding as “litigation over title” to “The Cry.”

Subsequent to the settlement, the parties skirmished by letter and motion practice over the release of the \$1 million held in escrow. At a court conference on September 4, 2008 and by letter dated the same day, though, Mirvish’s attorney confirmed to the surrogate that his client had “withdrawn his claims for conversion and replevin in order to simplify the issues before the Court,” and, as a result, was “also withdrawing his objection to Mr. Mott’s motion to vacate the temporary restraining order requiring [him] to keep \$1 million in escrow and restraining him from selling *The Cry*.” By September 2008, of course, “The Cry” had been returned from Switzerland to New York and was in the custody of the agreed-upon escrow agent. By order dated October 3, 2008, Surrogate’s Court vacated its prior order directing Mott to escrow \$1 million, pursuant to the parties’ stipulation consenting to the release of these monies.

At the time the settlement agreement was reached in August 2007, Mott’s motion and Mirvish’s cross motion for summary judgment in this action, filed the previous June and July, respectively, were pending. Mott argued in his motion that Mirvish’s claim was untimely, and he could not prove all elements of a gift. Mirvish countered Mott’s motion and contended in his cross motion that Yulla made a valid gift of “The Cry” to Fury; Mott’s refusal to turn over “The Cry” and the estate’s sale of the sculpture in 2004 were acts of conversion; and Mirvish, as Fury’s assignee, was the true owner of “The Cry.”

By order dated December 30, 2008, Surrogate’s Court granted Mirvish’s cross motion and denied Mott’s motion for summary judgment. The surrogate concluded that Yulla had made a valid

5. Indeed, the obligations of Mirvish, Marlborough and Marlborough International under the settlement agreement were contingent upon Mott’s execution of the joinder by August 31, 2007.

inter vivos gift of “The Cry” to Fury. She observed that the wording of the deed of gift was “in the past tense, i.e., ‘I gave this sculpture “The Cry” to my good friend Biond Fury,’ ” which was not only “indicative of an antecedent transfer,” but also “clearly identifie[d] the intended object and [was] consistent with [Yulla’s] long pattern of making gifts of similar items to her companion.” Mott appealed.

The Appellate Division reversed the surrogate’s decree; granted Mott’s motion for summary judgment to the extent of declaring Mirvish’s claims of ownership of “The Cry” and his claims for damages barred by the statute of limitations; and denied Mirvish’s cross motion (75 AD3d 269 [1st Dept 2010]). The court observed that constructive delivery of a “monumental work of art such as *The Cry*” would be “appropriate”; however “Fury’s testimony [was] the only evidence of the decedent’s delivery of the gift instrument to him,” and his testimony was “inadmissible under CPLR 4519 [the Dead Man’s Statute] because Fury [was] the person from whom [Mirvish] derive[d] his interest” (*id.* at 272). As a result, the Appellate Division concluded that it was error for the surrogate to grant Mirvish’s cross motion for summary judgment (*id.*). The court then granted Mott’s motion for summary judgment “to the extent of declaring that [Mirvish’s] claim of ownership of *The Cry* and his claims for damages [were] barred by the statute of limitations” because “The Cry” was converted no later than 1998 when loaned to the French government (*id.* at 276). We granted Mirvish leave to appeal, and now reverse (16 NY3d 705 [2011]).

The principles of law that control the outcome of this appeal are a good deal less complicated than the history of the dispute, as is the application of those principles to the facts. In *Gruen v Gruen* (68 NY2d 48 [1986]), we held that

“[f]irst, to make a valid inter vivos gift there must exist the intent on the part of the donor to make a present transfer; delivery of the gift, either actual or constructive to the donee; and acceptance by the donee. Second, the proponent of a gift has the burden of proving each of these elements by clear and convincing evidence” (*id.* at 53 [citations omitted]).

Relatedly, mere possession of a gift after the donor’s death creates a presumption of delivery to the donee during the donor’s lifetime. In *Sofsky v Rosenberg* (76 NY2d 927 [1990]),

for example, we affirmed summary judgment in favor of the defendant grantee because his “possession of the deed create[d] a presumption that the deceased grantor had delivered the deed to him before her death” (*id.* at 930). The plaintiff, the grantor’s spouse, speculated that the deed was placed, at some unspecified time, in either an office safety box or a safety-deposit box at a bank, and that the defendant grantee had clandestinely and fraudulently removed the deed from one of those locations either while the grantor was seriously ill, or after she died. We concluded that these “unsupported, conclusory allegations that the deed had not been delivered” were insufficient to overcome the presumption and raise a triable issue of fact (*id.* at 930).

Here, Yulla’s intent to make a present transfer of “The Cry” was clear on the face of the gift instrument, as the surrogate concluded. There is no suggestion Yulla was coerced; there is no question about her capacity. Nor is there any dispute that Fury accepted the gift. Moreover, the Dead Man’s Statute creates no impediment to reliance on the presumption of delivery created by Fury’s possession of the gift instrument, which was specifically addressed to him, after Yulla’s death. Put another way, Mott has not raised a triable issue of fact so as to overcome the presumption of delivery; Mirvish has established each of the elements of a valid inter vivos gift—intent, delivery and acceptance—by clear and convincing evidence. Both Mott, as executor of Yulla’s estate, and Mirvish filed petitions asking the surrogate to resolve the conflicting claims of ownership of “The Cry,” and she correctly ruled in Mirvish’s favor.

Further, even assuming that the statute of limitations for Mirvish’s conversion and replevin claims has lapsed, the estate cannot as a result secure possession of or title to the sculpture.⁶ Mott, on behalf of the estate, acknowledged and agreed in the settlement agreement that Surrogate’s Court would decide the ownership of “The Cry” *on the merits*; indeed, this is the relief he sought in his petition pursuant to SCPA 209 (4), where he asked the surrogate to determine that the estate “was the rightful owner of, and . . . legitimately sold and passed title of the Cry.” And under the settlement agreement, the estate cannot secure possession of “The Cry” without a final judicial determination of ownership in its favor. But here, the surrogate rightly

6. In light of our disposition of this appeal, we need not and do not express any opinion as to whether Mirvish’s conversion and replevin claims accrued no later than 1998, as Mott contends and the Appellate Division agreed, or in 2004, as Mirvish urges.

concluded that Yulla made a valid inter vivos gift of “The Cry” to Fury, who sold his interest in the sculpture to Mirvish. So if the escrow agent cannot deliver “The Cry” to Mirvish because of the expiration of the statute of limitations, even though Mirvish has been adjudicated the sculpture’s true owner, “The Cry” would be condemned to languish in escrow in perpetuity. This is surely not what the parties intended when they entered into the settlement agreement, which called for the return of “The Cry” from Switzerland to New York, to be held in escrow awaiting delivery to the party—either the estate or Mirvish—finally adjudicated the sculpture’s owner.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the order of Surrogate’s Court reinstated.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[964 NE2d 402, 941 NYS2d 31]

MICHAEL DAHAR, Appellant, v HOLLAND LADDER & MANUFACTURING COMPANY et al., Defendants, BECHTEL NATIONAL, INC., et al., Respondents. BECHTEL CORPORATION et al., Third-Party Plaintiffs, v WEST METAL WORKS, INC., Third-Party Defendant.

Argued January 10, 2012; decided February 21, 2012

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 30, 2010. The Appellate Division, with two Justices dissenting in part, affirmed an order of the Supreme Court, Erie County (Joseph D. Mintz, J.), which had, among other things, granted those parts of the motions of defendants Bechtel National, Inc., Warner Martin and Shirley Martin seeking summary judgment dismissing plaintiff's Labor Law § 240 (1) claim against them.

Dahar v Holland Ladder & Mfg. Co., 79 AD3d 1631, affirmed.

HEADNOTE

Labor — Safe Place to Work — Elevation-Related Hazard — Cleaning Manufactured Product

Plaintiff, who was injured when he fell from a ladder in a factory while cleaning a product manufactured by his employer, was not engaged in an activity covered by Labor Law § 240 (1), which affords protections to workers “employed” in the “erection, demolition, repairing, altering, painting, cleaning or pointing of a building or structure.” Plaintiff was cleaning an approximately seven-foot high “wall module” manufactured by his employer when the ladder he was standing on allegedly broke and he fell to the ground. The text and history of Labor Law § 240 (1) confirm that its central concern is the dangers that beset workers in the construction industry. Section 240 (1) has never been extended to reach a factory employee engaged in cleaning a manufactured product. Although the volume of section 240 litigation is vast, there has been no New York appellate case in which a worker recovered under that provision for an injury suffered while cleaning a product in the course of a manufacturing process, creating an inference that the statute does not apply to such injuries. Permitting recovery on the ground that plaintiff was “cleaning” a “structure” would expand the protections of the statute far beyond the purposes it was designed to serve.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 248, 249, 256, 257, 269.

McKINNEY's, Labor Law § 240 (1).

NY JUR 2d, Employment Relations §§ 286–288, 296, 306.

PROSSER AND KEETON, TORTS (5th ed) § 80.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: f*ll /s cleaning & product /s factory

POINTS OF COUNSEL

Lipsitz Green Scime Cambria LLP, Buffalo (*John A. Collins* of counsel), for appellant. Plaintiff's injuries were proximately caused by the Martins' and Bechtel's violation of Labor Law § 240 (1). (*Caddy v Interborough R.T. Co.*, 195 NY 415; *Lewis-Moors v Contel of N.Y.*, 78 NY2d 942; *Gordon v Eastern Ry. Supply*, 181 AD2d 990, 82 NY2d 555; *Sinzieri v Expositions, Inc.*, 270 AD2d 332; *Loesch v Long Is. R.R. Co.*, 165 App Div 753; *Broggy v Rockefeller Group, Inc.*, 8 NY3d 675; *Swiderska v New York Univ.*, 10 NY3d 792; *Haimes v New York Tel. Co.*, 46 NY2d 132; *Cannon v Putnam*, 76 NY2d 644; *Wicks v Trigen-Syracuse Energy Corp.*, 64 AD3d 75.)

Landman Corsi Ballaine & Ford P.C., New York City (*William G. Ballaine*, *James M. Woolsey, III*, and *William Miller* of counsel), for Bechtel National, Inc., respondent. I. Bechtel National, Inc. is not an "owner" subject to strict liability under Labor Law § 240 (1). (*Scaparo v Village of Ilion*, 13 NY3d 864; *Sanatass v Consolidated Inv. Co., Inc.*, 10 NY3d 333; *Abbatiello v Lancaster Studio Assoc.*, 3 NY3d 46; *Celestine v City of New York*, 86 AD2d 592, 59 NY2d 938; *Ferluckaj v Goldman Sachs & Co.*, 12 NY3d 316; *Lombardi v Stout*, 80 NY2d 290; *Gordon v Eastern Ry. Supply*, 181 AD2d 990, 82 NY2d 555; *Greenough v Niagara Mohawk Power Corp.*, 13 AD3d 1160; *DeFreece v Penny Bag*, 137 AD2d 744; *Copertino v Ward*, 100 AD2d 565.) II. Bechtel National, Inc. is not a "contractor" subject to strict liability under Labor Law § 240 (1). (*Russin v Louis N. Picciano & Son*, 54 NY2d 311; *Walls v Turner Constr. Co.*, 4 NY3d 861; *Kilmetis v Creative Pool & Spa, Inc.*, 74 AD3d 1289; *Rauls v DirecTV, Inc.*, 60 AD3d 1337; *Feltt v Owens*, 247 AD2d 689; *Bjelicic v Lynned Realty Corp.*, 152 AD2d 151; *Johnson v Ebidenergy, Inc.*, 60 AD3d 1419.) III. Plaintiff was not engaged in an activity protected by Labor Law § 240 (1). (*Broggy v Rockefeller Group*,

Opinion by SMITH, J.

Inc., 8 NY3d 675; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Martinez v City of New York*, 93 NY2d 322; *Connors v Boorstein*, 4 NY2d 172; *Brown v Christopher St. Owners Corp.*, 87 NY2d 938; *B & F Bldg. Corp. v Liebig*, 76 NY2d 689; *Huston v Dobson*, 138 App Div 810; *Maleeny v Standard Shipbuilding Corp.*, 237 NY 250; *Stuart v Costello*, 204 App Div 574; *Komar v Dun & Bradstreet Co., Inc.*, 284 App Div 538.)

Hodgson Russ LLP, Buffalo (Julia M. Hilliker of counsel), for Warner G. Martin and another, respondents. I. Plaintiff's work is part of the normal manufacturing process and is not the type of cleaning work protected by Labor Law § 240 (1). (*Foster v Joseph Co.*, 216 AD2d 944; *Solly v Tam Ceramics*, 258 AD2d 914; *Jock v Fien*, 176 AD2d 6, 80 NY2d 965; *Davis v Wind-Sun Constr., Inc.*, 70 AD3d 1383; *People v Cross & Brown Co.*, 232 App Div 587; *Broggy v Rockefeller Group, Inc.*, 8 NY3d 675; *Wicks v Trigen-Syracuse Energy Corp.*, 64 AD3d 75; *Hutchins v Finch, Pruyn & Co.*, 267 AD2d 809; *Sinzieri v Expositions, Inc.*, 270 AD2d 332; *Gordon v Eastern Ry. Supply*, 181 AD2d 990.)

OPINION OF THE COURT

SMITH, J.

Plaintiff was injured when he fell from a ladder in a factory while cleaning a product manufactured by his employer. We hold that his activity was not protected by Labor Law § 240 (1).

I

The product in question was a steel “wall module” made by third-party defendant West Metal Works, Inc. at its plant in Cheektowaga, New York. The module was at least seven feet high: West's customer, defendant Bechtel National, Inc., was purchasing it for installation in a nuclear waste treatment plant in Richland, Washington. At the Richland plant, the module was to be attached to a building wall, where it would provide support for pipes.

After the module was fabricated, it had to be cleaned before it was shipped to Washington. Plaintiff, a West employee, was engaged in that task, standing on a ladder provided by West, when, according to plaintiff, the ladder broke and he fell to the ground.

Plaintiff sued several defendants on a number of theories. Now before us is his claim under Labor Law § 240 (1) against Bechtel, the purchaser of the wall module, and defendants Warner Martin and Shirley Martin, West's landlords. Supreme

Court granted summary judgment dismissing this claim, and the Appellate Division affirmed, with two Justices dissenting (*Dahar v Holland Ladder & Mfg. Co.*, 79 AD3d 1631 [4th Dept 2010]). Plaintiff appeals as of right, pursuant to CPLR 5601 (a), and we now affirm.

II

Labor Law § 240 (1) says, in relevant part:

“All contractors and owners and their agents, except owners of one and two-family dwellings who contract for but do not direct or control the work, in the erection, demolition, repairing, altering, painting, *cleaning* or pointing of a building or *structure* shall furnish or erect, or cause to be furnished or erected for the performance of such labor, scaffolding, hoists, stays, ladders, slings, hangers, blocks, pulleys, braces, irons, ropes, and other devices which shall be so constructed, placed and operated as to give proper protection to a person so employed.” (Emphasis added.)

Plaintiff claims that he was engaged in “cleaning” the wall module, which was a “structure”; that the ladder given him failed to provide “proper protection”; and that Bechtel and the Martins are subject to the liability imposed on “contractors and owners” because, according to plaintiff, Bechtel was both a contractor and an owner of the wall module, while the Martins were the owners of the factory in which the accident happened. Bechtel and the Martins assert that they were not “contractors” or “owners,” but we do not reach that issue because we hold that plaintiff was not engaged in an activity the statute protects.

Labor Law § 240 (1), one of the most frequent sources of litigation in the New York courts, provides rights to certain workers going well beyond the common law. As we have long held, it imposes liability even on contractors and owners who had nothing to do with the plaintiff’s accident; and where a violation of the statute has caused injury, any fault by the plaintiff contributing to that injury is irrelevant (*see Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280, 287 [2003]; *Haimes v New York Tel. Co.*, 46 NY2d 132, 136 [1978]; *Bland v Manocherian*, 66 NY2d 452, 461 [1985]). The Legislature, however, afforded this protection only to workers “employed” in the “erection, demolition, repairing, altering, painting, cleaning or

pointing of a building or structure” (see *Joblon v Solow*, 91 NY2d 457 [1998]; *Munoz v DJZ Realty, LLC*, 5 NY3d 747 [2005]).

Plaintiff’s argument that he is within the statute’s coverage is a simple one. He says that he was obviously “cleaning,” and that the wall module was a “structure” under the broad definition we have given to the term: “any production or piece of work artificially built up or composed of parts joined together in some definite manner” (*Caddy v Interborough R.T. Co.*, 195 NY 415, 420 [1909]; see also *Lewis-Moors v Contel of N.Y.*, 78 NY2d 942, 943 [1991]; *Joblon*, 91 NY2d at 464). The argument is too simple, and would lead to an expansion of section 240 (1) liability that our cases do not support and that we are convinced the Legislature never intended.

It is apparent from the text of Labor Law § 240 (1), and its history confirms, that its central concern is the dangers that beset workers in the construction industry. The first version of the statute was enacted in 1885, in response “to widespread accounts of deaths and injuries in the construction trades” (*Blake*, 1 NY3d at 285). More recent legislative history explains that the purpose of the statute is to place “ultimate responsibility for safety practices at building construction jobs where such responsibility . . . belongs” (Mem of Senator Calandra and Assemblyman Amann, 1969 NY Legis Ann, at 407). The statute today is found in article 10 of the Labor Law, entitled “Building Construction, Demolition and Repair Work.”

It is true that we have rejected the idea that Labor Law § 240 (1) applies only to work performed on construction sites (*Joblon*, 91 NY2d at 464). More specifically, in interpreting the term “cleaning,” we have held that it is not limited to cleaning that was “part of a construction, demolition, or repair project” (*Broggy v Rockefeller Group, Inc.*, 8 NY3d 675, 680 [2007]). We have never, however, gone as far as plaintiff here asks us to go—to extend the statute to reach a factory employee engaged in cleaning a manufactured product.

On the contrary, it seems that every case we have decided involving “cleaning” as used in Labor Law § 240 (1), with a single exception, has involved cleaning the windows of a building (*Ferluckaj v Goldman Sachs & Co.*, 12 NY3d 316 [2009]; *Swiderska v New York Univ.*, 10 NY3d 792 [2008]; *Broggy v Rockefeller Group, Inc.*, 8 NY3d 675 [2007]; *Bauer v Female Academy of Sacred Heart*, 97 NY2d 445 [2002]; *Brown v*

Christopher St. Owners Corp., 87 NY2d 938 [1996]; *Connors v Boorstein*, 4 NY2d 172 [1958]; *Koenig v Patrick Constr. Corp.*, 298 NY 313 [1948]). The exception, *Gordon v Eastern Ry. Supply* (82 NY2d 555 [1993]), involved the cleaning of a railroad car. And even in window-cleaning cases, we have not extended the statute's coverage to every activity that might fit within its literal terms. We held in *Connors* and *Brown*, and reaffirmed in *Broggy*, that routine household window washing is not covered.

Though the volume of section 240 (1) litigation is vast, we have found not a single case, in our Court or in the Appellate Division, in which a worker recovered under Labor Law § 240 (1) for an injury suffered while cleaning a product in the course of a manufacturing process. Such injuries can hardly be uncommon; we infer that it has been generally—and correctly—understood that the statute does not apply to them.

Indeed, the logic of plaintiff's argument here would expand the protections of Labor Law § 240 (1) even beyond manufacturing activities; the statute would encompass virtually every "cleaning" of any "structure" in the broadest sense of that term. Every bookstore employee who climbs a ladder to dust off a bookshelf; every maintenance worker who climbs to a height to clean a light fixture—these and many others would become potential Labor Law § 240 (1) plaintiffs. We decline to extend the statute so far beyond the purposes it was designed to serve.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order affirmed, with costs.

[965 NE2d 228, 942 NYS2d 1]

MARIO A. PESA et al., Respondents, v YOMA DEVELOPMENT
GROUP, INC., Appellant, et al., Defendants.

Argued January 3, 2012; decided February 9, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Supreme Court, Queens County (Orin R. Kitzes, J.), entered November 12, 2010. The judgment, pursuant to the parties' stipulation, awarded plaintiffs damages against defendant Yoma Development Group, Inc. in the total sum of \$836,309.13, and recited that the action had been discontinued as against defendants Ilan Ziv and Wells Fargo Bank, N.A. The appeal brings up for review a prior non-final order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 1, 2010. The Appellate Division affirmed so much of an order of the same Supreme Court as had granted that branch of a cross motion by plaintiffs which was for summary judgment on the issue of liability on the causes of action alleging breach of contract insofar as asserted against defendant Yoma Development Group, Inc., and, in effect, denied that branch of a cross motion by defendant Yoma Development Group, Inc. which was for summary judgment dismissing the causes of action alleging breach of contract insofar as asserted against it.

Pesa v Yoma Dev. Group, Inc., 74 AD3d 769, modified.

HEADNOTES

**Vendor and Purchaser — Contract for Sale of Real Property —
Damages Based on Seller's Repudiation — "Ready, Willing and
Able" Showing Required**

1. A buyer seeking damages based on a seller's alleged repudiation of a real estate contract is required to show, as an element of its claim, that it was ready, willing and able to close the transaction, i.e., that but for the seller's repudiation, the transaction could and would have closed. This rule is supported by common sense, since damages for breach of contract are not recoverable where they were not actually caused by the breach, i.e., where the transaction would have failed, and the damages would have been suffered, even if no breach occurred. It is reasonable to allocate the burden of proof to the buyer to show that it would and could have performed, rather than to the seller to show that the buyer would not or could not have performed, since the buyer can more readily produce evidence of its own intentions and resources. Here, plaintiff buyers' evidence of their financial condition was not conclusive on the issue of their ability to make the purchases in question. Therefore, whether plaintiffs were ready, willing and able to close presented an issue of

fact, and plaintiffs' motion for summary judgment on the issue of liability should have been denied.

Vendor and Purchaser — Contract for Sale of Real Property — Repudiation

2. In an action seeking damages based on defendant seller's alleged anticipatory breach of three real estate contracts, the courts below erred in deciding as a matter of law that the seller's transfer of the three properties in question to its affiliated corporation constituted a repudiation of the contracts. Generally, a transfer between affiliates, which may be done for any number of innocent reasons, is not in itself a repudiation. Here, the seller and its affiliate were corporations controlled by the same principals, so the transfer did not make it impossible for the seller to close the transaction or prove that it was unwilling to do so. While there was significant evidence to support a finding that the transfer was inconsistent with performance of the contracts, based on a statement in an affidavit from the seller's lawyer, a later affidavit from the same affiant could be read as retracting his earlier statement. The credibility of that explanation presented an issue of fact sufficient to defeat plaintiff buyers' motion for summary judgment on the issue of liability.

Vendor and Purchaser — Contract for Sale of Real Property — Repudiation

3. In an action seeking damages based on defendant seller's alleged anticipatory breach of three real estate contracts, the courts below correctly denied the seller's cross motion for summary judgment. The record did not conclusively show that plaintiff buyers were not ready, willing and able to close the transaction, or that the seller's transfer of the three properties in question to its affiliated corporation was not a repudiation of its obligations under the contracts. Even assuming that the seller did not repudiate the transaction before it sent cancellation notices to the buyers, its right to cancel based on the mortgage contingency clause in the contracts had not been conclusively demonstrated, since the buyers' claim that their failure to get mortgage commitments was a result of the seller's non-performance of its obligations remained an open issue.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Contracts §§ 716, 717, 719, 722, 723, 729; AM JUR 2d, Summary Judgment §§ 22-24, 37, 43, 45-48; AM JUR 2d, Vendor and Purchaser §§ 450, 502, 503, 509, 514, 537, 539, 551, 553.

CALAMARI AND PERILLO, CONTRACTS (5th ed) §§ 12.1-12.5.

CARMODY-WAIT 2d, Summary Judgment §§ 39:161, 39:170.

NY JUR 2d, Contracts §§ 453-460; NY JUR 2d, Real Property Sales and Exchanges §§ 87, 137, 138, 165, 172, 185, 209, 221; NY JUR 2d, Summary Judgment and Pretrial Motions to Dismiss §§ 22, 23, 72.

NEW YORK REAL PROPERTY SERVICE §§ 25:3, 25:30.

SIEGEL, NY PRAC §§ 278, 280.

WILLISTON ON CONTRACTS (4th ed) §§ 63:28-63:56, 64:3.

ANNOTATION REFERENCE

See ALR Index under Anticipatory Breach; Contracts; Renunciation and Repudiation; Sale and Transfer of Property; Summary Judgment.

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POINTS OF COUNSEL

Naidich Wurman Birnbaum & Maday, LLP, Great Neck (*Robert P. Johnson* of counsel), for appellant. I. The transfers at issue did not constitute an anticipatory repudiation. (*Vafa v Cramer*, 212 AD2d 593; *Hendel v Scheuer*, 150 AD2d 431; *Levine v Trattner*, 130 AD2d 462; *Coney Is. Exhaust v Mobil Oil Corp.*, 304 AD2d 706; *D'Abreau v Smith*, 240 AD2d 616; *Rachmani Corp. v 9 E. 96th St. Apt. Corp.*, 211 AD2d 262; *iWon, Inc. v Ourhouse, Inc.*, 192 Misc 2d 1; *Forward Publ., Inc. v International Pictures, Inc.*, 277 App Div 846; *Jacobs Private Equity, LLC v 450 Park LLC*, 22 AD3d 347; *DeLorenzo v Bac Agency*, 256 AD2d 906.) II. Respondents are not entitled to summary judgment as they never demonstrated that they were ready, willing and able to close. (*Madison Invs. v Cohoes Assoc.*, 176 AD2d 1021; *Scully v Sicoli*, 247 AD2d 852; *Gentile v Sang Y. Kim*, 101 AD2d 939; *Rhodes v Astro-Pac, Inc.*, 51 AD2d 656; *Huntington Min. Holdings v Cottontail Plaza*, 60 NY2d 997; *Jewell v Rowe*, 119 AD2d 634; *Ufitec, S. A. v Trade Bank & Trust Co.*, 21 AD2d 187; *Inter-Power of N.Y. v Niagara Mohawk Power Corp.*, 259 AD2d 932; *Ross Bicycles v Citibank*, 200 AD2d 379; *Cohn v Mezzacappa Bros.*, 155 AD2d 506.)

Thomas J. Stock & Associates, Mineola (*Thomas J. Stock* and *Victor A. Carr* of counsel), for respondents. I. Appellant's recitation of certain facts, critical to a determination of this appeal, is either inaccurate or based on the hearsay statements of counsel with no personal knowledge of the facts. II. It was appellant's "intention," manifested by its own acts and words, to commit an anticipatory breach. III. Any failure to obtain a mortgage commitment only gave appellant the *right* to cancel the contracts, not the right to breach the contracts by transferring the properties prior to giving written notice. IV. The evidence in the record establishes that respondents were "ready, willing and able to perform" and that factual issue is not subject to review

by this Court. V. Assuming that the legal issue of whether an anticipatory breach eliminates the necessity to show that plaintiff was ready, willing and able to perform is subject to review, the decision of the Second Department was correct. (*Madison Invs. v Cohoes Assoc.*, 176 AD2d 1021; *Scull v Sicoli*, 247 AD2d 852; *Ehrenpreis v Klein*, 260 AD2d 532.)

OPINION OF THE COURT

SMITH, J.

We hold that, in a case alleging that a seller has repudiated a contract to sell real property, the buyers must prove they were ready, willing and able to close the transaction.

I

Defendant Yoma Development Group, Inc. (the seller) agreed in three separate contracts to sell three properties, on each of which the seller planned to build a three-family dwelling. One of the properties was to be sold to all four of the plaintiffs (the buyers), another to three of them, and a third to plaintiff Mario Pesa only. Each contract specified a purchase price of \$430,000 and a \$15,000 down payment, to be held in escrow pending the closing. It was a condition to the closing that the seller deliver certificates of occupancy for the dwellings it planned to build, or obtain “appropriate sign-offs” to show that certificates of occupancy would be forthcoming. Each contract also had a mortgage contingency clause, saying that if the buyer did not obtain a mortgage commitment within 60 days from the date of the contract, either the buyer or the seller “may cancel this contract by giving Notice to other party.”

The contracts were signed on March 12, 2003, and specified a closing date of July 1, 2003. It seems from the record, however, that essentially nothing happened for more than three years after the contract was executed. The dwellings were not built and the mortgage commitments were not obtained. The seller now takes the position that, once 60 days had passed, it was free to terminate the contracts at any time under the mortgage contingency clause, but it does not claim to have exercised that right until four years later. The buyers say that the seller had no right to terminate, because the seller’s failure to build houses on the properties, and to obtain certificates of occupancy or appropriate sign-offs, made getting mortgage commitments impossible.

On July 10, 2006, the seller transferred the properties to an affiliated corporation, defendant Southpoint, Inc. According to

the buyers, this transfer amounted to a repudiation of the seller's obligations under the contracts.

It is not clear from the record when the buyers found out about the Southpoint transfer, but in any event nearly another year of apparent inactivity followed. Then, on June 19, 2007, the seller's lawyer sent three identical letters to the buyers' lawyer, noting that the buyers had not obtained mortgage commitments, saying that the seller "is electing to cancel" the contracts, and returning the buyers' down payments. The buyers immediately brought this lawsuit. They originally sued for specific performance and damages, but the specific performance claim has been dismissed and only the claim for damages is before us.

Both sides moved for summary judgment. The seller argued, among other things, that the buyers could not recover damages because they had failed to show that they were ready, willing and able to close. Supreme Court granted summary judgment in favor of the buyers on the issue of liability, without discussing the "ready, willing and able" issue. It held that the seller had anticipatorily breached the contracts by transferring title to Southpoint. The Appellate Division affirmed. In the view of the Appellate Division, "a purchaser seeking damages for the seller's anticipatory breach of a contract for the sale of real property is not required to establish, as an element of the claim, that it was ready, willing, and able to close," though such a showing would be required if the buyers were seeking specific performance (*Pesa v Yoma Dev. Group, Inc.*, 74 AD3d 769, 770 [2d Dept 2010] [citations omitted]).

After the parties stipulated to the amount of damages, a final judgment was entered in Supreme Court. We granted the seller leave to appeal from that judgment, bringing up for review the earlier, non-final Appellate Division order. We now modify and deny both sides' motions for summary judgment.

II

[1] The main issue before us is whether a buyer in a damages suit like this one must show that it was ready, willing and able to close the transaction—i.e., that but for the seller's repudiation, the transaction could and would have closed. This issue has divided the Appellate Division departments. The Second Department has held, in a number of other cases as well as in this one, that no such showing is required (*e.g. Ehrenpreis v Klein*, 260 AD2d 532, 533 [2d Dept 1999]; *Karo v Paine*, 55

AD3d 679, 680 [2d Dept 2008]). The Third and Fourth Departments, however, have required a “ready, willing and able” showing (*Madison Invs. v Cohoes Assoc.*, 176 AD2d 1021, 1022 [3d Dept 1991]; *Scully v Sicoli*, 247 AD2d 852, 853 [4th Dept 1998]).

The rule followed by the Third and Fourth Departments is the correct one. It is the rule stated by the leading treatises on contracts (4 Corbin on Contracts § 978, at 924 [1951]; 13 Lord, Williston on Contracts § 39:41 [4th ed]), and applied in several federal cases (*Towers Charter & Mar. Corp. v Cadillac Ins. Co.*, 894 F2d 516, 523 [2d Cir 1990] [applying New York law]; *United States v Hon*, 17 F3d 21, 26 [2d Cir 1994]). Our agreement with that rule is implied by the language we used in *Deforest Radio Tel. & Tel. Co. v Triangle Radio Supply Co.* (243 NY 283 [1926]), where we held that, when a contract has been repudiated, the non-repudiating party need not actually *tender* performance. We said: “Where one party to a contract repudiates it and refuses to perform, the other party by reason of such repudiation is excused from further performance, or the ceremony of a futile tender. *He must be ready, willing and able to perform*, and this is all the law requires” (*id.* at 293 [emphasis added]; see also *Bigler v Morgan*, 77 NY 312, 318 [1879] [“The refusal of the defendant to perform . . . did not dispense with the necessity of showing that the plaintiff was able, ready and willing to perform”]).

The rule requiring non-repudiating buyers to show their readiness, willingness and ability to perform is supported by common sense. It is axiomatic that damages for breach of contract are not recoverable where they were not actually caused by the breach—i.e., where the transaction would have failed, and the damage would have been suffered, even if no breach occurred. The real question is one of burden of proof: Should the buyers be required to show they would and could have performed, or should the seller have the burden of showing they would not or could not? Since the buyers can more readily produce evidence of their own intentions and resources, it is reasonable to put the burden on them.

This allocation of the burden of proof is not inconsistent with our decision in *American List Corp. v U.S. News & World Report* (75 NY2d 38 [1989]). That case involved the repudiation by a magazine of a contract to rent mailing lists from a list supplier “over a 10-year period” (*id.* at 40). We held that “[t]he nonrepudiating party need not . . . prove its ability to perform the contract in the future” (*id.* at 44). In context, this meant that

the plaintiff would not be forced to meet the perhaps impossible burden of showing what its financial condition would have been for many years to come. No comparable burden falls on the non-repudiating party in a case like this one. These buyers need only show that they would and could have closed the transaction if the seller had proceeded to a closing as the contract required.

Here, the buyers did submit evidence of their financial condition, but that evidence was not conclusive on the issue of their ability to make the purchases. Whether the buyers were ready, willing and able to close therefore presented an issue of fact, and the buyers' motion for summary judgment should have been denied.

III

[2] We also hold that the courts below erred in deciding as a matter of law that the seller repudiated the contracts by transferring the properties in question to Southpoint.

It is not disputed that the seller and Southpoint were corporations controlled by the same principals. The transfer of the properties from one entity to another did not, of itself, make it impossible for the seller to close the transaction, or prove that it was unwilling to do so. For all that appears in the record, the properties could have been transferred back to the seller or simply conveyed from Southpoint to the buyers directly. In general, a transfer between affiliates, which may be done for any number of innocent reasons, is not in itself a repudiation.

In this case, it is true, there is significant evidence to support a finding that the Southpoint transfer was inconsistent with performance of the contracts. The seller's lawyer said in an affidavit submitted below that the transfer was made "in anticipation of the Purchasers [*sic*] inevitable lawsuit"—a statement hardly consistent with an intention by the seller to perform. There is, however, a later affidavit by the same affiant, which may be read as retracting, or attempting to explain away, his earlier statement. We conclude that the credibility of this explanation presents an issue of fact sufficient to defeat summary judgment.

IV

[3] The courts below were clearly correct, however, in denying the seller's cross motion for summary judgment. The record does not conclusively show that the buyers were not

ready, willing and able to close the transaction; nor, as our discussion above makes clear, does it conclusively show that the Southpoint transfer was not a repudiation. And even assuming that the seller did not repudiate the transaction before it sent its cancellation notices, its right to cancel has not been conclusively demonstrated. The buyers' claim that their failure to get mortgage commitments was a result of the seller's non-performance of its obligations remains an open issue (*see e.g. Arc Elec. Constr. Co. v Fuller Co.*, 24 NY2d 99, 104 [1969] [“(T)he defendant cannot rely on (a) condition precedent . . . where the non-performance of the condition was caused or consented to by itself” (quoting *O’Neil Supply Co. v Petroleum Heat & Power Co.*, 280 NY 50, 56 [1939])]).

Accordingly, the judgment appealed from and order of the Appellate Division brought up for review should be modified, without costs, by denying plaintiffs' motion for summary judgment, and as so modified, affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Judgment appealed from and order of the Appellate Division brought up for review modified, etc.

[965 NE2d 901, 942 NYS2d 399]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SALEEM
KHAN, Appellant.

Argued January 12, 2012; decided February 9, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 20, 2011. The Appellate Division affirmed a judgment of the Supreme Court, New York County (James A. Yates, J., at speedy trial motion; Marcy L. Kahn, J., at jury trial and sentence; op 24 Misc 3d 1231[A], 2009 NY Slip Op 51685[U] [2009]), which had convicted defendant, upon a jury verdict, of grand larceny in the third degree and health care fraud in the fourth degree.

People v Khan, 82 AD3d 44, affirmed.

HEADNOTES

Crimes — Health Care Fraud — Sufficiency of Evidence

1. In a prosecution for health care fraud in the fourth degree (*see* Penal Law §§ 177.05, 177.10) and grand larceny in the third degree, the People presented legally sufficient evidence for a jury to rationally conclude that pills dispensed by defendant to an undercover officer on multiple occasions were different from the drugs listed on the prescriptions presented by the officer to defendant, and that defendant knowingly and willfully provided materially false information to Medicaid, as to at least the dispensed medications, thereby wrongfully obtaining more than \$3,000. On one occasion, there was evidence that the officer entered defendant's pharmacy with a prescription for a relatively inexpensive medication, asked for "the usual pills," and defendant handed him a different quantity of pills than prescribed. Viewing the evidence—the officer's request for medicine other than that which was prescribed; the discrepancy between the number of pills in the prescription and the number of pills defendant actually gave to the officer; and the whole course of dealing between defendant and the officer, in which defendant over a period of months consistently gave the officer what he asked for, rather than what was prescribed—in the light most favorable to the People, a jury could reasonably infer that the pills were not those which had been prescribed, that the officer's fictitious wife, for whom the medication was prescribed, would not be the recipient of the medication, and therefore that defendant knowingly and willfully provided materially false information to Medicaid.

Crimes — Right to Speedy Trial — Motion Practice

2. In a prosecution for grand larceny and health care fraud, defendant was not deprived of his statutory right to a speedy trial since motion practice, which is an excuse for not being ready, was going on during much of the time defendant complained about. In any event, it appeared that the most time the People could be charged with was 129 days, well short of the applicable six-month period (*see* CPL 30.30 [1] [a]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 953, 956, 957, 960; AM JUR 2d, False Pretenses § 24.
CARMODY-WAIT 2d, Timeliness of Prosecution; Speedy Trial §§ 186:47, 186:48, 186:53, 186:73, 186:84–186:86.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 18.1–18.3.
MCKINNEY'S, CPL 30.30 (1) (a).
NY JUR 2d, Criminal Law: Procedure §§ 1869, 1892, 1927, 3644; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1203, 1205.

ANNOTATION REFERENCE

See ALR Index under Fraud and Deceit; Medical Care and Treatment; Speedy Trial.

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POINTS OF COUNSEL

Roger J. Bernstein, New York City, and *Eugene A. Gaer* for appellant. I. The health care fraud statute was not violated. (*United States v Gaudin*, 515 US 506; *Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330.) II. There was no evidence to support the larceny conviction for the March 6, 2008 transaction. (*People v Hart*, 300 AD2d 987, 100 NY2d 550; *People v Avino*, 34 AD3d 1251.) III. The prosecution was not ready for trial within the time required by CPL 30.30. (*People v Harris*, 82 NY2d 409; *People v McKenna*, 76 NY2d 59; *People v Van Deusen*, 228 AD2d 987; *People v Kendzia*, 64 NY2d 331; *People v Berkowitz*, 50 NY2d 333; *People v Afshar*, 152 Misc 2d 615.) IV. Failure to prove receipt of payment from Medicaid also requires that the convictions be vacated. (*Sea Ins. Co. v Kopsky*, 137 AD2d 804; *Anzalone v State Farm Mut. Ins. Co.*, 92 AD2d 238; *Secretary of Dept. of Hous. & Urban Dev. v Torres*, 2 Misc 3d 53.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Timothy C. Stone* and *Grace Vee* of counsel), for respondent. I. Defendant's guilt of fourth-degree health care fraud and third-degree grand larceny was proven beyond a reasonable doubt. (*People v Danielson*, 9 NY3d 342; *People v Cabey*, 85 NY2d 417; *People v*

Contes, 60 NY2d 620; *People v Castillo*, 47 NY2d 270; *People v Dordal*, 55 NY2d 954; *People v Hines*, 97 NY2d 56; *People v Malizia*, 62 NY2d 755; *People v Montanez*, 41 NY2d 53; *People v Iannone*, 45 NY2d 589; *People v Churchill*, 47 NY2d 151.) II. Defendant was tried in a timely fashion. (*People v Cortes*, 80 NY2d 201; *People v Stiles*, 70 NY2d 765; *People v Worley*, 66 NY2d 523; *People v Luperon*, 85 NY2d 71; *People v Moorhead*, 61 NY2d 851; *People v Harris*, 82 NY2d 409; *People v Campbell*, 255 AD2d 229; *People v Jones*, 235 AD2d 297; *People v Davis*, 80 AD3d 494; *People v Kopciowski*, 68 NY2d 615.)

OPINION OF THE COURT

JONES, J.

In defendant's appeal arising from his convictions for health care fraud in the fourth degree and grand larceny in the third degree, the primary issue we address is the legal sufficiency of the evidence. This is the Court's first opportunity to determine the nature of proof required for a conviction under the recently enacted health care fraud statute (Penal Law art 177 *et seq.*).* We conclude that defendant's convictions are supported by legally sufficient evidence. Additionally, we resolve defendant's question regarding his statutory right to a speedy trial in the People's favor.

From November 2007 through May 2008, the New York City Police Department (NYPD) and the New York City Human Resources Administration (HRA) conducted a joint undercover investigation of NYC Pharmacy, Inc., a pharmacy located in upper Manhattan, based on information that prescription drugs were being sold at that location without prescriptions. Specifically, an NYPD undercover police officer made seven visits to the pharmacy where he posed as a customer and received pills from defendant or another pharmacy employee. As a result of the investigation, defendant was arrested and charged with

* In 2006, legislation was enacted to amend the Public Health Law for the purpose of establishing the Office of the Medicaid Inspector General within the Department of Health and providing for its powers and duties (L 2006, ch 442). The overarching goal of the legislation was to improve fraud control and expenditure accountability within the Medicaid program (*id.*). As part of that legislation, Penal Law article 177 was enacted to create five health care fraud offenses (*id.* at § 9 [eff Nov. 1, 2006]). These crimes are meant to "get at the specific conduct by health care providers who defraud the system; make it easier to aggregate claims for fraud against a single health plan; and send a clear message to health care providers that the state remains vigilant and will punish fraud against the health care system" (Donnino, Practice Commentary, McKinney's Cons Laws of NY, Book 39, Penal Law § 177.00, at 481-482).

health care fraud in the fourth degree (Penal Law §§ 177.05, 177.10), grand larceny in the third degree (Penal Law § 155.35), criminal diversion of prescription medications in the second degree (Penal Law § 178.20), and four counts of criminal diversion of prescription medications in the fourth degree (Penal Law § 178.10), for allegedly defrauding the HRA and its Medicaid benefits program of more than \$3,000 and unlawfully dispensing prescription medications on seven separate occasions.

At trial, it was established that the investigation was conducted in two phases. During the first phase, the undercover officer—named “Pedro Gomez” (a pseudonym authorized to be used after Supreme Court held a *Stanard* hearing [see *People v Stanard*, 42 NY2d 74 (1977)])—visited the pharmacy on three occasions—November 15, 2007; November 21, 2007 and February 1, 2008—and requested the prescription drugs Amitriptyline and Clonidine from defendant in varying amounts in exchange for cash, but without providing a prescription on any of the three occasions. Gomez testified that on November 15th and 21st he was given two types of pills in varying amounts: pink pills stamped “2105V” and orange pills stamped “129.” He further testified that on February 1st, he received a “small orange . . . bottle [of] pills.”

Gomez visited the pharmacy four times during the second phase of the investigation—February 28, 2008; March 6, 2008; April 2, 2008 and May 21, 2008. For each of these visits, he used a Medicaid benefits card manufactured for purposes of furthering the undercover operation in the name of a fictitious woman named Ivonne Arroyo. Gomez was also supplied with prescriptions for Arroyo which were purportedly signed by a doctor. The prescriptions were generated by the Medicaid Fraud unit for this investigation. During each visit, Gomez handed defendant the Medicaid card and prescription(s) and defendant checked the Medicaid database where he found Arroyo’s name; Gomez then asked to be given Amitriptyline and Clonidine, in varying amounts, instead of the drugs listed in the prescriptions; defendant gave Gomez pills that were not consistent with the prescriptions, but billed Medicaid in accordance with the prescriptions. A brief summary of Gomez’s testimony concerning the details of these four visits follows.

On February 28, 2008, Gomez visited the pharmacy and presented a prescription for 30 20-milligram tablets of Zyprexa for Arroyo. He told the defendant that Arroyo was his wife and

stated that he did not want Zyprexa; instead, he asked for 40 pills each of Amitriptyline and Clonidine, saying to defendant, “Come on I need to make a little money”; in addition, he mentioned to another pharmacy employee that he wanted the pills so he “could make money.” Gomez told defendant he had his wife’s Medicaid card, and defendant asked Gomez to sign a book on the counter and the back of the prescription. Gomez signed Arroyo’s name and was handed 40 orange pills stamped “129.”

A week later, on March 6, 2008, Gomez returned to the pharmacy and handed defendant a prescription for Arroyo for 30 tablets of 600-milligram Sustiva. He told defendant he wanted “the usual pills,” and defendant handed Gomez a brown paper bag with an orange bottle labeled Sustiva 600-milligrams. The bottle contained 40 orange pills stamped “GG 461.”

Gomez made another visit to the pharmacy on April 2, 2008. On that day, he brought three prescriptions for Arroyo into the pharmacy for 30 tablets of Epzicom, 120 300-milligram tablets of Prezista and a 60-day supply of Advair. He then asked defendant for “40 of my pills.” He also asked defendant for some Percocet tablets, but defendant told him he could not dispense that drug because it was “not . . . registered [i]n the computer.” Gomez signed Arroyo’s name in the book on the counter and on the back of the prescriptions, and defendant handed him a bottle which contained 40 pink pills with “2105V” stamped on them.

Finally, on May 21, 2008, Gomez returned to the pharmacy with two prescriptions. Although he could not recall what drugs were prescribed at trial, he testified that he asked for the two usual drugs. Defendant told Gomez that the prescriptions were “not properly registered in the computer” and that “[the prescription] has to be in the computer by the doctor in order to be dispersed” otherwise he “could not bill Medicaid for those prescriptions.” Instead, defendant sold Gomez 60 pills for cash.

Gomez never identified himself or provided identification to defendant during any of the transactions. Further, although Gomez counted and vouchered the pills he received after each of the seven visits to NYC Pharmacy, none of them were ever subjected to laboratory analysis.

The prosecution also called an investigator from the New York Office of the Inspector General to testify about a document from Medicaid’s electronic database which showed that NYC

Pharmacy, Inc. had billed Medicaid for five Arroyo prescriptions. According to the testimony, Medicaid approved and made payment to the pharmacy in the amount of \$3,073.47; that is, for the February 28, 2008 prescription, the amount paid was \$706.55 (Zyprexa); for the March 6, 2008 prescription, the amount paid was \$519.04 (Sustiva 600-milligram tablets); and for three prescriptions on April 2, 2008, the amounts paid were \$884.28 (Prezista), \$812.89 (Epzicom) and \$150.71 (Advair).

At the conclusion of the prosecution's case and again at the close of all proof, defendant, pursuant to CPL 290.10, moved for a trial order of dismissal on the grounds that: the evidence adduced at trial was legally insufficient as to the charges of health care fraud and grand larceny; and the prosecution failed to prove the nature of the pills Gomez had received. Supreme Court reserved decision on the motions until after the jury verdict. After deliberations, the jury convicted defendant of grand larceny in the third degree and health care fraud in the fourth degree for his activities related to the February 28, March 6, and April 2, 2008 transactions. Defendant was also convicted of five counts of criminal diversion of prescription medications in the fourth degree.

Supreme Court, citing deficiencies in the proof, dismissed all five criminal diversion counts (24 Misc 3d 1231[A], 2009 NY Slip Op 51685[U] [2009]). In addition, the court denied defendant's motion for dismissal of the grand larceny and health care fraud counts, reasoning that "[t]he entire amount of this reimbursement was wrongfully and fraudulently obtained, since no medications were ever given to the . . . woman named in the five prescriptions" (2009 NY Slip Op 51685[U], *5).

On appeal, defendant argued that the trial evidence was legally insufficient to support his grand larceny and health care fraud convictions, and that his statutory right to a speedy trial was violated. The Appellate Division, by a 4-1 vote, disagreed with defendant and affirmed the judgment, holding there was legally sufficient evidence to support defendant's health care fraud conviction on the theory that he knowingly and willfully defrauded Medicaid of more than \$3,000 by misidentifying the recipient of the drugs he dispensed on February 28, March 6, and April 2, 2008 (82 AD3d 44 [2011]). Applying the legal sufficiency standard, the Appellate Division majority concluded that a rational jury could have found that defendant knew that Ivonne Arroyo was not the recipient of the medications. The majority further stated, "[t]he fact that none of the drugs were

subjected to laboratory analysis is of no moment with respect to this count. The relevant inquiry is whether defendant provided false information for the purpose of receiving payment . . . in excess of \$3,000, not the identity of the drugs that were dispensed” (*id.* at 54-55).

The majority also concluded that the evidence was legally sufficient to establish defendant’s guilt of grand larceny in the third degree. The court found that defendant wrongfully obtained \$3,073.47 from New York State “by misleading Medicaid as to the actual recipient of whatever drugs were dispensed” during the three transactions from February 28 to April 2, 2008 (*id.* at 55). In addition, the majority rejected defendant’s speedy trial claim, finding that the delay during the applicable period was properly excluded from the speedy trial calculation since it was attributable to motion practice.

The dissent argued there was insufficient proof that defendant knowingly and willfully misidentified the drugs dispensed on March 6, 2008 or the recipient of the drugs (for any of the transactions). Thus, according to the dissent, defendant’s grand larceny conviction should be vacated and the health care fraud conviction reduced from fourth degree to fifth degree because, without the \$519.04 billing for the March 2008 transaction, the total amount unlawfully obtained from Medicaid would fall below the “exceeds \$3,000” threshold for both third-degree grand larceny and fourth-degree health care fraud.

A Judge of this Court granted defendant leave to appeal (16 NY3d 860 [2011]), and we now affirm.

In a legal sufficiency inquiry, this Court’s role is limited to determining whether, “after viewing the evidence in the light most favorable to the prosecution, *any* rational trier of fact could have found the essential elements of the crime beyond a reasonable doubt” (*Jackson v Virginia*, 443 US 307, 319 [1979]; *see also People v Contes*, 60 NY2d 620, 621 [1983]). Where the evidence adduced at trial establishes “‘any valid line of reasoning and permissible inferences [that] could lead a rational person’ to convict, then the conviction survives a sufficiency review” (*People v Santi*, 3 NY3d 234, 246 [2004], quoting *People v Williams*, 84 NY2d 925, 926 [1994]). “A sufficiency inquiry requires a court to marshal competent facts most favorable to the People and determine whether, as a matter of law, a jury could logically conclude that the People sustained its burden of proof” (*People v Danielson*, 9 NY3d 342, 349 [2007]).

To establish health care fraud in the fourth degree, the People must prove that the defendant,

“with intent to defraud a health care plan . . . knowingly and willfully provide[d] materially false information . . . for the purpose of requesting payment from a health plan for a health care item or service and, as a result of such information . . . , [the defendant] or another person receive[d] payment in an amount [to which the defendant or another was] not entitled,” and “the payment wrongfully received . . . from a single health plan, in a period of not more than one year exceed[ed] [\$3,000] in the aggregate” (Penal Law §§ 177.05, 177.10).

Further, grand larceny in the third degree is made out when the People prove that the defendant stole property and that the value of the property exceeds \$3,000 (*see* Penal Law § 155.35).

[1] Here, it is clear that the People presented sufficient evidence for a jury to rationally conclude that the pink and orange pills dispensed to Gomez were different from the drugs listed on the prescriptions presented to defendant on February 28, 2008 and April 2, 2008, and that defendant knowingly and willfully provided materially false information to Medicaid (as to at least the dispensed medications) on those dates. However, defendant, in an attempt to reduce his health care fraud and grand larceny convictions, argues that there is no legally sufficient proof to conclude that on March 6, 2008, he dispensed something other than Sustiva, the medication actually prescribed, or that he dispensed it knowing that Arroyo was not going to be the recipient of the medication. Defendant essentially contends that because the People failed to prove the “knowingly and willfully providing materially false information” element as to the March 2008 transaction, not only must the fourth-degree health care fraud conviction be reduced, but the third-degree grand larceny must be reversed or reduced because the “exceeds \$3,000” threshold is not met. We disagree.

As stated, on March 6, 2008, Gomez came into the pharmacy with a prescription for 30 600-milligram tablets of Sustiva, a relatively expensive medication. He asked for “the usual pills” and defendant handed him 40 orange pills stamped “GG 461.” Viewing the evidence—i.e., Gomez’s request for medicine other than Sustiva; the discrepancy between the number of pills in the prescription and the number of pills defendant actually gave Gomez; and the whole course of dealing, in which defendant

consistently gave Gomez what Gomez asked for, rather than what was prescribed—in the light most favorable to the People, a jury could reasonably infer that the pills were not Sustiva and that Ivonne Arroyo would not be the recipient of the medication, and therefore that defendant knowingly and willfully provided materially false information to Medicaid.

[2] Defendant’s speedy trial argument is also unavailing. During much of the time defendant complains about, motion practice, which is an excuse for not being ready, was going on. In any event, it appears that the most time the People can be charged with is 129 days, well short of six months (*see* CPL 30.30 [1] [a]).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order affirmed.

[965 NE2d 928, 942 NYS2d 426]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v HOWARD K. SMITH, Appellant.

Argued January 11, 2012; decided February 16, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, entered April 28, 2010. The Appellate Term affirmed a judgment of the Justice Court of the Town of Orangetown, Rockland County (Paul B. Phinney, III, J.), which had convicted defendant, after a nonjury trial, of driving while ability impaired.

People v Smith, 27 Misc 3d 135(A), 2010 NY Slip Op 50789(U), reversed.

HEADNOTES

Motor Vehicles — Chemical Tests — Refusal to Submit to Chemical Test

1. In a prosecution for driving while intoxicated, the trial court erred in permitting the People to introduce, as proof of consciousness of guilt, evidence of defendant's refusal to submit to a chemical breath test to determine his blood alcohol content (BAC), where, following the state troopers' third recitation of chemical test warnings and accompanying request for defendant's consent to testing, defendant was not adequately warned that his request to await a call back from his lawyer would constitute a refusal to take the test. Under Vehicle and Traffic Law § 1194 (2) (f), evidence that a defendant declined to take a chemical test is admissible provided that the defendant was clearly and unequivocally informed that that would be one of the ramifications of refusal. Refusal evidence is probative of consciousness of guilt only if the defendant actually declined to take the test. Here, the troopers not only granted defendant's request to attempt to contact his attorney, but they left him alone for a half hour to wait for a return telephone call from his attorney before they again approached him, and they did not indicate at any point that BAC tests were to be administered promptly or that defendant's time to make a decision was limited. When defendant was asked on the third and final occasion whether he was willing to take a chemical test, he had no reason to know that his time for deliberation was over. A reasonable motorist in defendant's position would not have understood that, unlike the prior encounters, his further request to speak to an attorney would be interpreted by the troopers as a binding refusal to submit to a chemical test.

Crimes — Harmless and Prejudicial Error — Admission of Refusal to Submit to Chemical Test

2. In a prosecution for driving while intoxicated that resulted in defendant's conviction of the lesser included offense of driving while ability impaired (DWAI), the trial court's error in permitting the People to introduce, as proof of consciousness of guilt, evidence of defendant's refusal to submit to a chemi-

cal breath test to determine his blood alcohol content was not harmless. The trial court, which acted as the finder of fact, indicated in its decision that it was the consciousness of guilt evidence, coupled with defendant's performance on field sobriety tests and the odor of alcohol, that led to the DWAI conviction. Moreover, in response to a post-trial motion to set aside the verdict, the trial court characterized the proof on the DWAI charge as presenting a fairly close question. Thus, the trial court clearly relied on the erroneously admitted consciousness of guilt evidence.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 654, 659, 703; AM JUR 2d, Automobiles and Highway Traffic § 992; AM JUR 2d, Evidence § 821.
CARMODY-WAIT 2d, Physical Examinations and Tests §§ 175:4, 175:12.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 27.6.
MCKINNEY'S, Vehicle and Traffic Law § 1194 (2) (f).
NY JUR 2d, Automobiles and Other Vehicles §§ 918, 919;
NY JUR 2d, Criminal Law: Procedure §§ 1601, 2623, 3569, 3570, 3572, 3573.

ANNOTATION REFERENCE

Admissibility in criminal case of evidence that accused refused to take test of intoxication. 26 ALR4th 1112.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: refus! /s breath /2 test /p conscious! /5 guilt

POINTS OF COUNSEL

Larkin, Axelrod, Ingrassia & Tetenbaum, LLP, Newburgh (*Kathleen V. Wells* of counsel), for appellant. Howard K. Smith's mere innocent failure to submit to a breath test because he believed he could wait to consult with his attorney first was not a refusal and should not have been introduced against him and considered as evidence of consciousness of guilt. (*People v Lynch*, 195 Misc 2d 814; *People v Rosado*, 158 Misc 2d 50; *People v Gurse*, 22 NY2d 224; *People v O'Rama*, 78 NY2d 270; *People v Niedzwiecki*, 127 Misc 2d 919; *People v Davis*, 8 Misc 3d 158; *Matter of White v Melton*, 60 AD2d 1000; *Matter of Sullivan v Melton*, 71 AD2d 797; *People v Basora*, 75 NY2d 992; *People v Thomas*, 46 NY2d 100.)

Thomas P. Zugibe, District Attorney, New City (Itamar J. Yeager of counsel), for respondent. The lower court properly considered defendant's refusal to take the breathalyzer test as a "persistent refusal." In any event, any error was harmless in light of defendant's other acts constituting consciousness of guilt and the overwhelming evidence that his ability to drive was impaired. (*People v Cruz*, 48 NY2d 419; *People v Gonzalez*, 55 NY2d 720; *People v Giles*, 73 NY2d 666; *People v Abrew*, 95 NY2d 806; *People v Gethers*, 86 NY2d 159; *Najjar Indus. v City of New York*, 68 NY2d 943; *People v O'Neil*, 62 AD3d 727; *People v Hucks*, 175 AD2d 213; *People v O'Rama*, 78 NY2d 270; *People v Cragg*, 71 NY2d 926.)

OPINION OF THE COURT

GRAFFEO, J.

As a consequence of a motor vehicle stop, defendant was convicted of driving while ability impaired. On appeal, he maintained that the trial court erred in permitting the People to introduce—as proof of consciousness of guilt—evidence that he refused to take a chemical breath test to determine his blood alcohol content when requested to do so by state troopers. We agree and we therefore reverse the conviction and remit for a new trial.

On March 28, 2007, at approximately 3:30 A.M., New York State troopers stopped defendant's vehicle on the Palisades Parkway in Rockland County for a window tinting violation. When the troopers smelled alcohol on defendant's breath, he was asked to exit his vehicle. After he failed field sobriety tests, defendant was arrested for driving while intoxicated (Vehicle and Traffic Law § 1192 [3]). At the scene of the motor vehicle stop, the troopers administered *Miranda* warnings and chemical test warnings as contemplated in Vehicle and Traffic Law § 1194 (2) (f).

The chemical test warnings informed defendant:

"You are under arrest for driving while intoxicated. I am going to ask you if you will submit to a chemical test to determine the alcohol and/or drug content of your blood. Before I do, I must advise you that a refusal to submit to a chemical test or any portion thereof will result in the immediate suspension and subsequent revocation of your license or operating privileges, whether or not you are found guilty of

the charge for which you were arrested. Your refusal to submit to a chemical test or any portion thereof can be introduced into evidence against you at any trial, proceeding or hearing resulting from this arrest. Do you understand what I have told you? Will you submit to a chemical test for the purpose of determining the alcohol and/or drug content of your blood?"

Defendant stated that he understood the warnings but wanted to speak to his lawyer before deciding whether to take a chemical test.

Defendant was transported to the state police barracks where he was given chemical test warnings a second time and asked if he was willing to consent to a test. Defendant again indicated that he wished to telephone his attorney. Although he was permitted to use the telephone, defendant was unable to reach his lawyer. A half hour later, the troopers read the chemical test warnings a third time and sought an answer from defendant concerning whether he would take a chemical test. Defendant responded that he was waiting for his attorney to call him back. At this juncture, the troopers interpreted defendant's response as a refusal to submit to the test and they recorded that refusal on a form pursuant to Vehicle and Traffic Law § 1194 (2) (b).

At a pretrial hearing in connection with his driving while intoxicated charge, defendant moved to preclude the People from introducing evidence at trial that he refused to take the chemical test. Defendant asserted that he had never actually declined to be tested but merely requested an opportunity to contact his attorney first, which request was initially granted by the troopers. Because he was never advised that his time to seek a consultation with an attorney had elapsed, defendant maintained that he was unaware that his response to the third request—that he was waiting to hear back from his lawyer—would be interpreted as a refusal to take the test. He therefore argued that the People should not be permitted to offer evidence that he declined to take a chemical test in order to establish consciousness of guilt.

Town Court denied defendant's motion to preclude, determining that defendant's conduct amounted to a constructive refusal to take a chemical test and, at the subsequent bench trial, the People elicited evidence to that effect. Defendant was acquitted of driving while intoxicated but

convicted of the lesser included offense of driving while ability impaired. On appeal, defendant challenged the admission of the refusal evidence at trial but the Appellate Term affirmed the conviction, reasoning that Town Court did not err in concluding that the proof was admissible (27 Misc 3d 135[A], 2010 NY Slip Op 50789[U] [2010]). A Judge of this Court granted defendant leave to appeal (15 NY3d 895 [2010]) and we now reverse.

Chemical breath tests to determine blood alcohol content (BAC) are an important investigative tool used by law enforcement in the effort to combat driving while intoxicated and related offenses. The administration of these tests is a time-sensitive proposition; to maximize the probative value of BAC evidence, the police endeavor to administer chemical tests as close in time as possible to the motor vehicle infraction, typically within two hours of an arrest.¹

The standards governing the administration of chemical tests to ascertain BAC in this circumstance are set forth in Vehicle and Traffic Law § 1194. Although there is no constitutional right to avoid submitting to a chemical test of this nature (see *People v Shaw*, 72 NY2d 1032 [1988]; *People v Thomas*, 46 NY2d 100, 108 [1978], *appeal dismissed* 444 US 891 [1979]), subdivision (2) (b) of that statute grants a motorist a qualified right to decline to voluntarily take a chemical test with the understanding that such a decision will have significant consequences: it will result in the immediate suspension and ultimate revocation of the motorist's driver's license for one year (Vehicle and Traffic Law § 1194 [2] [d]) and will permit the People to elicit evidence of such refusal at any subsequent criminal trial (Vehicle

1. Although time is of the essence in obtaining chemical test evidence, if a defendant agrees to take the test, there is no per se statutory bar on admission of the results if the test was administered more than two hours after defendant's arrest (see *People v Atkins*, 85 NY2d 1007 [1995]). Similarly, there is no time restriction on admission of the results of court-ordered chemical testing under Vehicle and Traffic Law § 1194 (3) or any additional test conducted by a physician at the behest of the motorist pursuant to Vehicle and Traffic Law § 1194 (4) (b) (*id.* at 1009). However, Vehicle and Traffic Law § 1194 (2) (a), the implied consent provision governing when a motorist "shall be deemed to have given consent to a chemical test," does contain a two-hour limitation (see e.g. *People v Hall*, 61 NY2d 834 [1984] [where a blood test was performed on an incapacitated motorist within two hours of his arrest following a motor vehicle accident, test results were properly admitted at trial on an implied consent theory]).

and Traffic Law § 1194 [2] [f]).² However, those consequences flow from a refusal only if the motorist is first warned, “in clear and unequivocal language, of the effect of such refusal” (*id.*).

To implement the statute, law enforcement authorities have developed a standardized verbal warning of the consequences of refusal to take the test that is given to a motorist suspected of driving under the influence—the warning that was administered to defendant in this case. The duty to give the warning is triggered if the motorist is asked to take a chemical test and declines to do so. If, after being advised of the effect of such a refusal, the motorist nonetheless withholds consent, the motorist may be subjected to the statutory consequences.

Vehicle and Traffic Law § 1194 does not address whether a motorist has a right to consult with a lawyer prior to determining whether to consent to chemical testing. However, if the motorist is arrested for driving while intoxicated or a related offense, this Court has recognized a limited right to counsel associated with the criminal proceeding. In *People v Gursey* (22 NY2d 224, 227 [1968]), we held that if a defendant arrested for driving while under the influence of alcohol asks to contact an attorney before responding to a request to take a chemical test, the police “may not, without justification, prevent access between the criminal accused and his lawyer, available in person or by immediate telephone communication, if such access does not interfere unduly with the matter at hand.” If such a request is made, and it is feasible for the police to allow defendant to attempt to reach counsel without unduly delaying administration of the chemical test, a defendant should be afforded such an opportunity. As we explained in *Gursey*, the right to seek the advice of counsel—typically by telephone—could be accommodated in a matter of minutes and in most circumstances would not substantially interfere with the investigative procedure. That being said, we made clear that there is no absolute right to refuse to take the test until an attorney is actually consulted, nor can a defendant use a request for legal consultation to significantly postpone testing. “If the lawyer is not physically present and cannot be reached promptly by telephone or otherwise,” a defendant who has asked to consult with an attorney can be required to make a decision without the benefit of

2. If the motorist declines to consent, the police may not administer the test unless authorized to do so by court order (*see* Vehicle and Traffic Law § 1194 [3]).

counsel's advice on the question (*id.* at 229). Where there has been a violation of the limited right to counsel recognized in *Gursey*, any resulting evidence may be suppressed at the subsequent criminal trial (*id.*).

Here, defendant does not argue that his limited right to counsel was violated—nor could he. When defendant expressed a desire to consult with his lawyer, the troopers appropriately permitted him to telephone his attorney, fulfilling the requirements of *Gursey*. Moreover, the troopers even allowed defendant to wait a half hour for a return telephone call before they again approached him and asked whether he was willing to consent to a chemical test.

[1] Thus, although this case involves a request to speak to counsel, the issue here is not whether defendant's *Gursey* right was violated but, rather, whether proof that he refused a chemical test was properly admitted against him at trial. Under Vehicle and Traffic Law § 1194 (2) (f), evidence that a defendant declined to take a chemical test is admissible provided that defendant was clearly and unequivocally informed that this would be one of the ramifications of refusal. The proof is received to permit the inference of consciousness of guilt, i.e., "that defendant refused to take the test because of his apprehension as to whether he would pass it" (*Thomas*, 46 NY2d at 106). The admission of this type of evidence does not implicate a defendant's right against self-incrimination because there is no compulsion to refuse to take the test; to the contrary, as was evident here where troopers gave defendant three opportunities to take the test, law enforcement officers would much rather secure accurate evidence of BAC than obtain the right to offer "refusal" evidence at trial (*id.*).

Needless to say, refusal evidence is probative of a defendant's consciousness of guilt only if the defendant actually declined to take the test. And whether a defendant refused in a particular situation may be difficult to ascertain in cases where the accused did not communicate that intent in so many words. To be sure, a defendant need not expressly decline a police officer's request in order to effectuate a refusal that is admissible at trial. A defendant can signal an unwillingness to cooperate that is tantamount to a refusal in any number of ways, including through conduct. For example, where a motorist fails to follow the directions of a police officer prior to or during the test, thereby interfering with the timing of the procedure or its efficacy, this can constitute a constructive refusal. As the People

argue in this case, whether defendant's words or actions amounted to a refusal often constitutes a mixed question of law and fact that requires the court to view defendant's actions in light of all the surrounding circumstances and draw permissible inferences from equivocal words or conduct.

In this case, however, a pure issue of law is presented because there is no dispute concerning the events that led up to the trooper's conclusion that defendant had refused to take the test and we are asked whether, drawing all permissible inferences in the light most favorable to the People, the evidence was sufficient to support the admission of refusal evidence. We conclude that it was not. Not only did the troopers grant defendant's request to attempt to contact his attorney but they left him alone for a significant period of time to await the call back from his lawyer. The troopers did not indicate at any point that BAC tests were to be administered promptly or that defendant's time to make a decision was limited. Hence, when defendant was asked on the third and final occasion whether he was willing to take a chemical test, he had no reason to know that his time for deliberation was over. Defendant responded in much the same way he had on previous occasions—he indicated that he was waiting to make a decision until he could consult with counsel. Since a reasonable motorist in defendant's position would not have understood that, unlike the prior encounters, the further request to speak to an attorney would be interpreted by the troopers as a binding refusal to submit to a chemical test, defendant was not adequately warned that his conduct would constitute a refusal. The evidence of that refusal therefore was received in error at trial.

The People argue that such a finding will, in effect, compel law enforcement authorities to provide defendants with a litany of additional warnings not required by Vehicle and Traffic Law § 1194. In particular, the People suggest that a reversal here will require police officers to advise defendants concerning the contours of their limited right to counsel. But this is not the case. We have already rejected the notion that the police must notify a defendant concerning the limited right recognized in *Gursey* (*Shaw*, 72 NY2d 1032). All that is required for a refusal to be admissible at trial is a record basis to show that, through words or actions, defendant declined to take a chemical test despite having been clearly warned of the consequences of refusal. In this case, such evidence would have been present if, during the third request, troopers had merely alerted defendant that

his time for deliberation had expired and if he did not consent to the chemical test at that juncture his response would be deemed a refusal. Indeed, we already approved the use of a comparable admonition in *People v O’Rama* (78 NY2d 270, 280-281 [1991]) where, after defendant continued to express his desire to consult with counsel before taking a chemical test despite his inability to promptly reach his lawyer, the police properly advised defendant that his insistence on waiting for his attorney would be interpreted as a refusal.

[2] In the alternative, the People maintain that, even if there was error, reversal is not warranted because the error was harmless. We are unpersuaded, particularly since the trial court—which acted as the finder of fact—clearly relied on the consciousness of guilt evidence, indicating in its decision that it was this proof, coupled with defendant’s performance on field sobriety tests and the odor of alcohol, that led to the conviction on the driving while ability impaired count. Moreover, in response to a post-trial motion to set aside the verdict, the trial court adhered to its finding of guilt but characterized the proof on the driving while ability impaired charge as presenting “a fairly close question.” Under the circumstances, remittal for a new trial is warranted.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[965 NE2d 918, 942 NYS2d 416]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MICKEY
CASS, Appellant.

Argued January 5, 2012; decided February 16, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 7, 2010. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Gustin L. Reichbach, J.; *see* 5 Misc 3d 495 [2004]), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Cass, 79 AD3d 768, affirmed.

HEADNOTES

Crimes — Proof of Other Crimes — Defense of Extreme Emotional Disturbance

1. In a murder prosecution in which the defendant alleged that he “snapped” and strangled another man after the victim made sexual advances toward him, the trial court properly admitted defendant’s statement admitting to another, similar strangulation to rebut defendant’s extreme emotional disturbance defense. Evidence of a defendant’s uncharged crime may be admitted in a particular case where the proponent of the evidence identifies some material issue, other than the defendant’s criminal propensity, to which the evidence is directly relevant and, once that showing is made, the trial court determines that the probative value of the evidence outweighs the danger of prejudice. Here the People sought to introduce defendant’s statement regarding the other homicide for reasons other than to show defendant’s propensity towards violence. The highly probative evidence of the similar strangulation arguably showed, in support of the prosecution’s theory, that defendant had a premeditated intent to target gay men for violence, thereby tending to rebut the loss of control he claimed as part of his extreme emotional disturbance defense. Further, while it could be argued that the admission of the defendant’s statement was overly prejudicial propensity evidence, the repetition, duplication and similarity of defendant’s acts did have a direct bearing on the question of premeditated intent. As defendant’s state of mind was the main question the jury was required to resolve, it logically followed that the jury had to be permitted to decide whether the repetitive actions defendant engaged in rebutted his claim of extreme emotional disturbance.

Crimes — Right to Counsel — Effective Representation — Failure to Object to Prosecutor’s Comments on Summation

2. In a homicide prosecution, defendant was not denied the effective assistance of counsel because of defense counsel’s failure to object to allegedly prejudicial comments the prosecutor made during summation. During summation the prosecutor described defendant as a “predator” who systematically preyed upon the vulnerable, a characterization to which defense counsel failed to

object. However, defendant did not show that counsel lacked a legitimate explanation for not objecting or that, if counsel had objected, a mistrial would have been warranted. Further, the prosecutor's characterization of defendant's behavior as predatory was arguably a fair response to defense counsel's summation argument that defendant's acts were a reaction to what he perceived as a threat against him, and it was consistent with the prosecution's theory of the case, i.e., based on the evidence adduced at trial, defendant acted with premeditation, not under the influence of an extreme emotional disturbance. Accordingly, defendant failed to show that defense counsel provided less than meaningful representation; nor was counsel's failure to object the type of error that was so egregious or so clear cut and completely dispositive as to render counsel's assistance ineffective.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1135–1139; AM JUR 2d, Evidence §§ 330, 331, 333, 334, 347, 348, 409, 413, 414, 421, 423, 427–429, 437, 459, 460; AM JUR 2d, Trial §§ 463, 589.

CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:164, 184:270, 184:271; CARMODY-WAIT 2d, Fundamentals of Criminal Evidence §§ 193:18–193:22, 193:26, 193:28, 193:35; CARMODY-WAIT 2d, Summation §§ 199:11, 199:12, 199:28.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.10, 24.4, 24.7.

NY JUR 2d, Criminal Law: Procedure §§ 918, 2030, 2340–2342, 2349–2351, 2602; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 536, 537.

ANNOTATION REFERENCE

See ALR Index under Arguments of Counsel; Attorneys; Homicide; Prior Offenses and Convictions; Rebuttal.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: rebuttal /s defendant /2 statement & emotional! /2 disturb!

POINTS OF COUNSEL

Appellate Advocates, New York City (Warren S. Landau and Lynn W.L. Fahey of counsel), for appellant. I. Appellant, who had been severely abused by his father and had serious psychiatric conditions as a result, was denied fair consideration of his extreme emotional disturbance defense by the admission of his videotaped confession to killing another gay man who had tried

to sexually assault him. (*People v Rojas*, 97 NY2d 32; *People v Alvino*, 71 NY2d 233; *People v Fiore*, 34 NY2d 81; *People v Condon*, 26 NY2d 139; *People v Molineux*, 168 NY 264; *People v Fitzgerald*, 156 NY 253; *People v Vargas*, 88 NY2d 856; *People v Allweiss*, 48 NY2d 40; *People v Arafet*, 13 NY3d 460; *People v McKinney*, 24 NY2d 180.) II. Appellant was denied the effective assistance of counsel by his attorney's failure to protest the prosecutor's summation arguments that appellant was a "predator" and "multiple murderer" who "systematic[ally] prey[ed]" upon the vulnerable, that the defense expert was merely a "hired gun," and that the defense tried to hide evidence and elicited testimony about appellant's history of abuse merely to "tug at" the jury's "heart." (*Strickland v Washington*, 466 US 668; *People v Turner*, 5 NY3d 476; *People v Baldi*, 54 NY2d 137; *Washington v Hofbauer*, 228 F3d 689; *People v Benevento*, 91 NY2d 708; *People v Zaborski*, 59 NY2d 863; *People v Wallace*, 187 AD2d 998; *People v Caban*, 5 NY3d 143; *Murray v Carrier*, 477 US 478; *Kimmelman v Morrison*, 477 US 365.)

Charles J. Hynes, District Attorney, Brooklyn (Joyce Slevin, Leonard Joblove and Victor Barall of counsel), for respondent. I. The trial court properly admitted evidence of a prior uncharged crime. In any event, any error was harmless. (*People v Alvino*, 71 NY2d 233; *People v Allweiss*, 48 NY2d 40; *People v Marrin*, 205 NY 275; *People v Steinberg*, 170 AD2d 50, 79 NY2d 673; *People v Ingram*, 71 NY2d 474; *People v Santarelli*, 49 NY2d 241; *People v Till*, 87 NY2d 835; *People v Hudy*, 73 NY2d 40; *People v Ventimiglia*, 52 NY2d 350; *People v Rabideau*, 82 AD3d 1283; *People v Schicchi*, 13 AD3d 470.) II. Defendant received effective assistance of counsel. (*People v Brown*, 17 NY3d 742; *Strickland v Washington*, 466 US 668; *People v Baldi*, 54 NY2d 137; *Bierenbaum v Graham*, 607 F3d 36; *Williams v Taylor*, 529 US 362; *People v Turner*, 5 NY3d 476; *People v Baker*, 14 NY3d 266; *Greiner v Wells*, 417 F3d 305, 546 US 1184; *People v Caban*, 5 NY3d 143; *Rosario v Ercole*, 601 F3d 118, 617 F3d 683.)

OPINION OF THE COURT

JONES, J.

The primary issue we address is whether the trial court properly admitted evidence of defendant's uncharged murder to rebut defendant's extreme emotional disturbance defense concerning the murder for which he was on trial. Although we have considered the use of *Molineux* evidence (*People v Molineux*, 168 NY 264 [1901]) to rebut a defense predicated on a

defendant's impaired state of mind in other contexts (*see e.g. People v Santarelli*, 49 NY2d 241 [1980] [legal insanity defense]), this appeal presents the first opportunity for the Court to address the use of *Molineux* evidence in the context of an extreme emotional disturbance defense.

In affirming the order of the Appellate Division, we hold that the evidence was properly admitted. Additionally, we reject defendant's claim that he was denied effective assistance of trial counsel. Further, defendant's claim, raised in his *pro se* supplemental brief, that he did not authorize defense counsel to raise the extreme emotional disturbance defense involves matters which are *dehors* the record, and is therefore not reviewable by this Court.

I.

On September 25, 2003, defendant strangled his then roommate, Victor Dombrova, during an argument in Dombrova's Brooklyn apartment in which Dombrova expressed that he wanted defendant to vacate the premises. After defendant killed Dombrova, he fled the crime scene. The police investigating the crime discovered defendant's identity from a resume left at the apartment, and witnesses to the argument verified defendant's identity. The police further discovered that defendant was wanted for questioning in Buffalo concerning a similar homicide. In the course of their investigation, the police located defendant's former girlfriend who told them that defendant fled to Florida. They then placed a trap and trace/pin register on her phone, and, about a week after the homicide, defendant called the former girlfriend, was traced to Florida and arrested in that jurisdiction.

In a post-arrest statement, defendant told the police that, as a child, he was subjected to sexual abuse by his father over an extended period of time. Further, in written and videotaped statements, defendant admitted strangling Dombrova saying he "just lost it" and "snapped" when Dombrova grabbed his genitals and made other sexual advances towards him during their argument. Defendant said he strangled Dombrova with his hands and then used his belt to drag him to a closet in the apartment where the body was hidden. Defendant also admitted to strangling Kevin Bosinski in Buffalo on or about July 25, 2002—14 months before the Dombrova homicide—after meeting him in a bar. He said, on the night of the Buffalo homicide, he went to Bosinski's apartment and fell asleep. According to

defendant, when he awoke, he found Bosinski on top of him, kissing and grabbing him. In defendant's words, he "completely lost control" and began to strangle Bosinski with his hands; at some point defendant used his belt to kill Bosinski. Defendant further explained that he told both Dombrova and Bosinski about his history as a victim of sexual abuse.

Defendant was charged with two counts of murder in the second degree (Penal Law § 125.25 [1], [2]), concerning the death by strangulation of Victor Dombrova.¹ Prior to the jury trial for the Dombrova homicide, defendant announced he would raise the affirmative defense of extreme emotional disturbance, which, if successful, would mitigate, not negate, the element of intent and reduce the second-degree murder charge to first-degree manslaughter (another intentional crime) (*see* Penal Law § 125.25 [1] [a]; § 125.20 [2]).²

The People moved in limine, pursuant to *Molineux* and *People v Ventimiglia* (52 NY2d 350 [1981]), to permit introduction of defendant's statement regarding the death of Bosinski in Buffalo, arguing, *inter alia*, that defendant's statement regarding the Buffalo events is highly relevant to trial issues in the Brooklyn homicide because it is necessary to rebut the defense of extreme emotional disturbance. Supreme Court granted the motion to the extent of permitting the People to enter into evidence defendant's statement regarding the Bosinski strangulation and the autopsy report (to establish that Bosinski's death occurred) on a *Molineux* theory (5 Misc 3d 495 [2004]). In the court's view, defendant, by asserting the defense of extreme emotional disturbance, put his state of mind directly in issue, and therefore, "proof of other crimes may be admissible under the intent exception to the *Molineux* rule" (*id.* at 499). The court further reasoned that evidence of the Bosinski homicide

1. By a separate indictment, defendant was charged in Supreme Court, Erie County, with the Kevin Bosinski homicide.

2. In a prosecution for second-degree (intentional) murder, it is an affirmative defense that

"the defendant acted under the influence of extreme emotional disturbance for which there was a reasonable explanation . . . , the reasonableness of which is to be determined from the viewpoint of a person in the defendant's situation under the circumstances as the defendant believed them to be" (Penal Law § 125.25 [1] [a]).

The extreme emotional disturbance defense "permit[s] the defendant to show that his actions were caused by a mental infirmity not arising to the level of insanity, and that he is less culpable for having committed them" (*People v Patterson*, 39 NY2d 288, 302 [1976], *aff'd* 432 US 197 [1977]).

had a bearing on defendant's claim of extreme emotional disturbance because it tended to show that defendant had a premeditated intent to target gay men for violence, thereby countering defendant's claim that his "loss of control," and his actions as a result of this loss of control, arose from an impaired state of mind.

At trial, defendant admitted killing Dombrova and raised a defense of extreme emotional disturbance, claiming his violent response to Dombrova's unexpected sexual advances was due to mental illness caused by protracted sexual abuse he suffered as a child. Defendant's expert—Dr. Sanford L. Drob, a psychologist specializing in the areas of clinical and forensic psychology—testified that someone with defendant's history of abuse and resulting disorders would be prone to "revictimization," and therefore could experience more than one episode of extreme emotional disturbance when he finds himself in certain similar situations. But, the expert was unable to formulate an opinion to a reasonable degree of scientific certainty whether defendant had acted under extreme emotional disturbance in this case because he could not be sure, based on his discussions with defendant, what happened when defendant killed Dombrova. To rebut the defense, the People introduced defendant's statements about his strangulation of Bosinski. The jury rejected the extreme emotional disturbance defense and convicted defendant of murder in the second degree, for killing Dombrova. He was sentenced to an indeterminate prison term of 25 years to life. The Appellate Division affirmed Supreme Court's judgment (79 AD3d 768 [2010]), and a Judge of this Court granted defendant leave to appeal (17 NY3d 793 [2011]).

Defendant argues that his statement regarding the Bosinski homicide was inadmissible under *Molineux* and *Santarelli* because it had no direct or logical tendency to rebut his extreme emotional disturbance defense. In defendant's view, this evidence only shows that when he was confronted with sexual aggression, he snapped, facts wholly consistent with his extreme emotional disturbance defense. Defendant further contends that, even if the Bosinski evidence had some probative value, it should have been excluded because that value was minimal compared to its highly prejudicial impact in portraying defendant as someone who targets and kills gay men. For the reasons that follow, defendant's arguments are unavailing.

II.

First pronounced by this Court in 1901 in *People v Molineux* (168 NY 264 [1901]), the familiar *Molineux* rule states that evidence of a defendant's uncharged crimes or prior misconduct is not admissible if it cannot logically be connected to some specific material issue in the case, and tends only to demonstrate the defendant's propensity to commit the crime charged (*see People v Alvino*, 71 NY2d 233, 253 [1987]; *People v Allweiss*, 48 NY2d 40, 46 [1979]; *see also People v Rojas*, 97 NY2d 32, 36 [2001] [The basic principle underlying *Molineux* and its progeny is that "a criminal case should be tried on the facts and not on the basis of a defendant's propensity to commit the crime charged"]). "While such evidence may be marginally relevant to the question of the accused's guilt, its probative value is deemed to be outweighed by its potential for prejudice, and, accordingly, the evidence is excluded as a matter of judicial policy" (*Santarelli*, 49 NY2d at 247, citing *Molineux* 168 NY at 294 [remaining citations omitted]). The evidence of a defendant's uncharged crimes and prior bad acts is

"objectionable not because it has no appreciable probative value but because it has too much. The natural and inevitable tendency of the tribunal—whether judge or jury—is to give excessive weight to the vicious record of crime thus exhibited and either to allow it to bear too strongly on the present charge or to take the proof of it as justifying a condemnation, irrespective of the accused's guilt of the present charge" (1A Wigmore, Evidence § 58.2, at 1212; *see Rojas*, 97 NY2d at 36-37 ["propensity evidence invites a jury to misfocus, if not base its verdict, on a defendant's prior crimes rather than on the evidence—or lack of evidence—relating to the case before it"]).

Thus, "[w]here . . . the evidence proves only criminal propensity and serves no other function in demonstrating defendant's guilt of the crime charged, there is no legitimate basis for its admission. No degree of care, in assessing its value and possible prejudice and in giving cautionary instructions, can render it otherwise" (*Alvino*, 71 NY2d at 253). The *Molineux* rule is also meant "to eliminate the risk that a jury, not fully convinced of the defendant's guilt of the crime charged may, nevertheless, find against him because his conduct generally merits punishment" (*Allweiss*, 48 NY2d at 46 [citations omitted]).

On the other hand, where the proffered *Molineux* evidence is relevant to some material fact in the case, other than the defendant's propensity to commit the crime charged, it is not to be excluded merely because it shows that the defendant had committed other crimes (*see People v Ventimiglia*, 52 NY2d 350, 359 [1981] [The *Molineux* rule's "policy of protection against potential prejudice gives way when evidence of prior crime is probative of the crime now charged"]). Generally, evidence of uncharged crimes and prior bad acts may be admitted to prove the specific crime charged when it tends to establish (1) motive; (2) intent; (3) the absence of mistake or accident; (4) a common scheme or plan embracing the commission of two or more crimes so related to each other that proof of one tends to establish the others; and (5) the identity of the person charged with the commission of the crime on trial (*see Molineux*, 168 NY at 293). These categories are not exhaustive; they are meant to illustrate the type of analysis to apply in cases involving potentially prejudicial *Molineux* evidence (*see Ventimiglia*, 52 NY2d at 359).

To determine whether *Molineux* evidence may be admitted in a particular case, the trial court must engage in the following two-part inquiry (*see Alvino*, 71 NY2d at 242; *Allweiss*, 48 NY2d at 46-47): first, the proponent of the evidence must identify some material issue, other than the defendant's criminal propensity, to which the evidence is directly relevant (*see Alvino*, 71 NY2d at 242); once the requisite showing is made, the trial court must weigh the evidence's probative value against its potential for undue prejudice to the defendant (*see People v Hudy*, 73 NY2d 40, 55 [1988], *abrogated on other grounds by Carmell v Texas*, 529 US 513 [2000]).³ If the evidence has substantial probative value and is directly relevant to the purpose—other than to show criminal propensity—for which it is offered, the probative value of the evidence outweighs the danger of prejudice and the court may admit the evidence (*see Allweiss*, 48 NY2d at 46-47; *People v McKinney*, 24 NY2d 180, 184 [1969]).

III.

In this case, defendant claims that his act of strangling Dombrova, while intentional, was committed under a state of

3. This weighing of probative value versus potential for undue prejudice is discretionary; as such, our review is limited to determining whether the trial court abused its discretion; however, the threshold question of identifying a material issue to which the evidence is relevant poses a question of law (*see Hudy*, 73 NY2d at 55, citing *Alvino*, 71 NY2d at 242).

extreme emotional disturbance. In the context of this defense, the mental infirmity is typically “a loss of self-control” (*People v Harris*, 95 NY2d 316, 319 [2000]). The defense of extreme emotional disturbance has two elements. First, it must be determined that the defendant actually “acted under the influence of extreme emotional disturbance” (*People v Casassa*, 49 NY2d 668, 678 [1980]), a *subjective* determination. Second, there must be “a reasonable explanation” for the defendant’s emotional disturbance, “determined from the viewpoint of a person in the defendant’s situation under the circumstances as the defendant believed them to be,” an *objective* determination which is to be made by “viewing the subjective, internal situation in which the defendant found himself and the external circumstances as he perceived them at the time, however inaccurate that perception may have been” (*id.* at 678, 679). Unlike the situation where the defendant is claiming an innocent state of mind, the influence of an extreme emotional disturbance—if the defense is accepted—explains the defendant’s actions, but “does not negate intent . . . [or] make the action any less intentional” (*People v Gonzalez*, 1 NY3d 464, 469 [2004]).⁴

By asserting the defense of extreme emotional disturbance, defendant necessarily put his state of mind at the time of the Dombrova killing in issue. We have held that where a defendant puts an affirmative fact—such as a claim regarding his/her state of mind—in issue, evidence of other uncharged crimes or prior bad acts may be admitted to rebut such fact (*see Alvino*, 71 NY2d at 248; *see e.g. People v Ingram*, 71 NY2d 474, 481 [1988] [in this prosecution for second-degree robbery, where the defendant allegedly acted as the getaway driver in connection with a holdup of a gas station, the defendant put the question of his criminal intent and state of mind directly in issue by offering an innocent explanation of his presence at the station and denying any knowledge that his accomplice planned to commit the robbery; the People were allowed to introduce evidence of a similar subsequent crime, under the intent or state of mind exception to the *Molineux* rule, to rebut the defendant’s claim that he lacked the requisite mental state to be held criminally

4. The extreme emotional disturbance defense does not absolve the defendant of criminal responsibility, but allows him/her “to demonstrate the existence of mitigating factors which indicate that” he/she should be “punished less severely” (*People v Roche*, 98 NY2d 70, 75 [2002]) because the intentional homicide resulted from “an understandable human response deserving of mercy” (*Harris*, 95 NY2d at 318).

liable]; *Santarelli*, 49 NY2d at 248). In so holding, we have consistently applied the well-settled principles of *Molineux* and its progeny.

We last addressed the People's use of *Molineux* evidence to rebut a defense predicated on a defendant's impaired state of mind in *Santarelli*. In that case, the defendant was charged in connection with the shooting death of his brother-in-law. At trial, he claimed that when the killing took place, he suffered from "temporary insanity," thus putting his state of mind directly in issue. He sought to establish the defense through lay testimony concerning his unusual behavior in the weeks leading up to the shooting and through expert testimony indicating that his symptoms were consistent with a "break with reality" in the form of a "paranoid delusion" that his brother-in-law was trying to kill him (*id.* at 249). The prosecution sought to rebut defendant's claim by establishing that the shooting was a product of the defendant's explosive personality, not legal insanity. To that end, they offered proof, through testimony, that the defendant had committed a number of unprovoked, violent acts, unconnected with his brother-in-law, prior to the shooting at issue.⁵ The trial court permitted the introduction of all the evidence, the jury rejected the defendant's claim of insanity and he was convicted of murder in the second degree; the Appellate Division affirmed.

This Court reversed the Appellate Division and remitted the case to County Court for further proceedings on the indictment, holding that "evidence of uncharged criminal or immoral conduct may be admitted as part of the People's case on rebuttal if it has a tendency to disprove the defendant's claim that he was legally insane at the time of the crime" (*Santarelli*, 49 NY2d at 248), and the trial court erred in admitting most of the evidence of defendant's past violent conduct which, contrary to our settled case law, was not directly relevant to the issue of defendant's sanity and which, in some cases, only demonstrated defendant's general propensity toward criminality (*see id.* at 247, 251-252). In so holding, the Court stated that evidence of bad acts must have some "logical relationship" to, and a "direct bearing upon," the People's effort to disprove the insanity defense on rebuttal (*id.* at 249, 252), and assertion of the

5. The prior bad acts evidence included defendant's participation in a bar-room scuffle, his beating of a shop steward, and his conviction for possessing a gun.

insanity defense opens the door to bad acts evidence “only to the extent that such evidence has a natural tendency to disprove his specific claim” (*id.* at 249). The Court also reiterated that trial courts must “take special care to ensure not only that the evidence bears some articulable relation to the issue, but also that its probative value in fact warrants its admission despite the potential for prejudice” (*id.* at 250).

[1] With the foregoing principles in mind, we hold that defendant’s statement concerning the Bosinski homicide was properly admitted during the People’s case on rebuttal. Here, the People sought to introduce the Bosinski evidence for reasons other than to show defendant’s propensity towards violence. This highly probative evidence is directly relevant to defendant’s extreme emotional disturbance defense in that it has a logical and natural tendency to disprove his specific claim that he was acting under an extreme emotional disturbance at the time of the Dombrova homicide (*see Santarelli*, 49 NY2d at 248). The evidence arguably shows that defendant had a premeditated intent to target gay men for violence, thereby tending to rebut the loss of control he claimed as part of his extreme emotional disturbance defense. Thus, the evidence tends to establish that the subjective element of the defense has not been made out.⁶

Further, the prosecution’s theory was that defendant deliberately targeted and killed gay men, and introducing defendant’s statement regarding the Bosinski homicide was consistent with this theory. Although the Bosinski and Dombrova homicides have strikingly similar characteristics, from the way each victim was killed to defendant leaving town after each killing, and it can be argued that the admission of the Bosinski statement is overly prejudicial propensity evidence, it is equally true that the repetition, duplication and similarity of defendant’s acts have a direct bearing on the question of premeditated intent. By asserting that he killed Dombrova under a state of extreme emotional disturbance, defendant put his state of mind at the

6. The evidence is also relevant to the objective element of the extreme emotional disturbance defense. Under the circumstances, it was arguably foreseeable to defendant that if Dombrova made an unwanted sexual advance toward him, like Bosinski did, he could react violently. Because defendant twice put himself in a position where he could commit a deadly act, a jury could reasonably find that defendant’s emotional response to Dombrova’s advance was unreasonable, as opposed to “an understandable human response deserving of [the] mercy” afforded by the extreme emotional disturbance defense (*Harris*, 95 NY2d at 318).

time of the Dombrova homicide squarely in issue. As defendant's state of mind was the main question the jury was required to resolve (based on all the relevant evidence), it logically follows that the jury had to be permitted to decide whether the repetitive actions defendant engaged in rebutted his claim of extreme emotional disturbance.⁷

IV.

[2] Defendant further argues that he was denied effective assistance of counsel solely for defense counsel's failure to object to prejudicial comments the prosecutor allegedly made during summation. During her summation, the prosecutor described defendant as a "predator" who systematically preyed upon the vulnerable. Although defense counsel did object to certain of the prosecutor's summation comments, he did not object to the prosecutor's characterization of defendant's conduct as predatory. However, defendant has not shown that counsel lacked a legitimate explanation for not objecting or that, if counsel had objected, a mistrial would have been warranted. Further, the prosecutor's characterization of defendant's behavior as predatory was arguably a fair response to defense counsel's summation argument that defendant's acts were a reaction to what he perceived as a threat against him. Moreover, it was consistent with the prosecution's theory of the case, i.e., based on the evidence adduced at trial, defendant acted with premeditation, not under the influence of an extreme emotional disturbance.

Defendant has not shown that defense counsel provided less than meaningful representation (*see People v Benevento*, 91 NY2d 708 [1998]); nor is counsel's failure to object here the type of error that is so egregious or so clear cut and completely dispositive as to render counsel's assistance ineffective (*see People v Turner*, 5 NY3d 476 [2005]); accordingly, defendant's claim that he was denied effective assistance of counsel fails.

V.

We have considered the arguments raised in defendant's pro se supplemental brief, and conclude they are unreviewable or lack merit.

7. Since evaluation of defendant's repetitive actions are not beyond the ken of the average juror, it was not necessary for the People to offer expert testimony to rebut the expert testimony offered by defendant.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order affirmed.

[965 NE2d 949, 942 NYS2d 447]

RONALD BRUCE POSNER, Respondent, v RUSSELL T. LEWIS et al.,
Appellants.

Argued January 4, 2012; decided February 21, 2012

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 9, 2010. The Appellate Division affirmed an order of the Supreme Court, New York County (Marylin G. Diamond, J.; op 2009 NY Slip Op 33245[U] [2009]), which had denied a motion by defendants to dismiss the complaint. The following question was certified by the Appellate Division: “Was the order of Supreme Court, as affirmed by this Court, properly made?”

Posner v Lewis, 80 AD3d 308, affirmed.

HEADNOTE

Torts — Prima Facie Tort — Privilege

In an action arising out of the denial of tenure to plaintiff school teacher, allegedly resulting from defendants’ disclosure of plaintiff’s extramarital affair with a student’s mother, defendants’ course of conduct in instigating complaints to school authorities against plaintiff was not entitled to an absolute privilege under *Brandt v Winchell* (3 NY2d 628 [1958]) that would warrant dismissal under CPLR 3211 of plaintiff’s causes of action for prima facie tort and tortious interference with prospective contractual rights. *Brandt* held that defendants’ lawful act of initiating certain charges relating to plaintiff did not become actionable because it was motivated by personal malevolence, as the best interests of the public were advanced by the exposure of plaintiff’s actions. Here, defendants reported misconduct to the relevant authorities, prompting an official investigation regarding a matter of public interest, and were allegedly motivated not by a desire to benefit the public but to harm plaintiff for personal reasons. However, accepting plaintiff’s allegations as true, the complaint asserted what was in essence a blackmail scheme: defendants attempted to coerce him into relinquishing his parental rights by offering him money and threatening to reveal certain information to school authorities to ensure that he was denied tenure, and made good on the threat when plaintiff refused to accede to the demand. Defendant’s complaints to school officials could not be isolated from the coercive scheme, which constituted a single and integrated course of conduct to which the absolute privilege articulated in *Brandt* should not be extended. Moreover, the conduct alleged was not entitled to immunity under the First Amendment.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Extortion, Blackmail, and Threats §§ 1, 20, 21,

23, 34; AM JUR 2d, Interference §§ 3–7, 9, 10, 12–15, 17, 18, 26, 32, 33, 37, 45, 53–57, 60; AM JUR 2d, Torts §§ 46–48.

NY JUR 2d, Interference §§ 29, 43, 44, 47; NY JUR 2d, Schools, Universities, and Colleges § 288; NY JUR 2d, Torts §§ 20–24.

PROSSER AND KEETON, TORTS (5th ed) §§ 16, 129, 130.

ANNOTATION REFERENCE

See ALR Index under Extortion; Interference and Obstruction; Privileged and Confidential Information; Teachers and Instructors.

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Database: NY-ORCS

Query: absolute /2 privilege & blackmail

POINTS OF COUNSEL

Cahill Gordon & Reindel LLP, New York City (*Thomas J. Kavalier* and *M. Justin Lubeley* of counsel), for appellants. Respondent's claims sounding in prima facie tort and tortious interference must be dismissed because they are premised entirely and exclusively on privileged and protected speech. (*Brandt v Winchell*, 3 NY2d 628; *ATI, Inc. v Ruder & Finn*, 42 NY2d 454; *Weissman v Mogol*, 118 Misc 2d 911; *New York Times Co. v Sullivan*, 376 US 254; *Prozeralik v Capital Cities Communications*, 82 NY2d 466; *Chapadeau v Utica Observer-Dispatch*, 38 NY2d 196; *Carlton v Nassau County Police Dept.*, 306 AD2d 365; *Curiano v Suozzi*, 63 NY2d 113.)

Krauss PLLC, White Plains (*Geri S. Krauss* of counsel), and *Jonathan P. Arfa, P.C.* (*Jonathan P. Arfa* of counsel), for respondent. I. The court below properly held that defendants' statements and actions were not "absolutely privileged." (*Toker v Pollak*, 44 NY2d 211; *Park Knoll Assoc. v Schmidt*, 59 NY2d 205; *Clark v McGee*, 49 NY2d 613; *Stukuls v State of New York*, 42 NY2d 272; *Andrews v Gardiner*, 224 NY 440; *ATI, Inc. v Ruder & Finn*, 42 NY2d 454; *Penn-Ohio Steel Corp. v Allis-Chalmers Mfg. Co.*, 7 AD2d 441; *Holy Spirit Assn. for Unification of World Christianity v New York State Congress of Parents & Teachers*, 95 Misc 2d 548; *Brandt v Winchell*, 3 NY2d 628; *Mejia v City of New York*, 119 F Supp 2d 232.) II. Decisions of this Court subsequent to *Brandt* have imposed further limitations on absolute immunity which bar its application here. (*Brandt v Winchell*, 3 NY2d 628; *Park Knoll Assoc. v Schmidt*,

59 NY2d 205; *Toker v Pollak*, 44 NY2d 211; *Weissman v Mogol*, 118 Misc 2d 911; *Garson v Hendlin*, 141 AD2d 55; *Dunajewski v Bellmore-Merrick Cent. High School Dist.*, 138 AD2d 557.) III. Defendants' activities are not protected by the First Amendment. (*Bill Johnson's Restaurants, Inc. v NLRB*, 461 US 731; *Herbert v Lando*, 441 US 153; *Branzburg v Hayes*, 408 US 665.)

OPINION OF THE COURT

GRAFFEO, J.

In this tort action, we must decide whether defendants' course of conduct in instigating complaints to school authorities against plaintiff, a nontenured teacher, is entitled to an absolute privilege under *Brandt v Winchell* (3 NY2d 628 [1958]) that would warrant dismissal of plaintiff's causes of action for prima facie tort and tortious interference with prospective contractual rights. Assuming the truth of the allegations in the complaint, as we must at this early stage of the litigation, we conclude that defendants' conduct is not immunized by *Brandt*.

On a CPLR 3211 motion to dismiss, we are obligated to give the complaint a liberal construction and accept the allegations as true. Providing plaintiff Ronald Posner with every favorable inference, the facts gleaned from the complaint are as follows. Beginning in 2005, Posner was employed by the Pelham Union Free School District in Westchester County as a nontenured elementary school teacher. In March 2008, after Posner's wife accused him of having an extramarital affair, his father-in-law, defendant Russell Lewis (the former CEO of the New York Times Company), instructed Posner to leave the marital residence, which Russell owned. When Posner returned to retrieve personal items, Russell warned that if he "did not go quietly," Russell would "make trouble" for him. Three days later, Posner's wife commenced a divorce proceeding.

In early April 2008, Russell informed Posner that he wanted him to make a "clean break" from his wife. It later became evident that Russell wanted his son-in-law to relinquish all parental rights to his newborn daughter. To entice the acceptance of his proposal, Russell offered Posner a sum of money and "threatened to go to the Pelham Board of Education and impact his tenure." When Posner refused, Russell and Posner's brother-in-law, defendant David Lewis (an attorney), engaged in conduct designed to effectuate the denial of Posner's tenure and the revocation of his teaching license.

In April 2008, the principal at the school where Posner taught informed him that the board of education was favorably inclined

to approve him for tenure status but that the decision would not be made formally until a June board meeting. Meanwhile, the Lewises retained a company specializing in forensic computer investigations to search for Posner's e-mails on his home computer. David then sent a letter dated April 14, 2008 to the State Department of Education accusing Posner of having an affair with the parent of one of his students, who was also recommended by Posner to be a substitute teacher in his class. David demanded disciplinary action, including revocation of Posner's teaching license. The letter referenced segments of the e-mails between Posner and his alleged paramour. After the Department of Education informed the school district about the complaint, David telephoned the school district superintendent "demanding to know what was going on in the investigation and what disciplinary actions were being taken."

Toward the end of April, the principal notified Posner that the school district was required to investigate the complaint but assured him that his private life should not affect his application for tenure. Shortly thereafter, David sent a second letter to the superintendent and each member of the board of education with a copy of a report prepared by the computer firm and Posner's e-mails. The letter urged school officials to "take the strongest measure of disciplinary action" against Posner. After a May 2008 board meeting, Posner was advised that he no longer had sufficient votes for tenure, causing him to tender his resignation before the final June vote.

Posner commenced this action against defendants asserting causes of action for prima facie tort and tortious interference with prospective contractual relations. The complaint alleges that Posner was not granted tenure because of the continuous pressure and influence exerted upon school officials by defendants and that, as a result of their "wrongful and malicious actions, Plaintiff Posner was and continues to be unable to secure another tenure track teaching position in a public school district in Westchester County."

Defendants moved to dismiss the complaint pursuant to CPLR 3211, arguing that their disclosure of Posner's affair to school officials was a matter of public interest and that they were immune from liability similar to the defendants in *Brandt*. Supreme Court denied the motion (2009 NY Slip Op 33245[U] [2009]) and a divided Appellate Division affirmed (80 AD3d 308 [1st Dept 2010]). The Appellate Division granted defendants leave to appeal on a certified question, and we now affirm.

Defendants contend that Posner's claims for prima facie tort and tortious interference with prospective contract rights should be dismissed because their exposure of his misconduct to school authorities was in the public interest and hence absolutely privileged. They assert that under *Brandt* they are immune from civil liability for instigating official action against Posner, regardless of whether they possessed a malicious intent. Posner responds that defendants are not entitled to an absolute privilege because their communications to school officials, even if related to matters of public concern, were made in connection with a coercive scheme to deprive Posner of his parental rights.

To begin, defendants do not dispute for purposes of this appeal that, absent the application of immunity recognized in *Brandt*, the complaint would adequately plead causes of action for prima facie tort¹ and tortious interference with prospective contractual relations.² The outcome of this case therefore turns on whether *Brandt* mandates dismissal of the action.

In *Brandt*, the plaintiff brought a prima facie tort claim against columnist Walter Winchell and philanthropist Elmer Bobst for maliciously provoking an official investigation against a cancer fund organized by plaintiff in order to stifle competition with defendants' cancer research fund. Following an investigation by the Attorney General, plaintiff agreed to dissolve the fund and refrain from any future solicitation of charitable contributions. We affirmed the dismissal of the complaint, applying a balancing test for claims alleging that a lawful act (the making of a complaint) became unlawful as a result of the complaining party's malicious motives—we “analyze[d] and weigh[ed] the conflicting interests of the parties and of the pub-

1. To state a legally cognizable claim for prima facie tort, a plaintiff must allege “(1) the intentional infliction of harm, (2) which results in special damages, (3) without any excuse or justification, (4) by an act or series of acts which would otherwise be lawful” (*Freihofer v Hearst Corp.*, 65 NY2d 135, 142-143 [1985]). In addition, there can be no recovery under this theory “unless malevolence is the sole motive for defendant's otherwise lawful act or, in [other words], unless defendant acts from disinterested malevolence” (*Burns Jackson Miller Summit & Spitzer v Lindner*, 59 NY2d 314, 333 [1983] [internal quotation marks and citations omitted]).

2. To state a cause of action for tortious interference with prospective contractual relations, a plaintiff must plead that the defendant directly interfered with a third party and that the defendant either employed wrongful means or acted “for the sole purpose of inflicting intentional harm on plaintiff[]” (*Carvel Corp. v Noonan*, 3 NY3d 182, 190 [2004] [internal quotation marks and citation omitted]).

lic in order to determine which shall prevail” (3 NY2d at 634-635).

We concluded in *Brandt* that defendants’ lawful act of initiating charges related to plaintiff’s mishandling of the charitable fund did not become actionable because it was motivated by personal malevolence, reasoning that “[t]he best interests of the public are advanced by the exposure of those guilty of offenses against the public and by the unfettered dissemination of the truth about such wrongdoers” (*id.* at 635). Under these circumstances, the *Brandt* defendants were “entitled to immunity from civil suit at the hands of the one exposed, for the truth is not to be shackled by fear of a civil action for damages” (*id.*; see also *ATI, Inc. v Ruder & Finn*, 42 NY2d 454, 460 [1977] [“(S)ince use of plaintiff’s product may be injurious, that perhaps some defendants were motivated to harm plaintiff by alerting the public as to the potential hazard does not require a conclusion that these defendants’ conduct is without justification”]).

There are some similarities between *Brandt* and this case. As in *Brandt*, defendants reported misconduct to the relevant authorities and prompted an official investigation regarding a matter of public interest. And like *Brandt*, defendants were allegedly motivated not by a desire to benefit the public but to harm the target of their animosity for personal reasons. But, as the Appellate Division majority noted, there is a critical distinction between the two cases. Accepting the allegations of the complaint to be true, defendants in this case did more than instigate an inquiry or investigation. According to Posner, Russell attempted to coerce him into relinquishing his parental rights by offering him money and threatening to reveal certain information to school authorities to ensure that he was denied tenure. And when Posner refused to accede to this demand, defendants made good on the threat. Posner’s complaint therefore does not merely allege a malicious motive; rather, it asserts what is in essence a blackmail scheme. Contrary to defendants’ position, their complaints to school officials cannot be isolated from this coercive scheme, which “constituted a single and integrated course of conduct” (*Giboney v Empire Storage & Ice Co.*, 336 US 490, 498 [1949] [“(T)he record here does not permit this publicizing to be treated in isolation”]). In light of the intimidation and threatening conduct allegedly directed at Posner, we conclude that the absolute privilege articulated in *Brandt* should not be extended to protect the course of conduct alleged in this case.

Although the concurrence claims that our focus is on defendants' motives, in fact, the dispositive allegation that places this case outside of the realm of *Brandt* and the other cases cited by the concurring opinion is an affirmative act—defendants' conduct in attempting to blackmail Posner.³ As we have explained, the publicizing that occurred in this case cannot be neatly separated from this coercive scheme. To the extent defendants claim that the conduct alleged here is entitled to immunity under the First Amendment, we note that it has been consistently held that blackmail and extortion are not protected speech (see *R.A.V. v St. Paul*, 505 US 377, 420 [1992, Stevens, J., concurring] ["Although the First Amendment broadly protects 'speech,' it does not protect the right to . . . extort" (internal quotation marks and citation omitted)]; *Planned Parenthood of Columbia/Willamette, Inc. v American Coalition of Life Activists*, 244 F3d 1007, 1015 n 8 [9th Cir 2001] ["Blackmail and extortion—the threat that the speaker will say or do something unpleasant unless you take, or refrain from taking, certain actions—are not constitutionally protected"], *rehearing en banc* 290 F3d 1058 [9th Cir 2002]).⁴

Accordingly, the order of the Appellate Division should be affirmed, with costs. The certified question should be answered in the affirmative.

SMITH, J. (concurring). I agree with the result reached by the majority, but not with its reasoning. I believe the privilege recognized in *Brandt v Winchell* (3 NY2d 628 [1958]) is absolute, and not subject to a case-by-case balancing of conflicting

3. Defendants and the concurrence rely on *ATI, Inc. v Ruder & Finn* (42 NY2d 454 [1977]) in asserting that *Brandt* protects blackmailers. But *ATI* does not sweep so broadly. The public relations firm in *ATI* suggested that plaintiff would be adversely affected by federal and public entities if it did not retain its services to tell plaintiff's side of the story in the public debate about the environmental dangers of plaintiff's aerosol products. Although the plaintiff in *ATI* characterized defendant's actions as intimidation tactics, this is a far cry from the blackmail scheme alleged in the complaint here.

4. There is authority for the proposition that although blackmail is not constitutionally protected, a plaintiff seeking to recover reputational damages (as opposed to economic damages) flowing from the subsequent publication must satisfy the applicable defamation standard—notably, falsity—even where the plaintiff relies on non-defamation tort theories (see *Smithfield Foods, Inc. v United Food & Commercial Workers Intl. Union*, 585 F Supp 2d 815, 822 [ED Va 2008]). The parties here have not addressed the *Smithfield* analysis nor have they litigated the issue of whether the complaint in this case seeks reputational or economic damages. We therefore have no occasion to address these issues.

interests, even where, as here, “a blackmail scheme” (majority op at 571) is alleged. I conclude, however, that the communications that are the basis for this action are outside the scope of the privilege recognized in *Brandt*, not because of the motive behind them, but because they did not involve either a matter of public concern or an accusation of serious criminal conduct.

I begin this opinion by explaining why I believe that neither a balancing test nor an exception for blackmailers is consistent with the *Brandt* privilege as we have described it. I then examine the relationship between the *Brandt* rule and the rules developed in *New York Times Co. v Sullivan* (376 US 254 [1964]) and later cases; that relationship strengthens my conclusion that case-by-case balancing is the wrong approach, and that even speech motivated by blackmail is protected. Finally, I explain why I think this plaintiff’s complaint should not be dismissed.

I

Brandt recognized an “immunity from civil suit” for truthful communications resulting in “the exposure of those guilty of offenses against the public” (3 NY2d at 635). The plaintiff in *Brandt* was the organizer of an agency that collected funds for needy victims of cancer. Defendant Winchell, a well-known reporter and commentator, was active on behalf of a cancer research organization. The plaintiff’s claim was that Winchell and his codefendants, seeking to eliminate competition from the plaintiff’s group, had persuaded public agencies, including the New York Attorney General and a District Attorney, to investigate and prosecute the plaintiff and take other action against him, and had accused the plaintiff of wrongdoing in print and on the radio.

In affirming a judgment dismissing the *Brandt* complaint, we made clear that the “immunity” we recognized was absolute, and did not depend on how bad the defendant’s motive was. We said:

“If the one who sets the agencies in motion is actuated by an evil motive he may perhaps be subject to judgment in the forum of morals but he is free from liability in a court of law.” (*Id.* at 635.)

We explained that such an ill-motivated party “is entitled to immunity from civil suit at the hands of the one exposed, for the truth is not to be shackled by fear of a civil action for damages” (*id.*).

We applied the rule of *Brandt* in *ATI, Inc. v Ruder & Finn* (42 NY2d 454, 456 [1977]), where the plaintiff, a manufacturer and packager of aerosol products, claimed that the defendants, an advertising agency and individuals connected with it, had set out “to intimidate” plaintiff into retaining the agency’s services by publicizing the theory that aerosols were linked to the destruction of the earth’s ozone layer. Again, we made clear that the immorality of defendant’s alleged conduct was irrelevant: “However morally reprehensible the asserted conduct of some of the defendants may be considered to be, it is not actionable in the courts” (*id.*).

The majority says that we applied “a balancing test” in *Brandt* (majority op at 570). But the whole point of *Brandt* and *ATI* is vitiated, it seems to me—and the words I have quoted from those cases lose their meaning—if the defendant’s moral culpability is to be balanced in each case against the public interest served. If such a balancing test exists the result of each case will be unpredictable and, to use the words of *Brandt*, the “fear of a civil action for damages” will not be eliminated; thus “the truth” will “be shackled.” The *Brandt* rule, to have its proper effect, must protect even blackmailers, and *ATI* holds that it does: the public relations firm in *ATI* had written a letter to the plaintiff that, in the plaintiff’s interpretation, was a threat to ruin the plaintiff’s business if the plaintiff did not retain the firm, but the firm’s communications were still privileged.

The majority finds a balancing test in the following sentence from *Brandt*:

“Accordingly, it may fairly be said that whenever the gist of an alleged cause of action (as here) is that an otherwise lawful act has become unlawful because the actor’s motives were malevolent, the court is called upon to analyze and weigh the conflicting interests of the parties and of the public in order to determine which shall prevail.” (3 NY2d at 634-635.)

I think the majority reads this passage out of context. In light of the clear language in *Brandt* creating an absolute privilege, the quoted sentence should not be read to require balancing *in each case* of “the conflicting interests of the parties and of the public.” Rather, I think the *Brandt* court spoke of analyzing and weighing conflicting interests to describe the process it went through in deciding to adopt a rule of absolute immunity.

The balancing was done in *Brandt*, once and for all, and is not to be repeated in every case.

II

The privilege for truthful communications recognized in *Brandt* and *ATI* overlaps with—may, indeed, be subsumed by—the privilege or privileges for communications believed to be truthful recognized in the line of cases that begins with *New York Times Co. v Sullivan*. *New York Times* recognized a constitutionally-based rule “that prohibits a public official from recovering damages for a defamatory falsehood relating to his official conduct unless he proves that the statement was made . . . with knowledge that it was false or with reckless disregard of whether it was false or not” (376 US at 279-280). In *Gertz v Robert Welch, Inc.* (418 US 323, 347 [1974]) the Court held that more limited, but significant, protection was available “for a publisher or broadcaster of defamatory falsehood injurious to a private individual”; in such cases, the Constitution prohibits imposition of “liability without fault”—i.e., liability imposed on someone not at least negligent in believing the “defamatory falsehood” to be true. And in *Chapadeau v Utica Observer-Dispatch* (38 NY2d 196, 199 [1975]), acting “within the limits imposed” by *Gertz*, we chose to give somewhat broader protection than *Gertz* required. We held that a defamed party could recover only by showing “that the publisher acted in a grossly irresponsible manner without due consideration for the standards of information gathering and dissemination ordinarily followed by responsible parties” (*id.*).

New York Times, *Gertz* and *Chapadeau* all involved statements that were, or were alleged to be, false. The parties making those false statements were held to be protected from liability as long as they did not know, and were not sufficiently at fault in failing to know, that what they said was not true. It follows a fortiori that a party making a statement that *is* true must receive immunity under *New York Times*, *Gertz* and *Chapadeau*. In *Garrison v Louisiana* (379 US 64, 73 [1964]), the United States Supreme Court recognized the obvious point that truth is entitled to no less protection than falsity. The Court expressed agreement with what a state court had said more than a century before:

“If upon a lawful occasion for making a publication,
he has published the truth, and no more, there is no

sound principle which can make him liable, even if he was actuated by express malice. . . .

“It has been said that it is lawful to publish truth from good motives, and for justifiable ends. But this rule is too narrow. If there is a lawful occasion—a legal right to make a publication—and the matter true, the end is justifiable, and that, in such case, must be sufficient.” (*State v Burnham*, 9 NH 34, 42-43 [1837], quoted in *Garrison*, 379 US at 73; see also *Philadelphia Newspapers, Inc. v Hepps*, 475 US 767, 776 [1986] [requiring a plaintiff to bear the burden of proving that the statements at issue are false].)

I believe the results in both *Brandt* and *ATI* would have been compelled by the line of cases derived from *New York Times* that I have just summarized. Indeed, it is not clear to me that the rule of *Brandt* protects anything that the *New York Times* line of cases does not protect (though it may—I will discuss this question below). No one, so far as I know, has suggested that the protection afforded by *New York Times* and later cases can be eliminated by the sort of “balancing” the majority does here—one that takes into account the defendant’s evil motive. On the contrary, under *New York Times* and related cases, the only “malice” that is relevant is knowledge of, or indifference to, the falsity of one’s utterances. If the utterances are not in fact false, the motive of the speaker, as *Garrison* held, is irrelevant.

The majority opinion here disavows any “focus on defendants’ motives” (majority op at 572); but in fact the alleged motive for defendants’ communications is the majority’s only basis for finding the *Brandt* privilege inapplicable. Plaintiff’s claim is that defendants disclosed his adultery and other misdeeds *because* he rejected their demand that he surrender rights to his child. Motive, and motive only, links those disclosures to the alleged blackmail scheme the majority relies on. Defendants’ letters and telephone call to the Department of Education and the school district were not blackmailing in themselves; if they were, I agree with the majority that they would be outside constitutional protections (see *Watts v United States*, 394 US 705, 707 [1969]).

In short, the majority today holds that motive may defeat the *Brandt* privilege. The result is that *Brandt* offers less protection than the United States Constitution requires.

III

I nevertheless agree with the majority's result in this case: Plaintiff's claim is not barred. I reach this result not by balancing, but by concluding that the communications at issue here—quite apart from the alleged blackmail scheme that motivated them—are not of the kind to which the cases I have discussed are applicable.

Defendants rely primarily on *Brandt* and *ATI*. They cite *New York Times*, *Garrison*, *Chapadeau* and other related cases to bolster their argument, but never clearly argue that the *New York Times* line of cases is controlling here. They are wise to avoid that argument, because the protections that cases following *New York Times* afford against civil liability are unavailable where the statements in issue “do not involve matters of public concern” (*Dun & Bradstreet, Inc. v Greenmoss Builders, Inc.*, 472 US 749, 751 [1985]). The subject of the communications at issue here—principally, plaintiff's adulterous affair with a fellow teacher—was not a matter of “public concern” in the relevant sense.

Defendants insist that the affair, and the other topics covered in defendants' communications with the Department of Education and the school district, were of interest to the public, because plaintiff was a public employee. I agree that the school district, as plaintiff's employer, could reasonably be interested in knowing the things that defendants told it. Like any other employer, a school district can legitimately consider facts that bear on its employee's character or judgment. It might think that a man who cheated on his pregnant wife set a poor example for the students; it could certainly conclude that plaintiff acted unprofessionally in choosing for his romantic partner a fellow employee whose child was in his class; and it might be distressed to know of another fact mentioned in defendants' communications—that the resume plaintiff had submitted to the school district failed to mention a previous employment that had “terminated abruptly.”

But not every fact about a public employee that his employer might want to know is a matter of “public concern” under the *Dun & Bradstreet* limitation on the *New York Times* line of cases. That line of cases is designed to protect debate about public issues (*see Garrison*, 379 US at 73 [“Debate on public issues will not be uninhibited if the speaker must run the risk that it will be proved in court that he spoke out of hatred”];

Hustler Magazine, Inc. v Falwell, 485 US 46, 53 [1988] [“in the world of debate about public affairs, many things done with motives that are less than admirable are protected by the First Amendment”]; *Prozeralik v Capital Cities Communications*, 82 NY2d 466, 474 [1993] [the *New York Times* “rule was promulgated in recognition ‘of a profound national commitment to the principle that debate on public issues should be uninhibited, robust, and wide-open’ ” (quoting *New York Times*, 376 US at 270)]. As we put it in *Chapadeau*, a matter “within the sphere of legitimate public concern” is one “which is reasonably related to matters warranting public exposition” (38 NY2d at 199). Or, as Supreme Court said in *San Diego v Roe* (543 US 77, 83-84 [2004]): “public concern is something that is a subject of legitimate news interest.”

Nothing in this record suggests that the matters discussed in the communications at issue in this case were, or were likely to become, the subject of public debate. Who plaintiff slept with and how complete his resume was were not matters “warranting public exposition” or “of legitimate news interest.” The communications at issue therefore did not address a matter of “public concern” (cf. *Connick v Myers*, 461 US 138, 146-149 [1983] [holding a public employee’s comments on the trustworthiness of her supervisors and the level of office morale not to be a matter of “public concern”]).

For these reasons, I conclude that the *New York Times* line of cases does not apply here. It is possible, as I suggested above, that *Brandt* is no more than a forerunner of those cases, and that the *Brandt* privilege is now subsumed within the later cases—and if that is so, I can end my opinion here. *Brandt* and *ATI* can plausibly be read as designed to protect only communications on matters of public concern. The communications involved in those cases were clearly in that category: *Brandt* involved a topic discussed “in nationally circulated printed publications and in nationally broadcast radio programs” (3 NY2d at 632), and *ATI* involved the threatened destruction of the ozone layer.

But it is also possible to interpret the *Brandt* privilege more broadly, as protecting “the exposure of those guilty of offenses against the public” (3 NY2d at 635), whether the offenses themselves were matters of “public concern” or not. If “offenses against the public” is taken to mean serious criminal wrongdoing (which was at issue in *Brandt* itself), this broader reading of *Brandt* may be plausible. In this case, for example, if

defendants had truthfully accused plaintiff of larceny or possession of a controlled substance, a fair argument could be made that the communications, even if their subject matter was not of “public concern,” would be absolutely privileged.

But it is completely unacceptable to extend the *Brandt* privilege to “offenses” as minor as adultery (a class B misdemeanor that is never prosecuted) or an omission from a resume. I see no basis in *Brandt*, or in the policies underlying it, for extending it to shelter the bad faith exposure of such relatively minor misconduct. The *Brandt* privilege should be held to protect, at most, communications about matters of public concern or about significant criminal activity. Because this case involves neither, *Brandt* does not apply and the complaint has correctly been allowed to stand.

Chief Judge LIPPMAN and Judges CIPARICK and JONES concur with Judge GRAFFEO; Judge SMITH concurs in result in a separate opinion in which Judge PIGOTT concurs; Judge READ concurs in result for the reasons stated in Part III of Judge SMITH’s concurring opinion.

Order affirmed, etc.

[965 NE2d 939, 942 NYS2d 437]

THOMAS H., Appellant, v PAUL B. et al., Respondents.

Argued January 9, 2012; decided February 21, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 29, 2010. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Dutchess County (Christine A. Sproat, J.), which had denied defendants' motion for summary judgment dismissing the complaint, and (2) granted the motion.

Thomas H. v Paul B., 74 AD3d 1283, reversed.

HEADNOTE**Libel and Slander — Actionable Words — Summary Judgment**

In a defamation action alleging that defendants, during a meeting with plaintiff's wife, made unqualified statements that plaintiff sexually assaulted defendants' underage daughter on two occasions, accompanied by specific details of plaintiff's threats and actions during the incidents, defendants were not entitled to summary judgment because they failed to establish as a matter of law that they did not defame plaintiff. Generally, only statements of fact can be defamatory and an actionable statement of fact may be distinguished from a protected statement of opinion by examining whether the allegedly defamatory words have a precise meaning that is readily understood, whether the statement can be proven as true or false, and whether the context of the communication signals readers or listeners that what is being read or heard is likely to be opinion, not fact. Here, although there were conflicting recollections of the meeting, the relevant factors tended to weigh in favor of viewing defendants' alleged communications as actionable statements of fact: the precise meaning of the utterances was that plaintiff raped and molested a child at a specific place during two encounters; the statements could be proven true or false; and the overall context in which the utterances were made was indicative of factual assertions. Since a reasonable listener would have understood that defendants intended to label plaintiff as a child rapist, the statements would be actionable even if they were couched in the form of an opinion, rather than fact. Plaintiff's wife's realization that defendants' purported statements were derived from what their daughter told them was not determinative of whether defendants' alleged communications were actionable because the fact that a particular accusation originated with a different source does not automatically furnish a license for others to repeat or publish it without regard to its accuracy or defamatory character.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Libel and Slander §§ 24, 140–143, 161, 189, 230.

NY JUR 2d, Defamation and Privacy §§ 6–8, 20–22, 27, 32, 98.

PROSSER AND KEETON, TORTS (5th ed) §§ 111–113.

ANNOTATION REFERENCE

See ALR Index under Libel and Slander; Sex and Sexual Matters.

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POINTS OF COUNSEL

Law Office of Mickey A. Steiman, Hyde Park (*Mickey A. Steiman* of counsel), and *Robert N. Palmer*, Poughkeepsie, for appellant. I. The decision and order of the Appellate Division is inconsistent with clear principles of defamation jurisprudence requiring critical analysis of claims of non-actionable expression. (*Steinhilber v Alphonse*, 68 NY2d 283; *Mann v Abel*, 10 NY3d 271; *Gross v New York Times Co.*, 82 NY2d 146; *Silverman v Clark*, 35 AD3d 1; *Vengroff v Coyle*, 231 AD2d 624.) II. The Appellate Division erroneously engaged in factual issue determination in concluding defendants' alleged statements constituted statements of opinion and not of fact. (*Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Kolivas v Kirchhoff*, 14 AD3d 493; *Judice v DeAngelo*, 272 AD2d 583; *Andre v Pomeroy*, 35 NY2d 361; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Zuckerman v City of New York*, 49 NY2d 557; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Rodriguez v OD&P Constr.*, 194 Misc 2d 284; *Director, Office of Workers' Compensation Programs v Greenwich Collieries*, 512 US 267; *300 E. 34th St. Co. v Habeeb*, 248 AD2d 50.)

Murphy & Lambiase, Goshen (*George A. Smith* of counsel), for respondents. I. The purported statements are not actionable because even if they were made, they were nothing more than a truthful recitation of defendants' daughter's allegations against Thomas H. (*Golub v Enquirer/Star Group*, 89 NY2d 1074; *Stephan v Cawley*, 24 Misc 3d 1204[A], 2009 NY Slip Op 51248[U]; *Tourge v City of Albany*, 285 AD2d 785; *Vengroff v Coyle*, 231 AD2d 624; *Rinaldi v Holt, Rinehart & Winston*, 42 NY2d 369; *Jung Hee Lee Han v State of New York*, 186 AD2d 536; *Mann v Abel*, 10 NY3d 271; *Brian v Richardson*, 87 NY2d

46.) II. Hyperbole, imaginative speech and opinion are all non-actionable. (*Milkovich v Lorain Journal Co.*, 497 US 1; *Letter Carriers v Austin*, 418 US 264; *Immuno AG. v Moor-Jankowski*, 77 NY2d 235; *Steinhilber v Alphonse*, 68 NY2d 283; *Kamalian v Reader's Digest Assn., Inc.*, 29 AD3d 527; *Brian v Richardson*, 87 NY2d 46; *Mann v Abel*, 10 NY3d 271; *Balderman v American Broadcasting Cos.*, 292 AD2d 67; *Parks v Steinbrenner*, 115 AD2d 395; *Zion v NYP Holdings, Inc.*, 18 AD3d 376.) III. Statements which are not actionable do not become actionable because in another context they would be slander per se. (*Lieberman v Gelstein*, 80 NY2d 429; *Cavallaro v Pozzi*, 28 AD3d 1075; *McCullough v Certain Teed Prods. Corp.*, 70 AD2d 771; *Tourge v City of Albany*, 285 AD2d 785; *Jordan v Lewis*, 20 AD2d 773; *Brian v Richardson*, 87 NY2d 46; *Arrigoni v Velella*, 110 AD2d 601; *Aronson v Wiersma*, 65 NY2d 592.)

OPINION OF THE COURT

GRAFFEO, J.

On this record, we hold that defendants are not entitled to summary judgment because they failed to establish as a matter of law that they did not defame plaintiff.

Plaintiff Thomas H. and his wife, Karen, are acquainted with defendants Paul and Nancy B. The couples were introduced by one of Karen's sisters and they occasionally spent time together at a residence in Vermont. Defendants' young son and daughter would join them on these excursions.

In early 2005, defendants' daughter revealed to her parents that plaintiff had raped and molested her at the Vermont residence in February 2002 and 2004, when she was 10 and 12 years old. After hearing about these incidents, Paul brought his daughter to speak with Vermont law enforcement officials and a police report was prepared. Plaintiff was never charged with a crime in connection with these allegations.

Defendants, along with Karen's two sisters, decided to notify Karen about her husband's alleged actions and inform her that defendants would soon be filing a civil suit against her husband. In February 2006, all four went to Karen's apartment in Manhattan to convey this information. What was said during this meeting is sharply disputed by the parties.

In his pretrial deposition, Paul could not remember what he specifically discussed with Karen but recalled that the conversation focused on his daughter's accusations against Karen's husband. He also could not confirm that he was the person who

stated that plaintiff had “raped” the child, though he did admit to telling Karen that if he had a gun, he would have shot her husband.

Nancy testified that, although she did not tell Karen that her husband had raped the child, she thought that someone else made such a declaration at least once during the discussion. Another individual who was present could not remember the precise details of what occurred but testified that the general topic of discussion was that defendants’ daughter had accused plaintiff of sexual abuse and molestation.

Contrary to defendants’ version of the exchange, Karen claimed that as soon as she opened her door to the visitors, someone declared “It’s Tom, it’s Tom . . . He raped [the girl].” She indicated that it was Paul who stated that “Tom had raped [the girl] twice up in Vermont” and that Nancy had described the incidents to her as follows:

“That in 2002 [plaintiff] waited until everybody was asleep, snuck out of his bedroom, went into the bedroom where [the girl] was sleeping, picked her up, carried her back to his bedroom, tried to have sexual relations with [her] and couldn’t because he couldn’t maintain an erection, then stuck his finger in her vagina and then called her a bitch and threatened her and said don’t tell anybody about this . . . [a]nd then brought her back to her bedroom.

“[I]n February 2004 [plaintiff] . . . got [the girl] and brought [her] back into his bedroom and this time had sexual intercourse with her and slammed her up against a wall and used profanities with her again and threatened her again and then brought her back into her bedroom.”

According to Karen, these were Nancy’s direct quotes and she understood that the statements made by defendants were based on their daughter’s allegations. However, she did not believe that her husband had sexually assaulted the child.

Plaintiff adamantly denied that he had sexual contact with defendants’ daughter and responded to these charges by commencing this action for defamation. The theory of the complaint is that, at the meeting and on “numerous occasions” thereafter, defendants falsely and maliciously stated that plaintiff had

raped and molested defendants' daughter, and that the individuals who heard those statements believed that defendants "charge[d] plaintiff with the felony crimes of rape and child molestation." After depositions were conducted, defendants moved for summary judgment, contending that even if they made the statements that were attributed to them, those utterances were not actionable because they had truthfully relayed their daughter's accusations and merely expressed their belief in her veracity.

Supreme Court denied defendants' motion, finding triable issues of fact based on the conflicting testimony of the parties. The Appellate Division reversed and granted summary judgment to defendants (74 AD3d 1283 [2d Dept 2010]). The court concluded that the "alleged statements constituted statements of opinion, and not of fact" (*id.* at 1284). We granted leave to appeal (15 NY3d 715 [2010]) and now reverse.

Making a false statement that tends to expose a person to public contempt, hatred, ridicule, aversion or disgrace constitutes defamation (*see e.g. Geraci v Probst*, 15 NY3d 336, 344 [2010]; *Foster v Churchill*, 87 NY2d 744, 751 [1996]). Generally, only statements of fact can be defamatory because statements of pure opinion cannot be proven untrue (*see e.g. Brian v Richardson*, 87 NY2d 46, 51 [1995]).¹ A verbal utterance that inaccurately accuses a person of a serious crime can be slander per se (*see Liberman v Gelstein*, 80 NY2d 429, 435 [1992]).

It is often difficult to distinguish an actionable statement of fact from a protected statement of opinion (*see Mann v Abel*, 10 NY3d 271, 276 [2008]). This is a task that courts must perform by examining three factors: (1) whether the allegedly defamatory words have a "precise meaning" that is "readily understood"; (2) whether the statement can be proven as true or false; and (3) "whether either the full context of the communication in which the statement appears or the broader social context and surrounding circumstances are such as to signal . . . readers or listeners that what is being read or heard is likely to be opinion, not fact" (*Brian v Richardson*, 87 NY2d at 51 [internal quotation marks omitted]; *see Mann v Abel*, 10 NY3d at 276; *Steinhilber v Alphonse*, 68 NY2d at 292).

1. Some opinions that are not accompanied by the facts on which they are based may qualify as defamatory under certain circumstances (*see Gross v New York Times Co.*, 82 NY2d 146, 153-154 [1993]; *Steinhilber v Alphonse*, 68 NY2d 283, 289-290 [1986]).

Even when an accusation involves serious criminal conduct, differentiating between fact and opinion is not necessarily an easy endeavor. At first blush, a statement such as “plaintiff is a thief” certainly appears capable of being proven true or false. But the overall context in which such words are used may cloud their potentially defamatory nature. As we explained in *Gross* (82 NY2d at 155), using “thief” to refer to the intentional taking of another person’s property is a direct factual accusation of criminal conduct that is likely actionable. In that context, the defamatory nature of the statement cannot be immunized by pairing it with “I believe” the person is a thief. But if the word “thief” is used in the symbolic sense to suggest that someone’s “heart was stolen,” it lacks a criminal connotation and instead conveys “that something other than an objective fact is being asserted” (*id.*). Context, therefore, is often the key consideration in categorizing a statement as fact or opinion (*see generally Im-muno AG. v Moor-Jankowski*, 77 NY2d 235, 254 [1991]).

Based on the conflicting recollections in this case, it is impossible to decipher exactly what was said by whom and the precise context in which the statements were made. Paul asserted that, for the most part, he could not recall his own statements but that he merely spoke about what his daughter had told him. Nancy similarly testified that the conversation focused on her daughter’s accusations and she acknowledged that someone accused plaintiff of committing sexual assault. Plaintiff’s wife, in stark contrast, contended that both defendants characterized her husband as a rapist and child molester, and claimed that Nancy delineated precisely what acts plaintiff engaged in and the nature of the statements that plaintiff made to her daughter.

In light of these factual discrepancies, defendants have not met their burden of demonstrating their entitlement to summary judgment. Assuming that the recollections of plaintiff’s wife are accurate, her version of the facts would support the conclusion that defendants may have defamed plaintiff. Unqualified statements attributed to defendants that plaintiff sexually assaulted their underage daughter on two occasions in Vermont, accompanied by specific details of plaintiff’s threats and actions during the incidents, tends to weigh the relevant factors in favor of viewing defendants’ alleged communications as actionable statements of fact: (1) the precise meaning of the utterances is that plaintiff raped and molested a child at a specific place during two encounters; (2) the statements can be proven

true or false since plaintiff either did or did not commit the acts; and (3) the overall context in which the utterances were made is indicative of factual assertions. This includes Paul's statement that he would have shot plaintiff if a gun was available, defendants' belief that their daughter had been sexually assaulted by plaintiff and defendants' intent to sue plaintiff for what he allegedly did to their daughter. Under these circumstances, a reasonable listener would have understood that defendants intended to label plaintiff as a child rapist. Hence, the statements would be actionable even if they were couched in the form of an opinion ("I think plaintiff sexually assaulted my child"), rather than fact ("plaintiff sexually assaulted my child") (see *Gross*, 82 NY2d at 155). And although plaintiff's wife realized that defendants' purported statements were derived from what their daughter told them, that is not determinative because "the fact that a particular accusation originated with a different source does not automatically furnish a license for others to repeat or publish it without regard to its accuracy or defamatory character" (*Brian v Richardson*, 87 NY2d at 54).² Consequently, we conclude that defendants' motion for summary judgment must be denied.

As a final matter, it should be noted that defendants did not argue in their summary judgment motion that their statements were immunized by a qualified privilege. "Generally, a statement is subject to a qualified privilege when it is fairly made by a person in the discharge of some public or private duty, legal or moral, or in the conduct of his own affairs, in a matter where his interest is concerned" (*Rosenberg v MetLife, Inc.*, 8 NY3d 359, 365 [2007] [internal quotation marks omitted]; see e.g. *Town of Massena v Healthcare Underwriters Mut. Ins. Co.*, 98 NY2d 435, 445 [2002]; *Liberman v Gelstein*, 80 NY2d at 437). A communication protected by such a privilege is not actionable unless the plaintiff proves that it was uttered with malice—i.e., "spite or a knowing or reckless disregard of a statement's falsity" (*Rosenberg*, 8 NY3d at 365). In the current procedural posture of this appeal, we cannot consider, and do not decide,

2. In *Brian*, the author of an article that appeared on the editorial page of a newspaper stated that he found certain factual claims about a matter of public concern to be credible, while disclosing the basis for that belief. In concluding that this was a communication of opinion (see 87 NY2d at 53), we made clear that a statement does not necessarily cease to be factual simply because the speaker attributes it to a third party (see e.g. *Gross*, 82 NY2d at 150).

whether the qualified privilege rule applies in a situation like this arising from the disclosure of sexual assault allegations by the parents of a child victim to the spouse of the accused offender, with whom the parents are acquainted.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the order of Supreme Court reinstated.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, FIGOTT and JONES concur.

Order reversed, etc.

[965 NE2d 232, 942 NYS2d 5]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v KEVIN SMITH, Appellant.

Argued January 10, 2012; decided February 14, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 1, 2010. The Appellate Division modified, on the law, a judgment of the Supreme Court, New York County (Arlene R. Silverman, J.), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the third degree (two counts), criminal possession of a controlled substance in the third degree, and criminal possession of a controlled substance in the fifth degree, and sentencing him to an aggregate term of five years' imprisonment. The modification consisted of vacating the sentence and remanding for resentencing. The Appellate Division affirmed the judgment as modified.

People v Smith, 75 AD3d 420, affirmed.

HEADNOTES

Crimes — Right to Counsel — Substitution of Assigned Counsel

1. The trial court in a criminal prosecution did not abuse its discretion by denying defendant's request for the substitution of assigned counsel since defendant failed to demonstrate that good cause for the substitution existed. After defendant's first counsel was replaced, defendant requested substitution of new assigned counsel stating that he and his attorney disagreed about how to proceed with pretrial motions and he did "not feel comfort[able] going to . . . trial with this man." The trial court conducted an inquiry into defendant's request for new assigned counsel revealing that defendant did not approve of the representation counsel sought to provide him despite counsel detailing that he had considered defendant's suggested pretrial motions, had prepared for trial and had tried numerous similar cases. Moreover, the court noted that counsel was competent and likely to provide effective representation; the case was ready for trial; and defendant provided "no reason" to substitute counsel for a second time. Against that factual setting, the trial court's denial of defendant's request for the substitution of assigned counsel was a proper exercise of discretion.

Crimes — Proof of Prior Convictions — Inquiry into Nature of Prior Convictions — Discretion of Trial Court

2. In a prosecution for criminal sale and possession of drugs, the trial court did not abuse its discretion by issuing a *Sandoval* ruling which permitted the prosecutor to refer to defendant's prior drug-related felony convictions by naming the specific crimes, should defendant choose to testify. Defendant had requested that the prosecutor's cross-examination of him be limited to the

mere fact that his prior convictions were unspecified felonies; however, the trial court ruled that the prosecutor's potential inquiry would be limited to the name of the crime, county and date of conviction and that the jury would also be instructed that the prior convictions were not evidence of defendant's guilt. Although the concerns of *People v Sandoval* (34 NY2d 371 [1974])—whether the prejudicial effect of impeachment testimony far outweighs the probative worth of the evidence on the issue of credibility—still exist and may have been implicated here since defendant's prior convictions were similar to the pending charges, the court weighed appropriate concerns and limited the scope of cross-examination.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1102, 1103, 1109; AM JUR 2d, Evidence §§ 332, 409, 413, 414, 425; AM JUR 2d, Witnesses §§ 780, 781, 798.
CARMODY-WAIT 2d, Right to Counsel §§ 184:55, 184:106, 184:107, 184:109, 184:110; CARMODY-WAIT 2d, Testimony of Witnesses §§ 195:145–195:147, 195:154, 195:155, 195:159, 195:160.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.2, 11.4.
NY JUR 2d, Criminal Law: Procedure §§ 747, 748, 761, 2304, 2305, 2340–2342, 2346, 2347, 2349–2351, 2356, 2363.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Cross-Examination; Prior Offenses and Convictions.

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POINTS OF COUNSEL

Office of the Appellate Defender, New York City (Richard M. Greenberg of counsel), for appellant. I. The trial court's *Sandoval* ruling, which would have allowed the prosecutor to cross-examine Kevin Smith about the nature of three prior felony drug convictions, was imbalanced and overly prejudicial and an abuse of discretion, where Mr. Smith was accused of virtually identical drug felonies in this case, and where the ruling effectively precluded him from testifying at trial to his version of the facts as he did at the pretrial hearing. (*People v Sandoval*, 34 NY2d 371; *People v Carmack*, 52 AD2d 264, 44 NY2d 706;

People v Bermudez, 98 Misc 2d 704; *People v Hayes*, 97 NY2d 203; *People v Walker*, 83 NY2d 455; *People v Pavao*, 59 NY2d 282; *People v Harris*, 74 AD3d 984, 15 NY3d 920; *People v Vasquez*, 71 AD3d 1179; *People v Louisias*, 29 AD3d 1017; *People v Marquez*, 22 AD3d 388.) II. Kevin Smith was denied his constitutional right to counsel at trial when the court denied substitution of counsel despite the good cause shown by the complete breakdown in the attorney-client relationship which culminated in counsel refusing to represent Mr. Smith at sentencing. (*Gideon v Wainwright*, 372 US 335; *People v Sides*, 75 NY2d 822; *People v Branham*, 59 AD3d 244; *People v Rodriguez*, 46 AD3d 396; *People v Bryan*, 31 AD3d 295; *People v Linares*, 2 NY3d 507; *People v Medina*, 44 NY2d 199; *People v Arroyave*, 49 NY2d 264; *Hurrell-Harring v State of New York*, 15 NY3d 8; *People v Felder*, 47 NY2d 287.)

Cyrus R. Vance, Jr., District Attorney, New York City (Hilary Hassler and Mary C. Farrington of counsel), for respondent. I. The trial court's *Sandoval* ruling, permitting inquiry into defendant's three prior convictions for drug offenses, without their underlying facts, was a proper exercise of discretion. (*People v Sandoval*, 34 NY2d 371; *People v Grant*, 7 NY3d 421; *People v Kello*, 96 NY2d 740; *People v Hawkins*, 11 NY3d 484; *People v Duffy*, 36 NY2d 258; *People v Betts*, 70 NY2d 289; *People v Casey*, 72 NY 393; *People v Hayes*, 97 NY2d 203; *People v Williams*, 56 NY2d 236; *People v Sorge*, 301 NY 198.) II. The trial court's denial of defendant's eve-of-trial request to replace his assigned counsel was proper. (*People v Sawyer*, 57 NY2d 12; *People v Linares*, 2 NY3d 507; *People v Medina*, 44 NY2d 199; *People v Porto*, 16 NY3d 93; *People v Sides*, 75 NY2d 822; *People v Arroyave*, 49 NY2d 264; *People v Mattiace*, 77 NY2d 269; *People v Tineo*, 64 NY2d 531; *People v Rodriguez*, 95 NY2d 497; *People v Nelson*, 7 NY3d 883.)

OPINION OF THE COURT

JONES, J.

The issues before this Court are whether Supreme Court abused its discretion by denying defendant's request for the substitution of assigned counsel and by issuing a *Sandoval* ruling which permitted the prosecutor to refer to defendant's prior drug-related felony convictions by naming the specific crimes, should he choose to testify. We hold that it did not.

On April 25, 2007, defendant was arrested for the sale of cocaine after detectives, assigned to the surveillance of drug

activity in a particular area, observed defendant conduct two apparent drug transactions in front of a bar in Manhattan. The detectives first arrested the two individuals, who they allegedly saw give defendant money in exchange for drugs, and recovered crack cocaine from each of them. Upon defendant's arrest, they discovered additional drugs in his back pocket. Defendant was charged with two counts of criminal sale of a controlled substance in the third degree, criminal possession of a controlled substance in the third degree, and criminal possession of a controlled substance in the fifth degree.

Prior to jury selection, defendant indicated that his former defense counsel "really botched up" and that he felt his present attorney was not "going to represent [him] to the best of his ability."* Initially, defendant expressed that he and his attorney disagreed about how to proceed with pretrial motions. More specifically, he complained that counsel did not follow his request to renew a motion to dismiss the indictment based upon the testifying officers' failure to state their prior experience and training before the grand jury. Counsel explained, however, that he indicated to defendant that the issue was preserved for appeal in the event that the motion court ruled incorrectly. According to defendant, he did "not feel comfort[able] going to . . . trial with this man." The court warned that it would not continue to assign defendant different attorneys. After noting that the case was ready for trial, the court advised defendant that counsel was an able, competent and experienced criminal attorney. Defense counsel explained his preparation for defendant's trial and that he had tried many observation sale cases. The court denied defendant's request for the substitution of assigned counsel. Defendant however did not accept the court's decision and continued to express that he did not want to go to trial with present counsel. The court further explained that it would not assign new counsel to him without a reason.

At the *Sandoval* hearing, the prosecutor sought to question defendant, if he chose to testify, concerning three prior felony drug convictions from 1994, 1995 and 2004, as well as a 2004 conviction for unlawfully carrying a gun. Defendant requested that the prosecution be restricted to referring to the convictions as felonies without indicating the offense. The trial court denied

* Defendant's first attorney had been substituted and replaced with the present trial counsel.

defendant's request, but limited the prosecutor's inquiry regarding the prior convictions to the type of crime, county and date of conviction. The court further advised that it would instruct the jury that the prior convictions are not evidence of defendant's guilt in the present case. Defendant testified during pre-trial proceedings and gave a different account of the events, specifically denying the possession of any drugs. Defendant did not testify at trial.

Defendant was convicted, upon a jury verdict, of the crimes charged in the indictment. On appeal, defendant argued, among other things, that the trial court erred in denying his application for substitution of assigned counsel and its *Sandoval* ruling constituted an abuse of discretion.

The Appellate Division "unanimously modified, on the law, to the extent of vacating the sentence and remanding for resentencing, and otherwise affirmed" (75 AD3d 420, 420-421 [1st Dept 2010]). It held that "[d]efendant failed to demonstrate good cause for the assignment of substitute counsel" and that the trial "court properly exercised its discretion" in its *Sandoval* ruling (*id.* at 421). A Judge of this Court granted defendant leave to appeal, and we now affirm.

Criminal defendants are guaranteed the right to effective representation by counsel under the Federal and State Constitutions (*see* US Const 6th Amend; NY Const, art I, § 6; *see also* *People v Linares*, 2 NY3d 507 [2004]; *People v Baldi*, 54 NY2d 137 [1981]). Moreover, our Constitution guarantees indigent defendants the right to assigned counsel (*see* *People v Medina*, 44 NY2d 199 [1978]; *People v Koch*, 299 NY 378, 381 [1949]). It is well-settled that "[t]he legal assistance provided must be 'effective' " (*Medina*, 44 NY2d at 207). To ensure effective representation of assigned counsel, courts "must 'carefully evaluate serious complaints about counsel' " (*Linares*, 2 NY3d at 510, quoting *Medina*, 44 NY2d at 207). To that end, when a defendant requests the assignment of new counsel, provided "good cause" exists, "a court is well advised to effect [such] change" (*Medina*, 44 NY2d at 207). "Good cause determinations are necessarily case-specific and therefore fall within the discretion of the trial court" (*Linares*, 2 NY3d at 510).

In determining the existence of "good cause," a trial court must consider "whether present counsel is reasonably likely to afford a defendant effective assistance and whether the defendant has unduly delayed in seeking new assignment" (*Medina*,

44 NY2d at 208). This Court has observed that “a conflict of interest or other irreconcilable conflict with counsel” may be “good cause for a substitution” (*People v Sides*, 75 NY2d 822, 824 [1990] [the Court concluded that the trial court abused its discretion by failing to inquire into defendant’s request for the assignment of substitute counsel]). However, the Court has also noted that courts have upheld refusal to assign substitute counsel where “tensions between client and counsel on the eve of trial were the precipitate of differences over strategy” or “where a defendant was guilty of delaying tactics” (*Medina*, 44 NY2d at 208 [citations omitted]).

[1] Here, defendant failed to demonstrate that good cause for the substitution of assigned counsel existed. Supreme Court conducted an inquiry into defendant’s request for new assigned counsel. The inquiry revealed that defendant did not approve of the representation counsel sought to provide him despite counsel detailing that he had considered defendant’s motions, had prepared for trial and had tried numerous observation sale cases, which have similar factual allegations and issues as defendant’s case. The court noted that counsel was competent and likely to provide effective representation; the case was ready for trial; and defendant provided “no reason” to substitute counsel for a second time. Against this factual setting, the trial court’s denial of defendant’s request for the substitution of assigned counsel was a proper exercise of discretion.

“Evidence of prior specific criminal, vicious or immoral conduct should be admitted if the nature of such conduct or the circumstances in which it occurred bear logically and reasonably on the issue of credibility” (*People v Sandoval*, 34 NY2d 371, 376 [1974]). A court may exclude the evidence entirely; “limit [the prosecution’s] inquiry to the mere fact that there has been a prior conviction; it may limit inquiry to the existence and nature of the prior conviction; or it may permit examination into the facts and circumstances underlying the prior conviction” (*People v Hayes*, 97 NY2d 203, 208 [2002]). This determination, however, remains within the discretion of the trial court (*see id.* at 207).

It is important to note that the concerns observed by the *Sandoval* Court remain relevant. The Court recognized that the “cross-examination with respect to crimes or conduct similar to that of which the defendant is presently charged may be highly prejudicial” (*Sandoval*, 34 NY2d at 377). It stated,

“in the prosecution of drug charges, interrogation

as to prior narcotics convictions (unless proof thereof is independently admissible) may present a special risk of impermissible prejudice because of the widely accepted belief that persons previously convicted of narcotics offenses are likely to be habitual offenders . . .

“In weighing prejudice to the defendant’s right to a fair trial, an important consideration may be the effect on the validity of the fact-finding process if the defendant does not testify out of fear of the impact of the impeachment testimony for reasons other than its direct effect on his credibility—as where the defendant would be the only available source of material testimony in support of his defense” (*id.* at 377-378).

Nonetheless, the *Hayes* Court, in a domestic violence case, concluded it is error to apply a fixed rule that requires trial courts to limit cross-examination “to the mere existence of defendant’s prior convictions where prior crimes are similar to the pending charges” (97 NY2d at 208). Because this Court has been disinclined over the years to construct per se rules concerning the cross-examination of a defendant where prior convictions are similar to the pending charges, the discretion of the trial court regarding such determinations remains intact. We reiterate, however, that trial courts should take care in weighing “whether the prejudicial effect of impeachment testimony far outweighs the probative worth of the evidence on the issue of credibility” (*Sandoval*, 34 NY2d at 376).

[2] Here, defendant, on trial for several drug charges, requested that the prosecutor’s cross-examination of him be limited to the mere fact that his prior convictions were unspecified felonies. The trial court, instead, limited the prosecutor’s potential inquiry to the name of the crime, county and date of conviction and also advised that it would instruct the jury that the prior convictions are not evidence of defendant’s guilt. Although the concerns of *Sandoval* still exist and may have been implicated in this case, the court weighed appropriate concerns and limited the scope of cross-examination. Thus, pursuant to *Hayes*, no abuse of discretion is apparent.

Accordingly, the order of the Appellate Division should be affirmed.

PIGOTT, J. (concurring). In my view, Supreme Court abused its discretion in ruling that cross-examination of the defendant could include eliciting the Penal Law names of his prior convictions. However, I find the error in this case to be harmless and therefore concur in the result.

A criminal defendant who chooses to testify may be cross-examined regarding prior crimes and bad acts that bear on his credibility as a witness. However, under *People v Sandoval* (34 NY2d 371 [1974]), the trial court must strike a proper balance between the probative value of evidence of defendant's prior convictions or bad acts, with respect to his credibility, and the danger of prejudice that such evidence presents, measured both by the impact of such evidence on the jury and by the effect in discouraging the defendant from testifying (*id.* at 375). The *Sandoval* court expressly warned of the dangers of allowing cross-examination about the prior drug-related convictions of a defendant now accused of a drug crime.

“[C]ross-examination with respect to crimes or conduct similar to that of which the defendant is presently charged may be highly prejudicial, in view of the risk, despite the most clear and forceful limiting instructions to the contrary, that the evidence will be taken as some proof of the commission of the crime charged rather than be reserved solely to the issue of credibility. Thus, in the prosecution of drug charges, interrogation as to prior narcotics convictions . . . may present a special risk of impermissible prejudice because of the widely accepted belief that persons previously convicted of narcotics offenses are likely to be habitual offenders. On the other hand, proof of prior convictions of perjury or other crimes of individual dishonesty should usually be admitted on trial of another similar charge, notwithstanding the risk of possible prejudice, because the very issue on which the offer is made is that of the veracity of the defendant as a witness in the case.” (*Sandoval*, 34 NY2d at 377-378 [citation omitted].)

The present case presents exactly the unacceptable risk of prejudice that *Sandoval* warns against. Had defendant, facing multiple drug charges, testified, he would have been asked not whether he had committed felonies in 1994, 1995 and 2004, but whether his 1994 and 1995 convictions were for criminal sale of a controlled substance in the third degree,

and his 2004 convictions were for possession of cocaine with the intent to sell, possession of marihuana, and unlawfully carrying a gun. The jury, considering whether to convict him of, inter alia, criminal sale of a controlled substance in the third degree, would have heard that he had committed precisely the same crime before. The extraordinarily high risk of prejudice that results is justified, the majority apparently believes, on the basis that hearing this information would enable the jury to decide whether he was a credible witness. The majority condones this process, and thereby takes *Sandoval* to an extreme that the Judges who signed that opinion surely cannot have intended.

The majority ignores the fact that the principle underlying our decision in *Sandoval* was, and remains, that the mere fact that a defendant has previously been guilty of a felony itself casts doubt on his credibility. A defendant's prior crime evinces "a willingness or disposition . . . to place the advancement of his individual self-interest ahead of principle or of the interests of society" (*Sandoval*, 34 NY2d at 377). The particular *nature* of the defendant's prior crime usually adds nothing to the fact that, by breaking the law, he has been willing to further his own interests at the cost of others' interests and at the expense of ethical principles. (The exception is when the prior crime is one that necessarily involves individual dishonesty or untrustworthiness, such as theft, fraud, or bribery, etc.)

Moreover, in my view, where many crimes are concerned, there is often little practical difference between, on the one hand, allowing cross-examination as to the nature of prior convictions (i.e., their Penal Law names) but not their underlying facts, and, on the other hand, allowing cross-examination as to the nature of prior convictions *and* their underlying facts. When the crime with which defendant is charged involves sale of cocaine, a juror who is told that defendant was previously convicted of criminal sale of a controlled substance and possession of cocaine with the intent to sell does not need to be told any more of the underlying facts in order for there to be an unacceptably large risk that the evidence will have a "disproportionate and improper impact" (*Sandoval*, 34 NY2d at 376).

Having said this, I am aware that we have repeatedly "declined to prohibit cross-examination solely because of the similarity of prior acts to the crimes charged" (*People v Hayes*, 97 NY2d 203, 208 [2002]). Moreover, in principle I accept the

position that a defendant should “not [be] shielded from cross-examination merely because he or she specializes in one particular form of criminal conduct” (*People v Rivera*, 2 AD3d 543 [2d Dept 2003]). It might be unjust to bar cross-examination of defendants accused of drug crimes concerning their prior drug crimes, while allowing defendants accused of, say, burglaries or assaults to be cross-examined about their prior drug crimes. However, it is equally unjust to permit cross-examination of defendants accused of drug crimes concerning their prior drug crimes, as a matter of routine practice, without any true exercise of discretion balancing the probative and the prejudicial. And that, I believe, is what occurred in the present case. A *Sandoval* hearing “is of little value if the issue can be decided by the Trial Judge in his [or her] unfettered discretion. The irreducible minimum is that the determination be made on a reasoned basis, measuring propensity for conviction against relation to credibility” (*People v Pollock*, 50 NY2d 547, 551 [1980, Meyer, J., dissenting]).

It is important for trial courts to recognize that *Sandoval* allows for a straightforward method of restricting cross-examination that avoids risks of prejudice without giving unfair advantage to the “criminal specialist.” In my view, *in general*, striking a balance between the probative value of the prior convictions and the risk of prejudice requires the trial court to permit cross-examination only as to the *existence* of prior convictions, not their Penal Law names (“nature”) or underlying circumstances. (I would make an exception when the prior crimes are crimes of individual dishonesty, the nature of which is directly probative of credibility.) This balancing has long been called the “*Sandoval* compromise,” though the term is sometimes used more generally. This approach prevents a defendant who has been convicted of serious crimes in the past from testifying at his trial while benefitting from the jury’s assumption that he does not have a criminal record, and allows jurors to make rational inferences, about the likelihood of his lying at trial, from his lack of respect for society’s rules of conduct. At the same time, it eliminates the great risk that jurors will make illicit inferences of guilt from propensity to a type of crime.

The “*Sandoval* compromise” was first put forward by Supreme Court, New York County, in a decision issued some five years after *Sandoval*.

“Simply put, the pure *Sandoval* compromise is permitting the prosecutor to ask the testifying defendant one question (or, perhaps, two where both pertinent previous felonies *and* misdemeanors are involved) with respect to all prior convictions and connected underlying and immoral acts. The question or questions can be phrased: ‘Have you ever been convicted of a prior felony?’ ‘Have you previously been convicted of two (or three, as appropriate) felonies?’ ‘Have you (also) been convicted of a prior misdemeanor?’ The precise language of the brief interrogation is, of course, dependent upon the type and number of prior convictions in each individual case. The compromise can also be allowed, as a matter of discretion, in conjunction with other nonprejudicial credibility inquiry, as the previous conduct of the defendant warrants. It can also be used with respect to some prior convictions, while permitting or barring cross-examination as to others.

“Concerning the pure *Sandoval* compromise, and presuming that the defendant gives the expected affirmative answers and does not voluntarily advance misleading or unwarranted claims or denials, this would be all of the cross-examination on that subject the prosecutor would be allowed.” (*People v Bermudez*, 98 Misc 2d 704, 707-708 [Sup Ct 1979] [citations omitted].)

Since then, the *Sandoval* compromise has been used in numerous cases, and frequently applauded by the Appellate Division. The Third Department in particular very often upholds the *Sandoval* compromise.¹ The Second Department has upheld

1. See e.g. *People v Anderson* (89 AD3d 1161, 1163 [3d Dept 2011]); *People v Weber* (40 AD3d 1267, 1267-1268 [3d Dept 2007]); *People v Kirton* (36 AD3d 1011, 1013 [3d Dept 2007]); *People v Young* (13 AD3d 716, 718 [3d Dept 2004]); *People v Porter* (304 AD2d 845, 846 [3d Dept 2003]); *People v De Chellis* (265 AD2d 735 [3d Dept 1999]); *People v Hagin* (238 AD2d 714, 716 [3d Dept 1997]); *People v Stiffler* (237 AD2d 753, 754 [3d Dept 1997]); *People v Noonan* (220 AD2d 811, 813 [3d Dept 1995]); *People v Elkins* (211 AD2d 921, 922 [3d Dept 1995]); *People v Mahan* (195 AD2d 881, 883 [3d Dept 1993]); *People v Szczepanski* (172 AD2d 884 [3d Dept 1991]); *People v Benson* (123 AD2d 470, 471 [3d Dept 1986]); *People v Handly* (96 AD2d 649 [3d Dept 1983]); see also e.g. *People v Cooke* (101 AD2d 983, 984 [3d Dept 1984]).

or approved of the *Sandoval* compromise regularly too.² In the Fourth Department, it is standard practice.³ However, in the First Department, notwithstanding the provenance of the term “*Sandoval* compromise,” the practice is apparently less common. It may be that language in *People v Hayes* (*supra*) has discouraged the “*Sandoval* compromise.” At oral argument, defense counsel noted that it is now commonplace for trial courts in New York City to permit the impeachment of defendants by use of the Penal Law names of their prior crimes, leaving out only the underlying circumstances. Unfortunately, the majority of this Court now encourages the entire State of New York to imitate the “rough justice” of the City.

Because “*Sandoval* error is . . . subject to harmless-error analysis” (*People v Grant*, 7 NY3d 421, 424 [2006]), and because I believe that the case against defendant here was overwhelming and that there is no significant probability that something he could have said in his defense would have resulted in acquittal, I would hold that the *Sandoval* error in this case was harmless. Finally, I do not disagree with the majority’s disposition of the substitution-of-counsel issue. Consequently, I concur in the result.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ and SMITH concur with Judge JONES; Judge PIGOTT concurs in result in a separate opinion.

Order affirmed.

2. See e.g. *People v Murad* (55 AD3d 754, 755 [2d Dept 2008]); *People v Pennetti* (182 AD2d 647 [2d Dept 1992]); see also e.g. *People v Michalek* (194 AD2d 568, 569 [2d Dept 1993]); *People v Durham* (154 AD2d 615 [2d Dept 1989]); *People v Powe* (146 AD2d 718, 719 [2d Dept 1989]); *People v Banks* (143 AD2d 677, 678 [2d Dept 1988]); *People v Padilla* (123 AD2d 364, 365 [2d Dept 1986]).

3. See e.g. *People v Cruz* (30 AD3d 1047 [4th Dept 2006]); *People v Brazeau* (304 AD2d 254, 255 [4th Dept 2003]); *People v Thomas* (305 AD2d 1099 [4th Dept 2003]).

[965 NE2d 913, 942 NYS2d 411]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v ALAA
AGINA, Respondent.

Argued January 5, 2012; decided February 16, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 1, 2010. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Queens County (Ronald D. Hollie, J.), which had convicted defendant, upon a jury verdict, of attempted assault in the first degree, assault in the second degree, and unlawful imprisonment in the first degree, and (2) ordered a new trial.

People v Agina, 74 AD3d 831, reversed.

HEADNOTE

Crimes — Proof of Other Crimes — Identity or Modus Operandi Exception to *Molineux* Rule

In a prosecution arising from an alleged attack on defendant's wife, the Appellate Division erred in holding defendant's identity to be so conclusively established as to render inadmissible testimony of defendant's ex-wife alleging that defendant assaulted her 15 months earlier. Under the identity or modus operandi exception to the *Molineux* rule (*People v Molineux*, 168 NY 264 [1901]), evidence of a similar, uncharged crime may be admissible to identify the defendant where the similarities are unusual enough to compel the inference that the defendant committed both the uncharged crime and the current charged crime, unless the defendant's identity is conclusively established by other evidence. Here, assuming that defendant's prior assault on his ex-wife was similar enough to the alleged assault on his current wife to trigger the exception, defendant's identity was not so conclusively established as to prevent the exception from being invoked. The jury could have believed that the complainant's testimony was intentionally false, as suggested by the defense, and absent complainant's testimony, proof of identity was not conclusive. Furthermore, while defendant admitted being present during some of the time when the complainant said her injuries were inflicted, and he did not testify that anyone other than he inflicted them or had an opportunity to do so, he denied that he committed the crime. The "identity" that is relevant for purposes of the exception is the identity of the defendant as the person who committed the acts constituting the crime, not just as someone who was present at the scene.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Evidence §§ 459, 460.

CARMODY-WAIT 2d, Fundamentals of Criminal Evidence
§§ 193:21, 193:28.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.4.

NY JUR 2d, Criminal Law: Procedure §§ 2027, 2036.

ANNOTATION REFERENCE

See ALR Index under Prior Offenses and Convictions.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: exception /s similar /2 crime /s admissible

POINTS OF COUNSEL

Richard A. Brown, District Attorney, Kew Gardens (Karen Wigle Weiss and John M. Castellano of counsel), for appellant. The Appellate Division erred in holding that evidence of defendant's commission of a prior assault involving a similar distinctive modus operandi was inadmissible to prove the identity of the assailant. (*People v Beam*, 57 NY2d 241; *People v Allweiss*, 48 NY2d 40; *People v Condon*, 26 NY2d 139; *People v Bleakley*, 69 NY2d 490; *People v D'Alessandro*, 13 NY3d 216; *People v Crimmins*, 36 NY2d 230; *People v Gillyard*, 13 NY3d 351; *People v Arafet*, 13 NY3d 460; *People v Lewis*, 69 NY2d 321; *People v Hudy*, 73 NY2d 40.)

Appellate Advocates, New York City (Lisa Napoli and Lynn W.L. Fahey of counsel), for respondent. When respondent's wife described an assault that lasted for many hours and respondent admitted arguing with her during that period and challenged only her credibility, the Appellate Division correctly held that a former wife's testimony that respondent assaulted her was inadmissible to prove his identity in the instant case. (*People v Molineux*, 168 NY 264; *People v Rojas*, 97 NY2d 32; *People v Condon*, 26 NY2d 139; *People v Arafet*, 13 NY3d 460; *People v Alvino*, 71 NY2d 233; *People v Vargas*, 88 NY2d 856; *People v Fitzgerald*, 156 NY 253; *People v Allweiss*, 48 NY2d 40; *People v Jackson*, 39 NY2d 64; *People v Resek*, 3 NY3d 385.)

OPINION OF THE COURT

SMITH, J.

Under the so-called "identity" or "modus operandi" exception to the *Molineux* rule, evidence of an uncharged crime that has distinctive characteristics in common with the crime for

which the defendant is on trial may be admissible unless the defendant's identity as the person who committed the act in question is conclusively established by other evidence. In this case, defendant admitted that he was present at the time when the victim said the acts occurred, and did not accuse anyone else of committing them, but denied that he did what he was accused of doing. We hold that on these facts his identity was not so conclusively established as to render evidence of a prior crime inadmissible.

I

The complainant, defendant's wife, testified to a brutal attack that began on the late afternoon of March 28, 2004 and continued until the following morning. According to her testimony, defendant accused her of cheating on him, tore off her clothes, jumped on her, tied a purse strap around her neck and swung her around; then he tied a rope around her neck, wrists and ankles, taped her mouth, put a bag over her head several times for increasingly long periods while talking to her about how long it would take a person to suffocate, punched her, head butted her, stomped on her, made a small cut near her eye with a knife, forced her to take pills and wash them down with rubbing alcohol, and burned her breast with a lighter. He finally released her, and the couple remained together for most (though not all) of the time during the next four days. On April 2, while defendant and the complainant were shopping, the complainant signaled to another shopper and asked her to call the police.

Pictures taken of the complainant on April 2 were admitted into evidence: they show significant injuries on her neck, arms, hip and breast. A nurse who examined the complainant on April 2 testified that the mark on her breast came from a burn.

At a *Molineux* hearing held before trial, the People asked to present to the jury the testimony of Lisa H., defendant's ex-wife, about an incident 15 months before the one at issue in this case. The People's application was granted over defendant's objection, and Lisa testified at trial that defendant accused her of cheating on him, threatened her with a knife, grabbed her, choked her, tied her wrists and ankles, told her she was going to die and inserted a lighter (evidently unlit) into her vagina.

Defendant was convicted of attempted first-degree assault, second-degree assault and unlawful imprisonment. The Appellate Division reversed the judgment of conviction, concluding

that Lisa's testimony should not have been admitted. The Appellate Division believed that defendant's identity was not in issue at trial, and that therefore Lisa's testimony served no purpose except "to enhance the credibility of the complainant" (*People v Agina*, 74 AD3d 831, 834 [2d Dept 2010]). A Judge of this Court granted leave to appeal, and we now reverse.

II

Under the familiar rule of *People v Molineux* (168 NY 264 [1901]), evidence of uncharged crimes is inadmissible where its only relevance is to show defendant's bad character or criminal propensity (see *People v Arafet*, 13 NY3d 460, 464-465 [2009]; *People v Alvino*, 71 NY2d 233, 241 [1987]). Also familiar is the identity or modus operandi exception: evidence of a similar crime may be admissible to identify the defendant where "the similarities [are] unusual enough to compel the inference that the defendant committed both" (*People v Beam*, 57 NY2d 241, 251 [1982]). Where this test is met, evidence of the uncharged crime may be admitted "unless the defendant's identity is conclusively established" by other evidence (*People v Condon*, 26 NY2d 139, 142 [1970]).

We assume for present purposes that defendant's assault on his ex-wife, Lisa, was similar enough to the alleged assault on his current wife, the complainant, to trigger the identity exception. That is an issue the Appellate Division did not reach, and on which we express no opinion. The issue before us is whether defendant's identity was so conclusively established as to prevent the exception from being invoked. We hold that it was not.

The evidence that we have summarized, the substance of which was known to the trial judge when he decided the *Molineux* application, was not conclusive in establishing defendant's identity as the person who attacked his wife. While the existence of the complainant's injuries was proved by photographs, nothing in the People's case except the complainant's testimony (apart from the evidence of the uncharged crime) pointed to defendant as the person who injured her. Since the jury might doubt the complainant's word, this evidence was not conclusive. It is true, as the dissent says, that there was no possibility of *mistaken* identity (dissenting op at 606). But the jury could have believed that the complainant's identification was intentionally false, as defense counsel's opening suggested, in language quoted by the dissent: "she is not telling the truth" (dissenting op at 607).

At the time of the *Molineux* hearing the trial judge also knew defendant's version of the facts. Defendant had testified at a previous hearing on whether he had violated the conditions of his probation. The People do not claim, and we do not assert, as the dissent suggests, that his testimony "opened the door" to otherwise inadmissible evidence (dissenting op at 606 and 606-607 n). For the reasons we have explained, the proof of identity, in the absence of defendant's testimony, was not conclusive. But defendant claims that his testimony removed identity as an issue in the case. We disagree.

Defendant testified at the probation violation hearing (and later at trial) that he had been with the complainant, as she said, at their home on the night of March 28-29, and that they had been largely together from then until April 2. He testified, however, that he had spent the day of March 28 with another woman, and did not return home until 9:30 or 10:00 in the evening, thus contradicting the complainant's testimony that they had been together all day, arguing, and that the violent encounter began in the late afternoon. At the violation hearing (though not at trial) the other woman testified and corroborated what defendant said, thus giving him a partial alibi.

Defendant testified that, after he returned home on March 28, he and the complainant had an argument, in which the complainant pushed him and he "tried to stop her by holding her." He denied assaulting her in any way; he said he did not hit her, kick her, tie her up, cut her with a knife or threaten to do so, or burn her. He said that he observed no marks on the complainant, and he could not explain how the marks that were in the photographs got there. Asked on cross-examination if the complainant was "into self-mutilation . . . as far as you know," he replied: "[a]ll I can tell you is that [the complainant] is a very angry person."

In short, defendant admitted being present during some of the time when the complainant said her injuries were inflicted, and he did not testify that anyone other than he inflicted them or had an opportunity to do so. But he denied that he did it, and even seemed to suggest that the complainant might have deliberately harmed herself. It may well be that defendant's testimony was hard to believe; but he asked the jury to believe it, and in doing so he did not concede—indeed he actively disputed—his identity as the person who committed this crime. That is the "identity" that is relevant for purposes of the identity exception to *Molineux*: the identity of the defendant as

the person who did the acts, not just as someone who was present at the scene.

We therefore conclude that the Appellate Division erred in holding defendant's identity to be "conclusively established" for *Molineux* purposes. The case must return to the Appellate Division, so that it can decide whether the identity exception is applicable to these facts, and resolve any other open issues.

Accordingly, the order of the Appellate Division should be reversed and the case remitted to the Appellate Division for consideration of the facts and issues raised but not determined on the appeal to that court.

CIPARICK, J. (dissenting). Because I agree with the Appellate Division that identity is not an issue in this case and that defendant's ex-wife's testimony concerning his abuse of her was admitted, not to establish identity through a unique *modus operandi*, but to establish propensity, it was an abuse of discretion to allow that evidence to be admitted on the People's direct case. Therefore, I respectfully dissent.

It is axiomatic that evidence of uncharged crimes is inadmissible where "its only purpose is to show bad character or propensity towards crime" (*People v Arafet*, 13 NY3d 460, 464-465 [2009]). Here, the People argue that the evidence that defendant had assaulted his ex-wife in a unique and similar manner was utilized for the purpose of establishing identity. Establishing identity, of course, is one of the exceptions to the general rule that uncharged prior bad acts are inadmissible (see *People v Molineux*, 168 NY 264, 293 [1901]).

However, in *Molineux* we cautioned against liberal use of the identity exception.

"The reason for this is obvious. In the nature of things there cannot be many cases where evidence of separate and distinct crimes, with no unity or connection of motive, intent or plan, will serve to legally identify the person who committed one as the same person who is guilty of the other. The very fact that it is much easier to believe in the guilt of an accused person when it is known or suspected that he has previously committed a similar crime proves the dangerous tendency of such evidence to convict, not upon the evidence of the crime charged, but upon the superadded evidence of the previous crime. Hence our courts have been proverbially

careful to subject such evidence to the most rigid scrutiny, and have invariably excluded it in cases where its relevancy and competency was not clearly shown” (168 NY at 313-314).

Here, complainant was defendant’s wife and the alleged assault occurred over a period of 12 hours. This was not a case where there was any possibility of mistaken identity. The majority asserts that, by maintaining his innocence, defendant put the issue of identity into play because “identity [was not] *conclusively* established” by other evidence (*see* majority op at 603, quoting *People v Condon*, 26 NY2d 139, 142 [1970]). However, the facts of this case and the facts of *Condon* are readily distinguishable. In *Condon*, there was a single eyewitness to the crime, who did not personally know the defendant. During the trial, the eyewitness was thoroughly questioned concerning his identification of the defendant. We held that “since the single eyewitness was extensively impeached, defendant’s identity was not conclusively established” (*Condon*, 26 NY2d at 142). Furthermore, we noted that defendant “maintained throughout the trial that he was the victim of mistaken identity. Thus, identity was still very much in issue” (*id.* n). There is no comparable claim of mistaken identity in this case. Complainant testified that it was defendant, her husband, who subjected her to abuse for 12 continuous hours.

Similarly, in *People v Beam* (57 NY2d 241 [1982]), also relied upon by the majority, “the assailant’s identity remained in dispute. It was put into issue by the defense cross-examination of the victim which raised questions concerning the validity of his identification of the defendant” (*id.* at 251). By contrast, in this case, the cross-examination of complainant focused on inconsistencies in her testimony and at no time was her identification of her husband as her assailant questioned.

While defendant’s testimony at trial that he did not know the cause of complainant’s injuries, never saw any bruises or burn marks and did not perpetrate any of the acts that complainant accused him of doing may arguably have opened the door for the admission of prior bad acts, we need not opine on that as the evidence was admitted during the People’s direct case, a clear *Molineux* violation.*

* The majority relies heavily on the fact that the trial court, while considering the *Molineux* application, was aware of what defendant might say at trial

(n. cont’d)

It is clear, in this case, that the defense was not one of mistaken identity but rather that of attacking the credibility of complainant. Indeed, in his opening statements to the jury, defense counsel stated:

“The central question here is not if the complainant was injured, or if the complainant suffered bruises to her body. The question here is, did [defendant] cause those bruises with intent to cause a serious physical injury as defined under the law.

“Now, the complainant will come and tell her version of what happened. But the evidence and the absolute lack of evidence will show that she is not telling the truth.”

Furthermore, the People’s summation did not argue that the ex-wife’s testimony was admitted to demonstrate that complainant was certain as to the identification of defendant but to bolster complainant’s testimony and show that defendant has a propensity to abuse women. In fact, the People stated that “[the ex-wife] comes in and says two years ago for the same reason that he did it to her, he also did it to me. That’s why she’s here.” The People essentially admit that the ex-wife was not there to prove defendant’s identity but defendant’s propensity to beat up his wives. The People went on to state that if defendant suspects someone of cheating on him “[h]e ties them up. He tortures them.” This clearly is not an argument regarding the identity of defendant.

“In truth, it is simply another . . . way of saying if defendant did it once to [his ex-wife], he would do it again; therefore he probably abused [complainant]. Since this line of reasoning is nothing more than a disguised propensity argument, it falls within the core of what the *Molineux* rule prohibits and should therefore have been excluded” (*People v Hudy*, 73 NY2d 40, 56 [1988] [internal quotation marks omitted]).

In short, this is not a case where identity is an issue. In fact, defendant’s identity was conclusively established by complainant’s testimony. The majority today crafts a rule whereby any

since he had previously testified regarding the incident at a violation of probation hearing. This reliance is misplaced as defendant could have chosen to exercise his right not to give testimony on his own behalf during trial.

time a defendant does not stipulate to identity as the perpetrator of the acts complained of—which is very unlikely—and proclaims innocence, he or she is putting identity at issue allowing for evidence of prior crimes or similar bad acts to be admitted. This is precisely the danger we have repeatedly warned against in *Molineux* and its progeny.

Accordingly, I would affirm the order of the Appellate Division and order a new trial excluding the prior crimes evidence.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and PIGOTT concur with Judge SMITH; Judge CIPARICK dissents and votes to affirm in a separate opinion in which Judge JONES concurs.

Order reversed, etc.

[965 NE2d 257, 942 NYS2d 30]

In the Matter of DOLORES SEDACCA et al., Appellants, et al.,
Petitioners, v EDWARD P. MANGANO, County Executive of
Nassau County, et al., Respondents.

Argued January 9, 2012; decided February 21, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 3, 2010. The Appellate Division modified, on the law, a judgment of the Supreme Court, Nassau County (Roy S. Mahon, J.; op 27 Misc 3d 414 [2010]), entered in a combined declaratory judgment action/CPLR article 78 proceeding, which had (1) denied the petition seeking an order (a) declaring that the County Executive of the County of Nassau does not have the power to remove the commissioners of the Nassau County Assessment Review Commission during their terms absent cause; (b) enjoining respondents from taking any such action; and (c) directing Nassau County to certify to the Comptroller of Nassau County the entitlement of the petitioners to the reasonable legal fees incurred in the proceeding; and, (2) in effect, dismissed the proceeding. The modification consisted of adding a provision to the judgment declaring that the County Executive of the County of Nassau, notwithstanding the absence of cause, has authority to remove commissioners of the Nassau County Assessment Review Commission from their offices prior to the expiration of their statutory terms. The Appellate Division affirmed the judgment as modified.

Matter of Sedacca v Mangano, 78 AD3d 716, modified.

HEADNOTES

Counties — County Executive — Authority to Terminate Commissioners of Nassau County Assessment Review Commission

1. Respondent County Executive of Nassau County did not have the authority to terminate petitioner commissioners of the Nassau County Assessment Review Commission (ARC) in the absence of cause, prior to the expiration of their fixed, statutory terms. The ARC, established for the purpose of reviewing and correcting real property assessments, is comprised of nine commissioners who are appointed by the County Executive subject to approval by the County Legislature (*see* RPTL 523-b). The commissioners have staggered five-year terms and no more than six of the commissioners can be enrolled voters of the same political party. Although RPTL 523-b does not set forth any procedure for the removal of commissioners, the statute demonstrates the

legislative intent to protect the ARC from political influence. Nassau County Charter § 203 (1), which vests the County Executive with authority to appoint members of county boards and commissions, subject to approval of the County Legislature, and concomitantly remove any person so appointed, must be read in light of the purposes of RPTL 523-b. Nassau County Charter § 203 (1) refers specifically to “members of . . . commissions appointed for definite terms,” and makes clear that, when those members are removed, “reasons for such removal” must be provided. “Reasons,” in this context, can reasonably be read as a synonym for “cause”; thus, section 203 permits removal of commissioners serving fixed terms for cause, but not otherwise. RPTL 523-b and Nassau County Charter § 203 are not incompatible and must be read together to accomplish the clear legislative intent.

Counties — Defense and Indemnification of Employee

2. Petitioner commissioners of the Nassau County Assessment Review Commission (ARC) were not entitled to attorneys’ fees incurred for their independently retained private counsel in their combined declaratory judgment action/CPLR article 78 proceeding seeking an order declaring that respondent County Executive of Nassau County did not have the power to remove the ARC commissioners during their terms absent cause and enjoining respondents from taking any such action. The County of Nassau is required to “provide for the defense” of an employee involved in a civil action arising out of an act or omission that occurred during the scope of his or her employment (*see* Nassau County Administrative Code § 22-2.8 [2] [a]). Where, as here, the employees commenced the action, there is no obligation on the part of the County to pay for their “defense.” Nor does the Administrative Code otherwise obligate the County to bear responsibility for petitioners’ legal fees.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Municipal Corporations, Counties, and Other
Political Subdivisions §§ 236–239, 280–282.

McKINNEY’S, RPTL 523–b.

NY JUR 2d, Counties, Towns, and Municipal Corporations
§§ 239, 589, 601.

ANNOTATION REFERENCE

See ALR Index under Counties; Taxes.

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Database: NY-ORCS

Query: county /2 executive /s terminat! remov! & assess-
ment /2 review /2 commission

POINTS OF COUNSEL

Lynn, Gartner & Dunne, LLP, Mineola (*Kenneth L. Gartner* of counsel), for appellants. I. The New York State and Nassau County Legislatures, when authorizing and creating the

Nassau County Assessment Review Commission, expressly provided that each commissioner was to serve for a term of five years provided that the terms of the commissioners would be staggered in order to avoid any abrupt and simultaneous turnover of the Commission membership and provided that no more than six of the nine members of the Commission could be from a single political party. The courts below held that Nassau County Executive Edward P. Mangano was nevertheless possessed with the *carte blanche* to, immediately upon taking office, fire all nine commissioners without cause, for the sole stated reason that he wished to substitute his own political appointees. This was, respectfully, erroneous. (*Matter of Gizzo v Town of Mamaroneck*, 36 AD3d 162; *Matter of Burke v Krug*, 161 Misc 687, 272 NY 575; *Matter of Starr v Meisser*, 67 Misc 2d 297, 39 AD2d 712; *Incorporated Vil. of Atl. Beach v Town of Hempstead*, 27 AD2d 556, 19 NY2d 929; *Reinhart v Troy Parking Auth.*, 36 AD2d 654; *Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 301 AD2d 819, 2 NY3d 249; *Matter of Rockland County Patrolmen's Benevolent Assn., Inc. v Prendergast*, 25 AD3d 615; *Matter of John H.*, 56 AD3d 1024; *Matter of Steinmann v Village of Spring Val.*, 261 AD2d 548; *Matter of Burbridge v Miele*, 214 AD2d 669.) II. The County Attorney stipulated that the conflict of interest posed by his duty to represent both (1) the County Executive and (2) the commissioners the County Executive had fired, required the County to retain independent counsel for the commissioners. Respondents have never challenged the fact that a further conflict of interest, between (1) appellants, and (2) the commissioners who did *not* wish to challenge their firings by the County Executive, prevented the single independent counsel from alone representing all of the commissioners. Respondents' refusal to pay for an additional, unconflicted, counsel to represent appellants, violated their obligation to provide appellants with counsel. (*Matter of Cappelli v Sweeney*, 167 Misc 2d 220, 230 AD2d 733; *Rimar v Continental Cas. Co.*, 50 AD2d 169; *Ottaviano v Genex Coop.*, 3 Misc 3d 1024, 15 AD3d 924; *69th St. & 2nd Ave. Garage Assoc. v Ticor Tit. Guar. Co.*, 207 AD2d 225, 87 NY2d 802; *Elacqua v Physicians' Reciprocal Insurers*, 52 AD3d 886; *City of New York v Clarendon Natl. Ins. Co.*, 309 AD2d 779; *Hanover Ins. Co. v Cowan*, 172 AD2d 490; *Matter of Schulz v Doetsch*, 217 AD2d 861.)

John Ciampoli, County Attorney, Mineola (*Dennis J. Saffran* of counsel), for respondents. I. The lower courts properly refused

to impose a cause requirement for the removal of Nassau County Assessment Review Commission commissioners when two of the three relevant statutory provisions are silent about removal and the third is “clear and unambiguous” in allowing the County Executive to remove fixed-term appointees without cause under a simplified “notice and opportunity to be heard” procedure. (*United States v Wilson*, 290 F3d 347; *Matter of Sullivan v Taylor*, 279 NY 364; *Matter of Sheldon v Stabile*, 57 Misc 2d 407; *People ex rel. Walker v Roosevelt*, 144 Misc 525; *Mohassel v Fenwick*, 5 NY3d 44; *Motor Veh. Mfrs. Assn. of U.S. v State of New York*, 75 NY2d 175; *Barber v Dembroski*, 54 NY2d 648; *Matter of Erdman v Ingraham*, 28 AD2d 5; *People v Richetti*, 302 NY 290; *Matter of Prue v Hunt*, 78 NY2d 364.) II. The County of Nassau was not required to provide counsel for petitioners, or to pay their fees.

OPINION OF THE COURT

Per Curiam.

The question presented by this appeal is whether the Nassau County Executive has the authority to terminate the commissioners of the Nassau County Assessment Review Commission (ARC) in the absence of cause, prior to the expiration of their fixed, statutory terms. We conclude that he does not.

Under Real Property Tax Law § 523-b, the State Legislature authorized Nassau County to establish the ARC for the purpose of “reviewing and correcting all assessments of real property” (RPTL 523-b [2] [d]). The ARC was created “as an alternative” to a board of assessment review, which is maintained by other local governments under RPTL 523 to fulfill the same purpose (RPTL 523-b [1]). The purpose of the statute was to combat the growing number of property tax grievances that were being filed and to increase the accuracy of the assessments, thereby avoiding having to make refunds and interest payments on improperly assessed parcels (*see* Mem of Senator Dean G. Skelos in Support of L 1998, ch 593, 1998 NY Legis Ann, at 373). Section 523-b allowed the ARC to function year round, as opposed to the previously existing Board of Assessment Review that met for three months out of the year, and also increased the number of commissioners in the hope that more tax grievances would be “resolved without court involvement and in a more timely manner” (*id.*). The Nassau County Legislature adopted RPTL 523-b as section 6-40.1 *et seq.* of the Nassau County Administrative Code.

The ARC is comprised of nine commissioners who are appointed by the County Executive subject to approval by the County Legislature (*see* RPTL 523-b [2] [a]). The statute provides that the commissioners shall have staggered five-year terms and that no more than six of the commissioners can be enrolled voters of the same political party (*see* RPTL 523-b [2] [a], [c]). The duration of the term is consistent with that of a member of a board of assessment review (*see* RPTL 523 [1] [b], [c] [boards are comprised of three to five members with staggered five-year terms]).

On December 24, 2009, the outgoing Nassau County Executive appointed six ARC commissioners, including the three petitioners herein, to fill vacancies.¹ On January 14, 2010, counsel to the then-newly elected County Executive (respondent herein) sent letters to each of the nine commissioners, informing them that they were being removed from office pursuant to section 203 of the Nassau County Charter. The letter stated that “the County Executive must select his own Commissioners of ARC to promote and implement the new administration’s plans and policies,” including reducing the costs of government and ameliorating problems that had arisen within the assessment system. The letter also opined that it would frustrate the County Executive’s mandate and the will of the voters to allow the previous administration to wield a continuing influence over the ARC. The letter stated that, under Nassau County Charter § 203 the County Executive’s decision was final, but in any event offered the commissioners an opportunity to be heard, if they so desired.

Eight of the nine commissioners responded to the County Attorney, requesting that he provide them with legal representation under Nassau County Charter § 1102 and asking for an opportunity to be heard by the County Executive.² The County Attorney responded, notifying the commissioners that he would not appear on their behalf due to a conflict presented by his representation of the County Executive but advising them that he had retained independent special counsel on their behalf. Petitioners met with the proffered counsel but, as the result of

1. Petitioners were not appointed for full terms, but to fill the remaining portions of existing terms.

2. One of the nine commissioners was retained by the County Executive and two others ultimately decided to resign.

strategic and philosophical differences, decided to retain their own attorney.³

Petitioners commenced this combined declaratory judgment action/CPLR article 78 proceeding seeking an order declaring that the County Executive does not have the power to remove the commissioners during their terms absent cause, enjoining respondents from taking any such action and directing that petitioners are entitled to reasonable attorneys' fees incurred for their independently retained private counsel. Supreme Court denied the petition and, in effect, dismissed the proceeding, finding that the provision governing petitioners' removal—Nassau County Charter § 203—contained no requirement of cause for termination. The court also denied petitioners' request for attorneys' fees. (27 Misc 3d 414 [2010].)

The Appellate Division modified solely to declare that the County Executive has the authority to remove the ARC commissioners from their offices prior to the expiration of their statutory terms in the absence of cause (78 AD3d 716 [2d Dept 2010]). The Court found that the language of Nassau County Charter § 203 was clear and unambiguous in requiring only that appointees be given notice of the reasons why they were being removed and provided with an opportunity to be heard. The Court found it significant that the County Charter did not explicitly state that appointees were removable only for cause. This Court granted petitioners leave to appeal and we now modify.

[1] The Nassau County Charter vests the County Executive with authority to appoint members of county boards and commissions, subject to approval of the County Legislature (*see* Nassau County Charter § 203 [1]). Concomitantly,

“[t]he County Executive may at any time remove any person so appointed; provided that in the case of members of boards and commissions appointed for definite terms, no removal shall be made until the person to be removed has been serv[ed] with a notice of the reasons for such removal and given an opportunity to be heard, publicly if he or she desires, thereon by the County Executive. The decision of the County Executive shall be final” (Nassau County Charter § 203 [1]).

3. The three remaining commissioners accepted the representation of special counsel and were permitted to intervene in this action at Supreme Court. The intervenors are not parties to this appeal.

Respondents therefore argue that, according to the plain language of the County Charter, the County Executive was within his authority to terminate petitioners, despite the absence of any wrongdoing on their part and regardless of the statutory term of office, in order to appoint individuals of his choosing. In our view, this argument is inconsistent with the salutary purpose of the legislation at issue.

As we have repeatedly recognized, “[i]n matters of statutory . . . interpretation, ‘legislative intent is the great and controlling principle, and the proper judicial function is to discern and apply the will of the [enactors]’ ” (*Nostrom v A.W. Chesterton Co.*, 15 NY3d 502, 507 [2010], quoting *Matter of ATM One v Landaverde*, 2 NY3d 472, 477 [2004]). To that end, ascertaining legislative intent involves considering “ ‘the spirit and purpose of the act and the objects to be accomplished’ ” (*Ferres v City of New Rochelle*, 68 NY2d 446, 451 [1986], quoting *People v Ryan*, 274 NY 149, 152 [1937]).

Although RPTL 523-b does not set forth any procedure for the removal of commissioners, the statute demonstrates the legislative intent to protect the ARC from political influence. It is evident that the fixed, staggered terms of office along with the requirement that all of the commissioners must not be members of a single political party, are designed to promote stability of membership and political diversity. Notably, the five-year term of office exceeds the length of the County Executive’s own. This design may frustrate the most recent expression of the electorate’s mandate, but it is meant precisely to avoid a wholesale change of membership of the ARC upon the installation of each successive administration.

When Nassau County Charter § 203 is read in light of the purposes of RPTL 523-b, the Charter provision does not convey the “plain” meaning that respondents attribute to it. Section 203 (1) refers specifically to “members of . . . commissions appointed for definite terms,” and makes clear that, when those members are removed, “reasons for such removal” must be provided. “Reasons,” in this context, can reasonably be read as a synonym for “cause”: thus, section 203 permits removal of commissioners serving fixed terms for cause, but not otherwise. Accordingly, we find that RPTL 523-b and Nassau County Charter § 203 are not incompatible and read them together to accomplish the clear legislative intent.

In addition, although the commissioners, as county employees, are not protected by the Public Officers Law (*see e.g.* Public

Officers Law § 36 [public officers are subject to removal “for any misconduct, maladministration, malfeasance or malversation in office”]), it is instructive that a finding of some type of misconduct would be required to remove members of the similarly situated Board of Assessment Review (*see* 4 Ops Counsel SBEA No. 27 [1974]).

Removing the commissioners without cause under Nassau County Charter § 203, as respondents urge, would frustrate the legislative intent by nullifying the requirements of the RPTL and rendering the staggered statutory terms of office in RPTL 523-b superfluous. Under these circumstances, the commissioners are not essentially at-will employees, subject to termination for any reason whatsoever.

[2] Petitioners’ argument that they are entitled to attorneys’ fees, however, was properly rejected. The County is required to “provide for the defense” of an employee involved in a civil action arising out of an act or omission that occurred during the scope of his or her employment (*see* Nassau County Administrative Code § 22-2.8 [2] [a]). Where, as here, the employees commenced the action, there is no obligation on the part of the County to pay for their “defense.” Nor does the Administrative Code otherwise obligate the County to bear responsibility for the commissioners’ legal fees.

Accordingly, the order of the Appellate Division should be modified, without costs, by granting judgment declaring that in the absence of cause, the County Executive does not have authority to remove commissioners of the Nassau County Assessment Review Commission prior to the expiration of their statutory terms, and remitting to the Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur in per curiam opinion.

Order modified, etc.

[965 NE2d 246, 942 NYS2d 19]

EASTSIDE EXHIBITION CORP., Appellant, v 210 EAST 86TH STREET
CORP., Respondent.

Argued January 10, 2012; decided February 21, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 2, 2010. The Appellate Division affirmed an order of the Supreme Court, New York County (Edward H. Lehner, J.), which had determined that plaintiff was not entitled to any abatement of rent. The appeal brings up for review a prior nonfinal order of that Appellate Division, entered September 15, 2005 (23 AD3d 100 [2005]). The Appellate Division had modified, on the law, a judgment of that Supreme Court, entered after a nonjury trial, (1) dismissing defendant's claims for ejectment and attorneys' fees, (2) awarding plaintiff declaratory and injunctive relief preventing defendant from terminating plaintiff's lease, and (3) dismissing plaintiff's claims for a permanent injunction and abatement of rent. The modification consisted of holding that plaintiff was entitled to be compensated for defendant's taking. The Appellate Division affirmed the judgment as modified and remanded the matter for a hearing to determine the actual damages.

Eastside Exhibition Corp. v 210 E. 86th St. Corp., 79 AD3d 417, affirmed.

HEADNOTE

Landlord and Tenant — Eviction — Actual Partial Eviction — No Rent Abatement Where Landlord's Intrusion De Minimis

A minimal and inconsequential retaking of space that has been leased to a commercial tenant does not constitute an actual partial eviction relieving the tenant from all obligation to pay rent where the interference by the landlord is small and has no demonstrable effect on the tenant's use and enjoyment of the space. Accordingly, where defendant landlord entered the leased space and installed cross-bracing between two existing support columns causing a change in the flow of patron foot traffic in plaintiff's theatre complex and a slight diminution of a waiting area, plaintiff was not entitled to a total rent abatement as the landlord's taking of less than one-tenth of one percent of the leased space had no measurable effect on the tenant's use and was de minimis. While it is well settled that the withholding of the entire amount of rent is the proper remedy when there has been a partial eviction by a landlord, the intrusion on the demised premises here was of such trifling amount that imposition of the draconian remedy of total rent abatement was unjustified. Given the inherent inequity of a full rent abatement under the circumstances

and modern realities that a commercial lessee is free to negotiate appropriate lease terms, there is no need to apply a rule, derived from feudal concepts, that any intrusion—no matter how small—on the demised premises must result in full rent abatement.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Landlord and Tenant §§ 514–516, 599.

DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) § 70:87.

NY JUR 2d, Landlord and Tenant §§ 292, 293, 299, 319, 320, 371.

NEW YORK REAL PROPERTY SERVICE §§ 28:2, 28:80.

ANNOTATION REFERENCE

See ALR Index under Ejectment, Eviction, and Ouster; Landlord and Tenant; Rent.

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POINTS OF COUNSEL

Marcus Rosenberg & Diamond LLP, New York City (*David Rosenberg* of counsel), for appellant. I. There is no basis to depart from this Court's centuries' old rule that a landlord's partial actual eviction of its tenant suspends the tenant's entire rent. (*Dyett v Pendleton*, 8 Cow 727; *Lewis v Payn*, 4 Wend 423; *Christopher v Austin*, 11 NY 216; *Edgerton v Page*, 20 NY 281; *Fifth Ave. Bldg. Co. v Kernochan*, 221 NY 370; *Matter of Wallace v 600 Partners Co.*, 86 NY2d 543; *TAG 380, LLC v ComMet 380, Inc.*, 10 NY3d 507; *South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *Maxton Bldrs. v Lo Galbo*, 68 NY2d 373.) II. *Stare decisis*, a foundation of our common-law system, fundamental to real property law, must be respected. (*Barash v Pennsylvania Term. Real Estate Corp.*, 26 NY2d 77; *People v Taylor*, 9 NY3d 129; *People v Hobson*, 39 NY2d 479; *Paragon Indus. v Williams*, 122 Misc 2d 628; *Holy Props. v Cole Prods.*, 87 NY2d 130; *Maxton Bldrs. v Lo Galbo*, 68 NY2d 373; *Eastern Consol. Props. v Adelaide Realty Corp.*, 95 NY2d 785; *Douglaston Manor v Bahrakis*, 89 NY2d 472; *City of Buffalo v Cargill, Inc.*, 44 NY2d 7.) III. There was no basis for the holding that the floor-to-ceiling steel cross-bracing may remain,

effectively enjoining tenant to suffer it. (*I. H. P. Corp. v 210 Cent. Park S. Corp.*, 16 AD2d 461; *Bianchi v Hood*, 128 AD2d 1007.) IV. Law of the case is not absolute and does not “trump” stare decisis. (*People v Palumbo*, 53 NY2d 894; *Aridas v Caserta*, 41 NY2d 1059; *Liss v Trans Auto Sys.*, 68 NY2d 15; *People v Taylor*, 87 AD2d 771, 57 NY2d 729.)

Kaufman Friedman Plotnicki & Grun, LLP, New York City (*Howard Grun* of counsel), for respondent. I. The doctrine of actual eviction has always required a substantial intrusion by a landlord into a tenant’s premises which significantly and negatively impacts upon a tenant’s use of its premises so as to trigger the imposition of the draconian remedy of a full rent abatement. (*Lounsbery v Snyder*, 31 NY 514; *Two Rector St. Corp. v Bein*, 226 App Div 73; *Barash v Pennsylvania Term. Real Estate Corp.*, 26 NY2d 77; *Huber v Ryan*, 26 Misc 428; *Bergman v Pappia*, 58 Misc 533; *Brown v Kaufman*, 188 Misc 1025; *Two Park Ave. Co. v Intermediate Factors Corp.*, 17 Misc 2d 442; *Two Tudor City Place v Joseph*, 17 Misc 2d 870; *Fifth Ave. Estates v Scull*, 42 Misc 2d 1052; *Edgerton v Page*, 20 NY 281.) II. The Appellate Division’s approach is equitable and in line with modern realities. (*Javins v First Natl. Realty Corp.*, 428 F2d 1071; *Kavanaugh v Cohoes Power & Light Corp.*, 114 Misc 590; *Minjak Co. v Randolph*, 140 AD2d 245; *Manhattan Mansions v Moe’s Pizza*, 149 Misc 2d 43; *Edgerton v Page*, 20 NY 281.) III. Appellant failed to prove that it incurred any damages as a result of respondent’s minimal taking. (*F.H. Krear & Co. v Nineteen Named Trustees*, 810 F2d 1250; *Cochran v A/H Battery Assoc.*, 909 F Supp 911; *Randall-Smith v 43rd St. Estates Corp.*, 17 NY2d 99; *Peerless Candy Co., Inc. v Halbreich*, 125 Misc 889; *Appliance Giant, Inc. v Columbia 90 Assoc., LLC*, 8 AD3d 932; *487 Elmwood v Hassett*, 107 AD2d 285; *Frame v Horizons Wine & Cheese*, 95 AD2d 514.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal, we are asked to consider whether a minimal and inconsequential retaking of space that has been leased to a commercial tenant constitutes an actual partial eviction relieving the tenant from all obligation to pay rent. We conclude, under the circumstances of this case, where such interference by a landlord is small and has no demonstrable effect on the tenant’s use and enjoyment of the space, total rent abatement is not warranted.

I.

In February 1998, plaintiff Eastside Exhibition Corp. entered into a lease with defendant 210 East 86th Street Corp. to occupy two floors in defendant's seven-story retail and office building to operate a multiplex movie theater with 1,150 seats and four screens. The lease ran from March 1, 1998 to December 16, 2016. Article 13 of the lease permits the landlord to enter the demised premises to make repairs and improvements and provides that there be no abatement of rent during the time such work is in progress. Article 4 of the lease provides that there be no allowance to the tenant for the diminution of rental value arising from the making of any repairs or improvements.

More than nine years ago, in December 2002, defendant landlord, without giving notice to or receiving permission from plaintiff, entered the demised premises and installed cross-bracing between two existing steel support columns on both of plaintiff's leased floors causing a change in the flow of patron foot traffic on the first floor and a slight diminution of the second-floor waiting area. The concededly unaesthetic cross-bracing was placed in preparation for the addition of two additional floors to the building. Plaintiff ceased paying rent as a remedy for the alleged actual partial eviction and commenced this action, seeking a permanent injunction barring defendant from doing any further work in the premises and directing defendant to remove the cross-bracing. Plaintiff also sought an abatement of its rent obligation.¹ Supreme Court granted plaintiff a temporary restraining order on any further work by defendant and also ordered defendant to expeditiously complete the current work. Subsequently, a nonjury trial was held to determine whether the cross-bracing constituted an actual partial eviction so as to allow for the complete abatement of rent. At trial, the parties stipulated that the total area of the premises was between 15,000 and 19,000 square feet and that the cross-bracing occupied approximately 12 square feet.

1. Additionally, plaintiff requested compensatory damages in the amount of \$1 million and punitive damages in the amount of \$3 million. The landlord thereafter served the tenant with a Notice to Cure Default for failing to provide landlord with its books and records, failing to install a neutralization tank for spilled soda, installing new doors on the second floor theaters that did not comply with the building code and several other items. These additional claims are not a part of this appeal.

Supreme Court, as relevant here, dismissed plaintiff's claim and entered judgment for defendant for unpaid rent. In its decision, the court stated that although the lease did not grant the landlord the right to permanently deprive the tenant of any portion of the demised premises and that such a deprivation will normally result in "liability for all rent [being] suspended although the tenant remains in possession of the portion of the premises from which he was not evicted" (quoting *Barash v Pennsylvania Term. Real Estate Corp.*, 26 NY2d 77, 83 [1970]), here, the taking of 12 square feet of non-essential space in plaintiff's lobby constituted a de minimis taking not justifying a full rent abatement.²

The Appellate Division modified on the law, holding that there is no de minimis exception to the rule that any unauthorized taking of the demised premises by the landlord constitutes an actual eviction (*see Eastside Exhibition Corp. v 210 E. 86th St. Corp.*, 23 AD3d 100, 104-105 [1st Dept 2005]). However, the court declined to award plaintiff a full rent abatement, stating that "current landlord/tenant realities [make it] particularly untoward automatically to apply harsh and oppressive strictures derived from feudal law that mirror the policies and concerns of that earlier society" and that in light of that, the remedy is to compensate plaintiff for its actual damages (*id.* at 105). The Appellate Division remanded the matter to Supreme Court for a hearing to determine actual damages (*see id.*).

The hearing on damages was held three years later. Plaintiff proffered two witnesses, who were unable or unwilling to estimate actual damages, essentially testifying that damages were impossible to determine given the significant number of variables in the motion picture theater industry. After the hearing, Supreme Court found that plaintiff failed to establish any damages and made no award to plaintiff. The Appellate Division

2. For this determination the court cited *Cut-Outs, Inc. v Man Yun Real Estate Corp.* (286 AD2d 258, 260 [1st Dept 2001], *lv denied* 100 NY2d 507 [2003] ["plaintiff failed to prove that this encroachment constituted anything more than a de minimis taking of inessential space"]); *Camatron Sewing Mach. v Ring Assoc.* (179 AD2d 165, 168 [1st Dept 1992] ["contrary to defendants' argument, the contemplated taking is not de minimis; it constitutes 25% of the 201.5 square feet store space used for its administrative office"]); and *Paine & Chriscott v Blair House Assoc.* (70 AD2d 571, 572 [1st Dept 1979] ["The space used by the pipes and conduits occupies .5% of the total square footage of the leased premises. To the extent that the pipes and conduits might constitute a partial eviction, this can easily be compensated by money damages"]).

affirmed, declining to revisit legal issues as it felt bound by the law of the case as earlier expressed in the first Appellate Division order (see *Eastside Exhibition Corp. v 210 E. 86th St. Corp.*, 79 AD3d 417, 418 [1st Dept 2010]). We granted plaintiff leave to appeal (16 NY3d 708 [2011]) and now affirm on different grounds.

II.

It is well settled that the withholding of the entire amount of rent is the proper remedy when there has been a partial eviction by a landlord (see *Fifth Ave. Bldg. Co. v Kernochan*, 221 NY 370, 372-373 [1917] [“Eviction . . . suspends the obligation of payment . . . because it involves a failure of the consideration for which rent is paid . . . If such an eviction, though partial only, is the act of the landlord, it suspends the entire rent because the landlord is not permitted to apportion his own wrong”]). “The reason of the rule is, that the tenant has been deprived of the enjoyment of the demised premises by the wrongful act of the landlord; and thus the consideration of his agreement to pay rent has failed” (*Edgerton v Page*, 20 NY 281, 284 [1859]). This is true even if a tenant remains in possession of the premises (see *Barash*, 26 NY2d at 83). This remedy of total abatement of rent for an actual partial eviction is one of very long standing in New York (see *Dyett v Pendleton*, 8 Cow 727 [NY Sup Ct 1826]) and we do not, herein, jettison or overrule it as stated by the dissent (see dissenting op at 631-632).

The question we now address is whether there can be an intrusion on the demised premises that is of such trifling amount that imposition of the draconian remedy of total rent abatement is unjustified. We made it clear in *Lounsbery v Snyder* (31 NY 514, 516-517 [1865]) that not every intrusion amounts to an eviction which warrants a full rent abatement and damages are an appropriate remedy when there has been no substantial interference with the use of the premises. We further stated “[i]f it were necessary, [one] might properly invoke the application of the familiar maxim, ‘*de minimis non curat lex*’ ” (the law does not concern itself with trifles) (*id.* at 516).

Plaintiff would like us to adopt an all or nothing rule that would allow for full rent abatement. However, applying the principle that a “landlord is not permitted to apportion his own wrong” (*Fifth Ave. Bldg. Co.*, 221 NY at 373) and a rule that any minimal intrusion warrants a total abatement to a case

such as this, involving only a trivial taking, “has little but age and inertia to recommend it” (3 Randolph, Friedman on Leases § 29:2.4, at 29-15 [5th ed]). Scholars have criticized an all or nothing rule noting that it is “more talismanic than rational” (Stoebuck and Whitman, Law of Property § 6.32, at 284 [3d ed]). Additionally, courts in other jurisdictions have rejected such a harsh rule (*see Talbot v Citizens Natl. Bank of Evansville*, 389 F2d 207, 211 [7th Cir 1968] [holding that under Indiana law an encroachment on 5.45 feet of leased space does not rise to the level of an eviction because there was no “showing that the part of the demised premises from which (the tenant) was evicted was a material part or that the eviction was a material breach of the covenant of quiet enjoyment”]; *Dussin Inv. Co. v Bloxham*, 96 Cal App 3d 308, 317 [Ct of App, 4th Dist, Div 2 1979] [“a tenant is not relieved entirely of the obligation to pay rent by an actual, partial eviction unless the eviction is from a substantial portion of the premises and that in determining the question of substantiality, the court may and should consider the extent of the interference with the tenant’s use and enjoyment of the property”]).

Given the inherent inequity of a full rent abatement under the circumstances presented here and modern realities that a commercial lessee is free to negotiate appropriate lease terms, we see no need to apply a rule, derived from feudal concepts, that any intrusion—no matter how small—on the demised premises must result in full rent abatement. Rather, we recognize that there can be an intrusion so minimal that it does not prescribe such a harsh remedy. For an intrusion to be considered an actual partial eviction it must interfere in some, more than trivial, manner with the tenant’s use and enjoyment of the premises. That a partial eviction must intrude on the enjoyment of the demised premises was implicated early on in *Dyett* where the court noted that the tenant, having retained some portion of the premises, nonetheless was not required to pay for the part of the premises retained because there existed “such a disturbance, such an injury to its beneficial enjoyment, such a diminution of the consideration upon which the contract is founded, that the law refuses its aid to coerce the payment of any rent” (8 Cow at 731). Similarly, in *Edgerton*, we stated that “there must be an entry and expulsion of the tenant by the landlord, or some deliberate disturbance of the possession depriving the tenant of the beneficial enjoyment of the demised premises, to operate a suspension or extinguishment of the rent” (20 NY at 285).

While the dissent seems to view our holding as revolutionary and “schizophrenic” (dissenting op at 625 n 1), we regard it as nothing more than an application of the familiar de minimis principle which we have never held or suggested to be inapplicable to actual partial eviction cases. So far as we know, no cases actually granted a 100% rent abatement for a so called “eviction” as trivial as this one—a taking of less than one-tenth of one percent of the space, so located that its absence has no measurable effect on the tenant’s use.

Thus we conclude that on the record before us plaintiff has totally failed to demonstrate any actual damages or loss of enjoyment of the premises due to the landlord’s erection of the cross-bracing occupying 12 square feet in a 15,000 to 19,000 square foot space. That the flow of foot traffic was minimally impeded and the cross-bracing was unattractive was merely a trivial interference with the tenant’s use and enjoyment of the premises. The interference by the landlord here is thus de minimis and “[n]either injunctive nor monetary relief is warranted” (*Wing Ming Props. [U.S.A.] v Mott Operating Corp.*, 79 NY2d 1021, 1023 [1992]).³

Accordingly, the order of the Appellate Division should be affirmed, with costs.

READ, J. (dissenting). The majority disapproves of the strict common-law “rule, derived from feudal concepts, that any intrusion—no matter how small—on the demised premises must result in full rent abatement” for two reasons: “inherent inequity” and “modern realities that a commercial lessee is free to negotiate appropriate lease terms” (majority op at 623). But as even a critic of what is often called the “one-inch rule” has recognized,

“[i]t is one thing to conclude that a deliberate physical trespass should not be penalized with a draconian rent penalty, but it is quite another to conclude that it should be sanctioned by permitting the landlord to appropriate to itself space already leased

3. The dissent argues that we have “overruled an easy to understand, easy to apply bright-line rule in favor of a . . . rule that affords no predictability of outcome” (dissenting op at 631). We have, however, previously allowed for de minimis exceptions to bright-line rules in landlord/tenant cases (see e.g. *Park W. Mgt. Corp. v Mitchell*, 47 NY2d 316, 327-328 [1979] [finding that a violation of the housing code does not automatically constitute a breach of the warranty of habitability as a code violation may be de minimis having no impact on habitability]), and find it appropriate to do so here.

to [the] tenant, no matter how small. Such a finding is inconsistent with the traditional values the common law has placed upon the right of possession” (3 Randolph, Friedman on Leases § 29:2.4, at 29-15—29-16 [2011]; see majority op at 623, quoting Professor Randolph’s comment that the “one-inch rule” “has little but age and inertia to recommend it”).

Unfortunately, this is where the law of New York has now been left—a tenant has no effective remedy if the landlord unilaterally takes back a portion of the leased premises during the lease term.¹

And while it is true that a lessee may negotiate around the majority’s new de minimis rule in the future, this is no consolation to plaintiff Eastside Exhibition Corp. (tenant) and the many other commercial lessees currently subject to long-term leases² entered into with the correct understanding that Judge Cardozo’s decision in *Fifth Ave. Bldg. Co. v Kernochan* (221 NY 370 [1917]) stated New York law. Indeed, why was it not incumbent on defendant 210 East 86th Street Corp. (landlord) to negotiate an “appropriate lease term[]” (majority op at 623) if it did not want to be subject to the well established common-law rule? I respectfully dissent.

I.

In *Kernochan*, the landlord leased to the tenant part of the first floor and basement of a Fifth Avenue building. By the terms of the lease, the basement included a vault beneath the

1. The majority opinion is schizophrenic: my colleagues criticize the common-law rule for being harsh and outmoded because a tenant may abate rent for an exclusion or expulsion “no matter how small” (majority op at 623), while at the same time declaring that the common-law rule, in fact, *mirabile dictu*, never suspended the tenant’s obligation to pay rent where the unauthorized taking was “of such trifling amount that . . . the draconian remedy of total rent abatement [was] unjustified,” and did not “interfere in some, more than trivial, manner with the tenant’s use and enjoyment of the premises” (majority op at 622, 623). Put another way, in the majority’s view the common law has always sanctioned total rent abatement as a remedy for *any* unauthorized taking no matter *how* small—so long as not *too* small. This is, at the very least, confusing, if not downright contradictory. Of course, the majority’s formulation creates the rhetorical fig leaf by which my colleagues deny overruling our long-standing jurisprudence governing partial actual eviction.

2. The lease in this case, for example, has a term of 18 years, 9 months and 16 days: it commenced on March 1, 1998 and is set to expire on December 16, 2016. Landlord entered the premises to install the floor-to-ceiling steel cross-bracing in December 2002—i.e., about a quarter of the way through the lease term.

sidewalk in front of the building. The vault was maintained under a revocable license from the city. During the lease's term, the city revoked the license and excluded the tenant from at first the whole vault and later from a part of it for purposes of building the subway. Judge Cardozo emphasized that, under these facts,

“[w]e are dealing . . . with an eviction which is actual and not constructive. If such an eviction, though partial only, is the act of the landlord, it suspends the entire rent because the landlord is not permitted to apportion his own wrong. If the eviction is the act of a stranger by force of paramount title, the rent will be apportioned, and a recovery permitted for the value of the land retained” (*id.* at 373).

A half-century after *Kernochan*, Judge Breitel in *Barash v Pennsylvania Term. Real Estate Corp.* (26 NY2d 77 [1970]) reiterated that “[i]n the case of actual eviction, even where the tenant is only partially evicted, liability for all rent is suspended although the tenant remains in possession of the portion of the premises from which he was not evicted” (*id.* at 83 [citing *Kernochan*, 221 NY at 373]).

Thus, we have long held that full abatement of rent is the remedy where the landlord physically expels or excludes the tenant from any portion of the leased premises (*see e.g.* Friedman on Leases at 29-15 [noting that “no less an authority” than Judge Cardozo has endorsed the “one-inch rule,” citing *Kernochan*]). My colleagues have nonetheless now discovered in *Lounsbery v Snyder* (31 NY 514 [1865])—a case decided 52 years before *Kernochan*—an implied de minimis exception for intrusions that are trifling in amount and no more than trivial in effect.

But *Lounsbery* was a trespass case where the landlord did not permanently intrude on the leased premises. Pursuant to an oral rent reduction agreement reached by the parties in April 1857, the tenants allowed the landlord to resume partial occupancy and to deposit firewood temporarily on a lot where a store was located, which the tenants retained. In January or February of 1858, one of the tenants forbade the landlord from continuing to keep firewood there, but the landlord “paid no heed” (31 NY at 515). When the landlord subsequently sued the tenants for unpaid rent (as reduced under the oral agreement), they “claimed that the exercise by [the landlord] of the privilege

of piling his firewood on part of the store lot, after notice to discontinue the practice, was equivalent to an eviction” (*id.*).

We said that the presence of the firewood on the property “at most” demonstrated “a mere trespass, and amounted neither to an actual nor a constructive eviction” because “[t]o work a suspension of the obligations of the tenant . . . there must be *an exclusion of the occupant from some portion of the premises demised*”—i.e., a partial actual eviction—“or a substantial and effectual deprivation of the beneficial enjoyment of the property in whole or in part”—i.e., a constructive eviction (*id.* at 515-516 [emphasis added]; see also *id.* at 516 [(“I)t is well settled that the wrongful acts of a lessor do not, in law, amount to an eviction, where there is neither an actual nor a constructive expulsion of the lessee from any portion of the premises demised”])). The trespass in *Lounsbery*—stockpiled firewood—obviously did not permanently exclude or expel the tenant from any portion of the leased property, unlike the cross-bracing fitted into the theater lobby by landlord in this case. In sum, in *Lounsbery*, there was *no* exclusion or expulsion, not merely a de minimis one.

My colleagues’ interpretation of the common law, as articulated by Judge Cardozo in *Kernochan*, is unique so far as I have been able to discover: the traditional rule is, after all, referred to as the “one-inch rule” in recognition of its absolute nature. And its absolute nature is both the source of the criticism of it and the mainspring of its deterrent effect. In particular, the degree of the landlord’s interference with a tenant’s use and enjoyment of the premises has heretofore only been seen as important in the case of constructive eviction, not actual eviction.

As Judge Breitel explained in *Barash*, “[a]n actual eviction occurs only when the landlord wrongfully ousts the tenant from physical possession of the leased premises. There must be a physical expulsion or exclusion” (26 NY2d at 82-83 [citing *Kernochan*]). Contrariwise,

“constructive eviction exists where, although there has been *no physical expulsion or exclusion* of the tenant, the landlord’s acts *substantially and materially deprive the tenant of the beneficial use and enjoyment of the premises*. The tenant, however, must abandon possession in order to claim that there was a constructive eviction” (*id.* at 83 [citations omitted and emphases added]).

In other words, where (and *because*) there has been no physical ouster, the tenant must show a substantial and material deprivation of its beneficial use and enjoyment of the premises (and, in addition, relinquish possession) in order to establish constructive eviction, which relieves the tenant of the obligation to pay rent. But in the case of an actual eviction, even if only partial, a deprivation of beneficial use and enjoyment occurs by virtue of the physical expulsion or exclusion.

The majority conflates actual and constructive eviction when stating that “[f]or an intrusion to be considered an actual partial eviction it must interfere in some, more than trivial, manner with the tenant’s use and enjoyment of the premises” (majority op at 623), relying on *Dyett v Pendleton* (8 Cow 727 [1826]) and *Edgerton v Page* (20 NY 281 [1859]). *Dyett* is famous for establishing the doctrine of (and coining the phrase) constructive eviction, while *Edgerton* held that abandonment was a prerequisite to constructive eviction (see Weinberg, *From Contract to Conveyance: The Law of Landlord and Tenant, 1800-1920 [Part 1]*, 5 S Ill U LJ 29, 66-82 [1980]). We developed the doctrine of constructive eviction by analogy to and in contrast with partial actual eviction, which is therefore discussed in both cases.

In the majority’s view, *Dyett* and *Edgerton* establish that “early on” we held that a “partial [actual] eviction must intrude on the [tenant’s] enjoyment of the demised premises” (majority op at 623), apparently meaning that the tenant’s use and enjoyment of the leased property must be impaired in some way beyond the mere fact of a physical expulsion or exclusion. This is not correct, as is demonstrated by the passages from these cases recited by the majority.

When discussing partial actual eviction in *Dyett*, we stated that

“a tenant shall not be required to pay rent, even for the part of the premises which he retains, if he has been evicted from the other part by the landlord. As to the part retained, this [meaning the physical expulsion or exclusion] *is deemed* such a disturbance, such an injury to its beneficial enjoyment, such a diminution of the consideration upon which the contract is founded, that the law refuses its aid to coerce the payment of any rent” (8 Cow at 731 [emphasis added]).

Concomitantly, in *Edgerton*, we observed that “there must be

an entry and expulsion of the tenant by the landlord[]”—referring to an actual eviction, in whole or in part—“or some deliberate disturbance of the possession depriving the tenant of the beneficial enjoyment of the demised premises[]”—referring to a constructive eviction—“to operate a suspension or extinguishment of the rent” (20 NY at 285). In short, a physical expulsion or exclusion is, by definition, nontrivial.

II.

Applying the new *de minimis* rule to the facts of this case, the majority holds that tenant has not shown that the unauthorized taking was more than trifling in amount and trivial in effect, as a matter of law, because landlord appropriated “less than one-tenth of one percent of the [total leased] space, so located that its absence has no measurable effect on the tenant’s use” (majority op at 624). Put slightly differently, although the steel cross-bracing “minimally impeded” foot traffic in the lobby and was “unattractive,” it entailed “merely a trivial interference with the tenant’s use and enjoyment of the premises” (*id.*).³

Notably, though, the lease called for tenant to pay landlord \$2.75 million to convert the leased premises into a “quad,” or two-story movie theater with four separate theaters, in accordance with architectural drawings and a work schedule incorporated by reference in the lease’s exhibits. The “quad” plans show a first-floor lobby that is roughly 15 feet wide (east-west) and 40 feet long (north-south), with two one-foot square support columns or pillars in the center, 20 feet apart. But after landlord installed the cross-bracing (and railings required as a consequence), the distance between the columns was reduced from 20 feet to 8 feet—i.e., the 15-foot-wide lobby is now bisected by two structures akin to freestanding walls, each six feet long and one foot wide. This is considerably different from what tenant bargained for in the lease, and paid landlord to construct. I would not characterize landlord’s unwanted remaking of the lobby as trifling in amount or trivial in effect—obviously, tenant entered into a long-term lease specifying something quite different to the tune of \$2.75 million.

Finally, even if there were, under the new *de minimis* rule, no partial actual eviction in this case, there was (and still is) a

3. Tenant emphasized the intrusion in the lobby, although the cross-bracing took away another 12 square feet from an informal seating area on the theater’s second floor. Landlord installed the cross-bracing to support two additional stories, allowing increased rental income of an estimated \$1 million a year.

trespass. And unlike the situation in *Lounsbery*, the trespass is permanent in nature rather than transitory. The majority brushes this aside with the comment that the trespass is de minimis, too, citing only our memorandum decision in *Wing Ming Props. (U.S.A.) v Mott Operating Corp.* (79 NY2d 1021 [1992]), a case that did not involve a lease or a trespass by a landlord. In any event, as Professor Randolph pointed out, “permitting the landlord to appropriate to itself space already leased to [the] tenant, no matter how small . . . is inconsistent with the traditional values the common law has placed upon the right of possession” (Friedman on Leases at 29-16).⁴ Do we really want to say that a commercial tenant has no remedy whatsoever under New York law when a landlord usurps a portion of the leased premises so long as the tenant can still conduct its business despite the intrusion?

III.

Landlord and tenant are sophisticated commercial actors who executed a lease consisting of a six-page form, with deletions and two pages of insertions, and a 73-page rider, including exhibits. Throughout this lease, they delineated whether or to what extent rent abatement was an available remedy in particular potential instances of eviction.

The parties sometimes expressly agreed that tenant could *not* abate rent. For example, the lease permits landlord to enter the premises to make necessary repairs, replacements and improvements; in doing so, landlord may “take all nec[essary] materials and equipment into said premises without the same constitut[ing] eviction nor shall the Tenant be entitled to any abatement of rent whil[e] work is in progress.” Similarly, tenant is not entitled to rent abatement for scaffolding in front of the premises during repairs.

In other places, the lease endorses rent abatement, but sets up a method for calculating the proper amount. For example, if landlord fails to meet “material repair obligations,” tenant agrees to accept a rent abatement “pro-rated based upon the area of the Premises which shall be unusable” and only when landlord’s breach renders at least 25% of the premises’ total area unusable. In exchange, the lease provides that where

4. In his view, the lower court erred by not continuing injunctive relief (Friedman on Leases at 29-16). Landlord apparently represented to Supreme Court that it would be feasible to remove the cross-bracing later if necessary (see 23 AD3d 100, 102 [1st Dept 2005]).

tenant notifies landlord of the problem and landlord fails to make these material repairs within one day, tenant may elect to “perform such repairs to the extent necessary to resume . . . normal movie theatre operations and [receive] reimbursement from Owner for . . . actual, reasonable, out-of-pocket costs.”

Finally, the parties agreed that if any of the premises’ vault space was revoked or diminished by a governmental authority or public utility, landlord “shall not [be s]ubject to any liability nor shall Tenant be entitled to any . . . [d]iminution or abatement of rent, nor shall such revocation, diminution [or r]equisition be deemed constructive or actual eviction.” In other words, landlord and tenant negotiated a provision that supplants the otherwise applicable rule prescribed by *Kernochan* in this circumstance—i.e., that where “the act of a stranger by force of paramount title” causes an actual partial eviction, “the rent [would] be apportioned, and a recovery permitted for the value of the land retained” (221 NY at 373). The parties did not, however, negotiate an alternative to the common-law rule governing a partial actual eviction by act of the landlord, although they were clearly free to do so. If landlord was “dissatisfied with the rule of [*Kernochan*], the time to say so [was] at the bargaining table” (*Maxton Bldrs. v Lo Galbo*, 68 NY2d 373, 382 [1986]).

IV.

The majority has overruled an easy to understand, easy to apply bright-line rule in favor of a new de minimis rule that affords no predictability of outcome. Under *Kernochan*, it was very risky for a landlord to intrude on leased space in disregard of the tenant’s right to the whole of the property because the tenant might withhold rent. Now it is very risky for a tenant to withhold rent where the landlord wrongfully appropriates any portion of the leased premises because it is left up to the courts to determine whether the ouster is merely trifling in amount and trivial in effect. This determination will inevitably require expensive, protracted litigation with an uncertain resolution (*cf. Park W. Mgt. Corp. v Mitchell*, 47 NY2d 316, 324 [1979] [constructive eviction is a remedy “fraught with uncertainty” in part because “the reasonableness of the tenant’s action (is) subject to the vicissitudes of judicial review”]; *see also* Warren A. Estis and William J. Robbins, *Actual Partial Evictions*, NYLJ, Oct. 5, 2005, at 31,

col 5 [the Appellate Division “in effect create(d) a de minimis exception to the *Barash* rule” in this case by creating a damages remedy, thereby posing the “question . . . whether this decision opens the (flood)gates for landlords to take space from tenants, leaving it to the courts to determine whether the taking was merely de minimis”]; 7-82 Warren’s Weed, New York Real Property § 82.22 [1] [2011] [the Appellate Division’s decision, which rejected “(t)he former rule announced by (Judge) Cardozo in (*Kernochan*),” has “raised considerable consternation in the landlord-tenant bar”]). At least until tenants have the opportunity to negotiate lease terms that account for the change in the law, they have no effective way to combat unauthorized takings by landlords.

We have always emphasized that stare decisis is especially important in cases involving contracts and property rights because

“[p]arties who engage in transactions based on prevailing law must be able to rely on the stability of such precedents. In business transactions, particularly, the certainty of settled rules is often more important than whether the established rule is better than another or even whether it is the ‘correct’ rule. This is perhaps true in real property more than any other area of the law, where established precedents are not lightly to be set aside” (*Holy Props. v Cole Prods.*, 87 NY2d 130, 134 [1995], citing *Maxton*, 68 NY2d at 381; *Eastern Consol. Props. v Adelaide Realty Corp.*, 95 NY2d 785, 788 [2000, Kaye, Ch. J., concurring] [“Stare decisis should be most stringently applied in cases involving contract and property rights. Indeed, considerations favoring stare decisis are at their acme in those cases”] [internal quotation marks omitted]).

Whatever the wisdom of casting *Kernochan* aside, the new de minimis rule should not apply in this case or, for that matter, to any litigation arising out of commercial leases entered into *before* today’s decision. Tenant, which justifiably relied on clear and long-standing New York law, now faces the prospect of paying landlord nine years’ worth of rent (perhaps escrowed, perhaps not), presumably along with 9% interest, as a consequence of its confidence in our fidelity to the “certainty of settled rules” governing property rights (*Holy Props.*, 87 NY2d at 134). Additionally, the “concededly

unaesthetic cross-bracing” (see majority op at 620), which creates the unbargained-for eyesore and obstruction, remains in place in the middle of the theater’s 15-foot-wide lobby.

We acknowledged in *Gager v White* (53 NY2d 475, 483-484 [1981]) that “when adherence to the traditional course” of applying a change in decisional law retrospectively is “strongly contra-indicated by powerful factors, including *strong elements of reliance on law superseded by the new pronouncement*, a court may direct that it operate prospectively alone” (emphasis added). This is surely the unusual case “where there has been such a sharp break in the continuity of law” that “retroactive application should be eschewed” (*id.* at 483-484).

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT and JONES concur with Judge CIPARICK; Judge READ dissents in a separate opinion.

Order affirmed, with costs.

[965 NE2d 944, 942 NYS2d 442]

In the Matter of the Foreclosure of Tax Liens by Proceeding in Rem Pursuant to Article Eleven of the Real Property Tax Law, by ORANGE COUNTY COMMISSIONER OF FINANCE, Appellant. JEANETTE HELSETH et al., Respondents.

Argued January 4, 2012; decided February 21, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 18, 2010. The Appellate Division affirmed an order of the Supreme Court, Orange County (Lewis J. Lubell, J.; op 24 Misc 3d 204 [2009]), which, in effect, had granted that branch of respondents' motion which was to allow them to pay back taxes and interest due with respect to their property to the extent of vacating the notice to redeem dated June 12, 2008, and directing the petitioner within 10 days, inter alia, to re-serve the notice to redeem by certified and ordinary mail.

Matter of Orange County Commr. of Fin. (Helseth), 73 AD3d 1053, reversed.

HEADNOTE

Taxation — Tax Liens, Tax Sales and Tax Titles — Foreclosure — Due Process

Where petitioner County provided adequate notice for the underlying tax foreclosure action involving respondents' property, additional notice of a repurchase option authorized by local law following the lawful foreclosure, which was sent by certified mail to respondents' former address and returned as not deliverable, was sufficient and in accord with constitutional due process (US Const 14th Amend; NY Const, art I, § 6). Due process only required notice for the governmental taking of private property that may have impaired the interested parties' rights, i.e., the foreclosure action. Any subsequent juncture related to the underlying foreclosure, even one established by local law, did not impose a concomitant duty of notice, particularly when there was no further governmental taking at issue. Here, the release and repurchase option provided by the County was a discretionary, permissive remedy that did not establish or extend a property right entitled to due process protection since any property interests held by respondents were lawfully extinguished as of the expiration of their right to redemption and the entry of the judgment of foreclosure. Thus, the County was only constitutionally obligated to give singular notice of the foreclosure action, which it adequately provided, as that was the underlying governmental action threatening respondents' property interests.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 825–829, 835.

CARMODY-WAIT 2d, Foreclosure of Tax Lien on Real Property §§ 99:29, 99:53, 99:54, 99:56, 99:60.

McKINNEY's, NY Const, art I, § 6.

NY JUR 2d, Taxation and Assessment §§ 670, 677–680, 686–689.

NEW YORK REAL PROPERTY SERVICE §§ 63:70, 63:71.

US Const 14th Amend.

ANNOTATION REFERENCE

See ALR Index under Due Process; Liens and Encumbrances; Taxes.

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POINTS OF COUNSEL

David L. Darwin, County Attorney, Goshen (Matthew J. Nothnagle of counsel), for appellant. I. The County gave respondents sufficient notice of the tax foreclosure proceeding. (*NYCTL 1996-1 Trust v Jellerette*, 48 AD3d 769; *Matter of Clinton County [Miner]*, 39 AD3d 1015; *Matter of Harner v County of Tioga*, 5 NY3d 136; *Mullane v Central Hanover Bank & Trust Co.*, 339 US 306; *Jones v Flowers*, 547 US 220; *Kennedy v Mossafa*, 100 NY2d 1; *McDowell v Grosz*, 81 AD3d 1211; *Matter of County of Sullivan [Spring Lake Retreat Ctr., Inc.]*, 39 AD3d 1095; *Feggins v Department of Educ. of the City of N.Y.*, 2007 NY Slip Op 30323[U]; *Matter of County of Clinton [Bouchard]*, 29 AD3d 79.) II. The lower courts' requirement of an additional round of notices is inconsistent with the holdings of this Court and the United States Supreme Court. (*Mennonite Bd. of Missions v Adams*, 462 US 791; *Congregation Yetev Lev D'Satmar v County of Sullivan*, 59 NY2d 418; *Sheehan v County of Suffolk*, 67 NY2d 52; *Matter of McCann v Scaduto*, 71 NY2d 164; *Matter of ISCA Enters. v City of New York*, 77 NY2d 688; *Kennedy v Mossafa*, 100 NY2d 1; *Matter of Harner v County of Tioga*, 5 NY3d 136; *Jones v Flowers*, 547 US 220.) III. The lower courts' decisions in this case are inconsistent with prior case law, including federal case law. (*Weigner v City of New York*, 852 F2d 646, 488 US 1005; *Matter of County of Clinton [Bouchard]*, 29 AD3d 79.) IV. The lower courts' decisions are contrary to prior case law, which made the redemption deadline identical to a statute of limitations. (*Matter of City of Binghamton [Ritter]*, 128 AD2d 266;

City of Peekskill v Perry, 272 App Div 940; *Matter of Foreclosure of Tax Liens*, 23 Misc 3d 1140[A], 2009 NY Slip Op 51206[U]; *Matter of Elinor Homes Co. v St. Lawrence*, 113 AD2d 25; *Gibbs v St. Barnabas Hosp.*, 16 NY3d 74; *Andrea v Arnone, Hedin, Casker, Kennedy & Drake, Architects & Landscape Architects, P.C. [Habiterre Assoc.]*, 5 NY3d 514; *Miceli v State Farm Mut. Auto. Ins. Co.*, 3 NY3d 725.)

Daniel E. Bertolino, P.C., Upper Nyack (*Jonathan B. Schloss* of counsel), for respondents. I. Both lower court decisions were consistent with controlling case law which requires a municipality to give reasonable notice of a pending tax foreclosure sale. (*Jones v Flowers*, 547 US 220; *Matter of Harner v County of Tioga*, 5 NY3d 136; *Mennonite Bd. of Missions v Adams*, 462 US 791; *Kennedy v Mossafa*, 291 AD2d 378, 100 NY2d 1; *Congregation Yetev Lev D'Satmar v County of Sullivan*, 59 NY2d 418; *Facchin v Pekich*, 232 AD2d 447; *Matter of McCann v Scaduto*, 71 NY2d 164.) II. Orange County's unconscionable conduct unduly deprived Jeanette and Ola Helseth of their real property. (*Jones v Flowers*, 547 US 220.) III. Orange County's hypothetical question is irrelevant; where release of a taxing authority's interest is potentially available, the debtor must receive due process notice of such. (*Weigner v City of New York*, 852 F2d 646.)

OPINION OF THE COURT

JONES, J.

In November 1997, Jeanette and Ola Helseth (the Helseths) purchased a four-acre parcel of land located in the Town of Warwick, Orange County, New York. The parcel was subdivided into two-acre lots and a home, in which the Helseths resided, was constructed on one of the lots; the other lot remained unimproved (the property). In 2000, following the sale of the improved lot, the Helseths moved to an apartment on Amity Road; and in 2002, they relocated to Sanfordville Road, placing the property on the market for sale through a real estate broker.

In April 2004, after learning from the landlord of their former Amity Road residence that they continued to receive mail at that location (including a real property tax bill), the Helseths filed a change of address form with the Town of Warwick Assessor, indicating the Sanfordville Road address as their then-current address. Moreover, in September 2005, the Helseths paid that year's real property taxes at the Office of the Orange

County Commissioner of Finance (the County), directly informing it of their Sanfordville Road address. Despite these attempts to amend their address for accurate reflection in the tax rolls, the Helseths did not receive any additional real estate property tax bills or correspondence. Indeed, according to the County, its records indicated that the Helseths resided at the prior Amity Road address.

Starting in January 2006, the Helseths failed to pay taxes on the property* and in November of that year, the County, pursuant to Real Property Tax Law § 1122, filed a list of then-delinquent tax parcels (which included the property). In October 2007, the County filed a petition of tax foreclosure pursuant to Real Property Tax Law § 1123 for the delinquent parcels and an ensuing in rem tax foreclosure action was commenced. The County gave notice of the foreclosure action by publishing the notice in six newspapers for three nonconsecutive weeks over a two-month period; posting the notice in conspicuous locations at the Department of Finance office, the Orange County Clerk's office and the Orange County courthouse; and by mailing the notice by regular first-class mail and certified mail, return receipt requested, to the Amity Road residence. The certified mailing was returned to the County as "unclaimed."

The Helseths did not answer, exercise their right to redeem the property or otherwise appear in the foreclosure action and the County moved, on April 7, 2008, for a default judgment of foreclosure. Judgment was entered and a deed was recorded on August 7, 2008, conveying title to the County.

Following the judgment of foreclosure, a letter was sent by certified mail, return receipt requested, informing the Helseths that the County had acquired title to the property. The letter further advised them of the opportunity to repurchase the property "back from the County through the release of the County's interest." The certified mailing, which was again mailed to the Amity Road address, was returned as "not deliverable as addressed."

The Helseths first learned of the underlying foreclosure action and a scheduled auction sale of the property when they were informed by their real estate broker that potential buyers

* Although the Helseths failed to pay their real property taxes, they were aware of their obligation. Jeanette Helseth averred in an affidavit that "[a]lthough I knew that I owed the taxes, I always had the property for sale, and I thought that I would be able to pay the back taxes as soon as I sold it."

had inquired about the lot. As a result, they moved by order to show cause to stay the sale of the property, but Supreme Court declined to sign a temporary restraining order, adjourning the matter to a date after the auction. Consequently, the Helseths appeared at the auction and submitted a winning bid of \$150,000, paying a \$15,000 deposit. However, they failed to remit the remaining balance and the County auctioned the property to another party.

Supreme Court subsequently ruled on the order to show cause, concluding that the County's provision of notice for the foreclosure action satisfied constitutional due process. However, the court held that the County's additional notice was inadequate, remarking that

“constitutional due process requirements attendant to one's right to redeem property from a municipality following a tax lien foreclosure have not been met where, as here, the municipality sends notification to the property owner of his or her constitutionally protected right to redemption by only one means, certified mail, return receipt requested, where said mailing is returned as not deliverable as addressed, since such a notation, on its face, carries the indicia that the address is invalid. This is especially so where, as here, the presumptive status of the address to which notifications have been forwarded changes from one at which a recipient is attempting to avoid notification to that of an invalid address. Worthy of note but not a necessary factor in the determination reached herein is the fact that the notice of the right of redemption, even if received, failed to identify the very parcel to which it relates” (24 Misc 3d 204, 210-211 [Sup Ct 2009] [citations and internal quotation marks omitted]).

The Appellate Division unanimously affirmed, similarly concluding that “the [County] failed to provide adequate notice of the [Helseths'] opportunity to obtain a release of the [County's] interest in their property after the expiration of the statutory redemption period pursuant to Local Law No. 7 (2001) of County of Orange” (73 AD3d 1053, 1054 [2d Dept 2010]). Because the certified mailing for the release and auction sale was returned as not deliverable, the court reasoned that the County “was obligated to take reasonable steps to ascertain a correct address for the [Helseths]” (*id.*). This Court granted leave to appeal (16 NY3d 704 [2011]), and we now reverse.

As an initial matter, both lower courts agreed—as do the Helseths—that the County provided adequate notice for the underlying foreclosure action. Thus, the sole issue before this Court is whether the County provided sufficient notice, in accord with constitutional due process, of the release option afforded pursuant to Local Law No. 7 (2001) of County of Orange, which provides in relevant part: “The Enforcing Officer may, prior to the public auction, permit the previous owner of record to purchase his or her parcel through a release of the County’s interest . . . All releases of the County’s interest must be approved by a majority vote of the County Legislature” (Orange County Local Law No. 7 § 5 [B] [1]).

The County argues that constitutional due process only required notice of the pending foreclosure action and not for each successive stage of the proceedings. The Helseths contend that when a municipality provides for a release or repurchase right by law, the landowner has a continued property interest entitled to additional, adequate notice. With respect to the mailed notice itself, it is asserted that it was deficient because its generic, pro forma language could not reasonably apprise the recipient of the matter at issue. Moreover, the County failed to conduct a reasonable search or investigation to ascertain an accurate address when the mailing was returned as not deliverable (*see Matter of Harner v County of Tioga*, 5 NY3d 136 [2005]). We agree with the County and hold that it was only obligated to give singular notice of the foreclosure action as that was the underlying governmental action threatening the Helseths’ property interests.

It has been well established that “[b]oth the Federal and State Constitutions provide that the State may not deprive a person of property without due process of law” (*Kennedy v Mossafa*, 100 NY2d 1, 8-9 [2003]; *see also* US Const 14th Amend; NY Const, art I, § 6). Due process requires that notice be “reasonably calculated, under all the circumstances, to apprise” the parties whose rights are to be affected of the opportunity to appear and be heard (*Mullane v Central Hanover Bank & Trust Co.*, 339 US 306, 314 [1950]; *see Matter of McCann v Scaduto*, 71 NY2d 164, 172 [1987]).

Contrary to the Helseths’ assertions, all that was constitutionally mandated of the County was the provision of reasonable notice of the governmental taking that would impair the rights of the interested or affected parties—i.e., the foreclosure action (*see Sheehan v County of Suffolk*, 67 NY2d 52, 59 [1986] [“Once

taxpayers are provided with notice and an opportunity to be heard on the adjudicative facts concerning the valuation of properties subject to tax, as was done here, they have received all the process that is due’’). In *Weigner v City of New York* (852 F2d 646 [2d Cir 1988]), the United States Court of Appeals for the Second Circuit had occasion to consider this precise issue when it was presented with a tax lien foreclosure proceeding where a defaulting plaintiff contended that she did not receive adequate notice of her redemption and release options. The court specifically rejected that argument, holding that “due process only requires notice of the pendency of the action and an opportunity to respond. The City . . . was not required to send additional notices as each step in the foreclosure proceeding was completed or when each of the available remedies was about to lapse” (852 F2d at 652 [citations and internal quotation marks omitted]; see also *Matter of County of Clinton [Bouchard]*, 29 AD3d 79, 82 [3d Dept 2006]). Thus, any subsequent juncture related to the underlying foreclosure, even one established by local law, does not impose a concomitant duty of notice, particularly when there is no further governmental taking at issue.

The release option in this appeal—a discretionary, permissive remedy made available to the Helseths *after* the property was lawfully foreclosed and conveyed to the County—did not establish or extend a property right entitled to due process protection as any property interests held by the Helseths were lawfully extinguished as of the expiration of their right to redemption and the entry of the judgment of foreclosure (see *Sheehan*, 67 NY2d at 59 [“Full forfeiture has already occurred upon the taxpayer’s failure to redeem the property”]; RPTL 1123 [8] [“In the event of failure to redeem or answer by any person having the right to redeem or answer, such person shall be in default and shall be barred and forever foreclosed from all his or her right, title and interest in and to the parcels described in such petition and a judgment in foreclosure may be taken by default as provided by this title’’]). Rather, the release was simply an option to repurchase property then owned by the County. Put another way, the release option was a courtesy extended to the previous landowner, but its mere availability should not be equated with the establishment or guarantee of a property right. As reflected by the plain language of the local law and the mailed notice, a release option “may” be offered and “[t]he Finance Office cannot guarantee that the Legislature will approve the sale.”

The Helseths rely primarily on the United States Supreme Court's decision in *Jones v Flowers* (547 US 220 [2006]) for the proposition that due process notice must be provided in any tax lien foreclosure sale of real property. In that case, by mutual agreement, the landowner timely paid his mortgage for 30 years and in return, the mortgage company paid real property taxes. However, after the mortgage was satisfied, the company ceased paying the real property taxes and the land fell into delinquency. The state issued notice to the landowner, informing him that the property would be subject to a public tax sale within two years if it was not redeemed. The notice, sent by certified mail, return receipt requested, was returned as unclaimed. Ultimately, the Supreme Court concluded that "when mailed notice of a tax sale is returned unclaimed, the State must take additional reasonable steps to attempt to provide notice to the property owner before selling his property" (547 US at 225).

However, *Jones* is factually distinguishable because in lieu of a foreclosure proceeding, the public tax sale constituted the governmental taking that required reasonable due process notice, whereas in this appeal, the County's provision of a repurchase option was not the underlying taking or an extension of such action, but a subsequent, optional measure offered to the previous landowner well after title had been conveyed to the County. Thus, *Jones* does not expand a municipality's obligations by imposing a duty of providing due process notice for a tax lien foreclosure sale, but instead comports with the well-settled rule that notice is only required for the governmental taking of private property that may impair the interested parties' rights.

Because of our resolution of this appeal, we do not reach the Helseths' remaining contentions pertaining to the adequacy of the mailed notice.

Accordingly, the order of the Appellate Division should be reversed, with costs, and that branch of respondents' motion which was to allow them to pay back taxes and interest due for a release with respect to the property denied.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order reversed, etc.

[965 NE2d 934, 942 NYS2d 432]

FEDERAL INSURANCE COMPANY, Respondent, v INTERNATIONAL
BUSINESS MACHINES CORPORATION et al., Appellants.

Argued January 10, 2012; decided February 21, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 9, 2010. The Appellate Division (1) reversed, on the law, so much of a judgment of the Supreme Court, Westchester County (Alan D. Scheinkman, J.), as had awarded defendants the principal sum of \$25,000,000 as against plaintiff and had, upon review of so much of a prejudgment order of that court (Kenneth W. Rudolph, J.), denied plaintiff's motion for summary judgment and granted that branch of defendants' cross motion which was for summary judgment on their counterclaim alleging breach of contract; (2) granted plaintiff's motion for summary judgment; (3) denied that branch of defendants' cross motion which was for summary judgment on their counterclaim alleging breach of contract; (4) declared that plaintiff had no obligation to indemnify defendants for any amounts, including defense costs or settlement payments, that defendants may have incurred in connection with an action entitled *Cooper v IBM Personal Pension Plan* (457 F3d 636 [2006]); and (5) modified the Supreme Court order accordingly.

Federal Ins. Co. v International Bus. Machs. Corp., 78 AD3d 763, affirmed.

HEADNOTE

Insurance — Duty to Defend and Indemnify — “Wrongful Act” Definition Not Ambiguous

The plain language of an insurance policy, which defined, in part, the term “Wrongful Act” for which coverage was available as “any breach of the responsibilities, obligations or duties by an Insured which are imposed upon a fiduciary of a Benefit Program by the Employee Retirement Income Security Act of 1974 [ERISA],” did not extend coverage to alleged violations of ERISA by defendant insureds acting in their capacity as the settlor of their employee benefit plans. The average insured would reasonably interpret the language in the definition of “Wrongful Act” to mean that coverage was limited to acts of an insured undertaken in its capacity as an ERISA fiduciary. That the term “fiduciary” was undefined in the policy did not require that it be given its plain, ordinary meaning, which differs from the definition provided in ERISA, so as to cover defendants' actions by virtue of the fact that they were insureds

and plan fiduciaries that allegedly violated certain ERISA provisions, regardless of the fact that they allegedly did so in their capacity as plan settlor and not as ERISA fiduciary. If not limited to claims for breach of fiduciary duties, the definition might cover almost every lawsuit imaginable. Moreover, to interpret the disputed language to mean that coverage was limited to acts of an insured undertaken in its capacity as an ERISA fiduciary would not render the second prong of the “Wrongful Act” definition—“any other matter claimed against an Insured solely because of such Insured’s service as a fiduciary of any Benefit Program”—duplicative of the first prong and therefore unnecessary. The two provisions serve different functions. Furthermore, plaintiff’s subsequent revision of its policy language did not render the challenged provision ambiguous and require that it be construed in defendant’s favor.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Insurance §§ 292, 293, 301, 1755; AM JUR 2d, Pensions and Retirement Funds §§ 405, 414, 416.
COUCH ON INSURANCE (3d ed) §§ 21:11, 22:38, 139:16, 220:32.
NY JUR 2d, Insurance §§ 837–841, 2337; NY JUR 2d, Pensions and Retirement Systems §§ 9–13.

ANNOTATION REFERENCE

See ALR Index under Employee Retirement Income Security Act; Excess Insurance; Insurance and Insurance Companies.

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POINTS OF COUNSEL

Jones Day, New York City (*Thomas H. Sear*, *Howard F. Sidman*, *Victoria Dorfman* and *Caryn L. Wolfe* of counsel), for appellants. I. This Court reviews a reversal of a summary judgment ruling de novo. (*Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396; *Weingarten v Board of Trustees of N.Y. City Teachers’ Retirement Sys.*, 98 NY2d 575.) II. The *Cooper v IBM Personal Pension Plan* (US Dist Ct, SD Ill, Civ 99-829-GPM) action alleged a wrongful act as defined in the Zurich policy. (*Fieldston Prop. Owners Assn., Inc. v Hermitage Ins. Co., Inc.*, 16 NY3d 257; *White v Continental Cas. Co.*, 9 NY3d 264; *Teichman v Community Hosp. of W. Suffolk*, 87 NY2d 514; *United States Fid. & Guar. Co. v Annunziata*, 67 NY2d 229; *Matter of Covert*, 97 NY2d 68; *Lumbermens Mut. Cas. Co. v Allstate Ins. Co.*, 51 NY2d 651; *Sperling v Great Am. Indem. Co.*, 7

NY2d 442; *Morgan v Greater N.Y. Taxpayers Mut. Ins. Assn.*, 305 NY 243; *Block v Standard Ins. Co. of N.Y.*, 292 NY 270; *Abrams v Great Am. Ins. Co.*, 269 NY 90.) III. The Appellate Division's decision disregarded governing rules under New York law for construing insurance contracts. (*Fieldston Prop. Owners Assn., Inc. v Hermitage Ins. Co., Inc.*, 16 NY3d 257; *Belt Painting Corp. v TIG Ins. Co.*, 100 NY2d 377; *Rocon Mfg. v Ferraro*, 199 AD2d 999; *Teichman v Community Hosp. of W. Suffolk*, 87 NY2d 514; *United States Fid. & Guar. Co. v Annunziata*, 67 NY2d 229; *Hartol Prods. Corp. v Prudential Ins. Co.*, 290 NY 44; *Cammon v City of New York*, 95 NY2d 583; *People v Brown*, 235 AD2d 344.)

Stroock & Stroock & Lavan LLP, New York City (*Michael F. Perlis*, *Richard R. Johnson*, of the California bar, admitted pro hac vice, and *Ernst H. Rosenberger* of counsel), for respondent. I. A de novo standard of review applies to this Court's review of the Appellate Division's reversal of the trial court's summary judgment ruling. (*Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396; *Weingarten v Board of Trustees of N.Y. City Teachers' Retirement Sys.*, 98 NY2d 575.) II. Federal Insurance Company's coverage position, and the decision of the Appellate Division, are consistent with the plain language of the fiduciary policy, controlling U.S. Supreme Court Employee Retirement Income Security Act precedent, and all legal authorities on point. (*Security Mut. Life Ins. Co. of N.Y. v Rodriguez*, 65 AD3d 1; *Matter of Country Wide Ins. Co. [Russo]*, 201 AD2d 368; *McGrail v Equitable Life Assur. Socy. of U. S.*, 292 NY 419; *Katz v American Mayflower Life Ins. Co. of N.Y.*, 14 AD3d 195; *Sanabria v American Home Assur. Co.*, 68 NY2d 866; *County of Columbia v Continental Ins. Co.*, 83 NY2d 618; *Bretton v Mutual of Omaha Ins. Co.*, 110 AD2d 46; *Long Is. Light. Co. v Hartford Acc. & Indem. Co.*, 76 Misc 2d 832; *Security Mut. Life Ins. Co. of N.Y. v Rodriguez*, 65 AD3d 1.) III. IBM's shifting arguments in favor of coverage, by contrast, require rewriting of the plain language of the fiduciary policy, violate New York canons of insurance policy construction, contradict the Employee Retirement Income Security Act and controlling U.S. Supreme Court case law, and are contrary to all fiduciary liability insurance coverage case law. (*National Sec. Archive v United States Dept. of Defense*, 880 F2d 1381; *Cyprus Plateau Min. Corp. v Commonwealth Ins. Co.*, 972 F Supp 1379; *Payroll Express Corp. v Aetna Cas. & Sur. Co.*, 659 F2d 285; *American Home Assur. Co. v Merck & Co., Inc.*, 386 F Supp 2d 501; *First State Underwriters Agency of New England Reins. Corp. v Travelers Ins. Co.*,

803 F2d 1308; *Eagle Leasing Corp. v Hartford Fire Ins. Co.*, 540 F2d 1257; *Varity Corp. v Howe*, 516 US 489; *In re Lehman Bros. Sec. & ERISA Litig.*, 683 F Supp 2d 294; *Shaw v Delta Air Lines, Inc.*, 463 US 85; *Gabel v Richards Spears Kibbe & Orbe, LLP*, 615 F Supp 2d 241.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The question before the Court is whether the disputed language in an insurance policy extends coverage to alleged violations of the Employee Retirement Income Security Act of 1974 (ERISA) by defendant insureds, International Business Machines Corporation and the IBM Personal Pension Plan (collectively, IBM), acting in their capacity as the settlor of their employee benefit plans. We reaffirm fundamental principles of insurance contract interpretation and hold that the plain language of the policy does not cover such acts and, therefore, that the Appellate Division correctly held that plaintiff insurer Federal Insurance Company (Federal) is entitled to summary judgment and a declaration that it is not required to indemnify IBM in the manner requested.

Federal issued an excess insurance policy to IBM for the policy period from April 14, 1999 through April 14, 2000. The underlying policy (Zurich policy) was issued by Zurich American Insurance Company (Zurich) and it is limited to \$25,000,000. A class action was filed against IBM, alleging that certain amendments to the benefit plans in 1995 and 1999 violated provisions of ERISA pertaining to age discrimination (*see Cooper v IBM Personal Pension Plan*, 2005 WL 1981501, 2005 US Dist LEXIS 17071 [SD Ill 2005], *revd in part* 457 F3d 636 [7th Cir 2006], *cert denied* 549 US 1175 [2007]). The parties to the *Cooper* action reached a settlement, which included amounts designated to cover those plaintiffs' attorneys' fees. IBM made those payments and then sought reimbursement from Federal, maintaining that the limits of the underlying Zurich policy had been exhausted and coverage of the excess Federal policy was thereby triggered. Federal commenced the instant suit against IBM, alleging eight causes of action and requesting a declaration that the Federal policy "provides no coverage for, or duty to indemnify, any amount paid by IBM and the Plan in settlement of the *Cooper* Action which represents attorneys' fees." The parties filed cross motions for summary judgment. The Supreme Court denied plaintiff Federal's motion and granted

IBM's motion. The Appellate Division reversed, holding that plaintiff was entitled to summary judgment (78 AD3d 763 [2d Dept 2010]). This Court granted IBM leave to appeal (16 NY3d 706 [2011]). We now affirm.

As is relevant to this appeal, the Federal policy is a “follow form” policy, meaning that it conforms to the terms and endorsements of the underlying Zurich policy (*see e.g. Jefferson Ins. Co. of N.Y. v Travelers Indem. Co.*, 92 NY2d 363, 369 [1998]). A reviewing court must decide whether, “‘afford[ing] a fair meaning to all of the language employed by the parties in the contract and leav[ing] no provision without force and effect’ ” (*Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208, 222 [2002], quoting *Hooper Assoc. v AGS Computers*, 74 NY2d 487, 493 [1989]), there is a “reasonable basis for a difference of opinion” as to the meaning of the policy (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]). If this is the case, the language at issue would be deemed to be ambiguous and thus interpreted in favor of the insured (*see Breed v Insurance Co. of N. Am.*, 46 NY2d 351, 353 [1978] [recognizing “the general rule that ambiguities in an insurance policy are to be construed against the insurer”]). If not, then the policy will be found to be unambiguous, meaning that “the language it uses has ‘a definite and precise meaning, unattended by danger of misconception in the purport of the [agreement] itself, and concerning which there is no reasonable basis for a difference of opinion’ ” (*Greenfield*, 98 NY2d at 569, quoting *Breed*, 46 NY2d at 355), and shall be applied as written, either in favor of or against coverage, depending entirely on the language used. In analyzing the meaning of an insurance policy provision, it is necessary to determine the “reasonable expectations of the average insured” (*Cragg v Allstate Indem. Corp.*, 17 NY3d 118, 122 [2011]).

The disputed language (“any breach of the responsibilities, obligations or duties by an Insured which are imposed upon a fiduciary of a Benefit Program by [ERISA]”) appears in the first prong of the Zurich policy’s definition of “Wrongful Act.” The term “Wrongful Act” is defined, in its entirety, in endorsement No. 17 to the Zurich policy as

“1. any breach of the responsibilities, obligations or duties by an Insured which are imposed upon a fiduciary of a Benefit Program by the Employee Retirement Income Security Act of 1974, as

amended, or by the common or statutory law of the United States, or ERISA equivalent laws in any jurisdiction anywhere in the world;

“2. any other matter claimed against an Insured solely because of such Insured’s service as a fiduciary of any Benefit Program; or

“3. any negligent act, error or omission in the Administration of any Benefit Program.”

Contrary to the Supreme Court’s holding in this case in which it granted IBM’s motion for summary judgment, IBM was not alleged to have breached fiduciary duties in the underlying *Cooper* action. There is no dispute in this case that under *Lockheed Corp. v Spink* (517 US 882, 890 [1996] [holding that “(p)lan sponsors⁽¹⁾ who alter the terms of a plan do not fall into the category of fiduciaries”]), IBM was not acting as an ERISA fiduciary in taking the actions that gave rise to the allegations in the *Cooper* suit. A straightforward reading of the initial language of the first prong of the “Wrongful Act” definition is that it covers violations of ERISA by an insured acting in its capacity as an ERISA fiduciary. As such, the actions alleged in the *Cooper* suit are not covered by the Zurich policy.

The definition of “Wrongful Act” in the Zurich policy explicitly refers to ERISA and specifically to duties imposed on fiduciaries by ERISA. Therefore the only reasonable approach to determining whether the disputed language in the policy requires the coverage demanded by IBM in this action is to determine whether or not IBM was acting in its capacity as an ERISA fiduciary in amending the plans. Under *Lockheed*, IBM was acting as a plan settlor and not as a fiduciary when it made the changes to the benefit plans that allegedly violated ERISA. The policy language is clear that coverage requires that the insured be acting in its capacity as an ERISA fiduciary in committing the alleged ERISA violation. We conclude that the

1. Under ERISA, a plan sponsor is

“(i) the employer in the case of an employee benefit plan established or maintained by a single employer, (ii) the employee organization in the case of a plan established or maintained by an employee organization, or (iii) in the case of a plan established or maintained by two or more employers or jointly by one or more employers and one or more employee organizations, the association, committee, joint board of trustees, or other similar group of representatives of the parties who establish or maintain the plan” (29 USC § 1002 [16] [B]).

average insured would reasonably interpret the disputed language in the definition of “Wrongful Act” to mean that coverage is limited to acts of an insured undertaken in its capacity as an ERISA fiduciary.

We have considered and reject IBM’s contentions to the contrary, certain of which we specifically address as follows. IBM maintains that the term “fiduciary” is undefined in the Zurich policy and therefore must be given its plain, ordinary meaning, which differs from the definition provided in ERISA. This argument appears to stem from the rule that “[t]he language employed in the contract of insurance must be given its ordinary meaning, such as the average policyholder of ordinary intelligence, as well as the insurer, would attach to it” (*Morgan v Greater N.Y. Taxpayers Mut. Ins. Assn.*, 305 NY 243, 248 [1953] [internal quotation marks and citation omitted]). Under IBM’s reading of the policy, there is no requirement that the insured must have been acting in its capacity as an ERISA fiduciary in order for an act to be considered a “Wrongful Act” because the ordinary, plain meaning of the term “fiduciary” is not equivalent to the “artificial” definition of the term that appears in ERISA² (see *Mertens v Hewitt Associates*, 508 US 248, 255 n 5 [1993] [describing ERISA’s definition of fiduciary as “artificial”]). IBM maintains that because it is alleged in the *Cooper* action to have violated certain ERISA provisions and because IBM is a fiduciary of the benefit plans (based on the plain meaning of the term),³ the actions alleged in the *Cooper* action are

2. Regarding fiduciaries, the definition section of ERISA explains, in relevant part, that

“a person is a fiduciary with respect to a plan to the extent (i) he exercises any discretionary authority or discretionary control respecting management of such plan or exercises any authority or control respecting management or disposition of its assets, (ii) he renders investment advice for a fee or other compensation, direct or indirect, with respect to any moneys or other property of such plan, or has any authority or responsibility to do so, or (iii) he has any discretionary authority or discretionary responsibility in the administration of such plan” (29 USC § 1002 [21] [A]).

3. A fiduciary is “[a] person who is required to act for the benefit of another person on all matters within the scope of their relationship; one who owes to another the duties of good faith, trust, confidence, and candor” or “[o]ne who must exercise a high standard of care in managing another’s money or property” (Black’s Law Dictionary [9th ed 2009], fiduciary; see also *Roni LLC v Arfa*, 18 NY3d 846, 848 [2011] [holding that “(a) fiduciary relationship arises ‘between two persons when one of them is under a duty to act

(n. cont’d)

covered and therefore IBM is entitled to recover the attorneys' fees from Federal. In other words, IBM's actions would be covered by virtue of the fact that it was an insured and a plan fiduciary that allegedly violated certain ERISA provisions, regardless of the fact that, if the allegations are correct, it undoubtedly did so in its capacity as a plan settlor and not in its capacity as an ERISA fiduciary.

IBM misapplies a general principle of insurance policy construction—that terms take on their plain, ordinary meaning—and the result is a strained and implausible interpretation of the provision at issue. Contrary to IBM's argument, this does not amount to a prohibited implied exception to coverage (*see Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304, 311 [1984] [holding that “whenever an insurer wishes to exclude certain coverage from its policy obligations, it must do so ‘in clear and unmistakable’ language. Any such exclusions or exceptions from policy coverage must be specific and clear in order to be enforced. They are not to be extended by interpretation or implication, but are to be accorded a strict and narrow construction” (citations omitted)]). Rather, the disputed language in this case constitutes a clear expression of the parameters of coverage, easily understandable to the average insured. Moreover, if we were to endorse IBM's view, because the first prong of the “Wrongful Act” definition refers not only to duties imposed by ERISA (or foreign equivalents) but also to duties imposed by common law and statutory law, it might, if not limited to claims for breach of fiduciary duties, cover almost every lawsuit imaginable, a result we find to be unreasonable.

IBM further argues that if the disputed language is ascribed the meaning which this Court now concludes it has, then it would be unnecessary for the “Wrongful Act” definition to contain both the first and second prongs because each provision would have an identical meaning. This is not the case, as the two provisions clearly serve different functions. The first prong refers to “any breach of the responsibilities, obligations or duties by an Insured which are imposed upon a fiduciary of a Benefit Program by [ERISA] . . . or by the common or statutory law of the United States, or ERISA equivalent laws in any

for or to give advice for the benefit of another upon matters within the scope of the relation.’ Put differently, ‘(a) fiduciary relation exists when confidence is reposed on one side and there is resulting superiority and influence on the other.’ Ascertaining the existence of a fiduciary relationship ‘inevitably requires a fact-specific inquiry’ ” (citations omitted)].

jurisdiction anywhere in the world.” The second prong reads as follows: “any other matter claimed against an Insured solely because of such Insured’s service as a fiduciary of any Benefit Program.” Upon comparing these two provisions, it becomes apparent that the first requires a breach of a duty imposed by ERISA (or foreign ERISA-equivalent) or by other United States common or statutory law, in order for coverage to be triggered, whereas prong two plainly contains no such requirement. Prong two would extend coverage to an insured’s claims arising from liability incurred solely due to the insured’s position as a fiduciary. For instance, if the insured is named in an action solely due to its status as a fiduciary, even where the action does not allege that the insured actually breached any fiduciary duties, and the action results in a settlement or a judgment against the insured, it is possible that Zurich and Federal would be liable for funds spent to settle the suit or pay the judgment.

Finally, IBM makes much of the fact that Federal revised its own policy language in 2002⁴ and that certain policies in other cases use language similar to the revised Federal language (see e.g. *Cement & Concrete Workers Dist. Council Pension Fund v Ulico Cas. Co.*, 387 F Supp 2d 175, 181 n 2 [ED NY 2005], *affd* 199 Fed Appx 29 [2d Cir 2006] [“ ‘Wrongful Act’ is defined in . . . the . . . policy to mean: ‘any actual or alleged error or omission or breach of duty committed or alleged to have been committed by the Insureds, either jointly or severally, *in the discharge of their fiduciary duties*, obligations or responsibilities, including the violation of any Federal fiduciary standards’ ” (emphasis added)]). It is simply not the case that because the challenged provision could have been worded differently, it is ambiguous and must be construed in IBM’s favor. There are often many ways of effectively conveying the same meaning and the question is not simply whether the insurer could have phrased the provision differently. Rather, the issue is, in light of the reasonable expectations of the average policyholder, whether the provision, as written, is sufficiently clear and precise such that there is no room for *reasonable* disagreement about the scope of coverage. Because the Zurich policy is sufficiently clear on its face, we decline to speculate about Federal’s choice to revise its own policy, as we are not persuaded that any such

4. According to IBM, the relevant language now reads as follows: “any breach of the responsibilities, obligations or duties imposed by ERISA upon fiduciaries of the Sponsored Plan *in their capacity as such fiduciaries*” (emphasis added).

change is material to our analysis of the disputed language in the Zurich policy.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, with costs.

[967 NE2d 652, 944 NYS2d 429]

In the Matter of TOWN OF WATERFORD, Appellant, v NEW YORK
STATE DEPARTMENT OF ENVIRONMENTAL CONSERVATION, Re-
spondent.

Argued February 14, 2012; decided March 22, 2012

SUMMARY

APPEAL from a judgment of the Supreme Court, Albany County (Roger D. McDonough, J.), dated April 14, 2011 in a proceeding pursuant to CPLR article 78. The Supreme Court, upon remittal from the Appellate Division of the Supreme Court in the Third Judicial Department, determined that certain records sought by petitioner pursuant to the Freedom of Information Law qualified as exempt communications under Public Officers Law § 87 (2) (g). The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered August 12, 2010. The Appellate Division, with two Justices dissenting in part, had modified, on the law, a prior judgment of that Supreme Court, which (1) partially granted petitioner's application to annul a determination of respondent partially denying petitioner's Freedom of Information Law requests; (2) directed respondent to provide certain records to petitioner; (3) otherwise dismissed the petition; and (4) declined to award attorneys' fees or costs. The modification consisted of (1) reversing so much of the judgment as (a) granted that part of petitioner's application for disclosure of certain records as not falling within the inter-agency/intra-agency exemption, and (b) dismissed that part of petitioner's application for disclosure of portions of records 228 and 239 and the entirety of records 242 and 243; (2) granting the petition to the extent of disclosing those records; and (3) remitting the matter to the Supreme Court for further proceedings not inconsistent with the Court's decision. The Appellate Division affirmed the judgment as modified.

Matter of Town of Waterford v New York State Dept. of Env'tl. Conservation, 77 AD3d 224, modified.

HEADNOTES

Records — Freedom of Information Law — Exemption for Inter-Agency and Intra-Agency Materials — Communications with Federal Governmental Agencies

1. In a proceeding by petitioner municipality to challenge respondent Department of Environmental Conservation's denial of portions of petitioner's request for information under the Freedom of Information Law (FOIL) relat-

ing to the Hudson River dredging project and the availability of alternative water supplies for local residents, the statutory exemption for pre-decisional inter-agency or intra-agency materials (*see* Public Officers Law § 87 [2] [g]) was not applicable to certain records exchanged with the United States Environmental Protection Agency (EPA). By its plain terms, the statutory definition of “agency” as set forth in Public Officers Law § 86 (3) does not include federal agencies but is limited to state and municipal entities. Although the EPA would be an agency within the definition of that term as it is commonly understood, it is not an “agency” for purposes of FOIL. To the extent that there is resonance to the argument that the exemption should apply in order to protect the pre-decisional joint deliberative process, that issue must be addressed to the Legislature.

Records — Freedom of Information Law — Exemption for Inter-Agency and Intra-Agency Materials — Communications with Federal Governmental Agencies

2. In a proceeding by petitioner municipality to challenge respondent Department of Environmental Conservation’s denial of portions of petitioner’s request for information under the Freedom of Information Law (FOIL) relating to the Hudson River dredging project and the availability of alternative water supplies for local residents, the statutory exemption for pre-decisional inter-agency or intra-agency materials (*see* Public Officers Law § 87 [2] [g]) was not applicable to certain records exchanged with the United States Environmental Protection Agency (EPA) on the ground that the EPA was the equivalent of an outside consultant. The EPA was the lead agency for the dredging project. It was not retained by respondent and did not function as respondent’s employee or agent. Moreover, unlike typical consultants, those agencies represented different constituencies and their interests might diverge.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Freedom of Information Acts §§ 70, 71, 174, 175, 181–183.
 CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:631–145:633, 145:644–145:646, 145:648.
 MCKINNEY’S, Public Officers Law § 86 (3); § 87 (2) (g).
 NY JUR 2d, Records and Recording §§ 14, 19–21, 47, 59, 62.

ANNOTATION REFERENCE

What constitutes preliminary drafts or notes provided by or for state or local governmental agency, or intra-agency memorandums, exempt from disclosure or inspection under state freedom of information acts. 26 ALR4th 639.

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POINTS OF COUNSEL

Dreyer Boyajian LLP, Albany (*Craig M. Crist* and *Benjamin W. Hill* of counsel), for appellant. The Third Department erred in expanding the scope of the Freedom of Information Law’s

inter-agency/intra-agency exemption to include, for the first time, communications between federal and state agencies. (*Matter of Newsday, Inc. v Empire State Dev. Corp.*, 98 NY2d 359; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *Matter of Encore Coll. Bookstores v Auxiliary Serv. Corp. of State Univ. of N.Y. at Farmingdale*, 87 NY2d 410; *Matter of Capital Newspapers, Div. of Hearst Corp. v Whalen*, 69 NY2d 246; *Matter of Russo v Nassau County Community Coll.*, 81 NY2d 690; *Matter of Hanig v State of N.Y. Dept. of Motor Vehs.*, 79 NY2d 106; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Price v Price*, 69 NY2d 8; *Matter of Malta Town Ctr. I, Ltd. v Town of Malta Bd. of Assessment Review*, 3 NY3d 563.)

Eric T. Schneiderman, Attorney General, Albany (Paul Groenewegen, Barbara D. Underwood and Andrew D. Bing of counsel), for respondent. I. The records withheld by the Department of Environmental Conservation are deliberative materials subject to the exemption for “inter-agency or intra-agency materials” under Public Officers Law § 87 (2) (g). (*Matter of Xerox Corp. v Town of Webster*, 65 NY2d 131; *Matter of McAulay v Board of Educ. of City of N.Y.*, 61 AD2d 1048, 48 NY2d 659; *Matter of Auerbach v Board of Educ. of City School Dist. of City of N.Y.*, 86 NY2d 198; *Matter of Sea Crest Constr. Corp. v Stubing*, 82 AD2d 546; *Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477.) II. The undefined statutory term “inter-agency or intra-agency materials” does not incorporate the definition of “agency” in Public Officers Law § 86 (3). (*Matter of Buffalo News v Buffalo Enter. Dev. Corp.*, 84 NY2d 488; *Matter of Newsday, Inc. v Empire State Dev. Corp.*, 98 NY2d 359; *Matter of Justice v King*, 60 AD3d 1452; *Matter of Belmonte v Snashall*, 2 NY3d 560; *Matter of Sea Crest Constr. Corp. v Stubing*, 82 AD2d 546; *Matter of 124 Ferry St. Realty Corp. v Hennessy*, 82 AD2d 981; *Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *Matter of Russo v Nassau County Community Coll.*, 81 NY2d 690; *Matter of Xerox Corp. v Town of Webster*, 65 NY2d 131.) III. The federal case law cited by the Town of Waterford does not preclude application of the exemption in this case. (*Department of Interior v Klamath Water Users Protective Assn.*, 532 US 1; *Matter of John P. v Whalen*, 54 NY2d 89; *Matter of Buffalo News v Buffalo Enter. Dev. Corp.*, 84 NY2d 488; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Ryan v Department of Justice*, 617 F2d 781; *Wu v National Endowment for Humanities*, 460 F2d 1030; *Soucie v David*, 448 F2d 1067; *Matter of Sea Crest Constr. Corp. v Stubing*, 82 AD2d 546; *Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Petitioner Town of Waterford commenced this proceeding to challenge the Department of Environmental Conservation's (DEC's) denial of portions of its request for information under the Freedom of Information Law (FOIL). Specifically, the Town—a municipality that obtains its drinking water from the Hudson River—sought information relating to the Hudson River dredging project and the availability of alternative water supplies for local residents. The DEC denied access to certain records exchanged with the United States Environmental Protection Agency (EPA) by invoking the FOIL exemption for inter-agency or intra-agency materials (*see* Public Officers Law § 87 [2] [g]). We agree with the Town that this exemption is not applicable under the circumstances presented and therefore modify the determinations below.

In 1984, the EPA placed a 200-mile portion of the Hudson River, ranging from Hudson Falls south to Manhattan, on the National Priorities List due to the presence of polychlorinated biphenyls (PCBs). Since that time, the EPA, the DEC and the New York State Department of Health (DOH) have been engaged in a joint endeavor to address the hazards presented by the contamination. The EPA and DEC each have statutory responsibility for the site and they have addressed their enforcement efforts through a series of cooperative agreements. EPA functions as the lead agency for the remediation efforts. In addition, the DOH shares responsibility for the integrity of the water supply and the possible adverse effects on human health.

EPA approved a remediation plan in 2002 that required dredging the river to remove PCB-contaminated sediment. EPA and General Electric (GE) entered into a consent decree, under which GE agreed to perform the remedial action. In addition, EPA directed GE to prepare a “Water Supply Options Analysis” to address the potential contingency measures available to the Towns of Waterford and Halfmoon for the protection of their drinking water during the first phase of the dredging project, should the PCB levels in the water exceed the applicable limits.

Shortly after the options analysis was released, the Town made a FOIL request seeking certain records from the DEC. In particular, the Town sought (1) documents relating to the possible provision of alternative water supplies during the dredging project; (2) materials exchanged between the DEC, DOH and EPA concerning permissible PCB levels in a water supply; (3)

documents relating to any modification, by DEC or any other state agency, to any applicable regulation governing the acceptable level of PCB exposure; and (4) materials received or submitted by DEC in response to GE's "Water Supply Options Analysis."

In response, the DEC provided a number of documents but withheld access to others, maintaining that they were exempt from disclosure under FOIL. Upon administrative appeal, the DEC released two additional records and determined that the remaining documents were properly withheld as inter-agency or intra-agency deliberative materials (*see* Public Officers Law § 87 [2] [g]) and that some of the records were also exempt from disclosure under state or federal law (*see* Public Officers Law § 87 [2] [a]).

The Town then commenced this CPLR article 78 proceeding, challenging the decision to withhold the remaining 344 records. Supreme Court concluded that the EPA was not an "agency" within the meaning of the Public Officers Law and directed the disclosure of several additional records that it found were not protected by Public Officers Law § 87 (2) (g).

The Appellate Division modified, finding that under the circumstances presented, including the legislative purpose of the FOIL exemption and the long-term collaborative relationship between the EPA and the state agencies on this project, communications between the federal and state agencies could be considered deliberative material subject to exemption as "intra-agency or inter-agency" materials (77 AD3d 224, 232-233 [3d Dept 2010]). The Court therefore remitted to Supreme Court for *in camera* review to determine whether the documents were exempt from disclosure under Public Officers Law § 87 (2) (g). Two Justices dissented in relevant part and, noting the public policy in favor of disclosure, would have found that the inter-agency or intra-agency exemption should not be expanded to include materials exchanged with the federal agency about the dredging project. On remittal, Supreme Court reviewed the pertinent records and concluded that they qualified as inter-agency or intra-agency deliberative material and were properly withheld. The Town now appeals pursuant to CPLR 5601 (d) and (a) from the Supreme Court judgment, bringing up for review the prior Appellate Division order.

"It is settled that FOIL is based on the overriding policy consideration that 'the public is vested with an inherent right

to know and that official secrecy is anathematic to our form of government' ” (*Matter of Capital Newspapers, Div. of Hearst Corp. v Whalen*, 69 NY2d 246, 252 [1987] [citation omitted]). As a result, we have required that FOIL “be liberally construed and its exemptions narrowly interpreted so that the public is granted maximum access to the records of government” (*Capital Newspapers*, 69 NY2d at 252). It is the agency’s burden to establish “that ‘the material requested falls squarely within the ambit of one of these statutory exemptions’ ” (*Matter of Newsday, Inc. v Empire State Dev. Corp.*, 98 NY2d 359, 362 [2002], quoting *Matter of Fink v Lefkowitz*, 47 NY2d 567, 571 [1979]).

At issue here is whether communications with the EPA, a federal agency, are within the statutory exemption for pre-decisional inter-agency or intra-agency materials (*see* Public Officers Law § 87 [2] [g]). Although the phrases “inter-agency” and “intra-agency” are not specifically defined in the statute, the Legislature did provide a definition for the term “agency.” For purposes of FOIL, “‘[a]gency’ means any state or municipal department, board, bureau, division, commission, committee, public authority, public corporation, council, office or other governmental entity performing a governmental or proprietary function for the state or any one or more municipalities thereof, except the judiciary or the state legislature” (Public Officers Law § 86 [3]).

[1] By its plain terms, the statutory definition does not include federal agencies. Rather, the definition of “agency” is limited to state and municipal entities. DEC’s argument that the definition of “agency” should not be applied to the distinct phrases “inter-agency” and “intra-agency” is meritless, as there is nothing particular to either the context or usage of those phrases that would indicate a legislative intent to treat the term “agency,” as used in that section, separately from the rest of FOIL. Although the EPA would be an agency within the definition of that term as it is commonly understood, that fact is of no assistance to respondent when the term is clearly defined in the statute. Since the EPA is not an “agency” for purposes of FOIL, the inter-agency exemption does not apply to materials exchanged between these entities. To the extent that there is resonance to the argument that the exemption should apply in order to protect the pre-decisional joint deliberative process, that issue must be addressed to the Legislature.

DEC maintains that this Court has recognized that, in some situations, documents prepared by a party that is not an

“agency” can be withheld under the intra-agency exemption. We have held that the purpose of the intra-agency exception is to allow individuals within an agency to exchange their views freely, as part of the deliberative process, without the concern that those ideas will become public (*see Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477, 488 [2005]; *Matter of Xerox Corp. v Town of Webster*, 65 NY2d 131, 132 [1985]). In *Xerox*, we determined that real estate appraisal reports prepared by a private consulting firm at the agency’s request were exempt from disclosure as intra-agency material (*see* 65 NY2d at 133). We observed that “[i]t would make little sense to protect the deliberative process when such reports are prepared by agency employees yet deny this protection when reports are prepared for the same purpose by outside consultants retained by agencies” (*Xerox*, 65 NY2d at 133). Addressing a similar issue under the exemption for intra-agency materials in the federal Freedom of Information Act (5 USC § 552), the United States Supreme Court has observed that “the fact about the consultant that is constant in the typical cases is that the consultant does not represent an interest of its own, or the interest of any other client, when it advises the agency that hires it” (*Department of Interior v Klamath Water Users Protective Assn.*, 532 US 1, 10-11 [2001]).

[2] We reject respondent’s argument that the EPA is the equivalent of an outside consultant under the present circumstances.* Here, EPA and DEC have a collaborative relationship and are presumably working together toward the same ameliorative goal. However, EPA was not retained by the DEC and does not function as its employee or agent. To the contrary, EPA is actually the lead agency for the dredging project. Moreover, unlike typical consultants, these agencies represent different constituencies and their interests may diverge. We note that this interpretation is consistent with that of the Committee on Open Government, which has determined both that the EPA cannot be characterized as a consultant “retained” by DEC (*see* Comm on Open Govt FOIL-AO-11985 [2000]) and that the definition of “agency” does not include federal agencies (*see* Comm on Open Govt FOIL-AO-12034 [2000]).

In conclusion, DEC has failed to meet its burden of showing that the requested material is covered by the statutory exemption.

* This is not to say that a federal agency could never be deemed the equivalent of an outside consultant.

Accordingly, the judgment appealed from and the order of the Appellate Division brought up for review should be modified, with costs to petitioner, in accordance with this opinion and, as so modified, affirmed.

Judges CIPARICK, GRAFFEO, SMITH, PIGOTT and JONES concur; Judge READ taking no part.

Judgment appealed from and order of the Appellate Division brought up for review modified, etc.

[967 NE2d 671, 944 NYS2d 448]

THE PEOPLE OF THE STATE OF NEW YORK ex rel. SHAUN McMANUS, Appellant, v MARTIN F. HORN, Commissioner of the New York City Department of Corrections, et al., Respondents.

Argued February 7, 2012; decided March 22, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 26, 2010. The Appellate Division affirmed an order of the Supreme Court, Bronx County (Martin Marcus, J.; op 26 Misc 3d 317 [2009]), which had denied petitioner's application for a writ of habeas corpus, and dismissed the petition.

People ex rel. McManus v Horn, 77 AD3d 571, reversed.

HEADNOTES

Appeal — Academic and Moot Questions — Legality of Form of Bail Challenged after Defendant's Guilty Plea

1. An appeal of an order denying petitioner's application for a writ of habeas corpus, in which petitioner challenged the authority of Supreme Court to set cash bail as the only available form of bail, did not become moot after petitioner entered a guilty plea to various offenses. Although the legality of his pretrial detention was technically no longer germane since that custody was terminated as a result of petitioner's plea, the mootness exception applied because the propriety of cash-only bail was an important issue that was likely to recur and which typically would evade review. Accordingly, the appeal was not dismissed and the proceeding was converted into a declaratory judgment action given that petitioner no longer needed affirmative habeas corpus relief.

Bail — Right to Bail — More than One Form of Bail Required

2. CPL 520.10 (2) (b) prohibits a court from fixing only one form of bail. The statute states that a "court may direct that the bail be posted in any one of two or more of the forms" and thus requires that at least two forms of bail be ordered. Prohibiting only one form of bail comports with the overall statutory structure and the legislative purpose that prompted the enactment of CPL 520.10. The word "may" did not grant a court discretion to impose only one type of bail, rather its inclusion in both subdivision (2) (a) and (b) of CPL 520.10 was the simplest way for the Legislature to codify the two permissible methods of fixing bail: either by ordering a specific amount of bail without stating any particular bail form, or by specifying the forms of bail and giving the defendant at least two alternative choices. Providing flexible bail alternatives to pretrial detainees, who are presumptively innocent, is consistent with the underlying purpose of CPL article 520, which was to reform the restrictive bail scheme that had existed in the former Code of Criminal Procedure in order to improve the availability of pretrial release. Since a court may set multiple forms of bail in differing amounts, which, in effect, may be virtually

indistinguishable from the cash option, there did not appear to have been a compelling need for the Legislature to authorize a single form of bail.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 206, 602; AM JUR 2d, Bail and Recognizance §§ 79, 87.
CARMODY-WAIT 2d, Bail and Recognizance § 180:13;
CARMODY-WAIT 2d, Appeals in Criminal Cases
§§ 207:124, 207:169, 207:170.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 12.1,
12.2, 27.5.
McKINNEY'S, CPL 520.10 (2) (b).
NY JUR 2d, Criminal Law: Procedure §§ 1404, 1405, 1414,
3578, 3580.

ANNOTATION REFERENCE

Right of defendant in state court to bail pending appeal from conviction—modern cases. 28 ALR4th 227.

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POINTS OF COUNSEL

The Bronx Defenders, Bronx (V. Marika Meis of counsel), for appellant. Criminal Procedure Law § 520.10 (2) (b) requires that bail be set in “two or more forms” and, therefore, prohibits “cash-only” bail. (*People v Finnegan*, 85 NY2d 53; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Sutherland v St. Lawrence County*, 101 App Div 299; *People v Torn*, 110 App Div 676; *People v Gillman*, 125 NY 372; *Badolato v Molinari*, 106 Misc 342; *People v Burton*, 150 Misc 2d 214; *People ex rel. Hardy v Sielaff*, 79 NY2d 618; *Bellamy v Judges in N.Y. City Crim. Ct.*, 41 AD2d 196.)

Robert T. Johnson, District Attorney, Bronx (Stanley R. Kaplan and Joseph N. Ferdenzi of counsel), for respondent. I. Defendant's claim of error is moot since he is no longer a pretrial detainee but has been convicted and sentenced; in the alternative, his claim has been forfeited by his guilty pleas. (*People ex rel. Douglas v Vincent*, 50 NY2d 901; *People ex rel. Kaplan v Commissioner of Correction of City of N.Y.*, 60 NY2d 648; *Matter of Kassebaum v al-Rahman*, 212 AD2d 482; *People ex rel. Griffin v Warden, Brooklyn House of Detention for Men*, 40 AD2d

859; *People ex rel. Wilson v Walsh*, 270 AD2d 885; *People ex rel. Greenstein v Sheriff of Schenectady County*, 220 AD2d 190; *People ex rel. Ferguson v Campbell*, 186 AD2d 319; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Matter of Grand Jury Subpoenas for Locals 17, 135, 257 & 608 of United Bhd. of Carpenters & Joiners of Am., AFL-CIO*, 72 NY2d 307; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707.) II. The Appellate Division, First Department, correctly upheld the habeas court's denial of the writ, properly determining that CPL 520.10 (2) (a) and (b) do not limit a judge's discretion to impose one form of bail. (*People v Esquivel*, 158 Misc 2d 720.)

New York Civil Liberties Union Foundation, New York City (Taylor Pendergrass, Corey Stoughton and Arthur Eisenberg of counsel), for New York Civil Liberties Union and others, amici curiae. I. The context in which CPL 520.10 (2) was adopted supports an interpretation maximizing access to pretrial release by making two forms of bail available to defendants. (*People v Litto*, 8 NY3d 692; *Cannon v University of Chicago*, 441 US 677; *Stack v Boyle*, 342 US 1.) II. The statute should be interpreted to require two forms of bail to avoid unequal adverse consequences for the indigent and minorities. (*People v Alston*, 88 NY2d 519; *Barker v Wingo*, 407 US 514; *Estelle v Williams*, 425 US 501; *Hurrell-Harring v State of New York*, 15 NY3d 8.) III. The statute must be interpreted to require two forms of bail to avoid the unconstitutional implications of a "cash-only" bail regime. (*Matter of Jacob*, 86 NY2d 651; *People ex rel. Fraser v Britt*, 289 NY 614; *People ex rel. Klein v Krueger*, 25 NY2d 497; *Matter of Restaino [State Commn. on Jud. Conduct]*, 10 NY3d 577; *Matter of Sardino v State Commn. on Jud. Conduct*, 58 NY2d 286; *Kellman v District Director, U.S. Immigration & Naturalization Serv.*, 750 F Supp 625; *People v Saffore*, 18 NY2d 101; *Tate v Short*, 401 US 395.)

OPINION OF THE COURT

GRAFFEO, J.

In this appeal, we consider whether CPL 520.10 (2) (b) prohibits a court from designating only one form of bail.

Petitioner Shaun McManus was on parole in January 2009 when he was arrested for arson in the third degree and related offenses stemming from two separate incidents involving the same victim. McManus was alleged to have assaulted the individual and set two of his automobiles on fire. Bail was set at \$5,000, cash or bond, which McManus posted. The victim was granted a temporary order of protection.

McManus subsequently violated the order of protection by verbally abusing the victim and twice threatening him with weapons (a screwdriver and what appeared to be a handgun). At his arraignment on the new charges, bail was set at \$1,500 for each incident, cash or bond. Because the Division of Parole filed a violation warrant with the Department of Corrections, McManus was not released on bail after arraignment.

Based on the first two incidents between McManus and the victim, McManus was indicted for two counts of arson in the third degree, four counts of aggravated harassment in the second degree, two counts of criminal mischief in the fourth degree and one count of assault in the third degree. Supreme Court ordered that bail be set at \$20,000, “CASH ONLY.” A few days later, the People moved to increase the amount of cash bail to \$50,000 but the court denied the application.

When the Division of Parole lifted its hold on McManus, he tried to secure a bail bond but was unable to do so because the court had designated bail as cash only. This prompted McManus to seek alteration of the bail ruling, arguing that setting one form of bail—such as cash-only bail—is prohibited under CPL 520.10 (2) (b), which he claimed requires a court to set a second permissible form of bail. Supreme Court disagreed and adhered to the \$20,000 cash bail order.

McManus then commenced this CPLR article 70 proceeding for a writ of habeas corpus.¹ A different justice dismissed the petition, concluding that CPL 520.10 (2) does not preclude a judge from setting a single form of bail (26 Misc 3d 317 [Sup Ct, Bronx County 2009]). The Appellate Division affirmed for the same reason (77 AD3d 571 [1st Dept 2010]). We granted leave to appeal (16 NY3d 768 [2011]) and now reverse.

[1] As an initial matter, it is necessary to address whether this appeal became moot after McManus entered a guilty plea to arson in the fourth degree and other offenses. As a result of the plea, the legality of his pretrial detention is technically no longer germane since that custody was terminated (*see e.g. People ex rel. Chakwin v Warden, N.Y. City Correctional Facility, Rikers Is.*, 63 NY2d 120, 125 [1984]). Nevertheless, the mootness

1. Bail orders can be reviewed under CPLR article 70 only for an error of law (*see e.g. People ex rel. Lazer v Warden, N.Y. County Men’s House of Detention*, 79 NY2d 839, 840 [1992]; *People ex rel. Parker v Hasenauer*, 62 NY2d 777, 778-779 [1984]; *People ex rel. Rosenthal v Wolfson*, 48 NY2d 230, 232-233 [1979]; Preiser, Practice Commentaries, McKinney’s Cons Laws of NY, Book 11A, CPL 510.20, at 21).

exception applies under these circumstances because the propriety of cash-only bail is an important issue that is likely to recur and which typically will evade our review (see e.g. *City of New York v Maul*, 14 NY3d 499, 507 [2010]; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707, 714-715 [1980]). We therefore decline to dismiss this appeal.²

Section 520.10 of the Criminal Procedure Law delineates the authorized forms of bail and the methods by which bail may be set by a court. Nine categories of bail are permitted under subdivision (1) of the statute: (1) cash; (2) an insurance company bail bond; (3) a secured surety bond; (4) a secured appearance bond; (5) a partially-secured surety bond; (6) a partially-secured appearance bond; (7) an unsecured surety bond; (8) an unsecured appearance bond; and (9) by posting bail with a credit card or similar device (see CPL 520.10 [1] [a]-[i]).

Subdivision (2) of the statute specifies two distinct “methods of fixing bail.” The first option permits a court to “designate the amount of the bail without designating the form or forms in which it may be posted”—in such instance, the court merely declares a monetary sum. If this occurs, the accused can post either an unsecured surety bond or an unsecured appearance bond (see CPL 520.10 [2] [a]). The second option states that a “court may direct that the bail be posted in any one of two or more of the forms specified in subdivision one, designated in the alternative, and may designate different amounts varying with the forms” (CPL 520.10 [2] [b]).

McManus asserts that cash-only bail is illegal under CPL 520.10 (2) (b) because that statutory provision does not authorize a court to fix a single form of designated bail; he maintains that the subdivision instead requires that at least two forms of bail be ordered. In support of this claim, McManus relies on the language in subdivision (2) (b) referring to “any one of two or more of the forms” of bail enumerated in subdivision (1). The District Attorney contests that interpretation and asserts that a single form of bail is permissible because subdivision (2) (a) references a singular “form” of bail and the word “may” rather than “must” appears in paragraphs (a) and (b) of subdivision (2).

2. [1] In light of the fact that McManus no longer needs affirmative habeas corpus relief, this proceeding is converted into a declaratory judgment action (see *Matter of Blossom View Nursing Home v Novello*, 4 NY3d 581, 584 n 1, 596 [2005]).

As the District Attorney observes, the reference to a single “form” of bail arguably suggests that the Legislature intended a court to have discretion to impose only one type of bail. Moreover, the use of the word “may” in conjunction with the reference to two or more bail alternatives could be interpreted to mean that other unspecified options—including a single form of bail—are not outlawed by CPL 520.10.

[2] Both parties’ contentions have some degree of linguistic merit. However, in our view, defendant’s proposed construction is the better reading of the statute as it comports with the overall statutory structure and the legislative purpose that prompted the enactment of section 520.10 in the Criminal Procedure Law. Inclusion of the word “may” in both subdivisions was the simplest way for the Legislature to codify the two permissible methods for fixing bail: under subdivision (2) (a), a court may order a specific amount of bail without stating any particular bail form (in which case the accused may choose either an unsecured surety bond or an unsecured appearance bond); or, under subdivision (2) (b), a court may specify the forms of bail but the defendant is entitled to at least two alternative choices. The Legislature could not have used the word “must” in either provision because that would have defeated the court’s discretion to choose between the two options for fixing bail.

Providing flexible bail alternatives to pretrial detainees—who are presumptively innocent until proven guilty beyond a reasonable doubt—is consistent with the underlying purpose of article 520. The legislation was intended to reform the restrictive bail scheme that existed in the former Code of Criminal Procedure in order to improve the availability of pretrial release (*see e.g. Bellamy v Judges in N.Y. City Crim. Ct.*, 41 AD2d 196, 202 [1st Dept 1973], *aff’d* 32 NY2d 886 [1973]; Mem of Commn on Rev of Penal Law and Crim Code, Bill Jacket, L 1970, ch 996, at 10). Subsequent amendments further loosened those strictures (*see Preiser, Practice Commentaries, McKinney’s Cons Laws of NY, Book 11A, CPL 520.10, at 51*).

CPL 520.10 (2) (b) imposes no undue restriction on a court that believes a substantial personal undertaking “is necessary to secure [the defendant’s] court attendance” in future proceedings (CPL 510.30 [2] [a]). Here, the bail court evidently decided that \$20,000 cash bail was warranted because McManus had flouted a judicial directive by repeatedly engaging in criminal conduct toward the subject of the temporary order of protection. A judge could reasonably conclude that a person who has

already violated a judicial edict is more likely to ignore another command—such as an instruction to appear in court—and therefore impose stricter bail to encourage compliance with the court’s mandates. If a court believes that \$20,000 cash bail is an effective method to achieve this objective, CPL 520.10 (2) (b) allows it to be ordered along with a second type of bail that, in effect, may be virtually indistinguishable from the cash option. For instance, the judge could order as an alternative a \$200,000 partially-secured appearance bond requiring a monetary deposit of 10% (*see* CPL 500.10 [18]), or a \$20,000 secured appearance bond that could be satisfied with (among other things) \$20,000 in cash (*see* CPL 500.10 [17] [a]). Hence, there does not appear to have been a compelling need for the Legislature to authorize a single form of bail in CPL 520.10 (2) (b).

We also reject the District Attorney’s reliance on cases in which a court decides to order \$1 cash bail. The District Attorney posits that there is no valid reason for an alternative type of bail in this situation. While this may be true from a practical standpoint, it fails to account for the underlying purpose of ordering \$1 cash bail. A defendant who refrains from posting the \$1 can receive credit for time served when there is some other reason that prevents his release from custody, such as an inability to post bail in an unrelated matter. Since \$1 cash bail is ordered for the benefit of the accused, it is not surprising that no objection would be raised to the lack of an alternative form. In any event, it will take little judicial effort in such a situation to order another form of bail, which must now be done routinely to properly comply with the statute.

For these reasons, we hold that CPL 520.10 (2) (b) prohibits a court from fixing only one form of bail.

Accordingly, the order of the Appellate Division should be reversed, without costs, the proceeding converted to a declaratory judgment action and judgment granted declaring that CPL 520.10 (2) (b) prohibits the designation of one form of bail.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order reversed, etc.

[967 NE2d 661, 944 NYS2d 438]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SERGIO
RODRIGUEZ, Appellant.

Argued February 8, 2012; decided March 22, 2012

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 28, 2010. The Appellate Division modified, on the law, a judgment of the Supreme Court, New York County (Edward J. McLaughlin, J.), which had convicted defendant, upon a jury verdict, of attempted murder in the second degree, assault in the first degree, robbery in the first degree (two counts), and robbery in the second degree, and had sentenced defendant, as a second violent felony offender, to an aggregate prison term of 40 years. The modification consisted of directing that the sentences for the attempted murder and assault convictions be served concurrently, and remanding the matter to the trial court for resentencing. The Appellate Division affirmed the judgment as modified.

People v Rodriguez, 79 AD3d 644, affirmed.

HEADNOTE

Crimes — Sentence — Illegal Sentence — Authority of Appellate Division to Remit to Trial Court for Resentencing

The Appellate Division, after concluding that the trial court had imposed unlawful consecutive sentences on two of the counts of which defendant was convicted, was not precluded by CPL 430.10 from remitting defendant's case to the trial court for resentencing, and, in doing so, leaving the determination of the proper sentence to the discretion of the trial court. CPL 430.10 provides that, "[e]xcept as otherwise specifically authorized by law," when a court has imposed a lawful sentence of imprisonment, it may not be changed, suspended or interrupted once its term or period has commenced. That provision does not prohibit sentences from being either changed or modified as the result of a postjudgment motion or the appellate process. The language, "[e]xcept as otherwise specifically authorized by law," limits the statute's reach, particularly in light of the broad authority CPL 470.20 grants intermediate appellate courts to take corrective action upon a modification of a sentence. Under the authority found in CPL 470.20, an intermediate appellate court reversing or modifying a sentence has the discretion to either remit to the trial court for resentencing or substitute its own legal sentence for the illegally imposed sentence.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 75, 76, 222; AM JUR 2d,
Criminal Law §§ 858, 861.

CARMODY-WAIT 2d, Sentencing Procedures §§ 203:209, 203:210; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:174, 207:208, 207:219.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 26.3, 26.7, 27.5.

McKINNEY's, CPL 430.10, 470.20.

NY JUR 2d, Criminal Law: Procedure §§ 2927, 3158, 3172, 3620, 3629, 3647.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Concurrent and Consecutive Sentences; Sentence and Punishment.

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Query: remit! /s resentenc! & consecutive /2 sentence /s unlawful erro!

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (Susan H. Salomon and Robert S. Dean of counsel), for appellant. I. The prosecutor, in summation, violated the unsworn-witness rule by citing and characterizing, as spontaneous and reliable, the complainant's identification of appellant, allegedly made as the complainant had entered the courtroom, not from the witness stand, and counsel, in this highly contested identification case, rendered ineffective assistance by failing to protest the prosecutor's remarks. (*People v Benevento*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *Strickland v Washington*, 466 US 668; *People v Turner*, 5 NY3d 476; *People v Baker*, 14 NY3d 266; *People v Ashwal*, 39 NY2d 105; *People v Paperno*, 54 NY2d 294; *People v Moye*, 52 AD3d 1, 12 NY3d 743; *People v Smith*, 173 AD2d 416; *People v Carter*, 37 NY2d 234.) II. Insofar as the Appellate Division's corrective action ordered appellant resentenced so that his lawfully imposed concurrent sentences may be "restructured" to run consecutively, it would violate CPL 430.10 and Penal Law § 70.25 (2) and § 70.30 (1) (a), as well as double jeopardy and due process. (*People v Richardson*, 100 NY2d 847; *People v Adkinson*, 88 NY2d 561; *People v Yannicelli*, 40 NY2d 598; *People v Carpenter*, 19 AD3d 730; *People v Romain*, 288 AD2d 242; *People v Williams*, 87 NY2d 1014; *People v DeValle*, 94 NY2d 870; *People v Laureano*, 87 NY2d 640; *People v Farrar*, 52 NY2d 302; *Matter of Roballo v Smith*, 63 NY2d 485.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Eleanor J. Ostrow* and *Hilary Hassler* of counsel), for respondent. I. Defendant's claim that his trial attorney's representation was ineffective is not properly raised on direct appeal. In any event, that claim, which is based solely on the attorney's failure to object to two of the prosecutor's summation remarks, is meritless. (*People v Rivera*, 71 NY2d 705; *People v Love*, 57 NY2d 998; *People v Jones*, 55 NY2d 771; *Lockhart v Fretwell*, 506 US 364; *Strickland v Washington*, 466 US 668; *Mickens v Taylor*, 535 US 162; *People v Benevento*, 91 NY2d 708; *People v Satterfield*, 66 NY2d 796; *People v Baldi*, 54 NY2d 137; *People v Henry*, 95 NY2d 563.) II. Although the sentencing court's imposition of consecutive sentences for attempted murder and assault was unlawful, the court could have imposed consecutive sentences for either of those counts and one of the robbery counts to arrive at the same aggregate sentence originally imposed. Thus, the case should be remanded to the trial court for resentencing. (*People v Young*, 94 NY2d 171; *People v Day*, 73 NY2d 208; *Bozza v United States*, 330 US 160; *People v McKnight*, 16 NY3d 43; *People v Rosas*, 8 NY3d 493; *Matter of Licitra v Coughlin*, 61 NY2d 450; *Matter of Fludd v Goldberg*, 51 AD3d 153; *People v Rodney E.*, 77 NY2d 672; *People v Richardson*, 100 NY2d 847; *People v Adkinson*, 88 NY2d 561.)

OPINION OF THE COURT

PIGOTT, J.

The issue on this appeal is whether CPL 430.10 precludes the Appellate Division from remitting a case for resentencing after concluding that the trial court imposed unlawful consecutive sentences on two of the counts. We conclude that it does not.

In the present case involving a particularly vicious attack, defendant was convicted of attempted murder in the second degree (Penal Law §§ 110.00, 125.25 [1]), assault in the first degree (Penal Law § 120.10 [1]), two counts of robbery in the first degree (Penal Law § 160.15 [1], [4]) and robbery in the second degree (Penal Law § 160.10 [1]). The trial court, noting defendant's prior history of violence, imposed an aggregate sentence of 40 years, but, in the process of doing so, unlawfully imposed consecutive sentences on the counts of attempted second-degree murder (determinate term of 25 years) and first-degree assault (determinate term of 15 years). The trial court imposed concurrent sentences on the robbery counts.

On appeal, the People conceded the illegality of the consecutive sentences. The Appellate Division modified the judgment

by directing that the attempted murder and assault convictions run concurrently and remanded the matter to the trial court for resentencing (79 AD3d 644 [1st Dept 2010]). In so doing, the Appellate Division observed that “the People seek resentencing only to realign which sentences are to run consecutively, not to disturb any of the individual sentences” (*id.* at 646), the intent presumably being to give the trial court the opportunity, should it elect to do so, to make certain of the remaining counts run consecutively to the required concurrent sentences.

Defendant argues before this Court that the Appellate Division’s remand order violates the dictates of CPL 430.10. That provision states that, “[e]xcept as otherwise specifically authorized by law, when the court has imposed a sentence of imprisonment and such sentence is in accordance with law, such sentence may not be changed, suspended or interrupted once the term or period of the sentence has commenced” (emphasis supplied). According to defendant, once the Appellate Division concluded that the imposition of the consecutive counts was illegal, its only authority was to make the two counts concurrent; it had no authority to remand the matter to the trial court.

While it is premature for us to take a position on whether the trial court may sentence defendant other than to make all sentences run concurrently, it is clear that CPL 430.10 does not preclude the Appellate Division remitting for resentence. That section, derived from prior amendments to former Code of Criminal Procedure § 470-a and former Penal Law § 2188 prohibiting *trial* courts from changing a lawfully-imposed sentence once the term had commenced, does not prohibit sentences from being either changed or modified as the result of a postjudgment motion or the appellate process (*see* Preiser, Practice Commentaries, McKinney’s Cons Laws of NY, Book 11A, CPL 430.10 [referencing CPL 470.20]).

CPL 430.10’s language “[e]xcept as otherwise specifically authorized by law” limits its reach, particularly in light of the broad authority CPL 470.20 grants intermediate appellate courts to take corrective action upon a modification of a sentence. CPL 470.20 states, in pertinent part, that

“[u]pon reversing or modifying a judgment, sentence or order of a criminal court, an intermediate appellate court *must take or direct* such corrective action as is necessary and appropriate *both to rectify any injustice to the appellant resulting from the error or*

defect which is the subject of reversal or modification and to protect the rights of the respondent. The particular corrective action to be taken or directed is governed *in part* by the following rules” (CPL 470.20 [emphasis supplied]).

CPL 470.20, in a proper case, authorizes the appellate court to “either reduce the total sentence . . . or remit the case to the criminal court for re-sentence” (CPL 470.20 [3] [modification of judgment after trial on the ground of legal insufficiency]), or to “remit the case to the criminal court with a direction that the [criminal court] sentence the defendant accordingly” (CPL 470.20 [4] [upon modification of judgment reducing a conviction to one for a lesser included offense]). Indeed, in *People v La-Salle* (95 NY2d 827, 829 [2000]), we concluded that under its authority found in CPL 470.20, an intermediate appellate court may, “upon reversing or modifying a sentence, either . . . remit to the trial court for resentencing or . . . substitute its own legal sentence for the illegally imposed sentence.” This discretion lies with the appellate court.

Defendant misreads *People v Yannicelli* (40 NY2d 598 [1976]) as holding that CPL 430.10 limits the power of appellate courts. We held in *Yannicelli* that the sentencing court’s imposition, on remand, of an additional term of imprisonment was not “consistent with our prior determination,” in which we had affirmed an Appellate Division order remanding the case (*id.* at 599). We concluded that the previous remand had authorized resentencing only to correct the defect we had found in the earlier sentence. The sentencing court, in going beyond that authorization, had done what it was prohibited from doing by CPL 430.10—changing a lawful sentence after the term of the sentence had commenced. *Yannicelli* did not hold that section 430.10 would bar an appellate court from directing resentencing on all counts where the sentence on fewer than all of the counts was flawed.

The Appellate Division, having found that the trial court imposed an illegal sentence, possessed the authority to remit the matter to the trial court for resentencing. By choosing to remit this matter to Supreme Court, the Appellate Division left the determination of the proper sentence to the discretion of Supreme Court.

The dissent misconstrues our holding as going beyond the narrow issue of whether CPL 410.30 precludes the Appellate Division from remitting a case for resentencing in these circumstances

(dissenting op at 672, 673). Since Supreme Court has not yet acted, it would be premature for us to address whether Penal Law § 70.25 (2) permits any of the remaining counts to run consecutively to the counts for which the Appellate Division determined that concurrent sentencing was required. If it is inclined to impose consecutive sentences, Supreme Court must resolve that issue and resentence defendant in the manner it deems appropriate at which juncture the legality of the actual sentence imposed will be ripe for judicial review.

We have considered defendant's remaining claim of ineffective assistance of counsel and conclude that it is without merit because, viewing the record as a whole, defendant received meaningful representation (*see People v Baldi*, 54 NY2d 137 [1981]).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting in part). Once the Appellate Division directed that the sentences for defendant's attempted murder and assault convictions were to be served concurrently instead of consecutively (79 AD3d 644 [2010]), the defect in defendant's sentence was corrected. CPL 430.10 precludes any additional restructuring of defendant's now-lawful sentence and the Appellate Division's remittal for the purpose of increasing the severity of the aggregate sentence was erroneous.

Each count for which defendant stands convicted carries its own sentence and the concurrent or consecutive nature of each term of imprisonment is an integral part of that sentence (*see e.g.* Penal Law § 70.25 [1] ["when multiple sentences of imprisonment are imposed on a person at the same time . . . the sentence or sentences imposed by the court shall run either concurrently or consecutively with respect to each other and the undischarged term or terms in such manner as the court directs at the time of sentence"]). Thus, defendant's aggregate sentence is not greater than the sum of its component parts, entitled to some sort of enhanced legal protection; when the flaws in defendant's individual sentences were cured, there was no basis for a plenary resentencing proceeding.

CPL 430.10 provides that "[e]xcept as otherwise specifically authorized by law, when the court has imposed a sentence of imprisonment and such sentence is in accordance with law, such sentence may not be changed, suspended or interrupted once the term or period of the sentence has commenced." This case

does not present the type of error that Supreme Court possesses the inherent authority to correct (*see e.g. People v Richardson*, 100 NY2d 847, 850-851 [2003]).* The majority, however, emphasizes the prefatory phrase of CPL 430.10, “[e]xcept as otherwise specifically authorized by law,” and finds that CPL 470.20—the statute addressing the proper corrective action to be taken by the Appellate Division—supplies such authorization.

The generic language of CPL 470.20, in favor of crafting a fair and appropriate remedy, cannot be read to “specifically authorize[]” the Supreme Court, upon direction of the Appellate Division, to restructure a lawful sentence. Moreover, the majority is unclear as to the nature of the People’s “right” it purports to protect by this interpretation of the statute. Certainly, there is no right to a 40-year aggregate term. The sentence, as amended by the Appellate Division, might not have been the sentence Supreme Court tried to impose, but it is a lawful sentence and is not the appropriate subject of additional proceedings.

Although *People v Yannicelli* (40 NY2d 598, 601 [1976]) may be procedurally distinguishable, it remains that there, as here, “the sentences were invalid in only one respect.” And, more importantly, as in *Yannicelli*, “[t]he defect . . . did not infect all of the sentences” (40 NY2d at 602). The only problem with defendant’s sentence was the consecutive relationship between two offenses that were not committed through separate acts. Defendant’s sentences did not suffer from any additional defect. As a result, CPL 430.10 specifically precludes their further alteration by Supreme Court, and the Appellate Division’s remand to effectuate that resentencing constitutes unlawful corrective action (*see* CPL 470.10 [3]; 470.35 [2] [c]).

Notably, we recently exhibited our refusal to remit for plenary resentencing to correct a discrete error in *People v Lingle* (16 NY3d 621 [2011]). In that case, we recognized that neither the Appellate Division nor Supreme Court had the authority to reexamine the entirety of a defendant’s sentence once the particular legal error—there the mistake in failing to pronounce a term of postrelease supervision—had been corrected (*see Lingle*, 16 NY3d at 634-635). Similarly, here, the Appellate Division’s

* Although it is well settled that courts have the authority to correct mistakes or clerical errors, “a court cannot, in the guise of correcting an error, change or amend a sentence which is not defective. Indeed[,] . . . that is expressly prohibited by CPL 430.10” (*People v Minaya*, 54 NY2d 360, 364 [1981] [citation omitted]).

correction of the illegality precludes any additional modification of defendant's now-lawful sentence.

People v LaSalle (95 NY2d 827 [2000]), cited by the majority, actually highlights the problem presented here. There, defendant was improperly sentenced to consecutive terms of imprisonment for offenses that arose from a single incident. The Appellate Division modified defendant's sentence to correct the error by directing that the sentences were to run concurrently (*see LaSalle*, 95 NY2d at 828). When the People appealed, arguing that the only corrective action available to the Appellate Division was remittal to the trial court for resentencing, we observed that CPL 470.20 allowed the Appellate Division to choose either to remit or to impose its own legal sentence (*see LaSalle*, 95 NY2d at 829). Here, by contrast, the Appellate Division order seeks *both* to correct the illegality in defendant's sentence and to remit to the trial court for further resentencing. This is not permitted.

Therefore, I would modify the Appellate Division order by striking the remittal to Supreme Court for resentencing.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Chief Judge LIPPMAN dissents in part and votes to modify in a separate opinion in which Judges CIPARICK and JONES concur.

Order affirmed.

[967 NE2d 666, 944 NYS2d 443]

ABACUS FEDERAL SAVINGS BANK, Appellant, v ADT SECURITY SERVICES, INC., et al., Respondents, et al., Defendants.

Argued February 7, 2012; decided March 22, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 12, 2010. The Appellate Division (1) reversed, on the law, so much of the orders of the Supreme Court, New York County (Ira Gammerman, J.H.O.), as had denied those parts of the motions of defendants ADT Security Services, Inc. and Diebold Incorporated as sought to dismiss the causes of action for breach of contract and gross negligence, (2) granted the motions in their entirety, and (3) dismissed the amended complaint against those defendants.

Abacus Fed. Sav. Bank v ADT Sec. Servs., Inc., 77 AD3d 431, modified.

HEADNOTES

Contracts — Contractual Limitation of Liability — Burglar Alarm Company — Gross Negligence

1. In an action to recover damages for losses incurred during a burglary of plaintiff bank's branch, plaintiff sufficiently alleged conduct on the part of defendant security service contractors that, if true, constituted gross negligence so as to render the exculpatory clauses in the parties' contracts unenforceable as against plaintiff's breach of contract claims. When grossly negligent conduct is invoked to pierce an agreed-upon limitation of liability in a commercial contract, such conduct must smack of intentional wrongdoing and evince a reckless indifference to the rights of others. Here, plaintiff alleged much more than defendants' mere failure to install a proper working alarm system and inspect it. Rather, plaintiff alleged that defendants had knowledge, for weeks, if not months, that the equipment they installed had been malfunctioning, yet failed to investigate the source of their equipment malfunction and failed to put anyone at the branch on notice of the potential security breach.

Subrogation — Waiver — Waiver-of-Subrogation Clause in Service Provider's Contract

2. A waiver-of-subrogation clause in the parties' contract, which provided that plaintiff "shall look solely to its insurer for recovery of its loss and hereby waives any and all claims for such loss against" defendant security services contractor, acted as a total defense to the claims asserted to recover for losses incurred during a burglary of plaintiff's bank branch, notwithstanding that plaintiff sufficiently alleged conduct on the part of the defendants that, if true, constituted gross negligence. In upholding the validity of a waiver-of-subrogation clause, a distinction must be drawn between contractual provisions which seek to exempt a party from liability and contractual provisions

which in effect simply require one of the parties to the contract to provide insurance for all of the parties.

Contracts — Contractual Limitation of Liability — Burglar Alarm Company — Gross Negligence

3. In an action arising out of a burglary of plaintiff bank's branch where plaintiff sufficiently alleged conduct on the part of defendant security service contractors that, if true, constituted gross negligence, and where the contract between the parties did not require the plaintiff to obtain insurance to cover losses stemming from defendant's gross negligence, a breach of contract cause of action against defendant was reinstated providing a basis for plaintiff's recovery for its own losses. The decision to obtain insurance, if any, was discretionary as to plaintiff, and the contract did not contain an express waiver by plaintiff to waive all rights for damages covered by insurance it may have obtained as against defendant. However, the complaint as pleaded failed to allege sufficient facts to confer standing on plaintiff to pursue the losses allegedly sustained by its safe deposit box customers.

Torts — Breach of Contract as Basis for Tort Action — Gross Negligence

4. In an action against defendant security services contractors to recover damages for losses incurred during a burglary of plaintiff bank's branch, the complaint did not allege conduct that would give rise to separate liability in tort. The allegations that a breach of contract occurred as a result of gross negligence did not give rise to a duty independent of the contractual relationship.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Contracts §§ 280, 283, 285, 286, 712; AM JUR 2d, Negligence §§ 227, 228; AM JUR 2d, Subrogation § 77.
NY JUR 2d, Contracts §§ 271, 438; NY JUR 2d, Contribution, Indemnity, and Subrogation § 186; NY JUR 2d, Negligence §§ 42, 43.
PROSSER AND KEETON, TORTS (5th ed) §§ 38, 92.
WILLISTON ON CONTRACTS (4th ed) §§ 19:34, 30:9.

ANNOTATION REFERENCE

Validity, construction, and application of exculpatory and limitation of liability clauses in burglary, fire, and other home and business monitoring service contracts. 36 ALR6th 305.

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Query: contract /s limit! /2 liability /p grossly /2 negligent

POINTS OF COUNSEL

Port & Sava, Garden City (*George S. Sava* of counsel), for appellant. I. Defendants-respondents' failure to perform their

contractual duties gives rise to a tort claim. (*Rich v New York Cent. & Hudson Riv. R.R. Co.*, 87 NY 382; *Meyers v Waverly Fabrics, Div. of Schumacher & Co.*, 65 NY2d 75; *North Shore Bottling Co. v Schmidt & Sons*, 22 NY2d 171; *Sommer v Federal Signal Corp.*, 79 NY2d 540; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *17 Vista Fee Assoc. v Teachers Ins. & Annuity Assn. of Am.*, 259 AD2d 75; *Moch Co. v Rensselaer Water Co.*, 247 NY 160; *Cox v Mason*, 89 App Div 219.) II. The improper installation and/or maintenance of the alarm system and/or inadequate response to an alarm event does constitute gross negligence. (*Food Pageant v Consolidated Edison Co.*, 54 NY2d 167; *Dalton v Hamilton Hotel Operating Co.*, 242 NY 481; *Weld v Postal Tel.-Cable Co.*, 210 NY 59; *Federal Ins. Co. v Automatic Burglar Alarm Corp.*, 208 AD2d 495; *Amica Mut. Ins. Co. v Hart Alarm Sys.*, 218 AD2d 835; *Cirillo v Slomin's Inc.*, 196 Misc 2d 922; *Arell's Fine Jewelers v Honeywell, Inc.*, 170 AD2d 1013; *LaBarre v Mitchell*, 256 AD2d 850.) III. The protection of a federal bank and the assets and property of its clients is in the public interest. (*Noble State Bank v Haskell*, 219 US 104; *Gause v Commonwealth Trust Co.*, 196 NY 134; *Matter of Morse*, 247 NY 290; *Rothschild v Manufacturers Trust Co.*, 279 NY 355; *Mount Vernon Trust Co. v Bergoff*, 272 NY 192; *Cole v Rome Sav. Bank*, 96 Misc 188; *Kissling v Skolkin*, 256 App Div 935; *Westchester Trust Co. v Harrison*, 249 App Div 828.) IV. Gross negligence is a question for the jury. (*Sommer v Federal Signal Corp.*, 79 NY2d 540; *Hartford Ins. Co. v Holmes Protection Group*, 250 AD2d 526; *Federal Ins. Co. v Honeywell, Inc.*, 243 AD2d 605; *Williamsburg Food Specialties v Kerman Protection Sys.*, 204 AD2d 718; *Food Pageant v Consolidated Edison Co.*, 54 NY2d 167; *Rand & Paseka Mfg. Co. v Holmes Protection*, 130 AD2d 429; *Midtown Distributions Corp. v Mutual Cent. Alarm Servs., Inc.*, 49 AD3d 346.) V. Defendants cannot shield themselves from the litigation if plaintiff was insured in the event of a burglary. (*Kalisch-Jarcho, Inc. v City of New York*, 58 NY2d 377; *Gross v Sweet*, 49 NY2d 102; *Sommer v Federal Signal Corp.*, 79 NY2d 540; *Dillon v Motorcycle Safety School, Inc.*, 59 AD3d 280; *American Motorist Ins. Co. v Morris Goldman Real Estate Corp.*, 277 F Supp 2d 304; *Travelers Indem. Co. of Conn. v Losco Group, Inc.*, 136 F Supp 2d 253; *Great Am. Ins. Co. of N.Y. v Simplexgrinnell LP*, 60 AD3d 456; *Travelers Indem. Co. v Zeff Design*, 60 AD3d 453; *Duane Reade v Reva Holding Corp.*, 30 AD3d 229; *Hanover Ins. Co. v D & W Cent. Sta. Alarm Co.*, 164 AD2d 112.) VI. Plaintiff-appellant's breach of contract claim is not contractually barred. (*Empire One Telecom., Inc. v Verizon*

N.Y., Inc., 26 Misc 3d 541; *Kalisch-Jarcho, Inc. v City of New York*, 58 NY2d 377.) VII. Plaintiff-appellant does not lack standing to recover the losses of its customers. (*Marine Bank v Fulton Bank*, 69 US 252; *Abrahamovitz v New York City Ry. Co.*, 54 Misc 539; *Green v Clarke*, 12 NY 343.) VIII. Plaintiff-appellant's pleadings are to be afforded liberal construction. (*Arrington v New York Times Co.*, 55 NY2d 433, 459 US 1146; *Dulberg v Mock*, 1 NY2d 54; *Ark Bryant Park Corp. v Bryant Park Restoration Corp.*, 285 AD2d 143; *511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144; *Cron v Hargro Fabrics*, 91 NY2d 362; *Leon v Martinez*, 84 NY2d 83; *Morone v Morone*, 50 NY2d 481; *Sotomayor v Kaufman, Malchman, Kirby & Squire*, 252 AD2d 554; *Fischbach & Moore v Howell Co.*, 240 AD2d 157; *Polonetsky v Better Homes Depot*, 97 NY2d 46.)

Shook, Hardy & Bacon L.L.P. (Charles C. Eblen, of the Missouri bar, admitted pro hac vice, of counsel) and *Calinoff & Katz, LLP*, New York City, for ADT Security Services, Inc., respondent. I. Abacus Federal Savings Bank has failed to state a tort claim because the parties' relationship is purely contractual and ADT Security Services, Inc. violated no duty existing independent of the duties established by the contract. (*Rich v New York Cent. & Hudson Riv. R.R. Co.*, 87 NY 382; *Eaves Brooks Costume Co. v Y.B.H. Realty Corp.*, 76 NY2d 220; *Sergeants Benevolent Assn. Annuity Fund v Renck*, 19 AD3d 107; *Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382; *Sommer v Federal Signal Corp.*, 79 NY2d 540; *North Shore Bottling Co. v Schmidt & Sons*, 22 NY2d 171; *Great Am. Ins. Co. of N.Y. v Simplexgrinnell LP*, 60 AD3d 456; *Burlew v American Mut. Ins. Co.*, 99 AD2d 11; *Spengler v ADT Sec. Servs., Inc.*, 505 F3d 456; *Nahra v Honeywell, Inc.*, 892 F Supp 962.) II. Abacus Federal Savings Bank has failed to state a claim for gross negligence against ADT Security Services, Inc. because its allegations amount to claims that ADT improperly installed, maintained and/or responded to the alarm system signal. (*Hartford Ins. Co. v Holmes Protection Group*, 250 AD2d 526; *Consumers Distrib. Co. v Baker Protective Servs.*, 202 AD2d 327, 84 NY2d 811; *Nathan Silberberg Galleries v Holmes Protection of N.Y.*, 84 NY2d 859; *Colnaghi, U.S.A. v Jewelers Protection Servs.*, 81 NY2d 821; *Master Craft Jewelry Co. v Holmes Protection of N.Y.*, 277 AD2d 56; *Metropolitan Prop. & Cas. Ins. Co. v Budd Morgan Cent. Sta. Alarm Co.*, 95 F Supp 2d 118; *Hanover Ins. Co. v D & W Cent. Sta. Alarm Co.*, 164 AD2d 112; *Amica Mut. Ins. Co. v Hart Alarm Sys.*, 218 AD2d 835; *Sanif, Inc. v Iannotti*, 119 AD2d 654; *Dubovsky & Sons v Honeywell, Inc.*, 89 AD2d 993.) III.

Under New York law, the contracts' provisions requiring commercial parties to forgo litigation or look solely to insurance are enforceable as a matter of law even against gross negligence. (*New England Mut. Life Ins. Co. v Caruso*, 73 NY2d 74; *Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685; *Leon's Bakery, Inc. v Grinnell Corp.*, 990 F2d 44; *Sommer v Federal Signal Corp.*, 79 NY2d 540; *Eaves Brooks Costume Co. v Y.B.H. Realty Corp.*, 76 NY2d 220; *Board of Educ., Union Free School Dist. No. 3, Town of Brookhaven v Valden Assoc.*, 46 NY2d 653; *Dillon v Motorcycle Safety School, Inc.*, 59 AD3d 280; *Great Am. Ins. Co. of N.Y. v Simplexgrinnell LP*, 60 AD3d 456; *Interested Underwriters at Lloyds v Ducor's, Inc.*, 103 AD2d 76, 65 NY2d 647; *Austro v Niagara Mohawk Power Corp.*, 66 NY2d 674.)

Lester Schwab Katz & Dwyer, LLP, New York City (*Dennis M. Rothman* of counsel), for Diebold, Incorporated, respondent. I. Abacus Federal Savings Bank may not assert a tort claim because it has failed to identify a breach of a legal duty independent of its contract with Diebold, Incorporated. (*Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382; *Yenrab, Inc. v 794 Linden Realty, LLC*, 68 AD3d 755; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *Sommer v Federal Signal Corp.*, 79 NY2d 540; *Noble State Bank v Haskell*, 219 US 104, 575; *Rothschild v Manufacturers Trust Co.*, 279 NY 355; *Matter of Morse*, 247 NY 290; *Gause v Commonwealth Trust Co.*, 196 NY 134; *Logan v Empire Blue Cross & Blue Shield*, 275 AD2d 187; *Trustees of Columbia Univ. in City of N.Y. v Gwathmey Siegel & Assoc. Architects*, 192 AD2d 151.) II. Abacus Federal Savings Bank's agreement to look only to its own insurance for any loss, waiving subrogation, bars its claim of gross negligence. (*Kalisch-Jarcho, Inc. v City of New York*, 58 NY2d 377; *Gross v Sweet*, 49 NY2d 102; *Board of Educ., Union Free School Dist. No. 3, Town of Brookhaven v Valden Assoc.*, 46 NY2d 653; *Austro v Niagara Mohawk Power Corp.*, 66 NY2d 674; *St. Paul Fire & Mar. Ins. Co. v Universal Bldrs. Supply*, 409 F3d 73; *Eaves Brooks Costume Co. v Y.B.H. Realty Corp.*, 76 NY2d 220; *Great Am. Ins. Co. of N.Y. v Simplexgrinnell LP*, 60 AD3d 456; *Gulf Ins. Co. v Quality Bldg. Contr., Inc.*, 58 AD3d 595; *State Farm Ins. Co. v J.P. Spano Constr., Inc.*, 55 AD3d 824; *Great N. Ins. Co. v Interior Constr. Corp.*, 7 NY3d 412.) III. Abacus Federal Savings Bank has not pleaded and cannot plead conduct by Diebold, Incorporated amounting to gross negligence. (*David Gutter Furs v Jewelers Protection Servs.*, 79 NY2d 1027; *Colnaghi, U.S.A. v Jewelers Protection Servs.*, 81 NY2d 821;

Sommer v Federal Signal Corp., 79 NY2d 540; *Matter of New York City Asbestos Litig.*, 89 NY2d 955; *Stuart Rudnick, Inc. v Jewelers Protection Servs.*, 194 AD2d 317; *Ninacci Diamond & Jewelry Co. v Miller Freeman, Inc.*, 281 AD2d 342; *Hartford Ins. Co. v Holmes Protection Group*, 250 AD2d 526; *Master Craft Jewelry Co. v Holmes Protection of N.Y.*, 277 AD2d 56, 96 NY2d 711; *Midtown Distribs. Corp. v Mutual Cent. Alarm Servs., Inc.*, 49 AD3d 346; *Federal Ins. Co. v Automatic Burglar Alarm Corp.*, 208 AD2d 495.) IV. Abacus Federal Savings Bank lacks standing to recover the losses of its safe deposit customers. (*Uribe v Merchants Bank of N.Y.*, 91 NY2d 336; *James McKinney & Son v Lake Placid 1980 Olympic Games*, 61 NY2d 836; *Sokoloff v Town Sports Intl.*, 6 AD3d 185.)

OPINION OF THE COURT

CIPARICK, J.

Plaintiff Abacus Federal Savings Bank (Abacus) commenced this action against defendants ADT Security Services, Inc. (ADT) and Diebold, Incorporated (Diebold) to recover damages under tort and contract theories for losses incurred during a burglary of the bank. We affirm the dismissal of the complaint with one exception. We conclude that Abacus has adequately stated a cause of action for breach of contract as against ADT for its alleged losses other than losses allegedly sustained by its safe deposit box customers.

Abacus is a federally chartered savings and loan association with a branch located in Lower Manhattan (the branch). It provides a variety of deposit services, including the leasing of safe deposit boxes to its customers. Following the close of business on Saturday, March 20, 2004, burglars forced their way into the branch through a back entrance door and a second interior door. According to security camera images taken during the course of the incident, the burglars located the vault inside and, during a several hour period, used large acetylene gas tanks as blow torches to break down one of the vault's concrete and metal walls. Once in the vault, the burglars gained access to a safe storing the branch's overnight cash and over 20 safe deposit boxes belonging to Abacus' customers. The amended complaint alleges that the burglars stole \$589,749.55 in cash from the safe and property valued at \$926,512 from the safe deposit boxes. The police were not notified during the course of the burglary. Rather, an Abacus employee discovered what had occurred when the branch opened for business on Monday morning, March 22, 2004.

Prior to the burglary, each defendant had separately contracted with Abacus to supply security services for the branch. Specifically, ADT's contract with Abacus obligated ADT to install and maintain a 24-hour industry-certified central station security system to protect the branch premises and the vault. Within the vault, ADT purported to utilize certain detectors that would identify intruder movement and the presence of smoke. ADT's security system was supposedly designed to transmit any alarm signals triggered in the vault to ADT's central monitoring system. Diebold's contract with Abacus required Diebold to provide a backup alarm system that included additional central station monitoring, another form of telephone line security and "signal monitoring," which would activate an alarm if ADT's alarm system failed to operate properly.

The gravamen of Abacus' amended complaint is that defendants violated their contractual obligations by installing woefully inadequate security systems, which they failed to inspect. Abacus further alleges that defendants knew for weeks, if not months, that the security systems in place were not working in that they were generating a series of flaws, malfunctions and false alarms. For example, in the three months preceding the burglary there were, according to an expert's affidavit Abacus submitted in opposition to defendants' motions, 17 phone line failures and a number of other occurrences that were "consistent with an intruder cutting the phone line" and "should have created an alarm event." Abacus asserts that not only did defendants fail to investigate these malfunctions, but they failed to notify anyone at the branch of the problem.

Both contracts contained clauses that exculpated defendants from liability for their own negligence and limited their liability, under all circumstances, to \$250. Diebold's contract contained a clause entitled "Property Insurance and Waiver of Subrogation" where Abacus agreed to obtain insurance coverage to cover its losses in the event of a theft. The agreement between Diebold and Abacus provided that Abacus "shall look solely to its insurer for recovery of its loss and hereby waives any and all claims for such loss against Diebold" and that Abacus' insurance policy would contain a clause providing that such waiver would not invalidate the coverage. There was no similar waiver-of-subrogation clause in the contract between Abacus and ADT. Instead, their contract merely provided "that insurance, if any, covering personal injury and property loss or damage" was Abacus' responsibility to obtain.

In addition to the losses incurred during the weekend of the burglary, Abacus seeks money damages for not less than \$5 million for lost business as a result of the burglary, not less than \$5 million for a loss of reputation in the community and not less than \$1 million in punitive damages. Abacus also seeks \$85,436 in costs to repair the vault and \$30,000 in added security costs it absorbed. Defendants moved to dismiss the complaint, 10 causes of action in all, in its entirety. Supreme Court denied defendants' motion to dismiss the breach of contract cause of action and the gross negligence cause of action, but dismissed the remainder of the amended complaint.

Addressing the breach of contract claim, Supreme Court observed that while New York courts regularly enforce contractual provisions absolving a party from acts of its own ordinary negligence, public policy prohibits waivers of liability for gross negligence. The court concluded that since the pleadings adequately alleged that defendants were grossly negligent in their failure to respond to the burglary, Abacus could proceed to discovery on the breach of contract cause of action. Supreme Court likewise denied the motion to dismiss the tort cause of action. It further opined that Abacus has standing to assert claims based upon losses suffered by its safe deposit box customers. Defendants appealed.*

The Appellate Division reversed the order of Supreme Court and granted defendants' motions to dismiss the amended complaint in its entirety (*see Abacus Fed. Sav. Bank v ADT Sec. Servs., Inc.*, 77 AD3d 431, 432 [1st Dept 2010]). In dismissing the breach of contract cause of action, the court held that the allegations in the amended complaint "amount to nothing more than claims of ordinary negligence as opposed to gross negligence" (*id.* at 433). The court similarly found no basis for tort liability in the complaint (*see id.*). Furthermore, the court concluded that, in any event, the waiver-of-subrogation provision contained in the contract between Abacus and Diebold serves as "a defense to all of plaintiff's claims" against Diebold (*id.* at 434). We granted Abacus leave to appeal (16 NY3d 712 [2011]) and now modify.

[1] As a general rule, parties are free to enter into contracts that absolve a party from its own negligence (*see Melodee Lane Lingerie Co. v American Dist. Tel. Co.*, 18 NY2d 57, 69 [1966])

* Abacus did not cross-appeal Supreme Court's decision to dismiss the remaining eight causes of action in the complaint.

or that limit liability to a nominal sum (see *Florence v Merchants Cent. Alarm Co.*, 51 NY2d 793, 795 [1980]). However, it is New York's public policy that a party cannot "insulate itself from damages caused by grossly negligent conduct" (*Sommer v Federal Signal Corp.*, 79 NY2d 540, 554 [1992]). Therefore, exculpatory clauses and liquidated damages clauses in contracts are not enforceable against allegations of gross negligence (see *id.*). We have observed that "[g]ross negligence, when invoked to pierce an agreed-upon limitation of liability in a commercial contract, must 'smack[] of intentional wrongdoing' " (*id.*, quoting *Kalisch-Jarcho, Inc. v City of New York*, 58 NY2d 377, 385 [1983]). "It is conduct that evinces a reckless indifference to the rights of others" (*id.*).

We applied this standard in *David Gutter Furs v Jewelers Protection Servs.* (79 NY2d 1027 [1992]). In that case, the "plaintiff, a fur dealer, contracted with [the] defendant to design, install and monitor a burglar alarm system" (*id.* at 1028). Several weeks after plaintiff occupied its premises, furs were stolen in a nighttime burglary, but the alarm did not sound. Plaintiff commenced an action against the defendant for breach of contract and further claimed that the exculpatory and limitation of liability clauses in their contract were unenforceable because the defendant was grossly negligent (see *id.* at 1028-1029). We concluded that the plaintiff's allegations—"that there should have been two motion detectors, instead of one, on each level; a shock sensor should have been installed; defendant should have ascertained how the inventory would be arranged; and a post-occupancy inspection should have been undertaken"—only amounted to ordinary negligence as there was no issue of fact that the "defendant performed its duties with reckless indifference to [the] plaintiff's rights" (*id.* at 1029).

Here, in contrast, we conclude that the allegations in the amended complaint sufficiently allege conduct on the part of the defendants that, if true, constitutes gross negligence. Indeed, unlike the plaintiff in *David Gutter Furs*, Abacus has alleged much more than mere failure to install a proper working alarm system and inspect it. Abacus alleges that both defendants had knowledge—for weeks, if not months—that the equipment had been malfunctioning. Moreover, Abacus asserts that defendants not only failed to investigate the source of their equipment malfunction, but they failed to put anyone at the branch on notice of the potential security breach. Of course, these allegations may not be proved, or may be shown by defendants' evidence to

be less significant than they seem; but on this record, plaintiffs have alleged the type of conduct that smacks of intentional wrongdoing and evinces a reckless indifference to the rights of others (*see Federal Ins. Co. v Automatic Burglar Alarm Corp.*, 208 AD2d 495, 496 [2d Dept 1994]).

[2] Nevertheless, Diebold argues that the waiver-of-subrogation clause in its contract with Abacus acts as a total defense to the claims asserted by Abacus in its complaint. We agree. In *Board of Educ., Union Free School Dist. No. 3, Town of Brookhaven v Valden Assoc.* (46 NY2d 653 [1979]), we upheld a similar waiver-of-subrogation clause. There, we observed that the contract between the plaintiffs and the defendants required the plaintiffs to obtain insurance to cover 100% of any losses incurred on the plaintiff's property (*see id.* at 656). Further, the plaintiffs expressly "waive[d] all rights" to seek damages as against the defendants covered by such insurance (*id.*). In upholding the validity of this contract, we recognized that "[a] distinction must be drawn between contractual provisions which seek to exempt a party from liability . . . and contractual provisions . . . which in effect simply require one of the parties to the contract to provide insurance for all of the parties" (*id.* at 657; *see also Austro v Niagara Mohawk Power Corp.*, 66 NY2d 674, 676 [1985]; *Great Am. Ins. Co. of N.Y. v Simplexgrinnell LP*, 60 AD3d 456, 456-457 [1st Dept 2009]). We discern no basis to depart from this rule here. Thus, we affirm the dismissal of the complaint as against Diebold.

[3] ADT's contract with Abacus does not contain a similar waiver-of-subrogation clause that would act as a total defense to Abacus' claim. We note that the contract between Abacus and ADT did not require Abacus to obtain insurance to cover losses stemming from ADT's gross negligence. The decision to obtain insurance, "if any," was discretionary as to Abacus. Moreover, the contract did not contain an express waiver by Abacus to waive all rights for damages covered by insurance it may have obtained as against ADT. Thus, we reinstate the breach of contract cause of action as against ADT. In so doing, we note that the complaint only adequately states a basis upon which Abacus can recover for its own losses. As pleaded, Abacus fails to allege sufficient facts to confer standing to pursue the losses allegedly sustained by its safe deposit box customers.

[4] Finally, we conclude that the complaint did not allege conduct that would give rise to separate liability in tort. Here, the allegations that a breach of contract occurred as a result of

gross negligence does not give rise to a duty independent of the contractual relationship (see *Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382, 389 [1987]; cf. *Sommer*, 79 NY2d at 551-553 [the plaintiff's breach of contract claim against the defendant fire alarm company may also sound in tort where the defendant's alleged failure to act with due care affected a significant public interest independent of its contractual obligations]).

Accordingly, the order of the Appellate Division should be modified, without costs, by reinstating so much of plaintiff's cause of action for breach of contract as against ADT Security Services, Inc. that does not assert claims on behalf of plaintiff's safe deposit box customers and, as so modified, affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH, FIGOTT and JONES concur.

Order modified, etc.

[967 NE2d 174, 943 NYS2d 796]

In the Matter of PAUL KOSOWSKI et al., Appellants, v DANIEL F.
DONOVAN, JR., et al., Respondents.

Argued March 21, 2012; decided March 27, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 17, 2011. The Appellate Division affirmed an order of the Supreme Court, Nassau County (Thomas A. Adams, J.; op 2011 NY Slip Op 33605[U] [2011]), which had (1) denied the petition, pursuant to Election Law § 2-104, to disqualify certain respondents as duly elected members of the County Committee of the Nassau County Conservative Party, and (2) dismissed the proceeding.

Matter of Kosowski v Donovan, 84 AD3d 1089, affirmed.

HEADNOTE

Elections — Judicial Proceedings — Timeliness — Challenge to Election of County Committee Officers

A proceeding challenging the validity of the election of respondents as officers of a political party's county committee was untimely under Election Law § 16-102 (2) because it was not commenced within 10 days after the organizational meeting during which the county committee elected respondent officers. The 10-day period in Election Law § 16-102 (2) is applicable not only to party meetings that select candidates for public office, but also to party meetings that select party officers. Since the statute undoubtedly provides for challenging people elected for "party position" (Election Law § 16-102 [1]), to interpret it to remain silent as to the statutory period would mean that a significantly longer one would apply. However, the 10-day period is sensible and consistent with the Legislature's avowed purpose when it amended Election Law § 16-102 (2) to include committee meetings, i.e., to compute the time within which to commence a legal proceeding to be measured not only from the holding of a primary election, caucus, or convention, but to include a meeting of a party committee.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Elections §§ 199, 393, 394.

CARMODY-WAIT 2d, Proceedings Under Election Laws
§§ 137:32, 137:33.

MCKINNEY's, Election Law § 16-102 (2).

NY JUR 2d, Elections §§ 811, 814.

ANNOTATION REFERENCE

See ALR Index under Elections and Voting.

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POINTS OF COUNSEL

Steven G. Legum, Mineola, for appellants. I. Since the County Committee of the Conservative Party of Nassau County did not have the minimum number of members required under the Election Law, the Court should hold that the Committee is not legally constituted, all actions taken by it are null and void, and the election of officers vacated. (*Mulholland v Carey*, 976 F Supp 166; *Matter of Moore v Pikul*, 64 Misc 2d 650.) II. Since the Appellate Division misinterpreted the plain and unambiguous language of Election Law § 16-102 (2), it erred in holding that the proceeding was not timely commenced. (*Matter of Stampf v Hill*, 218 AD2d 919; *Matter of Sayegh v Castaldo*, 287 AD2d 639; *Delanoy v Faction*, 287 AD2d 592; *Matter of Essenberg v Reape*, 272 AD2d 544; *Matter of Stabile v DeFronzo*, 231 AD2d 577; *Matter of Dee v State Tax Commn.*, 257 App Div 531, 282 NY 617; *Matter of American Can Co. v State Tax Commn.*, 13 AD2d 175, 11 NY2d 643.)

Bee Ready Fishbein Hatter & Donovan, LLP, Mineola (*Peter A. Bee* and *Stephen L. Martir* of counsel), for respondents. I. Petitioners-appellants' actions were untimely pursuant to Election Law § 16-102. (*Matter of Voyticky v Gore*, 134 AD2d 354; *Matter of Flynn v Olma*, 286 AD2d 568; *Matter of Thomas v Turco*, 43 AD3d 617.) II. Although not determined by the Appellate Division below, the County Committee of the Conservative Party of Nassau County had the minimum number of elected members required under the Election Law, and if the Court finds the proceeding timely, the Court should declare the Committee is legally constituted. (*Mulholland v Carey*, 976 F Supp 166.) III. Under either the Appellate Division, Second Department's interpretation or under the Appellate Division, Third Department's interpretation of Election Law § 16-102, petitioners-appellants' proceeding would be dismissed for being untimely, therefore the Appellate Division's ruling should be affirmed since this Court cannot issue an advisory opinion. (*People v Cahill*, 2 NY3d 14; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Matter of Stampf v Hill*, 218 AD2d 919.)

OPINION OF THE COURT

Per Curiam.

Petitioners, elected members of the Nassau County Committee of the Conservative Party (hereinafter County Committee),

attended a meeting held on September 24, 2010 at which the County Committee elected as officers respondents Daniel F. Donovan, Jr., Maryann T. Hughes, Christopher M. Mistrion, Marty Blessinger, John J. Fanning, Daniel J. Lang, Vincent A. Ciccolella, Kevin J. Crean and Michael Landman (collectively, respondent officers). Respondents Donovan and Mistrion filed a certificate of election with the State and Nassau County Boards of Elections, date-stamped as received by the Nassau County Board on September 28, 2010.

By order to show cause filed October 6 and served October 7, 2010, petitioners commenced this proceeding against respondent officers and others. The petition alleged that the County Committee, as constituted at the time of the meeting, had fewer members than required by Election Law § 2-104 and therefore “could not . . . undertake any lawful action or elect any officials.” Petitioners also alleged that some of the members were unqualified to serve on the County Committee. Respondent officers answered, raising as affirmative defenses that petitioners lacked standing and that the petition was untimely. Respondent Mistrion, in an opposing affidavit, also argued that the number of County Committee members required by law should be calculated based only on election districts in which Conservative Party voters were registered; and controverted petitioners’ allegation that certain members of the County Committee were not qualified to hold office.

Supreme Court entered an order on January 18, 2011, which denied the petition and dismissed the proceeding. Assuming arguendo that the proceeding was not time-barred, the court held that the County Committee had a sufficient number of members (2011 NY Slip Op 33605[U] [2011]). On May 17, 2011, the Appellate Division affirmed on the ground that the proceeding was untimely because it was commenced after the expiration of the 10-day limitations period in Election Law § 16-102 (2) (84 AD3d 1089 [2d Dept 2011]). We granted petitioners leave to appeal (17 NY3d 714 [2011]), and now affirm.

We have stated that a petition challenging “the validity” of a county committee must be commenced “within 10 days after the . . . organizational meeting of the Committee, at the latest” (*Sack v Board of Elections of City of N.Y.*, 65 NY2d 958, 959 [1985], citing Election Law § 16-102 [2]; see also *Matter of Flynn v Olma*, 286 AD2d 568, 568 [4th Dept 2001], *lv denied* 96 NY2d 718 [2001]; *Matter of Valin v Adamczyk*, 286 AD2d 566 [4th

Dept 2001], *lv denied* 96 NY2d 718 [2001]; *Matter of Stabile v DeFronzo*, 231 AD2d 577, 577 [2d Dept 1996]). While a case can be made that the 10-day period should apply to party meetings that select candidates for public office, and not to meetings that only select party officers (*see Town of Islip Town Comm. of Conservative Party of N.Y. State v Leo*, 71 AD2d 624, 625 [2d Dept 1979] [“Section 16-102 of the Election Law imposes a short limitation of 10 days in order to meet the exigencies of preparing ballots and conducting elections for public office”]), we do not adopt that view. The statute undoubtedly provides for challenging people elected for “party position” (Election Law § 16-102 [1]), and to interpret it to remain silent as to the statutory period would mean that a significantly longer one would apply (e.g., petitioners suggest the four-month period for CPLR article 78 proceedings [CPLR 217]). The 10-day period is sensible and consistent with the Legislature’s avowed purpose when it amended section 16-102 (2) in 1986 to include committee meetings—i.e., “to compute the time within which to commence a legal proceeding to be measured not only from the holding of a primary election, caucus, or convention, but to include . . . a meeting of a party committee” (Mem in Support, Bill Jacket, L 1986, ch 710, at 5).

In light of our disposition of this appeal, we need not and do not express any opinion as to whether, under Election Law § 2-104, only election districts in which registered voters of a political party reside should be counted toward the total number of required committee members for that party.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur in per curiam opinion.

Order affirmed, without costs.

[967 NE2d 179, 943 NYS2d 801]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAMES
EXTALE, Appellant.

Argued February 7, 2012; decided March 27, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 12, 2010. The Appellate Division affirmed a judgment of the Monroe County Court (Richard A. Keenan, J.), which had convicted defendant, upon a jury verdict, of assault in the second degree.

People v Extale, 78 AD3d 1519, reversed.

HEADNOTES

Crimes — Indictment — Dismissal of Count Over Defendant's Objection — Abolition of Nolle Prosequi

1. A prosecutor does not have the unilateral power to dismiss a count of a grand jury indictment over a defendant's objection; whether such a count should be dismissed at the prosecutor's request is an issue to be decided by the court in its discretion. Thus, where, following the indictment and conviction of defendant for first degree assault and first degree vehicular assault, a new trial was ordered, the court erred at the new trial in allowing the prosecutor to withdraw the first degree vehicular assault charge, determining that the prosecutor had that authority. At early common law the power to dismiss a count of an indictment was the prosecutor's alone, by nolle prosequi. However, nolle prosequi was abolished in 1881 and the power to dismiss was transferred from the prosecutor to the judge. Although the provision of the Code of Criminal Procedure specifically abolishing nolle prosequi was not carried forward into the Criminal Procedure Law, the omission in the new statute did not restore to prosecutors their former unilateral authority. Rather, the omission was more likely to mean that the Legislature thought it unnecessary to say in 1970 that the nolle prosequi power was "abolished" when it had been nonexistent for 89 years. Accordingly, the prosecutor could not, at her own discretion, choose not to proceed with the first degree vehicular assault count of the indictment since the issue was one for the trial court's discretion.

Crimes — Trial — Retrial — Improperly Dismissed Charge

2. In reversing a conviction for second degree assault due to trial court error in permitting the prosecution to unilaterally withdraw a charge against defendant, a new trial was ordered notwithstanding that defendant had already served the term of imprisonment to which he was sentenced. Although dismissal rather than a new trial has been sometimes ordered in cases involving relatively minor crimes, the People should not be barred from trying again to obtain a conviction since the crimes charged, first degree assault and first degree vehicular assault, were serious.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 208, 755–757; AM JUR 2d, Grand Jury § 45; AM JUR 2d, Indictments and Informations § 166.
CARMODY-WAIT 2d, Commencing the Prosecution; Grand Jury §§ 178:54, 178:67; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:169, 207:222, 207:233, 207:235.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 13.3, 19.5, 27.5.
NY JUR 2d, Criminal Law: Procedure §§ 1278, 1293, 3647, 3650, 3657.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Indictments and Informations; New Trial; Nolle Prosequi; Prosecuting Attorneys.

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POINTS OF COUNSEL

Muldoon & Getz, Rochester (*Jon P. Getz* of counsel), for appellant. I. Defendant's right to a trial by indictment as voted by the grand jury is guaranteed by the New York Constitution, article I, § 6. (*Matter of Simonson v Cahn*, 27 NY2d 1; *People v Boston*, 75 NY2d 585; *People v Perez*, 83 NY2d 269; *People v Lancaster*, 69 NY2d 20; *People v Ercole*, 308 NY 425; *People v Van Every*, 222 NY 74; *Ex parte Bain*, 121 US 1; *People v Grega*, 72 NY2d 489; *People v Kuehn*, 5 AD2d 516; *People v Banville*, 134 AD2d 116.) II. Because of the first order of the Appellate Division, charging assault in the second degree in the second trial as a lesser-included offense of assault in the first degree violated CPL 40.20, the Fifth and Fourteenth Amendments of the United States Constitution and article I, § 6 of the New York Constitution. (*People v Gause*, 81 AD3d 1293; *J-Mar Serv. Ctr., Inc. v Mahoney, Connor & Hussey*, 45 AD3d 809; *People v Rodriguez*, 30 AD3d 691; *Benton v Maryland*, 395 US 784; *People v Gravesandy*, 221 AD2d 465; *People v Williams*, 133 AD2d 717; *People v Maldonado*, 123 AD2d 788; *People v Skinner*, 57 AD2d 785.) III. The proper remedy is reversal and dismissal of the assault in the second degree conviction. (*People v Maharaj*, 89

NY2d 997; *People v Flynn*, 79 NY2d 879; *People v Scala*, 26 NY2d 753; *People v Watkins*, 233 AD2d 904; *People v Gibson*, 54 AD3d 350; *People v Burwell*, 53 NY2d 849.)

Michael C. Green, District Attorney, Rochester (*Geoffrey Kaeuper* of counsel), for respondent. I. Defendant's right to a trial by grand jury indictment was not violated. (*People v Lancaster*, 69 NY2d 20; *People v Franco*, 86 NY2d 493; *People v Iannone*, 45 NY2d 589; *People v Wilkins*, 68 NY2d 269; *People v Cade*, 74 NY2d 410; *People v Leon*, 7 NY3d 109.) II. The District Attorney had the authority to withdraw one count of the indictment and proceed to trial on the remaining charges. (*People v Di Falco*, 44 NY2d 482; *People v Baker*, 14 NY3d 266; *Matter of Suarez v Byrne*, 10 NY3d 523; *People v Fraser*, 96 NY2d 318; *People v Leon*, 7 NY3d 109; *People v Zimmer*, 51 NY2d 390; *People v Urbaez*, 10 NY3d 773; *People ex rel. Gardenier v Board of Supervisors of County of Columbia*, 134 NY 1; *People v Feingold*, 7 NY3d 288; *People v Grega*, 72 NY2d 489.) III. The court properly submitted assault in the second degree to the jury at defendant's second trial. (*People v Charles*, 78 NY2d 1044.) IV. Defendant has not claimed any error for which the remedy is dismissal of the indictment. (*People v Leon*, 7 NY3d 109.)

Janet DiFiore, District Attorney, White Plains (*Patrick J. Hynes* and *David P. Stromes* of counsel), for District Attorneys Association of the State of New York, amicus curiae. District attorneys enjoy broad discretion in determining which crimes to prosecute and, absent any limitation in the Criminal Procedure Law, may elect, prior to the commencement of trial, to withdraw charges returned against a defendant by a grand jury. (*People v Urbaez*, 10 NY3d 773; *People v Di Falco*, 44 NY2d 482; *Costello v United States*, 350 US 359; *Fields v Soloff*, 920 F2d 1114; *People v Valles*, 62 NY2d 36; *United States v Sells Engineering, Inc.*, 463 US 418; *United States v Cox*, 342 F2d 167; *People v Douglass*, 60 NY2d 194; *United States v Cadarr*, 197 US 475; *Confiscation Cases*, 74 US 454.)

OPINION OF THE COURT

SMITH, J.

We hold that a prosecutor does not have the unilateral power to dismiss a count of a grand jury indictment over a defendant's objection. Whether such a count should be dismissed at the prosecutor's request is an issue to be decided by the court in its discretion.

I

In 2004, defendant drove his pickup truck into a police officer, injuring her seriously. A grand jury indicted him for several crimes, including first degree assault (intentionally causing serious physical injury by means of a dangerous instrument [Penal Law § 120.10 (1)]) and first degree vehicular assault (with criminal negligence, causing serious physical injury while driving while intoxicated, in the presence of certain aggravating factors [Penal Law § 120.04 (1), (2) (b); *see* former Penal Law § 120.03 (1)]). Defendant was convicted of these and other charges, but the Appellate Division ordered a new trial on the first degree assault and first degree vehicular assault counts, holding that they required inconsistent mental states and should have been submitted to the jury in the alternative (*People v Extale*, 42 AD3d 897 [4th Dept 2007]).

At the second trial, before jury selection, the prosecutor announced to the judge: “the People do intend to withdraw the second count of the indictment and proceed solely on the Assault in the First Degree count.” Defense counsel objected, and the prosecutor replied tersely: “I believe the People can choose what charges to go forward on, and we’re doing so.” The court agreed with the prosecutor, saying: “I believe you have the authority, if you wish, to withdraw the second count of the indictment,” and the trial proceeded on one count only.

Defendant was convicted of second degree assault (Penal Law § 120.05 [4] [recklessly causing serious physical injury by means of a dangerous instrument]) as a lesser included offense of first degree assault. The Appellate Division affirmed, rejecting defendant’s argument “that County Court erred in allowing the prosecutor to withdraw the count charging him with vehicular assault in the first degree” (*People v Extale*, 78 AD3d 1519, 1520 [4th Dept 2010]). A Judge of this Court granted leave to appeal (16 NY3d 830 [2011]), and we now reverse and order a new trial.

II

Usually, of course, a defendant is happy to have a charge against him dismissed, and it is the People who oppose dismissal. But a role reversal can occur when a defendant, not optimistic about the likelihood of acquittal, wants the jury to have a chance to compromise or exercise mercy by convicting him of a lesser crime (*see People v Leon*, 7 NY3d 109, 113-114 [2006]).

This line of thinking often leads defendants to request submission of a lesser included offense, in addition to the offense charged in the indictment, and the defendant is entitled to have such an offense submitted “if there is a reasonable view of the evidence which would support a finding that the defendant committed such lesser offense but did not commit the greater” (CPL 300.50 [1]; *see* CPL 300.50 [2]).

[1] Here, the crime that defendant wanted the jury to consider, and the People did not, was not a lesser included offense, but one of the offenses for which defendant was indicted. The People argue that they have discretion to withdraw such a count. We disagree: the discretion is the trial court’s, not the People’s.

There was a time—almost two centuries ago—when the power to dismiss a count of an indictment was the prosecutor’s, and the prosecutor’s alone. At “early common law” dismissal was by *nolle prosequi*, which only a prosecutor, not a court, could enter (*People v Douglass*, 60 NY2d 194, 201-202 [1983]). In 1828, however, the prosecutor’s power was limited by a statute requiring court approval (2 Revised Statutes of New York, part IV, ch II, tit IV, § 54, at 728 [1st ed 1829]), and in 1881 the *nolle prosequi* was abolished and the power to dismiss transferred from the prosecutor to the judge. The 1881 Legislature adopted the Code of Criminal Procedure, which included the following sections:

“§ 671. Court may order indictment to be dismissed.

“The court may, either of its own motion, or upon the application of the district attorney, and in furtherance of justice, order an action, after indictment, to be dismissed. . . .

“§ 672. *Nolle prosequi* abolished; no indictment to be dismissed or abandoned except according to this chapter.

“The entry of a *nolle prosequi* is abolished; and neither the attorney-general, nor the district attorney, can discontinue or abandon a prosecution for a crime, except as provided in the last section” (Code of Criminal Procedure §§ 671, 672).

These two sections remained in force until the Criminal Procedure Law replaced the Code of Criminal Procedure in 1970. At that time, the substance of section 671 was incorporated in

what is now CPL 210.40 (3), which says: “An order dismissing an indictment in the interest of justice may be issued upon motion of the people or of the court itself as well as upon that of the defendant. Upon issuing such an order, the court must set forth its reasons therefor upon the record.”

Section 672 of the Code of Criminal Procedure, abolishing the *nolle prosequi*, was not carried forward into the Criminal Procedure Law. The People, and the amicus supporting them, suggest that this omission was a repeal of the abolition, and thus brought the *nolle prosequi* back into existence. We find the suggestion unpersuasive. Nothing in the text or legislative history of the Criminal Procedure Law expresses any intention to restore to prosecutors the unilateral right to refuse to proceed on a count of a grand jury indictment. The omission in the new statute of any counterpart to the old section 672 is more likely to mean simply that the Legislature thought it unnecessary to say in 1970 that the *nolle prosequi* power was “abolished,” when that power had been nonexistent for 89 years.

The *nolle prosequi* power still does not exist, and therefore County Court erred here in believing that the prosecutor could, at her own discretion, choose not to proceed with the first degree vehicular assault count of the indictment. That does not mean that the count *had* to be submitted to the jury if defendant wanted it to be, but the issue was one for the trial court’s discretion, not the prosecutor’s. The People could have moved for dismissal in the interest of justice under CPL 210.40 (3), or the court could have exercised its discretion under CPL 300.40 (6) (a) to withdraw a count from the jury when “[t]he people consent that it not be submitted” (see *Leon*, 7 NY3d at 112-113). And it may be that the court has inherent power to dismiss a count with the consent of the People even in situations to which neither CPL 210.40 (3) nor 300.40 (6) (a) applies; that is an issue not before us, on which we express no opinion. Nor need we address a situation in which the prosecutor wants to dismiss a count of an accusatory instrument that did not originate with a grand jury (see CPL 100.10; cf. *People v Urbaz*, 10 NY3d 773 [2008]). We hold only that in a case like this the prosecutor is not empowered to dismiss a count without court approval.

Of course it is possible that, if County Court had understood itself to have discretion in this case, it would have exercised that discretion in the prosecutor’s favor and dismissed the first degree vehicular assault count. We cannot know that, however:

the trial judge made quite clear that he was deferring to the prosecutor's choice, not making a choice of his own. Nor can we be sure that the dismissal of the vehicular assault count did not affect the jury's verdict. We have recognized that, "as a practical matter," the opportunity to convict a defendant of a less serious charge "may affect a jury's deliberations" (*People v Boettcher*, 69 NY2d 174, 180 [1987]). Here, the jury might have chosen to convict defendant on the withdrawn count, first degree vehicular assault, rather than the second degree assault charge on which it did convict him. If it had made that choice, that would have benefitted defendant, because, while both these crimes are class D felonies, second degree assault is defined as a violent felony while first degree vehicular assault is not (see Penal Law § 70.02 [c]). Defendant is therefore entitled to have his conviction set aside.

[2] Defendant suggests that, since he has already served the term of imprisonment to which he was sentenced, a new trial would serve no purpose and the indictment should be dismissed. We reject the suggestion. While we have sometimes ordered dismissal rather than a new trial in cases involving "relatively minor crimes" (*People v Burwell*, 53 NY2d 849, 851 [1981]), this is not such a case. The crimes charged here are serious, and the People should not be barred from trying again to obtain a conviction, if they think that effort is justified.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order reversed, etc.

[967 NE2d 176, 943 NYS2d 798]

In the Matter of PETER E. BISSELL, Appellant, v TOWN OF AMHERST et al., Respondents.

Argued February 8, 2012; decided March 27, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 30, 2010. The Appellate Division modified, on the law, a judgment of the Supreme Court, Erie County (Paula L. Feroletto, J.), which had granted petitioner's application to extinguish the lien asserted by respondent New York State Insurance Fund against the proceeds that petitioner obtained in a third-party action, and awarded petitioner the sum of \$1,399,734.80 from respondent New York State Insurance Fund as its equitable share of the cost of future benefits it has received. The modification consisted of denying those parts of the petition seeking to extinguish respondent New York State Insurance Fund's lien and seeking to recover from that respondent its share of litigation costs related to future medical payments. The Appellate Division affirmed the judgment as modified and remitted the matter to Supreme Court, Erie County, for recalculation of respondent New York State Insurance Fund's share of litigation costs.

Matter of Bissell v Town of Amherst, 79 AD3d 1638, affirmed.

HEADNOTE

Workers' Compensation — Third-Party Action — Apportionment of Litigation Costs — Future Medical Expenses

Future medical benefits that a workers' compensation carrier has been relieved of paying due to a claimant's successful prosecution of a third-party action are speculative, notwithstanding a jury award for future medical expenses in that action, and the carrier need only pay its equitable share of attorneys' fees and costs incurred by a claimant once the claimant incurs and pays each medical expense. A jury verdict for future medical expenses is not the proper barometer by which to measure the carrier's equitable share of litigation costs incurred by a claimant in obtaining the future medical expenses award in the third-party action. Future medical expenses, when considered in light of the benefit to the carrier, cannot reliably be calculated, because it is impossible to predict the future medical care the claimant will need, when the expenses from such care will accrue and how much it will cost when they do. While a claimant is not entitled to an immediate apportionment of the litigation costs incurred in obtaining the future medical expenses award, that does not relieve the carrier of paying its equitable share of the benefit. The trial court has the discretion to fashion a means of apportioning litigation costs as

they accrue and monitoring how the carrier's payments to the claimant are made, thereby ensuring that the carrier's equitable share of litigation costs is based on concrete, realized benefit, while concomitantly ensuring that the claimant will not wait indefinitely for the carrier's payment of its share.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Workers' Compensation §§ 371, 445, 661.

NY JUR 2d, Workers' Compensation §§ 135-139.

ANNOTATION REFERENCE

See ALR Index under Costs of Actions; Workers' Compensation.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: worker /2 compensation /p carrier /6 litigation /4 cost

POINTS OF COUNSEL

Maxwell Murphy, LLC, Buffalo (*Alan D. Voos* of counsel), for appellant. I. Workers' Compensation Law § 29 (1) was amended in 1975 to provide for precisely the relief obtained by Mr. Bissell in this case. (*Matter of Kelly v State Ins. Fund*, 60 NY2d 131; *Matter of Merchant v Pinkerton's Inc.*, 50 NY2d 492; *O'Connor v Lee Hy Paving Corp.*, 480 F Supp 716.) II. The future medical benefits which the New York State Insurance Fund has been relieved of paying are in no way speculative. (*Matter of Stenson v New York State Dept. of Transp.*, 84 AD3d 22; *Matter of Kelly v State Ins. Fund*, 60 NY2d 131; *Burns v Varriale*, 34 AD3d 59, 9 NY3d 207; *Wood v Firestone Tire & Rubber Co.*, 123 Misc 2d 812; *Cox v Belmont Iron Works*, 104 Misc 2d 801; *Steitz v Gifford*, 280 NY 15; *Matter of McKee v Sithe Independence Power Partners*, 281 AD2d 891; *Matter of Briggs v Kansas City Fire & Mar. Ins. Co.*, 121 AD2d 810; *Becker v Huss Co.*, 43 NY2d 527; *Miszko v Gress*, 4 AD3d 575.) III. Mr. Bissell is entitled to immediate reimbursement of the equitable portion of the carrier's future benefit that he has already paid. (*Smith v Spinoccia*, 119 AD2d 660.) IV. Alternatively, this Court should remit this matter to Supreme Court for recalculation of the Fund's future benefit based upon proof of its claimed actual future medical benefit.

New York State Insurance Fund, New York City (*Hal Friedman* and *Gregory P. Allen* of counsel), for New York State Insurance

Fund, respondent. I. The holding by the Appellate Division, Fourth Department, in *Matter of Bissell v Town of Amherst* (79 AD3d 1638 [2010]) is consistent with precedent set by this Court on the issue of equitable apportionment of litigation costs of third-party actions. (*Matter of Granger v Urda*, 44 NY2d 91; *Matter of Kelly v State Ins. Fund*, 60 NY2d 131; *Matter of Briggs v Kansas City Fire & Mar. Ins. Co.*, 121 AD2d 810; *Matter of McKee v Sithe Independence Power Partners*, 281 AD2d 891; *Burns v Varriale*, 9 NY3d 207.) II. The jury verdict for future medical costs is not the proper measure of the benefit of New York State Insurance Fund's offset against paying these costs. (*Matter of Kelly v State Ins. Fund*, 60 NY2d 131.) III. New York State Insurance Fund's benefit of being relieved of paying Peter Bissell's future medical expenses is speculative and cannot be reduced to present value for purposes of calculating its additional contribution to litigation costs. (*Matter of McKee v Sithe Independence Power Partners*, 281 AD2d 891; *Matter of Kelly v State Ins. Fund*, 60 NY2d 131; *Burns v Varriale*, 9 NY3d 207.) IV. New York State Insurance Fund has no obligation to prove the value of future medical costs. V. New York State Insurance Fund does not have to make its contribution for the benefit of its offset in full because it realizes this benefit over time.

OPINION OF THE COURT

PIGOTT, J.

In *Matter of Kelly v State Ins. Fund*, we held that when a workers' compensation claimant recovers damages in a third-party action, "the compensation carrier's equitable share of litigation costs incurred by the claimant may be apportioned on the basis of the total benefit that the carrier derives from the claimant's recovery" (60 NY2d 131, 135 [1983]). The carrier's "total benefit" is the recoupment of its lien (the sum of past benefits paid the claimant) and relief from future obligations to make benefit payments to the claimant (*id.*). Where a carrier's future benefit "cannot be quantified or reliably predicted," i.e., the future benefit is speculative, it is improper for a court to apportion litigation costs based on that benefit (*Burns v Varriale*, 9 NY3d 207, 215 [2007]).

On this appeal, we are asked to determine whether the future medical benefits that a compensation carrier has been relieved of paying due to a claimant's successful prosecution of a third-party action are "so speculative that it would be improper to estimate and to assess litigation costs against [that] benefit to

the carrier” (*Matter of Kelly*, 60 NY2d at 139). We conclude that they are, and hold that the carrier need only pay its equitable share of attorneys’ fees and costs incurred by a claimant once the claimant incurs and pays each medical expense.

I

Peter Bissell sustained injuries in a work-related accident that rendered him a paraplegic. The Workers’ Compensation Board concluded that Bissell sustained a permanent total disability and ordered the New York State Insurance Fund (the Fund), the compensation carrier for Bissell’s employer, to pay Bissell \$400 a month for the duration of his life. Pursuant to Workers’ Compensation Law § 29 (1), Bissell commenced a third-party action against the Town of Amherst. As relevant here, the jury awarded Bissell \$4,650,000 in damages over 32.7 years to cover future medical expenses.* The trial court reduced that award to its present value of \$4,259,536.

The Fund asserted a lien against Bissell’s judgment in the amount of \$219,760, representing \$154,880 in past workers’ compensation benefits and \$64,880 for past medical expenses. It acknowledged its *Kelly* obligation to contribute towards attorneys’ fees relative to the present value of the lost wages compensation benefit given Bissell’s permanent total disability designation; however, the Fund refused Bissell’s request that it pay that share of attorneys’ fees relative to the recovery of the future medical expenses awarded him, offering to pay its share of the cost when Bissell actually incurred each medical expense.

Bissell commenced a proceeding pursuant to section 29 (1) of the Workers’ Compensation Law to extinguish the Fund’s \$219,760 lien against the third-party recovery and demanded \$1,399,734 in “fresh money” representing, in part, the Fund’s equitable share of the cost of recovery of the \$4,259,536 in future medical expenses that the Fund had been relieved of expending for Bissell’s future medical care. The Fund countered that it was not bound by a jury’s future medical expenses award, and that because it was impossible to reasonably ascertain the “total benefit” the Fund received by virtue of that award, it would reimburse Bissell the agreed-upon 33.5% reimbursement of those expenses only when Bissell actually incurred them.

* The jury returned a verdict of \$30 million against the Town, but the Appellate Division reduced that amount to \$23.4 million, finding that certain of the awards were excessive. It did not alter the jury’s award for future medical expenses, holding that the jury’s verdict in that respect was supported by the trial evidence (56 AD3d 1144, 1148 [4th Dept 2008]).

Supreme Court entered a judgment granting Bissell's petition in its entirety. The Appellate Division "modif[ied] the judgment by denying those parts of the petition seeking to extinguish [the Fund's] lien and seeking to recover from [the Fund] its share of litigation costs insofar as the benefit received by [the Fund] with respect to forgone future medical payments is included in the calculation of its share of litigation costs," and remitted the proceeding to Supreme Court for a recalculation of the Fund's share of litigation costs (79 AD3d 1638, 1641 [4th Dept 2010]). This Court granted leave to appeal and we now affirm.

II

There is no question that the Fund received a benefit from the third-party action, i.e., it will be relieved of paying a substantial sum of Bissell's future medical expenses and lost wages (*see* Workers' Compensation Law § 29 [4] [setting forth the carrier's right to credit the claimant's recovery in the third-party action against its obligation to pay additional workers' compensation indemnity and/or medical benefits]). As a result, the Fund must pay its equitable share of the litigation costs expended in obtaining that recovery (*see* Workers' Compensation Law § 29 [1]). At issue, however, is whether the Fund is bound by the jury's future medical expenses award, such that the Fund's 33.5% share of litigation costs can be "quantified or reliably predicted" and, therefore, should be included as part of the *Kelly* calculation. We conclude that the jury verdict for future medical expenses is not the proper barometer by which the Fund's share of litigation costs may be measured.

Relying on our holdings in *Burns* and *Kelly*, Bissell contends that the amount of future medical expenses—having been decided by a jury and upheld by the Appellate Division as being supported by the trial evidence—cannot be deemed speculative since the benefit to the Fund can be "quantified by actuarial or other reliable means" (*Burns*, 9 NY3d at 215; *Matter of Kelly*, 60 NY2d at 139). Therefore, according to Bissell, the present value of the future medical expenses should be included as part of the *Kelly* calculation, entitling him to an immediate payment of the attorneys' fees expended in obtaining that portion of the award. We disagree.

We held in *Burns* that "if a claimant does not receive benefits for death, total disability or schedule loss of use, the carrier's future benefit cannot be quantified by actuarial or other reliable means" (*Burns*, 9 NY3d at 215 [emphasis omitted], citing

Matter of McKee v Sithe Independence Power Partners, 281 AD2d 891 [4th Dept 2001] and *Matter of Briggs v Kansas City Fire & Mar. Ins. Co.*, 121 AD2d 810, 812 [3d Dept 1986]). Similarly, future medical expenses—when considered in light of the benefit to the carrier, which is the focus of the *Kelly* analysis—cannot reliably be calculated in a manner similar to any of the three aforementioned classifications because it is impossible to reliably predict the future medical care the claimant will need, when the expenses from such care will accrue and how much it will cost when they do. While some of those items may reasonably be ascertained by a jury in a third-party action, there is a distinction between a nonspeculative future medical expenses award made by a jury and the *benefit* that the carrier receives under the Workers' Compensation Law as a by-product of that award.

In a third-party action, the injured employee will have only one opportunity to obtain a recovery for future medical expenses, and the jury assessing the medical evidence will have the chance to make but one award for such expenses, if any. By contrast, in the workers' compensation context it is possible to wait and see what happens, and to require the carrier to pay its share of litigation costs when that share can be accurately calculated—i.e., when the actual medical expenses that the carrier has been relieved from paying are known. Moreover, whether the claimant is entitled to medical treatment pursuant to the Workers' Compensation Law is a determination that must be made by the Workers' Compensation Board, and such determination is not dependent upon the jury's verdict in the third-party action.

Although the claimant cannot include future medical expenses as part of the *Kelly* calculation, that does not mean that the carrier is relieved of paying its equitable share of the benefit. The trial court has the discretion to “fashion a means of apportioning litigation costs as they accrue and monitoring (e.g., by court order or stipulation of the parties) how the carrier's payments to the claimant are made,” thereby ensuring that the carrier's equitable share of litigation costs is based on concrete, realized benefit, while concomitantly ensuring that the claimant will not wait indefinitely for the carrier's payment of its share (*Burns*, 9 NY3d at 217).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ,
SMITH and JONES concur.

Order affirmed, with costs.

[967 NE2d 656, 944 NYS2d 433]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JEFFERY
H. MILLER, Respondent.

Argued February 16, 2012; decided March 22, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered May 7, 2010. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Monroe County (Thomas M. Van Strydonck, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree, assault in the second degree, criminal possession of a weapon in the second degree, and criminal possession of a weapon in the third degree; and (2) granted a new trial on counts one, five, six and seven of the indictment.

People v Miller, 73 AD3d 1435, affirmed.

HEADNOTES

Crimes — Instructions — Verdict Sheet — Instruction Regarding Burden of Proof

1. In the prosecution of defendant for second-degree murder and related crimes, it was reversible error for the trial court to submit a verdict sheet to the jury that stated “Has the Defendant established by a *preponderance of the evidence* that he acted under Extreme Emotional Disturbance?,” as the instruction regarding defendant’s burden of proof on the affirmative defense of extreme emotional disturbance was not authorized by CPL 310.20 (2). Although CPL 310.20 (2), as amended in 1996, permits a verdict sheet to include “the dates, names of complainants or specific statutory language . . . by which the counts may be distinguished,” the court here added not “statutory language . . . by which the counts may be distinguished,” but an instruction on burden of proof. That instruction was not permitted by CPL 310.20 (2). Nor did the 1996 amendment to the statute permit the use of harmless error analysis where, as here, a verdict sheet contains annotations not authorized by the statute.

Crimes — Instructions — Verdict Sheet — Reversible Error

2. The holding of *People v Spivey* (81 NY2d 356, 361-362 [1993]) and *People v Damiano* (87 NY2d 477 [1996]), that it is reversible error, not subject to harmless error analysis, to provide a jury in a criminal case with a verdict sheet that contains annotations not authorized by CPL 310.20 (2), remains unchanged notwithstanding the 1996 amendment to the statute expanding what is permitted in the verdict sheet and the Governor’s memorandum approving that amendment which stated that “any erroneous verdict sheet notations will be subject to harmless error analysis.” Legislative history cannot supply something that is just not in the statute and the 1996 amendments left intact the holding of *Damiano* that harmless error analysis cannot be applied

where a verdict sheet exceeds the limitations that CPL 310.20 (2) imposes. Although the relevant legislative history indicates that harmless error analysis would apply to notations on verdict sheets beyond what was permitted by the newly amended statute, there is no language to that effect in the statute. Had the Legislature intended harmless error analysis to be applied, it had only to say so.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Trial §§ 1446, 1599.

CARMODY-WAIT 2d, Charge and Instruction to Jury § 200:62; CARMODY-WAIT 2d, Jury Conduct and Deliberation § 201:11; CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:117.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.9, 24.10, 27.5, 27.6.

McKINNEY's, CPL 310.20 (2).

NY JUR 2d, Criminal Law: Procedure §§ 2820, 2821.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Criminal Procedure Rules; Harmless and Prejudicial Error; Verdicts.

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Database: NY-ORCS

Query: verdict /2 sheet & burden /3 proof & preponderance /s defendant & harmless

POINTS OF COUNSEL

Michael C. Green, District Attorney, Rochester (Geoffrey Kaeuper of counsel), for appellant. I. The notations on the verdict sheet were permissible under CPL 310.20 (2) to allow the jury to distinguish between the various homicide charges. (*People v Collins*, 99 NY2d 14; *People v Cole*, 85 NY2d 990; *People v Damiano*, 87 NY2d 477; *People v Sotomayer*, 173 AD2d 500, 79 NY2d 1029.) II. Even if the notations exceeded the bounds of CPL 310.20 (2), the error was harmless. (*People v Taylor*, 76 NY2d 873; *People v Owens*, 69 NY2d 585; *People v Crimmins*, 36 NY2d 230; *People v Damiano*, 87 NY2d 477; *People v Spivey*, 81 NY2d 356; *People v Santi*, 3 NY3d 234; *People v Allen*, 92 NY2d 378; *People v Sotomayer*, 79 NY2d 1029; *People v Smart*, 96 NY2d 793; *People v Smith*, 16 NY3d 786.) III. Even if defendant's murder conviction had been reversible, the remaining convictions should stand as they could not have been affected by annotations that related only to the homicide counts. (*People v*

Kelly, 76 NY2d 1013; *People v Cohen*, 50 NY2d 908; *People v Damiano*, 87 NY2d 477; *People v Baghai-Kermani*, 84 NY2d 525.)

Timothy P. Donaher, Public Defender, Rochester (Drew R. DuBrin of counsel), for respondent. The Supreme Court committed reversible error by providing a verdict sheet to the jury, over defense counsel's objection, containing unauthorized legal text. (*People v Owens*, 69 NY2d 585; *People v Odell*, 230 NY 481; *People v Brooks*, 70 NY2d 896; *People v Damiano*, 87 NY2d 477; *People v Sanders*, 70 NY2d 837; *People v Taylor*, 76 NY2d 873; *People v Spivey*, 81 NY2d 356; *People v Sotomayer*, 79 NY2d 1029; *People v Collins*, 99 NY2d 14; *People v Rosario*, 26 AD3d 206.)

OPINION OF THE COURT

SMITH, J.

We have held that it is reversible error, not subject to harmless error analysis, to provide a jury in a criminal case with a verdict sheet that contains annotations not authorized by CPL 310.20 (2) (*see People v Spivey*, 81 NY2d 356, 361-362 [1993]; *People v Damiano*, 87 NY2d 477 [1996]). The Legislature, responding to these decisions, amended the statute to expand what is permitted in the verdict sheet, but it left the basic principle unchanged: Nothing of substance can be included that the statute does not authorize. Because that rule was violated in this case, our previous holdings require that defendant's conviction be set aside.

I

Defendant was charged with second-degree murder and several other crimes as a result of the shooting of his former girlfriend. At defendant's request, the court submitted to the jury his claim that he acted under the influence of extreme emotional disturbance—a claim which, if accepted, would result in his conviction for first-degree manslaughter rather than murder (Penal Law § 125.25 [1] [a]; § 125.20 [2]). Extreme emotional disturbance is an affirmative defense, and the defendant has the burden of establishing it by a preponderance of the evidence (Penal Law § 125.25 [1] [a]; § 25.00 [2]).

The trial court submitted a six-page verdict sheet to the jury. The first page is the one in issue here. That page provided space for the jurors to record their verdict on the second-degree murder charge, and instructed them that if their verdict on that

count was guilty they must consider the extreme emotional disturbance defense and complete the rest of the page. The form then asked: “Has the Defendant established by a ***preponderance of the evidence*** that he acted under Extreme Emotional Disturbance?” Defendant objected to this language, but the trial court refused to remove it.

The jury convicted defendant of second-degree murder and found that the extreme emotional disturbance defense had not been established. The Appellate Division reversed and ordered a new trial, holding that there was a violation of CPL 310.20 (2) and that harmless error analysis could not be applied (*People v Miller*, 73 AD3d 1435 [4th Dept 2010]). A Judge of this Court granted the People leave to appeal, and we now affirm.

II

CPL 310.20 says, in relevant part:

“Upon retiring to deliberate, the jurors may take with them: . . .

“2. A written list prepared by the court containing the offenses submitted to the jury by the court in its charge and the possible verdicts thereon. Whenever the court submits two or more counts charging offenses set forth in the same article of the law, the court may set forth the dates, names of complainants or specific statutory language, without defining the terms, by which the counts may be distinguished; provided, however, that the court shall instruct the jury in its charge that the sole purpose of the notations is to distinguish between the counts.”

Until 1996, the statute did not contain the final (“Whenever”) sentence; it ended with “verdicts thereon.” In several cases decided under the earlier version of the statute, we ordered a new trial where a verdict sheet had been submitted to the jury that, in addition to identifying the crimes charged, listed some of the crimes’ statutory elements (*People v Nimmons*, 72 NY2d 830 [1988]; *People v Taylor*, 76 NY2d 873 [1990]; *People v Kelly*, 76 NY2d 1013 [1990]; see also *People v Sotomayer*, 79 NY2d 1029, 1030 [1992] [reversible error to submit a verdict sheet that “recited more” than CPL 310.20 allowed]). In *Spivey*, we said that “unless the parties agree” the submission of such a verdict sheet “is reversible error” (81 NY2d at 361). And in

Damiano we rejected, over a strong dissent, the idea that an error of this kind could “be deemed harmless”; that approach, we said, would be inconsistent with “our decisions strictly construing this provision” (87 NY2d at 484-485).

[1, 2] In this case, the People do not dispute that the law as it stood at the time of *Spivey* and *Damiano* would require reversal of defendant’s conviction. They argue, however, that a 1996 amendment to CPL 310.20 (2) (L 1996, ch 630, § 2) alters that conclusion in two ways: by authorizing the language that the judge submitted to the jury here, and by permitting the use of harmless error analysis. We conclude that the amendment did neither of these things.

[1] The 1996 amendment added what is now the last sentence of CPL 310.20 (2). That sentence (later changed in a way irrelevant to this case) permits a verdict sheet to include “the dates, names of complainants or specific statutory language . . . by which the counts may be distinguished.” This does alter the holding in *Damiano* and the cases that *Damiano* followed, but it does not permit what the trial court did here. The court added not “statutory language . . . by which the counts may be distinguished,” but an instruction on burden of proof. Nothing in CPL 310.20 (2) can be read to authorize this.

[2] Nor did the 1996 amendment to CPL 310.20 (2) address the issue of harmless error. It left intact the holding of *Damiano* that harmless error analysis cannot be applied where a verdict sheet exceeds the limitations that section 310.20 (2) imposes. The Appellate Division was therefore correct in holding that *Damiano*, and the cases on which *Damiano* was based, require reversal of defendant’s conviction.

In arguing to the contrary, the People rely not on the statutory language contained in the 1996 amendment, but on language in the memorandum by which Governor Pataki expressed his approval of that amendment (Governor’s Approval Mem, Bill Jacket, L 1996, ch 630, at 7-9, reprinted in 1996 McKinney’s Session Laws of NY, at 1907-1909). The Approval Memorandum acknowledges that “from time to time” judges might in the future place notations on verdict sheets beyond what the newly amended statute would permit (Bill Jacket, L 1996, ch 630, at 9, 1996 McKinney’s Session Laws of NY, at 1909). The memorandum adds:

“However, any such errors will no[t] be subject to the onerous automatic reversal rule of Spivey, for

that rule is predicated on the complete absence of statutory authority for any verdict sheet annotations. See e.g., *People v. Owens*, 69 N.Y.2d 585, 591-92 (1987). As a result of the bill, there will be such authority and thus any erroneous verdict sheet notations will be subject to harmless error analysis.” (*Id.*)

The implicit reasoning of the Approval Memorandum—reasoning the People urge us to follow here—is this: In *Owens*, in the passage the Approval Memorandum cites, we held that an error in submitting portions of a written charge to the jury was not subject to harmless error analysis because “the distribution of written instructions to the jury is not expressly authorized by law” (69 NY2d at 591-592). From this it is inferred that *Spivey* and *Damiano* rejected harmless error analysis because annotated verdict sheets were also “not expressly authorized by law” (though neither *Spivey* nor *Damiano*, nor any other case involving annotated verdict sheets, says this). And, the reasoning concludes, since *some* verdict sheet annotations are authorized by law under the 1996 amendment, an error as to *what* annotations are permissible may now be deemed harmless.

We find this reasoning too attenuated to justify rejecting *Spivey*’s and *Damiano*’s holding on the harmless error issue. We recognize that, as the dissent points out, it was the Governor who proposed the 1996 amendment, and his view of what it means is relevant legislative history. But legislative history cannot supply something that is just not in the statute.

If the Legislature intended harmless error analysis to be applied in cases like this, it had only to say so. It could have used the language that it adopted in another context, to overrule our holding in *People v. Ranghelle* (69 NY2d 56, 63 [1986]), in which we held that a failure to deliver *Rosario* material to defense counsel “constitutes per se error requiring that the conviction be reversed.” The Legislature responded by enacting CPL 240.75, which says that such a failure does not justify reversal “in the absence of a showing . . . that there is a reasonable possibility that the non-disclosure materially contributed to the result.”

By contrast, the legislative response to *Spivey* and *Damiano* says not a word about harmless error. We adhere to the holdings of those cases that harmless error analysis is inappropriate where the limits imposed on verdict sheet annotations by CPL 310.20 (2) have been exceeded.

Accordingly, the order of the Appellate Division should be affirmed.

READ, J. (dissenting). I would uphold the conviction because the complained-of error was harmless. The majority rejects this option on the ground that the Legislature's amendment of CPL 310.20 in 1996 "left intact" our precedents holding "that harmless error analysis cannot be applied where a verdict sheet exceeds the limitations that section 310.20 (2) imposes" (majority op at 708). On the contrary, the 1996 amendment was specifically intended to countermand these and other precedents thought to create "hyper-technical rules . . . bestow[ing] new trials on fairly convicted criminals" (Governor's Approval Mem, Bill Jacket, L 1996, ch 630, at 9, reprinted in 1996 McKinney's Session Laws of NY, at 1909), such as the defendant in this case. Accordingly, I respectfully dissent.

In 1996, the Governor submitted a Program Bill to the Legislature that, as he explained in his Approval Memorandum, was meant to prevent "the needless reversal of dozens of fairly obtained criminal convictions . . . occasioned by the Court of Appeals' decisions in People v. Page, 72 N.Y.2d 69 (1988), and People v. Spivey, 81 N.Y.2d 356 (1993)" (Bill Jacket, L 1996, ch 630, at 7, 1996 McKinney's Session Laws of NY, at 1907). The Governor's proposed bill was introduced in the Senate "at the request of the Governor" on July 11, 1996 as Senate Bill S7929 (Preiser, Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, CPL 310.20, at 350 [2002 ed]). The Governor issued a message of necessity to the Senate, which passed the bill that same day. Senate Bill S7929 was then delivered to the Assembly, where it was substituted for Assembly Bill A11155-A; the Governor likewise issued a message of necessity to the Assembly, which also passed the bill on July 11, 1996. Senate Bill S7929 was then returned to the Senate, which delivered it to the Governor on September 3, 1996. The Governor signed the bill on September 4, 1996, which thereby became chapter 630 of the Laws of 1996. He simultaneously issued a detailed Approval Memorandum.

Section 1 of chapter 630 amended CPL 270.35 to create a bright-line rule that essentially circumvented *Page*'s strictures on the discharge of sworn jurors and their replacement with alternates (see *People v. Jeanty*, 94 NY2d 507, 513-516 [2000] [discussing legislative history of section 1 of the Laws of 1996, chapter 630]). Section 2 amended CPL 310.20 by granting trial judges express authority to place certain kinds of explanatory

information on verdict sheets. As the Governor explained, section 2 was intended to prevent the problems created

“[u]nder a line of cases culminating in People v. Spivey, [whereby] trial judges no longer [had] the authority they long enjoyed to enhance the ability of deliberating juries to distinguish between seemingly identical or substantially similar counts by annotating verdict sheets with distinguishing, explanatory phrases . . .

“For decades, until the Court of Appeals issued a series of decisions culminating in People v. Spivey, trial judges helped juries by putting brief explanatory notations on verdict sheets to distinguish otherwise identical counts.

“Because of the absence of express statutory authority for such notations, the Spivey line of cases holds that trial judges cannot put them on verdict sheets, and that harmless error analysis cannot be used to save convictions obtained in cases in which the verdict sheet contained such innocuous but helpful notations. As a result, many fairly tried and convicted defendants have had their convictions reversed on appeal.

“The amendments made by the bill to subdivision 2 of section 310.20 of the [CPL] will restore trial judges’ authority to annotate verdict sheets, facilitate an orderly and intelligent deliberative process and prevent needless reversals of convictions. *To be sure, trial judges from time to time may place on verdict sheets distinguishing notations that do not fit within the technical terms of the bill. However, any such errors will no[t] be subject to the onerous automatic reversal rule of Spivey, for that rule is predicated on the complete absence of statutory authority for any verdict sheet annotations. See e.g., People v. Owens, 69 N.Y.2d 585, 591-92 (1987). As a result of the bill, there will be such authority and thus any erroneous verdict sheet notations will be subject to harmless error analysis, consistent with subdivision 1 of section 470.05 of the [CPL]*” (Governor’s Approval Mem, Bill Jacket, L 1996, ch 630, at 7, 8-9, 1996 McKinney’s Session Laws of NY, at 1908-1909 [emphasis added]).

The majority dismisses the Approval Memorandum's reasoning as "too attenuated to justify rejecting" the holdings of *Spivey* and *People v Damiano* (87 NY2d 477 [1996]) "on the harmless error issue" (majority op at 709), as though the Governor's statements were some species of post-enactment "spin" or propaganda. But the Governor was explaining *his* bill, drafted by *his* lawyers at *his* direction to carry out *his* policy. And the Legislature agreed with him: both houses enacted the Governor's Program Bill, without amendment, pursuant to messages of necessity, the same day it was introduced. Under these circumstances, the Governor's view of section 2, which is perfectly consonant with the amendment's language, should be dispositive.

The majority also comments that the Legislature might have used language similar to "the language that it adopted in another context, to overrule our holding in *People v Ranghelle* (69 NY2d 56, 63 [1986])" by saying that "a failure to deliver *Rosario* material to defense counsel . . . does not justify reversal 'in the absence of a showing . . . that there is a reasonable possibility that the non-disclosure materially contributed to the result' " (majority op at 709, quoting CPL 240.75). Indeed the Legislature might have done this, but only if it wanted a rule other than CPL 470.05, the general rule for harmless error analysis, to govern annotation errors on verdict sheets.

Here, the evidence of defendant's guilt was overwhelming, a conclusion with which I doubt the majority disagrees. Defendant was indicted for murder and other, lesser charges for the shootings of his estranged girlfriend and her ex-boyfriend, the father of her child, as they sat in a car parked outside her home. She died as a consequence, while her ex-boyfriend sustained serious injuries. He testified that defendant, whom he knew, was the shooter, and his account was corroborated by a neighbor who saw and heard the shooting (although she could not identify defendant). In the days following the crime, defendant made many incriminating statements to his friends and family. And while the absence of expert testimony was not fatal to his defense of extreme emotional disturbance, defendant did not testify either. As a result, there was essentially no proof that he suffered from a mental infirmity manifested by a loss of self-control. In other words, it was, to say the least, generous of the trial judge to allow the jury to consider the defense on these facts in the first place. As to intent, defendant fired multiple shots into the occupied car at point-blank range.

In sum, the evidence to support extreme emotional disturbance or a finding that defendant merely intended to seriously injure his victims was so weak that the verdict sheet annotations—which, in fact, supplied the jury with correct statements of the law—cannot have affected the outcome. A decision to set aside a conviction under such circumstances is exactly the kind of “hyper-technical” result that the Legislature sought to foreclose when it enacted chapter 630 of the Laws of 1996.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO and JONES concur with Judge SMITH; Judge READ dissents in a separate opinion in which Judge PIGOTT concurs.

Order affirmed.

[968 NE2d 943, 945 NYS2d 589]

In the Matter of JEFFREY BAKER, Respondent, v POUGHKEEPSIE
CITY SCHOOL DISTRICT et al., Appellants.

Argued February 15, 2012; decided March 22, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 11, 2010, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in Dutchess County). The Appellate Division (1) granted a petition to review a determination of the Board of Education of the Poughkeepsie City School District, which had adopted the findings and recommendations of a hearing officer, made after a hearing, finding the petitioner guilty of eight charges of misconduct and/or incompetence, and terminated his employment, (2) annulled the determination, and (3) remitted the matter to respondent Board of Education of the Poughkeepsie City School District, excluding the members of the Board who testified at petitioner's disciplinary hearing, for a review of the findings and recommendations of the hearing officer, and a determination of the amount of back pay and benefits owed to petitioner, if any, and for a new determination thereafter.

Matter of Baker v Poughkeepsie City School Dist., 73 AD3d 916, affirmed.

HEADNOTE

Civil Service — Disciplinary Proceedings — Disqualification of Ultimate Decision Makers Who Testify at Disciplinary Hearing

Persons who have testified in a Civil Service Law § 75 disciplinary hearing are required to disqualify themselves from subsequently acting upon any of the charges related to that hearing where their testimony renders them personally involved in the disciplinary process and directly supports or negates the establishment of the charges preferred and where the person is not necessary to effectuate a decision. Accordingly, in a proceeding to review a school board determination terminating petitioner from his position as business manager of the school district, inasmuch as two members of the school board testified at petitioner's disciplinary hearing concerning the charges levied pursuant to section 75 and became personally involved in the disciplinary process and partial, their disqualification from participating in the ultimate termination decision was necessary. One board member was extensively involved in the disciplinary process and was called to testify in order to sustain a charge the basis of which was petitioner's communication with her. The other board member testified concerning his knowledge of relevant documents and certain

communications with petitioner's supervisor, thereby demonstrating his personal involvement in the disciplinary process. Moreover, the votes of neither board member were needed to take disciplinary action.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Service §§ 77, 94, 95.

McKINNEY's, Civil Service Law § 75.

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 508, 511, 512.

ANNOTATION REFERENCE

See ALR Index under Civil Service.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: civil /2 service & disciplin! /s disqualif! /s witness

POINTS OF COUNSEL

Shaw, Perelson, May & Lambert, LLP, Poughkeepsie (Beth L. Sims and Mark C. Rushfield of counsel), for appellants. Neither the testimony of Board Member Ellen Staino nor that of Board Member Raymond Duncan required that either be disqualified from voting to adopt the hearing officer's findings and termination recommendation and the lower court erred in applying a per se testimonial disqualification rule as a basis for vacating the Board of Education's decision to adopt the hearing officer's recommendations. (*Matter of Sassone v New York State Thruway Auth.*, 171 AD2d 308; *Matter of Elliott v Arlington Cent. School Dist.*, 143 AD2d 662; *Duke v North Tex. State Univ.*, 469 F2d 829; *Matter of Young v Board of Educ. of Baldwin Union Free School Dist.*, 100 AD2d 515; *Matter of Wilson v City of White Plains*, 277 AD2d 244; *Matter of Donlon v Mills*, 260 AD2d 971; *Matter of Ernst v Saratoga County*, 234 AD2d 764; *Matter of Reed v Town of Huntington*, 186 AD2d 745; *Matter of Major v Board of Regents of Univ. of State of N.Y.*, 160 AD2d 1041; *Matter of 1616 Second Ave. Rest. v New York State Liq. Auth.*, 75 NY2d 158.)

Drita Nicaj, LaGrangeville, and *Law Office of Jonathan Lovett*, Hawthorne, for respondent. Since Ellen Staino and Raymond Duncan testified during the disciplinary hearing, both were required to recuse themselves; as neither did so, the Appellate Division properly annulled the Board of Education's

determination. (*Matter of Gomez v Stout*, 13 NY3d 182; *Matter of Simpson v Wolansky*, 38 NY2d 391; *Matter of Warder v Board of Regents of Univ. of State of N.Y.*, 53 NY2d 186, 454 US 1125; *Matter of Heisler v Scappaticci*, 81 AD3d 954; *Matter of Canna v Town of Amherst*, 55 AD3d 1269; *Matter of Marandino v Westchester Country Club, Inc.*, 33 AD3d 800; *Matter of Ferraro v State of N.Y. Racing & Wagering Bd., Div. of Thoroughbred*, 284 AD2d 949; *Matter of Schindlar v Incorporated Vil. of Lloyd Harbor*, 261 AD2d 626; *Matter of Donlon v Mills*, 260 AD2d 971; *Matter of 1616 Second Ave. Rest. v New York State Liq. Auth.*, 75 NY2d 158.)

Jay Worona, Latham, and Patricia H. Gould, for New York State School Boards Association, Inc., amicus curiae. I. The decision of the court below erroneously creates a per se disqualification that prevents school board members called to testify in a school employee's disciplinary hearing from exercising their statutory responsibility over staff disciplinary matters. (*Matter of Cook v Griffin*, 47 AD2d 23; *Matter of Melendez v Board of Educ. of Yonkers City School Dist.*, 34 AD3d 814; *Matter of McComb v Reasoner*, 29 AD3d 795; *Matter of Stafford v Board of Educ. of Mohonasen Cent. School Dist.*, 61 AD3d 1259; *Matter of Payton v Buffalo City School Dist.*, 299 AD2d 825; *Matter of Wiggins v Board of Educ. of City of N.Y.*, 60 NY2d 385; *Matter of Gomez v Stout*, 13 NY3d 182; *Matter of Morgenthau v Cooke*, 56 NY2d 24; *Matter of Martin v Platt*, 191 AD2d 758, 82 NY2d 652; *Vesely v Town of New Windsor*, 90 AD2d 770.) II. The decision of the court below is counter to the public policy of this state to impose on school boards the duty and responsibility for disciplining and terminating school employees who are incompetent or engage in misconduct. (*Matter of New York State Assn. of Criminal Defense Lawyers v Kaye*, 95 NY2d 556; *Oakes v Muka*, 56 AD3d 1057.)

OPINION OF THE COURT

JONES, J.

In this appeal, we are called upon to determine whether persons who have testified in a Civil Service Law § 75 disciplinary hearing are required to disqualify themselves from subsequently acting upon any of the charges related to that hearing. We hold that, because the testimony of the testifying witnesses, concerning the charges levied pursuant to section 75, rendered them personally involved in the disciplinary process, disqualification is necessary.

In July 2007, pursuant to Civil Service Law § 75, the Superintendent of Schools of the Poughkeepsie City School District preferred eight charges of “misconduct and/or incompetence” against petitioner Jeffrey Baker, then Business Manager of respondent Poughkeepsie City School District. The charges alleged, among other things, that petitioner (1) made errors in calculating the former superintendent’s gross pay and producing a preliminary budget document; (2) failed to make a required non-elective employer contribution and secure a disability insurance policy; and (3) failed to follow certain directives and competitive bidding procedures. Charge I specifically stated that Mr. Baker failed to follow prior directives from his supervisor when he spoke with Ellen Staino, the Board of Education President of the Poughkeepsie City School District, “in an attempt to gain her support for his candidate of choice for District Treasurer and for a restructuring of Business Office staff positions.”

The Board of Education appointed a hearing officer to preside over the disciplinary action. During the hearing, Ellen Staino and another Board Member, Raymond Duncan, testified. The School District called Ms. Staino to testify in support of the first charge. Mr. Duncan, who discovered an error made by the petitioner in calculating the District’s budget, testified about his personal knowledge concerning certain documents at issue during the hearing and information provided to him by petitioner’s supervisor.

The hearing officer reported to the Board his findings and recommended that Mr. Baker be found guilty of the eight charges and that his services be terminated. The Board, including Ms. Staino and Mr. Duncan, adopted the findings and recommendations, and terminated Mr. Baker’s employment. Mr. Baker, challenging the Board’s determination, commenced this CPLR article 78 proceeding.

Upon transfer to the Appellate Division, the court “grant[ed] the petition, annul[led] the determination, and remit[ted] the matter to the Board, excluding the members of the Board who testified at the disciplinary hearing, for a review of the findings and recommendations of the hearing officer” (73 AD3d 916, 917 [2010]). This Court granted respondents School District and Board of Education leave to appeal from the Appellate Division order (16 NY3d 706 [2011]), and we now affirm.

Although “[i]nvolvement in the disciplinary process does not automatically require recusal,” we recognize that individuals

“who are personally or extensively involved in the disciplinary process should disqualify themselves from reviewing the recommendations of a Hearing Officer and from acting on the charges” (*Matter of Ernst v Saratoga County*, 234 AD2d 764, 767 [3d Dept 1996] [citations omitted]). Thus, where a witness is testifying during a disciplinary hearing concerning charges levied against an individual, disqualifying himself or herself from reviewing the recommendations of the hearing officer and rendering a final determination is appropriate (see *Matter of Nicoletti v Meyer*, 42 AD3d 722 [3d Dept 2007]; see also *Matter of Lowy v Carter*, 210 AD2d 408, 409 [2d Dept 1994] [a testifying witness reviewing recommendations and acting upon the charges permits that person to pass upon his or her “own credibility as a witness”]; *Matter of Hicks v Fortier*, 117 AD2d 930 [3d Dept 1986]).

Not all testimony will require disqualification. It is only required where the testimony of the official directly supports or negates the establishment of the charges preferred. Such testimony renders the decision-maker personally involved in the disciplinary process and partial. Nevertheless, we observe that disqualification, in a section 75 proceeding, is inappropriate where such person is necessary to effectuate a decision (see *Matter of McComb v Reasoner*, 29 AD3d 795, 800 [2d Dept 2006] [the rule of necessity]; see generally *Matter of General Motors Corp.—Delco Prods. Div. v Rosa*, 82 NY2d 183 [1993]).

Here, Ms. Staino was extensively involved in the disciplinary process given that petitioner’s communication with her was the basis for charge I. Moreover, she was called to testify for the purpose of sustaining that charge. Mr. Duncan brought to the attention of petitioner’s supervisor a discrepancy in a budget prepared by petitioner, which subsequently was included in the charges preferred against petitioner. Likewise, Mr. Duncan’s testimony concerning his knowledge of relevant documents that were at issue and certain communications with petitioner’s supervisor regarding petitioner’s performance demonstrated his personal involvement in the disciplinary process. Moreover, neither of their votes were needed to take disciplinary action. Thus, the Appellate Division properly granted the petition, annulling the determination and remitting the matter to be decided without the testifying board members.

Accordingly, the Appellate Division order should be affirmed, with costs.

PIGOTT, J. (dissenting). Because in my view Ms. Staino and Mr. Duncan were not required to disqualify themselves from rendering a determination on the hearing officer's recommendation, I respectfully dissent. Unlike the Appellate Division, the majority does not create a per se rule of disqualification, but given the breadth of its determination in light of the facts of this case, it may as well have done so, because there was no reason for the disqualification of these individuals given the substance of their respective testimony.

It is undisputed that Ms. Staino testified at the hearing relative to one of the pertinent counts, namely, whether Mr. Baker

“failed to follow the prior verbal and/or written directives of his supervisor [School Superintendent] Dr. Laval Wilson when he spoke with Board of Education President, Ellen Staino, in an attempt to gain her support for his candidate of choice for District Treasurer and for a restructuring of Business Office staff positions.”

The majority correctly states that Mr. Baker's communication with Ms. Staino was the basis for that charge (majority op at 718), but neglects the salient fact that Mr. Baker conceded at the hearing that Ms. Staino's testimony that formed the basis for that charge was *true*. Thus, unlike the situation in *Matter of Lowy v Carter* (210 AD2d 408 [2d Dept 1994]), Ms. Staino's credibility was never in doubt.

Nor can it reasonably be said that Ms. Staino was “personally or extensively involved” in the disciplinary process such that she should have disqualified herself from reviewing the hearing officer's recommendations (majority op at 717-718). The cases cited by the majority for that proposition involve situations where the individual testifying against the employee either actually preferred the charges (*see Matter of Ernst v Saratoga County*, 234 AD2d 764 [3d Dept 1996] [witness preferred the charges, appointed the hearing officer and voted to sustain hearing officer's findings of fact and recommendation]; *Matter of Lowy*, 210 AD2d at 409 [witness preferred charges and testified]; *Matter of Hicks v Fortier*, 117 AD2d 930 [3d Dept 1986] [witness preferred the charges, testified at the hearing and rendered the final determination]) or issued the final determination finding the employee guilty of the misconduct (*see Matter of Nicoletti v Meyer*, 42 AD3d 722, 722 [3d Dept 2007] [supervisor and wife testified against employee at hearing and, after hearing officer found employee guilty of three counts of

misconduct, the supervisor “issued a final determination finding (employee) guilty of *four* charges of misconduct and terminat(ed) his employment”] [emphasis added]).

Here, there was no such “personal and extensive involvement” on the part of Ms. Staino. The Superintendent, not Ms. Staino, preferred the charges against Mr. Baker, and Ms. Staino was not the sole arbiter of whether the hearing officer’s determination should have been confirmed, nor was her testimony at all contradicted by Mr. Baker.

Less problematic is the testimony of Mr. Duncan, who was called as a witness by Mr. Baker. As the majority points out, Mr. Duncan did in fact uncover the budgetary errors that led to certain of the charges (majority op at 718), i.e., the claim that Mr. Baker “produced a preliminary budget document with significant errors.” However, the majority ignores the fact that Mr. Duncan did not offer any testimony on that issue, nor does it mention that Mr. Baker conceded at the hearing that the preliminary budget did, in fact, contain significant errors which were carried through to successive budgets. Mr. Duncan’s testimony relative to the budget documents was limited to the fact that, as a board member, he often reviewed such documents in the ordinary course of his duties. So there was no reason for his disqualification, either, since Mr. Duncan’s credibility was not an issue—there was no dispute that there were budgetary errors—and no indication that he was otherwise biased.

In response to the Appellate Division’s directive that the matter be remitted for a decision without the participation of Ms. Staino and Mr. Duncan, the school board did that and voted to terminate Mr. Baker for cause. All our decision will mean is, notwithstanding the fact that Mr. Baker never challenged the testimony proffered against him, Mr. Baker will nonetheless recover back pay to which, by all accounts, he is not entitled.

But the majority’s opinion today has consequences that extend beyond this case. There is nothing to prevent industrious attorneys for employer and employee alike from subpoenaing pertinent members of the governing boards to proffer testimony on matters tangential to the issues, thereby obtaining disqualification of members who they expect to vote counter to the interests of their clients, or at the very least, engaging in a contest of this nature, buying valuable back pay considerations as the matter is litigated—precisely what Civil Service Law § 75 was designed to avoid. Therefore, I would reverse the order of the Appellate Division.

Chief Judge LIPPMAN and Judges CIPARICK and GRAFFEO concur with Judge JONES; Judge PIGOTT dissents and votes to reverse in a separate opinion in which Judges READ and SMITH concur.

Order affirmed, with costs.

[969 NE2d 187, 946 NYS2d 71]

GLOBAL REINSURANCE CORPORATION-U.S. BRANCH, Formerly
Known as GERLING GLOBAL REINSURANCE CORPORATION-
U.S. BRANCH, Respondent, v EQUITAS LTD. et al., Appel-
lants.

Argued February 15, 2012; decided March 27, 2012

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered January 18, 2011. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Bernard J. Fried, J.), which had dismissed the second amended complaint upon an order of that court (op 24 Misc 3d 264 [2009]) granting defendants' motion to dismiss the second amended complaint; and (2) reinstated the complaint. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of the Supreme Court, properly made?"

Global Reins. Corp.-U.S. Branch v Equitas Ltd., 82 AD3d 26, reversed.

HEADNOTES

Monopolies — Donnelly Act — Reinsurance Coverage — Relevant Product Market

1. Plaintiff, a New York branch of a German reinsurance corporation, failed to state an antitrust claim under the Donnelly Act (General Business Law § 340 *et seq.*) against defendants, London, England based entities engaged in the business of providing retrocessionary reinsurance that were created so as to reinsure certain otherwise uninsurable pre-1993 non-life retrocessionary obligations of Lloyd's of London syndicates. An antitrust claim under the Donnelly Act, or under its essentially similar federal progenitor, section 1 of the Sherman Act (15 USC § 1 *et seq.*), must allege both concerted action by two or more entities and a consequent restraint of trade within an identified relevant product market. Although a perhaps colorable claim of concerted action was discernable from the complaint, and there was a nominal allegation of a worldwide market, there was no allegation of any anticompetitive effect attributable to the posited conspiracy beyond the Lloyd's marketplace. The Lloyd's syndicates were capable of insulating themselves from each other's competitive behavior in the area of claims management and could by that device attempt to cap their liabilities under certain previously issued coverage, but there were no allegations in the complaint from which it was possible to gather that they were capable of avoiding the business consequences of this approach in the global market. Plaintiff was perhaps injured by an anticompetitive restraint in the Lloyd's market, but that was not a circumstance from which it was possible to conclude that there was some broader anticompetitive

effect, or even a capacity to produce such an effect, in the relevant world market.

Monopolies — Donnelly Act — Reinsurance Coverage — Foreign Conspiracy

2. Plaintiff, a New York branch of a German reinsurance corporation, failed to state an antitrust claim under the Donnelly Act (General Business Law § 340 *et seq.*) against defendants, London, England based entities engaged in the business of providing retrocessionary reinsurance that were created so as to reinsure certain otherwise uninsurable pre-1993 non-life retrocessionary obligations of Lloyd's of London syndicates. The complaint alleged, essentially, that a German reinsurer through its New York branch purchased retrocessional coverage in a London marketplace and consequently sustained economic injury when retrocessional claims management services were by agreement within that London marketplace consolidated so as to eliminate competition over their delivery. Injury so inflicted, attributable primarily to foreign, government approved transactions having no particular New York orientation and occasioning injury here only by reason of the circumstance that plaintiff's purchasing branch happens to be situated here, was not redressable under New York State's antitrust statute. Even assuming that the extraterritorial reach of the Donnelly Act is as extensive as that of its federal counterpart, the Sherman Act (15 USC § 1 *et seq.*), the Sherman Act would not reach a competitive restraint, imposed by participants in a British marketplace, that only incidentally affected commerce in this country.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance § 1809; AM JUR 2d, Monopolies, Restraints of Trade, and Unfair Trade Practices §§ 17, 255–258, 777.

McKINNEY's, General Business Law § 340 *et seq.*

NY JUR 2d, Insurance § 2372; NY JUR 2d, Trade Regulation §§ 13–16, 19–21, 29, 50.

15 USCA § 1 *et seq.*

ANNOTATION REFERENCE

See ALR Index under Insurance and Insurance Companies; Reinsurance; Restraints of Trade and Monopolies.

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POINTS OF COUNSEL

Simpson Thacher & Bartlett LLP, New York City (*Kevin J. Arquit*, *Mary Kay Vyskocil* and *Summer Craig* of counsel), and *Simpson Thacher & Bartlett LLP*, Washington, D.C. (*Arman Y.*

Oruc of counsel), for appellants. I. Equitas Ltd.'s, Equitas Reinsurance Ltd.'s, and Equitas Policyholders Trustee Ltd.'s unilateral claims handling conduct cannot be challenged as an antitrust conspiracy without challenging its formation. (*Texaco Inc. v Dagher*, 547 US 1; *Anheuser-Busch, Inc. v Abrams*, 71 NY2d 327; *Copperweld Corp. v Independence Tube Corp.*, 467 US 752; *United States v Sealy, Inc.*, 388 US 350; *United States v Topco Associates, Inc.*, 405 US 596; *Arizona v Maricopa County Medical Soc.*, 457 US 332; *Rothery Stor. & Van Co. v Atlas Van Lines, Inc.*, 792 F2d 210; *USX Corp. v Adriatic Ins. Co.*, 64 F Supp 2d 469.) II. Global Reinsurance Corporation-U.S. Branch improperly challenges the formation of Equitas Ltd., Equitas Reinsurance Ltd. and Equitas Policyholders Trustee Ltd. under the Donnelly Act. (*Padula v Lilarn Props. Corp.*, 84 NY2d 519; *Goshen v Mutual Life Ins. Co. of N.Y.*, 286 AD2d 229; *Board of Trustees of Univ. of Ill. v United States*, 289 US 48; *South-Central Timber Development, Inc. v Wunnicke*, 467 US 82; *Michelin Tire Corp. v Wages*, 423 US 276.) III. The complaint should be dismissed as time-barred. (*Zenith Radio Corp. v Hazeltine Research, Inc.*, 401 US 321; *In re Buspirone Patent Litig.*, 185 F Supp 2d 363; *In re Ciprofloxacin Hydrochloride Antitrust Litig.*, 261 F Supp 2d 188; *Varner v Peterson Farms*, 371 F3d 1011; *Grand Rapids Plastics, Inc. v Lakian*, 188 F3d 401.) IV. Global Reinsurance Corporation-U.S. Branch fails to allege a submarket or restraint of trade in a worldwide market. (*Creative Trading Co. v Larkin-Pluznick-Larkin, Inc.*, 136 AD2d 461; *Capital Imaging Assoc., PC. v Mohawk Val. Med. Assoc., Inc.*, 996 F2d 537; *CDC Tech., Inc. v IDEXX Labs., Inc.*, 186 F3d 74; *Brown Shoe Co. v United States*, 370 US 294; *Geneva Pharms. Tech. Corp. v Barr Labs. Inc.*, 386 F3d 485; *Newcal Indus., Inc. v Ikon Off. Solution*, 513 F3d 1038.) V. The Appellate Division erred in finding subject matter jurisdiction over Equitas Ltd.'s, Equitas Reinsurance Ltd.'s, and Equitas Policyholders Trustee Ltd.'s conduct. (*South-Central Timber Development, Inc. v Wunnicke*, 467 US 82; *F. Hoffmann-La Roche Ltd v Empagran S. A.*, 542 US 155; *Boyd v AWB Ltd.*, 544 F Supp 2d 236; *Animal Science Prods., Inc. v China Natl. Metals & Mins. Import & Export Corp.*, 596 F Supp 2d 842; *In re Intel Corp. Microprocessor Antitrust Litig.*, 452 F Supp 2d 555; *Matter of Zurich Ins. Co. v New York State Tax Commn.*, 144 AD2d 202; *Matter of 67 Vestry Tenants Assn. v Raab*, 172 Misc 2d 214.)

Cahill Gordon & Reindel LLP, New York City (*Edward P. Krugman*, *S. Penny Windle* and *Lawrence A. Reicher* of counsel), for respondent. I. Equitas Ltd.'s, Equitas Reinsurance Ltd.'s,

and Equitas Policyholders Trustee Ltd.'s conduct is not unilateral but is the concerted action of the underwriting members of Lloyd's, London through their common agent. (*Texaco Inc. v Dagher*, 547 US 1; *United States v Masonite Corp.*, 316 US 265; *New York ex rel. Spitzer v Saint Francis Hosp.*, 94 F Supp 2d 399; *North Tex. Specialty Physicians v Federal Trade Commn.*, 528 F3d 346; *North Jackson Pharm., Inc. v Express Scripts Inc.*, 345 F Supp 2d 1279; *Life Partners, Inc. v Morrison*, 484 F3d 284; *Nestor v Britt*, 270 AD2d 192; *General Elec. Co. v Inter-America Mktg. Sys.*, 220 AD2d 307; *National Collegiate Athletic Assn. v Board of Regents of Univ. of Okla.*, 468 US 85; *United States v Sealy, Inc.*, 388 US 350.) II. The courts of New York have subject matter jurisdiction over this action. (*California v ARC America Corp.*, 490 US 93; *CSR Ltd. v CIGNA Corp.*, 405 F Supp 2d 526; *CSR Ltd. v Federal Ins. Co.*, 40 F Supp 2d 559; *Pillar Corp. v Enercon Indus. Corp.*, 694 F Supp 1353; *In re Chocolate Confectionary Antitrust Litig.*, 602 F Supp 2d 538; *Allstate Ins. Co. v Hague*, 449 US 302; *Sperry v Crompton Corp.*, 8 NY3d 204; *Matter of Zurich Ins. Co. v New York State Tax Commn.*, 144 AD2d 202; *Matter of People [Norwegian Receiver of Norske Lloyd Ins. Co.]*, 242 NY 148; *Moscow Fire Ins. Co. v Bank of N.Y. & Trust Co.*, 280 NY 286.) III. Global Reinsurance Corporation-U.S. Branch's claim is timely. (*Hanover Shoe, Inc. v United Shoe Machinery Corp.*, 392 US 481; *Klehr v A. O. Smith Corp.*, 521 US 179; *Zenith Radio Corp. v Hazeltine Research, Inc.*, 401 US 321; *In re Nine W. Shoes Antitrust Litig.*, 80 F Supp 2d 181; *In re Ciprofloxacin Hydrochloride Antitrust Litig.*, 261 F Supp 2d 188; *Imperial Point Colonnades Condominium, Inc. v Mangurian*, 549 F2d 1029; *Toledo Mack Sales & Serv., Inc. v Mack Trucks, Inc.*, 530 F3d 204; *Champagne Metals v Ken-Mac Metals, Inc.*, 458 F3d 1073; *Poster Exch., Inc. v National Screen Serv. Corp.*, 517 F2d 117; *Varner v Peterson Farms*, 371 F3d 1011.) IV. The Appellate Division correctly upheld the pleading of a rule-of-reason violation. (*Leon v Martinez*, 84 NY2d 83; *Guggenheimer v Ginzburg*, 43 NY2d 268; *Capitalland United Soccer Club v Capital Dist. Sports & Entertainment*, 238 AD2d 777; *Board of Trade of Chicago v United States*, 246 US 231; *People v Rattenni*, 81 NY2d 166; *Arizona v Maricopa County Medical Soc.*, 457 US 332; *State Oil Co. v Khan*, 522 US 3; *United States v Visa U.S.A. Inc.*, 163 F Supp 2d 322; *National Soc. of Professional Engineers v United States*, 435 US 679; *California Dental Assn. v FTC*, 526 US 756.)

Dewey & LeBoeuf LLP, New York City (*John M. Nonna*, *Larry P. Schiffer* and *Daniel T. Stabile* of counsel), for Society of

Lloyd's, amicus curiae. The formation of Equitas Ltd., Equitas Reinsurance Ltd. and Equitas Policyholders Trustee Ltd. was procompetitive.

OPINION OF THE COURT

Chief Judge LIPPMAN.

At issue is the sufficiency and extraterritorial reach of plaintiff's claim under New York State's antitrust statute, commonly known as the Donnelly Act (General Business Law § 340 *et seq.*).

Plaintiff is a New York branch of a German reinsurance corporation. Defendants (hereinafter collectively referred to as Equitas) are London, England based entities engaged in the business of providing retrocessionary reinsurance. Retrocessionary reinsurers, or retrocessionaires as they are known, write coverage for risks ceded to them by reinsurers, in this transactional context referred to as "cedents."

According to the complaint, this action arises from practices employed in connection with the handling of claims made under retrocessional reinsurance treaties providing what is known as "non-life" coverage. Among the risks insured under this heading are those of environmental, catastrophic and asbestos related origin. Liabilities under policies insuring such risks typically are of the "long tail" variety; they may surface long after the policy period and it is clear in retrospect that underwriters did not accurately appreciate the magnitude of "non-life" risks or the unusual persistence of the liability they would engender.

Over the years, Lloyd's of London, an insurance marketplace composed of numerous competing insurance syndicates, themselves composed of individual underwriting participants (natural persons referred to as Names), issued, through its syndicates substantial non-life retrocessional coverage. By the early 1990s, it became evident that the liabilities arising under this coverage were mounting at an alarming rate and would soon outstrip the syndicates' reserves.

The syndicates individually proved unable to respond to this impending crisis, in significant part because in competing with each other for prospective business it was their practice to pay retrocessionary claims without haggling and without imposing onerous administrative burdens on their cedents. It was thus proposed that, since individual action by the syndicates to limit

liability by more closely scrutinizing claims would be commercially unviable, the Names should agree to repose decision making with respect to the handling of certain liabilities arising under pre-1993 Lloyd's non-life retrocessionary coverage, in a newly created entity—a reinsurer that would, because it would be in perpetual “run-off” (i.e., merely concluding obligations under existing coverage and not soliciting new business), be free to adopt a more aggressive approach to the handling of claims. This proposal, as set forth by the governing body of Lloyd's in a “Reconstruction and Renewal Plan” (R&R plan), was approved by the Names and subsequently reviewed and found unobjectionable by United Kingdom and European Union antitrust regulatory authorities, i.e., the United Kingdom Department of Trade and Industry and the European Commission.¹

It was pursuant to the R&R plan that Equitas was created in 1996 to reinsure the otherwise uninsurable non-life retrocessionary obligations of the Lloyd's syndicates. And, in accordance with a Reinsurance and Runoff Contract (RROC), the Names reinsured with Equitas their risks under the Lloyd's syndicates' pre-1993 non-life retrocessionary treaties. The consideration for this coverage was comprised of some £14.7 billion in assets (premiums paid for the subject coverage) held by the syndicates and significant additional contributions by the Names individually, and by Lloyd's and its functionaries. Although subsequent to these transfers and until 2009² the Names remained severally liable under the coverage extended by the syndicates, pursuant to the RROC Equitas was given plenary power to manage claims arising under the subject pre-1993 coverage.³ The Names were concomitantly barred from reaching the funds transferred in exchange for the reinsurance provided by Equitas.

Plaintiff reinsurer purchased coverage for some of its non-life risks from Lloyd's retrocessionaires. The risks ceded by it to

1. The R&R plan was also submitted for comment to various US government agencies, among them the New York State Department of Insurance, which registered no objection.

2. In 2009, Equitas, with the approval of the British High Court undertook finally to relieve the Names of their obligations under the retrocessional treaties at issue (*see Matter of Names at Lloyd's for the 1992 & Prior Years of Account, Represented by Equitas Ltd.*, [2009] EWHC 1595 [Ch], 2009 WL 1949482 [July 7, 2009]).

3. Under section 9.2 (a) of the RROC, Equitas was authorized “to adjust, handle, agree, settle, pay, compromise or repudiate any Claim, return premium, reinsurance premium or any other insurance or reinsurance liability on behalf of the Syndicate or Closed Year Syndicate.”

Lloyd's syndicates underwritten by pre-1993 retrocessionary coverage were, subsequent to the adoption of the R&R plan, in turn ceded by the Lloyd's retrocessionaires to Equitas under the RROC. According to plaintiff, Equitas adopted a "hard-nosed" approach to the handling of its claims, involving among other practices, holding payments due hostage to concessions by plaintiff and imposing extraordinarily onerous documentation requirements. In addition to commencing arbitration proceedings against the underwriters in which it sought damages for these alleged abuses under the governing insurance treaties, plaintiff filed this action in March 2007, asserting in its original complaint a Donnelly Act claim as well as one sounding in tortious interference with contractual relations.

On a CPLR 3211 motion preceding the one now before us, the tortious interference claim was dismissed, upon the ground then urged by Equitas that the wrongful conduct attributed by plaintiff to it had not been performed by it as a stranger to the contracts said to have been interfered with, but in its capacity as the claims handling agent of the contractually bound Names (20 Misc 3d 1115[A], 2008 NY Slip Op 51362[U], *8 [2008]). The motion court, however, sustained plaintiff's Donnelly Act claim finding, as is here relevant, that plaintiff had adequately alleged in the claim's support a geographical market for retrocessional non-life insurance limited to the Lloyd's marketplace. The court nonetheless granted plaintiff's request to amend its complaint to allege that the relevant market was global.⁴

The resulting second amended complaint, the pleading now at issue, alleges in support of the Donnelly Act claim that prior to the R&R plan and the consequent creation of Equitas, retrocessional non-life claims handling with respect to pre-1993 Lloyd's coverage was performed by the individual Lloyd's syndicates which, because they competed with each other for new business and were thus anxious to curry favor with potential cedents, were disposed to settle claims expeditiously and fairly. Following the R&R plan and the centralizing of all decision making respecting the handling of the subject category of claims in Equitas pursuant to the RROC, there ceased to be any competitive

4. This amendment, as the parties then understood, would be essential to the action's survival, since there was no factually plausible contention that the Lloyd's marketplace was the relevant market in assessing whether Equitas's claims handling practices had an anticompetitive effect upon the retrocessional non-life insurance market.

disincentive to the adoption of sharp claims management practices—Equitas had no interest in attracting prospective business; its sole mission was to marshal its fund with the considerable amount of parsimony necessary to cover the avalanche of liabilities that had led to its existence. The complaint further alleged that Lloyd’s concentration of claims management decision making power in Equitas would operate to suppress competition in the delivery of a crucial component of the retrocessional non-life coverage product, namely, claims management, and that it would do so not only within the Lloyd’s marketplace, but in the world.⁵

After the filing of the second amended complaint, Equitas again moved to dismiss pursuant to CPLR 3211. In deciding this motion, Supreme Court focused upon the circumstance that the complaint, while nominally alleging that the pertinent geographical market for the particular species of coverage at issue was global, actually seemed to continue to rely upon the existence of a cognizable submarket confined to the Lloyd’s marketplace. Given the new allegations that there was a worldwide market for retrocessional non-life coverage, and the absence of any allegation that the coverage available in the Lloyd’s marketplace could not be acquired elsewhere on competitive terms, the court concluded that Lloyd’s was not a viable

5. The relevant allegations are contained in paragraph 36 of the complaint:

“36. In 1993, in 1996, at the time this action was commenced, and currently, the Lloyd’s syndicates collectively had market power in the worldwide market for retrocessional coverage.

“(a) In 1993, in 1996, at the time this action was commenced, and currently, the Lloyd’s marketplace was the single most significant seller of most forms of non-life retrocessional coverage to reinsurers worldwide.

“(b) In 1993, in 1996, at the time this action was commenced, and currently, the Lloyd’s marketplace provides the benchmark for prices, terms, and conditions for most forms of non-life retrocessional coverage.

“(c) In 1993, in 1996, at the time this action was commenced, and currently, any reinsurer, and any reinsurance broker, wishing to purchase retrocessional coverage would have to at least consider approaching Lloyd’s for quotes and would have to take into account the terms and conditions offered by various Lloyd’s syndicates in determining what to purchase, and on what terms.

“(d) For many lines of retrocessional business, and in many years, competition *within* the Lloyd’s marketplace is more significant to prospective purchasers of retrocessional coverage than is competition between Lloyd’s as a whole and other sellers, because Lloyd’s is expected to, and does, set the lead in establishing coverage.”

submarket and on that ground dismissed the Donnelly Act claim, since an assertion of market power adequate to sustain a claim for restraint of trade may only be demonstrated within the context of an identified relevant market or submarket (24 Misc 3d 264, 273-274 [Sup Ct, NY County 2009]).⁶

On plaintiff's appeal from the subsequently entered judgment dismissing the complaint,⁷ the Appellate Division, with one justice dissenting, reversed and reinstated the Donnelly Act claim. The Court found that the complaint adequately pleaded a worldwide market. And, while acknowledging that the crucial allegations contained in paragraph 36 of the amended pleading (n 5, *supra*), did not separately allege market power—i.e., that Lloyd's was capable of unilaterally raising prices for retrocessional non-life coverage in the relevant market significantly without losing any business (*see CDC Tech., Inc. v IDEXX Labs., Inc.*, 186 F3d 74, 81 [2d Cir 1999])—the allegations read together and liberally construed were, in the Court's view, adequate to that purpose (82 AD3d 26, 35 [1st Dept 2011]). The Court rejected, either expressly or impliedly, defendants' remaining contentions, among them that there was no actionable conspiracy because Equitas had at all relevant times acted unilaterally and pursuant to agreements (the R&R plan and the RROC) approved by the United Kingdom and European regulatory authorities; and that, even if a London-based conspiracy to restrain trade was adequately alleged, it could not be reached under a New York State antitrust statute presumptively without extraterritorial effect.

The Appellate Division granted Equitas leave to appeal, certifying to this Court the question of whether its order reversing the order of Supreme Court was properly made. We now reverse.

6. Although there are Appellate Division decisions recognizing this basic requirement of a Donnelly Act claim (*see e.g. Creative Trading Co. v Larkin-Pluznick-Larkin, Inc.*, 136 AD2d 461, 462 [1st Dept 1988]), there do not appear to be any cases from our Court. It does not seem, however, that there would be much room for doubt as to the requirement. It is logically necessary to a coherent allegation of a trade restraint and has been recognized by federal courts in assessing the adequacy of pleadings alleging violations under the Sherman Act (15 USC § 1 *et seq.*; *see e.g. Newcal Indus., Inc. v Ikon Off. Solution*, 513 F3d 1038, 1045 [9th Cir 2008], *cert denied* 557 US —, 129 S Ct 2788 [2009]), after which the Donnelly Act is modeled (*see State of New York v Mobil Oil Corp.*, 38 NY2d 460, 463 [1976]).

7. The Donnelly Act claim and the pendent claim for injunctive relief were all that remained of the complaint following the motion court's earlier dismissal of plaintiff's tortious interference claim.

An antitrust claim under the Donnelly Act, or under its essentially similar federal progenitor, section 1 of the Sherman Act (15 USC § 1 *et seq.*; see *Anheuser-Busch, Inc. v Abrams*, 71 NY2d 327, 335 [1988]; *Mobil Oil Corp.*, 38 NY2d at 463), must allege both concerted action by two or more entities and a consequent restraint of trade within an identified relevant product market (see *e.g. Home Town Muffler v Cole Muffler*, 202 AD2d 764, 765 [3d Dept 1994]; *Creative Trading*, 136 AD2d at 462; *Capital Imaging Assoc., PC. v Mohawk Val. Med. Assoc., Inc.*, 996 F2d 537, 542-543 [2d Cir 1993], *cert denied* 510 US 947 [1993]). Equitas argues that the second amended complaint fails sufficiently to allege either element.

For present purposes, we assume, without deciding, that a conspiracy is alleged. In favor of that assumption we note that, although the complaint contains allegations that Equitas acted independently of the syndicates in discharging its claims management function and was a legally and financially autonomous entity, it also alleges in substance that the collective assumption of the claims management function previously performed by the syndicates individually was Equitas's *raison d'être* under the RROC and that Equitas from its inception and at all relevant subsequent times acted, if not as an agent in the traditional sense, at least as a preprogrammed instrumentality of the Names. Indeed, it will be recalled that in obtaining the dismissal of plaintiff's tortious interference claim Equitas itself represented that it was the claims agent of the Names, and, according to the complaint the allegations of which we must at this juncture accept as true, Equitas had no other purpose but that of fixing and capping the Names' liability under the subject pre-1993 coverage. Although there are situations in which a fully integrated entity that takes over and consolidates economic functions formerly performed competitively will be deemed sufficiently autonomous in its subsequent operations to preclude their characterization as conspiratorial within the meaning of the antitrust laws (see *e.g. Texaco Inc. v Dagher*, 547 US 1 [2006]), the pertinent inquiry in determining whether there is concerted or unilateral activity is one of substance and not form (*American Needle, Inc. v National Football League*, 560 US —, —, 130 S Ct 2201, 2211-2212 [2010]); what is important is how the parties to the alleged anticompetitive conduct actually operate (560 US at —, 130 S Ct at 2209). Here, there is discernible from the pleading a perhaps colorable claim that Equitas was engaged in concerted activity when it exercised

in place of and on behalf of the coexisting Lloyd's syndicates consolidated decision making authority over the management of the syndicates' pre-1993 retrocessional non-life liabilities.

[1] The substantive problem with this action is rather that although a worldwide market is nominally alleged, as is evidently essential since it is clear that the retrocessional non-life product is available globally and that there is no distinct legally cognizable submarket,⁸ there is no allegation of any anti-competitive effect attributable to the posited conspiracy beyond the Lloyd's marketplace.

Ordinarily, a Donnelly or Sherman Act plaintiff, to survive a motion to dismiss in a rule of reason case, such as this one,⁹ must minimally allege that conspirators possessed power within the relevant market to produce a market-wide anticompetitive effect (*see Capital Imaging*, 996 F2d at 546). Defined in the context of sales, market power is the ability to raise prices significantly without losing business (*see CDC Tech.*, 186 F3d at 81), but more generally may be understood as the capacity to impose onerous economic terms without suffering competitive detriment. Here, there is no allegation of any such power in the relevant worldwide market. While the Lloyd's syndicates were capable of insulating themselves from each other's competitive behavior in the area of claims management and could by that device attempt to cap their liabilities under certain previously issued coverage, there are no allegations from which it is possible to gather that they were capable of avoiding the business consequences of this approach in the global market.

8. Although, as noted (*see supra* at 729), the second amended complaint, while alleging a worldwide product market, retained its claim of a distinct submarket confined to Lloyd's, the latter is not a legally viable allegation. Product markets are defined for antitrust purposes by applying the rule of "reasonable interchangeability" (*see Todd v Exxon Corp.*, 275 F3d 191, 201 [2d Cir 2001]) and, particularly in light of the second amended complaint's allegation that the relevant market is global, i.e., that the subject Lloyd's product is interchangeable with retrocessional reinsurance products available worldwide, there is no plausible explanation for the persisting submarket allegation (*see id.* at 200). Global, accordingly, appears to have abandoned its submarket claim.

9. There is no contention in this case of a per se violation; whether any restraint on trade for which defendants are shown to have been responsible was unreasonable is a bona fide issue in this litigation. There is no dispute that the purported conspiracy arose as a response to the impending ruin of the Lloyd's marketplace, an event that defendants contend would have significantly reduced competition in the world market for retrocessional non-life coverage.

Recognizing that on a CPLR 3211 motion to dismiss the allegations of the complaint must be accepted as true and construed liberally in the plaintiff's favor (*Cron v Hargro Fabrics*, 91 NY2d 362, 366 [1998]), and that in the antitrust context courts are "hesitant" to dismiss complaints on the pleadings based on the sufficiency of product market allegations (*Todd*, 275 F3d at 200), it is nonetheless the case that there is no per se rule barring dismissal where the complaint simply does not allege a conspirator's basic capacity to inflict market-wide anti-competitive injury (*see id.*). Here, there is no dispute as to the relevant market and, accordingly, no need for factual development on that point. The pertinent analytic focus is instead upon whether the complaint alleges the requisite power within the relevant worldwide market on the part of the claimed conspirators. We cannot conclude that it does.

The allegations in paragraph 36 of the complaint do not singly or in combination allege market power as that term of art is defined in the antitrust lexicon. Lloyd's may, as plaintiff alleges, be the single most significant vendor of retrocessional non-life coverage; it may set the benchmark for the terms of such coverage and its quotes may be viewed as essential by reinsurers and reinsurance brokers; there may in addition be lines of retrocessional coverage with respect to which price competition with Lloyd's is considered more significant than competition in the world market. None of this, however, would justify the inference that Lloyd's could at will generally engage in "run-off" type claims management behavior and retain its business in a global market. Plaintiff was perhaps injured by an anticompetitive restraint in the Lloyd's market, but that is not a circumstance from which it is possible to conclude that there was some broader anticompetitive effect, or even a capacity to produce such an effect, in the relevant world market. It is market-wide effect that is crucial to an antitrust claim under the Sherman Act or Donnelly Act (*see CDC Tech.*, 186 F3d at 80-81), not the existence of otherwise compensable individual injury. Plaintiff is evidently pursuing contract claims against Lloyd's underwriters in arbitration based on the same claims handling practices presently alleged. The question here is whether plaintiff may, premised on such allegations of localized individual harm, seek an award of treble damages for an antitrust violation. Inasmuch as it is the market-wide nature of the harm that would justify any such award, the answer, we believe, must be no.

[2] Even if this pleading deficiency could be cured—and we perceive no reason to suppose that the formidable hurdle of

alleging market power could be surmounted by plaintiff—there would remain as an immovable obstacle to the action’s maintenance, the circumstance that the Donnelly Act cannot be understood to extend to the foreign conspiracy plaintiff purports to describe.

The complaint alleges, essentially, that a German reinsurer through its New York branch purchased retrocessional coverage in a London marketplace and consequently sustained economic injury when retrocessional claims management services were by agreement within that London marketplace consolidated so as to eliminate competition over their delivery. Injury so inflicted, attributable primarily to foreign, government approved transactions having no particular New York orientation and occasioning injury here only by reason of the circumstance that plaintiff’s purchasing branch happens to be situated here, is not redressable under New York State’s antitrust statute. That this is so is demonstrable when the Donnelly Act is considered in the context of federal antitrust law.

Assuming that the extraterritorial reach of the Donnelly Act is as extensive as that of its federal counterpart, the Sherman Act—an assumption that we do not ultimately embrace—it seems fairly clear that the Sherman Act would not reach a competitive restraint, imposed by participants in a British marketplace, that only incidentally affected commerce in this country.

The Sherman Act’s extraterritorial reach is limited under the Foreign Trade Antitrust Improvements Act (FTAIA) of 1982 (15 USC § 6a), which provides that the Sherman Act “shall not apply to conduct involving [non-import] trade or commerce . . . with foreign nations.” The only ground for excepting to this general rule of inapplicability where imports are not involved¹⁰ is where the conduct has a “direct, substantial, and reasonably foreseeable effect” on domestic commerce, and “such effect gives rise to a [Sherman Act] claim” (15 USC § 6a [1] [A]; [2]; *F. Hoffmann-La Roche Ltd v Empagran S. A.*, 542 US 155, 162 [2004]). The London conspiracy here alleged was, according to the complaint, worldwide in its orientation; there is nothing in the pleadings to justify an inference that it targeted United States commerce specially or that its effect upon commerce in

10. There is no contention that the reinsurance product purchased by plaintiff at the Lloyd’s marketplace was an import. Nor are there allegations that the alleged conspiracy was directed at any defined import market in this country (see *Animal Science Prods., Inc. v China Minmetals Corp.*, 654 F3d 462, 471 n 11 [3d Cir 2011]).

this country was substantial. Even if there were, however, the viability of a Sherman Act claim would still finally depend upon whether the domestic effect of the foreign conspiracy would itself “give rise” to a claim under the Sherman Act (*id.*). Plaintiff, although alleging individual injury in New York, has not alleged harm to competition in this country (*see E & L Consulting, Ltd. v Doman Indus. Ltd.*, 472 F3d 23, 28 n 3 [2d Cir 2006], *cert denied* 552 US 816 [2007] [“It should go without saying . . . that a party cannot establish antitrust injury without establishing a violation of the antitrust laws, which, under Section 1 (of the Sherman Act), must involve an injury to competition”]). The only harm to competition alleged is within a particular London reinsurance marketplace. It seems clear that even if plaintiff had an otherwise viable Sherman Act claim based on harm to competition in the relevant global market, which it does not, it still would not, premised on its allegations of domestic harm, have a jurisdictional predicate for that claim. It is not necessary to know precisely the extent of the Donnelly Act’s extraterritorial reach to understand that it cannot reach foreign conduct deliberately placed by Congress beyond the Sherman Act’s jurisdiction. The federal limitation upon the reach of the Sherman Act, predicated upon and an expression of the essentially federal power to regulate foreign commerce, would be undone if states remained free to authorize “little Sherman Act” claims that went beyond it. The established presumption is, of course, against the extraterritorial operation of New York law (*see McKinney’s Consolidated Laws of NY*, Book 1, Statutes § 149), and we do not see how it could be overcome in a situation where the analogue federal claim would be barred by congressional enactment.

It is not an answer to this analysis to observe, as plaintiff does, that under the McCarran-Ferguson Act (15 USC § 1011 *et seq.*) regulation of the “business of insurance” is committed to the states (15 USC § 1012 [b]). What is at issue here is not in the main the regulation of the “business of insurance,” a matter within the special competence and jurisdictional reach of domestic state regulators, but the address of a purported foreign conspiracy to restrain trade, a matter to be dealt with, if at all, under the significantly distinct antitrust rubric (*see Group Life & Health Ins. Co. v Royal Drug Co.*, 440 US 205, 210-211 [1979]). The question now before us—as to the extraterritorial reach of our state antitrust law—is, then, not one as to which the McCarran-Ferguson Act commitment is relevant. What is

instead highly relevant is that the Donnelly Act's reach must be understood as part of a jurisdictional continuum whose outermost extension is defined by federal antitrust law. While it is true that the scope of federal subject matter jurisdiction under the Sherman Act, as limited by the FTAIA and federal decisions following *Empagran* (542 US 155 [2004], *supra*) is frequently far from obvious, we think it sufficiently evident that the Sherman Act would not reach the purely foreign conspiracy here claimed, the anticompetitive effect of which beyond the Lloyd's marketplace is not made out.

Nonetheless, we do not ultimately ground our determination that the Donnelly Act does not reach the presently claimed conspiracy upon the FTAIA. Even if the Sherman Act could reach the purported conspiracy, it would not follow that the Donnelly Act should be viewed as coextensive. For a Donnelly Act claim to reach a purely extraterritorial conspiracy, there would, we think, have to be a very close nexus between the conspiracy and injury to competition in this state. That additional element is not discernible from the pleadings before us. It would be a very great, and we think unwarranted, supposition that the authors of the Donnelly Act intended to allow, on a predicate such as the one here alleged, the sort of highly intrusive international projection of state regulatory power now proposed.

Having said this, it should be emphasized that our decision should not be understood as placing some new limitation on the reach of the Donnelly Act. This is simply a rare instance in which a state antitrust action has tested the outer jurisdictional limits not only of state but federal antitrust law.

Accordingly, the order of the Appellate Division should be reversed, with costs, the judgment of Supreme Court reinstated and the certified question answered in the negative.

SMITH, J. (concurring). I agree with the result reached by the majority, and with most of the reasoning in the majority opinion. My only reservation is about the majority's analysis (which, as it acknowledges, is not essential to its decision) of whether the allegations in the complaint would state a claim under the federal antitrust laws. The implications of the Foreign Trade Antitrust Improvements Act of 1982 (15 USC § 6a) for this case (and for many other cases) are, to me at least, far less than clear. I would prefer to express no opinion about them, and simply to rely on the state law grounds explained at page 736 of the majority opinion (and on the similar reasoning contained in

the Appellate Division dissent [82 AD3d 26, 40-41 (2011)]), which sufficiently support the conclusion that the extraterritorial reach of the Donnelly Act does not extend to the transactions at issue here.

Judges CIPARICK, GRAFFEO, READ and JONES concur with Chief Judge LIPPMAN; Judge SMITH concurs in a separate opinion, except insofar as Chief Judge LIPPMAN's opinion discusses whether the allegations of the complaint would state a claim under the federal antitrust laws, in which Judge PIGOTT concurs.

Order reversed, etc.

[967 NE2d 1160, 944 NYS2d 715]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SAMUEL
JACKSON, Appellant.

Argued February 16, 2012; decided March 27, 2012

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in Second Judicial Department, entered January 22, 2010. The Appellate Term affirmed a judgment of the Criminal Court of the City of New York, Kings County (Alexander B. Jeong, J.), which had convicted defendant, upon his plea of guilty, of criminal possession of marihuana in the fifth degree.

People v Jackson, 27 Misc 3d 5, affirmed.

HEADNOTES

**Crimes — Plea of Guilty — Forfeiture of Right to Raise Issues on
Appeal — Jurisdictional Sufficiency of Accusatory Instrument**

1. Defendant forfeited most appellate claims by pleading guilty to fifth-degree criminal possession of marihuana but he retained the right to challenge the jurisdictional sufficiency of the accusatory instrument charging him with that crime because a valid and sufficient accusatory instrument is a non-waivable jurisdictional prerequisite to criminal prosecution. Since defendant did not waive the right to be tried for that misdemeanor offense by information, his claim of jurisdictional insufficiency must be assessed based on the standards governing an information, which is valid for jurisdictional purposes if it contains nonconclusory factual allegations that, if assumed to be true, address each element of the crime charged, thereby affording reasonable cause to believe that defendant committed that offense. Although an information should also be based on nonhearsay allegations, a purported hearsay defect in an accusatory instrument is nonjurisdictional and, thus, forfeited by a guilty plea. However, defendant did not rely on hearsay deficiencies, but argued that the accusatory instrument failed to include sufficient nonconclusory factual allegations relating to two elements of the charged offense, a claim that would, if meritorious, be jurisdictional in nature.

**Crimes — Controlled Substances — Possession of Marihuana —
Automobile as “Public Place”**

2. An information charging defendant with criminal possession of marihuana in the fifth degree (Penal Law § 221.10 [1]) for possession of marihuana while in his vehicle on a public street adequately alleged the element of that crime requiring possession in a “public place.” The definition of “public place” was incorporated by reference from Penal Law § 240.00 (1), which includes “highways” as public places. That defendant was in his personal automobile did not alter the fact that he was on a highway and, therefore, in a public place when he was seen in possession of marihuana. The question is not whether a person’s automobile is “public” or “private” but whether defendant was in a public place when he was in his car on the street. A driver of a

personal automobile will be in a public place only when the vehicle is in a location that qualifies under the statute as a public place. In contrast, by defining certain vehicles used for public transportation—such as a bus—as themselves constituting “public places,” the Legislature made the location of those vehicles at the time of the crime irrelevant; they are “public places” whether they are being driven on a highway or are parked in a private parking lot.

Crimes — Controlled Substances — Possession of Marihuana — Marihuana “Open to Public View”

3. An information charging defendant with criminal possession of marihuana in the fifth degree (Penal Law § 221.10 [1]), alleging that a police officer observed the defendant holding a quantity of marihuana in his hand while defendant was in his vehicle on a public street, included sufficient nonconclusory allegations relating to the element of the crime requiring the marihuana to be burning or open to public view. A determination that a particular item is “open to public view,” a term that is not specifically defined, does not require the exercise of professional skill or experience on the part of a police officer warranting a specialized explanation. Thus, the basis for such an allegation could be discerned by drawing reasonable inferences from all the facts set forth in the accusatory instrument. Here, the accusatory instrument alleged that, upon approaching the vehicle, the officer “smelled a strong odor of marihuana emanating from inside . . . the vehicle” and “observed the defendant holding a quantity of marihuana in [his] hand, open to public view.” Additional allegations indicated that the contraband was in a ziplock bag. Although the officer did not describe the precise location of defendant’s hand, since she was standing outside the vehicle when she saw the substance in the ziplock bag, those allegations supported the inference that any other member of the public could also have seen the marihuana from the same vantage point—meaning that the marihuana was in an unconcealed area of the vehicle that would have been visible to a passerby or other motorist.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

- AM JUR 2d, Appellate Review §§ 581, 582; AM JUR 2d, Criminal Law §§ 670–672; AM JUR 2d, Drugs and Controlled Substances §§ 150, 151, 156, 161; AM JUR 2d, Indictments and Informations §§ 76, 82, 93, 133.
- CARMODY-WAIT 2d, Commencing the Prosecution; Grand Jury §§ 178:17–178:19; CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:46, 182:51; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:14, 207:16.
- LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 19.3, 21.6, 27.5.
- McKINNEY’S, Penal Law § 221.10 (1); § 240.00 (1).
- NY JUR 2d, Criminal Law: Procedure §§ 956–958, 1486, 1487, 3479, 3510; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1730, 1813.

ANNOTATION REFERENCE

Validity and effect of criminal defendant’s express waiver

of right to appeal as part of negotiated plea agreement. 89 ALR3d 864.

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POINTS OF COUNSEL

Legal Aid Society, New York City (*Jonathan Garelick* and *Steven Banks* of counsel), for appellant. Where a police officer saw marihuana in appellant's hand after she pulled over his car for a traffic infraction, the information charging criminal possession of marihuana in the fifth degree failed to allege that appellant possessed the substance in a public place; the information also failed to sufficiently allege that the marihuana was in open view. (*People v Alejandro*, 70 NY2d 133; *People v Jones*, 9 NY3d 259; *People v Hall*, 48 NY2d 927; *People v Case*, 42 NY2d 98; *People v Casey*, 95 NY2d 354; *People v Dumas*, 68 NY2d 729; *People v Dreyden*, 15 NY3d 100; *People v Kalin*, 12 NY3d 225; *People v Weinberg*, 34 NY2d 429; *People v McNamara*, 78 NY2d 626.)

Charles J. Hynes, District Attorney, Brooklyn (*Shulamit Rosenblum Nemec* and *Leonard Joblove* of counsel), for respondent. The accusatory instrument was facially sufficient. (*People v Keizer*, 100 NY2d 114; *People v Kalin*, 12 NY3d 225; *People v Alejandro*, 70 NY2d 133; *People v Konieczny*, 2 NY3d 569; *People v Casey*, 95 NY2d 354; *Smith v County of Nassau*, 34 NY2d 18; *People v Coffey*, 12 NY2d 443; *People v Case*, 42 NY2d 98; *People v Hansen*, 95 NY2d 227; *People v Jones*, 9 NY3d 259.)

OPINION OF THE COURT

GRAFFEO, J.

After he was found with marihuana during a traffic stop, defendant Samuel Jackson pleaded guilty to criminal possession of marihuana in the fifth degree. On appeal, he argued that the accusatory instrument charging him with that crime was jurisdictionally deficient because it failed to adequately allege that he was in a "public place" and that the marihuana was "open to public view"—two elements of the fifth degree possession offense. Rejecting defendant's argument, the Appellate Term affirmed defendant's conviction (27 Misc 3d 5 [2010]) as do we.

While operating his vehicle on a public street in Brooklyn, defendant committed a traffic infraction that was witnessed by a police officer. When the officer pulled him over and approached his vehicle, she detected a strong odor of marihuana and saw defendant holding a ziplock bag of marihuana in his hand. Other items of contraband were subsequently discovered as a consequence of the motor vehicle stop, including more than a dozen bags of marihuana. Defendant was ultimately charged with one count of criminal possession of marihuana in the fifth degree, two counts of unlawful possession of marihuana and other offenses. He pleaded guilty to criminal possession of marihuana in the fifth degree in satisfaction of all the charges and was sentenced to five days in jail.

Despite the guilty plea, defendant appealed his conviction to the Appellate Term, arguing that the accusatory instrument charging him with the fifth-degree possession offense was jurisdictionally deficient. Defendant contended that, because he was in a private vehicle, he was not in a public place when he was found in possession of marihuana. He further asserted that the police officer's allegation that he was holding the marihuana in his hand exposed to public view was too conclusory to satisfy that element of the offense. The Appellate Term rejected these arguments and declined to disturb defendant's conviction. A Judge of this Court granted defendant leave to appeal (16 NY3d 832 [2011]).

[1] By pleading guilty, defendant forfeited most appellate claims but he retained the right to challenge the jurisdictional sufficiency of the accusatory instrument because “[a] valid and sufficient accusatory instrument is a nonwaivable jurisdictional prerequisite to a criminal prosecution” (*People v Dreyden*, 15 NY3d 100, 103 [2010], quoting *People v Case*, 42 NY2d 98, 99 [1977]). Since defendant did not waive the right to be tried for this misdemeanor offense by information, we must assess his claim based on the standards governing an information (see *People v Kalin*, 12 NY3d 225, 228 [2009]). An information is valid for jurisdictional purposes if it contains nonconclusory factual allegations that, if assumed to be true, address each element of the crime charged, thereby affording reasonable cause to believe that defendant committed that offense (*People v Konieczny*, 2 NY3d 569, 575 [2004]; see CPL 100.40 [1] [c]). Although an information should also be based on nonhearsay allegations, we have clarified that “a purported hearsay defect in an accusatory instrument is nonjurisdictional and, thus,

forfeited by a guilty plea” (*Konieczny* at 575, quoting *People v Keizer*, 100 NY2d 114, 121 [2003]). Here, defendant does not rely on hearsay deficiencies, but argues that the accusatory instrument failed to include sufficient nonconclusory factual allegations relating to two elements of the charged offense. Thus, if meritorious, the claim he raises would be jurisdictional in nature, as the People concede.

To resolve defendant’s challenge to the accusatory instrument we must review the elements of criminal possession of marihuana in the fifth degree, which is defined in Penal Law § 221.10 (1). This offense was created in 1977 when the Legislature added article 221 to the Penal Law (L 1977, ch 360). The new article restructured marihuana possession offenses with the intent to reduce criminal culpability for the possession of a small quantity of marihuana for personal use in a private place (such as in the home), making such conduct a violation when it had previously been a misdemeanor (Mem of Assembly Comm on Codes, Bill Jacket, L 1977, ch 360). However, the Legislature did not alter its view that the possession or use of marihuana in public constituted a crime. Toward that end, Penal Law § 221.10 was enacted creating the misdemeanor offense of criminal possession of marihuana in the fifth degree. Under the subsection at issue in this case, “[a] person is guilty of criminal possession of marihuana in the fifth degree when he knowingly and unlawfully possesses . . . marihuana in a public place, as defined in section 240.00 of this chapter, and such marihuana is burning or open to public view” (Penal Law § 221.10 [1]). Defendant contends that the accusatory instrument was jurisdictionally deficient because it failed to allege that he was in a public place since he was in his vehicle when he was discovered with the marihuana and the allegations were too conclusory to support the inference that the marihuana was “open to public view.” We address each argument in turn.

Public Place

When the Legislature made possession in a “public place” an element of criminal possession of marihuana in the fifth degree, it did not assign that term a specific meaning that would be unique to that offense (*see e.g.* Penal Law § 240.37 [“Loitering for the purpose of engaging in a prostitution offense”]), nor did it leave the phrase undefined (*see e.g. People v McNamara*, 78 NY2d 626 [1991] [interpreting “public place” element in public lewdness statute where Legislature did not define that term or

cross-reference a definition existing elsewhere in the Penal Law]). Instead, it incorporated by reference a preexisting definition of the phrase from article 240, a separate Penal Law article relating to a broad range of offenses against public order. Under Penal Law § 240.00 (1), a “public place” is

“a place to which the public or a substantial group of persons has access, and includes, but is not limited to, highways, transportation facilities, schools, places of amusement, parks, playgrounds, and hallways, lobbies and other portions of apartment houses and hotels not constituting rooms or apartments designed for actual residence.”

In this case, where defendant was found in possession of marihuana during a motor vehicle stop on a public street, the People alleged that defendant was in a “public place” because he was on a “highway”—a location that the Legislature specifically designated as a public place in Penal Law § 240.00 (1).*

[2] Defendant does not dispute that a public street is a highway within the meaning of Penal Law § 240.00 (1). Rather, he contends that he was not in a public place because he was situated inside his vehicle when the officer observed marihuana in his hand. Thus, defendant characterizes the issue as whether the interior of a car used for personal transportation is a “public place.” Although defendant acknowledges that a pedestrian walking on a public street would be in a “public place,” under his rationale a location would change from a public street to a private place if a person is in a private vehicle. We disagree.

With one exception, Penal Law § 240.00 (1) defines a “public place” in terms of fixed physical locations—highways, schools, parks and the like—declaring these spaces to be public no matter whether a person is standing still or moving through them and regardless of the particular means of locomotion in use, if any. Thus, though certainly relevant to the second issue we address (the “open to public view” element), for purposes of the Penal Law § 240.00 (1) definition of “public place,” the fact that

* In concluding that defendant was not in a public place because he was in his car, the dissent relies exclusively on the first clause of Penal Law § 240.00 (1) which contains a general “catch-all” definition—“a place to which the public or a substantial group of persons has access.” Thus, the dissent overlooks the fact that the Legislature had previously determined that a highway is a public place, thereby obviating the need to resort to the catch-all provision. In any event, it can hardly be argued that a public street is not accessible to a substantial number of persons.

defendant was in his personal automobile does not alter the fact that he was on a highway—and was therefore in a public place—when he was seen in possession of marihuana. Insofar as the “public place” element is concerned, his situation is no different than if he were riding a bicycle on a highway or walking on a public street.

Focusing on the exception to the statute’s general rule that a “public place” is a fixed physical location, defendant notes that the provision also incorporates “transportation facilities” which are defined to include not only certain physical spaces (e.g. airports and train stations) but also vehicles used for public passenger transportation, such as “aircraft, watercraft, railroad cars, buses” and the like (*see* Penal Law § 240.00 [2]). By referencing certain types of public transit in the definition of “public place,” defendant argues that the Legislature must have intended to exclude privately-owned automobiles used exclusively for personal transportation, intending such vehicles to be private. Again, the question is not whether a person’s automobile is “public” or “private” but whether defendant was in a public place when he was in his car on the street. The People do not argue that a privately-owned vehicle used exclusively for personal transportation is a “public place” akin to a subway train or public bus. Rather, a driver of a personal automobile will be in a public place only when the vehicle is in a location that qualifies under the statute as a public place. In contrast, by defining certain vehicles used for public transportation—such as a bus—as themselves constituting “public places,” the Legislature made the location of those vehicles at the time of the crime irrelevant; they are “public places” whether they are being driven on a highway or are parked in a private parking lot. The Legislature’s decision to broadly incorporate public transit vehicles within the definition of “public place” regardless of their location in no way undermines our conclusion that a person is in a public place when located on a highway even if he or she is inside a personal automobile.

In fact, the contrary view of the statute propounded by defendant and the dissent would distinguish unfairly between those prosecuted for less serious violations and those subject to misdemeanor convictions. For example, under their rationale, because the “public place” element would be lacking, a person smoking marihuana while sitting in a parked personal vehicle on a public street with the windows open, readily observable to

anyone passing by, would be guilty of nothing more than a violation (the same offense that would apply were the person at home)—while a person standing just outside the vehicle in the same location engaged in the same behavior would be guilty of misdemeanor possession under Penal Law § 221.10 (1). This would be true even though both hypothetical parties would have engaged in conduct that impacted the public in precisely the same manner. Although acknowledging that the marijuana possession offenses were restructured to reduce penalties for private marijuana possession or use in some circumstances, the dissent and defendant would extend the 1977 reforms well beyond the private conduct the Legislature intended to address, encompassing behavior that can fairly be described as occurring in public.

Moreover, given that the Penal Law § 240.00 (1) definition of “public place” applies to a wide variety of crimes, many involving conduct bearing little similarity to the marijuana possession offense to which defendant pleaded guilty, it would be imprudent to give the phrase the restricted reading urged by defendant and the dissent. A holding that a person in a private vehicle can never be in a public place could have a far-reaching impact on the scope of other offenses—leading to results likely never intended by the Legislature. For example, under Penal Law § 240.62, entitled “[p]lacing a false bomb or hazardous substance in the first degree,” it is a class D felony to position in a “public place any device or object that by its design, construction, content or characteristics appears to be . . . a bomb, destructive device, explosive or hazardous substance, but is, in fact, an inoperative facsimile or imitation of such a bomb.” Were we to conclude that the interior of a private automobile is not a “public place” under the Penal Law § 240.00 (1) definition, then a person that put a convincing—though fake—bomb on the passenger seat of a private vehicle and parked it on the street in front of a government building would not be guilty of this offense, despite the significant public disruption, fear and even chaos that would likely ensue when the device was observed by the police or a passing civilian. Similarly, were we to conclude that a highway is not a public place as long as an individual remains inside a private vehicle, then someone who engaged in harassment by slowly traveling alongside a pedestrian walking on a secluded public street, thereby placing that person in reasonable fear of physical injury, might avoid prosecution for harassment in the first degree (Penal Law § 240.25).

Under the theory suggested by defendant and the dissent, by electing to follow the victim in an automobile rather than on foot, the offender would have negated the “public place” element of that offense. Considered in this broader light, we are unpersuaded that the Legislature could have intended the definition of “public place” to have the narrow meaning they ascribe to it.

For all of these reasons, we reject defendant’s argument that the accusatory instrument was deficient because it failed to adequately allege that defendant—seen in possession of marihuana while in his vehicle on a public street—was in a public place within the meaning of Penal Law § 240.00 (1).

Open to Public View

Next, defendant contends that even if he was in a public place, the accusatory instrument was nonetheless deficient because the allegations that the marihuana was “open to public view” were too conclusory to establish a prima facie case. The requirement that an accusatory instrument contain nonconclusory allegations is part of the prima facie case requirement. We have explained that “[s]o long as the factual allegations of an information give an accused notice sufficient to prepare a defense and are adequately detailed to prevent a defendant from being tried twice for the same offense, they should be given a fair and not overly restrictive or technical reading” (*Kalin*, 12 NY3d at 230, quoting *Konieczny*, 2 NY3d at 575 [additional citation omitted]). That being said, we have stressed that when an allegation involves a conclusion drawn by a police officer that involves the exercise of professional skill or experience, some explanation concerning the basis for that conclusion must be evident from the accusatory instrument. Otherwise, the allegation will be deemed too conclusory to meet the reasonable cause requirement (see *Kalin* [where item that was observed by officer was described as a controlled substance without having been subjected to laboratory testing, officer was required to explain basis for that conclusion]; see also *Dreyden* [where officer identified a knife as a gravity knife without describing the knife’s characteristics or otherwise explaining how he reached that conclusion, allegation was too conclusory to meet prima facie case requirement]).

In this case, defendant’s claim of unduly conclusory allegations relates to the “open to public view” element, which is not defined either in Penal Law § 221.10 (1) or elsewhere. But in

keeping with the policy underlying the 1977 restructuring of marihuana possession offenses, it is evident that the Legislature included this requirement to limit the criminal culpability of a party that possesses a small quantity of marihuana in a public place but does so in a manner that conceals the drug. In many respects, this element speaks more directly to the legislative concern for personal privacy—whether an individual is in a private automobile or elsewhere—than the “public place” element. That marihuana must be “open to public view” (or burning) to support prosecution under Penal Law § 221.10 (1) ensures that a pedestrian walking on a public street carrying an inconsequential amount of marihuana secreted in a bag or pocket would not be subject to misdemeanor prosecution. When considered in the context of this case, it is this element that recognizes that, although a vehicle may be located in a public place, this does not mean that its occupants and owners have relinquished privacy interests in items concealed inside. Thus, it is the “open to public view” requirement—rather than the “public place” provision—that addresses the concern expressed by the dissent that personal automobiles are, in some respects, private in the sense that certain areas within the interior of an automobile are hidden from view (*see* dissenting op at 749).

[3] Defendant contends that the accusatory instrument in this case was too conclusory to provide reasonable cause to believe that the marihuana was open to public view. Although not a model of specificity, we conclude that the allegations were jurisdictionally sufficient. A determination that a particular item is “open to public view” does not require the exercise of professional skill or experience on the part of a police officer warranting a specialized explanation. Thus, in most cases the basis for such an allegation can be discerned by drawing reasonable inferences from all the facts set forth in the accusatory instrument. Here, the accusatory instrument alleges that, upon approaching the vehicle, the officer “smelled a strong odor of marihuana emanating from inside the . . . vehicle” and “observed the defendant holding a quantity of marihuana in [his] hand, open to public view.” Additional allegations—in which the officer explains the basis for her conclusion that the substance was marihuana (*see Kalin*, 12 NY3d 225 [2009])—indicate that the contraband was in a ziplock bag. Although the officer did not describe the precise location of defendant’s hand, since she was standing outside the vehicle when she saw the

substance in the ziplock bag, these allegations support the inference that any other member of the public could also have seen the marihuana from the same vantage point—meaning that the marihuana was in an unconcealed area of the vehicle that would have been visible to a passerby or other motorist. Indeed, the statute does not require that a member of the public (other than a law enforcement officer) have actually seen the contraband—it requires only that the substance have been “open” or unconcealed in a manner rendering it susceptible to such viewing. The allegations were therefore sufficient to supply a jurisdictionally adequate accusatory instrument.

Accordingly, the order of the Appellate Term should be affirmed.

Chief Judge LIPPMAN (dissenting). Thirty-five years ago, recognizing the dangers to society and individuals inherent in overcriminalization, the Legislature amended the Penal Law to lessen the burden on an already overtaxed justice system by decriminalizing private possession of small amounts of marihuana. The majority’s conclusion that a private car on a highway is a “public place” under Penal Law § 240.00 (1) and § 221.10 (1) is not only contrary to the plain meaning of the statutory language, but also fails to accord sufficient weight to the broader legislative intent. The purpose of the subject Penal Law amendments was to decrease the penalty for nonviolent private conduct that does not pose a threat to public safety, while making clear that such behavior was still illegal and not to be condoned or encouraged.¹ For these reasons, I respectfully dissent.

A public place is defined in the statute as “a place to which the public or a substantial group of persons has access” (Penal Law § 240.00 [1]). The idea that the public or a substantial group of persons has access to the interior of a private car, whether traveling or parked, such that drivers and all passengers in private cars on public roads are in a “public place,” contravenes the plain meaning of the statute’s words. The majority claims that defendant’s “situation is no different than if

1. It is noteworthy that possession of alcohol in an open container in a motor vehicle on the highway is unlawful, but it is a traffic infraction, not a crime. Vehicle and Traffic Law § 1227 (1), provides, in relevant part, that “[t]he drinking of alcoholic beverages, or the possession of an open container containing an alcoholic beverage, in a motor vehicle located upon the public highways or right-of-way public highway is prohibited. Any operator or passenger violating this section shall be guilty of a traffic infraction.”

he were riding a bicycle on a highway” (majority op at 744), but a car, unlike a bicycle which is clearly open and exposed to public access, is an enclosed private space. Based on the definition in the statute, the interior of a private car is a private place whether it is on a highway or in a privately owned driveway. The majority glosses over this key distinction by incorrectly characterizing the question in this case as “not whether a person’s automobile is ‘public’ or ‘private’ but whether defendant was in a public place when he was in his car on the street” (majority op at 744).

Criminal statutes must be interpreted in terms of their plain meaning (*see* Penal Law § 5.00 [providing that “the provisions (of this chapter) must be construed according to the fair import of their terms to promote justice and effect the objects of the law”]; *see also* *People v Miller*, 70 NY2d 903, 906 [1987] [recognizing that “(a)lthough criminal statutes are no longer to be strictly construed, they are to be construed ‘according to the fair import of their terms’ ” and that “(o)nly conduct that ‘falls within the plain, natural meaning of the language of a Penal Law provision may be punished as criminal’ ”] [citations omitted]). The majority broadens the scope of the statute beyond what the words of that provision reasonably convey. It is important to keep in mind that the underlying offense in this case is a low-level possessory violation, which under certain specific circumstances (namely when occurring in public)—and *only* under those circumstances—is transformed into a crime. The majority, in elevating a violation to a misdemeanor crime, without justification, has failed to adhere to the plain meaning of the statute.

We have recognized, in the context of determining whether a statute was unconstitutionally indefinite, that

“[s]tatutes which create crimes must be definite in specifying conduct which is condemned or prohibited. They must afford some comprehensible guide, rule or information as to what must be done and what must be avoided, to the end that the ordinary member of society may know how to comply with its requirements” (*People v Grogan*, 260 NY 138, 145 [1932]).

Although this case presents a quite different question, as the statutory language here is clear and unambiguous and has not been challenged as void, our reasoning in *Grogan* demonstrates that one of the functions of a criminal statute is to notify the public what behavior constitutes criminal conduct.

The majority's decision runs afoul of these fundamental principles and conflicts with the reasonable interpretation of the statute as written. Certainly, the Legislature *could have* included all motor vehicles within the definition of a "public place." Had the Legislature intended such meaning, it would have used language to that effect, and indeed it has done just that in another context (*see* Penal Law § 240.37 [1] [prohibiting "(l)oitering for the purpose of engaging in a prostitution offense," and defining a "public place" as "any street, sidewalk, bridge, alley or alleyway, plaza, park, driveway, parking lot or transportation facility or the doorways and entrance ways to any building which fronts on any of the aforesaid places, *or a motor vehicle in or on any such place*"] [emphasis added]). If the Legislature desired to include private cars in the definition of "public place" prescribed by Penal Law § 240.00 (1), it seems rather odd that it did not include them in much the same way it did in Penal Law § 240.37 (1). The Legislature's choice lends itself to only one logical conclusion—that it deliberately excluded private cars from the meaning of "public place" in this particular statute while reserving and exercising the right to classify such vehicles as public places in other contexts. This choice is entirely rational and it is not for this Court to determine whether it represents an unwise policy decision. Moreover, this choice is consistent with the objectives underlying decriminalization of private possession of small amounts of marihuana.

Not every unlawful act is also criminal, and in decriminalizing certain conduct, the Legislature recognized a need to provide for "more lenient treatment of marihuana offenses, as opposed to those involving other drugs" (*People v Finley*, 10 NY3d 647, 658 [2008]; *compare* Penal Law § 221.05 [entitled "*(u)nlawful* possession of marihuana"] [emphasis added], *with* Penal Law § 221.10 [entitled "*(c)riminal* possession of marihuana in the fifth degree"] [emphasis added]). This distinction is more than a mere difference in wording and it is a significant one. It reflects the view that when people are needlessly "arrested and prosecuted for simply possessing marihuana," lives are ruined, and police and judicial resources are wasted (Mem of Assembly Comm on Codes, Bill Jacket, L 1977, ch 360).² The Legislature determined that decriminalization was necessary in

2. In a case in which a person's possession of a small amount of marihuana in a private car is harmful to the public, such as where a driver's abilities are impaired by the use of the substance, that person may be prosecuted under

(n. cont'd)

order to conserve public resources and avoid the “staggering” costs to society caused by prosecution of possession of small amounts of marihuana, and that it was important that people who possess inconsequential amounts of the substance for personal, private use would no longer have to live in fear of criminal penalties (*see id.*). These changes made it extremely important for courts to properly distinguish between criminal possession and noncriminal (but unlawful) possession in order to avoid the adverse consequences of overcharging, including the stigmatization arising from a misdemeanor conviction resulting in a permanent criminal record.

In making the distinction between conduct that amounts to a violation and criminal behavior, the Legislature identified two key factors. In order for possession to qualify as a violation, warranting only a fine of up to \$100, the amount possessed must be small (under 25 grams)³ and the possession must occur somewhere that is not designated as a “public place” within the meaning of Penal Law § 240.00. Here, these requirements were met.

Contrary to the majority’s contention, it is expanding the scope of Penal Law § 240.00 (1) to include private vehicles that may lead to absurd results. For example, a person in possession of a small quantity of marihuana while parked on a public street adjacent to his home would be guilty of a crime whereas if he moved the car by a matter of feet to his driveway, he would be responsible only for a violation; a recreational vehicle parked at an otherwise empty rest stop or a privately owned car on an isolated road would be deemed “public places” for purposes of Penal Law § 221.10 (1).

Because the possession did not occur in a “public place,” there is no need to reach the “public view” element of the crime. However, I find the majority’s analysis to be flawed with regard to that element as well. The majority correctly notes that the accusatory instrument was “not a model of specificity” (majority op at 747), but then goes on to conclude that it was nevertheless jurisdictionally sufficient. The police officer’s statement in

other statutes, but he or she would not be guilty of criminal possession of marihuana in the fifth degree.

3. The Marihuana Reform Act of 1977 (L 1977, ch 360) decriminalized possession of under 25 grams of marihuana (*see also People v Finley*, 10 NY3d at 658; Penal Law § 221.05 [providing that “(a) person is guilty of unlawful possession of marihuana when he knowingly and unlawfully possesses marihuana. Unlawful possession of marihuana is a violation punishable only by a fine of not more than one hundred dollars”]).

the accusatory instrument with respect to this element is brief and conclusory. The accusatory instrument states that the police officer “conducted a car stop” after observing defendant make a turn without signaling and then that she “observed the defendant holding a quantity of marihuana in [his] hand, open to public view.” While it utilizes the phrase “open to public view” from the statute, it does so in a manner that makes it impossible to determine whether the marijuana was in a place that could have been seen by members of the public. Although a vast amount of detail need not be provided in order for an accusatory instrument to be considered jurisdictionally valid, the statement here provides no information about the officer’s vantage point or how she determined that the marihuana was open to public view. Rather, it simply concludes that it was.

The majority misapplies the applicable statutory provision in concluding that the possession of marihuana in this case occurred in a “public place.” The Court’s ruling criminalizes the private conduct in this case, contrary to the clear legislative intent of Penal Law article 221. The majority’s argument that the accusatory instrument provided reasonable cause to conclude that the marihuana was open to “public view,” thereby rendering the instrument jurisdictionally adequate, is unpersuasive. Accordingly, I respectfully dissent and would reverse the order of the Appellate Term.

Judges CIPARICK, READ, SMITH and PIGOTT concur with Judge GRAFFEO; Chief Judge LIPPMAN dissents and votes to reverse in a separate opinion in which Judge JONES concurs.

Order affirmed.

[967 NE2d 1170, 944 NYS2d 725]

BRUCE OVITZ, on Behalf of Himself and All Others Similarly Situated, Appellant, v BLOOMBERG L.P. et al., Respondents.

Argued February 8, 2012; decided March 27, 2012

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 21, 2010. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, New York County (Judith J. Gische, J.; op 2009 NY Slip Op 32397[U] [2009]), as had denied that part of defendants' motion to dismiss the first, fifth and sixth causes of action, (2) granted the motion in its entirety, and (3) dismissed the complaint.

Ovitz v Bloomberg L.P., 77 AD3d 515, affirmed.

HEADNOTES

Consumer Protection — Deceptive Acts and Practices — Automatic Renewal of Lease of Personal Property — Lack of Injury

1. In an action arising out of the automatic renewal of a lease for personal property where defendant financial services provider waived all early termination buy-out and collection fees two weeks after plaintiff filed suit, plaintiff's claims under General Business Law § 349 and General Obligations Law §§ 5-901 and 5-903 were properly dismissed since plaintiff had not suffered any harm as a result of defendant's alleged practices. Assuming that an implied private right of action lies pursuant to General Obligations Law §§ 5-901 and 5-903, which require notification prior to the renewal of leases and service contracts for personal property containing automatic renewal provisions, plaintiff did not pay any service termination fees, nor did he pay for services he did not receive; thus, no monetary damages were incurred. Despite the allegation in the complaint that plaintiff's credit rating had been impaired, defendant's concession that the automatic renewal provision clause was rendered unenforceable and waiver of its claims to termination fees ceased any threat of injury. Moreover, plaintiff's General Business Law § 349 claim, relating to deceptive acts and practices, was also correctly dismissed for lack of injury since a prima facie showing requires allegations that defendant was engaged in an act that was deceptive or misleading in a material way and that plaintiff had been injured as a result.

Consumer Protection — Deceptive Acts and Practices — Automatic Renewal of Lease of Personal Property — Lack of Basis for Equitable Relief

2. In an action arising out of the automatic renewal of a lease for personal property where defendant financial services provider waived all early termination buy-out and collection fees two weeks after plaintiff filed suit, the Appellate Division properly dismissed plaintiff's claims for equitable relief. In light of the absence of actual injury and defendant's waiver of its claims for early

termination and collection fees, there was neither a justiciable controversy upon which a declaratory judgment could be rendered, nor the irreparable harm necessary for injunctive relief.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Bailments § 275; AM JUR 2d, Consumer and Borrower Protection §§ 258, 262, 273, 280; AM JUR 2d, Equity §§ 205, 230.

McKINNEY's, General Business Law § 349; General Obligations Law §§ 5-901, 5-903.

NY JUR 2d, Bailments and Chattel Leases §§ 109, 110, 116-118; NY JUR 2d, Consumer and Borrower Protection § 6; NY JUR 2d, Equity §§ 29, 30.

ANNOTATION REFERENCE

See ALR Index under Chattel Mortgages; Consumer Protection; Damages; Equity; Renewal.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: automatic! /3 renew! /p lease & dismiss! /p lack absence /s damage injury

POINTS OF COUNSEL

Tannenbaum Helpern Syracuse & Hirschtritt LLP, New York City (*Vincent J. Syracuse* and *Matthew J. Sinkman* of counsel), and *Sperling & Slater, P.C.*, Chicago Illinois (*Bruce S. Sperling*, *Mitchell H. Macknin* and *Greg Shinall* of counsel), for appellant. I. The applicable standard of review is de novo. (*Leon v Martinez*, 84 NY2d 83.) II. A private right of action is implied under the automatic renewal statutes. (*Sheehy v Big Flats Community Day*, 73 NY2d 629; *Telephone Secretarial Serv. v Sherman*, 28 AD2d 1010; *Chotapeg, Inc. v Bullowa*, 291 NY 70; *Negrin v Norwest Mtge.*, 263 AD2d 39.) III. The Deceptive Practices Act applies to appellant's claims because Bloomberg L.P.'s and Bloomberg Finance L.P.'s deceptive conduct occurred in New York. (*Karlin v IVF Am.*, 93 NY2d 282; *Oswego Laborers' Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20; *Matter of People v Telehublink Corp.*, 301 AD2d 1006; *People v H&R Block, Inc.*, 16 Misc 3d 1124[A], 2007 NY Slip Op 51562[U]; *People v Lipsitz*, 174 Misc 2d 571.) IV. Bloomberg L.P. and Bloomberg Finance L.P. cannot avoid declaratory and injunctive relief or frustrate a class action by unilaterally attempting to

moot the claims of a named plaintiff. (*James v Alderton Dock Yards*, 256 NY 298; *Deposit Guaranty Nat. Bank v Roper*, 445 US 326; *New York Foreign Trade Zone Operators, Inc. v State Liq. Auth.*, 285 NY 272; *Klostermann v Cuomo*, 61 NY2d 525; *Andin Intl. v Matrix Funding Corp.*, 194 Misc 2d 719; *Dime Laundry Serv. v 230 Apts. Corp.*, 120 Misc 2d 399; *Kalisch-Jarcho, Inc. v City of New York*, 72 NY2d 727; *Four Times Sq. Assoc. v Cigna Invs.*, 306 AD2d 4; *Board of Higher Educ. of City of N.Y. v Marcus*, 63 Misc 2d 268.)

Willkie Farr & Gallagher LLP, New York City (*Thomas H. Golden* and *Sameer Advani* of counsel), for respondents. I. No implied private right of action exists under General Obligations Law §§ 5-901 and 5-903. (*Sheehy v Big Flats Community Day*, 73 NY2d 629; *Kaminsky v Abrams*, 51 Misc 2d 5; *Super Glue Corp. v Avis Rent A Car Sys.*, 132 AD2d 604; *Brian Hoxie's Painting Co. v Cato-Meridian Cent. School Dist.*, 76 NY2d 207; *Concourse Nursing Home v Axiom Funding Group*, 279 AD2d 271; *Ludl Elecs. Prods. v Wells Fargo Fin. Leasing*, 6 AD3d 397; *Telephone Secretarial Serv. v Sherman*, 28 AD2d 1010; *Negrin v Norwest Mtge.*, 263 AD2d 39; *Andin Intl. v Matrix Funding Corp.*, 194 Misc 2d 719; *Chotapeg, Inc. v Bullowa*, 291 NY 70.) II. Bruce Ovitz fails to state a cause of action for violation of General Business Law § 349. (*Scott v Bell Atl. Corp.*, 282 AD2d 180; *Goshen v Mutual Life Ins. Co. of N.Y.*, 286 AD2d 229, 98 NY2d 314; *People v Lipsitz*, 174 Misc 2d 571; *Morrissey v Nextel Partners, Inc.*, 72 AD3d 209; *Drizin v Sprint Corp.*, 12 AD3d 245; *Gavin v AT&T Corp.*, 543 F Supp 2d 885; *Chiste v Hotels.com L.P.*, 756 F Supp 2d 382; *SimplexGrinnell LP v Integrated Sys. & Power, Inc.*, 642 F Supp 2d 167; *Kaufman v Sirius XM Radio, Inc.*, 751 F Supp 2d 681; *Sheth v New York Life Ins. Co.*, 273 AD2d 72.) III. Bruce Ovitz has not alleged any injury resulting from Bloomberg L.P.'s and Bloomberg Finance L.P.'s alleged conduct. (*Di Mascio v General Elec. Co.*, 27 AD3d 854; *Concourse Nursing Home v Axiom Funding Group*, 279 AD2d 271; *Ludl Elecs. Prods. v Wells Fargo Fin. Leasing*, 6 AD3d 397; *Matter of Acme Bus Corp. v Board of Educ. of Roosevelt Union Free School Dist.*, 91 NY2d 51; *Walker v City of New York*, 46 AD3d 278; *City of New York v Smokes-Spirits.Com, Inc.*, 12 NY3d 616; *Medical Socy. of State of N.Y. v Oxford Health Plans, Inc.*, 15 AD3d 206; *Cherny v Emigrant Bank*, 604 F Supp 2d 605; *Lincoln First Bank of Rochester v Barstro & Assoc. Contr.*, 49 AD2d 1025.) IV. Declaratory and injunctive relief are not warranted in this case. (*Rapp v Dime Sav. Bank of N.Y.*, 64 AD2d 964; *Lewis v Hertz Corp.*, 212 AD2d 476; *Deposit Guaranty*

Nat. Bank v Roper, 445 US 326; *Murray v Empire Ins. Co.*, 175 AD2d 693; *Lusardi v Xerox Corp.*, 975 F2d 964; *Greif v Wilson, Elser, Moskowitz, Edelman & Dicker LLP*, 258 F Supp 2d 157; *James v Alderton Dock Yards*, 256 NY 298; *Spitzer v Schussel*, 48 AD3d 233; *Klostermann v Cuomo*, 61 NY2d 525; *Andin Intl. v Matrix Funding Corp.*, 194 Misc 2d 719.)

Skadden, Arps, Slate, Meagher & Flom LLP, New York City (Jeffrey A. Mishkin, Anthony J. Dreyer and Jamie Stockton of counsel), for Sirius XM Radio Inc., amicus curiae. I. Automatic renewal of subscriptions or service contracts is beneficial to consumers. II. General Obligations Law § 5-903 is merely a defense to continued enforcement of a contract, and does not support a claim for damages or an injunction. (*Johnson v Uni-First Corp.*, 67 AD3d 1442; *Ludl Elecs. Prods. v Wells Fargo Fin. Leasing*, 6 AD3d 397; *Concourse Nursing Home v Axiom Funding Group*, 279 AD2d 271; *Eurofactors Intl., Inc. v Jacobowitz*, 21 AD3d 443; *Holender v Cammann Prods.*, 78 AD2d 233; *Kaminsky v Abrams*, 51 Misc 2d 5; *Hawa Const., LLC v Pollock*, 674 F Supp 2d 256; *Fortune Limousine Serv., Inc. v Nextel Communications*, 35 AD3d 350; *Enrico & Sons Contr. v Bridgemarket Assoc.*, 252 AD2d 429.)

OPINION OF THE COURT

JONES, J.

In June 2000, plaintiff Bruce Ovitz, an Illinois resident, entered into a two-year subscription agreement with defendant Bloomberg L.P. (Bloomberg) to lease a desktop terminal, software and other equipment to access real-time financial information services offered by the company. The contract provided that it “shall be automatically renewed for successive two-year periods” unless either the lessee (plaintiff) or lessor (Bloomberg) decided to terminate prior to renewal “by giving not less than 60 days’ prior written notice to the other.”

After the term of the original agreement expired in June 2002, plaintiff continued to use the equipment and financial services, without complaint, until September 15, 2008 when he contacted a Bloomberg sales representative to apprise the company that he “no longer wished to subscribe to [Bloomberg’s] services, and wanted to terminate as of the end of the month.” According to plaintiff’s complaint, he was informed by the Bloomberg representative that the agreement had automatically renewed until June 15, 2010 and plaintiff would be obligated to remit periodic payments through the termination date, or pay an early

termination fee equivalent to a year's worth of service (\$18,720). Plaintiff also alleges that Bloomberg declared that it was their "standard policy not to give its subscribers any advance notice of the automatic renewal provision or deadline."

Plaintiff sent written notice to Bloomberg on October 7, 2008, reiterating his desire to terminate the agreement. Bloomberg, in turn, did not terminate the subscription service or remove the equipment, but instead, reaffirmed its view that the agreement had automatically renewed and sent an invoice on October 23, 2008 requesting payment for the next three months of service.

In an ensuing exchange of e-mails, Bloomberg sent plaintiff an invoice for past due payments in the sum of \$5,699.70. Plaintiff replied "as [I] have said repeatedly since [S]ept 08,[I] no longer want to subscribe[] please disconnect my software and pick up your keyboard." Bloomberg transmitted a subsequent e-mail demanding immediate payment for past due amounts, including an additional \$16,470 charge for termination of the contract. Due to plaintiff's nonpayment, Bloomberg claimed that he had breached the terms of the contract and sent a notice of termination, advising that the nonpayment violated paragraph 3 (a) of the agreement and as such, "unless Bloomberg L.P. Accounting receives payment in full of all past due invoices by no later than 5:00 PM on 12/15/2008 the Agreement will be terminated and your Bloomberg equipment will be removed and returned."

On December 16, 2008, plaintiff commenced the instant putative class action, alleging a violation of General Obligations Law §§ 5-901 and 5-903; breach of contract; unjust enrichment; negligent misrepresentation; violation of General Business Law § 349; and seeking declaratory and injunctive relief. Two weeks after plaintiff filed suit, Bloomberg "as an accommodation[,] . . . waive[d] the early termination buy-out" and "waiv[ed] collection of fees."

Supreme Court granted, in part, Bloomberg's pre-answer motion to dismiss pursuant to CPLR 3211 (a) (7), dismissing plaintiff's breach of contract, unjust enrichment and negligent misrepresentation claims (2009 NY Slip Op 32397[U] [2009]). The court, however, found an implied private right of action under General Obligations Law §§ 5-901 and 5-903 that "support[ed] a claim that the agreement was not properly renewed beyond the expiration date of the initial term, even if plaintiff

accepted Bloomberg services” (*id.* at *11). Moreover, although acknowledging plaintiff’s out-of-state residence, the court permitted his General Business Law § 349 cause of action to survive on the ground that the complaint contained sufficient factual allegations to support a claim of deceptive business acts by Bloomberg within the State of New York. Finally, the court concluded that plaintiff’s claims for declaratory judgment and a permanent injunction, enjoining Bloomberg from engaging in the alleged conduct, were supported by the existence of a justiciable controversy and irreparable harm, respectively.

The Appellate Division unanimously reversed, granting Bloomberg’s motion in its entirety and dismissing plaintiff’s complaint (77 AD3d 515 [1st Dept 2010]). The court remarked that Bloomberg’s failure to comply with the mandates of sections 5-901 and 5-903 rendered its automatic renewal provision inoperative and unenforceable, but observed that this alone did not warrant the maintenance of plaintiff’s complaint as he failed to allege “that he paid for services he did not receive” (*id.* at 516). Plaintiff’s General Business Law § 349 claim was deemed meritless because he was not deceived in New York State and failed to plead actual injury suffered as a result of the alleged deceptive practices. Finally, as Bloomberg did not commence enforcement proceedings against plaintiff and waived its collection of payments and fees, there was no justiciable controversy or irreparable harm supporting equitable relief.

This Court granted plaintiff leave to appeal (16 NY3d 705 [2011]), and we now affirm.

[1] In the context of a CPLR 3211 motion to dismiss, even affording plaintiff every favorable inference, as we must, when reviewing the pleadings and factual allegations of his complaint (*see Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173, 178 [2011]; *Leon v Martinez*, 84 NY2d 83, 87-88 [1994]; *Morone v Morone*, 50 NY2d 481, 484 [1980]), plaintiff’s failure to identify a cognizable injury proves fatal to his action against Bloomberg.

Assuming, without deciding, that an implied private right of action lies pursuant to General Obligations Law §§ 5-901 and 5-903,¹ plaintiff’s claim was rightly dismissed because he has not suffered any harm as a result of Bloomberg’s alleged practices. Plaintiff did not pay any service termination fees and, as

1. General Obligations Law § 5-901 provides, in relevant part:
“No provision of a lease of any personal property which states
that the term thereof shall be deemed renewed for a specified ad-

(n. cont’d)

the Appellate Division noted, he did not pay for services he did not receive; thus, no monetary damages were incurred (*see Ludl Elecs. Prods. v Wells Fargo Fin. Leasing*, 6 AD3d 397 [2d Dept 2004]; *Concourse Nursing Home v Axiom Funding Group*, 279 AD2d 271 [1st Dept 2001]). Plaintiff contends that he suffered damages because he sought to cancel his agreement as of September 15, 2008, but had prepaid for services through September 30, 2008. However, his complaint belies this argument as it pleads that plaintiff had notified Bloomberg that he “wanted to terminate [services] as of the end of the month.” Further, despite the complaint’s allegation that plaintiff’s credit rating was impaired, Bloomberg’s concession that the automatic renewal provision clause was rendered unenforceable and waiver of its claims to termination fees ceased any threat of injury.

Plaintiff’s General Business Law § 349² claim must be similarly dismissed for lack of injury. It is well settled that a *prima facie* showing requires allegations that a “defendant is engaging in an act or practice that is deceptive or misleading in a material way and that *plaintiff has been injured by reason thereof*” (*Oswego Laborers’ Local 214 Pension Fund v Marine Midland Bank*, 85 NY2d 20, 25 [1995] [emphasis added]; *see also City of New York v Smokes-Spirits.Com, Inc.*, 12 NY3d 616,

ditional period unless the lessee gives notice to the lessor of his intention to release the property at the expiration of such term, shall be operative unless the lessor, at least fifteen days and not more than thirty days previous to the time specified for the furnishing of such notice to him, shall give to the lessee written notice, served personally or by mail, calling the attention of the lessee to the existence of such provision in the lease.”

General Obligations Law § 5-903 (2) similarly provides:

“No provision of a contract for service, maintenance or repair to or for any real or personal property which states that the term of the contract shall be deemed renewed for a specified additional period unless the person receiving the service, maintenance or repair gives notice to the person furnishing such contract service, maintenance or repair of his intention to terminate the contract at the expiration of such term, shall be enforceable against the person receiving the service, maintenance or repair, unless the person furnishing the service, maintenance or repair, at least fifteen days and not more than thirty days previous to the time specified for serving such notice upon him, shall give to the person receiving the service, maintenance or repair written notice, served personally or by certified mail, calling the attention of that person to the existence of such provision in the contract.”

2. General Business Law § 349 (a) provides that “[d]eceptive acts or practices in the conduct of any business, trade or commerce or in the furnishing of any service in this state are hereby declared unlawful.”

623 [2009]; *Varela v Investors Ins. Holding Corp.*, 81 NY2d 958, 961 [1993]).

[2] Finally, the Appellate Division properly dismissed plaintiff's claims for equitable relief. In light of the absence of actual injury and Bloomberg's waiver of its claims, there is neither a justiciable controversy upon which a declaratory judgment can be rendered, nor the irreparable harm necessary for injunctive relief (*see American Ins. Assn. v Chu*, 64 NY2d 379, 383 [1985]; *Cuomo v Long Is. Light. Co.*, 71 NY2d 349, 354 [1988]; CPLR 6301; *Kane v Walsh*, 295 NY 198, 205-206 [1946]; *Parry v Murphy*, 79 AD3d 713, 715-716 [2d Dept 2010]).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

PIGOTT, J. (dissenting in part). Because, in my view, plaintiff has alleged sufficient facts to sustain his declaratory judgment action, I dissent from that part of the majority opinion affirming the Appellate Division's dismissal of that cause of action. Since this case is before us on a motion to dismiss, the facts are drawn without contradiction from plaintiff's complaint.

On June 15, 2000, plaintiff entered into an agreement with Bloomberg L.P. and Bloomberg Finance L.P. (collectively, Bloomberg) to (1) lease certain equipment (a Bloomberg terminal) and services; and (2) subscribe to additional services (news and financial information). Paragraph 2 (b) of the Agreement contains an "automatic renewal provision" that states that said Agreement will be automatically renewed for successive two-year periods unless Bloomberg or plaintiff elected not to renew by giving not less than 60 days notice to the other. The provision states as follows:

"2. Term.

"(a) This agreement shall be effective from the date it is accepted by Lessor [Bloomberg] and shall remain in full force and effect thereafter until the date that is two years after the date that the Services are first provided (the 'Term'), unless earlier terminated during the Term or any renewal thereof, as follows: (i) Lessee [Plaintiff] shall have the right to terminate this Agreement at any time upon not less than 60 days' prior written notice to Lessor and

upon payment of the charges set forth in paragraph 3 of this Agreement; and (ii) Lessor shall [*sic*] the right to terminate this Agreement at any time immediately upon written notice to Lessee in the event of a breach by Lessee of any of the provisions of this Agreement.

“(b) The Term shall be automatically renewed for successive two-year periods unless Lessee or Lessor elects not to renew by giving not less than 60 days’ prior written notice to the other. If this Agreement is so renewed for any additional period beyond the initial Term, the charges payable pursuant to paragraph 3(a) hereof for such renewal period shall be calculated at the prevailing rates then offered by Lessor, and the Schedule shall be considered to be amended accordingly.”

Although the Agreement expired on June 15, 2002, Bloomberg never sent a notice to plaintiff giving him advance notice of the automatic renewal as required by statute (*see* General Obligations Law §§ 5-901, 5-903), nor did plaintiff expressly renew the Agreement. Plaintiff thereafter continued making payments, and Bloomberg continued providing the equipment and services.

In September 2008, plaintiff contacted a Bloomberg representative and advised him that he no longer wished to subscribe to Bloomberg’s services, and that he wished to terminate the Agreement as of the end of September 2008. The representative directed plaintiff to the automatic renewal provision and told him that the Agreement was “operative and enforceable” and that he was obligated to fulfill its terms until June 15, 2010, admitting that it was Bloomberg’s “standard policy” *not* to give advance notice of the automatic renewal deadline, a policy having been in effect for the previous 10½ years. The representative also stated that Bloomberg would terminate the Agreement in exchange for nearly \$20,000, approximately one year’s worth of payments under the Agreement.

In October 2008, plaintiff sent Bloomberg written notice stating that he wanted his subscription cancelled as of October 1, 2008. Notwithstanding this, on October 23, Bloomberg sent plaintiff a notice stating that his payment for the last quarter of 2008 was due, prompting plaintiff to e-mail Bloomberg that he had cancelled his subscription. Upon receiving a similar notice in November 2008, plaintiff demanded in writing that Bloomberg retrieve its equipment.

On December 9, 2008, Bloomberg sent plaintiff a letter that included all outstanding invoices on plaintiff's account, including \$5,400 on an outstanding invoice for charges subsequent to plaintiff's termination of the Agreement. The letter stated that plaintiff was in breach of the Agreement and that, per the Agreement, Bloomberg would repossess the Bloomberg equipment and that plaintiff would be liable for a 50% termination charge covering the balance of the Agreement.

Plaintiff commenced this action seeking declaratory and injunctive relief on the ground that the Agreement is unenforceable. The action also alleged an as-of-yet uncertified "class action" against Bloomberg asserting, as relevant here, causes of action premised on alleged violations of General Obligations Law §§ 5-901 and 5-903 (the "automatic renewal" statutes) and General Business Law § 349 ("unfair and deceptive acts and practices" statute). Bloomberg moved to dismiss the complaint for failure to state a cause of action.

Supreme Court denied Bloomberg's motion to dismiss the General Obligations Law §§ 5-901 and 5-903 and General Business Law § 349 causes of action, concluding that, as to the claim for a permanent injunction, the threat to plaintiff's creditworthiness was sufficient to establish irreparable injury, and that as to the declaratory judgment claim, there was a "justiciable controversy" (2009 NY Slip Op 32397[U], *13 [2009]).

The Appellate Division, in dismissing the complaint, concluded that the automatic renewal provision in the Agreement was "inoperative" and "unenforceable" because Bloomberg failed to give the requisite notice, but nevertheless found that dismissal was warranted because plaintiff failed to allege that he paid for services that he did not receive and, to the extent that plaintiff sought damages for the alleged breach of the "automatic renewal" statutes, a private right of action was not expressly created by their language, nor could it be fairly implied (77 AD3d 515, 515 [2010]).

In my view, the Appellate Division's dismissal went well beyond its function at this stage of the proceeding. This is a declaratory judgment action and, as such, the court's duty was to determine, upon an assumption that the allegations were true, whether Bloomberg violated the automatic renewal statutes—and it is clear that it did. The court's further finding—that there is no private right of action for the violation of

such statutes—goes beyond the purpose of a declaratory judgment action. Instead, it concluded that “declaratory and injunctive relief is unwarranted . . . since no justiciable controversy remains to support the claim for declaratory relief” (*id.* at 516).

Plaintiff’s cause of action for declaratory and injunctive relief states that there is an “actual and justiciable controversy” between plaintiff and Bloomberg relative to their rights and obligations under the Agreement, and that Bloomberg has “engaged in and continue[s] to engage in conduct that has a great probability of causing substantial and irreparable harm.” It is alleged that Bloomberg’s failure to provide plaintiff and the proposed class with notices of automatic renewal of the Agreement rendered the successive Agreements inoperative and unenforceable. As a result, according to plaintiff, he and members of the putative class are entitled to declaratory relief that the Agreements are unenforceable, and that its members are entitled to injunctive relief necessary to ensure that Bloomberg’s “illegal, unfair and deceptive conduct will not continue into the future.”

CPLR 3001 allows a court to render a declaratory judgment as to the rights of the parties when there is a justiciable controversy (i.e., one involving a present, rather than hypothetical, contingent or remote prejudice to the plaintiff) (*see American Ins. Assn. v Chu*, 64 NY2d 379, 383 [1985]). Plaintiff has alleged that notwithstanding the statutory protection given to consumers by these statutes, Bloomberg’s standard practice is to automatically renew its subscribers’ contracts without giving any advance notice of the automatic renewal provisions therein or the deadlines for terminating them. In other words, Bloomberg’s standard practice is to violate the automatic renewal statutes.

Plaintiff further alleges that despite the fact that Bloomberg’s renewals are both “inoperative” and “unenforceable” due to its failure to provide the statutorily-required notice, Bloomberg treats all of its subscriber contracts as having been automatically renewed. It sends bills and collects fees under the service contracts. When subscribers, like plaintiff, attempt to terminate the services, Bloomberg, in the words of plaintiff, “brazenly tells them that they cannot do so because their contracts were automatically renewed.” Bloomberg then falsely informs its subscribers that their only choices are to continue the service and pay for the remainder of the term, or discontinue the service and pay a termination fee equal to 50% of the charges for

the remainder of the two-year “renewed” term. Moreover, plaintiff claims, if a subscriber refuses to pay fees under a “renewed” contract, Bloomberg “unleashes its bill collectors” from its New York headquarters, and bombards subscribers with dunning letters, e-mails, collection notices, and threats, misrepresenting that the subscribers are in breach of the contract; and if they do not pay, Bloomberg threatens to report them to the credit bureaus and refer them to collection agencies. This does not appear to me to warrant the “no harm, no foul” approach the courts have taken to this case.

Whether the case merits class action status is another matter and, in my view, should be left to the sound discretion of the trial court. But this seems to me like an appropriate use of our declaratory judgment jurisprudence, and I would reinstate that cause of action.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ and SMITH concur with Judge JONES; Judge PIGOTT dissents in part in a separate opinion.

Order affirmed, with costs.

[967 NE2d 1187, 944 NYS2d 742]

HAHN AUTOMOTIVE WAREHOUSE, INC., Respondent, v AMERICAN
ZURICH INSURANCE COMPANY et al., Appellants.

Argued February 15, 2012; decided March 29, 2012

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered February 10, 2011. The Appellate Division order, insofar as appealed from, affirmed an order of the Supreme Court, Monroe County (Kenneth R. Fisher, J.; op 30 Misc 3d 1222[A], 2009 NY Slip Op 52789[U] [2009]), which had, among other things, granted plaintiff's cross motion for partial summary judgment seeking dismissal of defendants' counterclaims as time-barred insofar as they sought recovery for debts arising more than six years prior to the commencement of the action. The following question was certified by the Appellate Division: "Was the order of this Court entered February 10, 2011, properly made?"

Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co., 81 AD3d 1331, affirmed.

HEADNOTE

Limitation of Actions — When Cause of Action Accrues — Right to Demand Payment under Insurance Contracts

The six-year statute of limitations applicable to defendant insurers' breach of contract counterclaims began to run when the insurers possessed the legal right to demand payment from the insured for various amounts owed under the insurance contracts. As a general principle, the statute of limitations begins to run when a cause of action accrues (*see* CPLR 203 [a]), that is, when all of the facts necessary to the cause of action have occurred so that the party would be entitled to obtain relief in court. Under the accrual principle, where a claim is for payment of a sum of money allegedly owed pursuant to a contract, the statute of limitations would be triggered when the party that was owed money had the right to demand payment, not when it actually made the demand. Here, defendants acknowledged that they had the right to bill plaintiff years earlier for many adjustments under the policies but failed to do so through inadvertence. To hold that the claims accrued when defendants demanded payment would permit a defendant to extend the limitations period indefinitely by simply failing to make a demand. Furthermore, defendants' contention that their right to payment under the policies was subject to a condition precedent—defendants' issuance of a demand for payment—was not persuasive; defendants could not point to any contract language unambiguously conditioning their right to payment on their own demand.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Limitation of Actions §§ 112, 116, 126, 127, 135.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:129, 13:221-13:223, 13:233, 13:261.

McKINNEY's, CPLR 203 (a).

NY JUR 2d, Limitations and Lahces §§ 51, 57, 58, 66.

SIEGEL, NY PRAC §§ 35, 40.

ANNOTATION REFERENCE

See ALR Index under Contracts; Insurance and Insurance Companies; Limitation of Actions.

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Query: limitation /s breach /p right /4 demand /4 payment
/s beg*n!

POINTS OF COUNSEL

Damon Morey LLP, Buffalo (*Michael J. Willett* of counsel), for appellants. The statute of limitations applicable to American Zurich Insurance Company's and Zurich American Insurance Company's claims for nonpayment of invoices issued to Hahn Automotive Warehouse, Inc. for amounts owed under the parties' insurance agreements began to run when Hahn failed to pay the invoiced amounts by the dates that the payments were due. (*Britt v Legal Aid Socy.*, 95 NY2d 443; *Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 214; *Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169; *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399; *John J. Kassner & Co. v City of New York*, 46 NY2d 544; *Russack v Weinstein*, 291 AD2d 439; *Henry Boeckmann, Jr. & Assoc. v Board of Educ., Hempstead Union Free School Dist. No. 1*, 207 AD2d 773; *Micha v Merchants Mut. Ins. Co.*, 94 AD2d 835; *Continental Cas. Co. v Stronghold Ins. Co., Ltd.*, 77 F3d 16; *Commissioners of State Ins. Fund v SM Transp. Ltd.*, 11 Misc 3d 1083[A], 2006 NY Slip Op 50677[U].)

The Wolford Law Firm LLP, Rochester (*Michael R. Wolford* and *Lea T. Nacca* of counsel), for respondent. American Zurich Insurance Company's and Zurich American Insurance Company's (Zurich) claims are time-barred because Zurich had the

right to demand payment from Hahn Automotive Warehouse, Inc. more than six years before this action was commenced. (*Kingsley Arms, Inc. v Copake-Taconic Hills Cent. School Dist.*, 9 AD3d 696, 3 NY3d 767; *Albany Specialties v Shenendehowa Cent. School Dist.*, 307 AD2d 514; *Minskoff Grant Realty & Mgt. Corp. v 211 Mgr. Corp.*, 71 AD3d 843; *Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169; *Town of Brookhaven v MIC Prop. & Cas. Ins. Corp.*, 245 AD2d 365, 92 NY2d 806; *State of New York v City of Binghamton*, 72 AD2d 870; *Tydings v Greenfield, Stein & Senior, LLP*, 11 NY3d 195; *Snyder v Town Insulation*, 81 NY2d 429; *GML, Inc. v Cinque & Cinque, P.C.*, 9 NY3d 949, 1016; *MHR Capital Partners LP v Presstek, Inc.*, 12 NY3d 640.)

OPINION OF THE COURT

GRAFFEO, J.

The issue on this appeal is whether the six-year statute of limitations applicable to the insurers' breach of contract counterclaims began to run when they possessed the legal right to demand payment from the insured or years later after they issued invoices. Under the terms of the insurance contracts in this case, we conclude that the counterclaims accrued when the insurers had the right to demand payment.

Plaintiff Hahn Automotive Warehouse, Inc., an auto parts distributor with operations in multiple states, secured general liability, automotive liability and workers' compensation policies from defendants American Zurich Insurance Company and Zurich American Insurance Company (collectively, Zurich) for annual coverage periods between September 1992 and September 2003. Zurich also acted as the claims agent for automobile damage claims for which Hahn was self-insured from March 1997 until September 2003. The complex insurance arrangements at issue in this litigation can be broken into four general categories: (1) policies subject to retrospective premium agreements; (2) adjustable deductible policies; (3) deductible policies; and (4) claim services contracts.

Under the first category—encompassing several policies tied to retrospective premium plans—Hahn's initial premiums were based on estimated expenses and losses. Zurich was contractually required to recalculate the premiums owed 18 months after the policies' inception, with annual adjustments based on actual claims experience for as long as open claims remained. If an adjusted premium exceeded the initial premium, Zurich was to invoice Hahn for the difference. But if the recalculation resulted

in a lesser premium than initially paid, Zurich would owe Hahn a refund. Any amounts owed by Hahn were to be paid “within ten (10) days of receipt of [Zurich’s] demand” for payment.

Similarly, the adjustable deductible policies—the second type of insurance plan used by the parties—involved the payment of an initial premium to be adjusted annually by Zurich based on actual claims experience, beginning 18 months after policy inception. These policies further required Hahn to pay deductible losses and claim expenses on a monthly or quarterly basis for 42 months, after which such losses and expenses were to be billed annually as part of the premium adjustment process.

In the third category, the deductible policies, Zurich was to pay the submitted claims but could then seek payment from Hahn on a monthly basis for the amounts that fell below the applicable deductible together with “allocated loss adjustment expenses” and other fees. These policies also required Zurich to perform an initial adjustment 18 months after policy inception, followed by yearly adjustments. The deductible policies specified that Hahn “shall pay . . . [Zurich] within twenty (20) days of its demand.”

Finally, the annual claim services contracts, constituting the fourth category, provided that Zurich would undertake claims handling duties for Hahn with respect to automobile physical damage claims in exchange for a fixed fee per claimant. The contracts also required Hahn to pay estimated fees during the terms of the agreements, with a final reconciliation to be performed by Zurich 12 months after the expiration of each agreement.

Although the contractual relationship between Hahn and Zurich commenced in the early 1990s, it was not until an internal audit of Zurich occurred in 2005 that the insurer discovered that it had not billed Hahn for claim deductibles or allocated loss adjustment expenses in connection with 10 years of claims for two deductible policies (category three policies) issued during the September 1995 to September 1996 policy period. After determining the purported amounts owed, Zurich sent Hahn an invoice in April 2005 seeking payment of \$1,123,874. Hahn did not pay the bill.

Almost a year later, on March 2, 2006, Zurich sent Hahn an invoice for an additional \$751,514, reflecting annual adjustments it contended were due on a variety of policies subject to

the category one retrospective premium agreements and category two adjustable deductible policies. The amount billed covered adjustments on policies from March 1995 through March 2005.¹ On March 27, 2006, Zurich presented Hahn with a third invoice for \$71,615 after realizing that it had neglected to bill Hahn for fees owed under the category four claim services contracts beginning in 1997.² Because Hahn failed to pay any of the invoices, Zurich drew on a \$400,000 letter of credit that Hahn had previously deposited with Zurich and, over Hahn's objection, applied that amount to the oldest of the outstanding bills.

In May 2006, Hahn commenced this action against Zurich alleging four causes of action. The first claim requested a declaration that any of Zurich's bills for debts that arose more than six years before the commencement of the action were time-barred by the relevant statute of limitations. The remaining claims sought damages related to Zurich's allegedly improper use of the letter of credit. Zurich counterclaimed for breach of contract based on Hahn's nonpayment of the amounts billed in the April 2005, March 2, 2006 and March 27, 2006 invoices. Both parties moved for summary judgment.

Supreme Court granted Hahn partial summary judgment on the first cause of action, concluding that "the statute of limitations has run as to all claims for which Zurich had the right to demand payment more than six years prior to the commencement of this action" because the claims accrued when "Zurich had the right to demand payment" (30 Misc 3d 1222[A], 2009 NY Slip Op 52789[U], *4 [2009]). Although the court ruled in favor of Zurich on the letter of credit issue, holding that Zurich properly applied the \$400,000 to the outstanding bills, the court did not grant Zurich summary judgment dismissing the second through fourth claims.

The Appellate Division, with one Justice dissenting in part, modified, by dismissing the second, third and fourth causes of action, and otherwise affirmed (81 AD3d 1331 [4th Dept 2011]).

1. Zurich previously sent Hahn adjustment invoices for these policies in 1998, 1999 and 2003, but Hahn did not pay them because it did not understand the complex calculations. Zurich voided those bills when it submitted the March 2, 2006 adjustment invoice.

2. In June 2006, Zurich submitted a fourth invoice to Hahn relating to additional adjustments pertaining to policies subject to the category one retrospective premium agreements and category two adjustable deductible policies. This invoice reflected a net refund to Hahn of \$262,480, which Zurich refused to credit because Hahn had failed to pay the previous three bills.

The majority concurred with Supreme Court that Zurich's "counterclaims for any debt that arose more than six years prior to the commencement of this action were time-barred" (*id.* at 1333). The majority also agreed that Zurich properly drew on the letter of credit and therefore dismissed the second through fourth claims. The dissenter would have found that all of the amounts billed by Zurich were timely, reasoning that the six-year statute of limitations did not begin to run until Hahn refused to pay the invoices in 2005 and 2006. The Appellate Division granted Zurich leave to appeal on a certified question (83 AD3d 1602 [2011]), and we now affirm.³

Zurich argues that all of the amounts billed in the three invoices are timely because the six-year statute of limitations did not begin to run until 2005 and 2006, when Zurich demanded payment and Hahn refused to pay. Hahn counters that the courts below properly concluded that Zurich's counterclaims accrued much earlier, when it possessed the right to demand payment for the various amounts owed, such that any debts that arose before May 2000 (six years prior to the commencement of this action) are untimely.

Under CPLR 213 (2), a claim for breach of contract is governed by a six-year statute of limitations. As a general principle, the statute of limitations begins to run when a cause of action accrues (*see* CPLR 203 [a]), that is, "when all of the facts necessary to the cause of action have occurred so that the party would be entitled to obtain relief in court" (*Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169, 175 [1986]). In contract actions, we have recognized that a claim generally accrues at the time of the breach (*see Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399, 402 [1993]). And, we have explained further that "when the right to final payment is subject to a condition, the obligation to pay arises and the cause of action accrues, only when the condition has been fulfilled" (*John J. Kassner & Co. v City of New York*, 46 NY2d 544, 550 [1979]).

A consistent line of Appellate Division precedent holds that, where "the claim is for payment of a sum of money allegedly owed pursuant to a contract, the cause of action accrues when the [party making the claim] possesses a legal right to demand payment" (*Minskoff Grant Realty & Mgt. Corp. v 211 Mgr. Corp.*, 71 AD3d 843, 845 [2d Dept 2010]; *see also Kuo v Wall St. Mtge.*

3. Because Hahn did not cross-appeal, the Appellate Division's dismissal of the second through fourth claims on Zurich's use of the letter of credit is not before us.

Bankers, Ltd., 65 AD3d 1089, 1090 [2d Dept 2009]; *Swift v New York Med. Coll.*, 25 AD3d 686, 687 [2d Dept 2006]; *Kingsley Arms, Inc. v Copake-Taconic Hills Cent. School Dist.*, 9 AD3d 696, 698 [3d Dept 2004], *lv dismissed* 3 NY3d 767 [2004]; *Albany Specialties v Shenendehowa Cent. School Dist.*, 307 AD2d 514, 516 [3d Dept 2003]). In other words, the statute of limitations in these cases was triggered when the party that was owed money had the right to demand payment, not when it actually made the demand.

We agree with Hahn and the Appellate Division majority that it is reasonable to apply this accrual principle to the insurance contracts at issue here and therefore conclude that the statute of limitations on Zurich's counterclaims began to run when it acquired the right to demand payment of the various amounts owed under the policies. Zurich acknowledges that it had the right under its contracts to bill Hahn years earlier for many of the sums reflected in the April 2005, March 2, 2006 and March 27, 2006 invoices—in some instances more than a decade earlier—but failed to do so through inadvertence. Hence, the courts below properly determined that any debts for which Zurich had the legal right to demand payment prior to May 2000, i.e., more than six years before the commencement of this action, are time-barred.⁴ To hold otherwise would allow Zurich to extend the statute of limitations indefinitely “by simply failing to make a demand” (*Town of Brookhaven v MIC Prop. & Cas. Ins. Corp.*, 245 AD2d 365, 365 [2d Dept 1997], *lv denied* 92 NY2d 806 [1998]; *see also State of New York v City of Binghamton*, 72 AD2d 870, 871 [3d Dept 1979] [“The Statute of Limitations begins to run when the right to make the demand for payment is complete, and the plaintiff will not be permitted to prolong the Statute of Limitations simply by refusing to make a demand”]).

Finally, we are unpersuaded by Zurich's assertion that, consistent with *John J. Kassner & Co.*, its counterclaims could not have accrued until it sent the three invoices between April 2005 and March 2006 because its right to payment under the policies was subject to a condition precedent—Zurich's issuance of a demand for payment. Unlike *John J. Kassner & Co.*, where the plaintiff's right to payment was expressly conditioned on an audit by a third party, Zurich cannot point to any contract

4. Counterclaims are “deemed interposed when the plaintiff filed the main action” (Siegel, NY Prac § 48, at 67 [5th ed]; *see also* CPLR 203 [d]).

language unambiguously conditioning its right to payment on its own demand (*see generally MHR Capital Partners LP v Presstek, Inc.*, 12 NY3d 640, 645 [2009] [stating that the use of terms like “if,” “unless” and “until” would constitute “unmistakable language of condition”] [internal quotation marks and citation omitted]). Furthermore, the contracts contain specific references to the applicable time periods when Zurich was entitled to calculate adjustments and bill Hahn for the amounts owed. Such provisions contradict the open-ended arrangement now proposed by Zurich.⁵

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs, and the certified question answered in the affirmative.

READ, J. (dissenting). Plaintiff Hahn Automotive Warehouse, Inc. (Hahn) does not contest the amount of the moneys that it

5. We reject Zurich’s contention, accepted by the dissent, that we should adopt an accrual-upon-demand rule for the retrospective insurance arrangements at issue. Although the insurance policies and adjustment formulas were complex, Zurich does not dispute that it had the ability to calculate the relevant adjustments and submit invoices years earlier, but failed to do so through its own oversight. In support of an accrual-upon-demand rule, the dissent cites a number of federal district court cases, including *Continental Ins. Co. v Coyne Intl. Entertainment Corp.* (700 F Supp 2d 207 [ND NY 2010]), *Potomac Ins. Co. of Ill. v Richmond Home Needs Servs., Inc.* (2006 WL 2521283, 2006 US Dist LEXIS 62224 [SD NY 2006]) and *Liberty Mut. Ins. Co. v Precision Valve Corp.* (402 F Supp 2d 481 [SD NY 2005]). But each of these cases provided little analysis, relying instead on an Appellate Division case that involved neither an insurance agreement nor a sum of money owed by one party to another pursuant to a contract (*see Russack v Weinstein*, 291 AD2d 439 [2d Dept 2002]). Moreover, the dissent’s citation to *Continental Cas. Co. v Stronghold Ins. Co., Ltd.* (77 F3d 16 [2d Cir 1996]) is misplaced. *Continental* involved a claim by a reinsured against reinsurers, wherein the Second Circuit held that the reinsured’s obligation to give notice to the reinsurers of the underlying claims was a condition precedent to payment, reasoning that such conditions are common in insurance contracts because they “allow[] the insurance company time to investigate and pay the claim” (*id.* at 20). Here, in contrast, the relevant policies contain no condition precedent and Zurich did not need to give Hahn any time to investigate. Finally, although the case law is sparse, we note that there is precedent contrary to the dissent’s accrual-upon-demand rule in the context of retrospective insurance agreements (*see Travelers Ins. Co. v Jacob C. Mol, Inc.*, 898 F Supp 528, 531 [WD Mich 1995] [“Travelers argues that the claim could not accrue until it sent its bill for the premium. However, . . . Travelers conceded that there is no duty on Travelers to send its retrospective premium notice at any fixed point in the future. Thus, theoretically, Travelers could keep an account open for many years before sending its bill and, under its theory, delay indefinitely the accrual of its claim. This would, of course, put the operation of the statute of limitations under the sole control of Travelers”]).

owes defendants American Zurich Insurance Company and Zurich American Insurance Company (collectively, Zurich) under the various insurance contracts at issue in this case, which called for amounts owed to be adjusted upward or downward retrospectively, principally to reflect actual loss and cost experience. Instead, Hahn argues that Zurich may not recover this acknowledged debt, reflected in three invoices issued between April 2005 and March 2006, because of the expiration of CPLR 213 (2)'s six-year statute of limitations for breach of contract claims.

The majority agrees with Hahn, holding that Zurich's claims are time-barred because it "possessed the legal right" under the insurance contracts "to demand payment" from Hahn more than six years before the invoices were actually sent (majority op at 767). But courts have heretofore uniformly concluded (as did the dissenter below) that the statute of limitations for a claim for unpaid premiums calculated on the basis of claims history does not accrue until the insured refuses payment after demand has been made by the insurer. A breach, if any, would only occur when a due date passes without payment being made. To hold otherwise, as the majority does, creates an illogical situation whereby a claim for breach of contract accrues before the insured knows whether it owes the insurer any money at all, much less how much. In other words, the claim for breach accrues before any breach can possibly occur. Accordingly, I respectfully dissent.

Under the policies at issue, Hahn paid premiums to Zurich and, when loss history became known, Zurich adjusted the various amounts owed under the policies to reflect actual losses and costs. In some cases, Hahn would owe additional moneys to Zurich. In others, a refund would be due Hahn. The majority is "unpersuaded by Zurich's assertion that" in light of these contractual arrangements "its counterclaims could not have accrued until it sent the three invoices . . . because its right to payment under the policies was subject to a condition precedent—Zurich's issuance of a demand for payment" (majority op at 771).

The source of the majority's skepticism is the absence of "any contract language unambiguously conditioning [Zurich's] right to payment on its own demand," and the presence in the contracts of "specific references to the applicable time periods when Zurich was entitled to calculate adjustments and bill Hahn for the amounts owed" (*id.*). As to the first point, Zurich was

not in a position under the contracts to demand payment until it determined that Hahn owed additional moneys. And this determination was based on computations carried out by Zurich in conformity with the complex claims adjustment formulae specified in the contracts. By their very nature and structure, then, these contracts conditioned payment upon demand; otherwise, there was no way for Hahn to know whether or how much additional moneys it owed.

Further, the Retrospective Premium Agreement, for example, explicitly provided that

“[b]ased upon the selection of the Annual Policy Period Option . . . , [Zurich] shall compute and [Hahn] shall pay to [Zurich] within ten (10) days of the receipt of its demand therefore, Earned Retrospective Premium based upon Incurred Losses valued as of a date six (6) months after the expiration of each such period, as soon as practicable after such valuation. Additional Earned Retrospective Premium Adjustments shall be computed by [Zurich] based upon Incurred Losses valued annually thereafter as soon as practicable after such valuation dates, payable within ten (10) days of receipt of its demand therefore, until such time as [Zurich] shall designate an adjustment as being final.”

The majority takes the position, as I understand it, that under this provision, Zurich had “the legal right to demand payment” for losses and expenses as they factored into the adjustment for the year in which the losses were paid and the expenses incurred; therefore, Zurich was foreclosed by the statute of limitations from recovering for such losses or expenses if it waited more than six years before taking them into account.

But the insurance contracts in this case essentially created a running tally of debits and credits, which remained open until such time as all claims or expenses for a particular policy year were resolved—or, in the words of the above-cited provision, until Zurich “designate[d] an adjustment as being final.” It was only at this point, when the final amount of a retrospective premium could be calculated, that a claim would accrue under these policies in the absence of a demand for payment (*see e.g.* 6-35 Holmes’ Appleman on Insurance 2d § 35.3 [with respect to retrospective premiums, “(c)ourts hold that any statute of limitations does not begin to run until a final premium may be

calculated under the express terms of the applicable agreement”], citing *National Union Fire Ins. Co. of Pittsburgh, Pa. v LSB Indus., Inc.*, 296 F3d 940 [10th Cir 2002]). No other court considering the accrual of claims arising under insurance contracts that involve a retrospective premium or are otherwise adjustable has taken a position, under New York law or otherwise, comparable to the majority’s (see e.g. *Continental Ins. Co. v Coyne Intl. Enter. Corp.*, 700 F Supp 2d 207 [ND NY 2010] [cause of action for recovery of unpaid retrospective insurance premium adjustment accrued when insured refused to pay invoice]; *Reliance Ins. Co. v Griffin Dewatering Corp.*, 2007 WL 1165557, 2007 US Dist LEXIS 29110 [ND Ind 2007] [same]; *Potomac Ins. Co. of Ill. v Richmond Home Needs Servs., Inc.*, 2006 WL 2521283, 2006 US Dist LEXIS 62224 [SD NY 2006] [same]; *Liberty Mut. Ins. Co. v Precision Valve Corp.*, 402 F Supp 2d 481 [SD NY 2005] [same]; *Transportation Ins. Co. v Star Indus., Inc.*, 2005 WL 1801671, 2005 US Dist LEXIS 43121 [ED NY 2005] [where workers’ compensation policy provided for payment of retrospective premium based on claims experience, cause of action for unpaid premiums accrued at time of adjustment]; *Temploy, Inc. v Companion Prop. & Cas. Ins. Co.*, 2008 WL 4495782, 2008 US Dist LEXIS 78572 [SD Ala 2008] [in retrospective rated insurance policies, a cause of action for wrongful assessment of a premium accrues on the date the payment is due, but refused]; *Brookshire Grocery Co. v Bomer*, 959 SW2d 673 [Tex Ct App 1997] [where policy had a retrospective premium endorsement, cause of action accrued when final payment was demanded by the insurer]; cf. *Continental Cas. Co. v Stronghold Ins. Co., Ltd.*, 77 F3d 16, 22 [2d Cir 1996] [where reinsured waited more than six years after settling last of claims before tendering claims to reinsurers, “(its) losses were due and payable, and its causes of action accrued, only after it reported the losses to the reinsurers, and the reinsurers denied coverage”]).

Notably, the majority did not cite a single decision to support its position except *Travelers Ins. Co. v Jacob C. Mol, Inc.* (898 F Supp 528, 531 [WD Mich 1995]). But that case addressed when a claim accrued under Michigan law against a corporation’s director for unlawfully dissolving the corporation and distributing its assets to shareholders without first paying a corporate debt; specifically, Travelers’ retrospective insurance premium. The court held that Travelers’ claim accrued on the date the director approved the unlawful distribution, noting that “the

lawsuit against [the director] is for failure to provide for the obligation as distinguished from a suit on the obligation itself” (*id.* at 531).

The majority seems troubled at the prospect that an insurer might unduly delay the running of the statute of limitations by failing to perform or bill for adjustments in a timely manner. In this case, Zurich undertook an extensive audit of accounts, which uncovered the previously unbilled losses and expenses accounted for in the three invoices. In addition, Hahn’s agent disputed, or at least said that he did not understand, some of the invoices that Zurich forwarded, which held up reconciliation and billing. But as Zurich points out, Hahn does not claim to have been injured by these delays and no longer questions the accuracy of the amounts computed; Hahn was well aware that it owed Zurich money, having been alerted by specific advice from its broker and his periodic reports, which compared paid loss billings to loss runs. For example, for several years these reports showed that Hahn had not been billed for losses under the general liability and automobile liability program for the period 9/30/95 to 9/30/96. As Zurich remarks, a ruling in its favor is unlikely to “encourage parties who are owed money to refrain from sending out bills in the hope of prolonging the statute of limitations.”

Finally, the majority cites *Town of Brookhaven v MIC Prop. & Cas. Ins. Corp.* (245 AD2d 365 [2d Dept 1997]) and *State of New York v City of Binghamton* (72 AD2d 870 [3d Dept 1979]) for the proposition that Zurich should not be permitted to prolong the statute of limitations by neglecting to make a demand for payment. But these are both construction cases where services were performed and payment was then due at a particular time, not a contractual relationship like this one, which contemplates ongoing reconciliation of credits and debits until such time as all the claims arising in the year covered by a policy have been resolved, and a final adjustment made.

Chief Judge LIPPMAN and Judges CIPARICK and JONES concur with Judge GRAFFEO; Judge READ dissents in a separate opinion in which Judges SMITH and PIGOTT concur.

Order, insofar as appealed from, affirmed, etc.

[967 NE2d 1177, 944 NYS2d 732]

WILLIAM CORSELLO et al., Respondents-Appellants, v VERIZON
NEW YORK, INC., Formerly Known as NEW YORK TELEPHONE
COMPANY, et al., Appellants-Respondents.

Argued February 14, 2012; decided March 29, 2012

SUMMARY

CROSS APPEALS, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered September 14, 2010. The Appellate Division modified, on the law, so much of an order of the Supreme Court, Kings County (Carolyn E. Demarest, J.; op 21 Misc 3d 1116[A], 2008 NY Slip Op 52081[U] [2008]), as had (1) denied those branches of defendants' motion pursuant to CPLR 3211 (a) which were to dismiss the first, second and fifth causes of action for failure to state a cause of action and as barred by the statute of limitations; and (2) granted that branch of defendants' motion pursuant to CPLR 3211 (a) which was to dismiss the third cause of action. The modification consisted of (1) deleting the provision thereof denying that branch of defendants' motion which was pursuant to CPLR 3211 (a) (5) to dismiss the first cause of action alleging inverse condemnation and substituting therefor a provision granting that branch of the motion; and (2) deleting the provision thereof granting that branch of defendants' motion which was pursuant to CPLR 3211 (a) to dismiss the third cause of action alleging unjust enrichment and substituting therefor a provision denying that branch of the motion. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Was the opinion and order of this Court dated September 14, 2010, properly made?"

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered September 14, 2010. The Appellate Division affirmed so much of an order of the Supreme Court, Kings County (Carolyn E. Demarest, J.; op 25 Misc 3d 1221[A], 2009 NY Slip Op 52232[U] [2009]) as had denied plaintiffs' motion for class certification pursuant to CPLR article 9. The following question was certified by the Appellate Division: "Was the decision and order of this Court dated September 14, 2010, properly made?"

Corsello v Verizon N.Y., Inc., 77 AD3d 344, modified.

Corsello v Verizon N.Y., Inc., 76 AD3d 941, affirmed.

HEADNOTES**Eminent Domain — Inverse Condemnation — Installation of Telephone Lines on Private Property**

1. Plaintiffs stated a valid inverse condemnation claim for just compensation based upon defendant telephone company's attachment of a box to plaintiffs' apartment building for the purpose of transmitting telephone communications to and from defendant's customers in other buildings. Defendant had the power, under Transportation Corporations Law § 27, to take plaintiffs' property for the purpose of attaching its cables and wires, "subject to the right of the owners thereof to full compensation for the same." In their claim plaintiffs asserted that defendant had de facto exercised its section 27 power, and taken plaintiffs' property, by attaching its "equipment" and "lines" to their building. Inverse condemnation, as it has come to be defined, describes the manner in which a landowner recovers just compensation for a taking of the landowner's property when condemnation proceedings have not been instituted. It is not limited to situations where an entity has chosen to exercise its eminent domain power. Rather, a continuous, permanent trespass may be converted into a de facto taking.

Eminent Domain — Inverse Condemnation — Installation of Telephone Lines on Private Property — Timeliness of Claim

2. Plaintiffs' inverse condemnation claim for just compensation based upon defendant telephone company's attachment of a box to plaintiffs' apartment building many years ago for the purpose of transmitting telephone communications to and from defendant's customers in other buildings was timely. Assuming that actions in inverse condemnation are governed by a three-year statute of limitations that runs from the time of the taking (*see* CPLR 214 [4]), thereby rendering plaintiffs' inverse condemnation claim time-barred, the claim was saved by Real Property Law § 261. Under section 261, a company may not unlawfully attach its wires or cables to private property and then, by lapse of time, deprive the property owner of any remedy for the unlawful act. Section 261 is not limited to a claim by a company that it has acquired title to property by adverse possession, or that its long use of property has given it a prescriptive easement. It also applies to an action for inverse condemnation based on an alleged de facto taking of property, as plaintiffs alleged here.

Limitation of Actions — Estoppel to Plead Statute of Limitations — Installation of Telephone Lines on Private Property

3. Plaintiffs' General Business Law § 349 claim based upon defendant telephone company's attachment of a box to plaintiffs' apartment building many years ago for the purpose of transmitting telephone communications to and from defendant's customers in other buildings, allegedly without telling plaintiffs that they were entitled to compensation and falsely telling plaintiffs that defendant was entitled to attach the box, was not timely. The claim was subject to the three-year limitations period imposed by CPLR 214 (2), which applies to actions to recover upon a liability created or imposed by statute. The complaint, however, alleged no successful deception of plaintiffs within three years of the time the action was brought, rendering defendant's statute of limitations defense *prima facie* valid. Defendant was not estopped from raising the statute of limitations defense, as plaintiffs did not allege an act of deception, separate from the ones for which they sued, on which an equitable estoppel could be based. Plaintiffs' injury was suffered when, relying on defendant's omissions and representations, they refrained from demanding either payment or removal of the box and that occurred more than three years before suit was brought.

Equity — Unjust Enrichment — Installation of Telephone Lines on Private Property

4. Plaintiffs did not state a valid unjust enrichment claim based upon defendant telephone company's attachment of a box to plaintiffs' apartment building for the purpose of transmitting telephone communications to and from defendant's customers in other buildings. The basis of a claim for unjust enrichment is that the defendant has obtained a benefit which in equity and good conscience should be paid to the plaintiff. It is available only in unusual situations when, though the defendant has not breached a contract nor committed a recognized tort, circumstances create an equitable obligation running from the defendant to the plaintiff. It is not available where it simply duplicates, or replaces, a conventional contract or tort claim. Here, plaintiffs alleged that defendant committed actionable wrongs, by trespassing on or taking their property, and by deceiving them into thinking they were not entitled to compensation. To the extent that those claims were to succeed, the unjust enrichment claim was duplicative; if plaintiffs' other claims were defective, an unjust enrichment claim could not remedy the defects.

Actions — Class Actions — Installation of Telephone Lines on Private Property

5. In an action based upon defendant telephone company's attachment of a box to plaintiffs' apartment building in New York City for the purpose of transmitting telephone communications to and from defendant's customers in other buildings, the courts below did not abuse their discretion in denying plaintiffs' motion for class certification. The case as described in plaintiffs' complaint and expert affidavit seemed on its face well-suited to class action treatment, as there were allegations that defendant had made a practice of attaching similar boxes to privately owned buildings in several New York City neighborhoods and had pursued a strategy to avoid its obligation to pay compensation. Evidence submitted by defendant, however, showed that there was a substantial amount of proof specific to plaintiffs' building, and not common to the class, that was relevant to the case. It was fair to infer that there would also be building-specific evidence relating to property owned by many other members of the putative class. The courts below were justified, on the record, in finding that at least two of the prerequisites to a class action were not met: the requirements that there be "questions of law or fact common to the class which predominate over any questions affecting only individual members" (CPLR 901 [a] [2]) and that "the claims . . . of the representative parties" be "typical of the claims . . . of the class" (CPLR 901 [a] [3]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Consumer and Borrower Protection §§ 258, 276, 279; AM JUR 2d, Eminent Domain §§ 742–754, 794, 802; AM JUR 2d, Limitation of Actions §§ 108, 109, 345; AM JUR 2d, Parties §§ 50–52, 68, 69, 72, 84, 89; AM JUR 2d, Restitution and Implied Contracts §§ 2, 3, 11; AM JUR 2d, Telecommunications § 107.
- CARMODY-WAIT 2d, Limitation of Actions §§ 13:79, 13:82, 13:178, 13:179, 13:277, 13:280; CARMODY-WAIT 2d, Parties §§ 19:279, 19:292, 19:306, 19:313; CARMODY-WAIT 2d, Eminent Domain §§ 108:22, 108:23, 108:282, 108:288.

McKINNEY's, CPLR 214 (2), (4); 901 (a) (2), (3); General Business Law § 349; Real Property Law § 261; Transportation Corporations Law § 27.

NY JUR 2d, Consumer and Borrower Protection §§ 5-9; NY JUR 2d, Contracts §§ 523, 525; NY JUR 2d, Eminent Domain §§ 490, 492; NY JUR 2d, Limitations and Laches §§ 40, 46, 115, 191, 192, 237, 371; NY JUR 2d, Parties §§ 246, 251, 252, 258, 260, 277, 278; NY JUR 2d, Telecommunications §§ 13, 30-34, 153.

NEW YORK REAL PROPERTY SERVICE §§ 11:172, 51:114, 72:18, 72:27.

SIEGEL, NY PRAC §§ 35, 141.

WILLISTON ON CONTRACTS (4th ed) § 68:5.

ANNOTATION REFERENCE

Inverse condemnation state court class actions. 49 ALR4th 618.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: inverse /2 condemnation & attach! /s line equipment /4 building

POINTS OF COUNSEL

Kirkland & Ellis LLP (Patrick F. Philbin of the District of Columbia bar, admitted pro hac vice, of counsel) and *Kirkland & Ellis LLP*, New York City (Joseph Serino, Jr., of counsel) for appellants-respondents. I. The court below erred in holding that the complaint states a claim for inverse condemnation. (*O'Brien v City of Syracuse*, 54 NY2d 353; *Smith v Town of Long Lake*, 40 AD3d 1381; *Feder v Village of Monroe*, 283 AD2d 548; *Bunke v New York Tel. Co.*, 110 App Div 241, 188 NY 600; *Antonopoulos v Postal Tel. Cable Co.*, 261 App Div 564; *Powers v State Line Tel. Co.*, 116 App Div 737; *Little v American Tel. & Tel. Co.*, 96 App Div 559; *Curwin v Verizon Communications [LEC]*, 35 AD3d 645; *Cassata v New York New England Exch.*, 250 AD2d 491; *Tusa v Cablevision*, 262 AD2d 306.) II. The Appellate Division erred by failing to dismiss plaintiffs' General Business Law § 349 claim. (*Haberbush v Christensen*, 103 AD2d 996; *Sheehan v County of Suffolk*, 67 NY2d 52; *D & Z Holding Corp. v City of N.Y. Dept. of Fin.*, 179 AD2d 796; *Donnelly v Margolis*, 265 AD2d 523; *City of New Rochelle v Echo Bay Waterfront Corp.*, 268 App Div 182; *Sisters of St. Dominic v Orange & Rockland Power Co.*, 79 AD2d 1021; *Oswego Laborers' Local 214 Pension Fund v*

Marine Midland Bank, 85 NY2d 20; *Schneckloth v Bustamonte*, 412 US 218; *City of New York v Smokes-Spirits.Com, Inc.*, 12 NY3d 616; *Gaidon v Guardian Life Ins. Co. of Am.*, 96 NY2d 201.) III. The Appellate Division erred by failing to dismiss the unjust enrichment claim as duplicative of trespass. (*Town of Wallkill v Rosenstein*, 40 AD3d 972; *Feder v Village of Monroe*, 283 AD2d 548; *Brick v Cohn-Hall-Marx Co.*, 276 NY 259; *Amodeo v Kolodny, P.C.*, 35 AD3d 773; *Tenamee v Schmukler*, 438 F Supp 2d 438; *Granchelli v Johnson Bldg. Co.*, 85 AD2d 891; *Samiento v World Yacht Inc.*, 10 NY3d 70.)

Law Offices of David M. Wise, P.A., Cranford, New Jersey (David M. Wise of counsel), and *Reilly Like & Tenety*, Babylon (Irving Like of counsel), for respondents-appellants. I. Verizon New York, Inc.'s arguments for dismissing plaintiffs' unjust enrichment, inverse condemnation and deceptive trade practices causes of action lack merit. (*Butler v Frontier Tel. Co.*, 186 NY 486; *Cornwell v Sanford*, 222 NY 248; *Deposit Guaranty Nat. Bank v Roper*, 445 US 326; *White v Mathews*, 559 F2d 852; *Weiss v Regal Collections*, 385 F3d 337; *Miller v Schloss*, 218 NY 400; *United States v Lynah*, 188 US 445; *United States v Great Falls Mfg. Co.*, 112 US 645; *Evans v City of Johnstown*, 96 Misc 2d 755, 97 AD2d 1; *New York State Energy Research & Dev. Auth. v Nuclear Fuel Servs., Inc.*, 561 F Supp 954.) II. The Appellate Division erred in holding plaintiffs' inverse condemnation cause of action barred by the statute of limitations. (*O'Meara v Postal Tel.-Cable Co.*, 279 NY 282; *Antonopoulos v Postal Tel. Cable Co.*, 261 App Div 564, 287 NY 712; *Consumers Union of U.S., Inc. v State of New York*, 5 NY3d 327; *Nollan v California Coastal Comm'n*, 483 US 825; *United States v General Motors Corp.*, 323 US 373; *Loretto v Teleprompter Manhattan CATV Corp.*, 53 NY2d 124, 458 US 419.) III. The denial of class certification was erroneous and should be reversed. (*Bunke v New York Tel. Co.*, 110 App Div 241, 188 NY 600; *Curwin v Verizon Communications [LEC]*, 35 AD3d 645; *Cassata v New York New England Exch.*, 250 AD2d 491; *Wash-o-Matic Laundry Co., Inc. v 621 Lefferts Ave. Corp.*, 191 Misc 884; *Clark v Strong*, 105 App Div 179; *Galway v Metropolitan El. Ry. Co.*, 128 NY 132; *Ferguson v Village of Hamburg*, 272 NY 234; *New York City v Pine*, 185 US 93; *H. Muehlstein & Co. v Airway Cleaners & Dyers*, 17 Misc 2d 941.)

OPINION OF THE COURT

SMITH, J.

Defendant Verizon New York, Inc. (Verizon) attached a box to a building that plaintiffs own, and used the box to transmit

telephone communications to and from Verizon's customers in other buildings. Plaintiffs claim that Verizon took their property without paying them just compensation, and deceived them into believing that no compensation was owed.

We hold that plaintiffs have stated a valid "inverse condemnation" claim for just compensation, and that that claim is not time-barred. However, their claim for an alleged violation of General Business Law § 349 is barred by the statute of limitations, and their unjust enrichment claim is legally insufficient. We also hold that the courts below properly denied plaintiffs' motion for class certification.

I

Plaintiffs own an apartment building in Brooklyn. Many years ago, Verizon's predecessor, the New York Telephone Company, attached to that building a "terminal box" or "rear wall terminal." According to plaintiffs' complaint, boxes of this kind serve to connect Verizon's "Block Cable"—a single cable serving a number of customers typically located within a single city block—to "Station Connection wires," which "radiate out" from the box to several buildings in which Verizon customers are found. The complaint alleges that such a box is typically fed by "one or more Block Cables" and is "the termination point of between 25 to 200 individual Station Connection wires." Thus the box on plaintiffs' building enables Verizon to furnish telephone service not just to that building, but to a number of others. Plaintiffs claim, in substance, that Verizon is using their building as a substitute for a telephone pole, without paying plaintiffs for the privilege.

Plaintiffs also claim that Verizon tricked them into tolerating the box on their property without seeking payment. The complaint asserts that Verizon "never disclosed" that plaintiffs had a right to compensation and "created the false impression" that Verizon had a right to attach the box "as a condition for providing service to the building." This allegation was made more specific in deposition testimony: plaintiff William Corsello said that a Verizon representative told him in 1986 that Verizon "had a right" to put the box on the wall.

Plaintiffs brought this lawsuit seeking damages and injunctive relief on behalf of themselves and all other building owners similarly situated. The complaint asserts that plaintiffs are entitled to relief on four theories: inverse condemnation; unjust

enrichment; trespass; and deceptive trade practices in violation of General Business Law § 349. Verizon moved to dismiss the complaint. Supreme Court dismissed the unjust enrichment claim, but upheld the claims for inverse condemnation, trespass and violation of the General Business Law (21 Misc 3d 1116[A], 2008 NY Slip Op 52081[U] [2008]). In a later order, Supreme Court denied plaintiffs' motion to certify the case as a class action (25 Misc 3d 1221[A], 2009 NY Slip Op 52232[U] [2009]).

Verizon did not pursue an appeal from so much of Supreme Court's first order as sustained plaintiffs' trespass claim; that claim remains pending in Supreme Court. As to the other asserted grounds for relief, the Appellate Division modified Supreme Court's first order, and affirmed it as modified. The Appellate Division agreed with Supreme Court that plaintiffs had stated a legally sufficient inverse condemnation claim, but dismissed that claim as barred by the statute of limitations. It reinstated the unjust enrichment claim, and affirmed so much of the order as upheld the General Business Law claim (*Corsello v Verizon N.Y., Inc.*, 77 AD3d 344 [2d Dept 2010]). In a separate decision on the same day, the Appellate Division affirmed Supreme Court's order denying class certification (*Corsello v Verizon N.Y., Inc.*, 76 AD3d 941 [2d Dept 2010]).

The Appellate Division granted leave to appeal from both of its orders. We now modify the order that addressed Verizon's motion to dismiss, reinstating the inverse condemnation claim but dismissing the other two claims that are before us. We affirm the order denying class certification.

II

[1] We agree with both of the courts below that plaintiffs' complaint states a valid inverse condemnation claim.

It is undisputed that, under Transportation Corporations Law § 27, Verizon has the power to take plaintiffs' property for the purpose of attaching its cables and wires. Section 27 says, in relevant part:

“Any such corporation may erect, construct and maintain the necessary fixtures for its lines upon, over or under any of the public roads, streets and highways . . . , and may erect, construct and maintain its necessary stations, plants, equipment or lines upon, through or over any other land, subject to the right of the owners thereof to full

compensation for the same. If any such corporation can not agree with such owner or owners upon the compensation to be paid therefor, such compensation shall be ascertained in the manner provided in the eminent domain procedure law.”

In their inverse condemnation claim, plaintiffs assert that Verizon has de facto exercised its section 27 power, and taken plaintiffs’ property, by attaching its “equipment” and “lines” to their building. Plaintiffs sue for the “compensation” for this taking to which they say they are entitled under section 27 and the takings clauses of the State and Federal Constitutions. The courts below held this claim to be legally sufficient, relying on *Loretto v Teleprompter Manhattan CATV Corp.* (458 US 419 [1982]), in which the United States Supreme Court decided that the installation of cables on the roof of an apartment building by a cable television company acting pursuant to authority granted by a state statute was a taking in the constitutional sense.

Verizon argues that inverse condemnation is not an available remedy because plaintiffs have alleged at most a trespass, not a taking of their property. *Loretto* is distinguishable, Verizon argues, because the cable television company in *Loretto* not only had a statutory right to install its equipment, but had expressly invoked that right. According to Verizon, unless it has affirmatively chosen to take plaintiffs’ property under section 27, or unless it has inflicted an injury on the property that “is incapable of actual, physical repair and, therefore, in its nature and of necessity permanent” (*Dietzel v City of New York*, 218 NY 270, 272 [1916]), it has committed no more than a trespass and cannot be sued for inverse condemnation. Verizon’s argument rests on an outmoded understanding of the relationship between inverse condemnation and trespass.

“Inverse condemnation” is a term relatively new to the law of eminent domain. Originally, at least as used by New York courts, it described not an independent basis for a lawsuit, but an equitable remedy given in actions for trespass when the trespasser had, but had not exercised, the power to condemn the property in question. In *Pappenheim v Metropolitan El. Ry. Co.* (128 NY 436 [1891]), we considered a trespass action in which plaintiff sought an injunction and damages based on the operation of a railway in front of her property that interfered with her easement of light, air and access. Though the defendants were authorized to exercise the right of eminent domain and thus to

acquire the easement, they had not done so and had paid plaintiff no compensation. In such a case, we said, the owner was entitled to damages for trespass, but was not limited only to a monetary remedy:

“[T]he owner may resort to equity for the purpose of enjoining the continuance of the trespass, and to thus prevent a multiplicity of actions at law to recover damages; and in such an action the court may determine the amount of damage which the owner would sustain if the trespass were permanently continued, and it may provide that, upon payment of that sum, the plaintiff shall give a deed or convey the right to the defendant, and it will refuse an injunction when the defendant is willing to pay upon the receipt of a conveyance. The court does not adjudge that the defendant *shall* pay such sum and that the plaintiff shall so convey. It provides that, if the conveyance is made and the money paid, no injunction shall issue. If defendant refuse to pay, the injunction issues.” (*Id.* at 444.)

Thus under *Pappenheim* the trespasser could be given a choice: condemn and pay for the property, or accept an injunction against the trespass. We did not label this remedy as “inverse condemnation” in *Pappenheim*; we first used that term more than 40 years later, in *Ferguson v Village of Hamburg* (272 NY 234, 240 [1936]), where we said that the method approved in *Pappenheim* and similar cases “of expeditiously disposing of the entire matter in a court of equity” was “sometimes termed ‘inverse condemnation.’” Over the next several decades, the term was occasionally used in the same sense (see *Trippe v Port of N.Y. Auth.*, 17 AD2d 472, 474 [2d Dept 1962], *revd on other grounds* 14 NY2d 119 [1964]; *Boomer v Atlantic Cement Co.*, 26 NY2d 219, 230 [1970, Jasen, J., dissenting]); it was also used during that time to refer to a remedy sought by a trespasser that sought to exercise its eminent domain power, rather than being compelled to vacate the property (see *Heyert v Orange & Rockland Utils.*, 24 AD2d 592 [2d Dept 1965], *affd* 17 NY2d 352 [1966]; *New York Tel. Co. v Town of N. Hempstead*, 41 NY2d 691, 696 [1977]). In all these cases, inverse condemnation was conceived of as a remedy available only by the choice of the condemnor, as an alternative to other relief.

In more recent times, however, inverse condemnation has acquired what is now its accepted meaning: it describes “the

manner in which a landowner recovers just compensation for a taking of his property when condemnation proceedings have not been instituted” (*United States v Clarke*, 445 US 253, 257 [1980]). A leading treatise explains:

“State courts have defined ‘inverse condemnation’ . . . as a cause of action against a governmental defendant to recover the value of property that has been taken in fact by the governmental defendant, even though no formal exercise of the power of eminent domain has been attempted by the taking agency” (3-8 Nichols, Eminent Domain § 8.01 [5] [b] [i] [3d ed rev 2011] [footnote omitted]).

In a modern inverse condemnation action, an owner whose property has been taken de facto may sue the entity that took it to obtain just compensation, and if the action is successful the defendant has no choice in the matter—the compensation must be paid. As the Appellate Division explained in *Tuffley v City of Syracuse* (82 AD2d 110, 116 [4th Dept 1981]):

“Use of private property . . . by a municipality in such a manner as to amount to a compensable taking is actionable, and a continuous, permanent trespass may constitute a *de facto* taking. . . . Inverse condemnation, rather than trespass, is the appropriate theory for granting damages to an injured landowner where the trespasser is cloaked with the power of eminent domain.” (Citations omitted.)

Verizon’s argument here—that inverse condemnation is normally available only when an entity has chosen to exercise its eminent domain power—in effect invites us to reject the more modern understanding of inverse condemnation, and to return to the time when that term described an option that might be given to a trespasser, either to vacate the property or to condemn it. We reject the invitation. Such a limitation on the rights of property owners would be not only inconsistent with modern authorities, but also unfair. It would invite an entity having the power of eminent domain to occupy property without risking more than damages for a temporary trespass, and to decide at a later date whether to acquire the property or abandon it. We agree with the Appellate Division in *Tuffley* that a “continuous, permanent trespass” may be converted into a “*de facto* taking.”

We do not, however, imply endorsement of *Tuffley*’s statement that inverse condemnation is “*the* appropriate remedy”

where the trespasser has eminent domain power; we do not suggest, in other words, that claims for trespass and ejectment may no longer be brought in such cases. Indeed, a trespass claim, not challenged on appeal, remains pending in this case. There is no need to decide now on which, if either, of their two alternative theories—trespass and inverse condemnation—plaintiffs may recover; that will depend on whether they ultimately prove a continuous and permanent, or merely a temporary, occupation of their property. Nor do we decide anything about a case in which the parties’ arguments are reversed: We do not imply that an entity having—but not having expressly exercised—the power of eminent domain may be heard to claim, to its own advantage, that it has accomplished a *de facto* taking, and may not be sued for trespass or ejectment. It may well be, though we do not now decide, that there are some occupations of property that may be treated either as trespasses or takings, at the property owner’s option. And, of course, nothing we say here prevents an entity that has eminent domain power from overtly exercising that power when it wants to remain in possession of property it has occupied.

We decide here only that the complaint in this action alleges facts from which a continuous and permanent occupation of plaintiffs’ property—a *de facto* taking—could be found, and therefore states a legally sufficient claim for inverse condemnation.

III

[2] The Appellate Division held that actions in inverse condemnation are governed by a three-year statute of limitations that runs from the time of the taking (*see* CPLR 214 [4]). Plaintiffs do not challenge that holding, and we assume (without deciding) that it is correct. On that assumption, plaintiffs’ inverse condemnation claim is time-barred unless it is saved by Real Property Law § 261. We conclude that section 261 does apply, and the claim is timely.

Real Property Law § 261 says:

“Whenever any wire or cable used for any telegraph, telephone, electric light or other electric purpose, or for the purpose of communication otherwise than by the aid of electricity, is or shall be attached to, or does or shall extend upon or over any building or

land, no lapse of time whatever shall raise a presumption of any grant of, or justify a prescription of any perpetual right to, such attachment or extension.”

Verizon’s argument, which the Appellate Division accepted, is that this statute does not apply to an action for inverse condemnation based on an alleged de facto taking of property. The words “presumption of . . . grant” and “prescription of . . . perpetual right” refer, Verizon says, to a claim by a telephone company that it has acquired title to property by adverse possession, or that its long use of property has given it a prescriptive easement. Since a de facto taking involves neither of these—indeed, it involves no claim by the telephone company of any property right—section 261, in Verizon’s view, is irrelevant to the case.

Verizon’s narrow reading of the statute would defeat its purpose. The thrust of the statute is that a company may not unlawfully attach its wires or cables to private property and then, by lapse of time, deprive the property owner of any remedy for the unlawful act. When section 261 was enacted in 1909, an owner would have been expected to seek relief in an action for trespass or ejectment, in which the company might plead adverse possession or prescriptive easement as a defense. Today, as we explained above, the same facts would permit the owner to bring an inverse condemnation action, to which the company may assert a statute of limitations defense—a defense based, like adverse possession and prescriptive easement, on lapse of time. The fact that applicable legal doctrines have changed, and that new claims and defenses, with different names, are now in use should not permit a lapse-of-time defense to succeed where the authors of section 261 clearly intended it to fail. Plaintiffs’ inverse condemnation claim is not time-barred.

IV

[3] We conclude, however, that plaintiffs’ claim under the General Business Law is barred by the statute of limitations.

General Business Law § 349 prohibits “[d]eceptive acts or practices in the conduct of any business, trade or commerce or in the furnishing of any service,” and allows any person injured by a violation of the section to recover damages (General Business Law § 349 [a], [h]). Plaintiffs claim that Verizon acted deceptively by attaching its box to their building without telling plaintiffs that that act entitled plaintiffs to compensation, and

by falsely telling plaintiffs that Verizon had a right to affix the box. We assume (without deciding) that these allegations state a legally sufficient claim under section 349.

That claim is subject to the three-year limitations period imposed by CPLR 214 (2), which applies to actions “to recover upon a liability . . . created or imposed by statute” (*Gaidon v Guardian Life Ins. Co. of Am.*, 96 NY2d 201, 208 [2001]). The complaint here alleges no successful deception of plaintiffs within three years of the time the action was brought, and thus Verizon’s statute of limitations defense to the General Business Law claim is *prima facie* valid.

The Appellate Division, relying on *General Stencils v Chiappa* (18 NY2d 125 [1966]) and *Simcuski v Saeli* (44 NY2d 442 [1978]), held that Verizon was estopped from raising a statute of limitations defense because (assuming the complaint’s allegations to be true) Verizon concealed its wrongdoing from plaintiffs and so prevented them from bringing a timely lawsuit. But *General Stencils* and *Simcuski* are not in point. In these cases, the complaints alleged both the tort that was the basis of the action and later acts of deception by which the defendants concealed their wrongdoing: In *General Stencils*, the defendant misappropriated the plaintiff’s funds, and then used her position as the plaintiff’s bookkeeper to cover up what she had done (18 NY2d at 126); in *Simcuski*, the defendant doctor committed malpractice and then falsely told the plaintiff that her resulting physical problems “were transient and . . . would disappear” (44 NY2d at 447). By contrast, in cases where the alleged concealment consisted of nothing but defendants’ failure to disclose the wrongs they had committed, we have held that the defendants were not estopped from pleading a statute of limitations defense (*Ross v Louise Wise Servs., Inc.*, 8 NY3d 478, 491-492 [2007] [there must be a “later fraudulent misrepresentation . . . for the purpose of concealing the former tort”], citing *Zumpano v Quinn*, 6 NY3d 666, 674 [2006] [it is “fundamental to the application of equitable estoppel for plaintiffs to establish that subsequent and specific actions by defendants somehow kept them from timely bringing suit”]). Plaintiffs here have not alleged an act of deception, separate from the ones for which they sue, on which an equitable estoppel could be based.

Plaintiffs, relying on *Gaidon*, argue that the statute of limitations on a General Business Law § 349 action runs not from the act of deception, but from the date when the plaintiff learns, or reasonably should learn, that he or she has been deceived. But

that is not what *Gaidon* held; it held that the statute runs from the time when the plaintiff was injured (96 NY2d at 210). In *Gaidon*, the alleged deception related to the likelihood of a future event: the defendants had sold life insurance to the plaintiffs, using materials showing that, after a certain date, policy dividends would be sufficient to cover the premiums. What defendants failed to disclose was that their prediction was “wholly unrealistic” (*id.* at 211, quoting *Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330, 350 [1999]). In that situation, we explained, the plaintiffs were not injured, and the statute of limitations did not begin to run, until the “unrealistic expectations” that defendants had raised “were actually not met” (96 NY2d at 211-212).

This case does not involve unrealistic predictions, but alleged omissions and representations about whether Verizon was entitled, without compensation, to place its box on plaintiffs’ wall. Plaintiffs’ injury was suffered when, relying on those omissions and representations, they refrained from demanding either payment or removal of the box. That occurred more than three years before suit was brought, and the General Business Law § 349 claim is time-barred.

V

[4] We conclude that plaintiffs have not stated a valid unjust enrichment claim.

The basis of a claim for unjust enrichment is that the defendant has obtained a benefit which in “equity and good conscience” should be paid to the plaintiff (*Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173, 182 [2011], quoting *Paramount Film Distrib. Corp. v State of New York*, 30 NY2d 415, 421 [1972]). In a broad sense, this may be true in many cases, but unjust enrichment is not a catchall cause of action to be used when others fail. It is available only in unusual situations when, though the defendant has not breached a contract nor committed a recognized tort, circumstances create an equitable obligation running from the defendant to the plaintiff. Typical cases are those in which the defendant, though guilty of no wrongdoing, has received money to which he or she is not entitled (see *Markwica v Davis*, 64 NY2d 38 [1984]; *Kirby McInerney & Squire, LLP v Hall Charne Burce & Olson, S.C.*, 15 AD3d 233 [2005]). An unjust enrichment claim is not available where it simply duplicates, or replaces, a conventional contract or tort claim (*Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382,

388-389 [1987]; *Samiento v World Yacht Inc.*, 10 NY3d 70, 81 [2008]; *Town of Wallkill v Rosenstein*, 40 AD3d 972, 974 [2d Dept 2007]).

Here, plaintiffs allege that Verizon committed actionable wrongs, by trespassing on or taking their property, and by deceiving them into thinking they were not entitled to compensation. To the extent that these claims succeed, the unjust enrichment claim is duplicative; if plaintiffs' other claims are defective, an unjust enrichment claim cannot remedy the defects. The unjust enrichment claim should be dismissed.

VI

[5] A decision on whether to certify a case as a class action is normally reviewable by us only for abuse of discretion (*City of New York v Maul*, 14 NY3d 499, 509 [2010]; *Small v Lorillard Tobacco Co.*, 94 NY2d 43, 52-53 [1999]). The courts below did not abuse their discretion in denying class certification here.

We acknowledge that the case as described in plaintiffs' complaint, and in an expert affidavit that plaintiffs submitted, seems on its face well-suited to class action treatment. The complaint alleges that Verizon has made a practice of attaching boxes like the one in issue here to privately owned buildings in several New York City neighborhoods; and that Verizon, knowing that it is required to pay compensation when it does so, has pursued a strategy to avoid that obligation. Plaintiffs' expert, an engineer formerly employed by Verizon, described the alleged strategy, which he labeled "attach and run": He said that Verizon would simply begin attaching apparatus to buildings "without oral, let alone, written consent"; that if a property owner noticed what Verizon was doing, Verizon's employees would try "to appease the owner," but would "[i]n no event . . . volunteer" that Verizon was not within its rights or that the owner was entitled to compensation; and that after attaching a box to a building "we would simply move on to the next building, and . . . would not leave any notice behind advising the building owners of their rights."

From these assertions, it would be reasonable to infer that the case will be dominated by class-wide issues—whether Verizon's practice is lawful, and if not what the remedy should be. Plaintiffs' allegations and expert testimony would also support an inference that their claims are typical of the claims of a class of building owners.

Evidence submitted by Verizon in opposition to the class certification motion, however, told a different story. Displaying an

impressive ability to store and retrieve old records, Verizon submitted to Supreme Court a signed document dated February 9, 1911, saying that “[p]ermission is hereby granted” for the attachment of a “[c]able with terminal box” on the rear wall of the building plaintiffs now own. Plaintiffs say, perhaps correctly, that this document does not bind them, but it surely casts some doubt on their claim to be victims of an “attach and run” policy.

Verizon also submitted documents showing that William Corsello himself gave permission for Verizon to splice a cable on the rear wall of his building in 1978, and to move the box to another part of the wall in 1986. Though Mr. Corsello signed nothing on either occasion, his grant of oral permission was described in convincing detail—including, in 1986, the instruction to “[s]ee knife grinder on 1st flr or call owner Mr. Corsello [with his phone number] for access.” In addition, Verizon submitted the deposition of plaintiffs’ expert witness, in which, though not flatly contradicting his affidavit, the witness gave a more benign description of Verizon’s policies. He said that while employed by Verizon he “would never deceive or misrepresent to the customer”; that he “would go to the customer and tell them what I was going to do”; and that he never observed any misrepresentation or deception by his Verizon coworkers.

This evidence, and other evidence Verizon presented, casts considerable doubt on whether the practice that plaintiffs’ complaint and expert affidavit seemed to be describing—a practice of making use of private property furtively and without the property owners’ consent—existed, or was followed in the case of plaintiffs’ building. We do not imply that Verizon’s evidence necessarily defeats plaintiffs’ claims on the merits; but it at least shows that there is a substantial amount of proof specific to plaintiffs’ building, and not common to the class, that is relevant to the case. And it is fair to infer that there will also be building-specific evidence relating to property owned by many other members of the putative class.

The courts below were clearly justified, on this record, in finding that at least two of the prerequisites to a class action were not met: the requirements that there be “questions of law or fact common to the class which predominate over any questions affecting only individual members” (CPLR 901 [a] [2]) and that “the claims . . . of the representative parties” be “typical of the claims . . . of the class” (CPLR 901 [a] [3]). Those courts did not err in denying class certification.

Accordingly, the Appellate Division's order modifying Supreme Court's order addressing Verizon's motion to dismiss (77 AD3d 344) should be modified, without costs, by reinstating plaintiffs' inverse condemnation cause of action and dismissing plaintiffs' General Business Law and unjust enrichment causes of action and, as so modified, affirmed, and the certified question relating to that order should be answered in the negative. The order of the Appellate Division affirming the denial of class action certification (76 AD3d 941) should be affirmed with costs, and the certified question relating to that order should be answered in the affirmative.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order of modification (77 AD3d 344 [2010]) modified, without costs, by reinstating plaintiffs' inverse condemnation cause of action and dismissing plaintiffs' General Business Law and unjust enrichment causes of action and, as so modified, affirmed, and certified question answered in the negative. Order affirming the denial of class action certification (76 AD3d 941 [2010]) affirmed, etc.

[Next page is 801.]

